

CASES DECIDED

IN THE

COURT OF APPEALS

OF THE

STATE OF NEW YORK

[184 NE3d 860, 164 NYS3d 39]

DANNY DONOHUE, as President of the Civil Service Employees Association, Inc., Local 1000, AFSCME, AFL-CIO, et al., Appellants, v ANDREW M. CUOMO, as Governor of the State of New York, et al., Respondents, et al., Defendants.

Argued January 5, 2022; decided February 10, 2022

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review two questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: (1) “Under New York state law, and in light of *Kolbe v. Tilletts*, 22 N.Y.3d 344, 980 N.Y.S.2d 903, 3 N.E.3d 1151 (2013), *M & G Polymers USA, LLC v. Tackett*, 574 U.S. 427, 135 S.Ct. 926, 190 L.Ed.2d 809 (2015), and *CNH Indus. N.V. v. Reese*, — U.S. —, 138 S. Ct. 761, 200 L.Ed.2d 1 (2018), do §§ 9.13 (setting forth contribution rates of 90% and 75%), 9.23(a) (concerning contribution rates for surviving dependents of deceased retirees), 9.24(a) (specifying that retirees may retain NYSHIP coverage in retirement), 9.24(b) (permitting retirees to use sick-leave credit to defray premium costs), and 9.25 (allowing for the indefinite delay or suspension of coverage or sick-leave credits) of the 2007-2011 collective bargaining agreement between the Civil Service Employees Association, Inc. and the Executive Branch of the State of New York (‘the

CBA'), singly or in combination, (1) create a vested right in retired employees to have the State's rates of contribution to health-insurance premiums remain unchanged during their lifetimes, notwithstanding the duration of the CBA, or (2) if they do not, create sufficient ambiguity on that issue to permit the consideration of extrinsic evidence as to whether they create such a vested right?"; and (2) "If the CBA, on its face, or as interpreted at trial upon consideration of extrinsic evidence, creates a vested right in retired employees to have the State's rates of contribution to health-insurance premiums remain unchanged during their lives, notwithstanding the duration of the CBA, does New York's statutory and regulatory reduction of its contribution rates for retirees' premiums negate such a vested right so as to preclude a remedy under state law for breach of contract?"

HEADNOTE

Civil Service — Retirement and Pension Benefits — Health Insurance Benefits — Lifetime Fixed Premium Contributions

New York's contract law does not recognize inferences favoring vesting of retiree health insurance rights when construing a collective bargaining agreement (CBA). Any inferences in favor of vested rights or in favor of determining that ambiguity exists concerning that issue conflict with the state's established contract law, which focuses on the parties' chosen language, by injecting considerations untethered to the words that the parties included in their agreement. Contractual rights and obligations generally do not survive beyond the termination of a CBA. In New York, courts should analyze whether a vested right exists under a CBA like any other contract question, using well established principles of contract interpretation. Such inferences are inconsistent with New York's ordinary contract principles because they place a thumb on the scale in favor of vested retiree benefits. Instead of adopting such inferences based on policy considerations grounded in employment matters, or any other considerations, existing outside the four corners of the CBA, contract principles preclude a New York court from disregarding the precise terminology that the parties used. This rule conforms to New York precedent, thereby promoting the commitment to impart stability to commercial transactions in the state.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Labor and Labor Relations §§ 2335, 2343.

NY JUR 2d Employment Relations §§ 606, 620.

WILLISTON ON CONTRACTS (4th ed) § 32:3.

ANNOTATION REFERENCE

See ALR Index under Collective Bargaining; Labor and Employment.

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POINTS OF COUNSEL

Civil Service Employees Association, Inc., Albany (Eric E. Wilke, Jennifer C. Zegarelli and Daren J. Rylewicz of counsel), for appellants. I. This Court should extend and uphold *Kolbe v Tibbetts* (22 NY3d 344 [2013]) and find that the collective bargaining agreement created a vested right to retain health insurance coverage in retirement at a fixed contribution rate. (*Litton Financial Printing Div., Litton Business Systems, Inc. v NLRB*, 501 US 190; *Evans v Deposit Cent. Sch. Dist.*, 183 AD3d 1081; *Hudock v Village of Endicott*, 28 AD3d 923; *Della Rocco v City of Schenectady*, 252 AD2d 82; *Myers v City of Schenectady*, 244 AD2d 845; *Williams v Village of Endicott*, 91 AD3d 1160; *Matter of Warner v Board of Educ., Cobleskill-Richmondville Cent. Sch. Dist.*, 108 AD3d 835; *Matter of Aeneas McDonald Police Benevolent Assn. v City of Geneva*, 92 NY2d 326; *Chemical Workers v Pittsburgh Plate Glass Co.*, 404 US 157; *Matter of Incorporated Vil. of Lynbrook v New York State Pub. Empl. Relations Bd.*, 48 NY2d 398.) II. New York's amended statutory and regulatory scheme breached the State's contractual obligations, but did not invalidate the agreements. (*TM Park Ave. Assoc. v Pataki*, 214 F3d 344; *E & E Hauling, Inc. v Forest Preserve Dist. of Du Page County, Ill.*, 613 F2d 675; *Jackson Sawmill Co., Inc. v United States*, 580 F2d 302; *Matter of Retired Pub. Empls. Assn., Inc. v Cuomo*, 123 AD3d 92.)

Letitia James, Attorney General, Albany (Frederick A. Brodie, Barbara D. Underwood and Andrea Oser of counsel), for respondents. I. The collective bargaining agreements did not vest retirees with a right to keep the State's share of contributions to health insurance premiums unchanged. (*Goldman v Metropolitan Life Ins. Co.*, 5 NY3d 561; *State Farm Mut. Auto. Ins. Co. v Langan*, 16 NY3d 349; *Health Ins. Assn. of Am. v Harnett*, 44 NY2d 302; *Chemical Workers v Pittsburgh Plate Glass Co.*, 404 US 157; *Steele v Louisville & Nashville R. Co.*, 323 US 192; *Bouboulis v Transport Workers Union of Am.*, 442 F3d 55; *Fletcher v Honeywell Intl., Inc.*, 892 F3d 217; *Barton v Constellium Rolled Products-Ravenswood, LLC*, 856 F3d 348; *Gallo v Moen Inc.*, 813 F3d 265; *W.W.W. Assoc. v Giancontieri*,

77 NY2d 157.) II. The 2011 amendment to Civil Service Law § 167 (8) did not extinguish state-law remedies for breach of contract. (*Kolnacki v State of New York*, 8 NY3d 277; *ABN AMRO Bank, N.V. v MBIA Inc.*, 17 NY3d 208; *Pennsylvania R.R. Co. v State of New York*, 11 NY2d 504; *National Railroad Passenger Corporation v Atchison, T. & S. F. R.*, 470 US 451; *Cook v City of Binghamton*, 48 NY2d 323; *Matter of Eagan v Livoti*, 287 NY 464; *Matter of Lobbett v Galpin*, 228 App Div 65; *Saxe v Peck*, 139 App Div 419; *Morell v Balasubramanian*, 70 NY2d 297; *TM Park Ave. Assoc. v Pataki*, 214 F3d 344.)

Edward J. Greene Jr., Albany (*Megan Drum and Kimberly A. Livingstone* of counsel), for New York State Public Employees Federation, amicus curiae. I. The history of bargaining in New York State demonstrates an intent by both parties to have vested post-retirement benefits. (*Evans v Deposit Cent. Sch. Dist.*, 183 AD3d 1081; *Della Rocco v City of Schenectady*, 252 AD2d 82; *Marcic v Reinauer Transp. Cos.*, 397 F3d 120; *Myers v City of Schenectady*, 244 AD2d 845; *Matter of Professional Staff Congress-City Univ. of N.Y. v New York State Pub. Empl. Relations Bd.*, 7 NY3d 458; *Local 456 Intl. Bhd. of Teamsters v Town of Cortlandt*, 68 Misc 2d 645; *Chemical Workers v Pittsburgh Plate Glass Co.*, 404 US 157.) II. The *M&G Polymers USA, LLC v Tackett* (574 US 427 [2015]) decision is not controlling legal precedent in public sector collective bargaining agreements. (*Kolbe v Tibbetts*, 22 NY3d 344; *Matter of City of Watertown v State of N.Y. Pub. Empl. Relations Bd.*, 95 NY2d 73; *Matter of Cohoes City School Dist. v Cohoes Teachers Assn.*, 40 NY2d 774; *Davenport v Washington Ed. Assn.*, 551 US 177; *Greenfield v Philles Records*, 98 NY2d 562; *Matter of Warner v Board of Educ., Cobleskill-Richmondville Cent. Sch. Dist.*, 108 AD3d 835; *Evans v Deposit Cent. Sch. Dist.*, 183 AD3d 1081; *Matter of Incorporated Vil. of Lynbrook v New York State Pub. Empl. Relations Bd.*, 48 NY2d 398; *Chemical Workers v Pittsburgh Plate Glass Co.*, 404 US 157; *Curtiss-Wright Corp. v Schoonejongen*, 514 US 73.)

Robert T. Reilly, New York City (*Ariana A. Donnellan and Elizabeth Klassner* of counsel), for United University Professions, amicus curiae. I. The collective bargaining agreements between Civil Service Employees Association and the executive branch of the State of New York created a vested right in retired employees to have the State's rates of contribution to health insurance premiums remain unchanged during their lifetimes. (*United Steel, Paper & Forestry, Rubber, Mfg., Energy,*

Allied Indus. & Serv. Workers Intl. Union, AFL-CIO/CLC v Cookson Am., Inc., 710 F3d 470; *Matter of DeRosa v Dyster*, 90 AD3d 1470; *Kolbe v Tibbetts*, 22 NY3d 344; *Della Rocco v City of Schenectady*, 252 AD2d 82, 93 NY2d 1000; *Myers v City of Schenectady*, 244 AD2d 845, 91 NY2d 812; *M&G Polymers USA, LLC v Tackett*, 574 US 427; *Litton Financial Printing Div., Litton Business Systems, Inc. v NLRB*, 501 US 190; *Stone v Signode Indus. Group LLC*, 943 F3d 381; *Reese v CNH Am. LLC*, 574 F3d 315.) II. The State's unilateral statutory and regulatory reduction of its contribution rates to retirees' health insurance costs neither invalidated contrary contractual obligations nor precluded a damages remedy under state law. (*Perry v United States*, 294 US 330; *Lynch v United States*, 292 US 571; *Mobil Oil Exploration & Producing Southeast, Inc. v United States*, 530 US 604; *United States v Winstar Corp.*, 518 US 839; *Horowitz v United States*, 267 US 458; *Yankee Atomic Elec. Co. v United States*, 112 F3d 1569; *Stockton E. Water Dist. v United States*, 583 F3d 1344; *E & E Hauling, Inc. v Forest Preserve Dist. of Du Page County, Ill.*, 613 F2d 675; *Allied Structural Steel Co. v Spannaus*, 438 US 234; *St. Paul Gas Light Co. v St. Paul*, 181 US 142.)

The DeNigris Law Firm PLLC, Albany (Stephen G. DeNigris of counsel), and *Police Benevolent Association of the New York State Troopers, Inc.*, Albany (Richard E. Mulvaney of counsel), for Police Benevolent Association of the New York State Troopers, Inc., amicus curiae. The Court of Appeals should extend and uphold *Kolbe v Tibbetts* (22 NY3d 344 [2013]) and find that the collective bargaining agreements created a vested right to retain health care insurance coverage in retirement at a fixed contribution rate. (*Evans v Deposit Cent. Sch. Dist.*, 139 AD3d 1172; *Hudock v Village of Endicott*, 28 AD3d 923; *CV Holdings, LLC v Artisan Advisors, LLC*, 9 AD3d 654; *M&G Polymers USA, LLC v Tackett*, 574 US 427.)

New York State Law Enforcement Officers Union, Council 82, AFSCME, AFL-CIO, Albany (Christine Caputo Granich and Ennio J. Corsi of counsel), and *Lippes Mathias LLP*, Albany (Lawrence H. Schaefer of counsel), for New York State Law Enforcement Officers Union, Council 82, AFSCME, AFL-CIO, and another, amici curiae. I. There is no denying the ambiguity created by the 90%/75% contribution rate provision. (*International Union, United Auto., Aerospace, & Agric. Implement Workers of Am. [UAW] v Yard-Man, Inc.*, 716 F2d 1476; *M&G Polymers USA, LLC v Tackett*, 574 US 427; *Kolbe v Tibbetts*, 22

NY3d 344; *Baff v Board of Educ. of the Fonda-Fultonville Cent. Sch. Dist.*, 169 AD3d 1322; *Myers v City of Schenectady*, 244 AD2d 845, 91 NY2d 812; *Adamo v City of Albany*, 156 AD3d 1017.) II. The amendment to Civil Service Law § 167 (8) did not negate the rights vested by the collective bargaining agreements or preclude a remedy for breach of contract.

Greenberg Burzichelli Greenberg P.C., Lake Success (Seth H. Greenberg of counsel), for Court Attorneys Association of the City of New York and others, amici curiae. *Kolbe v Tibbetts* (22 NY3d 344 [2013]) and basic rules of contract interpretation should be applied to find that the collective bargaining agreements created a vested right to fixed health insurance contribution rates for the lifetime of retirees. (*Matter of Patrolmen's Benevolent Assn. of City of N.Y., Inc. v New York State Pub. Empl. Relations Bd.*, 6 NY3d 563; *Evans v Famous Music Corp.*, 1 NY3d 452; *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157; *International Union, United Auto., Aerospace, & Agric. Implement Workers of Am. [UAW] v Yard-Man, Inc.*, 716 F2d 1476; *Farmers & Merchants Bank of Monroe v Federal Reserve Bank of Richmond*, 262 US 649; *Maryland Cas. Co. v Continental Cas. Co.*, 332 F3d 145.)

Gleason, Dunn, Walsh & O'Shea, Albany (Mark T. Walsh and Richard C. Reilly of counsel), for New York State Police Investigators Association, Local 4 IUPA, AFL-CIO and another, amici curiae. When properly construed, the collective bargaining agreement at issue is at least ambiguous as to the duration of the percentage contribution clauses as they pertain to employees' health insurance in retirement. (*Davenport v Washington Ed. Assn.*, 551 US 177; *Majeske v Congress of Conn. Community Coll.*, 166 F3d 1200; *Matter of Chenango Forks Cent. School Dist. v New York State Pub. Empl. Relations Bd.*, 95 AD3d 1479, 21 NY3d 255; *Baff v Board of Educ. of the Fonda-Fultonville Cent. Sch. Dist.*, 169 AD3d 1322; *Della Rocco v City of Schenectady*, 252 AD2d 82; *Matter of Warner v Board of Educ., Cobleskill-Richmondville Cent. Sch. Dist.*, 108 AD3d 835; *Myers v City of Schenectady*, 244 AD2d 845; *S & S Media v Vango Media*, 84 AD2d 356; *Agor v Board of Educ., Northeastern Clinton Cent. Sch. Dist.*, 115 AD3d 1047; *Kolbe v Tibbetts*, 22 NY3d 344.)

OPINION OF THE COURT

SINGAS, J.

In *Kolbe v Tibbetts*, we left open whether a New York court should infer vesting of retiree health insurance rights when construing a collective bargaining agreement (CBA) (*see* 22 NY3d 344, 354 [2013]). The Supreme Court subsequently rejected such inferences as incompatible with ordinary contract principles under federal law in *M&G Polymers USA, LLC v Tackett* (574 US 427 [2015]) and *CNH Industrial N.V. v Reese* (583 US —, 138 S Ct 761 [2018]), repudiating *International Union, United Auto., Aerospace, & Agric. Implement Workers of Am. (UAW) v Yard-Man, Inc.* (716 F2d 1476 [6th Cir 1983], *cert denied* 465 US 1007 [1984]) and its progeny. In response to questions certified to us by the United States Court of Appeals for the Second Circuit, we conclude that *Yard-Man*-type inferences favoring such vesting are likewise inconsistent with New York's established contract interpretation principles.

I.

Plaintiff Civil Service Employees Association, Inc., Local 1000, AFSCME, AFL-CIO (CSEA) is the collective negotiating representative of the largest bargaining unit of New York State workers. Among others, CSEA represents workers employed in New York's Administrative Services Unit, Institutional Services Unit, Operational Services Unit, and Division of Military and Naval Affairs Unit. It also represents certain workers employed by the Unified Court System. CSEA's members and former members may obtain health insurance through the New York State Health Insurance Plan (NYSHIP), an optional health-benefit plan covering current and retired state employees and other public employees.

From NYSHIP's creation in the 1950s until 1983, the State paid 100% of both employees' and retirees' costs under the plan for individual coverage and 75% of their costs for dependent coverage, as required by statute. The State's contribution rate changed in 1983 after CSEA and other unions representing state employees reached a memorandum of understating (MOU), reducing that rate for individual coverage from 100% to 90%. The MOU superseded contrary provisions in the 1982-1985 CBA between CSEA and the State. The legislature amended Civil Service Law § 167 (1) to codify the negotiated contribution rates for qualifying employees who retired after January 1, 1983, but the amendment did not change the State's contribution rates for qualifying employees who had retired before that date (*see* L 1983, ch 14, § 1).

CSEA and the State thereafter agreed to seven CBAs, spanning 1985 to 2011, each containing provisions continuing the contribution rates at 90% for individual coverage and 75% for dependent coverage. Given the questions certified to us by the Second Circuit, we turn to the 2007-2011 CBA's relevant provisions.¹

Section 9.13 (a) of the 2007-2011 CBA set forth the contribution rates discussed above, providing that “[t]he State agrees to pay 90 percent of the cost of individual coverage and 75 percent of the cost of dependent coverage toward the hospital/medical/mental health and substance abuse components provided under the Empire Plan.” The section did not, however, expressly state the duration of the State’s promise to contribute at those rates. Section 9.24 (a) said that “[e]mployees covered by [NYSHIP] have the right to retain health insurance after retirement upon completion of [10] years of service.”

Section 9.23 (a) concerned contribution rates for surviving dependents of deceased retirees, stating:

“The unremarried spouse and otherwise eligible dependent children of an employee, who retires after April 1, 1979, with [10] or more years of active State service and subsequently dies, shall be permitted to continue coverage in the health insurance program with payment at the same contribution rates as required of active employees for the same coverage.”

Sections 9.24 (b) and 9.25 pertained to procedures for using sick-leave credits to defray premium costs. Section 9.24 (b) stated: “An employee who is eligible to continue health insurance coverage upon retirement is entitled to a sick leave credit to be used to defray any employee contribution toward the cost of the premium” and allowed employees to apply specified percentages “of the calculated basic monthly value of the credit towards defraying the required contribution to the monthly premium during their own lifetime.” Section 9.25 said: “An employee retiring from State service may delay commencement or suspend his/her retiree health coverage and the use of the employee’s sick leave conversion credits indefinitely.”

1. The Second Circuit focused its discussion “on the text of the parties’ 2007-2011 CBA” because the relevant prior CBAs “contain provisions that are identical or substantially similar to the provisions from the 2007-2011 CBA” (980 F3d 53, 72 n 11 [2d Cir 2020]).

The 2007-2011 CBA's article 50 contained a merger clause, stating that the CBA was "the entire agreement between the State and CSEA, terminate[d] all prior agreements and understandings and conclude[d] all collective negotiations during its term." Finally, article 53 contained a four-year durational clause, providing that the CBA's term "shall be from April 2, 2007 to April 1, 2011."

As the 2007-2011 CBA neared its termination date, the State faced continued fiscal distress stemming from the Great Recession, including a \$10 billion budget shortfall for fiscal year 2011-2012. In the context of that dire financial situation, CSEA and the State agreed to a five-year CBA in June 2011 under which the State's NYSHIP premium contribution rates for employees represented by CSEA were reduced by various percentages, depending on the employee's salary grade. Section 9.14 (a) of the 2011-2016 CBA stated that, effective October 1, 2011, the State agreed to pay 88% of individual coverage and 73% of dependent coverage for employees in a title salary grade 9 or below and 84% of individual coverage and 69% of dependent coverage for employees in a title salary grade 10 or above.

The legislature amended Civil Service Law § 167 (8) to provide that "the state cost of premium or subscription charges for eligible employees covered by such agreement may be modified pursuant to the terms of such agreement" (L 2011, ch 491, § 1, part A, § 2; *see* Civil Service Law § 167 [8]). The amended statute also stated that the Civil Service Commission President, with approval from the Budget Director, "may extend the modified state cost of premium or subscription charges for employees or retirees not subject to an agreement referenced above and shall promulgate the necessary rules or regulations to implement this provision" (L 2011, ch 491, § 1, part A, § 2; *see* Civil Service Law § 167 [8]). The Department of Civil Service thereafter amended its regulations to extend the modified contribution rates to certain retirees. Specifically, the amended regulation states: "for retirees who retired on or after January 1, 1983, and employees retiring prior to January 1, 2012, New York State shall contribute 88 percent of the charge on account of individual coverage and 73 percent of the charge on account of dependent coverage" (4 NYCRR 73.3 [b] [1]).

II.

After the State implemented the reduced NYSHIP contribution rates for the affected retirees in October 2011, CSEA, along

with its president and certain retirees who were formerly in CSEA bargaining units (collectively, CSEA), commenced this action in federal court against, among others, certain New York State officials (collectively, the State).² CSEA asserted, among other claims, that the State breached the CBAs in effect at the time of the retirees' retirements and violated the United States Constitution's Contract Clause (*see* US Const, art I, § 10, cl 1). Other unions and retirees filed 10 related actions.

The United States District Court for the Northern District of New York, as relevant here, granted the State's summary judgment motions in all 11 actions and denied CSEA's motion for summary judgment (*see* 347 F Supp 3d 110, 146 [ND NY 2018]). The court concluded that "the unambiguous terms of the CBAs at issue did not create a vested interest in the perpetual continuation of premium contribution rates at a specific level" (*id.* at 129). The court determined that "the premium contribution rates are subject to the general durational clauses and that [the] obligation ceased upon the termination of each respective CBA" (*id.* at 131). Because the retirees had no vested rights to a specified premium contribution rate, CSEA's breach of contract and Contract Clause claims failed as a matter of law.

The Second Circuit reserved decision on the 11 appeals and certified two questions to this Court (*see* 980 F3d at 87-88).³ The first question concerns "under what circumstances, if any, New York law permits an inference of vested post-retirement benefits under a state-law CBA, notwithstanding the absence of any express specification that those benefits extend beyond the term of the CBA" (*id.* at 84). The court explained that in order to prevail on both the breach of contract and Contract Clause claims, CSEA "must establish that the relevant CBAs provide for a vested right to health-insurance coverage at fixed contribution rates for the life of the retiree" (*id.* at 59). The court concluded that "the CBAs do not *expressly* provide for a vested right to coverage at fixed contribution rates" and, thus,

2. CSEA originally brought suit against the State of New York, the Governor, the Civil Service Department and its Acting Commissioner, the Civil Service Commission and its Commissioners, the Budget Director, the Comptroller, the New York State and Local Retirement System, and the Unified Court System and its Chief Judge.

3. The certified questions pertain only to CSEA's action, which has been treated as the lead case throughout the litigation. The Second Circuit concluded that our resolution of the state law questions at issue here would allow it to decide the 10 other actions (*see* 980 F3d at 64 n 6).

CSEA’s “suggested interpretation of the CBAs is tenable only if a vested right—or, at minimum, ambiguity with respect to such a right, as is necessary for the consideration of extrinsic evidence of the meaning of the CBAs—may be inferred under the circumstances” (*id.*; *see id.* at 63).

The Second Circuit highlighted that, in *Kolbe*, this Court “previously declined to either adopt or reject an inference that retirees’ health benefits vest under CBAs in the absence of express vesting language” (*id.* at 63, citing *Kolbe*, 22 NY3d at 354-355). The Circuit Court also explained that we had not addressed the impact of the Supreme Court’s subsequent decisions in *Tackett* and *Reese*, which concern vesting of rights pursuant to CBAs under federal law, and concluded that the Second and Third Departments “have taken divergent approaches to applying” those holdings (*id.* at 71). The Second Circuit therefore could not “confidently predict” whether we would “adopt the holdings of *Tackett* and *Reese*” (*id.* at 72; *see id.* at 75).

“Assuming, without deciding,” that CSEA could “successfully establish that the CBAs provide for a vested right to fixed contribution rates” (*id.* at 75), the Second Circuit turned to whether the alleged resulting harm was “a remediable breach” of the CBA or “an irremediable repudiation” of the CBA’s “contrary obligations” (*id.* at 77). The court determined that an open question existed concerning “whether the State’s unilateral statutory and regulatory reduction of its contribution rates to retirees’ NYSHIP costs invalidated any contrary contractual obligations and thereby precluded a damages remedy under state law” (*id.* at 86).

The Second Circuit therefore certified the following two questions:

“Under New York state law, and in light of *Kolbe v. Tibbetts*, 22 N.Y.3d 344, 980 N.Y.S.2d 903, 3 N.E.3d 1151 (2013), *M & G Polymers USA, LLC v. Tackett*, 574 U.S. 427, 135 S.Ct. 926, 190 L.Ed.2d 809 (2015), and *CNH Indus. N.V. v. Reese*, — U.S. —, 138 S. Ct. 761, 200 L.Ed.2d 1 (2018), do §§ 9.13 (setting forth contribution rates of 90% and 75%), 9.23(a) (concerning contribution rates for surviving dependents of deceased retirees), 9.24(a) (specifying that retirees may retain NYSHIP coverage in retirement), 9.24(b) (permitting retirees to use sick-

leave credit to defray premium costs), and 9.25 (allowing for the indefinite delay or suspension of coverage or sick-leave credits) of the 2007-2011 collective bargaining agreement between the Civil Service Employees Association, Inc. and the Executive Branch of the State of New York (‘the CBA’), singly or in combination, (1) create a vested right in retired employees to have the State’s rates of contribution to health-insurance premiums remain unchanged during their lifetimes, notwithstanding the duration of the CBA, or (2) if they do not, create sufficient ambiguity on that issue to permit the consideration of extrinsic evidence as to whether they create such a vested right? . . .

“If the CBA, on its face, or as interpreted at trial upon consideration of extrinsic evidence, creates a vested right in retired employees to have the State’s rates of contribution to health-insurance premiums remain unchanged during their lives, notwithstanding the duration of the CBA, does New York’s statutory and regulatory reduction of its contribution rates for retirees’ premiums negate such a vested right so as to preclude a remedy under state law for breach of contract?” (*id.* at 87-88).

We accepted the questions (*see* 36 NY3d 935 [2020]).

III.

A.

In New York, our general contract interpretation principles are well established. “The fundamental, neutral precept of contract interpretation is that agreements are construed in accord with the parties’ intent” and “[t]he best evidence of what parties to a written agreement intend is what they say in their writing” (*Greenfield v Philles Records*, 98 NY2d 562, 569 [2002] [internal quotation marks and citation omitted]). “[W]here a contract was negotiated between sophisticated, counseled business people negotiating at arm’s length, courts should be especially reluctant to interpret an agreement as impliedly stating something which the parties” specifically did not include (2138747 *Ontario, Inc. v Samsung C&T Corp.*, 31 NY3d 372, 381 [2018] [internal quotation marks and citation omitted]).

“Evidence outside the four corners of the document as to what was really intended but unstated or misstated is gener-

ally inadmissible to add to or vary the writing” (*W.W.W. Assoc. v Giancontieri*, 77 NY2d 157, 162 [1990]). Extrinsic or parol evidence “is admissible only if a court finds an ambiguity in the contract” (*Schron v Troutman Sanders LLP*, 20 NY3d 430, 436 [2013]; see *Greenfield*, 98 NY2d at 569); such evidence “is not admissible to create an ambiguity in a written agreement which is complete and clear and unambiguous upon its face” (*W.W.W. Assoc.*, 77 NY2d at 163 [internal quotation marks and citation omitted]). A contract’s silence on an issue does not “create an ambiguity which opens the door to the admissibility of extrinsic evidence to determine the intent of the parties” (*Greenfield*, 98 NY2d at 570). More to the point, “‘an ambiguity never arises out of what was not written at all, but only out of what was written so blindly and imperfectly that its meaning is doubtful’” (*id.* at 573, quoting *Trustees of Southampton v Jessup*, 173 NY 84, 90 [1903]). Determining whether a contract is ambiguous “is an issue of law for the courts to decide” (*id.* at 569). Under our established standards, “[a] contract is unambiguous if the language it uses has a definite and precise meaning, unattended by danger of misconception in the purport of the [agreement] itself, and concerning which there is no reasonable basis for a difference of opinion” (*id.* [internal quotation marks and citation omitted]). “Ambiguity in a contract arises when the contract, read as a whole, fails to disclose its purpose and the parties’ intent, or when specific language is susceptible of two reasonable interpretations” (*Ellington v EMI Music, Inc.*, 24 NY3d 239, 244 [2014] [internal quotation marks and citations omitted]). Consistent with New York law, “‘[a] written agreement that is complete, clear and unambiguous on its face must be enforced according to the plain meaning of its terms’” (*Kolbe*, 22 NY3d at 353, quoting *Greenfield*, 98 NY2d at 569).

B.

We applied our settled contract principles in *Kolbe*, where the plaintiffs were four former employees of a school district who retired between 2003 and 2008. During their employment, the plaintiffs were members of a collective bargaining unit represented by CSEA. In 2010, after the plaintiffs had retired, CSEA and the school district agreed to a successor CBA, which continued verbatim certain provisions regarding retiree health insurance benefits. One section provided that “‘[r]etired employees shall be eligible to continue group health insurance

upon [timely] payment of premium’ ” (*id.* at 350). Another section, section 6.5.3, provided that full-time employees who retired from the school district under a stated plan “‘shall be entitled to receive credit toward group health insurance premiums (including District contribution toward Flexible spending account) for accumulated sick leave’ ” (*id.*). “The premium credit was to be calculated as a percentage according to a formula and to be paid by the District ‘until the employee reaches age 70’ ” (*id.*). “The same provision contained the sentence that gave rise to the . . . litigation, ‘[t]he coverage provided shall be the coverage which is in effect for the unit at such time as the employee retires’ ” (*id.*).

When the plaintiffs retired, the relevant CBAs contained certain provisions with respect to co-pays for prescription drugs and flexible spending for health care expenses. The 2010 successor CBA made changes to those two benefits; the co-pays were increased, as were the limits for flexible spending. After the school district informed the plaintiffs that their co-pays and flexible spending benefits would be governed by the successor CBA’s terms, the plaintiffs commenced the breach of contract action alleging that the school district “violated the terms of the CBAs in effect when [the] plaintiffs retired” by increasing their co-pays (*id.* at 351). On appeal to this Court, the relevant issues were whether the CBAs gave plaintiffs “a vested right to the same health insurance coverage they had when they retired and, if so, whether unilateral modifications to that coverage [were] nonetheless permissible under . . . the contract terms” (*id.* at 348-349).

In addressing those issues, we explained that, “[a]s a general rule, contractual rights and obligations do not survive beyond the termination of a [CBA]” (*id.* at 353, citing *Litton Financial Printing Div., Litton Business Systems, Inc. v NLRB*, 501 US 190, 207 [1991]). Still, “‘[r]ights which accrued or vested under the agreement will’ ” generally “‘survive termination of the agreement’ ” (*id.*, quoting *Litton* 501 US at 207). We made clear that a court “must look to well established principles of contract interpretation to determine whether the parties intended that the contract give rise to a vested right” (*id.*).

Applying those principles, we held that the plain meaning of section 6.5.3 “unambiguously establishe[d]” that the plaintiffs had “a vested right to the ‘coverage which [was] in effect for the unit at such time as [they] retire[d],’ until they reach[ed] age 70” (*id.*). Because the CBA was “clear on its face,” we

declined “to rule on whether New York applies an inference of vesting for retiree health insurance rights” (*id.* at 354), while citing *Yard-Man*.

We proceeded to the “crux of the parties’ disagreement,” which was “not the existence but the scope of the vested right” contained in section 6.5.3 (22 NY3d at 354). We concluded that “the operative provision in section 6.5.3” was ambiguous, “making it appropriate . . . to consider extrinsic evidence” (*id.* at 355, citing *W.W.W. Assoc.*, 77 NY2d at 162). Because the “evidence submitted on summary judgment” did not “resolve the ambiguity,” we remitted the case for a hearing to decide that issue of fact (*id.*).

As noted, in *Kolbe*, we left open the question whether “New York applies an inference of vesting for retiree health insurance rights” (*id.* at 354), and cited *Yard-Man*. In *Yard-Man*, the CBA between the union and the employer, Yard-Man, Incorporated, stated that when a former employee reached 65 years of age, Yard-Man would “provide insurance benefits equal to the active group benefits . . . for the former employee and [their] spouse” (716 F2d at 1480 [emphasis omitted]). When Yard-Man notified retirees that it planned to terminate their health and life insurance benefits upon the expiration of the CBA, the retirees commenced an action claiming that the CBA provided lifelong insurance benefits. The Sixth Circuit agreed, holding that “the parties intended to create nonterminating lifelong insurance benefits for the Yard-Man retirees” (*id.*).

Finding the CBA provision ambiguous, the court “look[ed] to other provisions of the [CBA] for evidence of intent and an interpretation which [was] harmonious with the entire document” (*id.*). First, the court concluded that it was “improbable that retiree benefits were intended to depend in duration upon the fortunes of the active employees” (*id.* at 1481). Second, because “the insurance provisions limit[ed] health insurance coverage for a retiree’s spouse and dependent children in case of the retiree’s death to expiration of the” CBA, it was “more reasonable to infer that the spouse-dependent child provision was meant as an exception to the anticipated continuation of benefits beyond the life of the” CBA (*id.*). Third, terminating retiree benefits at the end of the CBA could render the insurance provisions “completely illusory for many early retirees under age 62” (*id.*). “Fourth, the inclusion of specific durational limitations in other provisions of the” CBA “suggest[ed] that retiree benefits, not so specifically limited, were intended to

survive the expiration of successive agreements in the parties' contemplated long term relationship" (*id.* at 1481-1482). "Finally, . . . the context in which these benefits arose demonstrate[d] the likelihood that continuing insurance benefits for retirees were intended" because retiree benefits "are only permissive not mandatory subjects of collective bargaining" (*id.* at 1482). Thus, "it is unlikely that such benefits, which are typically understood as a form of delayed compensation or reward for past services, would be left to the contingencies of future negotiations" (*id.*). The court further explained that "retiree benefits are in a sense 'status' benefits which, as such, carry with them an inference that they continue so long as the prerequisite status is maintained" (*id.*). The court determined that these "persuasive considerations . . . demonstrate[d] that retiree benefits were intended to outlive the" CBA's "life and outweigh any contrary implications derived from a routine duration clause terminating the agreement generally" (*id.* at 1482-1483). Indeed, "[s]uch an intent takes precedence over a non-specific, general clause" (*id.* at 1483).

The Supreme Court repudiated *Yard-Man*, holding, in *Tackett*, that *Yard-Man* "is incompatible with ordinary principles of contract law" (574 US at 430). In *Tackett*, retirees and their former union claimed that expired CBAs "created a right to lifetime contribution-free health care benefits for retirees, their surviving spouses, and their dependents" (*id.*). The employer maintained that the health care provisions terminated when the CBAs expired and, thus, "announced that it would begin requiring retirees to contribute to the cost of their health care benefits" (*id.* at 432). The Sixth Circuit, relying on *Yard-Man*, "sided with the retirees," concluding that "retiree health care benefits are unlikely to be left up to future negotiations" (*id.* at 430). The Supreme Court vacated the judgment and remanded to the Sixth Circuit "to apply ordinary principles of contract law" (*id.*).

The Supreme Court explained that it interprets CBAs "according to ordinary principles of contract law" and disagreed with the Sixth Circuit's "assessment that the inferences applied in *Yard-Man* and its progeny represent" such principles (*id.* at 435, 438). Instead, "*Yard-Man* violates ordinary contract principles by placing a thumb on the scale in favor of vested retiree benefits in all" CBAs and "distorts the attempt to ascertain the intention of the parties" (*id.* at 438 [internal quotation marks, citation, and emphasis omitted]). The

Supreme Court further criticized *Yard-Man* for refusing “to apply general durational clauses to provisions governing retiree benefits,” thereby “distort[ing] the text of the agreement and conflict[ing] with the principle of contract law that the written agreement is presumed to encompass the whole agreement of the parties” (*id.* at 440).

Three years later, in *Reese*, the Supreme Court extended its *Tackett* holding. After reiterating that the *Yard-Man* inferences are not ordinary principles of contract law, the Court rejected the Sixth Circuit’s analysis that used those inferences to render a CBA ambiguous (*see* 583 US at —, 138 S Ct at 763). The Court explained that the discredited inferences the Sixth Circuit formerly used to presume lifetime vesting likewise were inappropriate considerations when analyzing whether ambiguity existed concerning that issue. In other words, the inferences “cannot be used to create a reasonable interpretation any more than they can be used to create a presumptive one” (583 US at —, 138 S Ct at 766).

As the Second Circuit noted, we have not expressly adopted or rejected *Yard-Man*-type inferences, nor addressed the impact of *Tackett* and *Reese* on New York law. Notably, the Appellate Division has been inconsistent in its handling of *Tackett* and *Reese*.⁴ In responding to the Second Circuit’s questions, we resolve these questions of New York law.

IV.

Initially, in accord with our established contract principles, we agree with the Second Circuit that the 2007-2011 CBA does “not *expressly* provide for a vested right to coverage at fixed contribution rates” (980 F3d at 59). Settling the question left open in *Kolbe*, we decline to adopt any *Yard-Man*-type inferences, either in favor of vested rights or in favor of determin-

4. Compare *Village of Old Brookville v Village of Muttontown* (179 AD3d 972, 975 [2d Dept 2020] [rejecting *Yard-Man*-type inferences and concluding that because the CBA was “silent as to the duration of the health benefits promised therein . . . , it must be assumed that those benefits were promised only until the expiration of that agreement”]), with *Evans v Deposit Cent. Sch. Dist.* (183 AD3d 1081, 1083 [3d Dept 2020] [stating that the absence of durational language specific to retiree benefits renders it “logical to assume . . . that the bargaining unit intended to insulate retirees from losing important insurance rights during subsequent negotiations” (internal quotation marks omitted)]), and *Guerrucci v School Dist. of City of Niagara Falls* (126 AD3d 1498, 1500 [4th Dept 2015] [same], *lv dismissed* 25 NY3d 1194 [2015]).

ing that ambiguity exists concerning that issue. Such inferences conflict with this State’s established contract law, which focuses on the parties’ chosen language, by injecting considerations untethered to the words that the parties included in their agreement.

We foreshadowed this conclusion in *Kolbe*, where we said that “contractual rights and obligations” generally “do not survive beyond the termination” of a CBA (22 NY3d at 353). We made clear that, in New York, courts should analyze whether a vested right exists under a CBA like any other contract question—using our well established principles of contract interpretation. Inferences akin to those applied in *Yard-Man* are inconsistent with New York’s ordinary contract principles because they “plac[e] a thumb on the scale in favor of vested retiree benefits” (*Tackett*, 574 US at 438). Instead of adopting such inferences based on policy considerations grounded in employment matters, or any other considerations, existing outside the four corners of the CBA, we adhere to our contract principles which preclude a New York court from “disregard[ing] the precise terminology that the parties used” (*Global Reins. Corp. of Am. v Century Indem. Co.*, 30 NY3d 508, 519 [2017]). This rule conforms to our precedent, thereby promoting our commitment to “impart[] stability to commercial transactions” in this State (*W.W.W. Assoc.*, 77 NY2d at 162 [internal quotation marks omitted]).

Moreover, *Kolbe* did not implicitly adopt any inferences favoring vesting that we explicitly declined to rule on therein. Although we drew an “inference . . . that the parties intended the right to continued coverage to operate for the same period as the section as a whole,” this inference stemmed from New York’s ordinary contract principles—namely, the “well established” interpretation rule that “[p]articular words should be considered, not as if isolated from the context, but in the light of the obligation as a whole and the intention of the parties manifested thereby” (22 NY3d at 353 [internal quotation marks and citation omitted]). Applying that construction rule, not *Yard-Man*-type inferences, we held that the CBA was “clear on its face” and “unambiguously establishe[d]” that the plaintiffs had a vested right to the coverage they claimed (*id.* at 353, 354).

We maintain our traditional contract interpretation principles, including those set forth in *Kolbe*, but clarify that New York’s contract law does not recognize *Yard-Man*-like infer-

ences. Absent such inferences, none of the CBA provisions identified by the Second Circuit in the first certified question establish a vested right to lifetime fixed premium contributions, either singly or in combination.

Having resolved the issue we left open in *Kolbe*, we proceed no further and accept the Second Circuit's invitation to limit the questions as appropriate (*see* 980 F3d at 88). We believe that our analysis answers the pivotal question that prompted the Second Circuit's certification, and settles New York law that governs the first certified question. We act cautiously in this regard, cognizant of exceeding our role on certification by applying New York's now-established law to the facts presented in this federal action in the first instance. We therefore have no occasion to determine whether the CBA's text is ambiguous (*see Liriano v Hobart Corp.*, 92 NY2d 232, 243 [1998]). Because we conclude that the CBA does not expressly provide for vested contribution rates and do not answer whether the CBA is ambiguous on that issue, we likewise respectfully decline to address the second certified question.

Accordingly, the certified questions should be answered in accordance with this opinion.

Judges RIVERA, GARCIA, WILSON and CANNATARO concur; Chief Judge DiFIORE and Judge TROUTMAN took no part.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and record submitted, certified questions answered in accordance with the opinion herein.

[184 NE3d 871, 164 NYS3d 50]

In the Matter of PEDRO ENDARA-CAICEDO, Appellant, v NEW
YORK STATE DEPARTMENT OF MOTOR VEHICLES et al.,
Respondents.

Argued January 6, 2022; decided February 15, 2022

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered February 13, 2020. The Appellate Division affirmed a judgment of the Supreme Court, Bronx County (Mary Ann Brigantti, J.), entered in a proceeding pursuant to CPLR article 78, which had (1) denied the petition to annul the determination of respondent New York State Department of Motor Vehicles which, after a hearing, revoked petitioner's license to drive for at least one year and imposed a \$500 civil penalty; and (2) dismissed the proceeding.

Matter of Endara-Caicedo v New York State Dept. of Motor Vehs., 180 AD3d 499, affirmed.

HEADNOTE

Motor Vehicles — Revocation or Suspension of Operator's License — Refusal of Motorist Arrested for Operating Motor Vehicle under Influence of Alcohol or Drugs to Submit to Chemical Test — Two-Hour Rule

The two-hour rule in Vehicle and Traffic Law § 1194 (2) (a) (1), which authorizes a chemical test to be taken from a motorist based upon deemed consent, is not applicable to a New York State Department of Motor Vehicles (DMV) license revocation hearing held pursuant to Vehicle and Traffic Law § 1194 (2) (c) after a motorist's refusal to submit to a chemical test. The language of Vehicle and Traffic Law § 1194 (2) (c), setting forth the four limited issues to be considered at the administrative revocation hearing, is clear and unambiguous and contains no requirement that, to warrant license revocation, there must be a finding that a motorist's refusal to submit to a chemical test occurred within two hours of the arrest. Any conclusion that a motorist, upon being arrested for violating Vehicle and Traffic Law § 1192, may refuse a chemical test without consequence, is defeated by the statutory text and the undeniable, persistent efforts of the legislature to deter motorists from refusing chemical tests in drunk driving cases. The evolution of the two-hour rule demonstrates that it was a specific limitation concerned with the probative nature of blood alcohol content evidence obtained from a chemical test for use in a criminal prosecution for a violation of Vehicle and Traffic Law § 1192. The two-hour time period is an evidentiary rule; it does not grant a defendant substantive rights with regard to the taking or refusal of a chemical test. The statutory scheme protects the public from the grisly toll drunk drivers take on the roads and it is counter to these efforts to suggest that section 1194 (2) (c) grants a refusal right that is not in the text of the statute.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Automobiles and Highway Traffic §§ 125, 126, 347, 350.
CARMODY-WAIT 2d Physical Examinations and Tests § 175:8.
MCKINNEY'S, Vehicle and Traffic Law §§ 1192, 1194 (2) (a) (1); (c).
NY JUR 2d Automobiles and Other Vehicles §§ 560, 892, 895, 899.

ANNOTATION REFERENCE

See ALR Index under Drivers' Licenses; Driving While Intoxicated.

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POINTS OF COUNSEL

Robert S. Dean, Center for Appellate Litigation, New York City (V. Marika Meis of counsel), for appellant. Vehicle and Traffic Law § 1194 (3) bars license revocation when a motorist declines a chemical test beyond the statutory two-hour period of deemed consent. (Matter of Walsh v New York State Comptroller, 34 NY3d 520; Matter of Belmonte v Snashall, 2 NY3d 560; Matter of Polan v State of N.Y. Ins. Dept., 3 NY3d 54; Matter of Leggio v Devine, 34 NY3d 448; People v Atkins, 85 NY2d 1007; People v Gursey, 22 NY2d 224; People v Kates, 53 NY2d 591; People v Craft, 28 NY2d 274; Matter of Lundin v Hults, 29 AD2d 581; Matter of Donahue v Tofany, 33 AD2d 590.)

Letitia James, Attorney General, New York City (Philip J. Levitz, Barbara D. Underwood and Anisha S. Dasgupta of counsel), for respondents. New York State Department of Motor Vehicles properly revoked Pedro Endara-Caicedo's license for refusing a chemical test. (Matter of Partnership 92 LP & Bldg. Mgt. Co., Inc. v State of N.Y. Div. of Hous. & Community Renewal, 46 AD3d 425, 11 NY3d 859; Matter of Madison County Indus. Dev. Agency v State of N.Y. Auths. Budget Off., 33 NY3d 131; Matter of Leggio v Devine, 34 NY3d 448; Matter of Bel-

monte v Snashall, 2 NY3d 560; *People v Popko*, 33 Misc 3d 277; *Green v Bock Laundry Machine Co.*, 490 US 504; *Cruz v TD Bank, N.A.*, 22 NY3d 61; *Matter of Brooklyn Union Gas Co. v Commissioner of Dept. of Fin. of City of N.Y.*, 67 NY2d 1036; *Matter of Horchler*, 37 AD2d 28.)

Gerstenzang, Sills, Cohn & Gerstenzang, Albany (*Eric H. Sills* of counsel), *New York State Association of Criminal Defense Lawyers*, Garden City (*Steven B. Epstein* of counsel), and *Steven Epstein DWI Institute*, Garden City (*Steven B. Epstein* of counsel), for New York State Association of Criminal Defense Lawyers and another, amici curiae. The implied consent law does not authorize the New York State Department of Motor Vehicles to revoke a motorist's driver's license, or to impose a civil penalty upon a motorist, for a chemical test refusal obtained more than two hours after the motorist's arrest. (*People v Thomas*, 46 NY2d 100; *People v Smith*, 18 NY3d 544; *People v Washington*, 23 NY3d 228; *People v Gurse*, 22 NY2d 224; *People v Moselle*, 57 NY2d 97; *People v Odum*, 31 NY3d 344; *People v Fratangelo*, 23 NY3d 506; *People v Prescott*, 95 NY2d 655; *People v Finnegan*, 85 NY2d 53; *People v Popko*, 33 Misc 3d 277.)

OPINION OF THE COURT

Chief Judge DiFiore.

The primary question presented by this appeal is whether the two-hour rule in Vehicle and Traffic Law § 1194 (2) (a) (1), authorizing a chemical test to be taken from a motorist based upon deemed consent, is applicable to a Department of Motor Vehicles (DMV) license revocation hearing held pursuant to Vehicle and Traffic Law § 1194 (2) (c) after a motorist's refusal to submit to a chemical test. Because the plain text of Vehicle and Traffic Law § 1194 (2) (c) specifically limits the subject matter of the revocation hearing to four enumerated issues and the evidentiary two-hour limit for a deemed consent scenario is not one of those issues, we hold that the two-hour rule is not applicable to a DMV revocation hearing.

In 2016, petitioner was arrested for driving while intoxicated in violation of Vehicle and Traffic Law § 1192. Approximately three hours after his lawful arrest, petitioner was duly warned of the revocation consequences of a refusal to submit to a chemical test and refused the test. An administrative license revocation hearing was held. By statute, the issues at a DMV license revocation hearing “shall be limited to the following”:

(1) whether the police had reasonable grounds to believe the motorist was driving in violation of Vehicle and Traffic Law § 1192; (2) whether the arrest was lawful; (3) whether the motorist was sufficiently warned, prior to the refusal, in clear and unequivocal language, that a refusal to submit to the chemical test referenced in Vehicle and Traffic Law § 1194 (2) (a) (1) would result in the immediate suspension and subsequent revocation of his or her driver's license, independent of whether the motorist is found guilty of the charge for which he or she was arrested; and (4) whether the motorist refused "to submit to such chemical test or any portion thereof" (Vehicle and Traffic Law § 1194 [2] [c]).

The Administrative Law Judge, upon proof establishing the four statutorily required issues, revoked petitioner's driver's license based on his refusal to submit to the chemical test and the determination was affirmed on appeal by the DMV Appeals Board. Petitioner commenced this CPLR article 78 proceeding seeking to annul the DMV's determination. Supreme Court denied the petition and dismissed the proceeding. The Appellate Division affirmed, holding that a motorist's refusal to submit to the chemical test can be used against the motorist in an administrative license revocation hearing, even if the refusal occurred more than two hours after the arrest (180 AD3d 499 [1st Dept 2020]). This Court granted petitioner's motion for leave to appeal (35 NY3d 1078 [2020]) and we now affirm.

Vehicle and Traffic Law § 1194 sets forth the procedures for the arrest and testing of intoxicated drivers.¹ Vehicle and Traffic Law § 1194 (2) (a) currently provides that a motorist operating a vehicle in New York "shall be deemed to have given consent to a chemical test," given by or at the direction of a police officer, for the purpose of determining the alcohol content of the motorist's blood. The statute places additional limitations on the deemed consent provision, requiring both that the officer must have reasonable grounds to believe the motorist was operating the vehicle in violation of Vehicle and Traffic Law § 1192 and that the test must be administered "within two hours after such person has been placed under arrest for

1. Vehicle and Traffic Law § 1194 (1) (b) addresses a compulsory breath test administered in the "field" and is not at issue here. Subdivision (3) of section 1194 sets forth the requirements for a court-ordered chemical test upon a motorist's refusal, but is only authorized in the event of a death or serious physical injury of a person other than the operator of the vehicle.

any such violation”—the two-hour rule (Vehicle and Traffic Law § 1194 [2] [a] [1]). The statute makes clear that, if a motorist refuses to submit to the test, the penalty is mandatory license revocation, the procedure for which is set forth in Vehicle and Traffic Law § 1194 (2) (c). Petitioner argues that the two-hour rule should be imported into the administrative hearing requirements of section 1194 (2) (c)—that, before a motorist’s license may be revoked, an administrative law judge must find that the motorist’s refusal to submit to the chemical test occurred within two hours of arrest. The language of Vehicle and Traffic Law § 1194 (2) (c), however, setting forth the four limited issues to be considered at the administrative revocation hearing, is clear and unambiguous and contains no requirement that, to warrant license revocation, there must be a finding that a motorist’s refusal to submit to a chemical test occurred within two hours of the arrest.

The statutory framework addressing compulsory chemical tests for intoxicated drivers has been carefully crafted over decades by the legislature, with the balance in favor of facilitating the taking of the tests and removing drunk drivers from the road. Based on the evolution of the provisions at issue here—the two-hour evidentiary rule in subdivision (2) (a) (1), the deemed consent provision of section 1194 (2) (a), and the administrative hearing revocation provision of section 1194 (2) (c)—any conclusion that a motorist, upon being arrested for violating Vehicle and Traffic Law § 1192, may refuse a chemical test without consequence, is defeated by the statutory text and the undeniable, persistent efforts of the legislature to deter motorists from refusing chemical tests in drunk driving cases. Indeed, the mandatory administrative revocation hearing for a motorist’s refusal to submit to a chemical test evolved independently and subsequently to the two-hour evidentiary rule relating to the admissibility of blood alcohol content (BAC) for criminal prosecutions of driving while intoxicated (DWI) committed in violation of Vehicle and Traffic Law § 1192. The different paths of the statutory provisions at issue illustrate the different purposes those provisions serve.

The two-hour rule dates back to 1941, when trial courts were first authorized to admit BAC evidence “taken within two hours of the time of the arrest” of an intoxicated driver “[u]pon the trial of any action or proceeding arising” therefrom (L 1941, ch 726, § 1 [then-Vehicle and Traffic Law § 70 (5)]). As part of the statute defining the crime of driving while intoxicated, the pro-

vision was intended to eliminate guesswork as to the intoxicated condition of the driver, resulting in a higher percentage of convictions and exonerations of unintoxicated drivers (*see* Rep of Comm to Study Problems of Motor Vehicle Accidents, American Medical Association, May 1939, Bill Jacket, L 1941, ch 726).²

In the absence of a statutory provision authorizing the procedure for the police to obtain a chemical test, in 1953, the legislature enacted a separate provision, Vehicle and Traffic Law § 71-a, the precursor to the current deemed consent provision, under which a motorist was deemed to consent to a chemical test “administered at the direction of a police officer having reasonable grounds to suspect such person of driving in an intoxicated condition” (former Vehicle and Traffic Law § 71-a [1], as added by L 1953, ch 854, § 1). In the event a motorist refused to submit to “such chemical test,” the provision required that the commissioner “shall revoke his license” (*id.*). At that time, evidence of a refusal to take the test, as opposed to the results of the test itself, was not admissible (*see* Sponsor’s Mem, Bill Jacket, L 1973, ch 351), and there was no two-hour limitation in the deemed consent provision. Due process concerns with respect to the chemical test procedure and the revocation provision (*see Matter of Schutt v Macduff*, 205 Misc 43 [Sup Ct, Orange County 1954]) led to the statute’s amendment the following year to require an administrative hearing prior to license revocation (L 1954, ch 320). A requirement that the motorist had to be under arrest was also added, as was the authority to temporarily suspend the motorist’s license without notice on the basis of a sworn police report, pending the determination of the hearing (L 1954, ch 320). The Vehicle and Traffic Law was recodified in 1959: section 70 (5) containing the two-hour evidentiary rule and the substantive crime of DWI became section 1192, and section 71-a, containing the deemed consent and mandatory revocation for refusal provisions, became section 1194 (L 1959, ch 775).

The prerequisite refusal warnings were added to section 1194 (1) in 1968 (L 1968, ch 85). The refusal warnings were intended

2. Section 70 included three BAC measurements in the context of what constitutes prima facie evidence of intoxication. With the advent of the per se crime of DWI for a motorist with a BAC of .08% (Vehicle and Traffic Law § 1192 [2]), the measurements associated with the two-hour rule were repealed and replaced in Vehicle and Traffic Law § 1195 with more accurate scientific measurements of intoxication.

to encourage more motorists to consent to the test and were applicable in the “completely separate” administrative proceeding context (see Mem of Commissioner of Motor Vehicles, Bill Jacket, L 1968, ch 85 at 2). In 1970, the legislature again recodified the intoxicated driving laws, removing the two-hour evidentiary rule from the offense of DWI (Vehicle and Traffic Law § 1192) and adding it to the deemed consent provision (Vehicle and Traffic Law § 1194 [1]) in a long, unenumerated paragraph that also included the mandatory revocation language (L 1970, ch 275). The following year, the mandatory revocation procedures were removed from subdivision (1) and placed in separate subdivisions—Vehicle and Traffic Law § 1194 (2), (3), (4) (L 1971, ch 445). The admissibility of chemical test refusal evidence, in Vehicle and Traffic Law § 1194 (2), was authorized in 1973 (L 1973, ch 351).

In 1980, there was a restructuring of the revocation provisions in section 1194. The 1980 legislation provided for an immediate suspension of a motorist’s license upon refusal of a chemical test by the court in the pending criminal action and established the current procedure for the subsequent administrative hearing—including that the scope of “[t]he hearing shall be limited to” four criteria that must be proved at the revocation hearing (L 1980, ch 807, § 2).³ The purpose of the 1980 amendments, including the limitation on the scope of the administrative hearing, was to “provide[] the mechanism for taking quick action” and facilitate “quicker resolution of [DWI] charges” (Letter from Dept of Motor Vehicles, June 18, 1980 at 2, Bill Jacket, L 1980, ch 807). The legislature also clarified that the administrative license revocation applies upon refusal, independent of whether the motorist is ultimately convicted of the intoxicated driving offense for which he or she was arrested (L 1981, ch 347). Never, in any of the many changes to Vehicle and Traffic Law § 1194 during the 1980s, was the two-hour rule imported into the license revocation provisions. Given this history, the legislature’s failure to assign any significance to the timing of a motorist’s refusal to submit to a chemical test in Vehicle and Traffic Law § 1194 (2) (c), which specifically identifies the only issues to be addressed at a revocation proceeding, “compellingly suggests” that the omission was purposeful (see *People v Finnegan*, 85 NY2d 53, 58 [1995]).

3. This provision, section 1194 (3) (a), was renumbered to section 1194 (2) (c) when the Vehicle and Traffic Law was again recodified in 1988 (L 1988, ch 47).

To be sure, the evolution of the two-hour rule demonstrates that it was a specific limitation concerned with the probative nature of BAC evidence obtained from a chemical test for use in a criminal prosecution for a violation of Vehicle and Traffic Law § 1192. As we noted in *Matter of Viger v Passidomo* (65 NY2d 705, 707 [1985]), “[t]he two-hour time period . . . is an evidentiary rule”—it does not grant a defendant substantive rights with regard to the taking or refusal of a chemical test. To that end, the applicability of the probative nature of the two-hour rule has been limited to the confines of deemed consent and has not been applied to the admissibility of the results of chemical tests obtained by section 1194 (3) court order (see *People v McGrath*, 135 AD2d 60 [2d Dept 1988], *affd on op below* 73 NY2d 826 [1988]), upon a defendant’s voluntary consent to take the test more than two hours after arrest (see *People v Atkins*, 85 NY2d 1007, 1009 [1995]; *People v Smith*, 18 NY3d 544, 548 n 1 [2012]; cf. *People v Odum*, 31 NY3d 344, 346 [2018]) or pursuant to a search warrant (see *People v Casadei*, 66 NY2d 846 [1985]).

Petitioner’s reliance on the statutory interpretation analysis in *People v Odum* as support for a motorist’s substantive right to refuse a chemical test without consequence is misplaced. *Odum* addressed the admissibility at trial of the results of a chemical test administered more than two hours after the defendant’s arrest, and whether the refusal warnings, including the inaccurate warning regarding the use of any refusal at a criminal trial, as given to him rendered his consent to the test involuntary. We emphasized that the 1973 statute authorizing the admissibility of evidence of a test refusal at a criminal trial was in derogation of common law and concluded as a result that the statutory provision authorizing such admission—Vehicle and Traffic Law § 1194 (2) (f)—had to be strictly construed to include the two-hour rule (see 31 NY3d at 353).⁴ In stark contrast, the limitation on the scope of the revocation hearing

4. Vehicle and Traffic Law § 1194 (2) (f) provides that “[e]vidence of a refusal to submit to such chemical test or any portion thereof shall be admissible in any trial, proceeding or hearing based upon a violation of [Vehicle and Traffic Law § 1192] but only upon a showing that the person was given sufficient warning, in clear and unequivocal language, of the effect of such refusal and that the person persisted in the refusal.”

When the substance of this evidentiary provision was added in 1973, the statute already included the two-hour rule for BAC evidence and, thus, as

(n. cont’d)

in section 1194 (2) (c) is not in derogation of the common law and is a subsequently enacted provision that specifically governs the issues that may be considered at an administrative hearing (see *Matter of Perlbind Holdings, LLC v Srinivasan*, 27 NY3d 1, 9 [2016] [“Under principles of statutory construction, whenever there is a general and a specific provision in the same statute, the general applies only where the particular enactment is inapplicable”], citing McKinney’s Cons Laws of NY, Book 1, Statutes § 238). The legislative decision in 1941 to create a two-hour evidentiary rule was rooted in the existing science surrounding how fast alcohol metabolized in the bloodstream and the probative value of that evidence after two hours had passed (see Assembly Sponsor’s Mem in Support, Bill Jacket, L 1941, ch 726; see also *Atkins*, 85 NY2d at 1009-1010 [Simons, J. dissenting]). The administrative penalty of a license revocation does not implicate these evidentiary concerns.

For the same reasons, *Odum*’s interpretation of the meaning of the phrase “such chemical test” from Vehicle and Traffic Law § 1194 (2) (f) and its relation to the deemed consent provision in section 1194 (2) (a) is not controlling. As noted above, the evolution of the language of the provisions at issue here demonstrates that, unlike the use of the phrase in section 1194 (2) (f), the phrase “such chemical test” found in Vehicle and Traffic Law § 1194 (2) (c) was the original language used when the license revocation rule was first formulated in 1953, long predating the inclusion of the two-hour evidentiary rule in the deemed consent provision of Vehicle and Traffic Law § 1194 in 1970. Moreover, to the extent there is any ambiguity created by the “such chemical test” language, the clear legislative intent to use the mandatory revocation penalty to induce motorists to peacefully submit to a chemical test to determine BAC counsels against petitioner’s position. As this Court recognized over 50 years ago, the statutory scheme “was designed to enable the authorities to deal promptly and effectively with the scourge of drunken drivers by immediate revocation of their licenses either upon chemical proof of intoxication or upon refusal to take the blood test” (*People v Craft*, 28 NY2d 274, 278 [1971]). The legislature has continually strengthened drunk driving laws over the years with a very

the DMV argues, the evidentiary provision in section 1194 (2) (f) could reasonably be read to incorporate the same two-hour rule.

specific design to obtain chemical tests from motorists arrested for violating section 1192 in order to ease the difficulty of proving the BAC of an intoxicated driver (*see* Interim Rep of NY St Joint Legis Comm on Motor Veh Problems, 1953 NY Legis Doc No. 25 at 12-13). The legislative history reflects a consistent intention “to strengthen our laws . . . and help to prevent senseless and tragic deaths” caused by drivers under the influence of alcohol and drugs (Governor’s Mem approving L 1980, ch 807, 1980 Legis Ann at 329). Our statutory scheme, which provides the motorist, who upon arrest is deemed to consent to a chemical test, with procedural protections for an informed refusal on the penalty of a license revocation, does not bestow the substantive right to refuse the test outside the two-hour limit. Rather, it protects the public from the “grisly toll” drunk drivers take on the roads (*see Birchfield v North Dakota*, 579 US 438, 443 [2016]) and it is absolutely counter to these efforts to suggest that section 1194 (2) (c) grants a refusal right that is not in the text of the statute.

Finally, the argument that DMV’s prior long-standing policy interpreting the two-hour rule as applicable to license revocation hearings should be controlling is without merit. Determinatively, this Court is not required to defer to an agency’s interpretation of plain statutory language and legislative intent (*see Matter of Belmonte v Snashall*, 2 NY3d 560 [2004]) and there is certainly no basis to defer to an interpretation that the agency reconsidered, in light of *People v Atkins*, and abandoned 10 years ago (*see* 2012 NY St Dept of Motor Vehicles Op No. 1-12). For the reasons stated above, DMV’s determination based on its interpretation of the statutes at issue was not irrational or affected by an error of law (*see Matter of Brookford, LLC v New York State Div. of Hous. & Community Renewal*, 31 NY3d 679, 684-685 [2018]; CPLR 7803 [3]).

Accordingly, the order of the Appellate Division should be affirmed, with costs.

RIVERA, J. (dissenting). The narrow issue presented on this appeal is whether, under Vehicle and Traffic Law § 1194 (2) (a), evidence of a motorist’s refusal to voluntarily submit to a blood alcohol chemical test is admissible in a license revocation administrative hearing, notwithstanding that the request to submit to such a test was made more than two hours after the motorist’s arrest. There is no dispute that the chemical test authorized in Vehicle and Traffic Law § 1194 (2) (a) is the same

chemical test cross-referenced later, in paragraphs (c) and (f) concerning, respectively, administrative hearings and criminal proceedings. In *People v Odum*, we concluded that the phrase “such chemical test” in section 1194 (2) (f) necessarily referred to the chemical test in section 1194 (2) (a), which is subject to the two-hour limitation (see 31 NY3d 344, 351-352 [2018]). There is no textual basis for concluding that the exact same language means something different in these two paragraphs. The courts of this state and the Department of Motor Vehicles (DMV)—the legislatively appointed regulatory agency charged with the proper application of the Vehicle and Traffic Law—have, for decades, concluded the same. The continued historic application of the unambiguous text of Vehicle and Traffic Law § 1194 (2) (a) does not result in absurd results and thus forecloses the majority’s reference to external sources that purportedly contradict the plain text. If the statute as actually written is bad policy—as the majority assumes—it is for the legislature and not this Court to rewrite the law. I dissent.

Petitioner Pedro Endara-Caicedo appeals the denial of his CPLR article 78 petition seeking to annul the DMV’s one-year revocation of his driver’s license and imposition of a \$500 fine based on his refusal to take a chemical test authorized by Vehicle and Traffic Law § 1194 (2) (a), which the police requested more than two hours after his arrest on suspicion of driving while intoxicated. Petitioner asserts that Vehicle and Traffic Law § 1194 (2) mandates license revocation and civil monetary penalties only if the motorist refuses a chemical test within two hours of their lawful arrest. The DMV maintains that a refusal at any time after an arrest is grounds for revocation and that the chemical test referenced in section 1194 (2) (c), which provides for an administrative hearing, is not limited to refusals occurring within the two-hour period of deemed consent that the legislature recognized in section 1194 (2) (a).

“[I]t is well settled that a statute must be construed as a whole and that its various sections must be considered with reference to one another” (*Matter of Mental Hygiene Legal Serv. v Sullivan*, 32 NY3d 652, 659 [2019] [citation omitted]). “Indeed, it is a bedrock rule of statutory construction that, ‘where the same word or phrase is used in different parts of a statute[,] it will be presumed to be used in the same sense throughout,’ absent any indication of a contrary intent” (*id.*, quoting *Catlin v Sobol*, 77 NY2d 552, 559 [1991]; see McKinney’s Cons Laws of NY, Book 1, Statutes § 236).

Vehicle and Traffic Law § 1194 is entitled “Arrest and testing” and describes the physical tests and procedures authorized to determine the presence of alcohol or drugs in the blood of a motorist believed to have been driving under the influence. Three categories of tests are authorized: field (i.e., a breath test); chemical tests upon consent; and compulsory chemical tests mandated by court order (Vehicle and Traffic Law § 1194 [1] [b]; [2], [3]). A motorist alleged to be driving under the influence is subject to both criminal prosecution and administrative sanctions related to the motorist’s driving privileges, including license suspension and revocation, and civil monetary penalties.

In part, Vehicle and Traffic Law § 1194 (2) (a) authorizes, upon the deemed consent of a motorist,

“a chemical test of one or more of the following: breath, blood, urine, or saliva, for the purpose of determining the alcoholic and/or drug content of the blood provided that such test is administered by or at the direction of a police officer with respect to a chemical test of breath, urine or saliva or, with respect to a chemical test of blood, at the direction of a police officer:

“(1) having reasonable grounds to believe such person to have been operating in violation of any subdivision of section eleven hundred ninety-two of this article and within two hours after such person has been placed under arrest for any such violation; or having reasonable grounds to believe such person to have been operating in violation of section eleven hundred ninety-two-a of this article and within two hours after the stop of such person for any such violation,

“(2) within two hours after a breath test, as provided in paragraph (b) of subdivision one of this section, indicates that alcohol has been consumed by such person and in accordance with the rules and regulations established by the police force of which the officer is a member.”

However, no test may be administered, absent a court order, when an arrested person refuses a “request[] to submit to such chemical test” after “having been informed that the person’s license or permit to drive and any non-resident operating priv-

ilege shall be immediately suspended and subsequently revoked” (Vehicle and Traffic Law § 1194 [2] [b] [1]). The police must prepare a written report of the refusal, which serves as the basis for the temporary suspension of the arrested person’s license or permit pending an administrative hearing (Vehicle and Traffic Law § 1194 [2] [b] [3]).

To revoke a motorist’s license under the statute, the administrative hearing officer must find, upon the evidence admitted at the revocation hearing, that: the police officer had reasonable grounds to believe the driver violated Vehicle and Traffic Law § 1192; the arrest was lawful; “[the driver] was . . . given sufficient warning, in clear or unequivocal language, prior to such refusal that such refusal to submit to such chemical test or any portion thereof, would result in the immediate suspension and subsequent revocation of such person’s license or operating privilege whether or not such person is found guilty of the charge for which the arrest was made”; and “such person refuse[d] to submit to such chemical test or any portion thereof” (Vehicle and Traffic Law § 1194 [2] [c]). Upon such findings, the driver is subject to a one-year license revocation and civil monetary penalty (Vehicle and Traffic Law § 1194 [2] [d]).

The driver is also subject to criminal prosecution, and

“[e]vidence of a refusal to submit to such chemical test or any portion thereof shall be admissible in any trial, proceeding or hearing based upon a violation of the provisions of section [1192] of this article but only upon a showing that the person was given sufficient warning, in clear and unequivocal language, of the effect of such refusal and that the person persisted in the refusal” (Vehicle and Traffic Law § 1194 [2] [f]).

Two points are obvious from the text. First, the statutory framework and the statute’s text are intended to distinguish between three categories of tests, with only one of those tests containing a two-hour limitation. Second, the legislature used the shorthand “such chemical test” throughout the paragraphs of Vehicle and Traffic Law § 1194 (2) to reference the only chemical test described in subdivision (2) (a)—that is, a chemical test that must be requested within two hours of a lawful arrest. This Court has recently explained that, “[a]s a rule, ‘such’ applies to the last antecedent, unless the sense of the passage requires a different construction” (*People ex rel. Ne-*

gron v Superintendent, Woodbourne Corr. Facility, 36 NY3d 32, 37 [2020] [citation omitted]). Under this “last antecedent rule of statutory construction,” “the word ‘such,’ when used in a statute, must, in order to be intelligible, refer to some antecedent, and will generally be construed to refer to the last antecedent in the context, unless some compelling reason appears why it should not be so construed” (*Colon v Martin*, 35 NY3d 75, 78-79 [2020], quoting McKinney’s Cons Laws of NY, Book 1, Statutes § 254, Comment at 418 [1971 ed]). We must assume that the legislature was aware of this linguistic structural rule (see *Matter of Amorosi v South Colonie Ind. Cent. School Dist.*, 9 NY3d 367, 373 [2007] [(T)he Legislature is presumed to be aware of the law in existence at the time of an enactment”).

To the extent the DMV argues that section 1194 (2) (a) should be read to refer, generally, to the “chemical test” to which all drivers in this state are deemed to have consented—and not the chemical test as specifically limited by subdivision (2) (a) (2)—that argument is belied by section 1194 (3), which differentiates between the temporally limited chemical test in section 1194 (2) (a) and general references to “a chemical test” elsewhere in the statute. As we explained in *Odum*,

“Vehicle and Traffic Law § 1194 authorizes police to seek two types of chemical tests—those based upon deemed consent under subdivision (2) and court-ordered tests under subdivision (3). Section 1194 (2) is a self-contained paragraph that refers only to the ‘such’ chemical tests described therein, i.e., the chemical test to which a defendant is ‘deemed to have given consent’ (*id.* § 1194 [2] [a]). Section 1194 (3), on the other hand applies to ‘[c]ompulsory chemical tests,’ which the statute defines as ‘[c]ourt ordered chemical tests’ (*id.* § 1194 [3] [a]). The reference to ‘such chemical test[s]’ in subdivision (3) refers to the compulsory, court-ordered tests addressed in that paragraph and does not operate to eliminate the two-hour requirement from subdivision (2)” (31 NY3d at 352 n 3).

This interpretation of section 1194 (2) (c) is reaffirmed elsewhere in *Odum*, which was decided after petitioner filed his article 78 petition. In *Odum*, we explained that section 1194 (2) (f)’s use of the phrase “such chemical test,”

“refers directly back to the chemical test authorized in subdivision (2) (a). Specifically, section 1194 (2) (f) states that it is ‘[e]vidence of a refusal to submit to *such* chemical test’ that is admissible at trial (emphasis added), with ‘such chemical test’ being the one to which a defendant is deemed to have consented in subdivision (2) (a). In other words, the use of the word ‘such’ in section 1194 (2) (f) ties that provision back to subdivision (2) (a)—a different paragraph within the same subdivision—so that the two must be read together (*see McKinney’s Cons Laws of NY, Book 1, Statutes § 97, Comment at 213-214, 216 [1971 ed] [(W)ords, phrases, and sentences of a statutory section should be interpreted with reference to the scheme of the entire section . . . and the meaning of a single section may not be determined by splitting it up into several parts’*)). Section 1194 (2) (a) (1) provides, in turn, that a defendant is ‘deemed to have given consent to a chemical [breath] test,’ so long as the test is performed ‘within two hours after such person has been placed under arrest for’ driving while intoxicated. Inasmuch as ‘such chemical test’ is no longer authorized under the deemed consent provision in section 1194 (2) (a) after the two-hour period has expired, the motorist cannot, as a matter of law, refuse to take the test *within the meaning of section 1194 (2) (f)*. Any evidence of a refusal after that point must be suppressed because it does not fall within the parameters of the statute” (31 NY3d at 351-352).

The majority misconstrues Vehicle and Traffic Law § 1194 (2) (c) by concluding that the mandatory findings set forth therein are the only requirements for license revocation (majority op at 22-23). That reading of the statute amounts to revision by judicial fiat. The majority has effectively deleted the word “such” from section 1194 (2) (c), concluding that, in the 3½ years since *Odum*, the same phrase in the same subdivision of the same statute must now mean something entirely different. The majority’s reference to the criminal nature of the proceeding in *Odum* fails to explain why that should alter the mean-

ing of identical phrases.* Consequently, this approach elides the very question before us, namely, *what* chemical test is the subject of the revocation hearing in the first instance? As I have explained, the answer is expressly stated in section 1194 (2) (c), as that paragraph applies to drivers whose licenses are suspended pursuant to section 1194 (2) (b) for refusing to submit to “such chemical test”—the same test set forth in section 1194 (2) (a).

Nor is it necessary, as the majority does, to look beyond the statutory text to resolve the interpretive question presented on this appeal. However, doing so confirms that our state courts have interpreted section 1194 (2) as I do (*see e.g. Matter of Lundin v Hults*, 29 AD2d 581, 582 [3d Dept 1967] [affirming license revocation because “the petitioner refused to submit to a chemical test and . . . the refusal occurred within a two-hour period following the arrest”]; *Matter of Donahue v Tofany*, 33 AD2d 590, 591 [3d Dept 1969] [holding that license revocation “should not be disturbed” because “petitioner refused to submit to a chemical test, and . . . the refusal occurred within a two-hour period following the arrest”]; *Matter of Sweeney v Tofany*, 30 AD2d 934, 934 [4th Dept 1968] [citing then-Vehicle and Traffic Law § 1192 for the “statutory time,” which was the two hours in which a refusal would be penalized by license revocation]). And so did the DMV until its 2012 memorandum (*see* 2012 NY St Dept of Motor Vehicles Op No. 1-12). Notably, that memorandum interpreting the statute as the majority does now was drafted without the benefit of the analysis and holding in *Odum*. If the majority and the DMV are right, we would expect that the legislature would have stepped in long ago—and certainly after our 2018 decision in *Odum*—to correct this misinterpretation of the law. But the legislature did not act, further suggesting that Vehicle and Traffic Law § 1194 (2) (c) does indeed refer back only to refusals during the two-hour consent period set forth in Vehicle and Traffic Law § 1194 (2) (a).

* Today’s majority also relies on dicta in *Odum* concerning the need to strictly construe legislative enactments in derogation of the common law (*see* majority op at 27-28, citing *Odum*, 31 NY3d at 353). In doing so, the majority has ignored the holding of *Odum*—that “the use of the word ‘such’ . . . ties [a] provision” in a different paragraph of the same subdivision “back to subdivision (2) (a) . . . so that the two must be read together” (31 NY3d at 351)—in favor of a secondary point seemingly intended only to bolster a conclusion reached by analysis of the plain text of the Vehicle and Traffic Law.

The majority's reliance on legislative history is also misplaced. As a threshold matter, we may not rely on legislative history to ascertain legislative intent when the text is clear on its face (see *Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270, 286 [2009] [only where "the language is ambiguous" may we "examine the statute's legislative history"])). In any case, the two-hour limitation has applied to chemical tests since the tests were first adopted (see e.g. *Matter of Lundin*, 29 AD2d at 582; *Matter of Kennedy v Melton*, 62 AD2d 1152, 1153 [4th Dept 1978] [noting that the petitioner's refusal of "a chemical test for intoxication in accordance with section 1194 of the Vehicle and Traffic Law" "could result in revocation of his motor vehicle operator's license" if the refusal occurred within "the two-hour period within which the test must be performed (see Vehicle and Traffic Law, § 1194)"])). The fact that the two-hour limitation and the deemed consent provision were in two different statutory sections does not support the majority's interpretation because the two-hour limitation has always applied to revocation proceedings, irrespective of its placement within the statute. Thus, applying the two-hour limit to license revocation proceedings was the existing approach of which the legislature was well aware. And if that is not what the legislature intended, it could have easily corrected this allegedly erroneous application of the law when it amended the Vehicle and Traffic Law in 1970 and moved the deemed consent two-hour requirement to Vehicle and Traffic Law § 1194 (2). Again, it did not do so.

As the majority correctly states, the legislature adopted the license revocation procedure, along with various other mechanisms, to combat the scourge of motorists driving while under the influence of alcohol or drugs (see majority op at 28-29). There is no question as to the clarity of that goal—rather, on this appeal, we need only to decide whether the words the legislature chose to effectuate that goal support the license revocation here. They do not. Nonetheless, the statutory framework and text make clear that the legislature *did* intend that refusals *during* the two hours after arrest would lead to immediate license suspension and would support license revocation and substantial civil monetary penalties. Moreover, the legislature provided police a recourse if a driver "refuses to submit to such test" by authorizing compulsory chemical tests. Vehicle and Traffic Law § 1194 (3) (a) states that

“Notwithstanding the provisions of subdivision two of this section, no person who operates a motor vehicle in this state may refuse to submit to a chemical test of one or more of the following: breath, blood, urine or saliva, for the purpose of determining the alcoholic and/or drug content of the blood when a court order for such chemical test has been issued in accordance with the provisions of this subdivision.”

And, of course, the driver always remains subject to criminal prosecution.

In sum, on this appeal, our task is to construe the meaning of the phrase “such chemical test,” which is used multiple times within the same statutory subdivision. That task is easily completed, as we afforded that very phrase an unambiguous construction just a few years ago in *Odum*: “such chemical test,” as used in subdivision (2) of section 1194 of the Vehicle and Traffic Law, refers to a chemical test refused within two hours of a motorist’s arrest. Our conclusion here must be the same and is bolstered by the long-standing interpretation of the DMV and the legislature’s inaction before and after we decided *Odum*. The majority nonetheless ignores the statutory framework and relevant rules of interpretation, complicating our otherwise straightforward task. I dissent.

Judges GARCIA, WILSON, SINGAS and CANNATARO concur; Judge RIVERA dissents in an opinion; Judge TROUTMAN took no part.

Order affirmed, with costs.

[185 NE3d 483, 165 NYS3d 1]

ERSIN KONKUR, Appellant, v UTICA ACADEMY OF SCIENCE CHARTER SCHOOL, Defendant, and TURKISH CULTURAL CENTER AND HIGH WAY EDUCATION, INC., Respondent.

Argued January 6, 2022; decided February 10, 2022

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered March 13, 2020. The Appellate Division (1) reversed, on the law, insofar as appealed from, so much of an order of the Supreme Court, Oneida County (David A. Murad, J.), as had denied in part the motion of defendant High Way Education, Inc., doing business as Turkish Cultural Center, incorrectly sued as Turkish Cultural Center and High Way Education, Inc., to dismiss the complaint against it; (2) granted the motion in its entirety; and (3) dismissed the complaint against that defendant.

Konkur v Utica Academy of Science Charter Sch., 181 AD3d 1271, affirmed.

HEADNOTE

Labor — Hours and Wages — Prohibition against Wage Kickbacks — No Private Right of Action

Labor Law § 198-b, which prohibits wage “kickbacks,” does not contain an implied private right of action, as creation of such a right would be inconsistent with the legislative scheme. Because section 198-b contains no express private right of action, plaintiffs can seek civil relief in a plenary action based on a violation of the statute only if a legislative intent to create such a right of action is fairly implied in the statutory provisions and their legislative history. The question of whether creation of a right of action would be consistent with the legislative scheme typically turns on the legislature’s choice to provide one particular enforcement mechanism to the exclusion of others because it demonstrates that the legislature considered and decided what avenues of relief were appropriate. Here, the statutory scheme expressly provides two robust enforcement mechanisms, indicating that the legislature considered how best to effectuate its intent and provided the avenues for relief it deemed warranted.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d Labor and Labor Relations § 2981.
MCKINNEY’S, Labor Law § 198-b.
NY JUR 2d Employment Relations § 798.

ANNOTATION REFERENCE

See ALR Index under Kickbacks; Labor and Employment.

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POINTS OF COUNSEL

David G. Goldbas, Utica, for appellant. The Appellate Division erroneously dismissed plaintiff's cause of action for damages under Labor Law § 198-b because the statute is not exclusively criminal but rather allows a private right of action. (*Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Matter of New York County Lawyers' Assn. v Bloomberg*, 19 NY3d 712; *People v Anonymous*, 34 NY3d 631; *Gottlieb v Kenneth D. Laub & Co.*, 82 NY2d 457; *Truelove v Northeast Capital & Advisory*, 95 NY2d 220; *Epelbaum v Nefesh Achath B'Yisrael*, 237 AD2d 327; *Hartshorne v Roman Catholic Diocese of Albany, N.Y.*, 68 Misc 3d 849; *Desrosiers v Perry Ellis Menswear, LLC*, 30 NY3d 488; *Matter of Albany Law School v New York State Off. of Mental Retardation & Dev. Disabilities*, 19 NY3d 106; *Sciasscia v Fredburn Constr. Corp.*, 248 App Div 608.)

Evans Fox LLP, Rochester (*Matthew M. Piston* of counsel), for respondent. The Appellate Division, Fourth Department was correct to dismiss the third cause of action predicated upon Labor Law § 198-b. (*Cruz v TD Bank, N.A.*, 22 NY3d 61; *Sheehy v Big Flats Community Day*, 73 NY2d 629; *Stoganovic v Dinolfo*, 92 AD2d 729, 61 NY2d 812; *Chu Chung v New Silver Palace Rest., Inc.*, 272 F Supp 2d 314; *Martinez v Alubon, Ltd.*, 111 AD3d 500.)

OPINION OF THE COURT

GARCIA, J.

The issue presented in this appeal is whether Labor Law § 198-b, which prohibits wage kickbacks, contains an implied private right of action. We conclude that no such freestanding private right of action was intended by the legislature and therefore affirm.

Plaintiff Ersin Konkur, who worked as a math teacher at Utica Academy of Science Charter School, commenced the

instant action against the school and High Way Education, Inc., doing business as the Turkish Cultural Center, after the school failed to renew his contract. Plaintiff alleged that defendants Utica Academy and High Way were closely affiliated with Fetullah Gülen, a Turkish religious leader, and that plaintiff was coerced into making payments from his wages to High Way that were then funneled to Gülen's movement. Plaintiff's complaint asserted six causes of action against both defendants, including a claim that High Way and Utica Academy jointly demanded and collected, "on threat of [un]employment or demotion in employment, portions of [his] wage, salary, and . . . overtime," which constituted "illegal kickbacks" in violation of Labor Law § 198-b. Plaintiff sought damages pursuant to Labor Law § 198 arising from that alleged violation.

Supreme Court dismissed all causes of action against High Way save the section 198-b claim, holding that, while section 198-b does not contain an express private right of action, "[t]he current status of the law is not settled" and there is "case law that provides a private right of action does exist on kickbacks." The Appellate Division disagreed and reversed, dismissing the complaint against High Way in its entirety. The Court held that "the legislature did not intend to create a private right of action for violations of Labor Law § 198-b, inasmuch as the legislature specifically considered and expressly provided for enforcement mechanisms in the statute itself" (181 AD3d 1271, 1272 [4th Dept 2020] [citations, internal quotation marks and brackets omitted]). We granted plaintiff leave to appeal (35 NY3d 915 [2020]).

Labor Law § 198-b prohibits "kickbacks" by making it unlawful for any person to "request, demand, or receive" part of an employee's wages or salary on the condition that "failure to comply with such request or demand will prevent such employee from procuring or retaining employment" (Labor Law § 198-b [2]). Violation of the statute is a misdemeanor offense (*see* Labor Law § 198-b [5]). Labor Law § 218 also provides for administrative enforcement of section 198-b by the Commissioner of the Department of Labor. The statute empowers the Commissioner to grant affected employees restitution and liquidated damages in addition to imposing civil penalties.

Because section 198-b contains no express private right of action, "plaintiffs can seek civil relief in a plenary action based on a violation of the statute 'only if a legislative intent to cre-

ate such a right of action is fairly implied in the statutory provisions and their legislative history’ ” (*Cruz v TD Bank, N.A.*, 22 NY3d 61, 70 [2013], quoting *Carrier v Salvation Army*, 88 NY2d 298, 302 [1996]). As we recently reaffirmed in *Ortiz v Ciox Health LLC*, we apply a three-factor test to determine whether the legislative intent favors an implied right: “(1) whether the plaintiff is one of the class for whose particular benefit the statute was enacted; (2) whether recognition of a private right of action would promote the legislative purpose; and (3) whether creation of such a right would be consistent with the legislative scheme’ ” (37 NY3d 353, 360 [2021], quoting *Sheehy v Big Flats Community Day*, 73 NY2d 629, 633 [1989]). This test requires that “all three factors must be satisfied before an implied private right of action will be recognized’ ” (*Ortiz*, 37 NY3d at 360, quoting *Haar v Nationwide Mut. Fire Ins. Co.*, 34 NY3d 224, 229 [2019]). Application of this test to the statute here leads us to conclude that section 198-b affords plaintiff no private right of action.

Plaintiff satisfies the first factor as a member of the class of persons the statute was designed to protect. Plaintiff also satisfies the second factor, which requires an analysis of “‘what the Legislature was seeking to accomplish when it enacted the statute’ ” and a determination of “‘whether a private right of action would promote that objective’ ” (*Ortiz*, 37 NY3d at 363, quoting *Uhr v East Greenbush Cent. School Dist.*, 94 NY2d 32, 38 [1999]). The general intent of article 6 of the Labor Law is to “strengthen . . . the rights of employees” (*see Truelove v Northeast Capital & Advisory*, 95 NY2d 220, 223 [2000]), and the law was designed to protect employees coerced into kicking back part of the wages to which they are entitled (*see* Mem of Executive Secretary and Director of Research of Law Rev Commn, Bill Jacket, L 1939, ch 851 at 11). An individual plenary right would arguably advance this goal by allowing those affected by kickbacks an opportunity to vindicate this right individually, alongside the investigative and enforcement powers of the Labor Department and Attorney General.

The third factor, however, is the “most important and typically turns on the legislature’s choice to provide one particular enforcement mechanism to the exclusion of others” because it “demonstrates that the legislature considered and decided what avenues of relief were appropriate” (*Ortiz*, 37 NY3d at 360-362; *see also CPC Intl. v McKesson Corp.*, 70 NY2d 268 [1987]). Here, “‘[t]he Legislature specifically considered and expressly

provided for enforcement mechanisms' in the statute itself" (*Cruz*, 22 NY3d at 71, quoting *Mark G. v Sabol*, 93 NY2d 710, 720 [1999]; see also *Ortiz*, 37 NY3d at 362 [citing cases]; *Carrier*, 88 NY2d at 302-303; *CPC Intl.*, 70 NY2d at 276-277). As we have repeatedly explained,

“ ‘the Legislature has both the right and the authority to select the methods to be used in effectuating its goals, as well as to choose the goals themselves. Thus, regardless of its consistency with the basic legislative goal, a private right of action should not be judicially sanctioned if it is incompatible with the enforcement mechanism chosen by the Legislature’ ” (*Cruz*, 22 NY3d at 70-71, quoting *Sheehy*, 73 NY2d at 634-635).

It is on this factor, in the face of significant enforcement mechanisms provided for in the statute, that plaintiff's argument fails.

The available avenues for enforcement are clearly pronounced in the text and the statutory history. Section 198-b was first enacted within the Penal Law to address the prevalent issue of kickbacks in public works projects but was soon amended to apply in all employment contexts (see Rep of Comm on Legislation, NY County Lawyers' Assn, Bill Jacket, L 1934, ch 171 at 4; Mem of Comm on Crim Cts, Law and Pro of Assn of Bar of City of NY, Bill Jacket, L 1939, ch 851 at 7). Later amendment gave the Labor Commissioner administrative enforcement authority (see L 1989, ch 177, § 2). The provision was transferred to the Labor Law in 1965 as part of an overhaul of the Penal Law aimed at placing criminal statutes with their relevant civil subject matter counterparts (see Letter from Richard J. Bartlett, Chair, Temp St Commn on Rev of Penal Law and Crim Code, to Sol N. Corbin, Counsel to Governor, July 1, 1965, Bill Jacket, L 1965, ch 1030 at 4-5). As the Labor Department noted at the time, the change in the law's placement meant differences in how it was criminally enforced (see Mem of Off of Indus Commr, St Dept of Labor, Bill Jacket, L 1965, ch 1031 at 30). District attorneys typically prosecuted violations of the Penal Law, but as a Labor Law violation, prosecution is undertaken by the Attorney General upon referral from the Department following an investigation (*id.*).

A second enforcement mechanism was created in 1989 when the legislature added section 198-b to a list of violations in sec-

tion 218 for which the Labor Department could seek civil penalties, in addition to restitution, liquidated damages, interest, reinstatement of the employee's former position, and back pay (*see* Labor Law § 218 [1]). The Labor Department supported the change because, while the existing criminal enforcement was an important deterrent, "more flexible remedies [were] also necessary to ensure that restitution is, in fact, paid to employees and that they are reinstated to employment" (Letter from Barbara C. Deinhardt, Deputy Commr of Labor for Legal Affairs and Counsel, St Dept of Labor, to Evan Davis, Counsel to Governor, June 14, 1989, Bill Jacket, L 1989, ch 177 at 10). Specifically, section 218 gives the Commissioner authority to order "payment back to the employee of the amount of wages . . . unlawfully received plus liquidated damages in the amount of one hundred percent of unpaid wages" plus interest (Labor Law § 218 [1]). That section also provides for the imposition of civil penalties based on, among other factors, the size of the employer, the gravity of the violation, and the employer's history of violations (*id.*). Any employee, or the appropriate collective bargaining agent acting on his or her behalf, may file a complaint with the Commissioner (*see id.* §§ 196, 196-a [a]).

The statutory scheme therefore expressly provides two robust enforcement mechanisms, "indicating that the legislature considered how best to effectuate its intent and provided the avenues for relief it deemed warranted" (*Cruz*, 22 NY3d at 71). We therefore decline "to find another enforcement mechanism beyond the statute's already 'comprehensive' scheme" (*Sabol*, 93 NY2d at 720).¹

Nevertheless, plaintiff maintains that a private right of action for kickback violations should be inferred from section 198, which provides that "[i]n any action instituted . . . upon a wage claim by an employee . . . in which the employee prevails, the court shall allow such employee . . . reasonable attorney's fees" (*see* Labor Law § 198 [1-a]). Likewise, the dissent asserts that section 198 applies to any "action for wages" (dissenting op at 49). As we have made clear, the attorney's fees remedy provided for in section 198 (1-a) must relate to

1. The practical implications of the dissent's proposed approach to interpreting legislative intent, that because it is "paternalistic" for a statute to provide for enforcement only by the Attorney General or another executive branch official, we should infer a private right of action in *all* such statutes (*see* dissenting op at 53-54), would be contrary to our case law, to say the least (*see Ortiz*, 37 NY3d at 361-362; *Cruz*, 22 NY3d at 70-71).

“wage claims based upon violations of one or more of the substantive provisions of Labor Law article 6” (*Gottlieb v Kenneth D. Laub & Co.*, 82 NY2d 457, 459 [1993]). And it is Labor Law § 191 that “generally regulates payment of wages by employers and creates reciprocal rights of employees” (*id.* at 461). While at least one federal court has held that section 198-b qualifies as such a wage claim under section 198 (*see Chu Chung v New Silver Palace Rest., Inc.*, 272 F Supp 2d 314, 317 [SD NY 2003] [section 198 assumes employees may institute actions pursuant to the provisions of article 6, including section 198-b]), we disagree.

Where the legislature intended for an article 6 provision to be enforced individually, it expressly provided a private right of action (*see Kloppel v HomeDeliveryLink, Inc.*, 2019 WL 6111523, *3, 2019 US Dist LEXIS 199891, *7-8 [WD NY, Nov. 18 2019, No. 17-cv-6296-FPG-MJP] [“the Legislature carved out express private rights of action for many provisions of the (Labor Law), but not § 198-b, suggesting that the Legislature did not intend to do so”]; *Chan v Big Geyser, Inc.*, 2018 WL 4168967, *8, 2018 US Dist LEXIS 148291, *24 [SD NY, Aug. 30, 2018, No. 1:17-CV-06473 (ALC)] [same]). For example, in 2010, section 198 was amended to add a private right of action for certain notice requirements in section 195 (*see* L 2010, ch 564, § 7). A 2015 amendment clarified that section 194, which prohibits underpayment based on an employee’s status in a protected class, can be individually enforced and that employees may recover treble damages for willful violations (*see* L 2015, ch 362, § 2). As we noted in *Ortiz*, “[t]hat the legislature chose not to provide a similar remedy for [the provision at issue] is further evidence that it believed that the [statute’s] existing remedies would be adequate” (37 NY3d at 364). Contrary to the dissent’s characterization, we do not hold that “the nonexistence of an express right” standing alone is “determinative” (dissenting op at 51). In interpreting whether the legislature intended such a right despite that silence, the relevant point is that the legislature chose to provide for it in other provisions in this statutory scheme, but not for this one (*see Cruz*, 22 NY3d at 70-71). Rather than support an implied right of action here, analysis of the remedies provided for in section 198 further supports the conclusion that a plenary private

right of action for violations of section 198-b would be inconsistent with the comprehensive statutory enforcement scheme.²

Plaintiff has not demonstrated that section 198-b meets the requirements of our well-established test for determining whether a private right of action can be implied from the statute. Accordingly, the order of the Appellate Division should be affirmed, with costs.

RIVERA, J. (dissenting). Plaintiff Ersin Konkur worked as a teacher and claims that his employer and a third party threatened his employment unless he turned over part of the money he earned on the job. At first, plaintiff complied with the demands and paid up, but he eventually sued over this alleged shakedown. Our courts have long recognized that an employee, like plaintiff, may sue for wages withheld or involuntarily paid as a kickback, and that the perpetrator is additionally subject to criminal prosecution. With the enactment of the Labor Law, the legislature expanded the rights and protections of employees against wage theft and coercion and reaffirmed the prohibition on kickbacks in section 198-b (2). The only question on this appeal is whether plaintiff has the right to sue for conduct expressly outlawed and seek the broad range of relief available under the Labor Law, or whether his only recourse is to hope for a state official to act on his behalf. I conclude that the Labor Law cannot be read as the majority does—as a bar on an employee’s personal right to sue for extorted wages. I dissent.

I.

A.

A demand for a kickback payment on threat of adverse employment consequences or denial of employment is nothing

2. While the dissent claims that our “courts have, for decades, recognized” a common-law cause of action “to recover civilly wages extorted in kickback schemes” (dissenting op at 46 n 1), the only support provided for that sweeping proposition is one decision from this Court involving Labor Law § 198-c (dissenting op at 46, citing *People v Trapp*, 20 NY2d 613 [1967] [upholding a criminal sentence of employer who failed to contribute to pension funds]) and a City Court breach of contract decision from 1940 (dissenting op at 46, citing *McNeill v Hacker*, 21 NYS2d 432 [NY City Ct 1940]). We point the dissent to the only state court decision to date that has permitted an individual claim for recovery under section 198-b, but note that it did so in a case where defendants did not challenge plaintiff’s entitlement to a private right of action (see *Martinez v Alubon, Ltd.*, 111 AD3d 500 [1st Dept 2013]).

less than unlawful extortive conduct and a scourge on the workplace. The worker who is extorted in this fashion has a private action right of action against the perpetrators (*see e.g. People v Trapp*, 20 NY2d 613, 616 [1967] [noting defendants who extort kickbacks “must respond civilly”]; *see also McNeill v Hacker*, 21 NYS2d 432, 435 [NY City Ct 1940] [citing the Penal Law’s anti-kickback provision as evidence of a broader legislative intent justifying civil recovery of wages improperly withheld in a kickback scheme]).¹ An employee may also file a complaint with the Commissioner of Labor (*see Labor Law* § 196-a [a]).

In addition to private civil litigation and regulatory oversight, the perpetrator of a kickback demand has historically been subject to criminal prosecution by the State, initially, for the crime of extortion (*see former Penal Law* §§ 850, 851). The more targeted criminalization of “kickback” schemes targeting workers and job applicants dates to 1934, with the enactment of Penal Law § 962 (*see former Penal Law* § 962 [2]; *People v Sherman*, 201 Misc 780 [Ct Gen Sess, NY County 1951]; *People v Fay*, 182 Misc 358 [Sup Ct, Orange County 1943]). According to the legislative history, then-existing Penal Law and Labor Law provisions had proved ineffective in addressing what had become widespread conduct in the trades and its adverse impacts, especially its destabilizing and corrosive effects in the public works sector (*see Letter from NY St Fedn of Labor*, Mar. 29, 1934, Bill Jacket, L 1934, ch 171 at 6 [explaining how “the so-called ‘kick-back’ system . . . has become prevalent on public work in some sections of the state”]; *Letter from Assembly Introducer Ernest Lappano*, Apr. 6, 1934, Bill Jacket, L 1934, ch 171 at 8 [“By the use of the ‘kick back’ unscrupulous contrac-

1. The majority resists the import of these cases, suggesting that they are an unavailing attempt to demonstrate a long-standing private right of action *under the Labor Law* (*see majority op* at 45 n 2). But, of course, it is obvious from my statement and citations that these cases instead show that courts have, for decades, recognized a cause of action at common law to recover civilly wages extorted in kickback schemes. Notably, and certainly quite unintentionally, the majority’s citation to *Martinez v Alubon, Ltd.* (111 AD3d 500 [1st Dept 2013]) helpfully illustrates that New York courts have *also* identified a private right of action under section 198-b of the Labor Law. That the *Martinez* defendants did not challenge plaintiff’s entitlement to a private right of action is of no moment, as the First Department made clear by its citation to *Chu Chung v New Silver Palace Rest., Inc.* (272 F Supp 2d 314 [SD NY 2003]) that it recognized a cause of action under section 198-b (*see* 111 AD3d at 501). Whether or not defendants contested the existence of that cause of action is immaterial given that the First Department’s determination was necessarily a question of law.

tors have been able to underbid other contractors who do not engage in such practices and pay the prevailing rate of wages”]). Reports from the time reveal that kickbacks were a significant drain on workers and the economy generally (*see e.g. Raid Opens Drive on Market Racket*, NY Times, Jan. 24, 1934 at 19 [describing how one “racket . . . (took) \$100,000 a year from workers”—at the height of the Great Depression—by requiring them to “‘kick back’ 20 per cent of their wages”]). The bill’s introducer, Assemblyman Ernest Lappano, urged its passage and noted that it would “add[] strength to the provisions of the Labor Law,” explaining that the

“recent exposure of the prevalent practice commonly known as the ‘kick back’ justifies the enactment of a law such as this. Persons engaged in public works should be protected from unscrupulous contractors who attempt to evade the provisions of the Labor Law . . . While threats to have a person discharged unless the worker pays a certain sum of money, have been held to constitute extortion under Section 851 of the Penal Law . . . , the section is not broad enough to include threats to the effect that failure to comply with the request or demand will prevent the workman from procuring employment” (Letter from Assembly Introducer Ernest Lappano, Apr. 6, 1934, Bill Jacket, L 1934, ch 171 at 7-8).

In 1965, the language of section 962 of the Penal Law was moved to the Labor Law, where it remains today as section 198-b (2) and reads,

“Whenever any employee who is engaged to perform labor shall be promised an agreed rate of wages for his or her services, be such promise in writing or oral, or shall be entitled to be paid or provided prevailing wages or supplements pursuant to article eight or nine of this chapter, it shall be unlawful for any person, either for that person or any other person, to request, demand, or receive, either before or after such employee is engaged, a return, donation or contribution of any part or all of said employee’s wages, salary, supplements, or other thing of value, upon the statement, representation, or understanding that failure to comply with such request or demand will prevent such employee from

procuring or retaining employment. Further, any person who directly or indirectly aids, requests or authorizes any other person to violate any of the provisions of this section shall be guilty of a violation of the provisions of this section.”

B.

The Labor Law’s overarching goal is to protect employees from wage law violations (*see generally Cammon v City of New York*, 95 NY2d 583, 590 [2000]; *see also P & L Group v Garfin- kel*, 150 AD2d 663, 664 [2d Dept 1989] [“Labor Law §§ 197 and 198 reflect a strong legislative policy aimed at protecting an employee’s right to wages earned”]; *see also Chu Chung v New Silver Palace Rest., Inc.*, 272 F Supp 2d 314, 317 [SD NY 2003] [(T)he New York Labor Law reflects ‘a strong legislative policy aimed at redressing the power imbalance between employer and employee’ ”], quoting *Saunders v Big Brothers*, 115 Misc 2d 845, 848 [Civ Ct, NY County 1982]). Article 6 of the Labor Law, entitled “Payment of Wages,” “sets forth a comprehensive set of statutory provisions enacted to strengthen and clarify the rights of employees to the payment of wages” (*Truelove v North- east Capital & Advisory*, 95 NY2d 220, 223 [2000]). Indeed, the strengthening of employees’ rights to timely and fair payment of their wages was the “over-all objective” of the legislature in enacting article 6 (*see Gottlieb v Kenneth D. Laub & Co.*, 82 NY2d 457, 461 [1993]), which sought to “provide increased wage protection to employees” (*id.*, quoting Mem of Indus Commr, St Dept of Labor, June 3, 1966, at 4, Bill Jacket, L 1966, ch 548). Section 198-b is one among these provisions and as a consequence sets forth the substantive right of an employee to wages and supplements, undiminished by kickbacks. In other words, section 198-b (2) protects employees from a specific form of wage theft.

Article 6 also provides broad remedies for violations of its provisions. Specifically, section 198 (1-a) of the Labor Law, entitled “Costs, remedies,” provides:

“In any action instituted in the courts upon a wage claim by an employee or the commissioner in which the employee prevails, the court shall allow such employee to recover the full amount of any under- payment, all reasonable attorney’s fees, prejudg- ment interest as required under the civil practice

law and rules, and, unless the employer proves a good faith basis to believe that its underpayment of wages was in compliance with the law, an additional amount as liquidated damages equal to one hundred percent of the total amount of the wages found to be due, except such liquidated damages may be up to three hundred percent of the total amount of the wages found to be due for a willful violation of section one hundred ninety-four of this article.”

Section 198 (3) further provides that “[a]ll employees shall have the right to recover full wages, benefits and wage supplements and liquidated damages accrued during the six years previous to the commencing of such action, whether such action is instituted by the employee or by the commissioner.” The language of section 198 is clear and unambiguous: in any “action for wages,” the employee may recover wages, liquidated damages, costs and attorney’s fees. An employee may be further assisted by the Commissioner of Labor, who, as head of the Department of Labor, is charged with enforcing the wage and hour laws (*see* Labor Law § 198 [1-a]). In addition to the Commissioner’s specific grants of power, the Commissioner may pursue these same remedies on the employee’s behalf, as an assignee (*id.* § 198 [1] [“No assignee of a wage claim, except the commissioner, shall be benefited by this provision”]). In other words, the Commissioner may so act only if the employee assigns the Commissioner their personal right of action.

As I have described, employees have a private right of action to recover unlawfully withheld wages, as provided in article 6, and employees like plaintiff have a private right of action against an employer or third party for money earned but taken as a kickback in violation of section 198-b (2) (*see* I.A., *supra*). The purpose and language of the Labor Law and article 6 establish the legislature’s unwavering commitment to the broadest enforcement of an employee’s rights to fairly earned wages under the law by providing for a private right of action, the remedies allowed under section 198, and continued criminalization of kickbacks.²

2. The majority attempts to narrow the scope of protections afforded to employees in article 6 by suggesting that section 191 contains the entirety of privately cognizable claims (*see* majority op at 43-44, citing *Gottlieb*, 82 NY2d at 459). A cursory review of section 191 disproves that argument, as that section is concerned with claims arising out of the frequency and promptness of

(n. cont’d)

II.

The analysis should end there, but the majority takes a different path, looking for what is missing rather than what is present in article 6. The majority, relying on two federal district court decisions, concludes that a private right of action can only exist if expressly recognized in section 198-b (2) (*see* majority op at 44). As the argument goes, because violation of that section is a misdemeanor, and state officials have civil and criminal enforcement authority against the perpetrators of kickbacks, the legislature specifically proscribed a private right of action (*see id.* at 42-43). In fact, the Labor Law recognizes substantive rights to recover wages, which include a private right of action for kickbacks in section 198-b (2).

Given the simple fact that an employee has a Labor Law claim for unlawfully withheld or seized wages, including the particular brand of wage theft known as a kickback, there is no need to consider the existence of a right of action by implication (*see Cruz v TD Bank, N.A.*, 22 NY3d 61, 70 [2013] [explaining that, only “(i)n the absence of an express private right of action,” will a court determine whether a private right of action “is fairly implied in the statutory provisions and their legislative history”]).³ In any event, assuming that section 198-b (2) is not sufficiently “express” to establish the legislative intent in favor of a private right of action, the majority’s application of our jurisprudence on implied rights is flawed. First, the majority places undue emphasis on the fact that there are express rights of action in *other* provisions of the Labor Law (*see* majority op at 44-45). As an initial matter, this Court’s jurisprudence

wage payments. Indeed, the majority’s chosen quotation from *Gottlieb* supports my reading of the statute, as the Court in that case spoke of “the substantive *provisions* of Labor Law article 6,” in the plural (82 NY2d at 459 [emphasis added]). If it were otherwise, the Court would have had no reason to note that “plaintiff did not plead any claim under Labor Law § 191 or any other substantive provision of article 6” (*id.* at 461 n 2 [emphasis added]). Moreover, section 198’s reference to “any action instituted upon a wage claim” does not even mention section 191. And, finally, one need only look at the majority’s own reference to section 194, which it holds out as an example of an article 6 provision containing an express right of action, to see that section 191 is not the exclusive source of rights that may be privately enforced by employees.

3. The majority summarily concludes that plaintiff satisfies the first two factors for determining whether a private right may be fairly implied and focuses its analysis on the third factor: i.e., whether creation of such a right would be consistent with the legislative scheme (*see* majority op at 41). Therefore, I limit my analysis to the majority’s application of that factor here.

outlining when a private right of action may be found necessarily means that the absence of such an express right is not dispositive (*Cruz*, 22 NY3d at 70). The majority would render our case law meaningless if the nonexistence of an express right is determinative. Second, the provisions invoked by the majority as proof of the legislature's intent to affirmatively eliminate a private right of action for the anti-kickback provision do not, in fact, support that conclusion.

The majority's citation to section 195 is wholly unpersuasive. That section, entitled "Notice and record-keeping requirements," imposes an obligation on employers to provide workers with written information about wages, tips, and various non-wage related matters. By its terms, a violation of this section would not give rise to a worker's wage claim because the failure to provide the information in the manner required by statute and the Commissioner of Labor would not in itself result in loss of wages. Thus, it was necessary for the legislature to provide remedies for employer violations. That the legislature's 2010 amendment to section 198—which "[p]rovide[d] statutory damages and a private right of action in cases where an employer fails to provide disclosures of wage rates or paystubs (as required under Section 195)" (Senate Introducer's Mem in Support, Bill Jacket, L 2010, ch 564 at 6)—created a wholly new cause of action, entirely distinct from existing wage claims under the Labor Law, was heavily emphasized by those who opposed the amendment (*see e.g.* Letter from Food Indus Alliance of NY St, Inc., Dec. 3, 2010, Bill Jacket, L 2010, ch 564 at 14 ["This legislation . . . exposes (employers) to new and increased civil and criminal penalties, some of which apply *even where the employee was paid the correct salary*" (emphasis added)]).

As for its second example of section 194, the majority misunderstands the purpose of that provision. Section 194 of the Labor Law identifies limits on claims for wage discrimination based on sex.⁴ Specifically, this section circumscribes sex-based wage disparity claims in certain circumstances by, for

4. It is no surprise that the legislature specifically sought to address this type of pay disparity, given that women continue to be underpaid relative to men performing comparable work (*see* United States Department of Labor, *Earnings Disparities by Sex*, <https://www.dol.gov/agencies/ofccp/about/data/earnings/gender> [last visited Jan. 26, 2022] [finding that, nationally, women earn \$0.76 for every \$1.00 a man earns]; Ariane Hegewisch et al., Institute for Women's Policy Research, *The Gender Wage Gap in New York State and Its Solutions* [2011] [noting that the median New York female wage earner

(n. cont'd)

example, precluding claims for wage differentials based on seniority and merit pay systems, and other non-sex-based bona fide factors consistent with business necessity. The legislature's 2015 amendment of section 194 states that "[n]othing in this section shall be construed to limit the rights of an employee provided under any other provision or collective bargaining agreement" (*see* Labor Law § 194 [4] [e]). The amendment, therefore, clarified that the limitations set forth in section 194 have no application to other causes of action predicated on sex discrimination in wages.⁵ While section 194 allows for some lawful wage disparities, there is no permissible form of wage kickback under section 198-b, which states unambiguously that all kickbacks are unlawful. Thus, the absence of similar language in section 198-b simply reflects that the prohibition on kickbacks is absolute—as is the right to recover wages extorted thereby.

Further, and contrary to the majority's conclusion, the fact that the Attorney General and the Commissioner of Labor have enforcement authority under the Labor Law does not mean that the legislature foreclosed a private right of action in section 198-b (2) or that recognizing such a right would be at odds with the statutory scheme. As the majority notes, broader law enforcement further discourages kickbacks (majority op at 41), and a private right of action in no way undermines state efforts to punish bad actors. On the contrary, the private right of action is intended to work *with* law enforcement by state actors to impose a heavy deterrent on extortive conduct in the workplace—which is, fundamentally, the purpose of the legislative scheme established in article 6 (*see AHA Sales, Inc. v Creative Bath Prods., Inc.*, 58 AD3d 6, 16-17 [2d Dept 2008] [explaining that, because article 6 "contains language indicating that wage claims asserted by individuals, as well as by the Commissioner, are permissible," a private right of action under section 191-b is entirely concordant with enforcement by public officials]). For instance, article 6 contemplates that the Com-

earns 82.8% of what her male counterpart earns], available at <https://iwpr.org/wp-content/uploads/2020/12/C390.pdf>).

5. The 2015 amendment could not possibly have "add[ed]" a private right of action (*see* majority op at 44), given that workers have been understood to have a right of action under the Labor Law's equal pay provisions for decades before the amendment (*see e.g. Lanzer v Fairchild Publ.*, 46 AD2d 644, 644 [1st Dept 1974]; *Harrison v Salomon Bros.*, 156 Misc 2d 341, 342 [Sup Ct, NY County 1992]; *Wheeler v Citizens Telecom. Co. of N.Y., Inc.*, 18 AD3d 1002, 1004 [3d Dept 2005]).

missioner will enforce the Labor Law with an employee's consent. Indeed, for the Commissioner to exercise full authority to recover lost wages and obtain other relief available under section 198, an employee must assign their claim to the Commissioner (*see* Labor Law § 198 [1]; *see also AHA Sales, Inc.*, 58 AD3d at 16 [noting that section 198 repeatedly contemplates wage actions by both the employee and the Commissioner]). The statutory scheme therefore presumes that the right to recover unlawfully denied wages belongs, in the first instance, to the employee, who may choose to rely on the Commissioner to vindicate that right (*see AHA Sales, Inc.*, 58 AD3d at 16-17).⁶ A private right of action permitting the recovery of wages extorted via a kickback is therefore wholly concordant with the purpose and structure of article 6, and there is plainly no merit to the majority's tacit suggestion that a private right of action would be "incompatible" with enforcement by public officials (*see* majority op at 42, citing *Cruz*, 22 NY3d at 70-71).

III.

In addition to the flaws I have described in the majority analysis, the majority view also fails to persuade for the simple reason that it leads to absurd results. If the majority is correct, then an employee coerced into paying a kickback out of their wages would have no recourse but to hope that the Attorney General or the Commissioner of Labor will choose to pursue the individual employee's case. One would have to hope, too, that such state officials would act expeditiously, since most employees depend on timely payment of every cent of their wages (*cf.* Letter from Commr Colleen C. Gardner, Dept of Labor, Dec. 10, 2010, Bill Jacket, L 2010, ch 564 at 10 [citing "estimates that every year, employers improperly underpay low-wage workers in New York City alone by more than \$1 billion. These substantial underpayments hurt working (people) who, despite their efforts, are left with even less income to pay their rent, buy groceries, pay heating bills, and otherwise provide for their families"])). The legislature could not have intended such a paternalistic application of the Labor Law, a law intended to

6. Indeed, were employees unable to privately vindicate their rights under the Labor Law to be free from exploitative kickback schemes and were, instead, forced to rely solely on the ability and interest of public officials to recover their extorted wages, the enforcement mechanisms provided under article 6 could hardly be called "significant" (*see* majority at 42), "robust" (*id.* at 43), or "comprehensive" (*id.* at 44-45).

empower employees and level the uneven employment relationship that renders employees vulnerable to exploitative tactics like kickback demands (*see Saunders*, 115 Misc 2d at 848 [describing the Labor Law’s “strong legislative policy aimed at redressing the power imbalance between employer and employee”]).⁷

If further persuasion is required, consider this hypothetical: You enter an agreement to regularly clean someone’s private building, top to bottom, for \$10 an hour. After a cleaning that takes you 100 hours, you show up on the first agreed payment day and your employer pays you for 80 hours and keeps the rest, saying it is your “gift” to the employer for hiring you and maintaining you on the payroll. This is repeated over several months and pay periods. According to the majority, you cannot sue under the Labor Law. And if state officials do not act against the employer, you have no recourse. You did the work, but you will not get the full wages you’re owed, nor the additional remedies the legislature allows. Compare the employee who has the same arrangement and worked the same hours, but the employer says that, although having previously agreed to a wage of \$10 an hour, they are only going to pay the employee \$8 an hour. Presumably, that is the type of wage claim that even the majority would recognize is actionable under the Labor Law by the employee. There is no rational basis for treating you and the other employee differently. Certainly, if your wages were extorted via kickback, you would not be comforted by the fact that the Attorney General and Commissioner *might* enforce the Labor Law on your behalf.

7. The majority mischaracterizes my analysis when it suggests that my proposed approach would imply a private right of action whenever a statute provides for enforcement by a public official (*see* majority op at 43 n 1). Rather, I conclude that a private right of action is expressly provided by section 198-b (1) and that, even if that were not the case, implying one would accord with the statutory scheme and further the legislative intent behind article 6 by working in tandem with enforcement by public officials. Thus, the majority’s attempt at distraction fails, as my analysis is grounded in legal doctrine and established rules of interpretation. Tellingly, the majority does not try to defend the obvious result of its misapplication of the third *Sheehy* factor, which leaves an employee who has been extorted out of their wages with no private recourse under the Labor Law. The majority’s approach flatly contradicts the legislative intent underlying the statute, which is meant to “redress[] the power imbalance between employer and employee” (*Saunders*, 115 Misc 2d at 848), and forces exploited employees to rely on the beneficence and limited resources of public officials in order to recover the wages they have earned. “Paternalistic” is a fitting descriptor for this sad consequence of today’s decision.

Wage theft is wage theft, no matter how the scheme is structured, and an employee is entitled to be paid for their labor in accordance with the wage laws. When an employer violates those laws, they are liable for a wage claim and other remedies provided by article 6. If they demanded a kickback, then they are also subject to criminal prosecution for a misdemeanor.

IV.

Labor Law § 198-b (2) prohibits kickbacks and recognizes an employee's right to payment of wages free of such coercive conduct. An employee who asserts this right is entitled to seek the full range of remedies provided in section 198 in a wage action premised on a kickback demand. I read article 6 as expressly providing this substantive right. But even if the right is not express, there is no legal obstacle to recognizing an implied private right of action. Certainly, there is no basis to adopt the majority's extreme view that the legislature not only failed to include an express right but further intended to prohibit such a right by implication, simply because of the supposed existence of express rights of action in other provisions of the Labor Law. There is no sense to that analysis.

Therefore, I would reverse the Appellate Division, deny the motion to dismiss, and permit plaintiff's action to proceed.

Order affirmed, with costs.

Chief Judge DiFiore and Judges Singas and Cannataro concur; Judge Rivera dissents in an opinion, in which Judge Wilson concurs; Judge Troutman took no part.

[185 NE3d 497, 165 NYS3d 15]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v ANGELO BURGOS, Appellant.

Argued February 9, 2022; decided March 17, 2022

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 5, 2021. The Appellate Division affirmed (1) a judgment of the Supreme Court, New York County (Ruth Pickholz, J.), which had convicted defendant, after a nonjury trial, of assault in the first degree (four counts); and (2) an order of that Supreme Court which had denied defendant's CPL 440.10 motion to vacate the judgment.

People v Burgos, 190 AD3d 431, affirmed.

HEADNOTES**Attorney and Client — Disciplinary Proceedings — Reciprocal Discipline**

1. An attorney's suspension from practice by the United States Court of Appeals, Second Circuit, does not render the attorney constructively unlicensed to practice in New York while reciprocal disciplinary proceedings are pending in the Appellate Division. Attorneys who are the subject of disciplinary proceedings, including reciprocal disciplinary proceedings, are entitled to due process, which includes notice and an opportunity to be heard. Attorneys may raise defenses and mitigating evidence in opposition to the imposition of reciprocal discipline. Thus, the imposition of reciprocal discipline is not a foregone conclusion, nor is the nature or length of any reciprocal discipline imposed certain. "Constructively suspending" an attorney from criminal practice in New York where he or she has been suspended or disbarred by a foreign jurisdiction for serious misconduct would deprive the attorney of the due process to which they are entitled in pending reciprocal disciplinary proceedings.

Attorney and Client — Disciplinary Proceedings — Disclosure of Suspension from Practice by Federal Circuit Court and Pending Reciprocal Disciplinary Proceedings in New York

2. In a criminal prosecution in which defense counsel failed to inform defendant of his suspension from practice by the United States Court of Appeals, Second Circuit and pending reciprocal disciplinary proceedings in New York, the Court of Appeals declined to create a rule invariably requiring attorneys to affirmatively disclose the imposition of foreign discipline or pending reciprocal discipline proceedings to their clients in every case, where no court order or ethical rule requires such disclosure. The Second Circuit's suspension order required counsel to disclose the suspension to clients with cases pending in that court, and its supplemental order required him to inform New York disciplinary authorities of the suspension, which he did. No

statute, court order, or New York Rule of Professional Conduct affirmatively required defense counsel to disclose the Second Circuit's suspension or the pending reciprocal disciplinary proceedings in New York to defendant. In the absence of such, the pending reciprocal disciplinary proceedings were confidential until they concluded. Furthermore, the imposition of reciprocal discipline was not automatic, nor was it inevitable that the Appellate Division would also impose the sanction of suspension. The Appellate Division suspended defense counsel from the practice of law in New York approximately two weeks after the judgment was entered upon the imposition of sentence, and counsel was therefore licensed to practice in New York during the pendency of the criminal action against defendant.

Crimes — Right to Counsel — Effective Representation — Counsel's Failure to Disclose Suspension from Practice by Federal Circuit Court and Pending Reciprocal Disciplinary Proceedings in New York

3. In a criminal prosecution, defendant did not sustain his burden of demonstrating, based on the evidence, the law, and the circumstances of his particular case, viewed in totality and as of the time of the representation, that defense counsel's performance, including his failure to disclose his suspension from practice by the United States Court of Appeals, Second Circuit, and pending reciprocal disciplinary proceedings in New York, deprived defendant of meaningful representation. An attorney's failure to disclose the imposition of foreign discipline and pending reciprocal disciplinary proceedings can adequately be assessed in the context of an ineffective assistance of counsel claim. The aspects of counsel's performance about which defendant complained were either refuted by the record or consistent with the strategic decisions of a reasonably competent attorney and did not prejudice defendant. Defendant had not demonstrated that the neglect of cases that led to the Second Circuit's discipline was present in counsel's representation of defendant. Furthermore, defendant had not demonstrated that the imposition of reciprocal discipline in New York impacted counsel's representation of him or prejudiced him because counsel was a licensed attorney in New York during the pendency of defendant's criminal proceedings. Defendant was not deprived of the attorney of his choice solely due to the imposition of foreign discipline.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Attorneys at Law §§ 29, 37, 38, 66, 105; AM JUR 2d Criminal Law §§ 1077, 1078, 1111–1113.
CARMODY-WAIT 2d Officers of Court §§ 3:260, 3:280, 3:313, 3:325, 3:336; CARMODY-WAIT 2d Right to Counsel §§ 184:101, 184:151, 184:152, 184:161, 184:162, 184:168.
LAFAYE, ET AL., CRIMINAL PROCEDURE (4th ed) §§ 11.7, 11.10.
NY JUR 2d Attorneys at Law §§ 369, 402, 510, 512; NY JUR 2d Criminal Law: Procedure §§ 747, 748, 879.

ANNOTATION REFERENCE

See ALR Index under Attorneys; Discipline and Disciplinary Actions.

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POINTS OF COUNSEL

Clayman Rosenberg Kirshner & Linder LLP, New York City (Wayne E. Gosnell, Jr., Brian D. Linder and Thomas W. Dollar of counsel), for appellant. I. At the time of Angelo Burgos's trial, his trial counsel was no longer the licensed counsel to which appellant was entitled. (*Glasser v United States*, 315 US 60; *United States v Novak*, 903 F2d 883; *Solina v United States*, 709 F2d 160; *Bellamy v Cogdell*, 974 F2d 302; *People v Lopez*, 298 AD2d 114, 99 NY2d 616; *People v Badia*, 159 AD2d 577, 76 NY2d 784; *People v Taussi-Casucci*, 57 AD3d 209, 12 NY3d 788; *Matter of Perez-Olivo*, 33 AD3d 141; *People v Watson*, 213 AD2d 996; *People v Rong He*, 34 NY3d 956.) II. Appellant was deprived of his right to make an informed choice in exercising his constitutional right to choose his counsel when trial counsel hid his suspension by the United States Court of Appeals for the Second Circuit from appellant and the trial court. (*People v Griffin*, 20 NY3d 626; *Wheat v United States*, 486 US 153; *Caplin & Drysdale, Chartered v United States*, 491 US 617; *Matter of Abrams [John Anonymous]*, 62 NY2d 183; *People v Sougou*, 26 NY3d 1052; *Brady v United States*, 397 US 742; *People v Prescott*, 21 NY3d 925; *People v Wandell*, 75 NY2d 951; *People ex rel. Karlin v Culkin*, 248 NY 465; *People v Carncross*, 14 NY3d 319.)

Alvin L. Bragg, Jr., District Attorney, New York City (*Sheila L. Bautista* and *Beth Fisch Cohen* of counsel), for respondent. I. Defendant received effective assistance of counsel at trial. (*Strickland v Washington*, 466 US 668; *People v Turner*, 5 NY3d 476; *Padilla v Kentucky*, 559 US 356; *People v Clark*, 28 NY3d 556; *People v Arjune*, 30 NY3d 347; *People v Lopez-Mendoza*, 33 NY3d 565; *People v Benevento*, 91 NY2d 708; *People v Alvarez*, 33 NY3d 286; *People v Mitchell*, 21 NY3d 964; *People v Nelson*, 7 NY3d 883.) II. Because defense counsel was licensed to practice in the State of New York at the time of defendant's trial, his suspension in the United States Court of Appeals for the Second Circuit did not amount to constructive suspension

tantamount to a per se right to counsel violation. (*People v Felder*, 47 NY2d 287; *Solina v United States*, 709 F2d 160; *United States v Novak*, 903 F2d 883; *Elfgeeh v United States*, 681 F3d 89; *Guerrero v United States*, 186 F3d 275; *Bellamy v Cogdell*, 974 F2d 302; *Matter of Dondi*, 63 NY2d 331; *Erie County Water Auth. v Western N.Y. Water Co.*, 304 NY 342; *Matter of Axtell*, 257 NY 210; *Matter of Kelly*, 23 NY2d 368.)

III. The trial court properly denied defendant's CPL 440.10 motion even assuming defense counsel was silent regarding his second circuit suspension. Defendant's allegation that he was deprived of his choice of counsel was not presented to the 440.10 court and is not a legally cognizable claim. (*People v McLean*, 15 NY3d 117; *People v Kinchen*, 60 NY2d 772; *United States v Brumer*, 528 F3d 157; *People v Arroyave*, 49 NY2d 264; *People v Gomberg*, 38 NY2d 307; *People v Wandell*, 75 NY2d 951; *People v Prescott*, 21 NY3d 925; *People v Carncross*, 14 NY3d 319; *United States v Hersh*, 15 F Supp 2d 1310.)

OPINION OF THE COURT

TROUTMAN, J.

Defendant contends that his retained attorney's suspension from practice by the United States Court of Appeals, Second Circuit, rendered the attorney constructively unlicensed to practice in New York while reciprocal disciplinary proceedings were pending in the Appellate Division. Alternatively, defendant contends that his attorney's failure to inform him of the suspension and pending reciprocal disciplinary proceedings in New York deprived him of his constitutional right to choice of counsel. We reject those contentions.

I.

Defendant was charged by indictment with two counts of gang assault in the first degree and four counts of assault in the first degree for his participation in a March 2012 attack involving two victims. The assault was captured on surveillance video. In November 2013, four months after his arraignment, defendant substituted his trial counsel with Andres Aranda, Esq., a retained attorney who had obtained favorable results for him in prior criminal proceedings.

On May 15, 2015, while Aranda was representing defendant in the pending New York criminal proceedings, the Second Circuit publicly reprimanded Aranda and suspended him from the practice of law before that court for a period of 18 months, effective 28 days from the date of the Second Circuit decision

(see *In re Aranda*, 789 F3d 48 [2d Cir 2015]).¹ The Second Circuit's order imposing discipline upon Aranda cited seven appeals before that court in which Aranda's conduct had been deficient (see *id.* at 50-52). The Second Circuit also noted instances of Aranda's misconduct in federal district court, as well as his disciplinary history in New York and failure to adequately respond to the Second Circuit's inquiry, in concluding that the court had "little assurance that [Aranda] can conform his conduct to expected professional norms" (*id.* at 52-59). The court's suspension order required Aranda to inform all of his clients with pending cases before the Second Circuit of his suspension so that they could obtain new counsel (see *id.* at 60). In a supplemental order, the Second Circuit required Aranda to disclose the court's decision and opinion "to all courts and bars of which he is currently a member, and as required by any bar or court rule or order."

Aranda disclosed the discipline to the Attorney Grievance Committee of the First Judicial Department by letter dated July 10, 2015.² Meanwhile, defendant's state criminal proceedings were ongoing. On July 30, 2015, defendant waived his right to a jury trial, and a bench trial commenced that day. The court rendered its verdict on September 16, 2015, acquitting defendant of the gang assault counts but convicting him on the four counts of first-degree assault. Defendant was sentenced on February 5, 2016. Aranda represented defendant throughout those proceedings, to the entry of the judgment.

On February 18, 2016, approximately two weeks after defendant was sentenced, the Appellate Division imposed reciprocal discipline on Aranda and suspended him from the practice of law in New York for 18 months (see *Matter of Aranda*, 138 AD3d 142 [1st Dept 2016]). The suspension was imposed "nunc pro tunc to May 15, 2015," the date of the Second Circuit's suspension order (*id.* at 150). After recounting the disciplinary proceedings before the Second Circuit, the Appellate Division rejected Aranda's arguments that the Second Circuit was not a

1. The Second Circuit's opinion was amended on May 22, 2015, but the court clarified that the deadlines it imposed were to be calculated using the original issuance date of May 15, 2015 (see *id.* at 48 n 1).

2. At the time, New York's reciprocal discipline rule required attorneys to "promptly" inform the New York disciplinary authorities of discipline imposed by a foreign jurisdiction (see former Rules for Attorney Disciplinary Matters [22 NYCRR] § 603.3 [d]). The current rule requires disclosure within 30 days after the foreign discipline is imposed (see 22 NYCRR 1240.13 [d]).

“foreign jurisdiction” within the meaning of the reciprocal disciplinary rules and further observed that none of the defenses to reciprocal discipline were applicable (*see id.* at 143-149). The Court stated that it gave “significant weight to the sanction imposed” by the foreign jurisdiction and concluded that an 18-month suspension was in accord with the Court’s “precedents involving similar misconduct” (*id.* at 149-150).

Defendant thereafter moved pursuant to CPL 440.10 to vacate the judgment.³ As relevant here, defendant contended that his conviction was unconstitutionally obtained because he was denied the effective assistance of counsel, in part because Aranda failed to disclose to defendant that during the pendency of defendant’s criminal proceedings, Aranda had been suspended from practice before the Second Circuit. In support of his motion, defendant contended that Aranda was required to inform him of the Second Circuit’s suspension order so that defendant could make an informed decision as to whether to continue with Aranda as his attorney. Defendant asserted in an affidavit that Aranda never informed him of the Second Circuit’s suspension, and that if he had known of that discipline, he “would n[o]t have let [Aranda] continue as [his] attorney.” Defendant further argued that Aranda neglected defendant’s case, consistent with Aranda’s neglect of client matters in the Second Circuit. The People opposed the CPL 440.10 motion.

Supreme Court denied defendant’s motion to vacate the judgment. The court reasoned that Aranda had no legal or ethical duty to inform defendant that he was suspended by the Second Circuit, and that Aranda was still an attorney in good standing in New York when he represented defendant. The court rejected defendant’s remaining contentions regarding Aranda’s allegedly defective performance.⁴

On appeal, the Appellate Division considered together defendant’s direct appeal from the judgment and his appeal by permission from Supreme Court’s order denying his CPL

3. Defendant’s motion pursuant to CPL 440.20 to set aside the sentence as illegal was granted on consent and he was resentenced accordingly. That motion is not at issue on this appeal.

4. The court specifically rejected as meritless defendant’s claim that defense counsel was not aware of the accomplice’s cooperation agreement to testify against defendant before defendant waived his right to a jury trial. Although the court granted defendant a hearing as to whether defendant was prejudiced by Aranda’s mistaken belief as to defendant’s predicate offender status, the court ultimately concluded that there was no prejudice.

440.10 motion (190 AD3d 431 [1st Dept 2021]). As relevant here, the Appellate Division held that defendant's CPL 440.10 motion was properly denied. The Court rejected defendant's contention that Aranda's suspension by the Second Circuit rendered him "constructively suspended" from practice in New York (*see id.* at 432-433). The Appellate Division further concluded that, "[r]egardless of whether counsel should have informed defendant of the Second Circuit suspension, defendant has not shown that counsel's failure to do so requires a new trial" (*id.* at 433).

A Judge of this Court granted defendant leave to appeal (37 NY3d 954 [2021]). We now affirm.

II.

Defendant first contends that Aranda's suspension by the Second Circuit automatically rendered Aranda "constructively suspended" from the practice of law in New York, such that defendant was not represented by the licensed counsel to which he was constitutionally entitled. Criminal defendants have a constitutional right to be represented by a licensed attorney (*see People v Felder*, 47 NY2d 287, 293-294 [1979]). Although defendant acknowledges that Aranda was "technically licensed" in New York during his representation of defendant, he argues that when an attorney is suspended or disbarred by a foreign jurisdiction for "serious misconduct," that attorney should be rendered constructively suspended from criminal practice in New York, and therefore unable to represent criminal defendants, while reciprocal discipline proceedings in New York are pending. We decline to create such a rule.

People v Kieser (79 NY2d 936 [1992]), upon which defendant relies, does not support defendant's argument for a per se rule. In that case, the defendant's attorney was admitted to practice law in New Jersey but failed to obtain pro hac vice admission in New York and therefore was never licensed in this jurisdiction. Moreover, the attorney was temporarily suspended in New Jersey for nonpayment of bar dues during the time that he represented the defendant (*see id.* at 937). The Court held that the attorney's temporary suspension and failure to obtain pro hac vice admission in New York were "technical" defects that did not deprive the defendant of the licensed counsel to which he was entitled (*id.* at 938).

Although the *Kieser* Court distinguished between "technical" defects and "serious and substantive" defects in an attorney's

ability to practice law, it did so in a context where the defendant's attorney was not admitted in New York and was temporarily unlicensed to practice law in any state (*see id.* at 937-938). Here, by contrast, Aranda was an attorney licensed to practice in New York at the time he represented defendant. The Court did not suggest in *Kieser* that an attorney licensed to practice in New York could be constructively suspended in this state due to the imposition of foreign discipline. Furthermore, when discussing "serious and substantive" defects that would render counsel unlicensed, the Court cited examples such as the failure to seek admission in any state or the failure to pass a bar examination (*see id.*, citing *Solina v United States*, 709 F2d 160, 167 [2d Cir 1983], and *United States v Novak*, 903 F2d 883, 890 [2d Cir 1990]).

[1] In addition, attorneys who are the subject of disciplinary proceedings, including reciprocal disciplinary proceedings, are entitled to due process, which includes notice and an opportunity to be heard (*see Matter of Hallock*, 37 NY3d 436, 442 [2021]; *Matter of Dondi*, 63 NY2d 331, 339 [1984]; *Matter of Zuckerman*, 19 NY2d 977, 978 [1967]). Attorneys may raise defenses and mitigating evidence in opposition to the imposition of reciprocal discipline (*see* 22 NYCRR 1240.13 [b]). Thus, contrary to defendant's contention, the imposition of reciprocal discipline is not a foregone conclusion, nor is the nature or length of any reciprocal discipline imposed certain. Defendant's proposed rule would deprive attorneys of the due process to which they are entitled in pending reciprocal disciplinary proceedings.⁵

III.

Defendant further contends that Aranda's failure to inform him of the Second Circuit's suspension and the pending reciprocal disciplinary proceedings in New York deprived him of his constitutional right to choice of counsel. It is well settled that criminal defendants have a constitutional right to retained counsel of their choosing if they do not require an appointed

5. The Appellate Division's suspension of Aranda nunc pro tunc to the date of the Second Circuit's suspension did not render Aranda actually unlicensed to practice law in New York during his representation of defendant or mean that his practice of law in New York while the reciprocal disciplinary proceedings were pending was unlawful (*see Burgos*, 190 AD3d at 432-433). Defendant does not contend otherwise. The Appellate Division did not issue an interim suspension of Aranda while the reciprocal disciplinary proceedings were pending in that Court (*see generally* 22 NYCRR 1240.9).

attorney (*see e.g. United States v Gonzalez-Lopez*, 548 US 140, 144 [2006]; *People v O'Daniel*, 24 NY3d 134, 138 [2014]; *People v Arroyave*, 49 NY2d 264, 270 [1980]). That right is not unlimited. For example, the court has authority to prevent a defendant's insistence on representation by counsel who has an actual conflict of interest (*see Wheat v United States*, 486 US 153, 162 [1988]; *People v Carncross*, 14 NY3d 319, 323 [2010]), and "a defendant may not employ such right as a means to delay judicial proceedings" (*Arroyave*, 49 NY2d at 271). If a defendant has been deprived of the constitutional right to choice of counsel by the court, the defendant need not demonstrate prejudice, and harmless error analysis does not apply (*see Gonzalez-Lopez*, 548 US at 146, 148-150; *Arroyave*, 49 NY2d at 273).

[2] No statute, court order, or New York Rule of Professional Conduct affirmatively required Aranda to disclose the Second Circuit's suspension or the pending reciprocal disciplinary proceedings in New York to defendant. The Second Circuit's suspension order required Aranda to disclose the suspension to clients with cases pending in that court, and its supplemental order required him to inform New York disciplinary authorities of the suspension, which he did. Of course, had a court order or any ethical rule required affirmative disclosure of the Second Circuit's public discipline or the pending New York disciplinary proceedings to his New York clients, Aranda would be obligated to comply. In the absence of such, however, the pending reciprocal disciplinary proceedings were confidential until they concluded (*see* Judiciary Law § 90 [10]; 22 NYCRR 1240.18). Furthermore, as previously explained, the imposition of reciprocal discipline was not automatic, nor was it inevitable that the Appellate Division would also impose the sanction of suspension.

Here, the Appellate Division suspended Aranda from the practice of law in New York approximately two weeks after the judgment was entered upon the imposition of sentence, and Aranda was therefore licensed to practice in New York during the pendency of the criminal action against defendant. We decline to create a bright-line rule invariably requiring attorneys to affirmatively disclose the imposition of foreign discipline or pending reciprocal discipline proceedings to their clients in every case, where no court order or ethical rule requires such disclosure.

[3] Instead, we conclude that an attorney's failure to disclose the imposition of foreign discipline and pending reciprocal

disciplinary proceedings can adequately be assessed in the context of an ineffective assistance of counsel claim, which defendant continues to raise on this appeal. Our “flexible” standard for analyzing such claims provides that “so long as the evidence, the law, and the circumstances of a particular case, viewed in totality and as of the time of the representation, reveal that the attorney provided meaningful representation, the constitutional requirement will have been met” (*People v Benevento*, 91 NY2d 708, 712 [1998] [internal quotation marks and alterations omitted]).

We agree with the courts below that defendant has not sustained his burden of demonstrating, based on “‘the evidence, the law, and the circumstances of [his] particular case, viewed in totality and as of the time of the representation,’” that Aranda’s performance, including his failure to disclose the suspension, deprived defendant of meaningful representation (*id.*, quoting *People v Baldi*, 54 NY2d 137, 147 [1981]). The aspects of Aranda’s performance about which defendant complains were either refuted by the record or consistent with the strategic decisions of a reasonably competent attorney and did not prejudice defendant (*see id.* at 712-713). Defendant has not demonstrated that the neglect of cases that led to the Second Circuit’s discipline was present in Aranda’s representation of defendant. Furthermore, defendant has not demonstrated that the imposition of reciprocal discipline in New York impacted Aranda’s representation of him or prejudiced him because Aranda was a licensed attorney in New York during the pendency of defendant’s criminal proceedings.⁶ Defendant was not deprived of the attorney of his choice solely due to the imposition of foreign discipline.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge DiFiore and Judges Rivera, Garcia, Wilson, Singas and Cannataro concur.

Order affirmed.

6. “Because our state standard . . . offers greater protection than the federal test, we necessarily reject defendant’s federal constitutional challenge by determining that he was not denied meaningful representation under the State Constitution” (*People v Caban*, 5 NY3d 143, 156 [2005]).

[187 NE3d 1047, 167 NYS3d 435]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JEFFERY BUSH, Appellant.

Argued February 10, 2022; decided March 22, 2022

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered July 29, 2020. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (William Miller, J.), which had convicted defendant, upon his plea of guilty, of criminal possession of a controlled substance in the seventh degree.

People v Bush, 185 AD3d 1048, affirmed.

HEADNOTE**Crimes — Appeal — Preservation of Issue for Review — Validity of Guilty Plea — Error in Sentence Imposed**

Defendant's claim that his guilty plea was involuntary because the court failed to advise him that the 20 days of community service to be imposed would be a condition of a sentence of a one-year conditional discharge was unpreserved for appellate review, as defendant neither objected to the sentence promise as described during either the plea or the sentencing proceeding nor otherwise protested the voluntary nature of his guilty plea. The record demonstrated that, prior to the imposition of sentence, defendant had the actual and practical ability to object and preserve the claim that his guilty plea was involuntary because of a deficient plea allocution as to the sentence promise, a direct consequence of the plea. If the sentence the court stated it intended to impose differed from what defendant understood the sentence promise to be at the time of the plea, or if defendant did not understand what a "CD" was, there was an adequate opportunity prior to the imposition of sentence to say so. Defendant could have objected or moved to withdraw his plea pursuant to CPL 220.60 (3), as required in order to preserve a claim that his plea was involuntary. Because defendant could have sought relief from the sentencing court in advance of the sentence's imposition, the rationale for dispensing with the preservation requirement was not applicable.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Appellate Review § 531; AM JUR 2d Criminal Law §§ 589–590, 592, 594–596, 598–599, 601, 605, 608, 643.

CARMODY-WAIT 2d Pleas and Plea Bargaining §§ 182:11–182:13, 182:27–182:28, 182:31; CARMODY-WAIT 2d Appeals in Criminal Cases §§ 207:28–207:29.

LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) §§ 21.4–21.6.

McKINNEY'S, CPL 220.60 (3).

NY JUR 2d Criminal Law: Procedure §§ 1527, 1529–1531, 1566–1567, 1576, 1578, 1580, 3564, 3581, 3584.

ANNOTATION REFERENCES

Court's duty to advise or admonish accused as to consequences of plea of guilty, or to determine that he is advised thereof. 97 ALR2d 549.

Validity and effect of criminal defendant's express waiver of right to appeal as part of negotiated plea agreement. 89 ALR3d 864.

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POINTS OF COUNSEL

Janet E. Sabel, The Legal Aid Society, New York City (Ying-Ying Ma of counsel), for appellant. The court's failure to advise Jeffery Bush of the conditional discharge portion of his sentence during the plea allocution violated due process and rendered his plea not knowing, intelligent and voluntary, and the court's failure to notify him of this wholly new component of the sentence he would be required to serve until the sentencing proceeding itself denied him a sufficient opportunity to object, thereby presenting a question of law for this Court's resolution. (*People v Peque*, 22 NY3d 168; *People v Hill*, 9 NY3d 189; *People v Conceicao*, 26 NY3d 375; *People v Harnett*, 16 NY3d 200; *People v Callahan*, 80 NY2d 273; *Jones v Barnes*, 463 US 745; *People v Britton*, 158 AD2d 932; *People v Louree*, 8 NY3d 541; *People v Danny G.*, 61 NY2d 169; *People v Jamison*, 181 AD3d 508.)

Eric Gonzalez, District Attorney, Brooklyn (Arieh Schulman and Leonard Joblove of counsel), for respondent. Defendant's claim that his guilty plea was not knowing, voluntary, and intelligent is unpreserved for appellate review. In any event, that claim is meritless. (*People v Williams*, 27 NY3d 212; *People v Conceicao*, 26 NY3d 375; *People v Crowder*, 24 NY3d 1134; *People v Peque*, 22 NY3d 168; *People v Murray*, 15 NY3d 725; *People v Lopez*, 71 NY2d 662; *People v Louree*, 8 NY3d 541;

People v Mack, 27 NY3d 534; *People v Nealon*, 26 NY3d 152; *People v Turner*, 24 NY3d 254.)

OPINION OF THE COURT

Chief Judge DiFiore.

Defendant challenges the voluntariness of his guilty plea, asserting that the court in its plea colloquy failed to advise him that the 20 days of community service to be imposed would be a condition of a sentence of a one-year conditional discharge. At the outset of the sentencing proceeding, the defense counsel and prosecutor affirmatively acknowledged to the court that the bargained-for sentence to be imposed was a conditional discharge. Prior to imposition of that sentence, defendant, who had the practical ability to do so, failed to protest or otherwise seek to withdraw his guilty plea. As a result, defendant's claim that the court's imposition of an alleged new sentence rendered his guilty plea involuntary is unpreserved for our review.

After initially being charged by felony complaint in May 2017, defendant was indicted in July 2017, for two counts of criminal possession of a controlled substance in the third degree, a class B felony offense, and six other related offenses. On September 18, 2017, in open court, the People offered a reduced plea to the class A misdemeanor of criminal possession of a controlled substance in the seventh degree, the eighth count of the indictment, with a promised sentence of probation. An off-the-record discussion with the court and counsel ensued, whereupon the People changed their sentence offer to 20 days of "community service instead of probation." Defense counsel sought a recall of the case to confer with defendant. On the recall, the court informed defendant that defense counsel had conveyed to the People defendant's interest in community service and characterized the People's plea offer as "reasonable." Defense counsel accepted the plea offer and stated that "the plea is conditioned on him doing 20 days of community service, and if he does not do the community service, he can face up to one year [in] jail." A mandatory surcharge and a six-month driver's license suspension were undisputedly part of the promised sentence at the time of the plea.

Defendant was placed under oath and the court conducted a thorough plea allocution, eliciting defendant's waiver of his constitutional rights and his admission of his factual guilt to the reduced crime. Defendant confirmed that he had sufficient time to speak with his attorney and was satisfied with his rep-

resentation. When defendant expressed concern about “the timing of the community service,” the court responded, “I will give you more than enough reasonable time to do it.” The court also advised defendant that, as a condition of the plea, he could not be rearrested and “must return on the adjournment date.” Defense counsel stated that defendant wanted to speak with his employer about scheduling the community service. In response, the court told defendant that it would not “specify” a schedule for the performance of the community service. The court again elicited from defendant that he had adequate time to speak with his counsel and was satisfied with counsel’s representation.

In pleading guilty to the misdemeanor count, defendant was advised by the court that the sentence promise would be “20 days of community service.” The court further stated “[y]ou understand you can’t get re-arrested. You must return on the adjournment date. And you must complete the community service or else there will be a one year jail alternative.” Defendant indicated that he understood and the matter was adjourned for sentencing to November 28, 2017.

At the outset of the sentencing proceeding, defense counsel advised the court that defendant had completed his 20 days of community service. After noting that “[c]ommunity service [was] completed,” the court asked the parties, “[a]nd the promise is a C.D.?” Defense counsel and the prosecutor each replied “[y]es.” The court confirmed that, during the relevant time period between plea and sentence, there had been no new arrests and then elicited from defense counsel that there was no “legal reason why sentence should not be imposed.” Defense counsel and defendant each declared they were ready for sentence and defendant declined to say anything further. The court told defendant, “I’m glad you did the community service, and I’m glad the case is over.” The court then imposed sentence—“[t]he sentence of the Court is a conditional discharge; \$250 in court costs” and “a six-month license suspension.” That same day, defendant signed the court’s “conditional discharge” form, which states that defendant was sentenced to “[a] 1 year period of Conditional Discharge commencing this day.” The \$250 surcharge was noted on the form which also set forth the statutory conditions that defendant may be required to meet in the discretion of the court to insure that he will lead a law-abiding life “during the period of Conditional Discharge” (see Penal Law § 65.10 [2]). By statute the term of a conditional

discharge in the case of a misdemeanor is one year (Penal Law § 65.05 [3] [b]) and the one year was completed without incident.

On direct appeal, defendant argued that his guilty plea was involuntary as the court did not mention the one-year conditional discharge sentence at the time of the plea and, as a remedy, sought dismissal of the indictment. The Appellate Division affirmed, holding that defendant's claim was unpreserved (185 AD3d 1048 [2d Dept 2020]). A Judge of this Court granted defendant leave to appeal (36 NY3d 928 [2020]) and we now affirm.

Defendant claims that the court's plea colloquy was deficient in establishing for the record the specific terms of the sentence promise, thereby infecting the voluntariness of the guilty plea. It is axiomatic that the "trial court has the constitutional duty to ensure that a defendant, before pleading guilty, has a full understanding of what the plea connotes and its consequences" (*People v Ford*, 86 NY2d 397, 402-403 [1995]). Further, any sentence promise made at the time of the plea is as a matter of law and strong public policy conditioned upon its being lawful (see *People v Selikoff*, 35 NY2d 227, 241 [1974]). When "a defect in a plea allocution is clear on the face of the record and implicates due process, the defendant nonetheless must preserve his or her claim that the defect made the plea involuntary unless the defendant has no practical ability to do so" (*People v Williams*, 27 NY3d 212, 221-222 [2016]; see also *People v Conceicao*, 26 NY3d 375, 381 [2015]).

On this record, there can be no dispute that defendant neither objected to the sentence promise as described during either the plea or the sentencing proceeding nor otherwise protested the voluntary nature of his guilty plea. To be sure, defendant did not move to withdraw his guilty plea prior to the imposition of sentence as required by CPL 220.60 (3). Instead, defendant belatedly asserts on direct appeal that his plea was involuntary because the court failed to advise him at the plea proceeding of the sentence to be imposed. But, he does not seek the vacatur of his guilty plea and the reinstatement of the indictment, the very relief provided upon a timely CPL 220.60 (3) motion. Rather, he seeks dismissal of the indictment. To advance this claim on appeal, defendant invokes the narrow exception to the preservation requirement involving the plea allocution, claiming "the particular circumstances of [the] case

reveal that [he] had no actual or practical ability to object to an alleged error in the taking of [the] plea that was clear from the face of the record” (*Conceicao*, 26 NY3d at 381; *see also People v Louree*, 8 NY3d 541, 545-546 [2007]).¹

The record demonstrates that, prior to the imposition of sentence, defendant had the actual and practical ability to object and preserve the claim he now makes—that his guilty plea was involuntary because of a deficient plea allocution as to the sentence promise, a direct consequence of the plea. The record before us is plain. At the outset of the sentencing proceeding, the court confirmed that the agreed-upon sentence was a conditional discharge, asking both defense counsel and the People if “the promise [wa]s a CD?” Both indicated that was correct. The court went on to inquire whether there was “[a]ny legal reason why sentence should not be imposed” and whether defendant was “[r]eady for sentence,” with defense counsel responding “No” to the first question and defendant responding “Yes” to the second. The court provided defendant an opportunity to speak, asking if he wished to say anything, and defendant answered “No.” If the sentence the court stated it intended to impose differed from what defendant understood the sentence promise to be at the time of the plea—or if defendant did not understand what a “CD” was, as our dissenting colleagues speculate—there was an adequate opportunity prior to the imposition of sentence to say so. Defendant could have objected or moved to withdraw his plea pursuant to CPL 220.60 (3), as required in order to preserve a claim that his plea was involuntary (*see People v Murray*, 15 NY3d 725 [2010]; *People v Crowder*, 24 NY3d 1134 [2015]; *Williams*, 27 NY3d at 219-222). Had he done so, the court would undoubtedly have explored the terms of the parties’ plea agreement. If the sentence of a conditional discharge had not been discussed with defendant, as defendant now contends, the remedy would have been to allow the withdrawal of the plea, and the restoration of the indictment pursuant to CPL 220.60 (3), and not the dismissal of the indictment, which the dissent would grant. In failing to object at the proper time, defendant is not entitled to a greater

1. The additional exception to preservation for an illegal sentence, applicable where it is apparent from the record that the sentence imposed is not authorized under the law, does not lie here, since the one-year conditional discharge sentence actually imposed is an authorized sentence for the misdemeanor conviction (*see Penal Law* § 60.01 [2] [a] [i]; *see People v Samms*, 95 NY2d 52, 56 [2000]).

remedy on appeal.² Stated otherwise, “[b]ecause defendant could have sought relief from the sentencing court in advance of the sentence’s imposition, [the] rationale for dispensing with the preservation requirement is not presently applicable” (*Murray*, 15 NY3d at 727).³

In arguing that preservation of the issue was not required in the court of first instance, both defendant and the dissent disregard defense counsel’s affirmative acknowledgement in response to the court’s inquiry at the outset of the sentencing proceeding—wherein both defense counsel and the prosecutor, in defendant’s presence, confirmed that a “CD” was the promised sentence. Defendant further ignores the fact that he stated during the plea allocution that he had sufficient time to speak with counsel concerning the terms of the plea agreement (see *Conceicao*, 26 NY3d at 383). It appears that defense counsel did not move to withdraw the guilty plea or ask for further clarification because his understanding of the promised sentence was consistent with the conditional discharge sentence intended to be imposed. Defendant’s theory on appeal that the promised sentence, as clearly recorded by the parties and the court at the sentence proceeding, conflicted with his understanding of the consequences of his plea depends on the notion that defense counsel failed to advise his client of the sentence offer (see *Missouri v Frye*, 566 US 134 [2012]) and then made a false representation at the outset of the sentencing proceeding. Since this theory is not supported by the record, if a credible claim to that effect exists based on facts dehors

2. We further note that the cases on which the dissent relies in asserting that there should be a dismissal here—*People v Tyrell* (22 NY3d 359, 366 [2013]), *People v Hightower* (18 NY3d 249, 253 [2011]) and *People v Dreyden* (15 NY3d 100, 104 [2010])—involved relatively minor charges. This Court has never dismissed a felony indictment on the ground that further proceedings would serve no useful “penological purposes” (*People v Allen*, 39 NY2d 916, 918 [1976]; see *People v Thiam*, 34 NY3d 1040, 1047 n 5 [2019, DiFiore, Ch. J., concurring]; compare *Conceicao*, 26 NY3d at 385 n [finding a penological purpose to remittal of the class A misdemeanor charge of criminal possession of a controlled substance in the seventh degree to local court for further proceedings]).

3. Defendant’s reliance on *People v Turner* (24 NY3d 254 [2014]) is misplaced as defense counsel there did not make an affirmative representation at the outset of the proceeding that the sentence to be imposed was the same as the sentence promised in the plea bargain agreement. In addition, the court did not advise the defendant in *Turner* that the sentence to be imposed included the mandatory five years of PRS until “the middle of sentencing,” depriving her of “sufficient opportunity to move to withdraw her plea” (24 NY3d at 259).

the record, defendant's remedy lies in a postconviction CPL article 440 motion, wherein defendant can make the requisite sworn factual allegations to support a claim of a constitutional deprivation of the assistance of counsel.

Indeed, this case demonstrates why we have a preservation rule. Defendant's lack of protest in the court of first instance has encouraged speculation as to the understanding of the parties at the time of the plea in contradiction of the extant record.⁴ For instance, the dissent asserts that the original sentence promise, notwithstanding the court's clear warning of a potential sentence of one-year incarceration, may have been a stand-alone condition of a "noncarceral sentence of 20 days of community service" (dissenting op at 75)—a sentence not authorized by the Penal Law and therefore unlawful. The legislature, not the Court, defines the permissible sentences that must be imposed on a conviction (*see People v Rodney E.*, 77 NY2d 672 [1991]; Penal Law § 60.00 [1]). The mechanism devised by the legislature for imposing a revocable sentence—i.e., probation or a conditional discharge—through which community service with defendant's consent may be imposed as a condition and for which the defendant is subject to incarceration if the condition is not satisfied, is set forth in Penal Law §§ 60.01 (2); 65.05 and 65.10 (2) (h). The plea allocution is unequivocal that defendant consented to the condition of community service and faced the maximum penalty of a one-year jail sentence if he failed to complete the condition. Although the court's description of the promised sentence was imprecise, the plea minutes alone demonstrate that the parties agreed to a revocable sentence as authorized by Penal Law § 65.05, with conditions, and the imposition of an alternative sentence of one-year incarceration if the conditions were violated. The parties' express rejection of the revocable sentence of probation lends further record support to the conclusion that they agreed to the conditional discharge sentence, a fact that was later

4. The preservation requirement promotes the development of an accurate factual record in order to prevent the advancement of false or unsupported narratives on direct appeal. The dissent's suggestion that the prosecution "renege[d]" on the plea promise (*see* dissenting op at 80-81) while defense counsel and the court acquiesced in that misconduct can also serve as a basis for a CPL article 440 motion. Of course, there will need to be a factual premise for such a claim—a premise not to be found on this record.

confirmed by the parties at sentencing.⁵ Defendant on appeal acknowledges, as he must, that the condition of community service “cannot be imposed independently of issuing a conditional discharge” (reply brief for appellant at 10) and the record does not support any conclusion to the contrary.

In response to the dissent’s claim of concessions made by the parties on appeal, our precedent is clear—we are not prevented from performing our judicial function by purported confessions of error of either the defendant or the District Attorney by way of an interjection of alleged facts dehors the record (*see Selikoff*, 35 NY2d at 243; *People v Berrios*, 28 NY2d 361, 366-367 [1971]). Finally, to the extent our dissenting colleagues rely on statements made by counsel at oral argument offering a novel view of the case without regard to the factual record, the issue before us is whether defendant had an opportunity to preserve the argument he now asserts. He did. And, therefore, his failure to timely move to withdraw his plea renders his claim unpreserved, precluding our further review.⁶

In the end, the record as a whole demonstrates that the plea bargain agreement included a revocable sentence with conditions, including community service, and, when the court, whose role is to oversee and supervise the plea bargain process, confirmed that understanding with the parties at the outset of the sentencing proceeding, their affirmation that a conditional discharge was the agreed-upon disposition was a “joint repre-

5. Indeed, the original court file contains a form entitled “**COURT ORDER FOR INVESTIGATION AND REPORT**” directed to the New York City Department of Probation, which detailed the “**SENTENCE AGREEMENT**” the Court made with the defendant: 20 days CS → CD + 6 mo LS
unsuccessful → 1 yr NYCDOCS.”

6. In oral argument, the People deviated from their brief to this Court and asserted that defendant’s promised sentence was an unconditional discharge, which, by definition (Penal Law § 65.20), includes no conditions, let alone 20 days of community service. The appellant at oral argument rejected that belated claim. There are no references in the record to any sentence promise of an unconditional discharge and the People’s contrary assertion is belied by both the sentencing minutes and the law as to authorized sentences. Nor is there any reference that a one-year jail term was the sentence to be imposed if community service was not completed before the sentencing date. The plea minutes reflect that the court was quite specific that it was not placing any timetable on the completion of the community service, consistent with a sentence promise of a one-year conditional discharge. In any event, the People made no errant statements or concessions with respect to the preservation issue, which turns on the undisputed content of the sentencing transcript and is dispositive in this case.

sensation that no other undisclosed term of agreement, different from the court's express understanding, existed between them" (35 NY2d at 243). Since defendant had the actual and practical ability to raise his current argument at the outset of the sentencing proceeding and prior to the imposition of sentence, his failure to do so precludes our review.

Accordingly, the order of the Appellate Division should be affirmed.

RIVERA, J. (dissenting). Defendant Jeffrey Bush pleaded guilty to a reduced charge in exchange for a noncarceral sentence of 20 days of community service, along with a mandatory surcharge and temporary suspension of his driver's license. When defendant appeared after completing his community service and without further criminal incident, the sentencing should have been in accord with the prosecutor and defendant's agreement. Instead, the court imposed additional year-long conditions that were not agreed to and never mentioned during the plea colloquy or prior to sentencing. As a consequence, defendant's plea is invalid (*see People v Turner*, 24 NY3d 254, 258 [2014] ["To meet due process requirements, a defendant 'must be aware of the postrelease supervision component of that sentence in order to knowingly, voluntarily and intelligently choose among alternative courses of action' . . . Without such procedure, vacatur of the plea is required"], quoting *People v Catu*, 4 NY3d 242, 245 [2005]).

No one disputes that the conditional sentence actually imposed is more severe than the conditions described to defendant in open court prior to his plea. Nor did defendant commit any misconduct or violations of conditions imposed while awaiting sentencing that might have justified the court's deviation from the plea agreement. The prosecutor concedes that the sentence was imposed in error, and the record bears this out because the only conditions mentioned as part of the plea were those expressly stated on the record during the colloquy. The only dispute is whether defendant preserved his meritorious challenge to his conviction on the ground that he did not knowingly, intelligently, and voluntarily plead guilty in exchange for the sentence imposed. Given that the court gave no warning that it would impose a sentence harsher than defendant agreed to in exchange for his guilty plea, defendant could not have objected prior to the actual sentencing that he was denied the benefit of his plea bargain. Therefore, the conviction must be reversed, and because defendant completed the erroneously

imposed sentence years ago, no penological purpose is served by remitting for further proceedings, and the indictment should be dismissed (*People v Hightower*, 18 NY3d 249, 253 [2011]; *People v Dreyden*, 15 NY3d 100, 104 [2010]).

I.

Defendant was driving one night when a police officer pulled him over for changing lanes without signaling. As a result of the stop and subsequent search of defendant, he was charged with traffic law offenses and drug possession. Defendant agreed to the prosecutor's offer to plead guilty to the class A misdemeanor of criminal possession of a controlled substance in exchange for a sentence of community service and no jail time.

The court, prosecutor, and defense counsel described the details of the agreement and confirmed defendant's understanding of the terms during the plea colloquy:

“[COURT]: What is the offer? . . .

“People are offering a misdemeanor, correct? We need the People's consent to reduce this from a felony.

“[PROSECUTOR]: The offer is community service instead of probation. I will do 20 days. . . .

“[COURT]: Drugs were allegedly found on his waistband. Probation was not offering an unreasonable offer. Your lawyer spoke to the district attorney who said you were interested in community service which is more than reasonable but it's your opinion that counts. [The prosecutor] is offering you today a misdemeanor and 20 days of community service.

“[PROSECUTOR]: People originally wanted 30 days in lieu of probation. Defense asked me for 15. I offered the 20. . . .

“[DEFENSE COUNSEL]: He will now plead guilty to . . . Criminal Possession of a Controlled Substance in the Seventh Degree, a Class A misdemeanor, and the plea is conditioned on him doing 20 days of community service, and if he does not do the community service, he can face up to one year jail.

“If he does the community service, he owes \$200 in mandatory surcharge.

“[COURT]: It’s \$250.

“[DEFENSE COUNSEL]: \$250. I’m sorry. And there will be a six-month license suspension. . . .

“[COURT]: It’s your decision. I respect that. It’s a reasonable offer.

“Did you have enough time to speak to your lawyer?

“[DEFENDANT]: Yes.

“[COURT]: Do you need any more time?

“[DEFENDANT]: No.”

In response to defendant’s concern, the court stated defendant would have time to complete the community service, and repeated several times that in order to secure the noncarceral sentence he had to complete the community service, not get rearrested, and return on the scheduled court date.

“[DEFENDANT]: I understand. It’s just the timing of community service.

“[COURT]: I will give you more than enough reasonable time to do it.

“Also, you can’t get re-arrested, and you must return on the adjournment date.

“I will give you time to do it. . . .

“[COURT]: You are pleading guilty to a misdemeanor which is a crime, and the promise is 20 days of community service and we will work around your schedule?

“Is that your understanding and do you agree to that?

“[DEFENDANT]: Yes. . . .

“[COURT]: You understand you can’t get re-arrested. You must return on the adjournment date. And you must complete the community service or else there will be a one year jail alternative.

“Do you understand?

“[DEFENDANT]: Yes.”

Defendant satisfied these promises. When he appeared for sentencing as scheduled approximately two months later, the court acknowledged that defendant had completed his community service and that there were no new arrests and proceeded with sentencing:

“[COURT]: Community service completed. And the promise is a C.D.?”

“[DEFENSE COUNSEL]: Yes.

“[PROSECUTOR]: Yes.

“[COURT]: No new arrests?”

“[PROSECUTOR]: Not that I’m aware of, no.

“[COURT]: Any legal reason why sentence should not be imposed?”

“[DEFENSE COUNSEL]: No, Judge.

“[COURT]: Ready for sentence?”

“[DEFENDANT]: Yes.

“[COURT]: Ready, [defense counsel]?”

“[DEFENSE COUNSEL]: Yes, Judge.

“[COURT]: Does your client wish to say anything?”

“[DEFENDANT]: No.

“[COURT]: Good. I’m glad you did the community service, and I’m glad the case is over.

“[Prosecutor], do you wish to say anything?”

“[PROSECUTOR]: No.

“[COURT]: Thank you, both sides. The sentence of the Court is a conditional discharge; \$250 in court costs.”

The conditional discharge form dated the same day provides that defendant was subject to a “1 year period of Conditional Discharge commencing this day” and that

“during the period of Conditional Discharge the defendant must lead a law-abiding life and must comply with the following conditions . . . :

“1. Avoid injurious or vicious habits, do not visit unlawful or disreputable places; and do not consort with disreputable people.

“2. Work faithfully at a suitable employment or pursue a course of study or vocational training that can lead to suitable employment.

“3. Support dependents and meet other family responsibilities.”

The form also warns that

“[y]our failure to conform to any of the conditions, or your commission of an additional offense other than a traffic infraction, is a violation of the Conditional Discharge. You have a right to be present at any hearing held to determine if you have violated your Conditional Discharge. If you intentionally fail to appear at a Violation Of Conditional Discharge Hearing, a hearing may be held in your absence, your Conditional Discharge may be revoked, and a warrant may be issued for your arrest.”

Defendant complied and the terms of the conditional discharge expired during the pendency of his appeal to the Appellate Division. That Court affirmed the conviction on the ground that defendant failed to preserve his claim that the plea was not knowing, intelligent, and voluntary because the lower court failed to inform him in advance that he would be sentenced to a conditional discharge (*People v Bush*, 185 AD3d 1048 [2020]).

On appeal to this Court, defendant argues, as he did below, that the plea is invalid because he was sentenced to a one-year conditional discharge never mentioned during the plea colloquy; that, prior to sentencing, he upheld his side of the bargain and served the 20 days of community service required under his agreement with the prosecutor, as described by the court during the colloquy, and that he did not have an opportunity to challenge the sentence of conditional discharge before it was imposed. Defendant is correct that the plea is invalid based on what the parties agree is the discordance between the plea agreement and the sentence imposed.

II.A.

In order to be valid, a plea must be knowing, intelligent, and voluntary (*see People v Lopez*, 6 NY3d 248, 256 [2006]). To that end, the court must “ensure that a defendant, before pleading guilty, has a full understanding of what the plea connotes and its consequences” (*People v Louree*, 8 NY3d 541, 544 [2007] [emphasis omitted], citing *People v Ford*, 86 NY2d 397, 402-403 [1995]; *see also Turner*, 24 NY3d at 258, quoting *Catu*, 4 NY3d at 244-245). The court must advise the defendant of direct consequences of the plea, which includes the sentence (*see People v Harnett*, 16 NY3d 200, 205 [2011] [“The direct consequences of a plea—those whose omission from a plea colloquy makes the plea per se invalid—are essentially the core components of a defendant’s sentence: a term of probation or imprisonment, a term of postrelease supervision, a fine”]). “Undoubtedly, in the vast majority of plea bargains the overwhelming consideration for the defendant is whether [they] will be imprisoned and for how long” (*People v Gravino*, 14 NY3d 546, 559 [2010]).

“[T]he plea bargaining process affords the accused the opportunity to obtain a conviction on reduced charges and more lenient punishment in a truncated process that ‘hopefully start[s] the offender on the road to possible rehabilitation’ ” (*People v Thomas*, 34 NY3d 545, 557 [2019], quoting *People v Selikoff*, 35 NY2d 227, 233 [1974]). Plea bargaining “provides a means where, by mutual concessions, the parties may obtain a prompt resolution of criminal proceedings with all the benefits that enure from final disposition” (*People v Seaberg*, 74 NY2d 1, 7 [1989]).

“It is also well settled that plea agreements are consistent with the requirements of voluntariness and intelligence—because each side may obtain advantages when a guilty plea is exchanged for sentencing concessions, the agreement is no less voluntary than any other bargained-for exchange” (*Mabry v Johnson*, 467 US 504, 508 [1984]). This only holds true if both sides are clear on the specifics of the agreement and comply with their end of the bargain. “Although the analogy may not hold in all respects, plea bargains are essentially contracts” (*Puckett v United States*, 556 US 129, 137 [2009]). Thus, it is a matter of “essential fairness . . . that a promise made by a State official authorized to do so and acted upon by a defend-

ant in a criminal matter to his detriment is not lightly to be disregarded” (*People v McConnell*, 49 NY2d 340, 349 [1980]). In *McConnell*, our Court acknowledged the “detrimental effect on the criminal justice system that will result should it come to be believed that the State can renege on its plea bargains with impunity notwithstanding defendant’s performance” (*id.*). Put another way, the legitimacy of a plea bargain depends on the assurance that the government will keep its promise, especially once a defendant has upheld their side of the bargain. Otherwise, there would be no incentive on the part of a defendant to negotiate and give up their rights to trial in exchange for a particular sentence (see Michael D. Cicchini, *Broken Government Promises: A Contract-Based Approach to Enforcing Plea Bargains*, 38 NM L Rev 159, 159 [2008] [(T)he government compromises the integrity of the system when it makes promises as part of a plea bargain and then reneges on those promises, often after obtaining from the defendant the very benefit for which it bargained. This negative impact is magnified when the government reneges without good cause due to its own negligence or even bad faith. When courts refuse to hold the government to its end of the bargain, the courts encourage further similar behavior”]; Peter Westen & David Westin, *A Constitutional Law of Remedies for Broken Plea Bargains*, 66 Cal L Rev 471, 511-512 [1978] [(T)he requirement that a guilty plea be made intelligently forbids the prosecution from breaching promises made to the defendant with respect to the consequences of his plea. This is because by breaching its promises, the state fails to do what is reasonably within its power to assure the accuracy of its representations to the defendant with respect to the alternatives open to (them), and by this failure abridges (their) constitutionally protected interest in choosing what is in (their) ‘best interests’ ”]).

Apart from the equities, there is the practical significance of plea bargains to individuals and our legal system. As the United States Supreme Court explained in *Missouri v Frye*, “[t]o a large extent . . . horse trading [between prosecutor and defense counsel] determines who goes to jail and for how long. That is what plea bargaining is. It is not some adjunct to the criminal justice system; it is the criminal justice system” (566 US 134, 144 [2012] [citations and emphasis omitted]). Therefore, as I have previously stated, “[t]he constitutional duty to ensure that a defendant has a full understanding of what

[their] plea connotes is of particular importance, given the central role of the plea bargaining process in criminal courts” (*People v Monk*, 21 NY3d 27, 34 [2013, Rivera, J., dissenting]). A plea cannot be constitutionally valid if the defendant pleads guilty in exchange for a particular sentence and a harsher sentence is imposed with no grounds to justify the deviation from the mutually agreed upon terms.

B.

A defendant does not have to preserve a challenge to the voluntariness of a plea where they “had no actual or practical ability to object to an alleged error in the taking of a plea that was clear from the face of the record” (*People v Conceicao*, 26 NY3d 375, 381 [2015]). It is axiomatic that, absent an error that is clear from the record, a defendant has no basis to object because they are not aware of a defect (*see Louree*, 8 NY3d at 545-546). In other words, “a defendant can hardly be expected to move to withdraw [their] plea on a ground of which [they] ha[ve] no knowledge” (*id.* at 546).

Mere reference to a missing or altered term of the sentence, however, may not be sufficient to alert a defendant to a constitutional violation that requires preservation. That determination turns on the record of events as they unfold. Thus, in *Turner*, where the court first mentioned the length of the post-release supervision (PRS) at sentencing and where the defendant acknowledged to the court that they were aware of the term prior to imposition of the sentence, we concluded that the claim did not need to be preserved because “the defendant did not have sufficient knowledge of the terms of the plea at the plea allocution and, when later advised, did not have sufficient opportunity to move to withdraw [the] plea” (24 NY3d at 259). We further noted that “the prosecutor, not the court, led the sentencing colloquy and may have misled defendant by telling her that PRS ‘was part of her plea’ ” (*id.*).

III.

The record confirms defendant’s version of the plea agreement as agreed upon by the parties and the court at the plea allocution: the prosecutor offered defendant 20 days of community service in exchange for his guilty plea on the class A misdemeanor, with the caveat that noncompliance put defendant at risk of up to one year in jail. Defendant accepted that offer. He was further informed that the plea was subject to a

\$250 mandatory surcharge and a six-month driver's license suspension. The court also informed defendant that to secure the promised sentence, defendant could not get rearrested and must return on the adjournment date.

This was the full extent of the parties' agreement. If it were otherwise, the parties and the court would have made that plain on the record, but there is no mention of any other condition or that defendant's confirmed sentence was intended to be one year. Indeed, that period was raised as a carceral sentence if defendant failed to complete the community service, not as a firm period of limitation on his liberty. Notably, the court's only correction was to defense counsel's mistaken statement that the surcharge was \$200 rather than \$250.

At sentencing, the court acknowledged that defendant completed the required community service and had not been rearrested. The court did not mention that defendant was nevertheless going to be sentenced to additional conditions lasting a year. Defendant's case is even more compelling than the *Turner* defendant's because, while that defendant at least had been advised that PRS was a sentence component but not informed of the length until sentencing, defendant here was never told that the conditions would last for a year. And he could not have believed he was subject to anything other than a short-term condition, otherwise he would not have voiced his concern that he needed enough time to complete the 20 days of community service required to avoid the one year of jail time, of which he was made aware multiple times during the plea colloquy. Simply stated, in accordance with our case law, a plea cannot be knowing, voluntary, and intelligent when a defendant is informed, as was the case here, that the plea agreement is limited to a finite number of requirements and conditions, but the court then imposes a more severe sentence without defendant's full knowledge of the same and without an opportunity for defendant to withdraw the plea before sentencing (*see id.*; *Louree*, 8 NY3d at 545-546).

Contrary to the majority's assertion, there is no preservation bar to defendant's challenge (*see* majority op at 68). The majority concludes that although defendant failed to object, he had an opportunity to preserve his claim because he could have spoken up when—moments before imposing sentence—the court confirmed that the sentence was a “CD” (*see id.*). Even a cursory read of the record establishes that the court's reference to the shorthand “CD” for a “conditional discharge” was insuf-

ficient to place defendant on notice that the conditional aspect of the sentence was anything other than what he had agreed to at the plea—20 days of community service. It is not speculation to recognize that nothing in that two-letter acronym would alert defendant that something was amiss and that he was going to be sentenced to one year of conditions (*see id.* at 72-73).

The fact that defense counsel also used the CD shorthand does not affect the analysis. In *Turner*, the defendant's counsel failed to object to the addition of PRS even though the defendant acknowledged having spoken with counsel (24 NY3d at 259). Same here where defendant's counsel failed to object to the conditional discharge (*cf.* majority op at 71). And in *People v McAlpin*, the Court clarified that a defendant who is told before the imposition of the sentence that they would be subject to PRS did not have sufficient time to object to the sentence (*see* 17 NY3d 936, 938 [2011]). The Court came to this conclusion despite the fact that defense counsel “agreed with the sentencing court’s statement on the record that the defendant had been informed of postrelease supervision at the plea proceeding” (*id.*). Same here where counsel confirmed the sentence was a “CD” (*cf.* majority op at 71-72 and n 3).

The majority also attempts to distinguish this case from *Turner* on the basis that counsel did not speak at the outset of the proceeding and the court did not advise the defendant about the PRS “until ‘the middle of sentencing’ ” (majority op at 72 n 3, quoting *Turner*, 24 NY3d at 259). However, as the sentencing transcript in *Turner* makes clear, the discussion of the PRS component of the sentence in *Turner* was raised by the prosecutor just prior to the court’s imposition of the sentence. We can just as well say in this appeal, as in *Turner*, that the issue was raised in the course of sentencing—whether in the beginning, middle, or end—is of no material difference, since the common thread in the analysis is that the court was in the process of sentencing defendant. Further, the prosecutor’s affirmation of a CD here is potentially as misleading as the prosecutor’s statement in *Turner* that PRS “was ‘part of her plea’ ” (24 NY3d at 259).

This all leads to one conclusion, that defendant did not have an opportunity to challenge the sentence when the court failed to adequately describe it except in shorthand, moments before imposing the sentence. Moreover, defendant could not have understood that he was subject to conditions that extended be-

yond the hearing—a sentence more severe than he pleaded to—when the court suggested the opposite by prefacing the sentence by saying, “I’m glad you did the community service, and I’m glad the case is over.”

Both parties have represented to this Court that the sentence was imposed in error because defendant agreed to 20 days of community service in exchange for pleading guilty to a lesser count, completed that condition prior to sentencing, but the court imposed a more severe one-year conditional sentence. Put another way, the parties confirm that the plea that was voluntarily, knowingly, and intelligently entered at the colloquy was in exchange for a different sentence from that which was actually imposed.¹ The majority fails to explain why defendant’s conviction should stand when the prosecutor and defendant agree that the terms of the bargained-for plea differ from the sentence. Instead, the majority contends that the parties disagree as to the terms of the plea (*see* majority op at 73-74). That is a convenient but inaccurate characterization of the record and the representations to this Court.² The District Attorney’s position on appeal has always been that defendant failed to preserve his challenge, thus barring consideration of the merits of his claim. That line of argumentation does not turn on whether the sentence deviates from the parties’ plea agreement. From that perspective, it is not surprising that the District Attorney acknowledges what he views as an irrelevant fact—the parties’ agreement was for the 20 days of community service offered by the prosecutor at the plea colloquy, full stop.

1. The majority misrepresents defendant’s claim as turning on defense counsel’s alleged ineffectiveness for failure to properly explain the plea terms (*see* majority op at 72-73). But the majority is correct about one thing, the benefits of an accurate factual record “to prevent the advancement of false or unsupported narratives on direct appeal” (*id.* at 73 n 4). However, the only unsupported narrative spun here is the majority’s view that the plea agreement was for a one-year term of additional conditions beyond the 20 days of community service—even though the record and the parties’ acknowledged understanding of the prosecutor’s offer are to the contrary.

2. The record speaks for itself. The prosecutor at the plea colloquy stated expressly that his offer was 20 days of community service, and defendant accepted that offer. Then, at oral argument before this Court, the Assistant District Attorney opened by acknowledging that this was the parties’ agreement (*see* tr at 12, available at <https://www.nycourts.gov/ctapps/arguments/2022/Feb22/Transcripts/021022-18-Oral%20Argument-Transcript.pdf>). We must accept the arguments made by the parties, and not what any member of this Court might have said or done if they were litigating the case.

The majority engages in speculation about prosecutorial choices and the negotiations with defendant when it asserts, first, that the parties intended a plea agreement for a revocable sentence with conditions that included community service and, second, that the parties' affirmation to the "CD" was in reality "a 'joint representation that no other undisclosed term of agreement, different from the court's express understanding, existed between them'" (*id.* at 74-75, quoting *Selikoff*, 35 NY2d at 243). As to the majority's characterization of the sentence, that is not how the prosecutor described the offer and the court did not say that the plea was for a revocable sentence with conditions. We are neither the parties to the agreement nor the sentencing court, and we are thus left with only the record before us. And if the majority is correct as to how the agreement should be viewed, then the court was under a constitutional duty to ensure that defendant understood the nuances of such a sentence at the plea allocution (*see Catu*, 4 NY3d at 244-245). But the court did not make such an effort, and that error—if it was error at the plea—cannot be avoided when the sentencing court failed to explain that the passing reference to the "CD" was, as the majority now contends, essentially a revocable sentence based on defendant's completion of the community service condition. In any case, the majority's proposed understanding of the sentence is not the actual sentence imposed.

The majority's second assumption is belied by the parties' understanding of the bargained-for plea as described on the record at the plea colloquy and before this Court. If the majority were correct on this point, then defendant cannot be expected to challenge what those with legal training failed to clearly express, instead relying solely on shorthand insider references that could have been misleading or misinterpreted. Our system relies on what the parties and the court understand and state on the record, not on the majority's bare speculation. Try as it may, the majority cannot change what occurred here to support its affirmance of the conviction merely by characterizing the court's description of the sentence as "imprecise" (*see* majority op at 73). There is no uncertainty or vagueness in the court's statements to defendant nor in the prosecutor's express offer of community service. The imprecision is in the majority's analysis.

IV.

Defendant completed his community service as required by the plea agreement in advance of the sentencing hearing, and yet when he returned to court he was additionally subjected to a one-year conditional discharge. The terms of the sentence imposed in error have expired now. Given the unique circumstances of this case—specifically the parties’ representation that the sentence was not the one agreed to, the unavailability of specific performance by the People as a remedy for this error, and defendant’s completion of the wrongfully imposed and wrongful sentence—reversal is required.

Moreover, no penological purpose is served by remittal for further proceedings. To summarize, first, defendant lived up to his end of the bargain before the sentencing hearing by completing his community service and abiding by all the requirements expressly stated at the plea colloquy to avoid a year in prison. Remittal risks additional punishment even though he complied with the terms of the agreement. Second, without any conduct by defendant justifying a deviation from the promised sentence, defendant served a harsher sentence than agreed to by the parties. Third, as the majority states, defendant completed that sentence “without incident,” meaning he abided by the additional conditions for a full year (*see* majority op at 70). Fourth, the prosecutor negotiated defendant’s plea to a misdemeanor in satisfaction of the entire indictment. That decision was presumably informed, in part, by the prosecutor’s assessment of the strength of their case and the facts underlying defendant’s arrest. Thus, the representative of the People of the State of New York concluded that defendant’s community service was an appropriate penalty given the particulars of his case.

Reversal and dismissal of the indictment protect the integrity of the plea bargaining process, as this holds defendant to his end of the bargain but provides him with meaningful relief for serving a more severe sentence than intended by both defendant and the prosecutor. This outcome is not only compelled by our law under the facts of this case, but it is the only just resolution now that the sentence has been served (*see e.g. People v Tyrell*, 22 NY3d 359, 366 [2013] [plea vacated after sentence completed]; *Hightower*, 18 NY3d at 253 [accusatory instrument dismissed where defendant served the sentence];

Dreyden, 15 NY3d at 104 [accusatory instrument dismissed because defendant was sentenced to time served]).³

The majority's affirmance is a drastic departure from our prior precedent and shows little regard for the bargain struck by the parties. I dissent.

Judges GARCIA, SINGAS and CANNATARO concur; Judge RIVERA dissents in an opinion, in which Judges WILSON and TROUTMAN concur.

Order affirmed.

3. Contrary to the majority's assertion, the counts originally filed against a defendant are not dispositive of whether the indictment should be dismissed for lack of a penological purpose (*see* majority op at 72 n 2). Courts, including this Court, have never so held. In fact, this is an undeveloped area of the law; decisions are at times made without reference to fixed criteria. As the author of the majority opinion here has previously acknowledged, "we have on occasion dismissed an accusatory instrument without 'supporting rationale for the unusual result' " (*People v Thiam*, 34 NY3d 1040, 1047 n 5 [2019, DiFiore, Ch. J., concurring], quoting *People v Allen*, 39 NY2d 916, 918 [1976]). Instead, the decision to dismiss turns on the circumstances of the case. The fact that defendant was initially charged with a felony does not, as the majority would have it, limit defendant's remedies on this appeal. And, as I have discussed, there is plenty of rationale for dismissal here.

[188 NE3d 571, 168 NYS3d 379]

CURBY TOUSSAINT, Respondent, v PORT AUTHORITY OF NEW
YORK AND NEW JERSEY, Appellant, et al., Defendants.

Argued February 11, 2021; reargued February 10, 2022; decided March 22, 2022

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered May 30, 2019. The Appellate Division modified, on the law, an order of the Supreme Court, New York County (Lynn R. Kotler, J.; op 2017 NY Slip Op 32240[U] [2017]), which, to the extent appealed from, had denied the motion of defendant Port Authority of New York and New Jersey for summary judgment dismissing the Labor Law § 241 (6) claim predicated on Industrial Code (12 NYCRR) § 23-9.9 (a). The modification consisted of, upon a search of the record, granting plaintiff summary judgment as to liability on the Labor Law § 241 (6) claim insofar as it was predicated on 12 NYCRR 23-9.9 (a) as against defendant Port Authority of New York and New Jersey. The Appellate Division affirmed the order as modified. The following question was certified by the Appellate Division: “Was the order of this Court, which modified . . . the order of the Supreme Court . . . to grant plaintiff summary judgment as to liability on the Labor Law § 241 (6) claim[,] insofar as it is predicated on 12 NYCRR 23-9.9 (a)[,] as against defendant Port Authority of New York and New Jersey, properly made?”

Toussaint v Port Auth. of N.Y. & N.J., 174 AD3d 42, reversed.

HEADNOTE

Labor — Safe Place to Work — Nondelegable Duty under Labor Law § 241 (6) — Regulation Governing Power Buggies

Industrial Code (12 NYCRR) § 23-9.9 (a), which governs the use of power buggies on construction sites, does not set forth a concrete specification sufficient to give rise to a nondelegable duty under Labor Law § 241 (6). Accordingly, plaintiff’s claim for injuries sustained after being struck by a power buggy while working at a construction site owned by defendant was dismissed. 12 NYCRR 23-9.9 (a), which provides that “[n]o person other than a trained and competent operator designated by the employer shall operate a power buggy,” is not specific enough to support a Labor Law § 241 (6) claim. The “trained and competent operator” requirement is general, as it lacks a specific requirement or standard of conduct. The additional direction that “trained and competent” individuals must also be “designated” does not transform the provision from a general standard of conduct to a specific, positive command.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Employment Relationship §§ 191, 193, 241, 255.
McKINNEY'S, Labor Law § 241 (6).
12 NYCRR 23-9.9 (a).
NY JUR 2d Employment Relations §§ 262, 309, 360.
NEW YORK LAW OF TORTS §§ 12:85, 12:86.

ANNOTATION REFERENCE

See ALR Index under Labor and Employment; Occupational Safety and Health.

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POINTS OF COUNSEL

Segal McCambridge Singer & Mahoney, LTD., New York City (Christian H. Gannon and Andrew W. Dean of counsel), for appellant. I. The Court of Appeals should reverse the Appellate Division, First Department's decision and order granting plaintiff summary judgment as to liability under Labor Law § 241 (6) predicated on Industrial Code (12 NYCRR) § 23-9.9 (a) because this provision is insufficiently specific to support a section 241 (6) claim. (*Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494; *Misicki v Caradonna*, 12 NY3d 511; *Ortega v Everest Realty LLC*, 84 AD3d 542; *Egan v Monadnock Constr., Inc.*, 43 AD3d 692; *Narrow v Crane-Hogan Structural Sys.*, 202 AD2d 841; *Stairs v State St. Assoc.*, 206 AD2d 817; *Scott v Westmore Fuel Co., Inc.*, 96 AD3d 520; *Medina v 42nd & 10th Assoc., LLC*, 129 AD3d 610; *Sawicki v AGA 15th St., LLC*, 143 AD3d 549; *Batista v Manhattanville Coll.*, 138 AD3d 572.) II. In the alternative, no statutory violation proximately caused this unforeseeable incident for which defendant Port Authority of New York and New Jersey should be vicariously liable under Labor Law § 241 (6). (*Greene v Sibley, Lindsay & Curr Co.*, 257 NY 190; *Gordon v Eastern Ry. Supply*, 82 NY2d 555; *Rizzuto v L.A. Wenger Contr. Co.*, 91 NY2d 343; *Zimmer v Chemung County Performing Arts*, 65 NY2d 513; *Blake v Neighborhood Hous. Servs. of N.Y. City*, 1 NY3d 280; *Sanatass v Consolidated*

Inv. Co., Inc., 10 NY3d 333; *Ventricelli v Kinney Sys. Rent A Car*, 45 NY2d 950; *Christey v Gelyon*, 88 AD2d 769; *Riviello v Waldron*, 47 NY2d 297.) III. Even if it is found that Industrial Code (12 NYCRR) § 23-9.9 (a) was violated, such violation would only be some evidence of negligence. (*Bland v Manocherian*, 66 NY2d 452; *Allen v Cloutier Constr. Corp.*, 44 NY2d 290; *Long v Forest-Fehlhaber*, 55 NY2d 154; *Belcastro v Hewlett-Woodmere Union Free School Dist. No. 14*, 286 AD2d 744; *Seaman v Bellmore Fire Dist.*, 59 AD3d 515; *Vega v Res-tani Constr. Corp.*, 18 NY3d 499.)

Sullivan Papain Block McGrath Coffinas & Cannavo P.C., New York City (Brian J. Shoot of counsel), and *Law Office of Clifford J. Stern*, New York City, for respondent. I. 12 NYCRR 23-9.9 (a), which expressly forbids operation of power buggies by anyone other than “a trained and competent operator designated by the employer,” is sufficiently specific to constitute a predicate for liability under Labor Law § 241 (6). (*Morris v Pavarini Constr.*, 22 NY3d 668; *Conte v Large Scale Dev. Corp.*, 10 NY2d 20; *Bland v Manocherian*, 66 NY2d 452; *Long v Forest-Fehlhaber*, 55 NY2d 154; *Misicki v Caradonna*, 12 NY3d 511; *Wilinski v 334 E. 92nd Hous. Dev. Fund Corp.*, 18 NY3d 1; *McGuinness v Hertz Corp.*, 15 AD3d 160; *Gonnerman v Huddleston*, 78 AD3d 993; *Vasquez v Urbahn Assoc. Inc.*, 79 AD3d 493; *Medina v 42nd & 10th Assoc., LLC*, 129 AD3d 610.) II. Defendant’s various arguments as to why the subject regulation should be deemed inapplicable or disregarded lack merit. (*Sanchez v State of New York*, 99 NY2d 247; *Gordon v Eastern Ry. Supply*, 82 NY2d 555; *Matter of Burns v Merritt Eng’g Co.*, 302 NY 131; *De Wald v Seidenberg*, 297 NY 335; *Ramos v Jake Realty Co.*, 21 AD3d 744; *Young Bai Choi v D & D Novelties*, 157 AD2d 777; *Riviello v Waldron*, 47 NY2d 297; *Judith M. v Sisters of Charity Hosp.*, 93 NY2d 932; *N.X. v Cabrini Med. Ctr.*, 97 NY2d 247; *Adams v New York City Tr. Auth.*, 211 AD2d 285.) III. Defendant’s various criticisms of the Appellate Division’s grant of summary judgment to plaintiff are unreserved and thereby unreviewable, but in any event meritless. (*Merritt Hill Vineyards v Windy Hgts. Vineyard*, 61 NY2d 106; *Dunham v Hilco Constr. Co.*, 89 NY2d 425; *Bennett v St. John’s Home*, 26 NY3d 1033; *U.S. Bank N.A. v DLJ Mtge. Capital, Inc.*, 33 NY3d 84; *Eujoy Realty Corp. v Van Wagner Communications, LLC*, 22 NY3d 413; *Hecker v State of New York*, 20 NY3d 1087; *Healy v Rennert*, 9 NY2d 202; *Elliott v City of New York*, 95 NY2d 730; *Andre v Pomeroy*, 35 NY2d 361; *Juarez by Juarez v Wavecrest Mgt. Team*, 88 NY2d 628.)

OPINION OF THE COURT

GARCIA, J.

We are once again called upon to determine whether a provision of the Industrial Code, in this case 12 NYCRR 23-9.9 (a), sets forth a concrete specification sufficient to give rise to a nondelegable duty under Labor Law § 241 (6) (*see Ross v Curtis-Palmer Hydro-Elec. Co.*, 81 NY2d 494, 501-505 [1993]). We hold that it does not and therefore reverse.

Plaintiff Curby Toussaint, an employee of Skanska USA Civil Northeast, Inc., was struck by a power buggy while operating a rebar-bending machine at the World Trade Center Transportation Hub construction site owned by the Port Authority of New York and New Jersey (the Port Authority). All power buggies—small, self-powered vehicles operated by one person and used to move materials on construction sites (*see* Industrial Code [12 NYCRR] § 23-1.4 [b] [40])—were owned and operated by contractors or subcontractors. On the day of the accident, a trained and properly designated operator drove the buggy into the area near plaintiff’s workstation. That operator got off the vehicle and a short time later another worker, who was not designated or trained to do so, got on and drove the buggy a short way before losing control, crashing into plaintiff, and injuring him.

Plaintiff commenced this action against the Port Authority asserting claims under Labor Law § 200 (1) and Labor Law § 241 (6).¹ Supreme Court, New York County, granted defendant summary judgment on the Labor Law § 200 (1) claim, holding that the Port Authority “merely provide[d] general oversight of the construction project” and had no supervisory authority over the way the work was performed (2017 NY Slip Op 32240[U], *3 [Sup Ct, NY County 2017]). However, the court denied the Port Authority summary judgment on the Labor Law § 241 (6) claim, concluding that Industrial Code § 23-9.9 (a), which provides that “[n]o person other than a trained and competent operator designated by the employer shall operate a power buggy,” was sufficiently specific to support that claim.

The Appellate Division, with two Justices dissenting, modified Supreme Court’s order by granting plaintiff summary judgment on the Labor Law § 241 (6) claim (174 AD3d 42 [1st Dept 2019]). While both the majority and the dissent agreed that

1. Defendant Granite Construction Northeast, Inc. was granted summary judgment on all claims; that ruling is not at issue on this appeal.

the regulation’s instruction that a “trained and competent operator” must operate the buggy “lack[ed] a specific requirement or standard of conduct,” the majority concluded that the phrase “designated person” was a “proper predicate for a claim under Labor Law § 241 (6)” (*id.* at 45). The dissent would have held that the Industrial Code provision was “insufficiently specific,” noting that the majority was relying on a term—“designated”—that the Court had already “found to lack specificity” in prior cases and was “ignoring the remainder of the regulatory language” (*id.* at 47 [Tom, J., dissenting]). The Appellate Division granted the Port Authority leave to appeal to this Court, certifying the following question: “Was the order of this Court, which modified . . . the order of the Supreme Court . . . to grant plaintiff summary judgment as to liability on the Labor Law § 241 (6) claim[,] insofar as it is predicated on 12 NYCRR 23-9.9 (a)[,] as against defendant Port Authority of New York and New Jersey, properly made?” We now answer that question in the negative.

Labor Law § 241 (6) imposes a nondelegable duty on owners and contractors to “‘provide reasonable and adequate protection and safety’ for workers and to comply with the specific safety rules and regulations promulgated by the Commissioner of the Department of Labor” (*Ross*, 81 NY2d at 501-502, quoting Labor Law § 241 [6]). The statute is a “hybrid,” with the first sentence “merely reiterat[ing] common-law standards of care” and accordingly providing no independent source for an owner’s or general contractor’s nondelegable duty (*Morris v Pavarini Constr.*, 9 NY3d 47, 50 [2007]). It is the second sentence, mandating compliance with the rules of the Commissioner, that creates a nondelegable duty—but only with respect to certain regulations (*id.*).²

In *Ross*, this Court “refined the standard of liability under section 241 (6) by requiring that the rule or regulation alleged to have been breached be a ‘specific, positive command’ ” (*Rizzuto v L.A. Wenger Contr. Co.*, 91 NY2d 343, 349 [1998], quoting *Ross*, 81 NY2d at 504). In *Ross*, a case involving claims under three separate provisions of the Labor Law—sections 200 (1), 240 (1) and 241 (6)—we took the opportunity to set out our “understanding of Labor Law § 241’s over-all design, as

2. Breach of a duty imposed by a regulation promulgated under Labor Law § 241 (6) is merely some evidence of negligence, and contributory and comparative negligence are valid defenses to such claims (*Ross*, 81 NY2d at 502 n 4).

well as its relationship with the other protective provisions of the Labor Law” (*Ross*, 81 NY2d at 502-503). Labor Law § 200 (1), we pointed out, codifies the common-law duty to maintain a safe workplace, but to recover under this provision, a plaintiff must show that an owner or general contractor exercised some supervisory control over the operation (*id.* at 505; see *Comes v New York State Elec. & Gas Corp.*, 82 NY2d 876, 877 [1993]). By contrast, the duty to comply with the Commissioner’s regulations imposed by Labor Law § 241 (6) is nondelegable and there is no need to show that an owner exercised supervision or control over the work site to establish a claim (*Ross*, 81 NY2d at 502).

We explained in *Ross* that permitting plaintiffs to circumvent the requirement in section 200 (1) that the defendant have control over the work by using a “broad, nonspecific regulatory standard as predicate for an action against a nonsupervising owner or general contractor under Labor Law § 241 (6) would seriously distort the scheme of liability for unsafe working conditions” (*id.* at 504). Such a result, we concluded,

“could not have been within the Legislature’s intention and was certainly not contemplated by our Court when we held that an owner or general contractor could be held liable for violations of rules promulgated pursuant to Labor Law § 241 (6) without regard to Labor Law § 200 (1)’s requirement of supervision or control over the work” (*id.* at 504-505, citing *Allen v Cloutier Constr. Corp.*, 44 NY2d 290 [1978]).

More was needed. Accordingly, we held that only “provisions of the Industrial Code mandating compliance with concrete specifications” give rise to a nondelegable duty under Labor Law § 241 (6) (*id.* at 505).

In the nearly 30 years since this Court decided *Ross*, we have repeatedly reaffirmed the rule that to state a claim under section 241 (6), plaintiff must allege that defendant violated an Industrial Code regulation “that sets forth a specific standard of conduct and [is] not simply a recitation of common-law safety principles” (*St. Louis v Town of N. Elba*, 16 NY3d 411, 414 [2011]; see *Gasques v State of New York*, 15 NY3d 869, 870 [2010]; *Misicki v Caradonna*, 12 NY3d 511, 515 [2009]; *Morris*,

9 NY3d at 50; *Rizzuto*, 91 NY2d at 349; *Comes*, 82 NY2d at 878). We do so again today.³

The regulation relied on by plaintiff provides that “[n]o person other than a trained and competent operator designated by the employer shall operate a power buggy” (12 NYCRR 23-9.9 [a]). In assessing whether that regulation is specific enough to support a Labor Law § 241 (6) claim, we examine the text without reference to the underlying facts (*see Misicki*, 12 NY3d at 521 n 2). With respect to 12 NYCRR 23-9.9 (a), we agree with the majority and dissent below that the “trained and competent operator” requirement “is general, as it lacks a specific requirement or standard of conduct” (174 AD3d at 45; *see id.* at 47 [Tom, J., dissenting]). We disagree, however, with the Appellate Division majority’s conclusion that the additional direction that “trained and competent” individuals must also be “designated” somehow transforms the provision from a general standard of conduct to a “specific, positive command” (*Ross*, 81 NY2d at 504; *Berg v Albany Ladder Co., Inc.*, 40 AD3d 1282, 1285 [3d Dept 2007] [holding that the Industrial Code provision mandating that “power-operated equipment . . . shall be operated only by trained, designated persons and all such equipment shall be operated in a safe manner at all times” was “no more than a restatement of common-law requirements and is insufficient to establish a nondelegable duty under Labor Law § 241 (6)”], *affd* 10 NY3d 902 [2008]; *Guallpa v Canarsie Plaza, LLC*, 144 AD3d 1088, 1091 [2d Dept 2016] [same]; *Scott v Westmore Fuel Co., Inc.*, 96 AD3d 520, 521 [1st Dept 2012] [same]). Because the regulation does not mandate compliance with concrete specifications, plaintiff’s section 241 (6) claim must be dismissed.

The order of the Appellate Division should be reversed, with costs, the motion by defendant Port Authority of New York and New Jersey for summary judgment dismissing the Labor Law § 241 (6) claim predicated on Industrial Code (12 NYCRR) §

3. The dissent argues that our *Ross* decision was “error,” that we have somehow corrected (“sub silentio”) that holding by repeatedly applying it, and that we now finish the job by overruling it (dissenting op at 110). Each step of that progression is flawed. Judges may, as we do today, disagree over whether a particular rule is sufficiently concrete to give rise to liability under Labor Law § 241 (6), but adopting the dissent’s approach would give rise to the very harm this Court identified and sought to prevent in *Ross*—a concern as relevant today as it was then. Our holding here should dispel any notion that *Ross* has somehow been “eroded.”

23-9.9 (a) granted, and the certified question answered in the negative.

WILSON, J. (dissenting). More than 10,000 people worked to build the World Trade Center complex; a tiny handful destroyed it. Immediately thereafter, President George W. Bush declared: “As a symbol of America’s resolve, my administration will work with Congress, and [the Governor and Mayor of New York] to show the world that we will rebuild New York City.”¹ The new World Trade Center complex, including the 1,776-foot Freedom Tower, was not built by politicians. Like its predecessor, it was built by thousands of construction workers; among them, Mr. Curby Toussaint.

I.

At the time of his accident, Mr. Toussaint, a 34-year-old father of four, had worked at the World Trade Center site as a union lather for almost 13 years. Mr. Toussaint prepared the steel used to construct foundations and walls: lifting steel bars, placing them in the rebar machine, bending them to specification, and then stacking, tying and tagging them. After working at the World Trade Center from 7:00 a.m. to 2:00 p.m., Mr. Toussaint regularly worked a second shift from 3:00 p.m. to 11:00 p.m. at other construction sites, a role that included carrying and installing reinforcing bars that could run up to 40 feet in length.

On October 24, 2014, Mr. Toussaint was standing at the rebar machine, bending steel rods for use in wall construction. Somewhere behind him, Paul Estavio, a laborer, was moving a “power buggy”—a specialized vehicle used to move loads of concrete and other heavy payloads around construction sites. Mr. Estavio stopped the buggy, got out, and began laughing and joking with James Melvin, an operating engineer responsible for oiling cranes. Whether Mr. Estavio gave Mr. Melvin the keys or Mr. Melvin took control of the buggy without his permission is in dispute, but what happened next is not. Mr. Melvin—who was neither trained nor designated to operate power buggies—crashed. The out-of-control 1,000-pound machine careened into Mr. Toussaint, striking him in the back and crushing him against the rebar machine.

1. *Address to a Joint Session of Congress and the American People*, The White House (Sept. 20, 2001), available at <https://georgewbush-whitehouse.archives.gov/news/releases/2001/09/20010920-8.html>.

The crash severely injured Mr. Toussaint. He underwent two back surgeries, first an anterior and posterior lumbar fusion and later an implantation of a spinal cord stimulator for pain relief. Despite those surgeries, he suffers from chronic pain, nerve damage, and insomnia. His insurance does not cover the total cost of his medical expenses. Although he is only 40 years old, he is totally disabled. He cannot play basketball with his son or go dancing with his wife. The man who once carried steel bars on his shoulders now walks with a cane.

II.

New York's Labor Law has, for more than a century, provided special measures of protection for construction workers (see *Stewart v Ferguson*, 164 NY 553, 554 [1900]; *Quigley v Thatcher*, 207 NY 66, 68 [1912]; *Koenig v Patrick Constr. Corp.*, 298 NY 313, 318-319 [1948]). For certain types of construction site accidents, liability is placed directly on the owners and general contractors regardless of their control of the working conditions (commonly termed "vicarious liability"), and for some types of construction-site accidents the defendants may be held entirely liable even if the worker is to some degree at fault (commonly termed "strict liability"). Labor Law § 241 is one such provision. It holds owners and contractors vicariously liable for all injuries to workers "when constructing or demolishing buildings or doing any excavating in connection therewith." It consists of several subdivisions. The first five also impose strict liability because they contain legislatively determined standards with which owners and contractors must comply (e.g. "if the floors or filling in between the floors are of fireproof material, the flooring or filling in shall be completed as the building progresses" [*id.* § 241 (1)]).

Subdivision (6), which is at issue here, imposes vicarious but not strict liability. Unlike subdivisions (1) through (5), it does not contain a standard of conduct directly set forth by the legislature. Instead, subdivision (6) provides that owners and contractors must comply with rules promulgated by the Commissioner of Labor that "provide reasonable and adequate protection and safety to the persons employed therein or lawfully frequenting such places." Those rules are commonly referred to as the Industrial Code, codified at 12 NYCRR part 23. We have emphasized that "[t]he legislative intent of section 241 (6) is to ensure the safety of workers at construction sites" (*Morris v Pavarini Constr.*, 22 NY3d 668, 673 [2014]).

III.

Mr. Toussaint's claim arises under Labor Law § 241 (6) and rests on a rule promulgated by the Commissioner, 12 NYCRR 23-9.9 (a). That rule requires that "[n]o person other than a trained and competent operator designated by the employer shall operate a power buggy." Under the standard established in *Ross v Curtis-Palmer Hydro-Elec. Co.*, a regulation promulgated pursuant to Labor Law § 241 (6) imposes vicarious liability on owners and contractors only if it states a "specific, positive command," rather than "general safety standards" that merely reiterate the common-law duty of care to provide a safe workplace (81 NY2d 494, 503, 505 [1993]).

The majority holds that the Commissioner's rule stated in section 23-9.9 (a) is not specific. I disagree for two reasons: first, the rule facially states specific requirements beyond what the common-law duty of care requires. Second, the majority's conclusion is irreconcilable with our prior case law.

Turning first to the language of the regulation, it is quite specific: it restricts the (a) operation of (b) power buggies to (c) only trained and competent persons who (d) additionally are designated by the employer. One might justifiably conclude that the common law would require operation by competent persons, but 12 NYCRR 23-9.9 (a)'s additional requirements are distinct from what the common law requires: (1) persons operating a power buggy must be "trained," not just "competent," and (2) persons operating a power buggy must be "designated" to do so. "Trained" adds an element beyond competence: section 23-9.9 (a) requires that the operator must have been trained in power buggy operation, not just have figured it out and become competent without any training. The "designated" requirement likewise adds a safety requirement absent in the common law by preventing even trained and competent operators from operating power buggies unless they have been designated to do so by their employer.² The designation requirement has the potential to increase safety in at least

2. "Trained," "competent" and "designated" are not synonymous, but are understood to have specialized meanings with regard to occupational safety standards (see e.g. U.S. Department of Labor Occupational Safety and Health Administration, "Training Requirements in OSHA Standards and Training Guidelines" OSHA 2254 1998 [Revised] [distinguishing among OSHA guidelines requiring that certain employees be "trained" from those requiring that certain employees be "certified," "competent," or "qualified," from those requiring that certain employees be "designated"]; compare e.g. CFR 1926.302

(n. cont'd)

two ways: concentrating the work among a reduced set of persons who have it as their specialized job improves performance and safety, and requiring employers to go through a designation process compels them to consider whether the designated persons are the best suited to the job. The common law contains no such designation requirement. In short, 12 NYCRR 23-9.9 (a) requires that a specific vehicle be operated by a specific set of people with specific preparation, and as such states a “specific, positive command” giving rise to vicarious liability under Labor Law § 241 (6) (*Ross*, 81 NY2d at 504).

Second, the majority’s decision does not comport with our existing case law, particularly our decisions in *Rizzuto v L.A. Wenger Contr. Co.* (91 NY2d 343 [1998]) and *Misicki v Caradonna* (12 NY3d 511 [2009]). Comparison of the regulations at issue in those cases to section 23-9.9 (a) demonstrates that, if anything, the regulation at issue here is *more specific* than the regulations in those cases, which we held were sufficiently specific to support a Labor Law § 241 (6) claim.

In *Rizzuto*, we reasoned that 12 NYCRR 23-1.7 (d) “unequivocally directs employers not to ‘suffer or permit any employee’ to use a slippery floor or walkway, and also imposes an affirmative duty on employers to provide safe footing by requiring that any ‘foreign substance which may cause slippery footing shall be removed . . . to provide safe footing’” (91 NY2d at 350-351 [emphasis omitted]). We concluded that those requirements mandated “a distinct standard of conduct, rather than a general reiteration of common-law principles,” and as such was sufficiently specific to support a claim under Labor Law § 241 (6) (*id.* at 351).

Frankly, it is hard to see how that regulation differs from the common-law standard. The failure to address a slippery floor at a construction site is fully encompassed by ordinary rules of negligence, which impose a duty to take reasonable steps to remediate slippery floors of all kinds (*see e.g. Toms v Post & McCord*, 219 NY 612 [1916] [duty of employer to keep work platform free of ice]; *O’Leary v Standard Oil Co.*, 265 NY 627 [1934] [duty of office building to ensure men’s room floor is not

[e] [1] [“Only employees who have been trained in the operation of the particular tool in use shall be allowed to operate a power-actuated tool”], with CFR 1926.900 [a] [“The employer shall permit only authorized and qualified persons to handle and use explosives”], with CFR 1926.800 [j] [1] [i] [A] [“The employer shall assign a competent person who shall perform all air monitoring required by this section”]).

slippery]; *Johnsen v Staten Is. Hosp.*, 265 NY 658 [1934] [duty of hospital to ensure its floors are not slippery]; *Kenny v Essman*, 299 NY 583 [1949] [duty of meat market to ensure its floor is not slippery]; *Cook v Rezende*, 32 NY2d 596 [1973] [duty of apartment building to ensure steps are not slippery]; *Lempert v Steinberg & Pokoik Mgt. Corp.*, 7 NY3d 917 [2006] [duty of office building to ensure lobby floor is not slippery]; *Parietti v Wal-Mart Stores, Inc.*, 29 NY3d 1136 [2017] [duty of store to ensure its floors are not slippery]). There is a reason why the phrase “slip-and-fall” is often equated with negligence actions; there is no reason the floors of construction sites would be exempt from common-law rules imposing a duty to take reasonable steps to avoid slippery floors.

In any event, section 23-9.9 (a) imposes an affirmative duty on employers to use only trained and competent persons to operate power buggies and to designate specific persons to do so. If the instant regulation required only that “competent” persons operate power buggies, it would be on all fours with *Rizzuto*, which requires that floors not be slippery. But section 23-9.9 is more specific than the regulation in *Rizzuto* because it further requires training and designation. To make *Rizzuto*’s regulation equivalent, we would need to add text requiring that only trained and designated persons remediate slippery floors.

The majority’s conclusion that section 23-9.9 (a) is not specific also conflicts with our decision in *Misicki*. The regulation in question in *Misicki*, 12 NYCRR 23-9.2 (a), provides:

“All power-operated equipment shall be maintained in good repair and in proper operating condition at all times. Sufficient inspections of adequate frequency shall be made of such equipment to insure such maintenance. Upon discovery, any structural defect or unsafe condition in such equipment shall be corrected by necessary repairs or replacement.”

We held that the first two sentences, standing alone, did not state a standard of conduct distinct from the common law, but that the third sentence constituted “a distinct standard of conduct” and so gave rise to a cause of action (12 NY3d at 521). Yet the third sentence is merely the flip side of the coin expressed by the first two sentences: there is no way to make sure equipment is “in proper operating condition at all times” without “repair[ing] or replac[ing]” it if defective or unsafe.

An analogous regulation as to power buggies might require that power buggies must be operated safely and only persons competent to operate them may do so. But the power buggy regulation requires much more than the regulation we found specific in *Misicki*: only trained and designated persons may operate power buggies. If, as *Misicki* holds, “the third sentence of section 23-9.2 (a) ‘mandates a distinct standard of conduct, rather than a general reiteration of common-law principles’ ” (*id.*, quoting *Rizzuto*, 91 NY2d at 351), the same must be true of section 23-9.9 (a) a fortiori.³

In sum, whether one looks at the language of the regulation itself, or our prior decisions, or both, the majority’s holding is insupportable. To deny Mr. Toussaint recovery, we are flouting both the Commissioner’s directive and our own precedents.

IV.

There is a more fundamental reason that Mr. Toussaint should be able to pursue his claim under Labor Law § 241 (6), one rooted deep in the history and purpose of the Labor Law. The legislature directed two marked deviations from the common law—vicarious and strict liability—to protect construction workers in specified circumstances as a way of making those ultimately responsible for construction projects ultimately responsible for injuries resulting from those projects. The legislature has used those tools of enhanced liability selectively and not always jointly. Our Court’s holding in *Ross v Curtis-Palmer Hydro-Elec. Co.* (81 NY2d 494 [1993]) eroded the legislature’s selection of the rules of liability under Labor Law § 241 (6), as I discuss *infra* in section IV.C. But we somewhat ameliorated that misstep in our subsequent decisional law, including in *Rizzuto* and *Misicki*. The majority now takes a backward step that is inconsistent with the legislature’s carefully built structure. Mr. Toussaint and workers like him are

3. *Misicki* held that the third sentence itself was sufficiently specific to support a claim under Labor Law § 241 (6). The opinion did cursorily reference the subsequent sentences of the regulation, noting that they “describe requirements for servicing and repairing the equipment” (12 NY3d at 521). Those sentences, which say, “[t]he servicing and repair of such equipment shall be performed by or under the supervision of designated persons. Any servicing or repairing of such equipment shall be performed only while such equipment is at rest” (12 NYCRR 23-9.2 [a]), are similar in specificity to the power buggy regulation: both require the designation of persons, and the *Misicki* regulation requires that machines be at rest whereas the power buggy regulation requires that operators be trained.

exactly the class of persons contemplated by the statute: Labor Law § 241 is explicitly designed to provide extra protections from hazards inherent in construction sites.

A.

The original statute, predecessor to Labor Law § 241, was passed at the height of the Industrial Revolution, when the rapid increase in injuries and deaths in workplaces led to widespread recognition of the pressing need to prevent industrial accidents. From 1850 to 1880, the number of workers between the ages of 10 to 50 killed by accidents increased by 70% nationally (John Fabian Witt, *The Accidental Republic: Crippled Workingmen, Destitute Widows, and the Remaking of American Law* 26 [2004]). By 1912, workplace accidents killed an estimated 82,500 per year (*id.* at 26-27). Although miners and railroad workers faced the highest risks of injury, construction was also a deadly trade. Newspapers during the period are replete with graphic reports of workers falling to their deaths from rickety scaffolds (*see e.g. Weak Scaffold Kills Two*, NY Times, Sept. 13, 1896 at 11). Between 1890 and 1913, the New York World Building, the Manhattan Life Insurance Building, the Park Row Building (also known as 15 Park Row), the Singer Tower, the Metropolitan Life Tower, and the Woolworth Building each replaced its predecessor as the world's tallest building. Meanwhile, at the Wainwright Commission's hearings on the prevention of workplace accidents in 1911, New York City unions reported more than 200 accidents on construction sites in the previous year, including at least 17 deaths (1911 Rep to Legislature of the St of NY by the Commn Appointed under Chapter 518 of the Laws of 1909 to Inquire into the Question of Employers' Liability and Other Matters: Second Report, Causes of Industrial Accidents at 93, 122).

Injured workers had little recourse. In the nineteenth century, the fellow servant doctrine regularly prevented workers from recovering from their employers when injured on the job (*see* John Fabian Witt, *The Transformation of Work and the Law of Workplace Accidents, 1842-1910*, 107 Yale L J 1467, 1469-1470 [1998]). Widely adopted by American courts following *Farwell v Boston & Worcester R.R. Corp.* (45 Mass 49 [1842]), the doctrine rests on the proposition that workers assume the risk of injury at work, including the risk of injury as the result of the negligence of a fellow employee (*id.* at 59; *see also Cullen v Norton*, 126 NY 1, 6 [1891]; *Quigley v Levering*, 167 NY 58,

63-64 [1901]). But as industrialization accelerated, social reformers and organized labor joined forces to advocate for workplace safety and employer liability laws (*see generally* R. Rudy Higgins-Evenson, *From Industrial Police to Workmen's Compensation: Public Policy and Industrial Accidents in New York, 1880-1910*, 39 Labor History 365 [1998]; Robert Asher, *Failure and Fulfillment: Agitation for Employers' Liability Legislation and the Origins of Workmen's Compensation in New York State, 1876-1910*, 24 Labor History 198 [1983]).

Sections 240 and 241 were enacted in that first flush of progressive lawmaking. The first statute to address safety on construction sites made the failure to provide suitable scaffolds, hoists, stays, or ladders a misdemeanor (L 1885, ch 314). In 1896, a second statute was enacted to require all contractors and owners to complete the flooring or underflooring as the building progressed, requirements virtually identical to section 241 (1)-(3) (L 1896, ch 936). In 1897, those two laws were incorporated into the Labor Law as sections 18 and 20 (L 1897, ch 415). Over the next 40 years, the statutes were gradually expanded to increase protection and ensure enforcement. The statutes were revised to require enclosures of shafts and planking over any openings (L 1899, ch 192; L 1935, ch 440);⁴ to protect workers engaged in demolition and excavation (L 1930, ch 603; L 1932, ch 470); and, in 1932, to empower the industrial board to promulgate regulations, a role filled today by the Commissioner of Labor (L 1932, ch 470; Labor Law § 241 [6]).

Initially, although New York courts recognized that the statutes created causes of action for injured workers, they were reluctant to hold that violations of the statute constituted negligence as a matter of law and continued to apply the fellow servant doctrine (*see Rooney v Brogan Constr. Co.*, 107 App Div 258, 262 [2d Dept 1905]; *Kiernan v Eidlitz*, 109 App Div 726, 728 [1st Dept 1905]; *Rooney v Brogan Constr. Co.*, 147 App Div 68, 71-72 [2d Dept 1911]). Our jurisprudence began to shift, however, as we recognized that the Labor Law, which was enacted “for the protection of workmen from injury . . . is to be construed as liberally as may be for the accomplishment of the purpose for which it was thus framed” (*Quigley*, 207 NY at

4. Some of those legislative enactments were designed to counteract limitations imposed by courts. For example, prior to the 1935 amendment, New York courts repeatedly held that the requirement that floors be planked over did not apply to shafts or other openings (*e.g. Ithaca Trust Co. v Driscoll Bros. & Co.*, 169 App Div 377, 381 [3d Dept 1915]).

68 [holding that a contractor could become liable to a subcontractor and his employees for the safety of a scaffold under Labor Law § 18, now Labor Law § 240]). In 1912, we rejected an assumption-of-risk defense when a plaintiff was injured as a result of the employer's failure to comply with an analogous provision of the Labor Law (see *Fitzwater v Warren*, 206 NY 355, 358 [1912] ["Where an employer deliberately fails to comply with the statute the courts should be loath, except in a very clear case, to hold that the employee assumes the risk of his master's violation of the law"]). Not long after, in *Amberg v Kinley*, we held that when a provision of the Labor Law created a cause of action, it was "not necessary for the plaintiff to prove negligence on the part of the defendant, because the failure to observe the statute creates a liability *per se*" (214 NY 531, 535 [1915]).

By mid-century, it was settled law that both Labor Law § 240 and the first five subdivisions of Labor Law § 241 impose absolute liability on employers and owners (*Koenig*, 298 NY at 318; *Joyce v Rumsey Realty Corp.*, 17 NY2d 118, 122 [1966]; see also *Zimmer v Chemung County Performing Arts*, 65 NY2d 513, 522 [1985]). However, we consistently distinguished violations of standards set forth in administrative regulations from violations of standards set forth directly by the legislature in statutes. In *Conte v Large Scale Dev. Corp.*, we held that the State Board of Standards and Appeals's regulations "did not establish negligence *per se* but was simply some evidence of negligence which the jury could take into consideration with all the other evidence bearing on that subject" (10 NY2d 20, 29 [1961], quoting *Schumer v Caplin*, 241 NY 346, 351 [1925]). The source of that rule was the well established proposition that whereas a violation of a statute may "of itself establish negligence," a rule or ordinance does not have the same force (*Schumer*, 241 NY at 351; see also *Fluker v Ziegele Brewing Co.*, 201 NY 40, 44 [1911]; *Knupfle v Knickerbocker Ice Co.*, 84 NY 488, 491 [1881]). That proposition—distinguishing between rules established directly by the legislature and regulations promulgated by the executive branch—is a rule of general application, not a rule specific to the Labor Law.⁵ Prior to *Ross*, the specificity of the regulation was immaterial to the analysis.

5. As we explained in *Schumer*, the distinction between statutory commands, the violation of which can establish negligence *per se*, and regulations, the violation of which may be introduced merely as evidence of negligence, is rooted in separation of powers doctrine (241 NY at 351).

If a regulation or rule applied to the facts of the case, the regulation or rule could be presented to the jury as some evidence of negligence to be taken “into consideration with all the other evidence bearing on that subject” (*Conte*, 10 NY2d at 29).

B.

In 1962, the legislature revised Labor Law § 241, removing all the subdivisions so that it had a single provision authorizing the Commissioner to promulgate rules (*Allen v Cloutier Constr. Corp.*, 44 NY2d 290, 298-299 [1978]). Thus, section 241 then contained no legislatively directed safety standards. The legislature also amended the law to make subcontractors—in addition to owners and contractors—liable for violations (L 1962, ch 450, § 3). Because

“the amended statute was devoid of any specific directions normally contained in statutes imposing absolute liability . . . a violation of the rules promulgated thereunder resulting in the injury of a member of the protected class was properly held to be merely some evidence of negligence on the part of some person . . .

“The liability of an owner or general contractor under the 1962 amendment was, therefore, dependent upon a showing that they exercised some degree of control or supervision of the work site” (*Allen*, 44 NY2d at 299; *see also Kappel v Fisher Bros., 6th Ave. Corp.*, 39 NY2d 1039, 1041 [1976]).

That legislative experiment was brief. Just seven years later, the legislature reversed course and readopted the statute substantially in the form it had been before 1962, including deleting the reference to subcontractors (L 1969, ch 1108, § 3). The New York State AFL-CIO, which sponsored the bill, argued that “variances and violations occur with greater frequency from code rules than from the statute, and that as a result needless injuries and deaths have occurred” (Mem of NY St AFL-CIO, Bill Jacket, L 1969, ch 1108 at 19). Furthermore, the inclusion of subcontractors led to “attempted shifting of responsibility and liability between general contractor and subcontractor” (*id.*). “This bill, therefore, returns the safety responsibility to where it belongs—owners and contractors” (*id.*). The New York State Department of Labor adopted the union’s reasoning in its memorandum in support of the bill,

also noting that the changes “would strengthen an employee’s remedy in a third party action” (Off of Industrial Commissioner Mem in Support, Bill Jacket, L 1969, ch 1108 at 3). As we explained in *Allen v Cloutier Constr. Corp.*, the 1969 amendments to Labor Law § 241 “restore[d] to section 241 the vitality and protections which had previously existed and which had been removed from the statute by virtue of its 1962 amendment” (44 NY2d at 300).

Unsurprisingly, when the legislature reestablished section 241 in its pre-1962 form, we interpreted it the way we had in the past. In *Allen*, we held that the 1969 amendments imposed “absolute liability upon an owner or contractor for a breach of the duties imposed by subdivisions 1 through 6 of section 241 irrespective of their control or supervision of the construction site” (*id.*). In subsequent cases, we concluded that a violation of the regulations propagated by the Commissioner was simply “some evidence of negligence” (*Long v Forest-Fehlhaber*, 55 NY2d 154, 159 [1982]; *Zimmer*, 65 NY2d at 522). Those decisions reflect the long-standing rule of general application in negligence actions, differentiating between the effect of violations of legislatively established standards from those set out in regulations or ordinances.

C.

The holding in *Ross v Curtis-Palmer Hydro-Elec. Co.* (81 NY2d 494 [1993]) appeared quite out of thin air, tethered to no statutory text and engrafting a novel requirement on top of 70 years of established precedent governing Labor Law § 241 (6). *Ross* held that the provisions of the Industrial Code “mandating compliance with concrete specifications” give rise to a non-delegable duty, whereas “those that establish general safety standards,” incorporating the general common-law standard for duty of care, do not (*id.* at 505). Because nonspecific regulations do not differ from the common-law standard, we further held that workers injured by breaches of “nonspecific” regulations could not state any claim at all under section 241 (6) (*id.* at 504-505). No such requirement had ever existed previously, and *Ross* altered a statutory remedy without any legislative hint undergirding that change.

Instead, *Ross* explained the source of its rule by pointing to dicta in *Bland v Manocherian* (66 NY2d 452, 460 [1985]) distinguishing between the specificity of different statutory provisions: section 200 (1), which “merely incorporates the gen-

eral common-law standard,” and sections 240 (1) and 241, which “contain[] specific commands and standards” (*Ross*, 81 NY2d at 503). Then, *Ross* explained that our cases distinguished between statutory requirements that are “self-executing” in that they may be implemented “‘without regard to external considerations such as rules and regulations, contracts or custom and usage’” and those “whose terms ‘require reference to outside sources to determine the standards by which a defendant’s conduct must be measured’” (*id.*, quoting *Zimmer*, 65 NY2d at 523).

Ross’s analysis pertains to whether the legislature has set out a rule different from the common-law standard: if it has, strict liability attaches to it; if not, ordinary rules of negligence apply. That analysis does not bear on the force of regulations, to which strict liability never attached. *Ross* did not purport to alter the long-standing rule that violations of regulations may be introduced as proof of negligence whereas violations of legislative standards constitute negligence per se. To the contrary, *Ross* approvingly cited a passage in *Zimmer* that differentiates between the first five subdivisions of Labor Law § 241 and subdivision (6), because of the “long-established principle that a rule of an administrative agency or an ordinance of a local government is merely some evidence to be considered on the question of a defendant’s negligence and lacks the force and effect of a substantive legislative enactment” (*Zimmer*, 65 NY2d at 522).

The *Ross* “specificity” standard has no basis in precedent or statute and runs counter to the legislature’s overriding policy to provide robust protections for construction workers. Before the 1962 amendment, and for the decade after the restoration of Labor Law § 241 in its pre-1962 form, construction workers injured by conduct that violated *any* regulation issued by the Commissioner had a cause of action under section 241 (6); after *Ross*, they had a cause of action only if the regulation was specific enough to impose a duty distinct from the common law. Granted, violation of a regulation that said nothing more than what the common law requires would not add anything meaningful to the evidence at trial, but *Ross*, by eliminating the cause of action, eliminated vicarious liability even under an ordinary negligence standard, despite the fact that Labor Law § 241 commands that the liability imposed as to all subdivisions thereunder extends to “[a]ll contractors and owners and their agents.” Put simply, if Mr. Toussaint had been injured

before 1962, or after 1969 and before *Ross*, he would have been able to pursue a claim against the owner and general contractor and hold them vicariously, though not strictly, liable, referring to the regulation as evidence of negligence. Because *Ross* invented a “specificity” requirement, and because the majority concludes the power buggy regulation is not sufficiently different from the common-law standard, Mr. Toussaint cannot proceed.

The total loss of Mr. Toussaint’s section 241 (6) claim is not what the legislature ever envisioned. In 1969, the legislature reenacted the statute almost exactly as it had previously existed, reaffirming owners’ and general contractors’ nondelegable duty to provide a safe workplace. If the legislature had intended that these parties could not be held liable for violations of regulations that merely restated the common law, it could have done so. In fact, the legislative history suggests the opposite: the legislature sought to strengthen injured workers’ right to recover and restore the law to its original form.

D.

The standard imposed by *Ross* has proven to be utterly unworkable. We could readily start with the present case, *Misicki* and *Rizzuto*. How does one explain to a construction worker, general contractor, owner or insurer why a subcontractor’s failure to repair or replace defective tools or clean up a slippery floor are requirements beyond the common law that therefore will render the owner and general contractor liable, but operation of a power buggy by an unauthorized or untrained person is prohibited by the common law, and therefore will not render them liable?

Our incomprehensible *Ross* rule has tormented the lower courts and litigants too. Take, for example, *Scott v Westmore Fuel Co., Inc.* (96 AD3d 520 [1st Dept 2012])—a case principally relied on by the dissenting Appellate Division Justices in this case. In *Scott*, the First Department simultaneously held that a regulation was sufficiently distinct from the common law because it provided that “[e]xcavating machines shall be operated only by designated persons” and “[n]o person except the operating crew shall be permitted on an excavating machine while it is in motion or operation” (12 NYCRR 23-9.5 [c]), while another regulation was not, even though it provided that “[a]ll power-operated equipment used in construction, demolition or excavation operations shall be operated only by trained,

designated persons and all such equipment shall be operated in a safe manner at all times” (12 NYCRR 23-9.2 [b] [1]) (*Scott*, 96 AD3d at 520-521). Does the common law prohibit one of these but not the other?

Or compare section 23-5.1 (h) (“Every scaffold shall be erected and removed under the supervision of a designated person”), with section 23-7.1 (c) (“Only trained, designated persons shall operate personnel hoists and such hoists shall be operated in a safe manner at all times”). The Appellate Division has held that the former is specific (*Batista v Manhattanville Coll.*, 138 AD3d 572, 572-573 [1st Dept 2016]), while the latter is not (*Wade v Bovis Lend Lease LMB, Inc.*, 102 AD3d 476, 477 [1st Dept 2013]; *Robles v Taconic Mgt. Co., LLC*, 173 AD3d 1089, 1091-1092 [2d Dept 2019]). The only difference between the two provisions is the placement of the word “designated.” Moreover, query why a worker injured by an excavating machine operated by an unauthorized person may recover, but no cause of action arises when the machine in question is a personnel hoist.

E.

Until today’s decision, the trend of all the courts, including ours, was to hold regulations sufficiently specific and distinct from the common law even when they were hardly, if at all, different from the common-law standard. As Judge Graffeo observed in dissent in *Misicki*, “there is no distinction between the requirement that forms be kept structurally safe . . . and that structural defects/unsafe conditions be remedied” (12 NY3d at 523).⁶ Likewise, in *Rizzuto* a unanimous Court held: “requiring that any ‘foreign substance which may cause slippery footing *shall be removed . . . to provide safe footing*’ . . . mandates a distinct standard of conduct, rather than a general reiteration of common-law principles, and is precisely the type

6. See also *St. Louis v Town of N. Elba*, 16 NY3d 411, 417-418 (2011, Smith, J., dissenting) (“deciding whether the requirements of a particular regulation are ‘specific’ or ‘concrete’ enough can be tricky. . . . Now the majority holds that we may disregard the words . . . [T]his kind of ‘purpose-based’ interpretation . . . makes no sense at all in the context of a statute whose whole point, as we have interpreted it, is to give a remedy only for violations of a regulation’s specific commands. . . . If courts can freely rewrite the regulations to give whatever protection a court thinks should be given, why not forget about the general-specific distinction explained in *Ross* and allow plaintiffs to sue owners and contractors under Labor Law § 241 [6] for any violation of the common-law standard of care?”).

of ‘concrete specification’ that *Ross* requires” (91 NY2d at 351, first quoting 12 NYCRR 23-1.7 [d]), then quoting *Ross*, 81 NY2d at 503-505). One would surely think, however, that common-law negligence would be established by failing to remove slippery substances on floors—as is unwaveringly established in centuries of common-law jurisprudence. The *Rizzuto* Court offered no explanation for its bare say-so.

The decisions of our Court and the lower courts after *Ross*, holding regulations sufficiently specifically distinct from the common law when the conclusion is a head-scratcher, suffer from a failure of logic (identified by Judges Graffeo and Smith) but have, effectively, moved to correct *Ross*’s error sub silentio. Recall, for a moment, that before *Ross*, when a regulation was breached, a construction worker would be able to pursue a claim under section 241 (6) to hold owners and general contractors vicariously liable, though not strictly liable. As we noted in *Rizzuto*, “[a]n owner or general contractor may, of course, raise any valid defense to the imposition of vicarious liability under section 241 (6), including contributory and comparative negligence” (91 NY2d at 350). After *Ross*, as we and other courts have deemed regulations that require the repair or replacement of broken tools, the use of trained or designated workers, or the maintenance of slip-free flooring to set out a standard beyond what the common law requires, we have engaged in a fiction. The common law of negligence would deem those patently reasonable precautions. The effect of that fiction is to undo much of *Ross*.⁷ Each time we, or the lower courts, have deemed one such pabulum regulation sufficient to support a Labor Law § 241 (6) claim, we have, morsel by morsel, walked away from *Ross*, slowly returning toward the legislature’s intended structure. Today, we reverse course for no reason, throwing the lower courts into even more confusion as to how to make sense of *Ross*’s unintelligible standard, which itself contravenes the legislative plan.

Had we properly interpreted the regulatory language here, or had we followed our own precedent, or had we recognized

7. *St. Louis* eroded *Ross* in a different way than *Rizzuto* did. In *St. Louis*, we held that a regulation specifically regulating “power shovels and backhoes” should additionally apply to other equipment “that is enlisted to do the material handling that is otherwise performed by power shovels and backhoes” because “[t]he Industrial Code should be sensibly interpreted and applied to effectuate its purpose of protecting construction laborers against hazards in the workplace” (16 NY3d at 415-416).

the error of *Ross* and the tacit way in which the courts have partially made up for that error, we would have held that the rule stated in section 23-9.9 (a) is sufficiently distinct from the common law, thus providing Mr. Toussaint with a cause of action under Labor Law § 241 (6) to hold the defendants vicariously liable for his injuries. Doing so would not mean that a plaintiff in Mr. Toussaint's position would automatically win, because the regulation is not a statute. It would mean that he could offer the regulation as evidence of a standard of conduct and that the defendants could interpose certain defenses. That is the protection the legislature gave Mr. Toussaint and all similarly situated construction workers. Instead, in a terse opinion, we make a U-turn and head toward the worker protections offered by Khufu, Khafre and Menkaure. After losing his health and his livelihood, Mr. Toussaint loses his case as well.

Chief Judge DiFiore and Judges Singas and Cannataro concur; Judge Wilson dissents in an opinion, in which Judges Rivera and Troutman concur.

Order reversed, with costs, motion by defendant Port Authority of New York and New Jersey for summary judgment dismissing the Labor Law § 241 (6) claim predicated on Industrial Code (12 NYCRR) § 23-9.9 (a) granted and certified question answered in the negative.

[190 NE3d 1, 169 NYS3d 875]

In the Matter of AURORA ASSOCIATES LLC, Appellant, v RAFFA-
ELLO LOCATELLI, Respondent, et al., Respondents.

Argued January 6, 2022; decided February 15, 2022

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered June 11, 2020. The Appellate Division order, insofar as appealed from, affirmed so much of an order of the Appellate Term of the Supreme Court in the First Judicial Department (op 57 Misc 3d 157[A], 2017 NY Slip Op 51649[U] [2017]), as had (1) affirmed an order of the Civil Court, New York County (Jack Stoller, J.), to the extent it had granted respondent's motion for summary judgment dismissing the holdover petition; and (2) modified the order of Civil Court by granting respondent's motion for summary judgment on the counterclaim for attorneys' fees. The following question was certified by the Appellate Division: "Was the order of this Court, which affirmed the order of the Appellate Term, First Department, entered on or about December 6, 2017, properly made?"

Matter of Aurora Assoc. LLC v Locatelli, 184 AD3d 436, reversed.

HEADNOTE

Landlord and Tenant — Loft Law — Rent Regulation — Effect of Prior Owner's Purchase of Prior Tenants Rights and Improvements

A unit covered by the Loft Law (Multiple Dwelling Law art 7-C), exempted from that statute's rent stabilization regime by operation of a sale of a prior tenant's rights and improvements, is not subject to the rent stabilization provisions of the Emergency Tenant Protection Act of 1974. Accordingly, petitioner owner was entitled to charge a market rent for respondent tenant's unit in a Loft Law-eligible building and, pursuant to Real Property Law § 232-a, to regain possession of the unit by means of a holdover proceeding, because the prior owner had purchased rights and improvements in the unit from a prior tenant pursuant to Multiple Dwelling Law § 286 (6) and (12), thereby removing the unit from the Loft Law's rent regulation provisions. The Loft Law provides a detailed process for converting commercial space that had been unlawfully occupied as a residence to lawful residential use. Section 286 of that law provides a mechanism for tenants to recoup costs of improvements and for landlords to purchase tenants' improvements and rights. Upon doing so, landlords obtain relief from rent regulation under the Loft Law. However, occupancy of the unit is still governed by the Loft Law and the unit remains subject to all the relevant compliance provisions and

deadlines. By its terms, the regulation provides that following a sale of rights, where a unit is to remain residential, “the owner remains subject to all of the requirements of Article 7-C, these rules and orders of the Loft Board, including the legalization requirements of [Multiple Dwelling Law] § 284” (29 RCNY 2-10 [d] [2]). As a result, there remains in place a system of requirements and deadlines with which the owner must comply, and penalties to which the owner is subject in the event of noncompliance.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Landlord and Tenant §§ 876, 879, 880.

DOLAN, RASCH'S NEW YORK LANDLORD AND TENANT INCLUDING SUMMARY PROCEEDINGS (5th ed) §§ 2:40, 30:20, 43:29.

McKINNEY'S, Multiple Dwelling Law § 286 (6), (12); Real Property Law § 232-a.

NY JUR 2d Landlord and Tenant §§ 196, 228, 287, 452, 943, 945.

ANNOTATION REFERENCE

See ALR Index under Landlord and Tenant; Rent.

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Query: “loft law” /s rent /2 regulation & ETPA

POINTS OF COUNSEL

Kucker Marino Winiarsky & Bittens, LLP, New York City (*Joseph Goldsmith* of counsel), for appellant. I. The First Department's interpretation of the ruling in *Acevedo v Piano Bldg. LLC* (70 AD3d 124 [1st Dept 2009]) and the application of this interpretation to the instant controversy has created an unresolvable conflict between the Loft Law and the Emergency Tenant Protection Act and the subject order must therefore be reversed. (*Matter of Hatanaka v Lynch*, 304 AD2d 325; *Lipkis v Krugman*, 111 Misc 2d 445; *Baxter v Captain Crow Mgt.*, 128 Misc 2d 254.) II. The subject order and the interpretation by the First Department of the ruling in *Acevedo v Piano Bldg. LLC* (70 AD3d 124 [1st Dept 2009]) has resulted in an untenable conflict between the First and Second Departments of the Appellate Division. (*Caldwell v American Package Co., Inc.*, 57 AD3d 15; *Bennett v Hawthorne Vil., LLC*, 56 AD3d 706; *Matter of 315 Berry St. Corp. v Hanson Fine Arts*, 39 AD3d 656; *Glove-*

man Realty Corp. v Jefferys, 18 AD3d 812; *South Eleventh St. Tenants Assn. v Dov Land, LLC*, 59 AD3d 426; *Sheila Props., Inc. v A Real Good Plumber, Inc.*, 59 AD3d 424.) III. The subject order and this Court's interpretation of the ruling in *Acevedo v Piano Bldg. LLC* (70 AD3d 124 [1st Dept 2009]) is contrary to the New York City Loft Board's interpretation of the Loft Law. (*Matter of Fievet v New York City Loft Bd.*, 150 AD3d 402.) IV. The First Department erred in affirming the Appellate Term's improper reversal of the Civil Court decision/order which had held that respondent was not entitled to attorneys' fees. (*Nestor v McDowell*, 81 NY2d 410; *Gottlieb v Kenneth D. Laub & Co.*, 82 NY2d 457, 83 NY2d 801; *Beach Haven Apts. No. 1 v Cheseborough*, 2 Misc 3d 33; *Solow v Wellner*, 205 AD2d 339; *Murphy v Vivian Realty Co.*, 199 AD2d 192; *Sperling v 145 E. 15th St. Tenants' Corp.*, 174 AD2d 498; *Matter of Duell v Condon*, 84 NY2d 773; *Duane Thomas Loft Tenants Assn. v Sylvan Lawrence Co.*, 117 Misc 2d 360.)

De Lotto & Fajardo LLP, Rhinebeck (*Eduardo A. Fajardo* of counsel), for Raffaello Locatello, respondent. I. The subject building is subject to rent stabilization independent of the Loft Law. (*Matter of Salvati v Eimicke*, 72 NY2d 784; *Matter of Gracecor Realty Co. v Hargrove*, 90 NY2d 350; *520 E. 81st St. Assoc. v Lenox Hill Hosp.*, 38 NY2d 525; *Axelrod v Starr*, 41 NY2d 942; *Matter of Ruskin v Miller*, 172 AD2d 164; *Farnham v Kittinger*, 83 NY2d 520; *Walker v Town of Hempstead*, 84 NY2d 360; *Matter of Shubert v New York State Div. of Hous. & Community Renewal, Off. of Rent Admin.*, 162 AD2d 261; *Wilson v One Ten Duane St. Realty Co.*, 123 AD2d 198; *Rosenberg v Gettes*, 187 Misc 2d 790.) II. Landlord's attack on *Acevedo v Piano Bldg. LLC* (70 AD3d 124 [1st Dept 2009]) is baseless and *Wolinsky v Kee Yip Realty Corp.* (2 NY3d 487 [2004]) does not bar rent stabilization protection to all loft units. (*Costanzo v Joseph Rosen Found., Inc.*, 61 Misc 3d 730, 178 AD3d 501; *Matter of 315 Berry St. Corp. v Hanson Fine Arts*, 39 AD3d 656; *Caldwell v American Package Co., Inc.*, 57 AD3d 15; *Bennett v Hawthorne Vil., LLC*, 56 AD3d 706; *Matter of Swing v New York City Loft Bd.*, 180 AD2d 529; *19 W. 36th Holding Corp. v Parker*, 193 Misc 2d 519.) III. The four year temporarily exempt rule does not apply. (*Acevedo v Piano Bldg. LLC*, 70 AD3d 124; *182 Fifth Ave. v Design Dev. Concepts*, 300 AD2d 198.) IV. Landlord could not charge a "first rent." (*Manocherian v Lenox Hill Hosp.*, 84 NY2d 385; *73 Tribeca LLC v Greenbaum*, 44 Misc 3d 16; *Matter of Hatanaka v Lynch*, 304 AD2d 325.) V. Tenant is entitled to an award of his attorneys' fees.

OPINION OF THE COURT

GARCIA, J.

Aurora Associates LLC, the owner of Loft 3B at 78 Reade Street in Manhattan, commenced this holdover proceeding to recover possession and terminate the tenancy of the current occupant. Summary judgment was granted to the tenant on the ground that Aurora could not terminate his tenancy because the loft unit was subject to rent stabilization. We must decide whether a loft unit located in an interim multiple dwelling covered by the provisions of the Loft Law but exempt from the rent regulation provisions of that statute by operation of a sale of the prior tenant's rights and improvements is otherwise subject to rent stabilization. We hold that it is not, and therefore reverse and grant summary judgment to Aurora.

I.

This case requires us to revisit what we have previously described as a “patchwork of rent-control legislation” that has grown into an “impenetrable thicket” of rules and regulations (*City of New York v New York State Div. of Hous. & Community Renewal*, 97 NY2d 216, 219 [2001], quoting *Matter of 89 Christopher v Joy*, 35 NY2d 213, 220 [1974]). More specifically, in deciding whether the premises here are subject to rent regulation, we must once again consider the interplay of the Emergency Tenant Protection Act (ETPA) and the Loft Law (see *Wolinsky v Kee Yip Realty Corp.*, 2 NY3d 487, 491 [2004]).

The Loft Law, Multiple Dwelling Law article 7-C, was enacted in 1982 to resolve the “serious public emergency . . . created by the increasing number of conversions of commercial and manufacturing loft buildings to residential use without compliance with applicable building codes and laws” (Multiple Dwelling Law § 280). The legislature found that “illegal and unregulated residential conversions” require “intervention of the state and local governments” to “establish a system whereby residential rentals can be reasonably adjusted so that residential tenants can assist in paying the cost of such legalization without being forced to relocate” (*id.*). The statute's goal was “to finally balance the equities of the conflicting interests in the development and use of loft space” and aimed to “provide[] a framework for the legalization of these dwellings consistent with the local zoning resolution of the City of New York” (Mem of Legis Rep of City of NY Off of Mayor, June 10, 1982, Bill Jacket, L 1982, ch 349 at 64, 70, 1982 McKinney's Session Laws of NY at 2479, 2484).

To that end, the Loft Law provisions created a pathway to legalization for former commercial and manufacturing loft buildings used as residences despite a lack of residential occupancy certificates pursuant to a process overseen by the Loft Board (*see* Multiple Dwelling Law § 282). To be eligible for Loft Law occupancy, the building must be an interim multiple dwelling (IMD): a building or structure “at any time . . . occupied for manufacturing, commercial, or warehouse purposes” which “lacks a certificate of compliance or occupancy” and is occupied as a residence by “three or more families living independently of one another” (Multiple Dwelling Law § 281 [1]). The building must also be “in a geographical area in which the local zoning resolution permits residential use as of right,” “within an area designated . . . as a study area for possible rezoning to permit residential use,” or subject to a special permit for residential use granted by a local planning agency, and “not owned by a municipality” (*id.* § 281 [2]). Because the intent of the Loft Law was to provide a mechanism for legalizing certain units in commercial buildings already used for residential purposes, not to generate additional illegal conversions, only buildings occupied for residential purposes during certain time periods in the past are eligible for Loft Law conversion (*id.* § 281 [1], [3]). Although occupancy of a multiple dwelling without a certificate of occupancy is generally prohibited by the Multiple Dwelling Law (*id.* § 301), the Loft Law permits “continued occupancy” of converted units in eligible buildings during the legalization process and protects tenants “from eviction by reason of illegal occupancy, violation of a lease provision prohibiting residential use, or the lack of a residential certificate of occupancy” (*Little W. 12th St. Realty L.P. v Inconiglios*, 19 Misc 3d 508, 513 [Civ Ct, NY County 2008]; Multiple Dwelling Law §§ 283, 286 [1], [2]).

Section 284 of the Loft Law sets out necessary steps for legalization, requiring that owners “take all reasonable and necessary action to obtain a certificate of occupancy as a class A multiple dwelling” (*id.* § 284 [1]). Once owners have come into compliance with safety and fire protection standards, they “may apply to the loft board for an adjustment of rent based upon the cost of such compliance,” at which point “the loft board shall set the initial legal regulated rent, and each residential occupant qualified for protection . . . shall be offered a residential lease” (*id.* § 286 [3]).

Two provisions of the Loft Law found in a section titled “Tenant protection” are of significance here. Under section 286 (6), “a residential tenant . . . may sell any improvements to the unit made or purchased by [the tenant] to an incoming tenant provided, however, that the tenant shall first offer the improvements to the owner for an amount equal to their fair market value.” If the owner purchases the improvements,

“any unit subject to rent regulation solely by reason of this article . . . shall be exempted from the provisions of this article requiring rent regulation if such building had fewer than six residential units as of [June 21, 1982], or rented at market value subject to subsequent rent regulation if such building had six or more residential units at such time” (Multiple Dwelling Law § 286 [6]).

A separate provision, often exercised in tandem with a purchase of improvements, provides that “an owner and a residential occupant may agree to the purchase by the owner of such person’s rights in a unit” (Multiple Dwelling Law § 286 [12]). Upon purchase of the rights, the owner may return the unit to commercial use, relieving the owner of all Loft Law obligations, or continue residential use, subject to all Loft Law legalization requirements with the exception that “the unit is no longer subject to rent regulation where coverage under [the Loft Law] was the sole basis for such rent regulation” (29 RCNY 2-10 [d] [2]).

II.

In 1998, the prior owner of 78 Reade Street—a building registered as an IMD in 1983—purchased the improvements and rights related to Loft 3B pursuant to Multiple Dwelling Law § 286 (6) and (12) from the tenants then in occupancy. The record before us contains the sales record form reflecting the 1998 sale of the then-covered tenant’s improvements and rights under Multiple Dwelling Law § 286 (6) and (12), along with a recent registration renewal notice from the Loft Board indicating that the unit in question is designated “BuyR”—the “designation a unit receives in Loft Board records after a sale of rights has been filed and the unit is intended to remain residential” (*Matter of Desjardins*, Loft Bd Order No. 4995 at 3 n 1 [July 16, 2020]; *Matter of 33-39 E. 60th St., LLC*, Loft Bd Or-

der No. 5061 [June 17, 2021]).¹ Prior tenants had been paying \$440 a month in rent. By the end of 1998, following Aurora's purchase of the building, Aurora entered into a lease agreement with a new tenant for \$4,250 per month.

In 2009, the current tenant entered into a lease agreement with Aurora to rent Loft 3B at \$4,000 per month for a five-year term, and in 2014 the parties agreed to a one-year extension of the lease at an increased rent of \$4,200 per month. After the one-year extension expired, tenant paid \$4,200 on a month-to-month basis until February 2016. The following month, Aurora sent tenant a notice of termination requiring him to vacate by the end of April 2016 and rejected tenant's rent payment.

When tenant refused to vacate, Aurora brought a holdover proceeding against tenant pursuant to Real Property Law § 232-a, which authorizes summary proceedings to remove a monthly tenant given appropriate notice, and tenant raised counterclaims in opposition. The parties cross-moved for summary judgment, with tenant arguing that the unit was subject to rent stabilization under the ETPA, independent of the Loft Law. Tenant asserted that therefore he was not a month-to-month tenant and instead was entitled to summary judgment dismissing Aurora's possession claim and to renewal of his lease (*see generally* 9 NYCRR part 2524) because Civil Court "must follow the holding of" *Acevedo v Piano Bldg. LLC* (70 AD3d 124, 127 [1st Dept 2009]), namely that a unit is "subject to rent stabilization by virtue of [the] ETPA" even where a sale of rights has occurred. Aurora, in opposition, asserted that it was not until *Acevedo* that Loft Law units were made subject to the ETPA, that *Acevedo* was "not good law," and that, "[i]f *Acevedo* . . . is not to be enforced, the Premises is not subject to the ETPA since there has been a prior sale pursuant to MDL § 286(12)."² This argument prompted tenant to respond that Aurora could not avoid *Acevedo*'s holding that the ETPA

1. The sales record form is to be filed within 30 days of the sale (29 RCNY 2-10 [b]). The Loft Board has determined, pursuant to 29 RCNY 2-10 (b), that "[t]he only consequence for [a building owner's] untimely filing of the sales record form is a civil penalty" (*Matter of Blessing*, Loft Bd Order No. 4738 at 3 [Feb. 15, 2018]).

2. Given the likelihood that Civil Court would adhere to the controlling Appellate Division precedent on which tenant relied, Aurora also raised arguments contending that, even assuming Rent Stabilization Law of 1969 (RSL) (Administrative Code of City of NY) § 26-511 (c) (4) and the ETPA applied under *Acevedo*, the unit was nevertheless exempted from such rent regulation schemes pursuant to various provisions within those statutes.

precluded his eviction “unless the New York State Court of Appeals decline[d] to follow Acevedo,” and thereby overruled its approach.

As the Housing Court Judge explained, “[t]he core of the parties’ dispute is the rent regulatory status of the subject premises” because “[i]f the subject premises is unregulated, termination of a tenancy pursuant to [Real Property Law] § 232-a is a remedy available to Petitioner,” and “[i]f the subject premises is rent-stabilized, RPL § 232-a is not a remedy available to Petitioner.” To answer that dispositive issue, the court looked to the building’s “rent regulatory status” under Rent Stabilization Law of 1969 (RSL) (Administrative Code of City of NY) § 26-511 (c) (4). Relying on *Acevedo*, the court agreed with tenant that, because “there are six residential units in the building in which the subject premises is located,” “it is subject to rent stabilization by virtue of [the ETPA] notwithstanding the sale of Loft Law rights by a prior tenant, in part because MDL § 286(12) only applies to the actual occupant who sold her or his rights, not subsequent tenants.” On this basis, the court denied Aurora’s motion for summary judgment on the issue of possession of the unit, granted tenant’s motion to dismiss Aurora’s petition insofar as it sought possession of the unit, and granted Aurora’s motions to dismiss tenant’s rent overcharge and attorneys’ fees counterclaims.

The parties cross-appealed to the Appellate Term, which granted tenant’s cross motion for attorneys’ fees and otherwise affirmed (57 Misc 3d 157[A], 2017 NY Slip Op 51649[U] [App Term, 1st Dept 2017]). The Appellate Term echoed Housing Court’s statement that “[t]he ‘core’ of the parties’ [] dispute, as acknowledged by the motion court itself, was the rent regulatory status of the subject unit, which resulted in the dismissal of *the underlying holdover proceeding* on the merits” (2017 NY Slip Op 51649[U], *2 [emphasis added]). That court held that Aurora could set a market value rent pursuant to Multiple Dwelling Law § 286 (6), but—citing *Acevedo*—determined that the loft nevertheless remained subject to rent regulation, as a “pre-1974 building [that] contained six or more residential units and the unit remained residential” (*id.* at *1). Because it determined tenant had received “substantial relief” in the holdover proceeding, the court remitted for a determination of attorneys’ fees in tenant’s favor (*id.* at *1, *2).

The Appellate Division affirmed the Appellate Term order, also relying on *Acevedo* to hold that “[n]otwithstanding the pre-

decessor owner's purchase of a prior tenant's rights under Multiple Dwelling Law § 286 (12), the loft unit at issue remained subject to rent regulation as the apartment is located in a pre-1974 building containing six or more residential units" (184 AD3d 436, 437 [1st Dept 2020]). As a result, the Appellate Division determined that the eviction proceeding was properly dismissed (*id.* at 437). The Appellate Division also affirmed dismissal of tenant's rent overcharge claim, asserting that Aurora "was not entitled to charge a market value rent for the unit" but tenant's overcharge claim failed nonetheless because there was no basis to examine the rental history beyond the four-year look-back period (*id.*). That Court granted Aurora's motion to appeal to this Court, certifying the question of whether its order was correctly decided.³

Before this Court, Aurora argues that Loft 3B is not subject to rent regulation due to the prior owner's purchase of the protected tenant's Loft Law rights. Aurora contends that the courts below erred in concluding that the unit was otherwise subject to rent stabilization and eviction protections by operation of the ETPA and RSL and that such a conclusion contravenes this Court's decision in *Wolinsky*. In response, tenant argues that, irrespective of Loft Law coverage and the prior tenant's Loft Law sale of rights, the unit is subject to rent stabilization pursuant to the ETPA as a "housing accommodation" because the building was constructed prior to 1974, contains more than six residential units, and Loft Law units are not expressly exempted from ETPA coverage.⁴ We must therefore decide whether Loft 3B was subject to rent regulation "solely" by virtue of the relevant provisions in the Loft Law such that, after the sale of the tenant's rights under section 286 (12), it was no longer subject to any form of rent regulation. To answer that question, we must consider the

3. The Appellate Division denied tenant's motion for leave to appeal to this Court and we dismissed tenant's subsequent motion for leave on jurisdictional grounds (36 NY3d 1105 [2021]). As a result, tenant's overcharge claim is not before us on this appeal.

4. Tenant has never asserted that he was a "residential occupant[] qualified for protection" and "entitled to continued occupancy" under Multiple Dwelling Law § 286 (2) (i) (dissenting op at 134-137). At oral argument before this Court, tenant conceded that the sole issue here is whether rent control protections apply to prevent Aurora's Real Property Law § 232-a action from proceeding, and argued that the ETPA was "what protects this particular tenant" from Aurora's holdover action seeking possession of the unit. Tenant also conceded that in the proceedings below, he never claimed protection from any other statutory source.

other potential avenue for rent regulation on which tenant relies—the RSL and the ETPA.

III.

The ETPA, enacted to eliminate vacancy decontrols, is an “enabling act” that empowered New York City, among other municipalities, “to extend rent stabilization” to “all or any class or classes of housing accommodations” with some enumerated exceptions (*La Guardia v Cavanaugh*, 53 NY2d 67, 71, 74-75 [1981]; ETPA § 5 [McKinney’s Uncons Laws of NY § 8625 (L 1974, ch 576, sec 4, § 5, as amended)]). Pursuant to the ETPA, upon New York City’s invocation of its authority, certain housing accommodations became subject to the RSL (*see also Matter of Salvati v Eimicke*, 72 NY2d 784, 791 [1988]; *La Guardia*, 53 NY2d at 76).

The RSL and the regulations promulgated thereunder in the Rent Stabilization Code (RSC) apply to “[c]lass A multiple dwellings” containing six or more units and built before 1974, with the exception of units “subject to rent regulation under the private housing finance law or any other state law,” and “[o]ther housing accommodations in class A or class B multiple dwellings made subject to this law pursuant to the [ETPA]” (Administrative Code § 26-504 [a] [1] [b]; [b]). The RSC specifies its applicability to any class or classes of “housing accommodations”—defined as “[t]hat part of any building or structure, occupied or intended to be occupied by one or more individuals as a residence, home, dwelling unit or apartment” (9 NYCRR 2520.6 [a])—“made subject to regulation pursuant to the RSL or any other provision of law” but, as discussed further below, excepts from its coverage “housing accommodations which would otherwise be subject to rent regulation solely by reason of the provisions of article 7-C of the MDL requiring rent regulation, but which are exempted from such provisions pursuant to section 286(6) and 286(12) of the MDL” (9 NYCRR 2520.11 [q]).

Despite the breadth of its purported reach, the extension of rent stabilization pursuant to the ETPA is not unlimited, as we made clear in *Wolinsky*, a case involving tenants who sought ETPA protection for units converted from commercial to residential use outside the Loft Law eligibility period (2 NY3d at

493).⁵ In addressing tenant's claim for protection, we held that the ETPA did not apply to the converted units, because "[i]f the prior-enacted ETPA already protected illegal residential conversions of manufacturing space, significant portions of the Loft Law would have been unnecessary" (*id.* at 493). While "not expressly exempted from ETPA coverage," we noted that "the Legislature did not view the ETPA as safeguarding the interests of the loft pioneers" and concluded that the tenants' illegal conversions did "not fall under the ambit of the ETPA" (*id.* [internal quotation marks omitted]).

Some lower courts have disagreed over the impact of our holding in *Wolinsky* on the issue of whether the ETPA applies to loft units that do qualify for Loft Law coverage. The First Department has held that, regardless of a sale of rights or improvements under Multiple Dwelling Law § 286, premises subject to the Loft Law are and remain subject to rent regulation under the ETPA, as long as the unit in question is in a building with six or more units constructed before 1974 (*see Acevedo*, 70 AD3d 124). In *Acevedo*, relied on by the courts below, the First Department based its holding on the language of Loft Board regulation section 2-10, which provides that following a sale of rights, a unit is "no longer subject to rent regulation where coverage under Article 7-C was the *sole* basis for such rent regulation" (29 RCNY 2-10 [d] [2] [emphasis added]). The Court expressed the view that "[t]he only other 'such rent regulation' to which the Loft Board's regulation could have been referring is the ETPA and reasoned from that premise that there would have been "no reason for the phrase in the regulation referring to 'the sole basis for such rent regulation,' unless there was ETPA coverage (70 AD3d at 128). Thus, without clearly identifying a basis for coverage in the language of the ETPA or RSL, the Court concluded that the Loft Board somehow acknowledged that—independent of the provisions of the Loft Law—"a former Loft Law unit may be covered by rent stabilization" under the ETPA (*id.* at 128). The First Department took the "view" that *Wolinsky* "stands for

5. Our conclusion in *Wolinsky* that the ETPA did not apply to illegally converted lofts despite its facially broad application to "housing accommodations" is consistent with our prior determination in *La Guardia* that the term "housing accommodations," as added to the RSL in conjunction with the enactment of the ETPA, did not encompass class B multiple dwellings (*see* 53 NY2d at 76). In response to *La Guardia*, the legislature extended the Rent Stabilization Law to specifically encompass class B multiple dwellings (*see* L 1981, ch 675).

nothing more than the proposition that illegal loft units are not entitled to rent stabilization treatment when the unit is incapable of being legalized” (*id.* at 130).

In contrast, the Second Department has relied on our holding in *Wolinsky* to limit the reach of ETPA protections, for example holding that, in situations where “conversion of the unit was undertaken at the expense of [tenant’s] predecessor, who then sold his fixtures and his Loft Law rights to the defendant’s predecessor,” tenant’s “premises were not covered by, and his tenancy was not protected by, the ETPA,” and it was error to find the tenancy “subject to rent regulation” (*Bennett v Hawthorne Vil., LLC*, 56 AD3d 706, 709-710 [2d Dept 2008]). The Second Department has thus declined to adopt the interpretation that the ETPA automatically applies, following a sale of Loft Law rights, to any building with six or more units constructed before 1974 that is capable of being legalized.

We reject the First Department’s view of the limited applicability of our holding in *Wolinsky* and, consistent with our analysis in that case, we now hold that a unit covered by the Loft Law, exempted from that statute’s rent stabilization regime by operation of a sale of a prior tenant’s rights and improvements, is not subject to the rent stabilization provisions of the ETPA. As we held in *Wolinsky*, illegal loft conversions are not covered by the ETPA. It follows that conversions made legal solely by operation of the Loft Law, that obtain relief from that statute’s rent regulation regime pursuant to its provisions, do not default to rent stabilization under the ETPA (*see* 2 NY3d at 493; *Caldwell v American Package Co., Inc.*, 57 AD3d 15, 20-24 [2d Dept 2008]). Accordingly, our holding confirms that illegal conversions do not independently fall within the ambit of the ETPA, whether or not the unit may ultimately find a path to legalization through the Loft Law.

To the extent that some courts have relied on language in the Loft Board regulations referring to instances where the Loft Law was the “sole basis” for rent regulation as support for applying the ETPA to units subject to the Loft Law (*see Acevedo*, 70 AD3d at 128), such reliance is misplaced. The regulatory language in question does not refer to the application of another rent regulation regime or suggest that a Loft Law unit may be independently subject to rent regulation under the ETPA. Rather, the “sole basis” language, which appears in similar form in the Loft Law and Rent Stabilization Code (*see* Multiple Dwelling Law § 286 [6]; 9 NYCRR 2520.11 [q]), merely

reflects recognition of the fact that the legislature has periodically created tax incentive and other programs through which non-stabilized units become (sometimes temporarily) subject to rent stabilization. Whether or not there is an applicable program covering a particular unit at any given point in time, this language provides room for the legislature to expand the scope of rent stabilization to encompass such a unit, and clarifies that a unit that became subject to rent stabilization based on a separate law would not be exempt therefrom merely because it met the exemption criteria of the Loft Law. Consistent with this view, the Loft Board's regulation governing the purchase of improvements recognizes that some units may be receiving certain benefits of real estate tax exemption or tax abatement that otherwise render them rent-stabilized, and explains that the Loft Law sale provisions do not abrogate other rent stabilization regimes as applied to those units (*see* 29 RCNY 2-07 [d] [4]).

Furthermore, by its own terms, the ETPA—which permitted municipalities to extend rent stabilization to “all or any class or classes of housing accommodations” (Uncons Laws § 8625 [a])—does not cover this unit. The RSL, effectuating the ETPA, covers “housing accommodations in class A or class B multiple dwellings made subject to [the RSL] pursuant to the [ETPA]” (RSL § 26-504 [b]; *see Matter of Gracecor Realty Co. v Hargrove*, 90 NY2d 350, 355 [1997]). A unit undergoing Loft Law legalization does not constitute a “housing accommodation[] in [a] class A . . . multiple dwelling[]” within the meaning of the RSL. In fact, to be eligible for Loft Law coverage, a unit must constitute an IMD, and the end goal of the Loft Law legalization process is certification as a class A multiple dwelling (Multiple Dwelling Law § 284). And the RSC specifically excludes from coverage “housing accommodations which would otherwise be subject to rent regulation solely by reason of the provisions of [the Loft Law] requiring rent regulation, but which are exempted from such provisions pursuant to section 286(6) and 286(12) of the MDL” (RSC § 2520.11 [q]; *see* 2520.6 [a] [defining “housing accommodation”]).⁶

The Loft Law provides a detailed process for converting commercial space that had been unlawfully occupied as a residence

6. Our dissenting colleague raises an issue—ostensibly “for another day”—that has neither been briefed by any party nor considered by any court below, nor indeed by any court to have considered the issue we decide (dissenting op at 140-141 n 7). That this circular argument has so far gone unmentioned is not surprising. The EPTA is, of course, an enabling act, “not

(n. cont'd)

to lawful residential use. Section 286 of that law provides a mechanism for tenants to recoup costs of improvements and for landlords to purchase tenants' improvements and rights.⁷ Upon doing so, landlords obtain relief from rent regulation under the Loft Law. However, occupancy of the unit is still governed by the Loft Law and the unit remains subject to all the relevant compliance provisions and deadlines. By its terms, the regulation provides that following a sale of rights, where a unit is to remain residential, "the owner remains subject to all of the requirements of Article 7-C, these rules and orders of the Loft Board, including the legalization requirements of MDL § 284" (29 RCNY 2-10 [d] [2]). As a result, there remains in place a system of requirements and deadlines with which the owner must comply, and penalties to which the owner is subject in the event of noncompliance. Here, the prior owner purchased rights and improvements in a particular unit in this Loft Law-eligible building, removing that unit from the Loft Law's rent regulation provisions, entitling Aurora to charge a market rent and, pursuant to Real Property Law § 232-a, to regain possession of the apartment by means of a holdover proceeding.

While the tone of the dissent is regrettable, the main thrust of the "analysis" requires little attention. As the procedural history outlined above makes quite clear, this dispute from its inception has concerned whether the unit was rent-stabilized, as the determinative factor in deciding whether Aurora could proceed under the relevant provision of the Real Property Law on which this holdover action was based. That was the issue decided by Housing Court, by the Appellate Term, and by the Appellate Division, and it is the issue pressed by tenant in this Court. The suggestion that the only relevance of the rent stabilization issue was to tenant's counterclaim (dissenting op at 128, 135) is wrong. In fact, tenant below claimed that Aurora

a rent and eviction regulating law" (see *La Guardia*, 53 NY2d at 74-75), and where invoked by New York City, it is the Rent Stabilization Law and the RSC that define the reach of stabilization. That code specifically exempts these lofts from coverage (see 9 NYCRR 2520.11 [q] [exempting from rent regulation housing accommodations otherwise subject to rent regulation "which are exempted . . . pursuant to section 286(6) and 286(12) of the MDL"]).

7. We also reject the First Department's interpretation of the deregulation effect of section 286 (12) as somehow inapplicable to subsequent tenants. There is no support for that determination in the language of the statute and such an approach would contravene the statute's purpose (see *Matter of Blessing*, Loft Bd Order No. 4738 at 2 [the unit was "deregulated by a prior sale of rights. Thus, Tenant is not a protected occupant"]; *Matter of Grondon*, Loft Bd Order No. 4227 [Jan. 16, 2014]).

could only win on its holdover claim if “the New York Court of Appeals declines to follow *Acevedo*” (*but see* dissenting op at 146 [“The majority now overrules the very authority on which *Aurora* affirmatively relied” (emphasis added)]). We now do just that.⁸

Accordingly, the Appellate Division order, insofar as appealed from, should be reversed, with costs, respondent’s cross motion for summary judgment dismissing the petition denied, petitioner’s motion for summary judgment granted, the matter remitted to the Civil Court of the City of New York for further proceedings in accordance with this opinion, and the certified question answered in the negative.

WILSON, J. (dissenting). If one ignores some simple facts agreed to by both parties and disregards the text and purpose of the Loft Law, it is easy to become ensnared, as the majority has, in an “impenetrable thicket” (majority op at 115, quoting *Matter of 89 Christopher v Joy*, 35 NY2d 213, 220 [1974]). Although other cases involving New York City’s rent regulation scheme may be complex, this is not one of them. Or, at least, it should not have been one.

These are the simple, agreed upon facts:

- The parties confirmed at oral argument that the sole issue presented is whether Aurora can evict Mr. Locatelli.
- The owner of 78 Reade Street registered that building under the Loft Law for conversion to residential occupancy in 1983. In those 39 years, I finished law school, clerked for a federal judge, worked as a commercial litigator for more than 30 years and as a Judge of this Court for the last five; meanwhile Aurora and its predecessors have not obtained a residential certificate of occupancy for 78 Reade Street, and offer no explanation for that failure.
- Absent extensions based on a showing of good cause, the Loft Law required the owner of 78 Reade Street to obtain a certificate of occupancy within roughly three years of registration—that is, by 1986 or 1987.
- Aurora, the owner since 1998, admits that it can-

8. We do not approach statutory interpretation as a competition with the legislature over who gets the “last word” (dissenting op at 149-150).

not legally collect rent from *any* of the residential tenants of that building, including Mr. Locatelli, because it has not complied with the Loft Law requirements within the prescribed time periods or qualified for any extension of those deadlines.

- Nevertheless, Aurora has collected market-rate rents for unit 3B, the subject unit—ranging between \$3,300 to \$4,250 a month—from 1998 until 2016, when Aurora refused Mr. Locatelli’s tender of his monthly rent and commenced this eviction proceeding.¹

As to its text and legislative purpose, the Loft Law prevents the displacement of tenants residing in former commercial or industrial buildings that lack residential certificates of occupancy; provides specialized rent regulation during the approximately three-year period during which owners take steps necessary to bring the loft units in compliance with fire, health and safety standards and obtain a certificate of occupancy (C of O); and permits owners of those buildings to collect rents from their residential tenants *so long as the owner has met the timelines for residential legalization* set forth in the Loft Law. New York City’s implementing regulations provide that if an owner purchases a tenant’s rights pursuant to Multiple Dwelling Law § 286 (12), the Loft Law’s own *rent regulation* provisions do not apply, but all other Loft Law requirements do (29 RCNY 2-10 [d] [2]). Those other requirements include the Loft Law’s anti-eviction protections.

After entering the impenetrable thicket, the majority exits with the following answer: Aurora’s purchase of rights from a prior tenant of Mr. Locatelli’s unit removed the unit from the Loft Law’s rent regulation, and because the building (and unit) remains subject to the rest of the Loft Law’s requirements, the building is not subject to any provisions of the Emergency Tenant Protection Act (ETPA), including the ETPA’s provisions barring eviction. Therefore, Aurora is entitled to summary judgment in its holdover proceeding to evict Mr. Locatelli.

My answer, found clearly in the statutory text, is different: by failing to comply with the Loft Law’s conversion require-

1. Aurora’s noncompliance with the Loft Law has proved quite lucrative. Aurora has redacted from the record the amount it paid to purchase previous tenants’ rights in unit 3B, but it has provided detailed data showing that it received nearly \$300,000 in rent from the successor tenant, and approximately that same amount from Mr. Locatelli—all of which it could not legally have collected. In addition to unit 3B, 78 Reade Street has seven other residential units.

ments, Aurora (and its predecessors) lost the benefits of that law. Aurora's noncompliance, however, does not strip Mr. Locatelli of his right to remain. Housing Court, the Appellate Term and the Appellate Division each concluded that Aurora may not evict Mr. Locatelli. Only the majority believes Aurora may do so, and it believes so based on a rationale not advanced by—but incompatible with—the argument made by Aurora in Housing Court.

Despite acknowledging that the Loft Law governs unit 3B, the majority focuses its analysis on the unit's rent-regulatory status under the Emergency Tenant Protection Act. That is an analytical misstep. Answering any question about whether unit 3B is subject to rent regulation, either now or in some imaginary future in which 78 Reade Street obtains a residential certificate of occupancy, is purely advisory. Although it made sense for the lower courts to consider unit 3B's rent regulatory status because Mr. Locatelli's rent overcharge claim was at issue, we dismissed Mr. Locatelli's application for leave to appeal his rent overcharge claim (36 NY3d 1105 [2021]), and Aurora has not sought any monetary remedy from Mr. Locatelli. In fact, before our Court, Aurora admitted it cannot legally collect rent for any unit at 78 Reade Street, including Mr. Locatelli's, until it complies with the Loft Law, a result dictated by our decision in *Chazon, LLC v Maugenest* (19 NY3d 410 [2012]). Thus, the only question for our Court to decide on this appeal is whether Aurora can evict Mr. Locatelli, and the Loft Law provides the answer to that question in full. There is no need to consult any other statutory framework.

I briefly explain the history of the Loft Law in part I. In part II, I set out the essential procedural history of this case. In part III, I explain why the Loft Law alone resolves this case and bars Mr. Locatelli's eviction. One could stop there and have a completely sufficient answer to resolve this appeal. However, in part IV, I reluctantly enter the majority's briar patch to explain why, even there, the majority has gone astray. Part V expresses my bemusement at the majority deciding this case based on a ground not advanced by and incompatible with the argument made by Aurora in the court of instance, in contravention of its recent insistence that we consider only those arguments raised by the parties.

I.

At the behest of New York City, in 1982, the legislature passed the Loft Law to address the “serious public emergency”

of such a lack of affordable housing that persons were taking up residence in commercial and manufacturing spaces that did not conform to residential housing codes (Multiple Dwelling Law § 280). The Loft Law was the “sixth and final integral and interrelated component of [Mayor Koch’s] comprehensive plan for the utilization of loft space in New York City” (Mem of Legis Rep of City of NY Off of Mayor, June 10, 1982, Bill Jacket, L 1982, ch 349 at 70, 1982 McKinney’s Session Laws of NY at 2483). The legislature found that the then-existing state of loft occupancy posed a “serious public emergency” for “public health, safety and general welfare” because “housing maintenance services essential to maintain health, safety and fire protection are not being provided in many such buildings” (Multiple Dwelling Law § 280). Before enacting the Loft Law, the legislature had enacted Multiple Dwelling Law article 7-B “to facilitate the compliance by owners with necessary fire safety provisions,” but article 7-B had “not been effective because of the lack of a framework for the legalization of loft space used illegally for residential purposes” (Mem of Legis Rep of City of NY Off of Mayor, June 10, 1982 at 8, Bill Jacket, L 1982, ch 349 at 71, 1982 McKinney’s Session Laws of NY at 2484). Mayor Koch explained that the Loft Law would “assure that fire safety standards are met in these buildings at the earliest possible moment” (*id.*). Through the Loft Law, the legislature struck a balance between those grave public safety issues, on the one hand, and the “acute shortage of housing” in New York City and “great hardship” tenants would suffer if those buildings were immediately barred to residential occupants (Multiple Dwelling Law § 280).

The Loft Law provides a statutory framework to convert such formerly commercial spaces already occupied by residential tenants into official residential spaces in compliance with New York City fire, safety and health regulations. The Loft Law defines an “interim multiple dwelling” or “IMD” (Multiple Dwelling Law § 281). The Loft Law originally obligated owners of IMDs to:

“(A) . . . file an alteration application within nine months [of June 21, 1982], . . . (B) . . . take all reasonable and necessary action to obtain an approved alteration permit within twelve months [of June 21, 1982], . . . (C) . . . achieve compliance with the standards of safety and fire protection . . . within eighteen months from obtaining such altera-

tion permit or eighteen months from [June 21, 1982], whichever is later, and (D) . . . take all reasonable and necessary action to obtain a certificate of occupancy as a class A multiple dwelling for the residential portions of the building or structure within thirty-six months from [June 21, 1982]” (Multiple Dwelling Law § 284 [1] [i]).²

For an IMD registered with the Loft Board, while the unit is being brought up to code and a C of O is being obtained, the Loft Law allows tenants to live in the unit even though it lacks a residential C of O (Multiple Dwelling Law § 283) and it allows landlords to collect rent (Multiple Dwelling Law § 285 [1])—conduct that would otherwise be prohibited by sections 301 and 302 of the Multiple Dwelling Law (*see* Multiple Dwelling Law §§ 301 [1] [illegal for a tenant to live in a unit without a C of O]; 302 [1] [b] [illegal for a landlord to charge rent for a unit without a C of O]). As we summarized in *Chazon, LLC v Maugenest*: “Until the Legislature enacted the Loft Law in 1982, the residential occupancy of lofts was illegal pure and simple: The tenants had no right to be there, and the landlords had no right to collect rent” (19 NY3d 410, 413 [2012] [citations omitted]).³

2. Subsequent amendments extended the deadlines for deemed compliance. The last such amendment would deem an owner in compliance if the owner had filed an alteration application by September 1, 1999; had taken all reasonable and necessary steps to obtain an approved alteration permit by March 1, 2000; had complied with the fire and safety standards by May 1, 2002 or 12 months from obtaining an approved alteration permit; and had taken all reasonable and necessary action to obtain a certificate of occupancy as a class A multiple dwelling by May 31, 2002 or within one month of achieving compliance with the prior requirements, whichever is later (Multiple Dwelling Law § 284 [1] [iv]). Additionally, the Loft Law permits the Loft Board to grant up to two 12-month extensions of the deadline to obtain a certificate of occupancy “upon good cause shown, and upon proof of compliance with the standards of safety and fire protection” (*id.* § 284 [1] [i]). The statutory and discretionary extension provisions are not relevant here, because Aurora admits that 78 Reade Street remains out of compliance to this date.

3. The Loft Law allows tenants of an IMD to register a building with the Loft Board. If neither the owner nor the tenant registers the IMD, no legal residential rental of, or tenancy in, the building is allowed until the owner obtains a residential C of O for the building. In other words, owners have an incentive to register IMDs to be able to collect rents while they legalize the building for residential use, and tenants have an incentive to register the building to obtain protection against eviction, rents regulated by the Loft Board during the legalization process, and compensation for tenant improvements to the units in which they have been dwelling, among other things.

Upon registration with the Loft Board, an IMD owner must meet the statutory timelines for completion of the work set out in Multiple Dwelling Law § 284 and described above. Units that go through the conversion process have their preexisting rents frozen with modest increases allowable after schedules are met, including when an alteration application is filed, when an alteration permit is issued, and when fire safety standards are met (Multiple Dwelling Law § 286 [2] [ii]). Once an owner complies with all the legalization requirements of the Loft Law and obtains a C of O, the Loft Board sets the initial rent (Multiple Dwelling Law § 286 [5]) and then turns its jurisdiction over to the New York Division of Housing and Community Renewal (DHCR) for normal stabilized rent regulation (29 RCNY 2-01 [m]; *see also* Mem of Legis Rep of City of NY Off of Mayor, June 10, 1982 at 5, Bill Jacket, L 1982, ch 349 at 68, 1982 McKinney's Session Laws of NY at 2482 ["The loft board would set the initial legal regulated rent of each residential unit which would then be subject to the Rent Guidelines Board increases pursuant to the Emergency Tenant() Protection Act"])).

II.

Unit 3B is on the third floor of 78 Reade Street, a former commercial building. On January 31, 1983—well within the original statutory deadline for registering with the Loft Board—the building's owner, Elan-Volcan Associates, filed with the Loft Board an IMD application for the building. When the Loft Board accepted the application a few months later, the unit became subject to the Loft Law and the City's implementing regulations, including the statutory schedule for bringing the unit up to code.

But in 1997, 14 years later, unit 3B still did not have a residential C of O. Nevertheless, William and Helena Lombardi were living there and paying \$440.16 per month in rent to the building's owner, Reade-Church Equities Associates. By an agreement dated August 5, 1997, the Lombardis agreed to vacate unit 3B and sell to Reade-Church Equities all leasehold improvements and rights, including rights under Multiple Dwelling Law § 286 (12), and to surrender possession of the premises for a sum of money that has been redacted from the record. The agreement also represented that unit 3B is a "loft premises . . . covered under the Loft Law" and that, after the sale, the Lombardis "shall no longer be deemed a covered Ten-

ant under the Loft Law.” A sale form signed by Mr. Lombardi dated August 26, 1998, memorializes that transaction. The sale form indicates that the building has eight residential units at the time of the sale and that unit 3B was intended to remain in residential use after the sale. A month earlier, by deed dated June 30, 1998, Reade-Church Equities transferred ownership of the building to Aurora Associates. The record shows that Reade-Church and Aurora are affiliated entities.

In December 1998, Aurora leased unit 3B to a new tenant for \$4,250 per month. The unit still had no residential C of O. The tenant’s rent was reduced to \$3,800 in January 2002 and \$3,300 in January 2004, and the tenant moved out in July 2004. The record does not show whether the unit was rented between July 2004 and July 2009.

On August 1, 2009, Aurora still had not brought the unit up to code or obtained a residential C of O. Nevertheless, it entered into a lease with the tenant in this case, Mr. Locatelli, for unit 3B and charged rent of \$4,000 per month. Mr. Locatelli paid that rent for five years, after which he entered into a one-year lease extension with Aurora, at an increased rent of \$4,200 per month, which extension took effect as of December 1, 2014. That lease expired on November 30, 2015, and Mr. Locatelli continued to pay the monthly rent charged by Aurora, which Aurora accepted through February 2016. On March 23, 2016, Aurora sent Mr. Locatelli a notice of termination of month-to-month tenancy, requiring him to vacate by April 30, 2016, and threatening legal action. Aurora subsequently rejected rent Mr. Locatelli tendered. Throughout the entire period during which Mr. Locatelli paid rent to Aurora, the unit had no residential C of O.

On May 5, 2016, Aurora commenced this holdover proceeding. Mr. Locatelli answered, generally denying the allegations in the petition and asserting as an affirmative defense that despite Aurora’s purchase of “the fixtures of a previous Loft Law tenant,” the petition should be dismissed because Aurora “never obtained a final Certificate of Occupancy and simply continued renting the subject premises for residential purposes.” He also challenged the validity of the purported sale of rights by the Lombardis on the ground that Loft Board regulations required that documentation of the sale of rights be filed with the Loft Board within 30 days (29 RCNY 2-10 [b]), and Aurora had not filed it with the Loft Board until six years after the purported sale occurred. He also asserted counterclaims for rent overcharges and attorneys’ fees.

Housing Court denied Aurora's motion for summary judgment of possession, rejecting Aurora's argument that because the rent charged to the first tenant after the Multiple Dwelling Law § 286 (6) and (12) sale was over the luxury decontrol threshold of \$2,000, the unit was not regulated. Housing Court granted Mr. Locatelli's cross motion for summary judgment denying the petition for possession and denied his counterclaims. Housing Court noted Mr. Locatelli's argument about the invalidity of the section 286 (6) and (12) sale based on (1) untimeliness of the filing with the Loft Board and (2) the fact that the purported sale was signed by only one of the two tenants protected by the Loft Law. Housing Court did not reach either argument because it ruled for Mr. Locatelli on other grounds.⁴ The Appellate Term modified to grant Mr. Locatelli attorneys' fees, holding that he was the "prevailing party," and otherwise affirmed Housing Court's judgment (57 Misc 3d 157[A], 2017 NY Slip Op 51649[U], *2 [App Term, 1st Dept 2017]).

The Appellate Division affirmed (184 AD3d 436 [1st Dept 2020]). First, it held that notwithstanding the Multiple Dwelling Law § 286 (12) sale, unit 3B remained subject to rent regulation under the ETPA because the apartment is located in a pre-1974 building containing six or more residential units, and thus the eviction proceeding was properly dismissed (*id.* at 437). Next, the Appellate Division held that the Appellate Term properly awarded attorneys' fees to Mr. Locatelli because he was the prevailing party on the "'core' issue between the parties" (*id.*). Finally, the Appellate Division held that the Appellate Term properly dismissed the rent overcharge claim (*id.*). A few months later, the same panel denied Aurora's cross motion for reargument and certified the question of whether its order was correctly decided to our Court.

4. Because that properly raised issue, which involves both facts and law, has never been decided, even accepting the majority's judgment in its entirety, the order here should be a remittal for determination of at least that issue, not an order directing a grant of summary judgment for Aurora. The majority refers to a Loft Board determination that failure to timely file a sale of rights results in a civil penalty only (majority op at 118 n 1), but that question is ultimately one of statutory interpretation for the lower courts to decide in the first instance. Here, Housing Court expressed some concern about the consequences of allowing the delinquent filing to be given effect. Mr. Locatelli raised the issue in the court of instance, and no court has considered the issue. Our normal practice is to remit such issues for decision by the lower courts.

III.A.

78 Reade Street and unit 3B within it are subject to the Loft Law. When Aurora commenced this proceeding, it pleaded that “[t]he Premises is an Interim Multiple Dwelling, subject to Article 7-C of the New York Multiple Dwelling Law (‘Loft Law’).” Aurora presently maintains unit 3B’s IMD status by submitting an annual registration form and an annual \$500 registration fee to the Loft Board. Despite the Loft Law’s requirement that the owner of an IMD speedily obtain a residential C of O, Aurora (and the preceding owners) have never obtained one. Without a residential C of O, once Aurora fell out of compliance with the Loft Law’s statutory schedule for bringing the unit up to code, it became illegal for Aurora to collect rent until the unit is legalized (Multiple Dwelling Law §§ 301, 302 [1] [b]; *see also Chazon, LLC v Maugenest*, 19 NY3d 410, 413 [2012]).

Aurora does not contend that its failure to comply with the Loft Law’s legalization requirements entitles it to evict Mr. Locatelli. Not only does the Loft Law forbid owners from seeking to recover possession of a unit “because a residential certificate of occupancy has not been issued for the building” (Multiple Dwelling Law § 286 [1]), but it expressly grants tenants the right to remain throughout the legalization process:

“Prior to compliance with safety and fire protection standards of article seven-B of this chapter, residential occupants qualified for protection pursuant to this article shall be entitled to continued occupancy, provided that the unit is their primary residence, and shall pay the same rent, including escalations, specified in their lease or rental agreement . . . or, in the absence of a lease or rental agreement, the same rent most recently paid and accepted by the owner” (Multiple Dwelling Law § 286 [2] [i]).

Then,

“[u]pon or after compliance with the safety and fire protection standards . . . each residential occupant qualified for protection pursuant to this article shall be offered a residential lease subject to the provisions regarding evictions and regulation of rent set

forth in the [ETPA] . . . except to the extent the provisions of this article are inconsistent with such act” (*id.* § 286 [3]).

By the plain terms of the Loft Law, Mr. Locatelli is entitled to continued occupancy. In fact, the Loft Law provides Aurora with no grounds to terminate Mr. Locatelli’s tenancy in a holdover proceeding. Again, this case is not about whether Mr. Locatelli’s rent is regulated: Mr. Locatelli’s rent overcharge claim, which was at issue in the lower courts, is not before our Court. Aurora agrees it cannot legally charge him any rent—the issue on appeal is solely Mr. Locatelli’s right to stay.

B.

The Multiple Dwelling Law § 286 (6) and (12) sale did not divest the Loft Board of jurisdiction over the legalization process. The majority agrees with at least that (majority op at 124-125).⁵ Neither the Multiple Dwelling Law nor the ETPA contains any suggestion that, by purchasing an existing loft tenant’s rights, the illegal unit either becomes legal or is stripped of the Loft Law’s tenant protections. Instead, the effect of the purchase is to remove the Loft Law’s *rent regulation* provisions, not its *tenant protection* provisions. New York City regulations provide:

“If the unit is to remain residential after a sale of rights pursuant to MDL § 286(12), the owner remains subject to all of the requirements of Article 7-C, these rules and orders of the Loft Board, including the legalization requirements of MDL § 284, except that the unit is no longer subject to rent regulation where coverage under Article 7-C was the sole basis for such rent regulation” (29 RCNY 2-10 [d] [2] [emphasis added]).

In spite of this clear regulatory language—which the majority itself quotes (majority op at 117, 125)—the majority launches into an irrelevant discussion of the ETPA, *Wolinsky v Kee Yip Realty Corp.* (2 NY3d 487 [2004]) and *Acevedo v Piano Bldg. LLC* (70 AD3d 124, 129 [1st Dept 2009]) to establish that the ETPA does not regulate IMD *rents* until a C of O is

5. An owner has two choices after a Multiple Dwelling Law § 286 (12) sale: return the space to commercial use (29 RCNY 2-10 [d] [1]) or keep the space in residential use (*id.* § 2-10 [d] [2]). The record contains no suggestion that Aurora or its predecessors ever sought to return unit 3B to commercial use, and Aurora has advanced no such argument.

obtained, and then with neither explanation nor authority jumps to the conclusion that the 1998 purchase of the improvements and rights from the Lombardis eliminated the Loft Law's *eviction protection* for Mr. Locatelli. Left to guess at the majority's reasoning, I can think of only two possibilities: either the majority thinks that the anti-eviction protection is "rent regulation" under New York City's implementing regulation, or the majority thinks that the anti-eviction protection belongs to the initial tenant and does not run with the property. Neither is correct.

1.

The Loft Law contains eviction protections distinct from its provisions regulating rent. A tenant's right to occupy the loft until the owner has brought the unit and building into compliance with the requisite health and safety standards is guaranteed, and is distinct both substantively and textually from the rent regulation provisions:

"Prior to compliance with safety and fire protection standards of article seven-B of this chapter, residential occupants qualified for protection pursuant to this article *shall be entitled to continued occupancy*, provided that the unit is their primary residence, *and shall pay the same rent*, including escalations, specified in their lease or rental agreement to the extent to which such lease or rental agreement remains in effect or, in the absence of a lease or rental agreement, the same rent most recently paid and accepted by the owner; if there is no lease or other rental agreement in effect, rent adjustments prior to article seven-B compliance shall be in conformity with guidelines to be set by the loft board for such residential occupants within six months from the effective date of this article" (Multiple Dwelling Law § 286 [2] [i] [emphasis added]).

The two italicized provisions represent two different rights: the right to "continued occupancy" and the right to "pay the same rent" until the other rent regulation provisions in section 286 allow for rent increases. Nothing in the Loft Law's text or the text of the City's implementing regulation even remotely suggests that "rent regulation" was meant to include anti-eviction rights, and the regulation's express admonishment that "the owner remains subject to all of the requirements of Article 7-C,

these rules and orders of the Loft Board” except for the Loft Law’s own rent regulation cannot reasonably be interpreted to mean that the City intended a sale under Multiple Dwelling Law § 286 (12) to extinguish the Loft Law’s anti-eviction prohibitions. Absent a legal ground for eviction, a tenant residing in an IMD unit and thus protected by the Loft Law’s anti-eviction provisions has the right to stay in the unit while the landlord seeks a C of O regardless of the status of the tenant’s lease.

2.

This leads to the second possibility for the unstated rationale underlying the majority’s holding: perhaps the majority agrees that the anti-eviction protections are not “rent regulation,” but believes that a tenant’s sale of rights under Multiple Dwelling Law § 286 (12) eliminates all rights any future tenants may have, including anti-eviction rights. That argument (I am guessing—because the majority offers no explanation for how it gets around 29 RCNY 2-10 [d] [2]) would depend on reading “residential occupants qualified for protection pursuant to this article” in Multiple Dwelling Law § 286 (2) (i) to limit the Loft Law’s protections to the initial tenants, perhaps inheritable by successor tenants but not if the initial tenant has sold the rights. No party has made that argument, and it cannot possibly be right. First, if one read the statute that way, it would require voiding 29 RCNY 2-10 (d) (2), which limits the effect of a Multiple Dwelling Law § 286 (12) sale to the Loft Law’s rent regulation provisions. The parties have not argued, and the majority does not conclude, that the City’s regulation is void. Second, the Loft Law defines “residential occupants qualified for protection under this article” not by the date on which the resident occupied an IMD, but as the “residents of an interim multiple dwelling” (Multiple Dwelling Law § 281 [3]). The date restrictions contained in Multiple Dwelling Law § 281 concern the eligibility windows for a building to be considered an IMD, not the dates on which a tenant must have resided in an IMD to obtain the Loft Law’s protections. If the legislature had intended to limit the Loft Law’s protections to the tenants in place at the time a building qualified for IMD status, it would have been easy to write the law to say so.

C.

Apart from the plain language providing that a tenant’s sale of rights affects only the Loft Law’s rent regulation provisions,

and not any other provisions, the majority's conclusion runs contrary to the Loft Law's purposes. The Loft Law strikes a balance by protecting loft tenants from eviction while allowing owners to collect rent even though the occupancy was illegal—and for which rent otherwise could not lawfully be collected. In other words, the hardship of eviction and the declared public emergency from a lack of affordable housing justified the legislative decision to permit continued occupancy even if a loft unit did not comply with health or safety standards, and the owners were allowed to fund some of the cost of legalization through rents that otherwise would have not been lawfully allowed—but only if the owners remained in compliance with the Loft Law's timetables. An owner's noncompliance disentitles the owner to recover rent for the illegal occupancy, but does not affect the public policy concerns driving the legislative decision to permit the illegal occupancy to continue: the shortage of affordable housing and the hardship of eviction.⁶

We have previously held that the Loft Law protects tenants from eviction in an analogous context. In *Chazon, LLC v Maugelest*, we held that “the landlord of a New York City loft who has not complied with the Loft Law and has not received an extension of time to comply may not maintain an ejectment action based on nonpayment of rent” (19 NY3d 410, 413 [2012]). In that case, the tenant lived in a loft apartment with no C of O and had not paid rent for nine years (*id.* at 415). The owner, Chazon, argued that it could collect rents or evict the tenant for nonpayment even though it had “neither met the Loft Law deadlines nor obtained an extension of time from the Loft Board” (*id.* at 415). We concluded that “the landlord is not entitled either to collect rent or to evict the tenant” (*id.* at 413). Specifically, we held that Multiple Dwelling Law § 302 (1) barred the landlord from collecting rent because “Multiple Dwelling Law § 285 (1) makes an exception only for a landlord who is ‘in compliance with’ the Loft Law” (*id.* at 415). Chazon was indisputably not in compliance with the Loft Law, so we held that it could not collect rent or evict the tenant for nonpay-

6. That policy is reflected elsewhere in the Loft Law as well. For example, if an owner lets an IMD deteriorate to the point that the City determines it is unsafe for continued occupancy, the owner is required to pay the tenants for the value of their improvements; the owner is required to make all improvements necessary to obtain a residential C of O; and the tenants are entitled to resume occupancy thereafter (Multiple Dwelling Law § 284 [1] [xi]). This further evidences the strong public policy behind the anti-eviction provisions of the Loft Law and city regulations.

ment of rent. In other words, we concluded that “the statutes [left] these parties in their present stalemate until compliance [with the Loft Law] has been achieved” (*id.*).

Chazon strikes right at the heart of the problem here, and lays bare the incongruity of the majority’s position. Like Aurora, Chazon had failed to comply with the Loft Law. The tenant in *Chazon* had not paid rent for nine years; Mr. Locatelli unfailingly paid his rent for over six years, until Aurora rejected it. We held then that the Loft Law prevented Chazon from evicting its freeloading tenant, and yet today we hold that the Aurora may evict its paying tenant. The majority’s result does not square with the Loft Law’s text and the legislature’s and City’s objectives. The clear expectation of the Loft Law—stated the statute itself and the legislative history—is for units subject to its regulations to “obtain a Class A multiple dwelling certificate of occupancy within 36 months from the effective date of this act” (Mem of Legis Rep of City of NY Off of Mayor, June 10, 1982 at 3, Bill Jacket, L 1982, ch 349 at 66, 1982 McKinney’s Session Laws of NY at 2481; *see also* Multiple Dwelling Law § 284 [1] [i]). Multiple Dwelling Law § 302 (1) (b) prevents the dispossession of a tenant for nonpayment of rent—including when the tenant’s lease had expired—if the landlord has failed to comply with Loft Law timelines. So, why would we permit dispossession of a tenant who continues to hold over but pays rent, when the owner is out of compliance with Loft Law timelines? The legislative penalty identified in *Chazon* for noncompliance with the Loft Law is not merely that the landlord may not collect rent but also that the tenant cannot be evicted (except for specified reasons not relevant here). That reflects a legislative judgment that, in addition to whatever monetary penalties the Loft Board may impose, the bar on collection of rent and bar on eviction were necessary teeth to motivate timely compliance and good faith efforts.

In sum, the text of the Loft Law and the City’s implementing regulations bar Aurora from evicting Mr. Locatelli. I would stop here in deciding this appeal.

IV.

The question the majority says it “must” decide is “whether Loft 3B was subject to rent regulation ‘solely’ by virtue of the relevant provisions in the Loft Law such that, after the sale of the tenant’s rights under section 286 (12), it was no longer subject to any form of rent regulation” (majority op at 120). As

discussed in part V below, Aurora never made any such argument in Housing Court. Temporarily putting that aside, the majority says it must decide whether a loft for which Aurora admits it cannot legally charge any rent is subject to rent regulation. I suppose we might just as well answer whether Aurora's rental of Gracie Mansion to Mayor Adams is at a free-market or stabilized rate—both are purely academic questions. Aurora has no more right to charge rent for Gracie Mansion than it does for 78 Reade Street, unit 3B.

The fundamental problem with the majority's entire exercise is that this appeal is concededly not about rent regulation, and the provisions on which the majority bases its decision concern rent regulation only—not eviction protection. The majority begins by citing to Multiple Dwelling Law § 286 (6) and (12) and 29 RCNY 2-10 (d) (2), which, as previously discussed, exempt IMD units from “rent regulation” where the Loft Law “was the sole basis for such rent regulation.” The majority then reads those provisions as if they exempt qualifying IMD units from all elements of the ETPA and the Rent Stabilization Law (RSL). But nothing in those provisions purports to say that qualifying units are exempt from the ETPA or RSL wholesale—they refer to rent regulation only. Even if unit 3B is not subject to rent regulation under the Loft Law, and even if it is not subject to rent regulation by any other law, it would remain subject to the tenant protection provisions of the Loft Law, as discussed in part III. But even were it not subject to the tenant protection provisions of the Loft Law, it would still be subject to the tenant protection provisions of the ETPA because those tenant protection provisions are not “rent regulation.”⁷

7. The Loft Law provides that a local legislative body can extend the ETPA's coverage to IMDs by a declaration of emergency (Multiple Dwelling Law § 286 [13]). Shortly after the Loft Law's adoption, the New York City Council issued the requisite declaration, finding that “it is necessary and in the public interest that the Emergency Tenant Protection Act of 1974 apply to units occupied by residential tenants qualified for protection pursuant to Article 7-C of the Multiple Dwelling Law as set forth in such Article” (New York City Council Resolution No. 369, dated Apr. 26, 1983, New York City Record, vol CX, at CC 10 [No. 32999], Supp for Apr. 26, 1983; see also *Matter of Lower Manhattan Loft Tenants v New York City Loft Bd.*, 104 AD2d 223, 226 [1st Dept 1984] [“In accordance with (Multiple Dwelling Law § 286 [13]), the New York City Council passed a declaration of emergency declaring the necessity of applying the Emergency Tenant Protection Act of 1974 to units qualified for protection under article 7-C of the Multiple Dwelling Law (the Loft Law)”], *aff'd* 66 NY2d 298 [1985]). Thus, pursuant to authority granted

(n. cont'd)

A.

Proceeding as if “rent regulation” meant “all provisions in the ETPA and RSL,” the majority then points to a purported disagreement between the First and Second Departments “over the impact of our holding in *Wolinsky* [*v Kee Yip Realty Corp.* (2 NY3d 487 [2004])] on the issue of whether the ETPA applies to loft units that do qualify for Loft Law coverage” (majority op at 122). *Bennett v Hawthorne Vil., LLC* (56 AD3d 706 [2d Dept 2008]), the case cited by the majority for an interpretation of *Wolinsky* that conflicts with the First Department’s interpretation, does not cite *Wolinsky* at all. There is a disagreement, but it is not over the interpretation of *Wolinsky*.

Substantively, *Wolinsky*, *Bennett* and *Acevedo* have little or nothing to do with this appeal, though each for a different reason. Starting with *Wolinsky*, the majority expands it to a wholly dissimilar situation. In *Wolinsky*, we considered whether the ETPA applied to an illegally converted loft that could not possibly qualify for Loft Law protection (2 NY3d at 493). Dispositively, the loft was located in a building that was in a zoning district that did not permit residential use, and the landlord had not “attempt[ed] to obtain a variance or other relief from the zoning restriction” (*id.* at 490). “[U]nder these circumstances” we declined to “extend[]” the ETPA to cover the loft because it was not “legal or capable of being legalized” given its location in a zoning district that did not permit residential use (*id.* at 490, 493). Our analysis in *Wolinsky* emphasized that “[b]y adopting an eligibility period that was closed at the time of the enactment, the Legislature demonstrated its intent to provide the benefits of the Loft Law only to existing residential tenancies, not to encourage new conversions of loft space” (*id.* at 492-493). The majority mischaracterizes the holding of *Wolinsky* as “illegal loft conversions are not covered by the ETPA” (majority op at 123), a mischaracterization that is wholly untethered from *Wolinsky*’s rationale and that lacks any independent rationale. A faithful reading of *Wolinsky* shows that case

by the legislature in the Loft Law, in 1983, the New York City Council directed that the ETPA cover IMDs. Because the City Council acted in 1983 to subject all IMDs to the ETPA, unit 3B was not “subject to rent regulation solely by reason of” the Loft Law (9 NYCRR 2520.11 [q]), and therefore the exclusions arising from the Multiple Dwelling Law § 286 (6) and (12) sale do not apply. No party or lower court has mentioned Multiple Dwelling Law § 286 (13), the City Council’s resolution implementing it, the Appellate Division’s decision in *Lower Manhattan Loft Tenants* or our affirmance thereof, so I leave that issue for another day.

is not germane here: unlike the loft in *Wolinsky*, unit 3B is (i) covered by the Loft Law and (ii) located in an area zoned for residential use.

More importantly, *Wolinsky* did not—and could not—involve a sale of rights under Multiple Dwelling Law § 286 because the unit at issue was ineligible for Loft Law coverage. Unlike the owner of the building in *Wolinsky*, Aurora remains obligated to “take all reasonable and necessary action to obtain a certificate of occupancy as a class A multiple dwelling” (Multiple Dwelling Law § 284 [1] [i] [D])—which definitionally would be subject to the ETPA once that C of O was obtained. Likewise, the majority does not dispute that, if an owner has not purchased a tenant’s rights in a unit covered by the Loft Law, the ETPA would cover the unit upon legalization. Thus, because the majority’s claimed exemption of unit 3B from the ETPA has nothing to do with *Wolinsky* (which involved no sale of rights under Multiple Dwelling Law § 286) or the legality or illegality of the conversion, it must derive from the effect of the Multiple Dwelling Law § 286 sale on the applicability of the ETPA and RSL.

Bennett and a string of First Department cases including *Acevedo* do disagree about the effect of a Multiple Dwelling Law § 286 sale on rent regulation under the ETPA. The anti-eviction protections were not at issue in either case. But even as to rent regulation—which is not at issue here—*Bennett* reached its conclusion without any significant statutory analysis, merely citing the city regulation exempting such sales from Loft Law rent regulation (not ETPA rent regulation) and two Appellate Division cases: *Matter of 315 Berry St. Corp. v Hanson Fine Arts* (39 AD3d 656 [2d Dept 2007]) and *Caldwell v American Package Co., Inc.* (57 AD3d 15 [2d Dept 2008]). Neither case supports the Second Department’s holding in *Bennett*. In *315 Berry*, the owner purchased the improvements and rights of all tenants, represented to the Loft Board that the building would be returned to commercial use, and thereafter allowed new residential tenants to move in (39 AD3d at 657). The Court held that the units *were* subject to the ETPA, despite the owner’s prior purchase of rights (*id.*). In *Caldwell*, the tenants held a commercial lease in a commercial building that was “[i]neligible for protection under the Loft Law” (57 AD3d at 21). The Court held that the building was not covered by the ETPA (*id.* at 24). Obviously, a commercial building that was not and could not become residential involved no sale of Loft Law rights.

The First Department's decision in *Acevedo*, in contrast, contains an extensive analysis of why a sale of a tenant's rights under Multiple Dwelling Law § 286 conveys only " 'such person's rights in a unit' " (70 AD3d at 127 [emphasis omitted], quoting Multiple Dwelling Law § 286 [12]), and "says nothing about rent stabilization or ETPA; . . . says nothing about any subsequent tenant's rights; indeed, it says nothing about deregulating units in any way whatsoever" (*id.*). *Acevedo* found additional support for its conclusion in the Loft Board's regulations, "which contemplate that units formerly covered by the Loft Law may be subject to rent stabilization even after they have been 'deregulated' under the Loft Law" and in the "intent of the Loft Law, which was not to supplant rent regulation" (*id.* at 127-128). The Court further explained that "at the time of passage of the Loft Law, lofts that met statutory requirements were covered by the rent regulations, and this was not altered by the Legislature in passing the Loft Law or the amendment to ETPA" (*id.* at 128).

The majority's criticism of *Acevedo* is not well-founded. The majority's analysis rests on its say-so conclusion that

"the 'sole basis' language, which appears in similar form in the Loft Law and Rent Stabilization Code (see Multiple Dwelling Law § 286 [6]; 9 NYCRR 2520.11 [q]), merely reflects recognition of the fact that the legislature has periodically created tax incentive and other programs through which non-stabilized units become (sometimes temporarily) subject to rent stabilization" (majority op at 123-124).

There are two main defects in that conclusion. First, the tax incentive and other programs operate by subjecting qualifying projects to the ETPA and RSL (see *e.g.* 28 RCNY 5-03 [f]). Thus, even in the case of such tax abatement or incentive programs, the ETPA and RSL provide the basis for rent regulation—so *Acevedo* correctly concluded that the other bases for rent regulation were the ETPA and RSL. Second, simply because programs exist that temporarily bring certain dwellings into the ETPA and RSL, one cannot automatically reach the majority's conclusion: that the "sole basis" language was meant to refer *only* to such programs.

B.

The majority offers an alternate rationale: because unit 3B has not yet become either a class A or a class B residence, it is

not a “housing accommodation” under the ETPA. The majority’s position is antithetical to the position Aurora urged in Housing Court: that unit 3B was subject to the ETPA until 1998, when it was removed from the ETPA’s coverage by the luxury decontrol provision. In any event, the majority’s position has no textual basis.⁸ The ETPA regulates “all or any class or classes of housing accommodations in a municipality” (ETPA § 5 [a] [McKinney’s Uncons Laws of NY § 8625 (a) (L 1974, ch 576, sec 4, § 5 [a], as amended)]). The ETPA broadly “applies to regulate residential rents ‘of all housing accommodations which it does not expressly except’ ” (*Wolinsky*, 2 NY3d at 491, quoting *Matter of Salvati v Eimicke*, 72 NY2d 784, 791 [1988]). In general, the ETPA regulates units if they were built before 1974 and are in buildings that contain six or more residential units (Administrative Code § 26-504; Uncons Laws § 8625). It is undisputed that unit 3B is in a pre-1974 building with more than six units occupied residentially; it could not have qualified for Loft Law coverage otherwise.

The majority attempts to inject uncertainty into the term “housing accommodation” by questioning whether an IMD without a C of O should be considered a “housing accommodation” (majority op at 124). Even putting aside the clarity of the statutory and regulatory text defining “housing accommodation” and our decisional law emphasizing the broad reach of the ETPA, deeming a loft residence registered for residential conversion to be not a “housing accommodation” is incongruent with the statutory scheme.

First, the Loft Law specifically permits lawful residential occupation of IMDs (Multiple Dwelling Law § 283). Second, once a unit becomes legalized, the Loft Law requires the Loft Board to set the initial rent (Multiple Dwelling Law § 286 [5]) and turn over jurisdiction to DHCR for normal rent-stabilized

8. The majority does cite 9 NYCRR 2520.6 (a), which defines “housing accommodation” for purposes of the RSL, but that definition undercuts the majority’s position. It defines “housing accommodation” as “[t]hat part of any building or structure, occupied or intended to be occupied by one or more individuals as a residence, home, dwelling unit or apartment.” Not only is unit 3B residentially occupied, but any unit registered for residential conversion under the Loft Law necessary is one that is “intended to be occupied” as a residence. That same regulation, in subdivision (b), illustrates that the City understood how to limit a definition to class A or B residences, which it did not do when defining “housing accommodations.” The majority also cites Administrative Code of the City of New York § 26-504 (a) (1) (b) and (b), which does limit the application of the RSL—but not the ETPA—to class A and B residences.

regulation, if applicable (29 RCNY 2-01 [m])—further confirmation of the legislative intent that IMDs should be deemed “housing accommodations.” Nothing in Multiple Dwelling Law § 286 (6) or (12) purports to alter the definition of a “housing accommodation.”

Because the ETPA applies to unit 3B, Aurora may not evict Mr. Locatelli except for limited grounds allowed by law (9 NYCRR 2504.1). Because Aurora has not alleged a ground for eviction allowed under the ETPA, Aurora’s holdover proceeding was properly dismissed. However, I reiterate that because the building is an IMD, it is the Loft Law’s anti-eviction provisions that require dismissal of Aurora’s holdover action, not the ETPA’s.

V.

The majority decides this case on a ground not advanced by Aurora in the court of instance. In numerous cases decided during my tenure, the Court has taken the position that an argument—not an issue—must be raised in the court of instance to be properly preserved for our review. I have, in dissent, repeatedly taken the opposite position: that an *issue* must be preserved for our review, but if that issue is preserved, we are not bound to the arguments made by the parties, because our job is to resolve correctly the issue raised, not to choose the less bad of the arguments offered by the litigants (*see Persky v Bank of Am. N.A.*, 261 NY 212, 218 [1933] [“In our review we are confined to the *questions* raised or argued at the trial but not to the arguments there presented”], citing *Oneida Bank v Ontario Bank*, 21 NY 490, 504 [1860]). That disagreement is best summarized in *Deutsche Bank Natl. Trust Co. v Barclays Bank PLC* (34 NY3d 327, 334 n 3, 338, 342-344, 347 n 2 [2019]), but is easily found in other decisions (*see e.g. Jin Ming Chen v Insurance Co. of the State of Pa.*, 36 NY3d 133, 139 n 2, 154 n 5 [2020]; *Matter of Krug v City of Buffalo*, 34 NY3d 1094, 1095 n 2, 1097 [2019]; *Matter of Kosmider v Whitney*, 34 NY3d 48, 81-82 [2019]; *Matter of 381 Search Warrants Directed to Facebook, Inc. [New York County Dist. Attorney’s Off.]*, 29 NY3d 231, 247 n 7 [2017]). I am heartened to see that, at least in this appeal, the majority has come around to my view of preservation.

In Housing Court, Aurora advanced a novel argument based on several sequential steps:

1. Because from 1983 to 1998,

“the Premises was subject to regulation solely under the Loft Law, [it was] **exempt from the ETPA and the RSL** pursuant to 9 NYCRR § 2520.11(c). As articulated in 9 NYCRR § 2520.11(c), any building completed prior to January 1, 1974 whose rents were regulated by any State or Federal Law other than the Rent Stabilization Law or the City Rent Law, shall only become subject to the ETPA, the RSL and the Code *after* the termination of such regulation” (mem of law in support of petitioner’s mot for summary judgment and/or to dismiss respondent’s affirmative defenses, Civ Ct, Hous Part C, NY County [*on file with the Court of Appeals*]).⁹

2. To bolster that argument, Aurora affirmatively and unquestioningly relied on *Acevedo*, arguing that “*Acevedo* held that once a Premises is no longer temporarily exempt from Rent Stabilization by virtue of the Loft Law, the ETPA provides for subsequent re-regulation, **if the Premises is otherwise covered**” (*id.*). The majority now overrules the very authority on which Aurora affirmatively relied, to broaden the holding of *Wolinksy*, a case neither party cited to Housing Court.¹⁰

3. The prior owner’s purchase of the improvements and rights held by the Lombardis, pursuant to Multiple Dwelling Law § 286 (6) and (12), removed the unit from Loft Law rent regulation. However, unlike the majority, Aurora did not contend that the purchase of the Lombardis’ rights itself removed unit 3B from the ETPA or RSL.

9. 9 NYCRR 2520.11 (c) reads:

“[H]ousing accommodations in buildings completed or substantially rehabilitated prior to January 1, 1974, and whose rentals were previously regulated under the [Private Housing Finance Law] or any other State or Federal law, other than the RSL or the City Rent Law, shall become subject to the ETPA, the RSL and this Code, upon the termination of such regulation.”

Far from supporting either Aurora’s or the majority’s position, the subdivision requires that, on termination of Loft Law rent regulation through the section 286 sale, unit 3B immediately became subject to the ETPA, the RSL and the Rent Stabilization Code.

10. It is true, as the majority observes (majority op at 125-126), that in Housing Court, Mr. Locatelli argued that Aurora could not win on its holdover claim unless *Acevedo* was overturned, but that hardly means that Aurora would automatically win if *Acevedo* was overturned. *Acevedo* was a roadblock, but not the only one, and, after overruling *Acevedo*, the arguments fashioned by the majority here to evade the remaining roadblocks are not ones advanced by Aurora in the court of instance.

4. The next step in Aurora's argument was that "[a]n owner was in 1998 entitled to collect a new 'first rent' from an incoming tenant if the Premises has been vacant or temporarily exempt from the ETPA for four (4) or more years. 9 NYCRR § 2526.1(a)(3)(iii)(1998)" (mem of law in support of petitioner's mot for summary judgment and/or to dismiss respondent's affirmative defenses, Civ Ct, Hous Part C, NY County).¹¹

5. Because the above exemption from the ETPA by virtue of Loft Law rent regulation exceeded four years (1983-1998), 9 NYCRR 2526.1 (a) (3) (iii) authorized Aurora to set a "first rent" for the unit.

6. Aurora next argued that on December 16, 1998, it set a "first rent" of \$4,250 to its new tenant; and

7. Because that "first rent" was greater than the then-applicable luxury decontrol threshold of \$2,000 per month, the unit permanently escaped any rent regulation via the luxury decontrol provision.

Aurora's argument concerning the inapplicability of the ETPA and RSL to Mr. Locatelli's unit is fundamentally different from, and incompatible with, the majority's basis for concluding those laws do not apply.¹² Nothing in the majority's conclusion turns on luxury decontrol, the fact that Aurora set

11. The subdivision cited by Aurora in Housing Court does not exist. Part 2526, as in effect from 1987 to 2000, concerned enforcement by DHCR against violations by owners. Section 2526.1, entitled "Overcharge penalties; fines; assessment of costs; attorney's fees; rent credits" contained no rights of owners to set first rents. Subdivision (a) (3) thereof concerns complaints for overcharges. The closest subdivision to the phantom section cited by Aurora is 9 NYCRR 2526.1 (a) (3) (ii), which reads:

"As to complaints filed within 90 days of the initial registration of a housing accommodation, the legal regulated rent for purposes of determining an overcharge shall be deemed to be the rent charged and paid on April 1, 1980, or for a housing accommodation not required to be registered by June 30, 1984, four years prior to the date the housing accommodation was first required to be registered (or if the housing accommodation was subject to the RSL and this Code for less than four years prior to such initial registration, the initial legal regulated rent), plus in each case, any lawful increases and adjustments. Where the rent charged on such dates cannot be established, such rent shall be determined by the DHCR in accordance with section 2522.6 of this Title."

Nothing in that language, nor in any other regulation I have seen, supports Aurora's claim that a four-year exemption from the ETPA permitted an owner to set a first rent.

12. Indeed, in moving for summary judgment, Aurora relied on Loft Board orders establishing that even when a Multiple Dwelling Law § 286 (12) sale

(n. cont'd)

an initial rent, or the fact that the unit was subject to Loft Law rent regulation for more than four years, whereas Aurora's argument was completely dependent on each of those facts.¹³

Perhaps for obvious reasons, neither any court below nor the majority has adopted Aurora's argument. Instead, the majority has fashioned a different rationale to allow Aurora to evict Mr. Locatelli—one that is inconsistent with the argument Aurora made to Housing Court. By relying on the luxury decontrol threshold to escape the ETPA, Aurora's argument, when taken to its necessary conclusion, is that had the rent never exceeded the (now nonexistent) luxury decontrol threshold, or had it obtained a C of O on the legally required timeline, the unit would be subject to regulation under the ETPA.¹⁴ The majority's holding is completely different: units within an IMD are not subject to the ETPA or RSL, and a purchase of rights under Multiple Dwelling Law § 286 (6) and (12) allows the owner of an IMD to prevent the ETPA and RSL from ever covering the units in that IMD.

Although I disagree with the majority's decision for the numerous reasons I have articulated, the Court has clearly not felt fettered to decide the appeal based on the arguments the parties made in Housing Court. Nothing like the majority's rationale can be found in the record before Housing Court. In one

of rights rendered units "not subject to rent regulation," the owner must still "provide the residential occupant in the Unit with a residential lease subject to the provision regarding evictions and regulations of rent set forth in the Emergency Tenant Protection Act of 1974" (*Matter of Kiamie*, Loft Bd Order No. 3581 at 1 [June 17, 2010]).

13. Aurora's argument is perverse when framed against the Loft Law's requirements and policy. The Loft Law requires that owners of an IMD obtain a C of O within three years. Under Aurora's theory, had it timely complied with the Loft Law, even had it purchased the Lombardis' rights, it would not have been able to set the initial rent because the unit's rents would have been regulated by the Loft Law for less than four years, and the unit would be subject to the ETPA and RSL once the C of O issued. It is only because Aurora failed to comply with the Loft Law's legalization requirements that, under the argument it presented to Housing Court, its purchase of rights gave it an avenue to escape the ETPA and RSL.

14. Contrary to the majority's suggestion, Aurora at all times had the burden to establish a legal basis for Mr. Locatelli's eviction that was unrelated to the amount of rent Aurora could legally demand under the law. Put another way, regardless of Mr. Locatelli's counterarguments, Aurora's action could survive only if there was a legal basis for eviction other than the nonpayment of rent because Aurora's action was not based on any failure or unwillingness of Mr. Locatelli to pay the agreed upon rent. Aurora has not asserted any valid ground for eviction given the Loft Law's anti-eviction protections, and thus it has failed to carry its burden.

regard, however, I fully agree with the majority's approach: we are here to decide preserved issues of law correctly, even if no party has preserved or raised the correct rationale. If we wish to seek additional briefing because the parties have failed to address the issues sufficiently, we are always free to request that briefing—a common practice among state and federal courts.

VI.

I offer this final observation. The Loft Law, though enacted by the legislature, was created by and for New York City. As set out above, its design and purpose are clear: to speedily legalize a specified subset of previously commercial buildings being used to ease shortages in the chronically tight housing market, so as to minimize safety concerns and displacement of tenants while permitting owners to collect rent that would otherwise be illegal during the relatively brief period while necessary renovations occurred. Owners could buy out tenants, which might make sense if it was more profitable to do so and return the building to commercial use than to make renovations necessary to convert a building to residences. Nothing in the statute or legislative history suggests that the Mayor or City Council (or the legislature, for that matter), intended to permit landlords to purchase their way out of rent stabilization. That idea is anathema to the legislative purposes. DHCR's regulations governing implementation of the ETPA instruct that they:

“shall be construed so as to carry out the intent of the act to ensure that such statute shall not be subverted or rendered ineffective, directly or indirectly, and to prevent the exaction of unjust, unreasonable and oppressive rents and rental agreements, and to forestall profiteering, speculation and other disruptive practices tending to produce threats to the public health, safety and general welfare; and that the policy herein expressed shall be implemented with due regard for the preservation of regulated rental housing” (9 NYCRR 2500.13).

The majority contends that *La Guardia v Cavanaugh* (53 NY2d 67 [1981]) is “consistent” with its interpretation of *Wolinksy* (majority op at 122 n 5). As the majority does here, *Cavanaugh* conducted a tortuous analysis to conclude that the

definition of “housing accommodation” did not reach class B dwellings, in the process recharacterizing three of our prior decisions (*Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451 [1980]; *Matter of Zeitlin v New York City Conciliation & Appeals Bd.*, 46 NY2d 992 [1979]; *Axelrod v Starr*, 41 NY2d 942 [1977]), just as the majority here has done with *Wolinsky*. We decided *Cavanaugh* on June 4, 1981. On July 7, 1981, the legislature sent to the Governor a bill to reverse *Cavanaugh*, effective retroactive to June 4, 1981, which the Governor signed into law. The sponsor’s memorandum in support stated that “[r]esidents of Class B multiple dwellings have been protected by the Emergency Tenant Protection Act since its enactment. As a result of *LaGuardia v. Cavanaugh* (6/4/81) these residents, 30,000 in all, will be subject to eviction. This amendment will prevent that” (Senate Mem in Support, Bill Jacket, L 1981, ch 675, 1981 NY Legis Ann at 354-355). Having failed 40 years ago to interpret the ETPA as the legislature intended, we now say that an owner who has disobeyed the command of the Loft Law for decades, leaving residents in housing that does not comply with health and safety standards, and that has admittedly extracted rents it is legally barred from collecting, can evict a tenant who has paid that unlawful rent all along. That, according to the majority, is how the legislature and City intended the Loft Law and ETPA to work. As before, our Court may not get the last word.

Chief Judge DiFiore and Judges Singas and Cannataro concur; Judge Wilson dissents in an opinion, in which Judge Rivera concurs; Judge Troutman took no part.

Order, insofar as appealed from, reversed, with costs, respondent Raffaello Locatelli’s cross motion for summary judgment dismissing the petition denied, petitioner’s motion for summary judgment granted, matter remitted to the Civil Court of the City of New York for further proceedings in accordance with the opinion herein and certified question answered in the negative.

[190 NE3d 36, 169 NYS3d 910]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v LUIS A.
RODRIGUEZ, Respondent.

Argued April 21, 2022; decided May 19, 2022

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered October 21, 2020. The Appellate Division (1) reversed, on the law and as a matter of discretion in the interest of justice, a judgment of the Supreme Court, Queens County (Ira H. Margulis, J.), which had convicted defendant, upon a jury verdict, of attempted use of a child in a sexual performance, disseminating indecent material to a minor in the first degree and endangering the welfare of a child; (2) dismissed the first and second counts of the indictment charging defendant with attempted use of a child in a sexual performance and disseminating indecent material to a minor, with leave to the People to re-present any appropriate charges to a new grand jury; and (3) remitted the case to Supreme Court, Queens County, for further proceedings consistent with its decision.

People v Rodriguez, 187 AD3d 1063, reversed.

HEADNOTE

Crimes — Evidence — Screenshots of Text Messages

In a criminal prosecution stemming from allegations that defendant high school volleyball coach sent numerous text messages containing sexual content to a 15-year-old player on his volleyball team, the trial court acted within its discretion in determining that the People properly authenticated screenshots taken by the victim's boyfriend of text messages sent by defendant to the victim. The screenshots were forwarded by the boyfriend to the victim's mother and himself and then printed by a detective after they were emailed to him from the mother's phone. The testimony of the victim—a participant in and witness to the conversations with defendant—sufficed to authenticate the screenshots. She testified that all of the screenshots offered by the People fairly and accurately represented text messages sent to and from defendant's phone. The boyfriend also identified the screenshots as the same ones he took from the victim's phone. Telephone records of the call detail information for defendant's subscriber number corroborated that defendant sent the victim numerous text messages during the relevant time period. Moreover, even if the best evidence rule applied in this context, the court did not abuse its discretion in admitting the screenshots.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Evidence §§ 1019, 1028, 1032, 1035, 1056, 1204–1205.

CARMODY-WAIT 2d Particular Types of Evidence § 194:68.

NY JUR 2d Criminal Law: Procedure §§ 2211–2212, 2234;

NY JUR 2d Evidence and Witnesses §§ 240, 394, 402–404.

ANNOTATION REFERENCES

Application of Best Evidence Rule to Electronic Evidence, Including Text Messages and Email. 12 ALR7th Art. 1.

Authentication of Text Messages. 38 ALR7th Art. 2.

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POINTS OF COUNSEL

Melinda Katz, District Attorney, Kew Gardens (*William H. Branigan* and *John M. Castellano* of counsel), for appellant. The court acted well within its discretion when it admitted the screenshots of the text messages into evidence. (*People v McGee*, 49 NY2d 48; *People v Hawkins*, 11 NY3d 484; *People v Price*, 29 NY3d 472; *People v Patterson*, 93 NY2d 80; *People v Ely*, 68 NY2d 520; *People v Goldman*, 35 NY3d 582; *United States v Gagliardi*, 506 F3d 140; *United States v Safavian*, 435 F Supp 2d 36; *Schozer v William Penn Life Ins. Co. of N.Y.*, 84 NY2d 639; *People v Haggerty*, 23 NY3d 871.)

Patricia Pazner, Appellate Advocates, New York City (*Samuel Barr* of counsel), for respondent. I. Admitting noncontinuous, incomplete, and repeatedly forwarded screenshots depicting text messages violated the best evidence rule because the People did not adequately explain their failure to produce the original text messages. (*Schozer v William Penn Life Ins. Co. of N.Y.*, 84 NY2d 639; *People v Haggerty*, 23 NY3d 871; *People v Nieves*, 67 NY2d 125; *People v Jackson*, 8 NY3d 869; *People v Maher*, 89 NY2d 456; *People v Kennedy*, 68 NY2d 569; *People v Ramlall*, 34 NY3d 1154; *People v Dodt*, 61 NY2d 408; *People v De Jesus*, 69 NY2d 855; *People v Javier*, 154 AD3d 445.) II. The

trial court erred by allowing an expert to testify about the behavior of child sex abuse victims even though the People laid no foundation for admitting such testimony in a case not involving physical contact, and the expert's testimony about delayed disclosure was irrelevant and not beyond the jury's ken. (*People v Baumann & Sons Buses, Inc.*, 6 NY3d 404; *People v Warrington*, 28 NY3d 1116; *People v Allweiss*, 48 NY2d 40; *Frye v United States*, 293 F 1013; *Cornell v 360 W. 51st St. Realty, LLC*, 22 NY3d 762; *People v Bennett*, 79 NY2d 464; *Parker v Mobil Oil Corp.*, 7 NY3d 434; *People v Brooks*, 31 NY3d 939; *People v Rivers*, 18 NY3d 222; *People v Carroll*, 95 NY2d 375.)

The Legal Aid Society, Bronx (*Benjamin S. Burger* of counsel), for The Legal Aid Society, amicus curiae. I. Digital evidence should be acquired and analyzed in a forensically sound manner. (*Riley v California*, 573 US 373; *People v Horton*, 181 AD3d 986; *Matter of Zappin*, 160 AD3d 1.) II. The Appellate Division's decision properly applied the authentication requirement elucidated in *People v Price* (29 NY3d 472 [2017]) and prevented the admission of potentially dubious evidence. (*People v Ely*, 68 NY2d 520; *People v Williams*, 55 AD3d 1398; *People v Hughes*, 114 AD3d 1021.)

OPINION OF THE COURT

CANNATARO, J.

Defendant was charged in an indictment with attempted use of a child in a sexual performance, disseminating indecent material to minors in the first degree and endangering the welfare of a child. The charges stemmed from allegations that, between October 1, 2014, and November 12, 2014, defendant—a 43-year-old high school volleyball coach—engaged in injurious acts toward a child, including sending numerous text messages containing sexual content to the 15-year-old victim, a player on his volleyball team. Text messages that defendant sent to the victim on November 7 came to light when the victim's 16-year-old boyfriend observed them on her phone, took screenshots of messages that were sexual in nature, and forwarded the screenshots to the victim's mother and himself. The boyfriend then physically attacked the victim, for which he was arrested shortly thereafter. The victim deleted all of the messages and reset her phone. However, her boyfriend showed the screenshots he had taken to police after his arrest. The victim's mother also provided the forwarded screenshots to police, and a detective printed the images after they were emailed to him from the mother's phone.

Prior to trial, defendant moved to preclude the admission at trial of printouts of six screenshots taken by the boyfriend, arguing that they violated the best evidence rule and were not properly authenticated. Supreme Court denied the motion, concluding that there was no “legal reason” not to permit the screenshots to be shown to the jury and that, “with the proper foundation,” the screenshots would be permitted into evidence. At trial, the victim testified that defendant asked to exchange phone numbers and thereafter texted her several times a day in late October and early November 2014. To corroborate this testimony, the People submitted T-mobile records demonstrating that defendant and the victim communicated via text message or phone call 246 times during the relevant time period. The victim explained that the messages initially were non-sexual and about personal matters, but progressed to messages containing sexual content that made the victim feel uncomfortable and “harassed.” She described the explicit content of these text messages, including those depicted in the screenshots, and explained that she had regularly deleted text messages with sexual content, and provided defendant with photographic proof of the deletions, at his request. The victim then identified the six screenshots themselves, confirming that they depicted some of the messages sent to and from defendant’s phone on November 7, and stated that the screenshots were a fair and accurate representation of those messages. Defendant objected again that admission of the screenshots violated the best evidence rule and were not properly authenticated, but the court overruled the objection.

Defendant was ultimately convicted as charged and appealed. The Appellate Division reversed, holding that a new trial was required based on the admission of the screenshots (187 AD3d 1063, 1064 [2d Dept 2020]). Based in part on its conclusion that a new trial was required, the Court dismissed—in the interest of justice and with leave to the People to re-present any appropriate charges to a new grand jury—the first and second counts of the indictment as duplicitous (*id.* at 1064-1065). Two Justices dissented, and we now reverse.

The trial court acted within its discretion in determining that the People properly authenticated the screenshots. “[T]echnologically generated documentation [is] ordinarily admissible under standard evidentiary rubrics” and “this type of ruling may be disturbed by this Court only when no legal foundation has been proffered or when an abuse of discretion

as a matter of law is demonstrated” (*People v Patterson*, 93 NY2d 80, 84 [1999]). This Court recently held that for digital photographs, like traditional photographs, “the proper foundation [may] be established through testimony that the photograph accurately represents the subject matter depicted” (*People v Price*, 29 NY3d 472, 477 [2017] [internal quotation marks, brackets and citation omitted]). We reiterated that “[r]arely is it required that the identity and accuracy of a photograph be proved by the photographer” (*id.* [internal quotation marks omitted]), which would be the boyfriend here. Rather, “any person having the requisite knowledge of the facts may verify” the photograph “or an expert may testify that the photograph has not been altered” (*id.* [internal quotation marks and citation omitted]).

Here, the testimony of the victim—a participant in and witness to the conversations with defendant—sufficed to authenticate the screenshots. She testified that all of the screenshots offered by the People fairly and accurately represented text messages sent to and from defendant’s phone. The boyfriend also identified the screenshots as the same ones he took from the victim’s phone on November 7. Telephone records of the call detail information for defendant’s subscriber number corroborated that defendant sent the victim numerous text messages during the relevant time period. Moreover, even if we were to credit defendant’s argument that the best evidence rule applies in this context, the court did not abuse its discretion in admitting the screenshots.

In short, under these circumstances, there was no abuse of discretion as a matter of law in the court’s determination that the screenshots of the texts messages were sufficiently authenticated or in admission of the screenshots into evidence. Defendant’s remaining contention has been considered and found to be lacking in merit. The Appellate Division’s dismissal of the first two counts of the indictment was based upon its erroneous determination that a new trial was required as a matter of law because of the admission of screenshot evidence. On remittal, the Appellate Division should consider defendant’s arguments regarding those counts in light of this opinion and determine other issues raised but not determined on appeal to that Court.

Accordingly, the order of the Appellate Division should be reversed and case remitted to that Court for further proceedings in accordance with this opinion.

Chief Judge DiFIORE and Judges RIVERA, GARCIA, WILSON, SINGAS and TROUTMAN concur.

Order reversed and case remitted to the Appellate Division, Second Department, for further proceedings in accordance with the opinion herein.

[190 NE3d 1161, 171 NYS3d 29]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v
DASHAWN DEVEROW, Appellant.

Argued April 21, 2022; decided May 24, 2022

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 26, 2020. The Appellate Division modified, as a matter of discretion in the interest of justice, a judgment of the Supreme Court, Queens County (Gregory L. Lasak, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree and criminal possession of a weapon in the second degree and sentenced him to an indeterminate term of imprisonment of 23 years to life on the conviction of murder in the second degree and a determinate term of imprisonment of 15 years plus five years of postrelease supervision on the conviction of criminal possession of a weapon in the second degree, the sentences to run concurrently. The modification consisted of reducing the sentence imposed on the conviction of murder in the second degree to an indeterminate term of imprisonment of 17 years to life. The Appellate Division affirmed the judgment as modified.

People v Deverow, 180 AD3d 1064, reversed.

HEADNOTES

Crimes — Witnesses — Impeachment — Proffered Testimony Not Collateral

1. In a murder prosecution in which the sole eyewitness to testify at trial testified that his girlfriend had been with him “seconds” before he saw defendant and codefendant draw weapons and fire at a crowd across the street, the trial court’s preclusion of the girlfriend’s proffered testimony that she was not with the eyewitness at any point on the night of the shooting deprived defendant of his constitutional right to present a defense. A party may not introduce extrinsic evidence on a collateral matter solely to impeach credibility. However, the proffered testimony of the eyewitness’s girlfriend was probative of the eyewitness’s ability to observe and recall details of the shooting and therefore not collateral. The eyewitness’s testimony about his relationship with his girlfriend, including where he met up with her that evening, the amount of time they spent together, and when they parted ways, made the girlfriend an integral part of the eyewitness’s account of why he was in a position to witness the shooting, and placed her with him mere seconds before it occurred. Since the People’s own theory of the case placed the girlfriend on the scene the instant before the shooting, her testimony could not be characterized as collateral. If the girlfriend had testified as de-

fendant indicated she would, her testimony would have directly contradicted a significant portion of the eyewitness's account, and undermined his testimony regarding how and where he encountered defendant and codefendant, immediately before they fired their weapons. Given that he was the sole eyewitness to testify at trial, and the only person claiming that defendant and codefendant fired first, the girlfriend's account was not collateral to factual issues to be decided by the jury.

Crimes — Evidence — Present Sense Impression Exception to Hearsay Rule — 911 Calls

2. In a murder prosecution, the trial court abused its discretion in excluding three 911 calls describing gunshots being fired and that someone had "just [been] shot," as the calls were admissible present sense impressions because they were contemporaneous with the events in question and were independently corroborated. A present sense impression is contemporaneous as long as there is no more than a marginal time lag between the event and the declarant's description of that event; this ensures that there is minimal time for reflection by the declarant. The proponent of the statement must demonstrate some independent verification of the declarant's descriptions of the unfolding events. The critical inquiry is whether the corroboration offered to support admission of the statement truly serves to support its substance and content. Each 911 call satisfied the contemporaneity requirement, undisputedly describing the events as they were unfolding. The calls came from the scene of the crime, at the time of the crime. Each of the calls was also sufficiently corroborated by independent evidence establishing the reliability of the contents of the statements therein. That certain details of the 911 calls conflicted with the People's evidence and their theory of the case did not render the statements in the calls unreliable. Moreover, the fact that one witness, in her testimony, conceded inconsistencies in her 911 call was relevant only to the admission of the call for impeachment purposes. Regardless of whether the call was admissible to impeach the witness, it should have been admitted for the truth of the matter asserted as a present sense impression, and her availability at trial did not preclude the admissibility of a 911 tape under that hearsay exception.

Crimes — Harmless and Prejudicial Error — Preclusion of Witness Testimony and 911 Calls in Support of Justification Defense

3. In a murder prosecution, the trial court's errors in precluding testimony from the sole eyewitness's girlfriend to contradict the eyewitness's testimony and in excluding three 911 calls which were admissible as present sense impressions deprived defendant of a meaningful opportunity to present a complete defense and were not harmless. The evidence presented against defendant's justification defense was far from overwhelming. The precluded testimony of the eyewitness's girlfriend could have contradicted the sole eyewitness at trial who negated the justification defense and impacted the jury's analysis of that witness's ability to perceive and recall the events. Moreover, there was a reasonable possibility that the error contributed to defendant's conviction. Admitting the 911 calls could have allowed defendant the opportunity to buttress his justification defense, to mount a different defense, or to challenge the eyewitness's account of events. Precluding that testimony effectively tied defendant's hands. A jury should have been allowed to hear and assess the excluded information and reach a verdict after weighing all the relevant evidence.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Appellate Review §§ 204, 610, 615, 627, 655;
AM JUR 2d Criminal Law § 886; AM JUR 2d Evidence
§§ 579, 862, 880; AM JUR 2d Trial §§ 242, 243, 391, 392.
CARMODY-WAIT 2d Testimony of Witnesses § 195:1;
CARMODY-WAIT 2d Appeals in Criminal Cases
§§ 207:125, 207:126, 207:173, 207:174.
LAFAYE, ET AL., CRIMINAL PROCEDURE (4th ed) §§ 24.4,
27.5, 27.6.
NY JUR 2d Criminal Law: Procedure §§ 2219, 2295, 2296,
3670–3673, 3739.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Evidence Rules;
Exclusion of Evidence; Harmless and Prejudicial Error;
Justification or Excuse.

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POINTS OF COUNSEL

Patricia Pazner, Appellate Advocates, New York City (Alice R. B. Cullina of counsel), for appellant. I. The court deprived appellant of his right to present a defense by excluding: (a) a witness who would have directly contradicted critical portions of the sole eyewitness's account; (b) reliable 911 calls from disinterested witnesses reporting a chaotic scene with other shooters; and (c) DNA evidence indicating that the decedent was armed. (*Chambers v Mississippi*, 410 US 284; *Washington v Texas*, 388 US 14; *Crane v Kentucky*, 476 US 683; *Holmes v South Carolina*, 547 US 319; *People v Powell*, 27 NY3d 523; *People v Hudy*, 73 NY2d 40; *Carmell v Texas*, 529 US 513; *People v Jin Cheng Lin*, 26 NY3d 701; *People v Scarola*, 71 NY2d 769.) II. Appellant was denied his due process right to a fair trial by the court's ruling pursuant to *People v Sandoval* (34 NY2d 371 [1974]) allowing the prosecutor to cross-examine appellant not only about the nature of his misdemeanor drug-possession conviction but also extremely prejudicial underlying facts that added nothing to the question of his credibility. (*Rock*

v Arkansas, 483 US 44; *People v Williams*, 56 NY2d 236; *People v Hayes*, 97 NY2d 203; *People v Davis*, 44 NY2d 269; *People v Mayrant*, 43 NY2d 236; *People v Smith*, 18 NY3d 588; *People v Miller*, 91 NY2d 372; *People v Walker*, 83 NY2d 455; *People v Duffy*, 36 NY2d 258; *People v Boxill*, 111 AD2d 399, 67 NY2d 678.) III. The prosecutor's exclusion of all or nearly all the black female prospective jurors, who had exemplary backgrounds, law enforcement connections, and no history with the criminal justice system, established a prima facie case of discrimination under *Batson v Kentucky* (476 US 79 [1986]). (*People v Bolling*, 79 NY2d 317; *J. E. B. v Alabama ex rel. T. B.*, 511 US 127; *People v Bridgeforth*, 28 NY3d 567; *Johnson v California*, 545 US 162; *People v Luciano*, 10 NY3d 499; *People v Childress*, 81 NY2d 263; *Snyder v Louisiana*, 552 US 472; *Jones v West*, 555 F3d 90; *People v Jenkins*, 75 NY2d 550.)

Melinda Katz, District Attorney, Kew Gardens (Nancy Fitzpatrick Talcott, John M. Castellano and Sharon Y. Brodt of counsel), for respondent. I. The court did not abuse its discretion or violate defendant's right to present a defense when it precluded the testimony of a witness relating solely to collateral matters, 911 calls that constituted inadmissible hearsay, and DNA evidence that almost no possibility of being the victim's DNA. (*People v Scarola*, 71 NY2d 769; *People v Alvino*, 71 NY2d 233; *Ando v Woodberry*, 8 NY2d 165; *People v Primo*, 96 NY2d 351; *People v Davis*, 43 NY2d 17; *People v Petty*, 7 NY3d 277; *People v Ventimiglia*, 52 NY2d 350; *People v Feldman*, 299 NY 153; *Crane v Kentucky*, 476 US 683; *Delaware v Van Arsdall*, 475 US 673.) II. Defendant's claim regarding the court's ruling pursuant to *People v Sandoval* (34 NY2d 371 [1974]) is unpreserved. In any event, the court acted consistently with Court of Appeals precedent in allowing the prosecutor to ask defendant about the facts underlying his misdemeanor conviction. (*People v Walker*, 83 NY2d 455; *People v Jackson*, 29 NY3d 18; *People v Cantave*, 21 NY3d 374; *People v Mackey*, 49 NY2d 274; *People v Shields*, 46 NY2d 764; *People v Cass*, 18 NY3d 553; *People v Williams*, 56 NY2d 236; *People v Mattiace*, 77 NY2d 269; *People v Hayes*, 97 NY2d 203.) III. Defendant failed to make a sufficient record, and did not establish a prima facie case of purposeful discrimination during jury selection. (*People v Milton*, 21 NY3d 133; *People v McLean*, 15 NY3d 117; *People v Kinchen*, 60 NY2d 772; *People v Smocum*, 99 NY2d 418; *People v Childress*, 81 NY2d 263; *Barber v Ponte*, 772 F2d 982; *Batson v Kentucky*, 476 US 79; *People v Hecker*, 15 NY3d 625; *People v Allen*, 86 NY2d 101; *People v Bolling*, 79 NY2d 317.)

OPINION OF THE COURT

SINGAS, J.

Defendant Deshawn Deverow was convicted of murder in the second degree and criminal possession of a weapon in the second degree in the shooting death of 17-year-old Xavier Granville. At trial, the court precluded certain evidence offered by defendant in support of his justification defense. Under the facts presented and upon application of our well-settled law, the effect of the trial judge's erroneous evidentiary rulings deprived defendant of his constitutional right to present a defense. Accordingly, we reverse and order a new trial.

I.

On December 29, 2012, around 12:30 a.m., a group of about 20 people, including members of the "40 Boys" gang, were gathered outside of 249 Beach 15th Street in Queens. Granville joined the group, having just attended a party inside the building. According to eyewitness R.M., defendant and a codefendant, Jamane Yarbrough, were standing across the street, drew weapons, and fired at the crowd. One bullet fired by Yarbrough from a .45 caliber semiautomatic pistol struck Granville in the head, killing him. According to witnesses, a few seconds later, another volley of shots rang out further up the block.

R.M. ran from the scene when defendant and Yarbrough drew their weapons. As he fled, he fell and was injured, requiring stitches at the hospital. Because he reported a possible gunshot wound, police responded, and he told detectives of the shooting, implicating defendant and Yarbrough. Later that evening, R.M. identified both men in lineups. Defendant and Yarbrough were arrested at approximately 10:30 p.m. on December 29, less than 24 hours after the shooting. Defendant initially denied being on the scene, but after interrogation, provided a written statement indicating that he had been on Beach 15th Street around 12:30 a.m. on December 29. He further stated that once on the block, he recognized members of the 40 Boys, who began shooting at him and Yarbrough. Defendant got scared, drew his gun and fired back at them. He was indicted and charged with second-degree murder and second-degree criminal possession of a weapon.

R.M. was the sole eyewitness to testify at trial. He testified that on December 28, after he received a call from R.J., his girlfriend of several months, he took the A train to meet her at Beach 44th Street. They traveled together to Mott Avenue,

where they exited the train together at about 11:30 p.m. and walked around for approximately 20 minutes. Then, they walked together for about six blocks towards R.J.'s home. When they were "close by . . . 249" Beach 15th Street, R.M. noticed a party going on across the street. He told R.J. he had to go home, gave her a hug, and began to walk away. He did not look back or see where R.J. went after they parted. "Seconds" later, R.M. saw defendant and Yarbrough. He recognized both men from seeing them around the neighborhood. A car skidded to a stop on the street, and R.M. saw defendant and Yarbrough both draw guns. R.M. began to run away and heard two shots ring out behind him. He fell to the ground, injuring himself. He turned around and saw defendant and Yarbrough pointing their guns toward the group of people in front of 249 Beach 15th Street. He saw the guns flash and smoke. He heard approximately 13 shots in total but did not see anyone in the group across the street fire at defendant and Yarbrough.

Three people, one identified and two anonymous, called 911 to report what they had seen and heard that evening. One of these calls came from B.M., who lived in the apartment building at 249 Beach 15th Street. At 12:30 a.m., B.M. called 911 to report that a man "just got shot in the head in front of [her] building." She stated that from her bedroom window she could see the victim lying on the sidewalk. B.M. told the operator that the shooters left the scene in a beige Jeep Wrangler. B.M. repeated this description of the car several times. She said there were probably four people in the car. During the call, B.M. said, "They're still shooting, ma'am," and the operator responded, "Okay, I hear it."

An anonymous caller, identified as Caller 7, stated that "somebody just got shot" outside 249 Beach 15th Street. Caller 7 had not seen the shooting, but heard about 15 shots and reported that the shooter "ran off in a car." Caller 7 said the male victim was "laying down on the sidewalk," but was not able to tell the operator the victim's age or whether the victim was breathing. Caller 7 made the call to try to "save somebody's life."

A second anonymous caller, Caller 21, reported a shooter who was "still around." Caller 21 stated that there had been two volleys of shots, about eight the first time and five the second time, fired from an "assault rifle" by a black man wearing white pants, a white jacket, and a white cap. The caller said that the shooter left the street on foot, walking "behind

the building” at 289 Beach 15th Street. Caller 21 only saw one shooter, but told the operator there could have been more than one, as the shooter spoke to another man at one point. Caller 21 repeatedly urged the police to hurry to the scene and to be careful.

Police and EMS arrived at around 12:36 a.m. and found a crowd of 20 to 30 people surrounding the victim. Police recovered nine .45 caliber shells across the street from 249 Beach 15th Street, in the area where R.M. claimed he saw defendant and Yarbrough open fire. They also recovered 14 assault rifle shells and live cartridges about 250 feet further up the block, on the east sidewalk near 288 Beach 15th Street. There were no shells or ammunition found near the victim’s body.

At trial, the People maintained that defendant and Yarbrough initiated the shooting and that no one in the group they shot at was armed. Defendant countered with a justification defense, claiming that the 40 Boys fired first and that he and Yarbrough only returned fire in self-defense.

The People called a security guard, J.C., who was on duty in the lobby of 249 Beach 15th Street on the evening of the shooting. He testified that around 12:30 a.m., he heard shots fired out on the street. J.C. went outside, and saw the victim lying on the sidewalk. He called 911. A few minutes later, he heard two “rapid fire” rounds of shots further up the block.

The People also called B.M., one of the 911 callers. She testified that, at around 12:30 a.m. on December 29, 2012, she had just returned home to 249 Beach 15th Street from work. She looked out her apartment window to the street below and heard gunshots. Contrary to her statements to the 911 operator, B.M. testified that she had not been able to tell who the shooters were or how they left the scene. B.M. stated that she “assumed” the shots came from the car because it was driving off while she made the call. She also stated that, due to the gunshots, she had moved “away from the window” while calling.

During cross-examination, defendant sought to introduce B.M.’s 911 call for impeachment purposes. The People opposed, arguing that the prior inconsistent statement on the 911 tape was not necessary to impeach B.M., as she had already admitted that her trial testimony conflicted with statements made during her 911 call. The court agreed, stating that B.M. had “not denied the fact she called 911 and said these things on the tape,” and ruled that the call could not be played.

Defendant, during his case, attempted to call R.J., R.M.'s girlfriend, as a witness to contradict R.M.'s testimony. According to defendant, R.J. would have testified that she was not with R.M. at any point on the night of the shooting, and that she lived a mile away from 249 Beach 15th Street. The court precluded this testimony on the ground that it would serve only to impeach R.M. on a collateral issue.

Defendant also sought to introduce B.M.'s 911 call and the two anonymous 911 calls as present sense impressions or excited utterances, for the truth of the matter asserted in the calls. The court denied this application, ruling that none of the calls were admissible because there was insufficient evidence corroborating the statements made by the callers.

The court charged the jury on defendant's justification defense, but the jury rejected it and convicted him of second-degree murder and second-degree criminal possession of a weapon.

The Appellate Division reduced defendant's sentence, as a matter of discretion in the interest of justice, but otherwise affirmed the judgment (180 AD3d 1064 [2d Dept 2020]). A Judge of this Court granted defendant leave to appeal (35 NY3d 1044 [2020]). We now hold that the trial court's evidentiary rulings regarding R.J.'s testimony and the 911 calls deprived defendant of his constitutional right to present a defense.

II.

Criminal defendants must be afforded "a meaningful opportunity to present a complete defense" (*Crane v Kentucky*, 476 US 683, 690 [1986] [internal quotation marks omitted]). This fundamental right is guaranteed by the Due Process Clause of the Fourteenth Amendment and the Compulsory Process and Confrontation Clauses of the Sixth Amendment (*see id.*). Although this "right to present a defense does not give criminal defendants carte blanche to circumvent the rules of evidence" (*People v Hayes*, 17 NY3d 46, 53 [2011] [internal quotation marks omitted]), a trial court must not apply the rules "mechanistically to defeat the ends of justice" (*Chambers v Mississippi*, 410 US 284, 302 [1973]). Thus, "[a] court's discretion in evidentiary rulings is circumscribed by" the defendant's constitutional right to present a defense (*People v Carroll*, 95 NY2d 375, 385 [2000]).

[1] Here, the court erred in excluding R.J.'s testimony. A "party may not introduce extrinsic evidence on a collateral

matter solely to impeach credibility” (*People v Alvino*, 71 NY2d 233, 247 [1987]). The purpose of this rule is “to avoid undue confusion and unfair surprise on matters of minimal probative worth” (*People v Knight*, 80 NY2d 845, 847 [1992], citing *People v Pavao*, 59 NY2d 282, 289 [1983]). However, where evidence is “clearly probative of [a] witness’s ability to accurately recall or to observe the details of” the relevant event, it is not collateral and it is admissible (*People v Jenkins*, 68 NY2d 896, 898 [1986]).

R.J.’s proffered testimony was probative of R.M.’s ability to observe and recall details of the shooting. At trial, R.M. testified that he was with R.J. until “seconds” before he witnessed the shooting, and that he was at the scene to walk R.J. home. Upon the People’s questioning, R.M. explained in detail his relationship with R.J., resulting in many pages of testimony as to where he met up with her that evening, the amount of time they spent together, and when they parted ways. This testimony, introduced and relied upon by the People, made R.J. an integral part of R.M.’s account of why he was in a position to witness the shooting, and placed her with him mere seconds before it occurred. Since the People’s own theory of the case placed R.J. on the scene the instant before the shooting, her testimony cannot be characterized as collateral.

If R.J. had testified as defendant indicated she would, her testimony would have directly contradicted a significant portion of R.M.’s account, and undermined R.M.’s testimony regarding how and where he encountered defendant and Yarbrough on Beach 15th Street, immediately before they fired their weapons. Given that R.M. was the sole eyewitness to testify at trial, and the only person claiming that defendant and Yarbrough fired first, R.J.’s account was not collateral to factual issues to be decided by the jury.*

[2] The court also erred in excluding the three 911 calls. The calls were admissible as present sense impressions. The present sense impression exception to the hearsay rule applies to statements that are “(1) made by a person perceiving the event

* Allowing this evidence to be admitted under these facts is consistent with our rule permitting the admission of extrinsic evidence for other relevant purposes (see e.g. *Knight*, 80 NY2d at 847 n, citing *People v Dawson*, 50 NY2d 311, 321 [1980] [holding that extrinsic evidence is admissible to the extent that it bears on the truth of an alibi, and admitting testimony of an officer to contradict alibi witnesses’ statements that they came forward at the time of defendant’s arrest]).

as it is unfolding or immediately afterward” and “(2) corroborated by independent evidence establishing the reliability of the contents of the statement” (*People v Cantave*, 21 NY3d 374, 382 [2013]). “[D]escriptions of events made by a person who is perceiving the event as it is unfolding” are “deemed reliable . . . because the contemporaneity of the communication minimizes the opportunity for calculated misstatement as well as the risk of inaccuracy from faulty memory” (*People v Vasquez*, 88 NY2d 561, 574 [1996]).

A present sense impression is contemporaneous as long as there is no more than “a marginal time lag between the event and the declarant’s description of that event”; this ensures that there is minimal “time for reflection” by the declarant (*id.* at 575). The standard for corroboration of a present sense impression is more complex. “[S]ome additional indicia of reliability” must be present (*People v Brown*, 80 NY2d 729, 736 [1993]). In other words, the proponent of the statement must demonstrate “some independent verification of the declarant’s descriptions of the unfolding events” (*Vasquez*, 88 NY2d at 575). However, corroboration by “an equally percipient witness” is not required for the statement to be deemed admissible (*Brown*, 80 NY2d at 735-737 [internal quotation marks omitted]), and the declarant may be “an unidentified bystander” (*id.*). There is no “definitive template for general application” of this standard (*Vasquez*, 88 NY2d at 576). The “critical inquiry” is “whether the corroboration offered to support admission of the statement truly serves to support its substance and content” (*id.*). “What corroboration is sufficient will depend on the particular circumstances of each case” (*Brown*, 80 NY2d at 737).

Each 911 call here satisfied the contemporaneity requirement, undisputedly describing the events as they were unfolding. The calls came from the scene of the crime, at the time of the crime. During B.M.’s call, gunshots were still being fired, as acknowledged by the 911 operator. Caller 7 stated that “somebody just got shot” and was “trying to save someone’s life” by making the call, demonstrating the caller’s belief that there was a need for urgent medical attention. Caller 21 spoke in hushed tones because the person the caller perceived as the gunman had just left the scene on foot, and urged the officers to be careful, evincing a belief that the danger had not passed.

Each of the calls was also sufficiently corroborated by independent evidence establishing the reliability of the contents of the statements therein. The statements of B.M. and Caller 7,

that a man had been shot outside of 249 Beach 15th Street, were corroborated by the discovery of the victim's body on the sidewalk at that location. B.M.'s call specifically stated that the victim had been shot in the head; the victim's cause of death was a bullet wound to the head. Caller 7's report that there were about 15 shots was corroborated by R.M.'s testimony at trial that there were 13 shots in the first round of shooting. Caller 21's statement that there were two rounds of shots, totaling about 13, fired by a man with an assault rifle in front of 289 Beach 15th Street, was corroborated by the 14 assault rifle shells recovered outside 288 Beach 15th Street that the People introduced into evidence, as well as the security guard J.C.'s trial testimony that he heard two rounds of "rapid fire" shots after the shots that killed the victim. Caller 7 and B.M. both reported that the shooter or shooters left the scene in a car. B.M. described the car as a beige Jeep Wrangler, which to some extent corresponds with R.M.'s testimony that a white car screeched to a halt on the block immediately before shots were fired.

That certain details of the 911 calls conflict with the People's evidence and their theory of the case does not render the statements in the calls unreliable. Indeed, that potential conflict supports defendant's argument that the precluded testimony, the "substance and content" (*Vasquez*, 88 NY2d at 576) of which was consistent with other record evidence, denied him his right to present a defense.

The fact that B.M., in her testimony, conceded inconsistencies in her 911 call was relevant only to the admission of the call for impeachment purposes (*People v Piazza*, 48 NY2d 151, 164-165 [1979] ["(T)hough (extrinsic evidence) will be received when it tends to establish inconsistency," it is within the trial judge's discretion to exclude it if "(t)he contents . . . f(ind) their way into the record"]). Regardless of whether the call was admissible to impeach B.M., it should have been admitted for the truth of the matter asserted as a present sense impression. B.M.'s "availability at trial d[id] not preclude the admissibility of [a 911] tape under that hearsay exception" (*People v Buie*, 86 NY2d 501, 503 [1995]). Because the three calls were contemporaneous with the events in question, and were independently corroborated, the trial court abused its discretion when it excluded them.

III.

[3] “The right of an accused in a criminal trial to due process is, in essence, the right to a fair opportunity to defend against the State’s accusations” (*Chambers*, 410 US at 294). The trial judge’s evidentiary rulings here deprived defendant of “a meaningful opportunity to present a complete defense” (*Crane*, 476 US at 690 [internal quotation marks omitted]) and were not harmless. The evidence presented against defendant’s justification defense was far from overwhelming. The precluded testimony of R.J. could have contradicted the sole eyewitness at trial who negated the justification defense and impacted the jury’s analysis of that witness’s ability to perceive and recall the events. Moreover, there was a reasonable possibility that the error contributed to defendant’s conviction (*see People v Crimmins*, 36 NY2d 230, 240-241 [1975]). Admitting the 911 calls could have allowed defendant the opportunity to buttress his justification defense, to mount a different defense, or to challenge the eyewitness’s account of events. Precluding this testimony effectively tied defendant’s hands. A jury should have been allowed to hear and assess the excluded information and reach a verdict after weighing all the relevant evidence.

Our holding renders defendant’s remaining contentions academic.

Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

Chief Judge DiFiore and Judges Rivera, Garcia, Wilson, Cannataro and Troutman concur.

Order reversed and a new trial ordered.

[191 NE3d 355, 171 NYS3d 403]

U.S. BANK NATIONAL ASSOCIATION, Solely in its Capacity as
Trustee of HOME EQUITY ASSET TRUST 2007-1, Respondent,
v DLJ MORTGAGE CAPITAL, INC., Appellant.

Argued April 27, 2021; reargued February 8, 2022; decided March 17, 2022

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered October 10, 2019. The Appellate Division order, insofar as appealed from, affirmed an order of the Supreme Court, New York County (Eileen Bransten, J.; op 2018 NY Slip Op 33383[U] [2018]), which had denied defendant’s motion for partial summary judgment. The following question was certified by the Appellate Division: “Was the order of Supreme Court, as affirmed by . . . this Court, properly made?”

U.S. Bank N.A. v DLJ Mtge. Capital, Inc., 176 AD3d 466, reversed.

HEADNOTES

Contracts — Condition Precedent — Residential Mortgage-Backed Securities Transaction — Written Notice of Default on Loans

1. In a residential mortgage-backed securities put-back action, defendant was entitled to partial summary judgment with respect to those claims pertaining to loans that were not identified as nonconforming loans in plaintiff trustee’s pre-suit letter, as plaintiff failed to satisfy the contractual condition precedent to suit requiring identification of the specific loans alleged to be in material breach in order to invoke the repurchase protocol for such loans. The parties structured the repurchase protocol entirely through the lens of individual “mortgage loans,” clearly contemplating a loan-by-loan approach to the agreed-upon sole remedy for breach. The framework for repurchase was consistently phrased in a singular and individualized manner. The sole measure of recovery for a nonconforming loan was also loan specific, depending on the outstanding balance of that particular loan. That language made defendant’s obligation to cure, repurchase, or substitute a loan contingent upon notification and allegation of breach as to an individually identified loan. The trust contained over 5,000 mortgage loans and, in order for defendant to cure, repurchase, or substitute a claimed nonconforming loan or loans, it had to know which loans were alleged to be in material breach of the representations and warranties. The parties’ agreed-upon “sole remedy” for breach required plaintiff to give pre-suit, loan-specific notice of allegedly nonconforming loans prior to commencing an action to recover the repurchase price for the loans. Plaintiff failed to satisfy that prerequisite to suit and, thus, could not seek recovery on those loans to the extent it asserted defendant’s repurchase obligation was triggered by notice, as compared to independent discovery.

Contracts — Condition Precedent — Residential Mortgage-Backed Securities Transaction — Interest Recoverable on Liquidated Loans

2. In a residential mortgage-backed securities put-back action, the plain language of the parties' agreement limited interest recoverable on liquidated loans to interest that accrued prior to liquidation. Where there had been compliance with the repurchase protocol with respect to a liquidated loan that was ultimately determined to be in breach defendant was required to pay the repurchase price. The pooling and service agreement defined the repurchase price as "an amount equal to the sum of" the "unpaid principal balance" of the loan on the date of repurchase, plus "accrued and unpaid interest" on the mortgage loan "from the date through which interest was last paid by the Mortgagor to the Due Date in the month in which the Repurchase Price is to be distributed to the Certificateholders." The phrase "accrued and unpaid interest" referred only to interest that accrued on such loans prior to liquidation since, following liquidation, the loan no longer "accrued" interest.

POINTS OF COUNSEL

Orrick, Herrington & Sutcliffe LLP, New York City (*Richard A. Jacobsen, Barry S. Levin, John Ansbro, Paul F. Rugani and Daniel A. Rubens* of counsel), for appellant. I. The pooling and servicing agreement requires timely notice as to every loan for which plaintiff asserts a claim. (*Ambac Assur. Corp. v Countrywide Home Loans, Inc.*, 31 NY3d 569; *Nomura Home Equity Loan, Inc., Series 2006-FM2 v Nomura Credit & Capital, Inc.*, 30 NY3d 572; *Buran v Coupal*, 87 NY2d 173; *Duffy v Horton Mem. Hosp.*, 66 NY2d 473; *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581; *Federal Hous. Fin. Agency v UBS Ams., Inc.*, 858 F Supp 2d 306; *Johnson v State of New York*, 125 AD3d 1073; *Cooper v Sleepy's, LLC*, 126 AD3d 664; *Matter of Clairol Dev., LLC v Village of Spencerport*, 100 AD3d 1546; *Southern Wine & Spirits of Am., Inc. v Impact Envtl. Eng'g, PLLC*, 80 AD3d 505.) II. The pooling and servicing agreement's specified remedy does not include interest that never actually "accrued" on a loan. (*159 MP Corp. v Redbridge Bedford, LLC*, 33 NY3d 353; *Citi-Mortgage, Inc. v Equity Bank, N.A.*, 942 F3d 861; *ACE Sec. Corp. v DB Structured Prods., Inc.*, 40 Misc 3d 562.)

Kasowitz Benson Torres LLP, New York City (*Kathleen M. Sullivan, Hector Torres, David J. Abrams and David J. Mark* of counsel), for respondent. I. The First Department correctly held that the trustee may seek damages for all breaching loans in the trust, including those specifically identified after the filing of the complaint. (*Deutsche Bank Natl. Trust Co. v Morgan Stanley Mtge. Capital Holdings LLC*, 97 F Supp 3d

548; *Assured Guar. Mun. Corp. v Flagstar Bank, FSB*, 920 F Supp 2d 475; *Nomura Home Equity Loan, Inc., Series 2006-FM2 v Nomura Credit & Capital, Inc.*, 30 NY3d 572; *Ambac Assur. Corp. v Countrywide Home Loans, Inc.*, 31 NY3d 569; *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581; *Abrams v Maryland Cas. Co.*, 300 NY 80; *New York Central & Hudson River R. Co. v Kinney*, 260 US 340; *Buran v Coupal*, 87 NY2d 173; *Duffy v Horton Mem. Hosp.*, 66 NY2d 473; *Caffaro v Trayna*, 35 NY2d 245.) II. The courts below correctly found that interest continues to accrue on the unpaid principal balance of liquidated loans. (*Quadrant Structured Prods. Co., Ltd. v Vertin*, 23 NY3d 549.)

Hughes Hubbard & Reed LLP, New York City (*Shahzeb Lari* and *Hannah Miller* of counsel), for Securities Industry and Financial Markets Association, amicus curiae. I. The Appellate Division's application of the relation-back doctrine improperly thwarts the purpose of the sole remedy and repurchase provisions. (*Buran v Coupal*, 87 NY2d 173; *U.S. Bank N.A. v Green-Point Mtge. Funding, Inc.*, 147 AD3d 79; *Southern Wine & Spirits of Am., Inc. v Impact Envtl. Eng'g, PLLC*, 80 AD3d 505; *Duffy v Horton Mem. Hosp.*, 66 NY2d 473; *Matter of R.M. Klimment & Frances Halsband, Architects [McKinsey & Co., Inc.]*, 3 NY3d 538; *Matter of Bank of N.Y. Mellon*, 127 AD3d 120; *Retirement Bd. of the Policemen's Annuity & Benefit Fund of the City of Chicago v Bank of N.Y. Mellon*, 775 F3d 154; *NML Capital v Republic of Argentina*, 17 NY3d 250.) II. Permitting trustees to prove their claims using a sampling approach would undermine the loan-specific sole remedy provisions. (*Metropolitan Life Ins. Co. v Noble Lowndes Intl.*, 84 NY2d 430; *Board of Educ. of Hudson City School Dist. v Sargent, Webster, Crenshaw & Folley*, 71 NY2d 21.) III. Interest cannot accrue on mortgage loans that have been liquidated. (*Nomura Home Equity Loan, Inc., Series 2006-FM2 v Nomura Credit & Capital, Inc.*, 133 AD3d 96; *Ajdler v Province of Mendoza*, 33 NY3d 120; *Ellington v EMI Music, Inc.*, 24 NY3d 239; *Brooke Group v JCH Syndicate* 488, 87 NY2d 530.)

Patterson Belknap Webb & Tyler LLP, New York City (*Peter W. Tomlinson* and *Diana M. Conner* of counsel), and *Kellogg, Hansen, Todd, Figel & Frederick, P.L.L.C.*, Washington, D.C. (*Scott K. Attaway* of counsel), for National Credit Union Administration Board and another, amici curiae. I. Residential mortgage-backed securities plaintiffs must have meaningful

remedies for sponsors' systemic breaches of their representations and warranties. (*ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581; *Nomura Home Equity Loan, Inc., Series 2006-FM2 v Nomura Credit & Capital, Inc.*, 30 NY3d 572; *Ambac Assur. Corp. v Countrywide Home Loans, Inc.*, 31 NY3d 569.) II. DLJ Mortgage Capital, Inc.'s arguments concerning sampling and relation back find no support in the contracts. (*Messinger v Mount Sinai Med. Ctr.*, 15 AD3d 189; *Ambac Assur. Corp. v Countrywide Home Loans Inc.*, 179 AD3d 518; *ACE Sec. Corp. v DB Structured Prods., Inc.*, 40 Misc 3d 562; *US Bank, N.A. v UBS Real Estate Sec. Inc.*, 205 F Supp 3d 386; *Deutsche Bank Natl. Trust Co. v Morgan Stanley Mtge. Capital Holdings LLC*, 289 F Supp 3d 484; *Assured Guar. Mun. Corp. v Flagstar Bank, FSB*, 920 F Supp 2d 475; *Ashland Mgt. v Janien*, 82 NY2d 395; *Wakeman v Wheeler & Wilson Mfg. Co.*, 101 NY 205; *Home Equity Mtge. Trust Series 2006-1 v DLJ Mtge. Capital, Inc.*, 175 AD3d 1175.)

McKool Smith, P.C., New York City (*Robert W. Scheef* and *Courtney Statfeld* of counsel), for CXA-13 Corporation, amicus curiae. I. Securitization allocates the risk of flawed underwriting to the sponsor. II. DLJ Mortgage Capital, Inc.'s notice argument ignores the commercial realities of the repurchase enforcement process. (*Deutsche Bank Natl. Trust Co. v Morgan Stanley Mtge. Capital Holdings LLC*, 289 F Supp 3d 484; *Natixis Real Estate Capital Trust 2007-HE2 v Natixis Real Estate Holdings, LLC*, 149 AD3d 127; *Matter of Wells Fargo Bank v Nover Ventures, LLC*, 173 AD3d 626; *Assured Guar. Mun. Corp. v Flagstar Bank, FSB*, 920 F Supp 2d 475.) III. The notice provision does not require a commercially unreasonable investigation. (*Uribe v Merchants Bank of N.Y.*, 91 NY2d 336; *Macy's Inc. v Martha Stewart Living Omnimedia, Inc.*, 127 AD3d 48; *Oppenheimer & Co. v Oppenheim, Appel, Dixon & Co.*, 86 NY2d 685; *U.S. Bank N.A. v GreenPoint Mtge. Funding, Inc.*, 147 AD3d 79.)

Brooklyn Law School, New York City (*David L. Ferstendig* of counsel), for David L. Ferstendig, amicus curiae. I. New York's relation-back doctrine, like notice pleadings, reflects a liberal, flexible approach. (*Loomis v Civetta Corinno Constr. Corp.*, 54 NY2d 18; *Buran v Coupal*, 87 NY2d 173; *O'Halloran v Metropolitan Transp. Auth.*, 154 AD3d 83; *Duffy v Horton Mem. Hosp.*, 66 NY2d 473; *Schiavone v Fortune*, 477 US 21; *Koch v Acker, Merrall & Condit Co.*, 114 AD3d 596; *Jacobson v McNeil*

Consumer & Specialty Pharms., 68 AD3d 652; *Caffaro v Trayna*, 35 NY2d 245.) II. The facts in this case clearly support application of the relation-back doctrine. (*Home Equity Mtge. Trust Series 2006-1 v DLJ Mtge. Capital, Inc.*, 175 AD3d 1175; *Nomura Home Equity Loan, Inc., Series 2006-FM2 v Nomura Credit & Capital, Inc.*, 133 AD3d 96, 30 NY3d 572; *Koch v Acker, Merrall & Condit Co.*, 114 AD3d 596.) III. Undoing the application of ordinary relation-back principles in this context would represent an extreme departure from precedent. (*ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581; *MRI Broadway Rental v United States Min. Prods. Co.*, 92 NY2d 421.)

OPINION OF THE COURT

Chief Judge DiFiore.

In this residential mortgage-backed securities litigation, we are again called upon to determine the proper application of a now-familiar contractual “sole remedy repurchase protocol” provision. Applying well-settled principles of contract interpretation and giving effect to the plain meaning of the contract language, the repurchase protocol requires that plaintiff trustee provide loan-specific pre-suit notice in order to invoke defendant sponsor’s repurchase obligation and satisfy the contractual prerequisite to suit. Furthermore, plaintiff trustee cannot rely on the relation back doctrine of CPLR 203 (f) to avoid the consequences of its failure to comply with the contractual condition precedent with respect to the loans in question prior to commencing this action. We also conclude that the plain language of the parties’ agreement limits interest recoverable on liquidated loans to interest that accrued prior to liquidation.

I.

Plaintiff U.S. Bank National Association is trustee of the Home Equity Asset Trust 2007-1, a residential mortgage-backed securities (RMBS) trust that closed in February 2007. Defendant DLJ Mortgage Capital, Inc., as sponsor of the trust, selected the over 5,100 mortgage loans ultimately placed in the trust. The pooled loans represent the collateral for certificates issued by the trust, which in turn pay principal and interest to certificateholders based on the funds generated by the mortgage borrowers’ underlying payments. Pursuant to the pooling and service agreement (PSA) establishing the trust, DLJ made certain representations and warranties, including that each

loan was underwritten in accordance with the originators' underwriting standards and applicable law, that certain provided documentation was true and accurate, and that none of the loans were "high cost" or "predatory." As particularly relevant here, the PSA contains a "sole remedy" provision granting U.S. Bank, as trustee, the limited authority to seek a remedy for any breach by DLJ of these representations and warranties through a contractually established "repurchase protocol" requiring DLJ to cure, repurchase, or substitute a nonconforming mortgage loan within 90 days of notice or independent discovery of such breaching loan.

In November 2011, in its capacity as conservator for the Federal Home Loan Mortgage Corporation (Freddie Mac), the Federal Housing Finance Agency (FHFA) sent two letters to plaintiff trustee asserting that 304 identified loans in the trust breached DLJ's representations and warranties. The FHFA requested that the trustee enforce DLJ's obligation "to repurchase the Subject Loans within 90 days" of notice. The following month, in December 2011, the trustee sent copies of FHFA's letters to DLJ, along with a demand that DLJ "repurchase all loans that breached representations and warranties, including" the 304 loans identified by the FHFA. Approximately three months later, in March 2012, the trustee sent another letter demanding that DLJ cure or repurchase an additional 900 loans identified on an attached schedule. DLJ evaluated the allegations of breach and agreed to repurchase approximately 40 of the loans identified by the trustee, disputing the remaining allegations of nonconformity.

In February 2013, the trustee commenced this breach of contract action, alleging that DLJ was required to repurchase the 1,204 loans identified in its letters, along with "all other Mortgage Loans in the Trust as to which DLJ breached" representations and warranties. It is undisputed that the complaint was timely filed within the statute of limitations. The trustee alleged that a "loan-level" forensic review revealed a significant number of the loans were in breach of the representations and warranties based on, among other things, borrower misrepresentation of income and occupancy status, miscalculations of borrowers' debt to income ratios, and the charging of high-cost interest on the loans. According to the complaint, DLJ's obligation to repurchase was triggered by the trustee's letters providing notice of nonconforming loans in accordance with the

repurchase protocol. The trustee eventually filed a second amended complaint adding an allegation—not at issue on this appeal—that DLJ was also obligated to repurchase any loan that DLJ had independently discovered was in breach.

Following certain procedural history not relevant here, DLJ moved to dismiss the second amended complaint. In pertinent part, DLJ sought dismissal as to any loans other than the 1,204 loans identified in the trustee’s pre-suit letters to the extent such claims were premised upon notice having been provided, arguing that the repurchase remedy had not been invoked with respect to any loan not specifically identified by the trustee. DLJ argued that, aside from allegations of independent discovery, no action could be maintained upon loans that were not specifically identified as nonconforming before the litigation commenced due to noncompliance with the contractual prerequisite to suit. Supreme Court denied DLJ’s motion, concluding that the trustee’s December 2011 breach letter “provided notice to DLJ of its obligation to repurchase ‘all loans that breached representations and warranties’ ” (2015 NY Slip Op 32875[U], *5 [Sup Ct, NY County 2015]).

Litigation continued and, during discovery, the trustee’s expert reviewed 1,059 of the loans in the trust—including both previously noticed and unnoticed loans—and identified 783 allegedly nonconforming loans. Only 303 of these loans had been specifically identified by the trustee in its pre-suit letters; the remaining 480 loans were not listed in the schedules of breaching loans provided to DLJ prior to commencement of the action. The trustee also proffered an expert opinion computing the repurchase price for the allegedly noncompliant loans with interest on the unpaid principal balance of each loan—even those that had been liquidated—calculated so as to include “accrued and unpaid interest” through the “Repurchase Date” set at 90 days after the December 2011 breach letter.

DLJ subsequently moved for partial summary judgment, arguing, as relevant here, that the trustee could not pursue recovery for the 480 loans not specifically identified in the pre-suit letters to the extent that the trustee relied on a notice, rather than an independent discovery, theory. Further, DLJ sought summary judgment with respect to the method of calculation of the repurchase price, arguing that—under the PSA—no interest should be included past the date that any

loan was liquidated because no interest “accrued” following liquidation.

Supreme Court denied DLJ’s motion (2018 NY Slip Op 33383[U] [Sup Ct, NY County 2018]).¹ With regard to the 480 loans, the court adhered to its prior rationale for denying DLJ’s motion to dismiss—namely, that the trustee’s pre-suit letters fulfilled the contractual obligation to provide prompt notice of nonconforming loans, triggering the repurchase protocol with respect to all the loans in question. The court further concluded, in any event, that “because the repurchase letters identified some timely claims, the later-identified claims relate back to the original filing” (*id.* at *29). Addressing interest, Supreme Court recognized that DLJ’s position had “some logic to it” but nevertheless rejected the contention that interest ceased accruing on liquidated loans for purposes of calculating the repurchase price (*id.* at *31).

The Appellate Division affirmed the order denying DLJ’s motion for partial summary judgment, concluding that the trustee’s December 2011 letter timely informed DLJ “that a substantial number of identified loans were in breach, and that the pool of loans remained under scrutiny, with the possibility that additional nonconforming loans might be identified” (176 AD3d 466, 466 [1st Dept 2019]). According to the Appellate Division, this “notice complied with the contractual condition precedent of notifying [DLJ] of its default, such that subsequently identified loans, including the 480 identified by [the trustee’s] expert during discovery, related back to the time of the initial notice” (*id.*). Further, the Court agreed with Supreme Court that “interest could be calculated on liquidated loans, at the applicable mortgage rate, up until the repurchase date” (*id.* at 467). The Appellate Division granted DLJ leave to appeal to this Court, certifying the question of whether its order was properly made. We now reverse.

II.

We first address the parties’ dispute regarding whether DLJ was entitled to summary judgment to the extent the claims pertain to the 480 loans that were not identified in the trustee’s pre-suit letters on the ground that the trustee failed to provide

1. Supreme Court also denied the trustee’s cross motion for partial summary judgment, which is not at issue on this appeal.

the prompt notice required by the repurchase protocol—a contractual condition precedent to suit.² DLJ argues that, in denying its motion for summary judgment, the courts below ignored the plain language of the sole remedy provision requiring pre-suit notice of each specific loan claimed to be nonconforming, followed by an opportunity to cure or repurchase the identified loans, prior to the commencement of any action for breach premised upon such loans. Further, DLJ asserts, the “relation back” doctrine of CPLR 203 (f) is not available to “cure” the trustee’s failure to comply with the contractual requirement to provide pre-suit notice for the 480 loans first identified by the trustee’s expert years after the litigation commenced.

In response, the trustee contends that its December 2011 and March 2012 letters adequately put DLJ on notice of its obligation to repurchase *any* breaching loans—including the 480 loans later identified during discovery—and that the language of the PSA does not require loan-specific notice for each individual breaching loan as a prerequisite to a repurchase action. In any event, even if loan-specific notice is required, the trustee argues that the notice requirement of the repurchase protocol was satisfied by its expert’s identification of the 480 additional loans after the action was commenced. Finally, relying on CPLR 203 (f), the trustee asserts that its claims with respect to the 480 loans at issue “relate back” to its timely complaint, such that they are properly interposed.

As with much of our RMBS precedent, this controversy presents a question of contract interpretation fitting within “a consistent theme: does the contract mean what it says?” (*Matter of Part 60 Put-Back Litig.*, 36 NY3d 342, 348 [2020]). Freedom of contract is an important and deeply rooted public policy in this state (*see id.* at 355; *2138747 Ontario, Inc. v Samsung C&T Corp.*, 31 NY3d 372, 377 [2018]). “Absent some violation of law or transgression of a strong public policy, the parties to a contract are basically free to make whatever agreement they wish” (*Rowe v Great Atl. & Pac. Tea Co.*, 46 NY2d 62, 67-68 [1978]), and “[f]reedom of contract prevails in an

2. As already noted, the trustee has sought to recover on these same loans under a theory that DLJ independently discovered the breaches. The parties agree that such a theory is not before us and, thus, we address only whether the complaint may be maintained with respect to the 480 loans insofar as the trustee seeks recovery based upon the theory that it provided sufficient notice to pursue a remedy as to those loans.

arm's length transaction between sophisticated parties" such that courts generally may not "relieve them of the consequences of their bargain" (*Oppenheimer & Co. v Oppenheim, Appel, Dixon & Co.*, 86 NY2d 685, 695 [1995]; see *Matter of Part 60 Put-Back Litig.*, 36 NY3d at 355). Thus, " 'when parties set down their agreement in a clear, complete document, their writing should as a rule be enforced according to its terms' " (*Nomura Home Equity Loan, Inc., Series 2006-FM2 v Nomura Credit & Capital, Inc.*, 30 NY3d 572, 581 [2017], quoting *W.W.W. Assoc. v Giancontieri*, 77 NY2d 157, 162 [1990]). Further, "[c]ourts may not 'by construction add or excise terms, nor distort the meaning of those used and thereby make a new contract for the parties under the guise of interpreting the writing' " (*Riverside S. Planning Corp. v CRP/Extell Riverside, L.P.*, 13 NY3d 398, 404 [2009], quoting *Reiss v Financial Performance Corp.*, 97 NY2d 195, 199 [2001]).

In accordance with these bedrock principles, " 'courts must honor contractual provisions that limit liability or damages because those provisions represent the parties' agreement on the allocation of the risk of economic loss in certain eventualities' " (*Ambac Assur. Corp. v Countrywide Home Loans, Inc.*, 31 NY3d 569, 581 [2018], quoting *Nomura*, 30 NY3d at 581). To that end, in the RMBS context, we have repeatedly enforced sole remedy provisions—a typical component of these transactions—in accordance with their plain terms, as such provisions are "sufficiently clear to establish that no other remedy was contemplated by the parties at the time the contract was formed" (*Nomura*, 30 NY3d at 582; see *Matter of Part 60 Put-Back Litig.*, 36 NY3d at 352; *Ambac Assur. Corp.*, 31 NY3d at 581-582). Indeed, as we explained in *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, compliance with the sole remedy provision is a "procedural prerequisite to suit" and, absent satisfaction of this contractual condition precedent, an action is not validly commenced (25 NY3d 581, 598 [2015]).

Here, the sole remedy provision, section 2.03 of the PSA, states that, "[u]pon discovery by any of the parties . . . of a breach" of the relevant representations or warranties that materially and adversely affects the certificateholders' interest "in any Mortgage Loan, the party discovering such breach shall give prompt notice thereof to the other parties" (PSA § 2.03 [d] [emphasis added]). Upon receipt of proper notice of a breach that materially affects the value of the "related Mortgage Loan,"

a 90-day period commences during which DLJ must “cure *such breach* in all material respects, and if *such breach* is not so cured,” DLJ must either “remove *such Mortgage Loan* . . . from the Trust Fund and substitute in its place a Qualified Substitute Mortgage Loan” (if less than two years had elapsed since closing) or “repurchase *the affected Mortgage Loan or Mortgage Loans* from the Trustee at the Repurchase Price” (PSA § 2.03 [d] [emphasis added]). The “Repurchase Price”—the only recovery for a breach—is calculated pursuant to a specific formula based on the outstanding principal balance of the particular nonconforming loan (PSA § 1.01). Further, the parties agreed that DLJ’s “obligation . . . to cure, repurchase or substitute *any Mortgage Loan as to which a breach has occurred* and is continuing shall constitute the sole remedy . . . respecting *such breach*” (PSA § 2.03 [d] [emphasis added]).

A simple reading of the above-quoted provision demonstrates that the trustee’s assertion that loan-specific notice is not required is inconsistent with the contractual language of the repurchase protocol. The parties structured the repurchase protocol entirely through the lens of individual “mortgage loans”—clearly contemplating a loan-by-loan approach to the agreed-upon sole remedy for breach. The framework for repurchase is consistently phrased in a singular and individualized manner—requiring first the identification of a *specific* breaching “Mortgage Loan” and then, if the breach is substantiated as to *that loan*, the removal and substitution or repurchase of *that particular loan* from the trust. To that end, the sole measure of recovery for a nonconforming loan—i.e., the “repurchase price”—is also loan specific, depending on the outstanding balance of that particular loan. This language makes DLJ’s obligation to cure, repurchase, or substitute a loan contingent—as relevant here—upon notification and allegation of breach as to an individually identified loan. Indeed, this is the only sensible reading of the repurchase protocol.³ The trust here contains over 5,000 mortgage loans and, in order for DLJ to cure, repurchase, or substitute a claimed nonconforming loan or loans, it must know *which* loans are alleged to be in material breach of the representations and warranties.

3. Contrary to the dissent’s assertion, this conclusion is not based merely on the repurchase protocol’s “reference to the singular” (dissenting op at 189) but, rather, is the only reasonable interpretation of the overall language, structure, and purpose of that provision.

That the parties contracted for an abridged 90-day window for DLJ to determine whether to cure, substitute, or repurchase also underscores that the parties could only reasonably have intended and understood the notice requirement to operate on a loan-by-loan basis. The “prompt notice” required by the contract must be considered within the context of its purpose—which is not merely to inform DLJ that there was some unidentified alleged breach of the representations and warranties but, rather, to trigger the agreed-upon sole remedy: DLJ’s obligation to cure, substitute or repurchase a *particular* nonconforming loan or loans within 90 days. To determine whether the inclusion of an individual loan in the trust breached the representations and warranties, DLJ must inspect the underlying mortgage file for that loan—as evidenced by the loan-level nature of the trustee’s allegations of breach—a process hardly possible within the abbreviated cure period if the allegedly nonconforming loans are not clearly identified by the party claiming breach. Reading the sole remedy repurchase protocol in “light of the [contractual] obligation as a whole and the intention of the parties manifested thereby,” any contention that the repurchase protocol for *all* loans in the trust can be invoked by claiming that *some* loans breached is simply untenable (*Cortlandt St. Recovery Corp. v Bonderman*, 31 NY3d 30, 39 [2018] [internal quotation marks and citation omitted]). Compliance with the repurchase protocol requires notice of each individual loan alleged to be in breach.⁴

Our recent precedent—which has characterized similar contractual provisions as loan-specific and has consistently rejected attempts to circumvent the sole remedy repurchase protocol through allegations of pervasive breach—supports this conclusion. For example, in *Nomura Home Equity Loan, Inc., Series 2006-FM2 v Nomura Credit & Capital, Inc.*, we declined to interpret the sole remedy provision as applying “only to occasional mortgage *loan-specific* breaches,” pointing out that—as here—the relevant language did “not provide a carve-out . . . where a certain threshold number of loan breaches are alleged” (30 NY3d at 585 [emphasis added]). Similarly, in *Ambac Assur.*

4. Indeed, the FHFA recognized the loan-specific nature of the repurchase protocol inasmuch as it identified specific allegedly nonconforming “Subject Loans,” requested that the trustee seek repurchase by DLJ of only those identified “Subject Loans” within 90 days after DLJ “receive[d] notice of the identified breaches,” and reserved its rights to “identify other Mortgage Loans” with respect to which breaches may have occurred.

Corp. v Countrywide Home Loans, Inc., we refused to limit the parties' sole remedy repurchase protocol to "loan-level" breaches or otherwise conclude it was inapplicable to "transaction-level" allegations of breach, reiterating that the plaintiff could not "subvert" the sole remedy provision "by simply re-characterizing its claims" (31 NY3d at 582 [internal quotation marks and citation omitted]). Even more recently, we determined that the trustee could not avoid compliance with the sole remedy provision by alleging gross negligence, rejecting the trustee's claim that allegations of a pervasive breach of the representations and warranties should relieve it of the burden "to prove its case on a loan-by-loan basis" (*Matter of Part 60 Put-Back Litig.*, 36 NY3d at 357).

Here, the trustee's assertion that the repurchase protocol can be invoked for certain breaching loans through an allegation that *other* loans are nonconforming is nothing more than an attempt to avoid the consequences of the sole remedy provision and pursue claims of "pervasive" breach without having adequately complied with the notice requirements of the repurchase protocol. Yet again, we "conclude that the parties' contract, as written, means what it says" (*id.* at 348). The plain language of the sole remedy provision agreed upon by the parties requires identification of the specific loans alleged to be in material breach in order to invoke the repurchase protocol for such loans and satisfy the contractual condition precedent to suit. In so concluding, we honor the parties' decision to include contractual provisions that limit recovery, giving effect to the "parties' agreement on the allocation of the risk" (*Nomura*, 30 NY3d at 581).

Alternatively, the trustee argues that, if loan-specific identification is necessary under the PSA, sufficient notice has nevertheless been provided to DLJ through its post-suit expert disclosure identifying the additional 480 nonconforming loans because the PSA does not mandate *pre-suit* notice. We disagree. The repurchase protocol sets forth the mechanism that—upon prompt notice to DLJ of an allegedly nonconforming loan, a repurchase demand, and an opportunity to cure—is the negotiated "sole remedy" for any nonconforming loans included in the trust in breach of DLJ's representations and warranties. As such, it necessarily follows that no action may be validly commenced to recover in connection with a particular loan until the repurchase protocol has been invoked with respect to that loan, the cure period has expired, and DLJ has failed to adhere to the contractually agreed-upon remedy for the breach.

The pre-suit nature of the repurchase protocol is demonstrated by our holding in *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2* (25 NY3d 581). There, we clarified that the repurchase protocol is the sole remedy permitted under the contract for breach of the representations and warranties, and that compliance with its notice requirements is a “procedural prerequisite to suit” (*id.* at 598) in the absence of which the action was “not validly commence[d]” (*id.* at 589). Thus, *ACE* illustrates that the trustee must give notice and an opportunity to cure or repurchase under a repurchase protocol *before* commencing litigation. Likewise, here, pre-suit notice by the trustee was required to fulfill the “procedural prerequisite to suit” and its expert’s identification of additional loans four years into litigation does not cure the failure to comply with that contractual requirement.

U.S. Bank N.A. v DLJ Mtge. Capital, Inc. (33 NY3d 72 [2019]) does not compel a different conclusion as nothing in our decision in that case approves of post-suit notice. There, the trustee “filed an action within six years of the execution” of the relevant agreements but the action was dismissed “without prejudice” due to its failure to fully comply with the contractual condition precedent inasmuch as it had provided notice of 1,124 specific nonconforming loans to a backstop sponsor but not the primary obligor—the loan originator—before commencing the action to recover for those nonconforming loans (*id.* at 77). The question before us was whether the dismissal of the complaint against the backstop sponsor should have been “with prejudice” to a potential future recommencement of the action under CPLR 205 (a)—a statutory provision permitting plaintiffs to recommence an action within six months of a non-merits dismissal provided the original action was commenced within the statute of limitations, even if the action would be time-barred at the time of recommencement. We determined that the dismissal based on the partial failure to give pre-suit notice pursuant to the contractual condition precedent did not constitute a timeliness dismissal within the meaning of CPLR 205 (a)—and we declined the backstop sponsor’s invitation to disturb the “without prejudice” dismissal on that basis. However, that the dismissal—based solely on failure of a procedural condition precedent—did not render the action untimely for statute of limitations purposes in no way excused the trustee from its obligation to fully satisfy the contractual pre-suit notice requirements for each loan prior to commencement of any ac-

tion thereon (*see ACE*, 25 NY3d at 598), as reflected in our statement that “no action for breach of the representations and warranties may be brought until [the loan originator] has had 90 days to cure or repurchase the allegedly noncompliant loans” (*U.S. Bank N.A.*, 33 NY3d at 76).

The trustee’s reliance on CPLR 203 (f) fares no better. Pursuant to CPLR 203 (f), when a valid and timely action has been commenced, a “claim asserted in an amended pleading” may be deemed to relate back to the timely interposed complaint so long as the original complaint gave “notice of the transactions, occurrences, or series of transactions or occurrences” upon which the new claim is based. Here, the trustee did not attempt to invoke CPLR 203 (f) after filing an amended complaint to add new claims following satisfaction of the condition precedent with respect to the 480 loans at issue, but rather identified these loans in an amended reply expert report—a fact that is completely ignored by the dissent.

Moreover, to the extent that the Appellate Division suggested that the trustee’s post-suit identification of loans “related back to the time of the initial notice” (176 AD3d at 466), we clarify that CPLR 203 (f) and the relation back doctrine provides a vehicle in the context of civil litigation to excuse noncompliance with other statutory procedural requirements. It has no application here to excuse the trustee’s failure to comply with the contractual prerequisite to suit. The parties agreed to a limited remedy for the inclusion of nonconforming loans in the trust and made that remedy available only if the trustee first complied with certain loan-specific notice requirements, providing the sponsor an opportunity to cure or repurchase the identified loans. “Express conditions must be literally performed; substantial performance will not suffice” (*MHR Capital Partners LP v Presstek, Inc.*, 12 NY3d 640, 645 [2009]). We cannot rewrite the contract by substituting a different, post-suit notice procedure in place of the one chosen by the parties.

[1] In sum, pursuant to the plain language of the repurchase protocol—the parties’ agreed-upon “sole remedy” for breach—the trustee was required to give pre-suit, loan-specific notice of allegedly nonconforming loans prior to commencing an action to recover the repurchase price for such loans. The trustee failed to satisfy this prerequisite to suit with respect to the 480 loans at issue and, thus, the trustee cannot seek recovery on those loans to the extent it asserts that DLJ’s repurchase obligation was triggered by notice, as compared to independent discovery.

III.

[2] The second issue presented on this appeal is a dispute over the proper calculation of the “Repurchase Price”—which the parties agree is the only remedy that may be recovered for a nonconforming loan pursuant to the repurchase protocol. The “Repurchase Price” of a mortgage loan is defined in the PSA as “an amount equal to the sum of” the “unpaid principal balance” of the loan on the date of repurchase, plus “accrued and unpaid interest” on the mortgage loan “from the date through which interest was last paid by the Mortgagor to the Due Date in the month in which the Repurchase Price is to be distributed to the Certificateholders” (PSA § 1.01). DLJ does not dispute that it must pay the repurchase price where there has been compliance with the repurchase protocol with respect to a liquidated loan that is ultimately determined to be in breach. However, DLJ contends that, with respect to such loans, the phrase “accrued and unpaid interest” refers only to interest that accrued on such loans prior to liquidation since, following liquidation, the loan no longer “accrue[s]” interest. We agree.

The PSA’s inclusion in the repurchase price of “accrued and unpaid interest” on a mortgage loan plainly refers to interest that has accumulated on a loan but that has not yet been paid (*see* Black’s Law Dictionary [11th ed 2019], *accrue*). The trustee does not dispute that, upon liquidation, interest no longer “accrue[s]” on a mortgage loan.⁵ The trustee nevertheless asserts that, if the parties intended to exclude post-liquidation interest, the PSA would expressly limit the repurchase price to interest “actually” accrued. However, such redundancy is not necessary to understand the definition of “Repurchase Price” as excluding post-liquidation interest, which limitation is implicit in the parties’ agreement that only “accrued” interest is included in the repurchase price. Thus, the parties agreed that calculation of the repurchase price would not include post-liquidation interest.

Accordingly, the order of the Appellate Division insofar as appealed from should be reversed, with costs, defendant’s mo-

5. The PSA defines a “Liquidation Mortgage Loan” as “a defaulted Mortgage Loan . . . which was liquidated” and as to which the loan servicer “has received all amounts it expects to receive in connection with the liquidation of such Mortgage Loan” (PSA § 1.01). The PSA also defines the “Liquidation Proceeds” as “[a]mounts . . . received in connection with the partial or complete liquidation of defaulted Mortgage Loans, whether through trustee’s sale, foreclosure sale or similar disposition” (PSA § 1.01).

tion for partial summary judgment granted in accordance with this opinion, and certified question answered in the negative.

RIVERA, J. (dissenting in part). Plaintiff U.S. Bank National Association as trustee for a residential mortgage-backed securities (RMBS) fund sponsored by defendant DLJ Mortgage Capital, Inc., notified DLJ that numerous specified loans in the fund were allegedly in breach of DLJ's representations and warranties and demanded remedial action on all defective loans. This came as no surprise, as DLJ was on prior notice from a certificateholder's conservator of these alleged defective loans and a similar demand that DLJ remedy its default. DLJ concedes that U.S. Bank's notice was sufficient to trigger its remedial obligations but alleges that the scope of the notice is limited to the loans listed. The lower courts rejected this argument—and rightly so, because the notice alerted DLJ to its alleged breaches and attendant impact on the securitized loan pool and expressly stated it was not limited to loans identified at the time. This was all the notice DLJ was entitled to under the RMBS agreement. Moreover, U.S. Bank's complaint sufficiently set forth the transactions and occurrences within the meaning of CPLR 203 (f), so that additional defective loans identified by U.S. Bank during discovery related back to the original timely filing date. In contravention of our rules of contract interpretation, the majority adopts a notice requirement more burdensome than what the parties agreed to. The Court takes one misstep further and limits the relation back doctrine in contravention of the intent and purpose of the CPLR. The majority's holding is at odds with the obligations imposed by the RMBS agreement to remedy defective loans—obligations intended to prevent DLJ from avoiding liability for the types of egregious pool-wide violations alleged here.

I.

This appeal involves breach-of-contract claims by plaintiff U.S. Bank, the trustee of an RMBS fund called the Home Equity Asset Trust 2007-1 (HEAT), against the RMBS sponsor defendant DLJ. The HEAT formation and securitization documents include a pooling and servicing agreement (PSA) that sets forth DLJ's representations and warranties applicable to the 5,153 loans in the trust.

The PSA includes the now familiar remedial protocol and damages formula for material breaches, which provides,

“[u]pon discovery by any of the parties [to the PSA]

of a breach of a representation or warranty . . . that materially and adversely affects the interests of the Certificateholders in any Mortgage Loan, the party discovering such breach shall give prompt notice thereof to the other parties. [DLJ] hereby covenants that within 90 days of the earlier of its discovery or its receipt of written notice from any party of a breach of any representation or warranty made by it . . . which materially and adversely affects the value of the related Mortgage Loan or the interests of the Certificateholders, it shall cure such breach in all material respects, and if such breach is not so cured, shall . . . repurchase the affected Mortgage Loan or Mortgage Loans from the Trustee at the Repurchase Price in the manner set forth [in this agreement].”

After the execution date of the PSA, the Federal Housing Finance Agency (FHFA)—acting as conservator of a certificateholder—notified DLJ in two separate letters that at least 300 loans held in the HEAT trust breached the PSA’s representations and warranties and demanded that DLJ repurchase those loans.

FHFA identified the loans in schedules attached to those letters. It noted that its demand was “not intended as a full and complete statement of all relevant facts and claims” and that it “reserve[d]” its right “to identify additional breaches of representations and warranties respecting the Subject Loans, and to identify other Mortgage Loans with respect to which [DLJ] may have breached one or more of the representations and warranties contained in the PSA.”

The following month, U.S. Bank wrote to DLJ and included FHFA’s letters as an attachment. U.S. Bank reminded DLJ that, under the PSA, DLJ was “obligated to repurchase every loan that did not comply with a representation or warranty” and demanded that it “repurchase all loans that breached representations and warranties, including” the loans identified by FHFA. Three months later, U.S. Bank sent another letter to DLJ demanding that DLJ cure or repurchase 900 allegedly breaching loans identified in an attached schedule.

After DLJ refused to cure or repurchase all but 40 loans, U.S. Bank filed the instant action demanding repurchase of all the allegedly breaching loans. The second amended complaint referenced the prefiling notice provided by FHFA’s and U.S.

Bank’s correspondence. U.S. Bank asserted that an expert forensic review revealed that, out of 1,510 examined loans, 1,204—nearly 80%—breached the PSA’s representations and warranties. A loan-level review of an additional 1,000 loans confirmed that the loan originators “failed to adhere to industry-standard and reasonable underwriting guidelines in an extremely high percentage of cases.”

U.S. Bank also quoted from publicly available emails sent from or received by DLJ executives revealing a stunning laxity in DLJ’s underwriting standards. Among other statements, the emails noted that “[o]ur diligence process is such a joke” and “our expanded eligibility for every fly-by-night originator was so broad that any loan could, and did, get through what passed for diligence” at DLJ.

DLJ moved to dismiss U.S. Bank’s second amended complaint as to loans not specifically identified in the prefiling notice sent before expiration of the applicable six-year statute of limitations.¹ DLJ argued that U.S. Bank had “failed to comply with the Repurchase Protocol in a timely manner” with respect to any loans except for those that U.S. Bank specifically identified before filing suit. U.S. Bank opposed, arguing that its pre-suit letters sufficiently apprised DLJ of its obligation to repurchase all breaching loans and, in any event, DLJ independently discovered the breaching loans triggering DLJ’s repurchase obligation. The court denied the motion.

Subsequently, and as relevant here, DLJ moved for partial summary judgment, arguing again that U.S. Bank’s recovery was limited to the loans for which it specifically gave notice before the statute of limitations elapsed, and that U.S. Bank’s later-noticed claims did not relate back to the filing of the complaint. Furthermore, DLJ argued that the court should hold that the repurchase price does not include interest for liquidated loans after the date of liquidation. Supreme Court rejected DLJ’s arguments.

On appeal, the Appellate Division affirmed, holding that U.S. Bank’s pre-suit notice “complied with the contractual condition precedent . . . , such that subsequently identified loans . . . related back to the time of the initial notice” (*U.S. Bank N.A. v DLJ Mtge. Capital, Inc.*, 176 AD3d 466, 466-467 [1st Dept 2019]). Moreover, U.S. Bank was entitled to interest on liquidated loans (*id.* at 467). The Court granted DLJ leave to ap-

1. The parties do not dispute that the original complaint was timely filed.

peal and certified to this Court the question of whether the order of Supreme Court, as affirmed by the Appellate Division, was “properly made.” I agree on one point, for the reasons stated by the majority: U.S. Bank cannot collect liquidated damages (majority op at 173, 184). The majority otherwise misreads the agreement and misapplies the CPLR.

II.

Summary judgment is a “drastic remedy” that should be granted “only where the moving party has ‘tender[ed] sufficient evidence to demonstrate the absence of any material issues of fact’ ” (*Vega v Restani Constr. Corp.*, 18 NY3d 499, 503 [2012], quoting *Alvarez v Prospect Hosp.*, 68 NY2d 320, 324 [1986]; see CPLR 3212 [b]). Even then, summary judgment should be granted “only if, upon the moving party’s meeting of this burden, the non-moving party fails ‘to establish the existence of material issues of fact which require a trial of the action’ ” (*Vega*, 18 NY3d at 503, quoting *Alvarez*, 68 NY2d at 324). Issue finding, not issue deciding, is the court’s purpose at the summary judgment stage (see *id.* at 505, citing *Sillman v Twentieth Century-Fox Film Corp.*, 3 NY2d 395, 404 [1957]). Thus, “[w]here the court entertains any doubt as to whether a triable issue of fact exists, summary judgment should be denied” (*Daliendo v Johnson*, 147 AD2d 312, 317 [2d Dept 1989]). When ruling on a motion for summary judgment, the deciding court must view the facts “in the light most favorable to the non-moving party” (*Ortiz v Varsity Holdings, LLC*, 18 NY3d 335, 339 [2011]).

Here, DLJ must establish both that the prefiling notice is inadequate and that U.S. Bank cannot rely on CPLR 203 (f) to refer back to its original complaint in support of damages for later-identified allegedly defective loans based on the same transactions or occurrences noticed in the complaint. It failed to carry its burden on both counts.

III.

The majority correctly begins the analysis with the language of the agreement, but misconstrues that language to impose a requirement of individualized notice (majority op at 179). The majority reaches this conclusion first by reading language into the agreement. But, as the majority recognizes, our well-established rules prohibit judicial rewriting of contracts (see majority op at 178, quoting *Riverside S. Planning Corp. v CRP/*

Extell Riverside, L.P., 13 NY3d 398, 404 [2009] [“Courts may not ‘by construction add or excise terms, nor distort the meaning of those used and thereby make a new contract for the parties under the guise of interpreting the writing’”], quoting *Reiss v Financial Performance Corp.*, 97 NY2d 195, 199 [2001]).

Turning to the RMBS agreement, the securitization documents do not define what constitutes adequate notice for purposes of the repurchase protocol. Nowhere does the PSA state that a certificateholder or the trustee must identify a particular loan or how to set forth a breach of the representations and warranties (*see* majority op at 178-179). The PSA merely provides that, “[u]pon discovery . . . of a breach of a representation or warranty . . . that materially and adversely affects the interests of the Certificateholders in any Mortgage Loan, the party discovering such breach shall give prompt notice thereof to the other parties.” That notice requirement was satisfied here.

The FHFA letters specifically notified DLJ of 304 breaching loans worth approximately 55 million dollars, and that there were more that were unidentified. U.S. Bank’s first prefiling letter identified the same breaching loans and demanded that “DLJ repurchase all loans that breached the representations and warranties.” U.S. Bank’s second letter identified an additional 900 loans, for a total of 1,204—approximately 23% of the loans in the trust. This was sufficient notice of widespread breaches of the representations and warranties throughout the RMBS trust, and it triggered DLJ’s obligation to remedy its default.

The majority and DLJ interpret the agreement to require that the notice be provided on a loan-by-loan basis, and, as a corollary, that the trustee cannot assert that there were widespread breaches without separately identifying each loan affected by the breach (*see* majority op at 189). This argument has no textual support. Nowhere does the PSA foreclose a trustee or certificateholder from providing notice by identifying breaches of the representations and warranties as they affected specific loans—here constituting over 20% of the loan pool—as examples of DLJ’s widespread failure to comply with those representations and warranties.

The majority’s textual reading turns on a reference to the singular “[l]oan” in the PSA’s repurchase protocol (*see* majority op at 178-179, 179 n 3). This is by no means dispositive of the

drafters' intent for loan-specific notice. Read in context, the provision encompasses the plural form of the terms "[l]oan" and "breach." Indeed, the same provision upon which the majority relies states that DLJ "*shall . . . repurchase the affected Mortgage Loan or Mortgage Loans*," indicating that notice can be provided for multiple loans. Moreover, the provision refers to "a breach of a representation or warranty," thus requiring notice of the representation and warranty that DLJ failed to comply with, notice of which U.S. Bank provided. Despite these textual indicators, the majority states that their view is the "only reasonable interpretation of the overall language, structure, and purpose of that provision" (*see* majority op at 179 n 3). However, saying something is the "only reasonable interpretation," does not make it so. In fact, Supreme Court held that DLJ's reading of the PSA "impose[d] a more stringent notice requirement" and pointed to several other cases reaching the same conclusion (*see U.S. Bank N.A. v DLJ Mtge. Capital, Inc.*, 2018 NY Slip Op 33383[U], *28-29 [Sup Ct, NY County 2018]). So much for the majority's "only reasonable interpretation." In any case, as I discuss, all these "indicators" lead to a result contrary to the majority's reading of the repurchase protocol.

The majority also misinterprets the purpose of the framework for repurchasing (*see* majority op at 179-180). The fact that the parties contracted for an abridged 90-day window for DLJ to determine whether to cure, substitute, or repurchase does not "underscore[] that the parties could only reasonably have intended and understood the notice requirement to operate on a loan-by-loan basis" (*id.* at 180). The 90-day period applies regardless of the type or number of alleged breaches and affected loans. DLJ is stuck with this negotiated timeframe, even if it turns out that DLJ needs more time to make an informed decision on how to act. And, it very well could. Hypothetically, if U.S. Bank provided notice of representation and warranty breaches as to each of the more than 5,000 mortgage loans in the pool, DLJ has the same amount of time to remedy as if U.S. Bank had sought relief for only one defective loan. It is absurd to think that DLJ could have possibly examined within 90 days each and every loan to determine if it should cure, substitute, or repurchase. But, that is what the agreement provides, and so the parties are bound by it. Indeed,

"[f]reedom of contract prevails in an arm's length

transaction between sophisticated parties such as these, and in the absence of countervailing public policy concerns there is no reason to relieve them of the consequences of their bargain. If they are dissatisfied with the consequences of their agreement, the time to say so [was] at the bargaining table” (*Oppenheimer & Co. v Oppenheim, Appel, Dixon & Co.*, 86 NY2d 685, 695 [1995] [internal quotation marks and citation omitted]).

Similarly unpersuasive is the majority’s recrafting of U.S. Bank’s claim as an attempt to trigger the repurchase protocol for all loans by referencing some loans (*see* majority op at 180). This word play falls flat because U.S. Bank is not seeking a repurchase for every loan, but only those which are identified and proved to be out of compliance with the agreement. A simple example clarifies the point. Assume you purchase 100 cars from a dealer who represents that they all are equipped with new tires and who warrants that the dealer will buy back any car or cars with used tires or replace the tires with new ones. When the cars are delivered, you examine them and find that 20 of the cars have used tires. You inform the dealer and say that you’ll continue with your examination but want the dealer to comply with the promise to buy back any car with used tires or provide the new tires. The dealer buys back one of the 20 cars. It is obvious that the dealer is on notice that there is a problem with the cars and that you want the problem taken care of for all the cars equipped with used tires. Here, U.S. Bank, through its notice and reference to the FHFA notice, made clear to DLJ that there were alleged breaches that materially affected the loan pool, that it was continuing to identify the impacted loans, and that it was demanding that DLJ remedy its default in accordance with the agreement.

The majority erroneously relies on our decisions in *Nomura Home Equity Loan, Inc., Series 2006-FM2 v Nomura Credit & Capital, Inc.* (30 NY3d 572 [2017]), *Ambac Assur. Corp. v Countrywide Home Loans, Inc.* (31 NY3d 569 [2018]), *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.* (25 NY3d 581 [2015]), and *U.S. Bank N.A. v DLJ Mtge. Capital, Inc.* (33 NY3d 72 [2019]). The specific issue of the type of notice required was not at issue in those appeals.

In *Nomura* we rejected a trustee’s attempt to bring a general breach-of-contract claim based on a “no untrue statement” provision in the contract (30 NY3d at 577). Instead, we held that

the sole remedy for breaches of the mortgage loan-specific representations and warranties was a provision mandating cure or repurchase (*see id.* at 577, 585 [holding that “there is no support in the governing agreements for the position of (plaintiff) that the Sole Remedy Provision applies only to occasional mortgage loan-specific breaches, whereas pervasive (or ‘aggregate’) breaches are addressed under” the sole remedy provision]). In *Ambac*, we held that a contract’s sole remedy provision applied to “transaction-level” representations about a defendant’s operation and financial condition (31 NY3d at 581-583). And, in *ACE*, we held that plaintiff’s cause of action for breach of representations and warranties accrued at the point of contract execution (*see* 25 NY3d at 589). Finally, in *U.S. Bank* we held that an RMBS trustee could file a second action in accordance with CPLR 205 (a) when its first action was timely filed and dismissed for failure to comply with the contractual notice and cure or repurchase condition precedent (*see* 33 NY3d at 75, 82).² Thus, our prior holdings clarified that a plaintiff’s action for breach of the RMBS agreement accrues upon execution of the contract, including an action claiming pool-wide breaches, and that failure to provide notice of a breach in accordance with the cure and repurchase provision within the six-year statute of limitations is not fatal to the filing of a subsequent action within six months of the dismissal of the original complaint once contractual notice is provided. The Court, in those appeals, did not conclude or suggest that the type of notice provided here is no notice at all.

U.S. Bank timely notified DLJ of allegedly noncompliant loans and that the breaches affected other loans in the pool which were continuing to be identified. Unlike the parties in *Nomura*, *Ambac* and *Matter of Part 60 Put-Back Litig.* (36 NY3d 342, 348 [2020]), DLJ was notified that there were problems with the loan pool as illustrated by the listed loans in the notice, and that the alleged breaches affected other loans. Nothing in our prior decisions suggests that such notice is inadequate or contrary to the agreement.

Nor is it true, as the majority claims, that without a loan specific number DLJ was unable to conduct the investigation necessary to comply with its remedy obligations (*see* majority

2. As discussed in section IV, *infra*, the decision in *U.S. Bank* supports application of CPLR 203 (f) and the relation back doctrine so that U.S. Bank can seek damages for defective loans based on the transactions and occurrences described in the complaint and discovered post-filing.

op at 180). To the contrary, DLJ was well aware of the representations and warranties and could have reviewed the pool based on the information provided in the notice. What more did U.S. Bank need after the FHFA and U.S. Bank advised it of how the breaches impacted the securitization pool? After all, DLJ, “as sponsor of the trust, selected the over 5,100 mortgage loans ultimately placed in the trust” (majority op at 173). With that insider knowledge DLJ was uniquely positioned to cure or repurchase defective loans once notified of the alleged problems with the pool.

Notably, DLJ failed to indicate in its correspondence with U.S. Bank that it believed the provision applied only to loans specifically identified by the trustee or certificateholder. Nor, for that matter, that it needed additional time to make an informed decision of how to proceed. DLJ remained silent rather than expressly reject the demand to repurchase all breaching loans for lack of individual loan specificity. Instead, DLJ reviewed the list of loans provided and agreed to repurchase approximately 3% of them, with no suggestion that it was choosing not to consider U.S. Bank’s demand concerning other loans. In fact, DLJ stated in its March 5, 2012 letter to U.S. Bank that it was continuing to review “the allegations in the Repurchase Demands” from FHFA and U.S. Bank, and that it “reserves all rights, including the right to amend [its] response based on, without limitation, further review of the loan documents and data, and additional information subsequently provided by FHFA or U.S. Bank.” Thus, DLJ indicated that it was continuing to review the claimed breaches and that it would consider additional information from FHFA and U.S. Bank regarding their allegations. Given that FHFA and the trustee expressly reserved the right to provide additional information about the breaches with further loan examples, DLJ’s correspondence kept the door open to further claims and indicates it was on notice of the transactions that led to its alleged violations of the representations and warranties.

IV.

U.S. Bank is also correct that CPLR 203 (f) applies and that the claims concerning loans identified post-filing relate back to when U.S. Bank timely filed its original complaint. CPLR 203 (f) provides that “[a] claim asserted in an amended pleading is deemed to have been interposed at the time [that] the claims in the original pleading were interposed, unless the original

pleading does not give notice of the transactions, occurrences, or series of transactions or occurrences, to be proved pursuant to the amended pleading.” The doctrine of relation back is aimed at balancing the CPLR’s relaxation of “strict, formalistic pleading requirements” with the important policies underlying statutes of limitations (*Buran v Coupal*, 87 NY2d 173, 177 [1995]). Indeed, New York’s relation back doctrine is “even more liberal than the federal provision” (1 Weinstein-Korn-Miller, NY Civ Prac: CPLR ¶ 203.29 [2021]). The CPLR requires only “notice” of the transactions or occurrences (or series of transactions or occurrences), and not that the claim “arose out of” the same conduct, transaction or occurrence, as its federal counterpart mandates (Fed Rules Civ Pro rule 15 [c]).

The original complaint asserted breaches throughout the loan pool, described a forensic review that revealed that almost 80% of sampled loans breached the representations and warranties, and asserted that the loan originators “failed to adhere to industry-standard and reasonable underwriting guidelines in an extremely high percentage of cases.” U.S. Bank averred that, “given these high breach rates, it is reasonable to infer that breaches of DLJ’s R&Ws exist throughout the entire pool of Mortgage Loans in the Trust.” Further, the complaint referenced the prefiling letters as notice of the breaching loans that FHFA and U.S. Bank specifically identified. That notice alerted DLJ to an alleged pattern of breaches of the representations and warranties, as well as the nature of U.S. Bank’s claims against DLJ and its demand that DLJ repurchase breaching loans, as required by the PSA. U.S. Bank thus put DLJ on notice of transaction-wide errors and breaches not limited to any individual loan. In other words, the complaint and the prefiling letters put DLJ on notice of systemic breaches.³ Therefore, the pleading placed DLJ on notice “of the transactions, occurrences, or series of transactions or occurrences, to be proved pursuant to the amended pleading” (CPLR 203 [f]).

Contrary to DLJ’s argument, each loan is not a separate transaction, nor are the claims about the later-discovered loans

3. CPLR 203 (f) does not require U.S. Bank to amend its complaint each and every time it identified a new breaching loan as it continued to comb through the systemic breaches present in the loan pool (*see* majority op at 183). It is immaterial that the expert report identified an additional 480 loans at issue, because the original notice was sufficient.

based on events that occurred post-filing. Rather, the loans at issue were part of the same loan pool, and securitized and governed by the same documents. As we previously held in *ACE Sec. Corp.* (25 NY3d at 598), any alleged breach occurred when the representations and warranties were made—i.e., at the time of execution—meaning that all alleged breaches occurred simultaneously. Indeed, many of the representations and warranties are based on standardized methods of loan review, and thus apply uniformly across the loan pool. For example, DLJ assured U.S. Bank that the mortgage loans “comple[d] with all the terms, conditions and requirements of the originator’s underwriting standards in effect at the time of origination of” the loans; only a certain percentage of the loans in the pool were delinquent; all the loans in the pool “complied in all material respects with applicable local, state, and federal laws, including . . . all applicable predatory and abusive lending laws”; at the time of closing, all the loans would be “serviced” in accordance with the PSA; and the information regarding the loans set forth in the PSA was “complete, true, and correct in all material respects.”

As U.S. Bank argues, its claims are based on a faulty securitization process that infected the entire trust and rendered the representations and warranties meaningless, as applied to the entire loan pool, the moment that the agreement was executed. Contrary to DLJ’s argument, U.S. Bank does not allege any action by DLJ after execution or even after filing of the complaint that breached the representations and warranties.

Significantly, DLJ does not argue that allowing the later-noticed claims to relate back to the filing of the original complaint works prejudice on its defense; such an argument would be unpersuasive (*see Duffy v Horton Mem. Hosp.*, 66 NY2d 473, 476 [1985] [explaining that the primary purpose of a limitations period is “fairness to a defendant,” who should be “secure in (the) reasonable expectation that the slate has been wiped clean of ancient obligations, and (the defendant) ought not to be called on to resist a claim where the evidence has been lost, memories have faded, and witnesses have disappeared” (internal quotation marks omitted)]). These later-discovered, allegedly breaching loans are part of the same RMBS as the loans referenced in the prefiling demand letters. Thus, DLJ is “likely to have collected and preserved available evidence relating to the entire transaction or occurrence and”

their “sense of security” had “already been disturbed” when U.S. Bank filed suit (*id.* at 477; *see Bloomfield v Bloomfield*, 97 NY2d 188, 193 [2001]).

In contrast, to require RMBS plaintiffs to supply notice of every breaching loan within the statute of limitations, which will likely have elapsed before discovery is completed, places plaintiffs in an untenable position not intended by the PSA. I find unpersuasive and hyperbolic DLJ’s argument that allowing the claims to refer back to the original pleading would permit a certificateholder or trustee to wait until the last day of the statute of limitations to identify two loans and then seek relief for hundreds more after the statute of limitations expired. First, the statute of limitations is six years and U.S. Bank, like any claimant, has the entire period available to file suit. Second, if the two loans are examples of massive breaches and the representations and warranties are actually referenced, that may indeed be sufficient to place DLJ on notice, but that would be a decision to be made on a case-by-case basis. Third, here, over 20% of the loan pool was identified as breaching, not less than one percent, as in DLJ’s example.

Nothing in the PSA precludes relation back. The repurchase protocol was designed to make the trust and certificateholders whole in the event that DLJ breached the PSA’s representations and warranties. It undermines that purpose for this Court to read the repurchase protocol’s notice requirement as a strict bar to recovery, especially where U.S. Bank’s complaint informed DLJ of the scope of its alleged liability (*see Kass v Kass*, 91 NY2d 554, 567 [1998] [“Where the document makes clear the parties’ over-all intention, courts examining isolated provisions should . . . choose that construction which will carry out the plain purpose and object of the agreement” (internal quotation marks and brackets omitted)]). Therefore, the majority’s assertion that U.S. Bank is attempting to use CPLR 203 (f) as “a vehicle in the context of civil litigation to excuse noncompliance with other statutory” pleading and statute of limitations requirements is unsupported (*see* majority op at 183). There is no contractual prerequisite to suit that U.S. Bank failed to follow.

Nor do our decisions in *U.S. Bank* and *ACE Sec.* change the analysis. First, in *ACE Sec.*, the trustee filed its complaint after the six-year statute of limitations elapsed (25 NY3d at 592; *see U.S. Bank*, 33 NY3d at 79). Here, DLJ concedes that the original complaint was timely filed. Thus, U.S. Bank’s claims

of later-discovered breaching loans relate back to a timely filed “valid preexisting action.” Second, in *U.S. Bank*, we rejected the argument that DLJ made, which it repeats here, that the trustee can seek relief only for loans noticed prior to the expiration of the statute of limitations. As we explained, “RMBS notice and sole remedy provisions are not substantive elements of the cause of action, but instead limitations on the remedy for a breach of the mortgage loan representations and warranties. They serve as a precondition, ‘a procedural prerequisite to suit,’ not a separate undertaking by the trustee” (*id.* at 80 [citations omitted], quoting *ACE Sec.*, 25 NY3d at 598). Although the issue arose in the context of a CPLR 205 (a) motion, the legal proposition upon which the decision rests applies independently of that procedural context and with equal force to a motion pursuant to CPLR 203 (f). Thus, contrary to the majority’s conclusion (*see* majority op at 183), the repurchase protocol is not a substantive condition precedent to suit, and cannot bar the application of the relation back doctrine on the facts of this case.

V.

DLJ’s summary judgment motion was properly denied except with respect to U.S. Bank’s claim for accrued interest on liquidated loans. Therefore I would modify the Appellate Division only on that specific issue and would otherwise affirm and answer the certified question in the negative.

The majority’s interpretation leads to the anomalous result of shielding DLJ from remedying the most egregious and economically impactful breaches of the agreement. Put another way, because the majority concludes that DLJ should be deemed to be on notice only of specifically identified loans and not of the attendant effects of the alleged defect, DLJ may ignore hundreds of allegedly noncompliant loans that reveal significant breaches of the warranties and guarantees. This is not a proper interpretation of the agreement. It could not have been the intent of the parties to provide a remedy for a few defective loans but allow for systemwide breaches affecting thousands of loans in the pool—allegedly 80% here—or to permit the sponsor to escape the contractual cure and repurchase obligations simply because DLJ was informed there was a significant problem with its securitization but not given the corresponding number for every loan it allegedly failed to properly vet. Further, nothing in the agreement prohibits U.S.

Bank from seeking relief for loans identified during discovery in this litigation. Therefore, because the complaint set forth the transactions and occurrences underlying U.S. Bank's contract claims, those later identified loans relate back to the filing of the original complaint and may be considered in calculating the damages recoverable for DLJ's alleged breaches. I dissent from the majority's departure from our established contract principles and liberal application of the CPLR.

Judges GARCIA, SINGAS, CANNATARO, TROUTMAN and LaSALLE* concur; Judge RIVERA dissents in part in an opinion; Judge WILSON took no part.

Order insofar as appealed from reversed, with costs, defendant's motion for partial summary judgment granted in accordance with the opinion herein and certified question answered in the negative.

* Designated pursuant to NY Constitution, article VI, § 2.

[191 NE3d 1136, 171 NYS3d 865]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v CARLOS
GALINDO, Respondent.

Argued May 18, 2022; decided June 16, 2022

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the Second Judicial Department, Second, Eleventh and Thirteenth Judicial Departments, entered June 12, 2020. The Appellate Term order, insofar as appealed from, (1) reversed a judgment of the Criminal Court of the City of New York, Queens County (Stephanie L. Zaro, J.), which had convicted defendant, upon a jury verdict, of driving while intoxicated (*per se*), driving while intoxicated (common law), consumption or possession of alcoholic beverages in certain motor vehicles and unlicensed operation of a motor vehicle; (2) vacated an order of that court which had denied defendant's pretrial motion to dismiss the accusatory instrument on statutory speedy trial grounds; and (3) granted defendant's motion.

People v Galindo, 70 Misc 3d 16, reversed.

HEADNOTE

**Crimes — Right to Speedy Trial — Traffic Infractions Jointly
Charged with Higher-Grade Offense Subject to Statutory Time
Limits — Amendment Not Retroactive**

In amending the speedy trial statute to state that a traffic infraction is an "offense" for purposes of subdivision (1) of CPL 30.30 (*see* CPL 30.30 [1] [e]), the legislature required that the maximum time limits for prosecutorial readiness be applied to traffic infractions jointly charged with a higher-grade offense in criminal actions commenced on or after the date of the amendment. As the amendment went into effect while defendant's direct appeal was pending before the Appellate Term it did not apply to his case, and the Appellate Term mistakenly relied on the amended language in granting defendant's motion to dismiss the accusatory instrument. By expressly including traffic infractions within the definition of "offenses," the legislature intended that the prosecution's maximum time to declare trial readiness in a criminal action that includes a traffic offense would be determined by the most serious offense charged. In addition, it was the legislature's prerogative to decide that actions involving only traffic infractions would still not be covered by the speedy trial statute. However, the newly worded statute does not apply to criminal actions commenced before its effective date. Nothing in the text expressly or by necessary implication required retroactive application of the statute as amended, nor did the legislative history support such interpretation. First, the legislature delayed the amendment's effective date for eight months, indicating its intent that CPL 30.30 (1) (e) apply

prospectively. Second, the legislature waited over 40 years after lower courts first declared that traffic infractions are not offenses within the meaning of CPL 30.30 (1) before expressly abrogating that line of cases. This lengthy lapse in time weighed against immediate application of the amendment and suggested a policy choice to effect a future change in the law.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Criminal Law §§ 930, 933, 942.
CARMODY-WAIT 2d Timeliness of Prosecution; Speedy Trial
§§ 186:37, 186:39, 186:42, 186:50.
LAFAYE, ET AL., CRIMINAL PROCEDURE (4th ed) § 18.3.
MCKINNEY'S, CPL 30.30 (1).
NY JUR 2d Criminal Law: Procedure §§ 1894, 1908, 1910,
1912.

ANNOTATION REFERENCE

See ALR Index under Speedy Trial; Traffic Offenses and Violations.

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POINTS OF COUNSEL

Melinda Katz, District Attorney, Kew Gardens (Eric C. Washer, Russell Shapiro, John M. Castellano and Sharon Y. Brodt of counsel), for appellant. I. The legislature failed to amend CPL 30.30 effectively so as to abrogate settled law that statutory speedy trial analysis does not apply to traffic infractions. (*Henry Modell & Co. v Minister, Elders & Deacons of Ref. Prot. Dutch Church of City of N.Y.*, 68 NY2d 456; *People v Buyund*, 179 AD3d 161; *People v Dorilas*, 19 Misc 3d 75; *People v Minor*, 144 Misc 2d 846; *Cohen v Lord, Day & Lord*, 75 NY2d 95; *Criscione v City of New York*, 97 NY2d 152; *Matter of Tonis v Board of Regents of Univ. of State of N.Y.*, 295 NY 286; *Palmer v Van Santvoord*, 153 NY 612; *People v Polite*, 16 Misc 3d 18; *People v Taylor*, 189 Misc 2d 313.) II. CPL 30.30 (1) (e) cannot be applied retroactively to cases on direct appeal that concluded nearly four years prior to the statute's effective date. (*Matter of Thomas v Bethlehem Steel Corp.*, 63 NY2d 150; *Matter of Beary v City of Rye*, 44 NY2d 398; *Landgraf v USI Film Products*, 511

US 244; *Matter of Gleason [Michael Vee, Ltd.]*, 96 NY2d 117; *Dalziel v Rosenfeld*, 265 NY 76; *Weiler v Dry Dock Sav. Inst.*, 258 App Div 581; *Cappiello v Cappiello*, 66 NY2d 107; *People v Utsey*, 7 NY3d 398; *People v Ali*, 71 Misc 3d 25; *People v Wiggins*, 31 NY3d 1.)

Janet E. Sabel, The Legal Aid Society, New York City (*Hannah Gladstein* and *Rachel L. Pecker* of counsel), for respondent. Because the term “offense” has always included “traffic infractions,” the legislature’s addition of paragraph (e) to CPL 30.30 (1) was designed simply to clarify, and confirm explicitly, what the statute had always said—that when traffic infractions are charged along with one or more higher offenses, they are subject to dismissal under CPL 30.30 when the prosecution exceeds the speedy trial period applicable to the highest offense—which is why, having created no new law, the amendment applies to cases where the issue was preserved in the trial court and the case remains pending on direct appeal (US Const, Amends VI, XIV; NY Const, art I, § 6; CPL 30.30 [1]). (*People v Wilson*, 8 NY2d 391; *People v Prosser*, 309 NY 353; *People v Sibblies*, 22 NY3d 1174; *People v Sinistaj*, 67 NY2d 236; *People v Taranovich*, 37 NY2d 442; *People v Price*, 14 NY3d 61; *People v Brothers*, 50 NY2d 413; *People v McKenna*, 76 NY2d 59; *People v Worley*, 66 NY2d 523; *People v Osgood*, 52 NY2d 37.)

OPINION OF THE COURT

RIVERA, J.

The issue presented on this appeal is whether CPL 30.30 (1) (e), added to the speedy trial statute and made effective while defendant’s direct appeal was pending before the Appellate Term, applies to his case. The amendment requires application of CPL 30.30 (1) and its maximum times for prosecutorial readiness to accusatory instruments charging traffic infractions jointly with a felony, misdemeanor, or violation. However, the legislature has not mandated retroactive application of the newly worded CPL 30.30. We therefore reverse the Appellate Term’s order insofar as appealed from because the court mistakenly relied on the amended language in granting defendant’s motion to dismiss the accusatory instrument.

Defendant was charged in 2014 in a single accusatory instrument with three misdemeanor counts and three traffic infractions under various sections of the Vehicle and Traffic Law. Approximately 17 months later, defendant moved to dismiss the

accusatory instrument on speedy trial grounds pursuant to CPL 30.30. The court denied the motion, concluding that the statute did not apply to jointly charged traffic infractions and that the People did not exceed the 90-day statutory time limit applicable to the misdemeanor counts. Thereafter, a jury convicted defendant of two misdemeanors and two infractions and acquitted him of the remaining counts. The court sentenced defendant to a conditional discharge, imposed fines and a six-month vehicle license suspension, and mandated installation of an ignition interlock device for one year and defendant's attendance at a one-day victim impact panel.

During the pendency of defendant's appeal before the Appellate Term, the legislature amended CPL 30.30 to add CPL 30.30 (1) (e), which states that the term "offense" includes traffic infractions for the purpose of subdivision (1) of CPL 30.30.¹ The Appellate Term granted defendant's motion to dismiss the accusatory instrument, including the traffic infractions, concluding that the People exceeded the statutory time limit to state their readiness for trial on the misdemeanor counts and that the amendment applied retroactively (70 Misc 3d 16 [App Term, 2d Dept, 2d, 11th & 13th Jud Dists 2020]). A Judge of this Court granted the People leave to appeal (36 NY3d 1056 [2021]).

The People concede that CPL 30.30 (1) (e) means what it says—namely, that a traffic infraction is an "offense" for purposes of subdivision (1) of CPL 30.30—but they argue that the amendment as written fails to achieve its legislative purpose and, regardless, that the amendment is not retroactive. We reject the People's invitation to treat the amendment as a legal nullity and ignore the legislature's intent that traffic infractions jointly charged with the offenses delineated in CPL 30.30 (1) be included within the statutory speedy trial framework. However, we agree that the legislature intended that CPL 30.30 (1) (e) apply to criminal actions commenced on or after the effective date of the amendment. Thus, the Appellate Term should not have relied on the amended version of the statute to resolve defendant's appeal.²

1. CPL 30.30 (2) was also amended to add an identical paragraph (e) to that subdivision.

2. The District Attorney does not challenge the Appellate Term's finding that the prosecution exceeded the 90-day statutory time limit applicable to the misdemeanor charges.

“The primary consideration of courts in interpreting a statute is to ‘ascertain and give effect to the intention of the Legislature’ ” (*Riley v County of Broome*, 95 NY2d 455, 463 [2000], quoting McKinney’s Cons Laws of NY, Book 1, Statutes § 92 [a]). Generally, “the plain meaning of the statutory text is the best evidence of legislative intent” (*People v Cahill*, 2 NY3d 14, 117 [2003], citing *Riley*, 95 NY2d at 463). Indeed, “[a]s a general rule, unambiguous language of a statute is alone determinative” (*Riley*, 95 NY2d at 463, citing *Matter of Washington Post Co. v New York State Ins. Dept.*, 61 NY2d 557, 565 [1984]).

In April 2019, as part of a suite of criminal justice reforms, the legislature amended CPL 30.30, adding, as relevant here, paragraph (e) to subdivision (1), which became effective January 1, 2020 (*see* L 2019, ch 59, § 1, part KKK, § 2). “Although the words ‘speedy trial’ appear in the title to CPL 30.30 and the section is often referred to as expressing a statutory right to a speedy trial,” CPL 30.30 actually functions to disincentivize prosecutorial delay by granting a defendant the right to dismissal where the People are not ready for trial (*People v Brothers*, 50 NY2d 413, 417 [1980]). The statute imposes time limits, defined by the highest graded count, by when a prosecutor must declare readiness for trial (*see* CPL 30.30 [1] [a]-[d]). The amendment did not change the existing times allotted nor did it alter the statutory structure, which provides the greatest amount of time when a defendant is accused of a felony and which affords increasingly less time as the charged offenses decrease in seriousness. As amended, CPL 30.30 (1) reads:

“Except as otherwise provided in subdivision three of this section, a motion made pursuant to paragraph (e) of subdivision one of section 170.30 or paragraph (g) of subdivision one of section 210.20 of this chapter must be granted where the people are not ready for trial within:

“(a) six months of the commencement of a criminal action wherein a defendant is accused of one or more offenses, at least one of which is a felony;

“(b) ninety days of the commencement of a criminal action wherein a defendant is accused of one or more offenses, at least one of which is a misdemeanor punishable by a sentence of imprisonment of more than three months and none of which is a felony;

“(c) sixty days of the commencement of a criminal action wherein the defendant is accused of one or more offenses, at least one of which is a misdemeanor punishable by a sentence of imprisonment of not more than three months and none of which is a crime punishable by a sentence of imprisonment of more than three months; or

“(d) thirty days of the commencement of a criminal action wherein the defendant is accused of one or more offenses, at least one of which is a violation and none of which is a crime.

“(e) for the purposes of this subdivision, the term offense shall include vehicle and traffic law infractions.”³

The text brings traffic infractions, when charged jointly with at least one of the other listed offenses, within the scope of CPL 30.30 (1). Reading the amendment in context, the newly worded CPL 30.30 (1) puts to rest any question of the legislature’s intent that the time limits specified in that provision apply to criminal actions in which a traffic infraction is jointly charged with a higher-grade offense. The statutory framework is hierarchical, as the statutory time frames are set forth in descending order. The statute imposes shorter periods of time within which the People must declare their readiness for trial as the severity of the top charge decreases. Thus, at the highest end of the spectrum, if the action includes at least one felony charge, the prosecution has six months to declare readiness for trial, while at the lowest end, the prosecution has 30 days if at least one offense is a violation and no charged offense is a crime. Contrary to the People’s assertion, it was unnecessary for the legislature to have specified a distinct time limit for trial readiness for traffic infractions—noncriminal infractions that are less serious than all the offenses referenced in the statute—since it is obvious that by expressly including traffic infractions within the definition of “offenses,” the legislature intended that the prosecution’s maximum time to declare trial readiness in a criminal action that includes a traffic offense would be determined by the most serious offense charged. Indeed, at the time the amendment was enacted, there were lower court cases which had concluded that traffic infrac-

3. CPL 30.30 (3) (a) exempts “criminal action[s] wherein the defendant is accused of” various homicide offenses from these speedy trial time limits.

tions were not offenses for purposes of CPL 30.30 (*see e.g. People v Gonzalez*, 168 Misc 2d 136, 137 [App Term, 1st Dept 1996] [holding that a traffic infraction was not on “the level of a more serious offense . . . (that would) bring the case within the ambit of CPL 30.30”]), although no definitive interpretive pronouncement had been issued by this Court. While that open question lingered for decades, it was well settled that the “general rule articulated in CPL 30.30 (1)” is that “the readiness time requirement is based on the most serious offense charged in the criminal action” (*People v Cooper*, 98 NY2d 541, 546 [2002]). Our Court had made clear that “CPL 30.30 (1) . . . correlates the applicable time period to the highest grade of offense charged in a criminal action” (*id.*). We assume the legislature was aware of the state of the law and acted with that understanding in drafting subdivision (1) (e) (*see Arbegast v Board of Educ. of S. New Berlin Cent. School*, 65 NY2d 161, 169 [1985] [“The Legislature is . . . presumed to be aware of the decisional and statute law in existence at the time of an enactment” (citation omitted)]; *Hammelburger v Foursome Inn Corp.*, 54 NY2d 580, 588 [1981] [“Ascertainment of the legislative intent behind (an) enactment . . . requires consideration of the decisional law background . . . of which it may be presumed the Legislature was aware”]). Thus, it was wholly logical for the legislature to adopt language it considered necessary to expressly reject lower court decisions that excluded traffic infractions from the criminal action subject to dismissal, without needing to codify the uncontroversial rule articulated in *Cooper*.

To deem the amendment ineffective, as the People urge, would ignore the obvious significance of the legislature’s chosen language and violate a core principle of statutory construction that “effect and meaning must, if possible, be given to the entire statute and every part and word thereof” (McKinney’s Cons Laws of NY, Book 1, Statutes § 98 [a]). Indeed, “[a] construction that would render a provision superfluous is to be avoided” (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 587 [1998]). Essentially, the People seek a declaration from this Court that the amendment was a waste of legislative time and resources, a failed exercise of legislative authority. But as then-Judge Cardozo explained over a century ago, “[w]e cannot impute to the lawmakers a futile and frivolous intent” (*Matter of Rouss*, 221 NY 81, 90 [1917]). Therefore, we “decline to read the amendment in such a way as to render

some of its terms superfluous” and, as a consequence, hold it a legal nullity (*Matter of OnBank & Trust Co.*, 90 NY2d 725, 731 [1997]; *see also* McKinney’s Cons Laws of NY, Book 1, Statutes § 144 [“Statutes will not be construed as to render them ineffective”]).

We are similarly unpersuaded by the People’s argument that giving effect to CPL 30.30 (1) (e) would be nonsensical because actions involving *only* traffic infractions would still not be covered by the speedy trial statute. That interpretation of the statute is correct and obvious from its plain text, but it is the prerogative of the legislature to decide under what circumstances to mandate time limits for trial readiness. There is no evidence to suggest that the governmental delay the legislature sought to address through the criminal speedy trial statute exists where the criminal action only involves a traffic infraction.⁴ In any case, the legislature is free to decide which issues to address, and we are not free to ignore legislation because some may believe the legislature has not gone far enough (*see Allen v Minskoff*, 38 NY2d 506, 511 [1976] [“A statute must be read and given effect as it is written by the Legislature, not as the court may think it should or would have been written if the Legislature had envisaged all the problems and complications which might arise in the course of its administration” (internal quotation marks and citation omitted)]; *Sheehy v Big Flats Community Day*, 73 NY2d 629, 634 [1989] [(“T)he Legislature has both the right and the authority to select the methods to be used in effectuating its goals, as well as to choose the goals themselves”]; *cf. Matter of Seignious v Rice*, 273 NY 44, 50 [1936] [“The Legislature is free to choose among conflicting considerations, and mould the law according to its own will subject only to constitutional restrictions”]).

We nevertheless agree with the People that the newly worded statute does not apply to criminal actions commenced before

4. As defendant points out, in noncriminal cases, the Vehicle and Traffic Law imposes certain time limits for traffic infractions (*see e.g.* Vehicle and Traffic Law §§ 155 [providing that, with some exceptions irrelevant here, “all provisions of law relating to misdemeanors” shall apply to traffic infractions in those parts of New York except “those portions of Suffolk county for which a district court has been established” and “cities having a population in excess of one million”]; 225 [1] [permitting the establishment of administrative tribunals in “cit(ies) having a population of one million or more” to hear cases involving only traffic infractions]; 227 [2] [imposing separate readiness requirements on the People in traffic infraction cases heard before such administrative tribunals]).

its effective date. “It is a fundamental canon of statutory construction that retroactive operation is not favored by courts and statutes will not be given such construction unless the language expressly or by necessary implication requires it” (*Majewski*, 91 NY2d at 584; see *Jacobus v Colgate*, 217 NY 235, 240 [1916, Cardozo, J.] [“It takes a clear expression of the legislative purpose to justify a retroactive application”]). The same is true of a statutory amendment, which this Court has held “will in general have prospective effect only, unless its language indicates that it should receive a contrary interpretation” (*Matter of Thomas v Bethlehem Steel Corp.*, 63 NY2d 150, 154 [1984], citing McKinney’s Cons Laws of NY, Book 1, Statutes, § 52; see also *Matter of Gleason [Michael Vee, Ltd.]*, 96 NY2d 117, 122 [2001] [“Amendments are presumed to have prospective application unless the Legislature’s preference for retroactivity is explicitly stated or clearly indicated”]). “[T]he reach of the statute ultimately becomes a matter of judgment made upon review of the legislative goal” (*Matter of OnBank*, 90 NY2d at 730).

Nothing in the text “expressly or by necessary implication” requires retroactive application of the statute as amended (*Majewski*, 91 NY2d at 584). Nor does the legislative history support such interpretation. First, the legislature *delayed* the amendment’s effective date for eight months, indicating its intent that CPL 30.30 (1) (e) apply prospectively. “The postponement of the effective date . . . furnishes critical and clear indicia of intent. If the amendment[] [was] to have retroactive effect, there would have been no need for any postponement” (*People v Utsey*, 7 NY3d 398, 403-404 [2006] [internal quotation marks omitted]). Second, the legislature waited over 40 years after lower courts first declared that traffic infractions are not offenses within the meaning of CPL 30.30 (1) before expressly abrogating that line of cases. This lengthy lapse in time weighs against immediate application of the amendment and suggests a policy choice to effect a future change in the law. In sum, there is no indication of legislative urgency for CPL 30.30 (1) (e) to “reach back” and impose an immediate effect on pending matters and no basis to conclude that the amendment should be applied retroactively.

We conclude that, because the amended statute was not in effect when the criminal action against defendant was commenced, CPL 30.30 (1) (e) has no application to defendant’s direct appeal from that judgment of conviction. Accordingly,

the order of the Appellate Term, insofar as appealed from, should be reversed and the case remitted to the Appellate Term for consideration of the facts and issues raised but not determined on appeal to that court.

Chief Judge DiFIORE and Judges GARCIA, WILSON, SINGAS, CANNATARO and TROUTMAN concur.

Order, insofar as appealed from, reversed and case remitted to the Appellate Term, Second Department, Second, Eleventh and Thirteenth Judicial Districts, for consideration of the facts and issues raised but not determined on appeal to that court.

[192 NE3d 300, 172 NYS3d 373]

JENNIFER WHITE et al., Respondents, v ANDREW CUOMO, as
Governor of the State of New York, et al., Appellants.

Argued October 5, 2021; reargued February 8, 2022; decided March 22, 2022

SUMMARY

APPEAL, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered February 6, 2020. The Appellate Division order, insofar as appealed from, (1) modified, on the law, a judgment (denominated decision, order & judgment) of the Supreme Court, Albany County (Gerald W. Connolly, J; op 62 Misc 3d 877 [2018]), which had (a) granted plaintiffs' motion for summary judgment, in part, and denied defendants' cross motion for summary judgment, in part, insofar as it declared that chapter 237 of the Laws of 2006 (codified at Racing, Pari-Mutuel Wagering and Breeding Law art 14), to the extent that it authorizes and regulates interactive fantasy sports (IFS) within the State of New York, is null and void as in violation of NY Constitution, article I, § 9; and (b) granted defendants' cross motion for summary judgment, in part, and denied plaintiffs' motion for summary judgment, in part, insofar as it declared that chapter 237 of the Laws of 2006, to the extent that it excludes IFS from the scope of the Penal Law definition of "gambling" at article 225 (*see* Racing, Pari-Mutuel Wagering and Breeding Law § 1400 [2]), is not in violation of NY Constitution, article I, § 9; and (2) declared that Racing, Pari-Mutuel Wagering and Breeding Law § 1400 (2) is void. The modification consisted of reversing so much of the judgment as had upheld Racing, Pari-Mutuel Wagering and Breeding Law § 1400 (2).

White v Cuomo, 181 AD3d 76, reversed.

HEADNOTE

**Gaming — Interactive Fantasy Sports — Constitutionality of
Legislation Authorizing and Regulating Interactive Fantasy
Sports**

The prohibition on "gambling" in New York Constitution, article I, § 9 does not encompass skill-based competitions in which participants who exercise substantial influence over the outcome of the contest are awarded predetermined fixed prizes by a neutral operator. Accordingly, plaintiffs failed to meet their burden to establish that Racing, Pari-Mutuel Wagering and Breeding Law article 14, which authorizes and regulates interactive fantasy sports (IFS) contests, violates New York Constitution, article I, § 9, as ample sup-

port existed for the legislature's determination that the IFS contests authorized by article 14 are properly characterized as lawful skill-based competitions for prizes. The legislature's determination that IFS contests are predominantly games of skill because they pit the strategic rosters of participants against one another—that is participants have control over their own skill-based roster selection, which substantially determines the outcome of the IFS contest—is firmly grounded in evidence and logic. The IFS contests authorized by article 14 are structured in the manner of fixed prizes for skill-based competitions. The prizes must be predetermined, announced prior to the start of the contest, awarded by a neutral operator, and not change based upon the number of participants or the amount of entry fees collected. The legislature reasonably concluded that IFS contests are neither games of chance, nor bets or wagers on sporting events, but rather are independent contests of skill over which the participants exert influence. In addition to being presumed constitutional, the legislature's determinations were supported by the legislative record, the uncontradicted summary judgment proof, and precedent delineating the scope of the term "gambling."

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Gambling §§ 1–4, 8, 11, 32.

McKINNEY'S, NY Const, art I, § 9.

NY JUR 2d Gambling §§ 1–3, 5, 128.

ANNOTATION REFERENCE

Regulation and Liability of Online Fantasy Sports. 48 ALR7th Art. 5.

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POINTS OF COUNSEL

Letitia James, Attorney General, Albany (Victor Paladino, Barbara D. Underwood and Steven C. Wu of counsel), for appellants. The New York State Legislature's authorization of interactive fantasy sports does not violate the New York Constitution's prohibition on gambling. (*Cohen v State of New York*, 94 NY2d 1; *Dunlea v Anderson*, 66 NY2d 265; *Matter of E.S. v P.D.*, 8 NY3d 150; *Matter of Moran Towing Corp. v Urbach*, 99 NY2d 443; *Matter of Bernstein v Toia*, 43 NY2d 437; *Matter of Barie v Lavine*, 40 NY2d 565; *Campaign for Fiscal Equity, Inc. v State of New York*, 8 NY3d 14; *FCC v Beach Communications, Inc.*, 508 US 307; *East N.Y. Sav. Bank v Hahn*, 293 NY 622; *Turner Broadcasting System, Inc. v FCC*, 520 US 180.)

O'Connell and Aronowitz, Albany (*Jeffrey J. Sherrin, Cornelius D. Murray, Francis J. Smith, Jr., Andrew Ko, Samantha Femia and Marina Chu* of counsel), for respondents. I. Article I, § 9 of the New York Constitution does not give the New York State Legislature the power to define gambling in a manner different from its commonly understood meaning or to independently set policy with respect to what should be prohibited. (*Bransten v State of New York*, 30 NY3d 434; *Cohen v State of New York*, 94 NY2d 1; *Matter of King v Cuomo*, 81 NY2d 247; *Schulz v State of New York*, 84 NY2d 231; *Matter of Van Berkel v Power*, 16 NY2d 37; *People ex rel. Sturgis v Fallon*, 4 App Div 76, 152 NY 1; *Dalton v Pataki*, 5 NY3d 243; *People v Barber*, 289 NY 378; *Campaign for Fiscal Equity v State of New York*, 100 NY2d 893; *Board of Educ., Levittown Union Free School Dist.*, 57 NY2d 39.) II. The “beyond a reasonable doubt” standard of judicial review is not the only applicable rule of construction given that article I, § 9 of the New York Constitution is part of the Bill of Rights. (*Campaign for Fiscal Equity v State of New York*, 100 NY2d 893; *Dalton v Pataki*, 5 NY3d 243; *Ramesar v State of New York*, 224 AD2d 757; *Molina v Games Mgt. Servs.*, 58 NY2d 523; *Finger Lakes Racing Assn. v New York State Off-Track Pari-Mutuel Betting Commn.*, 30 NY2d 207; *Defiance Milk Prods. Co. v Du Mond*, 309 NY 537; *Lincoln Bldg. Assoc. v Barr*, 1 NY2d 413.) III. Interactive fantasy sports contain all the elements of gambling, as identified by this Court. (*Dalton v Pataki*, 5 NY3d 243; *Matter of King v Cuomo*, 81 NY2d 247; *People ex rel. Ellison v Lavin*, 179 NY 164; *Matter of Plato's Cave Corp. v State Liq. Auth.*, 115 AD2d 426.) IV. Article XIX of the New York Constitution is the only route by which interactive fantasy sports could be authorized in this state.

Gibson, Dunn & Crutcher LLP, New York City (*Matthew L. Biben and Mylan L. Denerstein* of counsel) and Dallas, Texas (*Allyson N. Ho* of the Texas bar, admitted pro hac vice, of counsel), for FanDuel, Inc. and another, amici curiae. I. Daily fantasy sports contests are not gambling under the proper “dominating element” test. (*People ex rel. Ellison v Lavin*, 179 NY 164; *People v Li Ai Hua*, 24 Misc 3d 1142; *Matter of Plato's Cave Corp. v State Liq. Auth.*, 115 AD2d 426; *Hinton v Village of Pulaski*, 33 NY3d 931; *People v Phyfe*, 136 NY 554; *People v Hunt*, 162 Misc 2d 70; *Dalton v Pataki*, 11 AD3d 62, 5 NY3d 243; *People v Stiffel*, 61 Misc 2d 1100; *People v Davidson*, 181 Misc 2d 999, 291 AD2d 810, 98 NY2d 738; *People v Melton*, 152 Misc 2d 649.) II. Daily fantasy sports contests are not gambling

under Penal Law § 225.00's material degree test. (*People ex rel. Lawrence v Fallon*, 4 App Div 82; *National Coll. Athletic Assn. v Governor of N.J.*, 730 F3d 208; *People v Cohen*, 160 Misc 10.) III. The decriminalization provision of Racing, Pari-Mutuel Wagering and Breeding Law article 14 survives even if other parts of the statute are invalid. (*People ex rel. City of Rochester v Briggs*, 50 NY 553; *Matter of Village of Middletown*, 82 NY 196; *People v Liberta*, 64 NY2d 152; *People ex rel. Alpha Portland Cement Co. v Knapp*, 230 NY 48.)

Parlatore Law Group, New York City (Scott D. Brenner of counsel), for The New Sports Economy Institute, amicus curiae. I. Skill is irrelevant because daily fantasy sports are not games in the first place. (*United States v Dicristina*, 886 F Supp 2d 164.) II. The New York State Legislature did not act rationally. III. That daily fantasy sports are claims on future contingent events is consistent with the history of gambling laws. (*People ex rel. Lawrence v Fallon*, 152 NY 12; *People ex rel. Ellison v Lavin*, 179 NY 164.) IV. Daily fantasy sports claims can be distinguished from games. V. Fantasy sports are an intermittent gap in legal thinking.

OPINION OF THE COURT

Chief Judge DiFiore.

Article I, § 9 of the New York Constitution authorizes “gambling” in certain circumstances and prohibits it in others. In 2016, after careful consideration, the New York State Legislature enacted article 14 of the Racing, Pari-Mutuel Wagering and Breeding Law authorizing and regulating interactive fantasy sports (IFS) contests upon determining that IFS contests are not prohibited gambling activities because contestants use significant skill to select their rosters, creating fantasy teams, and therefore have influence over the outcome of the fantasy contests between IFS participants. Today, we clarify that the historic prohibition on “gambling” in article I, § 9 does not encompass skill-based competitions in which participants who exercise substantial influence over the outcome of the contest are awarded predetermined fixed prizes by a neutral operator. Because ample support exists for the legislature’s determination that the IFS contests authorized in article 14 are properly characterized as lawful skill-based competitions for prizes under our precedent, plaintiffs have not met their burden to demonstrate beyond a reasonable doubt that article 14 is unconstitutional.

I. Article 14 of the Racing, Pari-Mutuel Wagering and
Breeding Law

IFS contests have been a popular form of entertainment for over 40 years and the pastime is played by millions of New Yorkers. Participants of IFS contests create virtual “teams,” drawing from their knowledge of the sport and athlete performance to draft rosters comprised of simulated players based on professional athletes. These virtual teams—composed of athletes who play for different real-life teams—compete against virtual teams compiled by other IFS contestants. The performance of simulated players on an IFS roster corresponds to the performance of the real-life athletes—that is, participants of IFS contests earn fantasy points based on how their selected athletes perform specific acts in actual sporting events that occur after the IFS contest has closed. However, the outcome of an IFS contest does not mirror the success or failure of any real-life athlete or sports team. This is because IFS rosters do not replicate real-life teams, IFS scoring systems are premised on an aggregation of statistics concerning each individual athlete’s performance on specific tasks, and IFS contests pit the rosters of participants against one another rather than tying success to the outcome of sporting events. IFS contestants pay entry fees to participate, and the pre-set prizes paid to the most successful participants—along with operator revenues—are typically drawn from those entry fees.

Traditionally, IFS contests spanned the duration of a sporting season and, throughout the season, participants could “manage” their team by trading players, picking up free agents, and adjusting their lineups. In more recent years, operators began also offering weekly and daily IFS contests generally structured in the same manner, with IFS contestants assembling virtual teams of players drawn from multiple real-life teams within the confines of an assigned salary cap. Success in weekly or daily IFS contests, as with season-long competitions, does not depend on the performance of a single athlete or team. Notably, many professional sport leagues support fantasy sports, viewing the virtual games as a way to engage fans and partnering with IFS operators to promote the competitions.

In 2015, the Attorney General commenced actions against two IFS operators, seeking to enjoin daily IFS contests as “unlawful gambling” in violation of the Penal Law and State Constitution. This litigation—which was eventually discontinued

with regard to the allegations of illegal gambling—prompted the New York State Legislature to review the legality of IFS contests. At a public hearing, legislators considered testimony from stakeholder representatives including, among others, the Fantasy Sports Trade Association, fantasy sports operators, horse-racing associations, and organizations opposed to the proliferation of gambling. Following “extensive research into the operations of fantasy sports,” the Racing and Wagering Committee concluded that “fantasy sports is not gambling and does not, therefore, violate . . . the New York State Constitution” (NY Assembly Debate on Assembly Bill A10736, June 17, 2016 at 145.)

After robust debate, the legislature enacted article 14 of the Racing, Pari-Mutuel Wagering and Breeding Law (*see* L 2016, ch 237), authorizing registered prize-based IFS contests conducted in accordance with various restrictions and subject to regulatory oversight (*see* Racing, Pari-Mutuel Wagering and Breeding Law §§ 1402, 1405, 1411, 1412). The legislature declared that IFS contests are not “gambling” within the meaning of the Penal Law (*see* Penal Law § 225.00 [1], [2])¹ because the outcomes of such contests are dependent upon “the skill and knowledge of the participants,” rather than chance, and the “contests are not wagers on future contingent events not under the contestants’ control or influence” because the outcome is dependent upon the comparative skill of each IFS participant as measured against one another (Racing, Pari-Mutuel Wagering and Breeding Law § 1400 [1] [a], [b]; [2]; *see* § 1401 [8]).

II. Procedural History

Soon after the legislature enacted article 14 of the Racing, Pari-Mutuel Wagering and Breeding Law, plaintiffs commenced this action against defendants, then-governor Andrew Cuomo and the New York State Gaming Commission, seeking a permanent injunction precluding implementation of article 14 and a declaration of constitutional invalidity. After defendants answered, denying plaintiffs’ allegation that the IFS contests authorized by article 14 constitute prohibited gambling, the parties eventually stipulated to certain facts regarding IFS contests and cross-moved for summary judgment.

1. The Penal Law subjects certain gambling related conduct to criminal penalty, such as promoting gambling other than as a player, possession of gambling records, and gaming fraud (*see generally* Penal Law art 225).

Supreme Court granted plaintiffs' motion for summary judgment in part, declaring that article 14 violates the constitutional prohibition on "gambling" to the extent it authorizes IFS contests, and also granted defendants' cross motion for summary judgment in part—thereby declaring article 14 valid to the extent it excludes IFS from the scope of the criminal statutes relating to gambling (62 Misc 3d 877 [Sup Ct, Albany County 2018]). Applying the Penal Law definitions of "gambling" and "contest[s] of chance" (Penal Law § 225.00 [1], [2]), the court reasoned that IFS contests are "gambling" under the State Constitution because they "involve[], to a material degree, an element of chance" inasmuch as the performance of real-life athletes is not subject to the IFS contestants' control (62 Misc 3d at 887). However, the court determined that the legislature acted within constitutional bounds to exclude IFS contests from the scope of the Penal Law provisions regarding gambling because, while the legislature lacked authority to authorize "gambling" prohibited by the Constitution, it "has the full authority to define and limit such offenses in the context of [a criminal] anti-gambling statute" (*id.* at 897-898).

Upon the parties' cross appeals, the Appellate Division modified and, as so modified, affirmed (181 AD3d 76 [3d Dept 2020]). Also applying the Penal Law definition of "gambling," the Appellate Division agreed with Supreme Court that IFS contests are "gambling" prohibited by the Constitution on the rationale that IFS participants do not control the performance of the athletes on their rosters and, thus, the contests involve "a material degree of chance" (*id.* at 82-84). The Appellate Division further invalidated that portion of article 14 that excludes IFS from the scope of the criminal "gambling" provisions, asserting that—although constitutional—the legislature "would not have wished to preserve the decriminalization of IFS" in light of the court's invalidation of the majority of article 14 (*id.* at 86). However, the Appellate Division upheld the provision prohibiting unregistered IFS contests (*see* Racing, Pari-Mutuel Wagering and Breeding Law § 1412) since no IFS contests could lawfully be registered following its decision (*see* 181 AD3d at 84). A single Justice dissented, concluding that the record supported the legislature's determination that IFS outcomes do not depend to a material degree on chance or future contingent events not under the contestants' control and, as such, "the lawmakers properly determined that an IFS contest is not a constitutionally prohibited gambling activity" (*id.* at 87).

Defendants appealed to this Court as a matter of right on constitutional grounds (*see* CPLR 5601 [b] [1]), and we now reverse.

III. Standard of Review

The question before us is whether the legislature violated article I, § 9 of the New York Constitution when it enacted article 14 of the Racing, Pari-Mutuel Wagering and Breeding Law, authorizing certain IFS contests in New York. It is well settled that “[l]egislative enactments are entitled to ‘a strong presumption of constitutionality’ ” (*Dalton v Pataki*, 5 NY3d 243, 255 [2005], quoting *Schulz v State of New York*, 84 NY2d 231, 241 [1994]), and “courts strike them down only as a last unavoidable result” (*Matter of Van Berkel v Power*, 16 NY2d 37, 40 [1965]) after “every reasonable mode of reconciliation of the statute with the Constitution has been resorted to, and reconciliation has been found impossible” (*Matter of Fay*, 291 NY 198, 207 [1943]). Thus, while the presumption of constitutionality is not irrefutable, as the party challenging a duly enacted statute, plaintiffs “face the initial burden of demonstrating [article 14’s] invalidity ‘beyond a reasonable doubt’ ” (*LaValle v Hayden*, 98 NY2d 155, 161 [2002], quoting *People v Tichenor*, 89 NY2d 769, 773 [1997]; *see Matter of Moran Towing Corp. v Urbach*, 99 NY2d 443, 448 [2003]; *Matter of Saratoga Water Servs. v Saratoga County Water Auth.*, 83 NY2d 205, 211 [1994]; *Wiggins v Town of Somers*, 4 NY2d 215, 218-219 [1958]). Moreover, as the party mounting a facial challenge to article 14, plaintiffs “bear[] the substantial burden of demonstrating that in any degree and in every conceivable application, the law suffers wholesale constitutional impairment’ ” (*Matter of E.S. v P.D.*, 8 NY3d 150, 158 [2007], quoting *Matter of Moran Towing Corp.*, 99 NY2d at 448).

To be sure, it does not follow from the presumption of constitutionality that IFS contests are “excluded from the constitutional meaning of ‘gambling’ merely because the [l]egislature now says that it is so” (181 AD3d at 81). The Constitution does not delegate the legislature unfettered authority to determine whether particular activities constitute “gambling” (*see* NY Const, art I, § 9; 4 Rev Rec, 1894 NY Constitutional Convention at 1080-1086, 1122; *People ex rel. Sturgis v Fallon*, 152 NY 1, 11-12 [1897]). Indeed, it is “the province of the [j]udicial branch” to define the rights and prohibitions set forth in the State Constitution (*Campaign for Fiscal Equity v*

State of New York, 100 NY2d 893, 925 [2003]), “which constrain the activities of all three branches” of the government (*Board of Educ., Levittown Union Free School Dist. v Nyquist*, 57 NY2d 27, 39 [1982]).

Nevertheless, when a legislative enactment is challenged on constitutional grounds, there is both an “exceedingly strong presumption of constitutionality” and a “presumption that the [l]egislature has investigated for and found facts necessary to support the legislation” (*I. L. F. Y. Co. v Temporary State Hous. Rent Commn.*, 10 NY2d 263, 269 [1961]; see *Lincoln Bldg. Assoc. v Barr*, 1 NY2d 413, 415 [1956]). While courts may look to the record relied on by the legislature, even in the absence of such a record, “factual support for the legislation would be assumed by the courts to exist” (*I. L. F. Y. Co.*, 10 NY2d at 270). Ultimately, because “[e]very intendment is in favor of the validity of statutes” (*People ex rel. Sturgis*, 152 NY at 11 [internal quotation marks omitted]), “[w]here the question of what the facts establish is a fairly-debatable one, we accept and carry into effect the opinion of the legislature” (*Lincoln Bldg. Assoc.*, 1 NY2d at 415 [internal quotation marks and citation omitted]), which is the arbiter of questions of “wisdom, need or appropriateness” (*Defiance Milk Prods. Co. v Du Mond*, 309 NY 537, 541 [1956]). Thus, while the legislature may not circumvent the Constitution merely by declaring that an activity which unquestionably constitutes prohibited “gambling” should no longer be considered such, we must remain cognizant of the “distribution of powers in our State government” that render it improper for courts to lightly disregard the considered judgment of a legislative body that is also charged with a duty to uphold the Constitution (*New York Pub. Interest Research Group v Steingut*, 40 NY2d 250, 257 [1976]).

IV. The Constitutional Meaning of “Gambling”

Central to this dispute, article I, § 9 of the New York Constitution provides that—except as authorized therein—“no lottery or the sale of lottery tickets, pool-selling, book-making, or any other kind of gambling . . . shall . . . be authorized or allowed within this state” (NY Const, art I, § 9 [1]), a provision largely dating back to 1894. The term “gambling” is undefined, and the extent to which it has been permitted by the Constitution has evolved over time.

The first State Constitution did not regulate lotteries or other forms of gambling (1777 NY Const). Private lotteries were gen-

erally prohibited by statute, but public lotteries raising monies for various purposes were lawful (*see* 3 Charles Z. Lincoln, *The Constitutional History of New York* at 34-38 [1906]). In 1821, the second New York Constitution prohibited “lotteries” and the sale of “lottery tickets” not already authorized by law (1821 NY Const, art VII, § 11) and the legislature enacted various statutes to implement this constitutional prohibition (*see* 3 Lincoln, *The Constitutional History of New York* at 46). For more than 70 years, the constitutional prohibition remained limited to lotteries.

While the Constitution did not address other forms of gambling, as a matter of statutory law, bets and wagers upon matters of chance, races, and other future contingent events were unlawful in New York and contracts for such bets and wagers were void (*see* 2 Rev Stat of NY, part I, ch XX, tit VIII, § 26 at 918 [6th ed 1875]; 1 Rev Stat of NY, pt I, ch XX, tit VIII, § 8 at 662 [1st ed 1829]). As of 1877, the legislature had gone further and criminalized the facilitation of “bets or wagers, or . . . selling pools” on, as relevant here, “contest[s] of skill, speed or power of endurance, of man or beast” (L 1877, ch 178; *see* 3 Lincoln, *The Constitutional History of New York* at 46; 4 Rev Rec, 1894 NY Constitutional Convention at 1083; Penal Code of 1881 §§ 351, 352). Approximately 10 years later, however, the legislature enacted the “Ives Pool Law,” suspending the criminalization of betting and wagering on horse races at racetracks during particular months of the year (*see* L 1887, ch 479; L 1893, ch 469). The Ives Pool Law prompted delegates to the Constitutional Convention of 1894—critical of the legislature’s decision to carve out particular seasons and locations for betting on horse races—to address “gambling” beyond “lotteries” in the next revision of the New York Constitution (*see* 4 Rev Rec, 1894 NY Constitutional Convention at 1082-1086). Thus, the fourth Constitution, adopted in 1894, provided that no “lottery, or the sale of lottery tickets, pool selling, bookmaking, or any other kind of gambling [shall] hereafter be authorized or allowed within this State; and the Legislature shall pass appropriate laws to prevent offenses against any of the provisions of this section” (4 Rev Rec, 1894 NY Constitutional Convention at 1131).²

2. Regardless of what the New York Times opined (*see* dissenting op at 234-235), there was no consensus as to whether the Ives Pool Law violated the then-existing constitutional prohibition on lotteries when it was enacted.

(n. cont’d)

New York’s constitutional prohibition on lotteries and gambling in 1894 was consistent with the times as, “[b]y the end of the 19th century, gambling was largely banned throughout the country” (*Murphy v National Collegiate Athletic Assn.*, 584 US —, —, 138 S Ct 1461, 1468-1469 [2018]). However, total bans on gambling were short-lived. By the 1920s and 1930s, “laws prohibiting gambling were gradually loosened” around the country (584 US at —, 138 S Ct at 1469). In line with this national trend, from the late 1930s through today, article I, § 9 has been repeatedly amended to legalize various forms of lotteries and gambling. Revisions include a 1939 amendment allowing pari-mutuel betting on horse races; 1957 and 1975 amendments authorizing localities to permit certain religious, charitable and nonprofit organizations to conduct “games of chance,” including “bingo or lotto”; a 1966 amendment empowering the legislature to create a state lottery system to aid in the funding of education; and—most recently—a 2013 amendment expressly authorizing casino gaming at up to seven locations throughout the state. More than 50 years ago, even before the most recent significant expansion of legal gaming, we recognized that “the New York public does not consider authorized gambling a violation of some prevalent conception of good morals, [or] some deep-rooted tradition of the common weal” (*Intercontinental Hotels Corp. [Puerto Rico] v Golden*, 15 NY2d 9, 15 [1964] [internal quotation marks and citation omitted]).

While the New York Constitution now allows various forms of regulated gaming, article I, § 9 (1) continues to prohibit “pool-selling, book-making, or any other kind of gambling” not authorized therein. It is our task to determine whether the legislature erred in finding that article 14 IFS contests fall outside the scope of this prohibition. To do that, we must discern the meaning of the term “gambling”—a term the Con-

The Fourth Department rejected a constitutional challenge, asserting that “it was not the intent of the framers of the constitution either of 1846 or 1821, in the use of the word ‘lottery,’ to include in it the subject of betting” because games of chance—such as lotteries—and betting were “distinct subjects upon the statute book and in the public mind” (*Reilly v Gray*, 28 NYS 811, 815 [Sup Ct, Gen Term, 4th Dept 1894]). Moreover, the delegates of the 1894 Constitutional Convention did not criticize the Ives Pool Law as unconstitutionally authorizing “lotteries”—which were acknowledged by delegates to be a particular “form” of gambling distinct from that permitted by the Ives Pool Law (see 4 Rev Rec, 1894 NY Constitutional Convention at 1080). Rather, the delegates criticized the Ives Pool Law as inconsistent with the legislature’s decision to otherwise prohibit such betting (see *id.* at 1082-1086).

stitution does not define and never has defined—keeping in mind that, in construing the language of the Constitution, the courts look to the intent at the time of adoption and “‘give to the language used its ordinary meaning’” (*Burton v New York State Dept. of Taxation & Fin.*, 25 NY3d 732, 739 [2015], quoting *Matter of Carey v Morton*, 297 NY 361, 366 [1948]).

Plaintiffs urge us to apply the definition of “gambling” set forth in the Penal Law, asserting that it reflects the ordinary meaning of that term. Today, the Penal Law defines “gambling” as the staking or risking of something of value upon the outcome of either “a contest of chance” or upon “a future contingent event not under [one’s] control or influence” (Penal Law § 225.00 [2]). While a helpful guidepost, this definition does not necessarily reflect the ordinary meaning of the term “gambling” in 1894 inasmuch as this statute was not adopted until 1965, over 70 years after “gambling” was added to article I, § 9 (*see Dalton*, 5 NY3d at 264). Rather, we must look to the plain language, history, and purpose of the constitutional provision, as well as relevant precedent, contemporaneous statutes, and dictionary definitions to understand what constitutes “gambling” prohibited by the Constitution (*see Bransten v State of New York*, 30 NY3d 434, 439-440 [2017]; *De La Cruz v Caddell Dry Dock & Repair Co., Inc.*, 21 NY3d 530, 534 [2013]).

Drawing from these sources, the parties before us agree that the 1894 Constitution expanded the scope of the constitutional prohibition from just “lotteries” to include any kind of “gambling,” and that such prohibition encompasses the risking of money or something of value on “games of chance,” as well as “bets and wagers” by nonparticipants on competitions of skill. That the risking of value on “games of chance” falls within the scope of “gambling” under article I, § 9 is evidenced by the express prohibition on “lotteries”—a particular type of game of chance (*see Dalton*, 5 NY3d at 264; *People v Miller*, 271 NY 44, 46-47 [1936]). The record of the 1894 Constitutional Convention (*see* 4 Rev Rec, 1984 Constitutional Convention at 1081, 1119), the former Penal Code (*see* Penal Code of 1893 §§ 323, 336, 340; *People v Todd*, 4 NYS 25, 26 [Sup Ct, Gen Term, 1st Dept 1889]), and dictionary definitions from the relevant time period (*see e.g.* Oxford English Dictionary, vol IV, part II, “G” at 35 [1901] [defining “gamble”]), likewise demonstrate that “games of chance” were considered “gambling” in 1894. Subsequent constitutional amendments authorizing “games of chance” under certain circumstances confirm that such games are within the ambit of article I, § 9.

Similarly, the text of article I, § 9 prohibiting bookmaking and pool selling—terms relating to betting schemes³—and the inclusion of language prohibiting “any other kind of gambling” indicates that the Constitution also prohibits betting and wagering on contests of skill. This is underscored by the record of the 1894 Constitutional Convention, which reflects an intent to counteract the legislature’s then-recent enactment of the Ives Pool Law authorizing betting and wagering on horse races under certain circumstances (*see* 4 Rev Rec, 1894 NY Constitutional Convention at 1082-1086), and further supported by the statutes then in effect addressing betting and wagering as gambling (*see e.g.* 2 Rev Stat of NY, part I, ch XX, tit VIII, § 26 at 918 [6th ed 1875]; Penal Code of 1881 §§ 351, 352).⁴

But, while the parties agree that the prohibition on “gambling” should be understood to prohibit games of chance and bets and wagers on contests of skill unless otherwise authorized by article I, § 9, they dispute the contours of those categories and the proper classification of IFS contests. Plaintiffs contend that IFS contests constitute either “games of chance” or “bets or wagers” because participants stake money on a game (by paying an entrance fee) in which points are awarded based on the performance of athletes the IFS participants do not control. In response, defendants assert that, although IFS contests may arguably superficially resemble “gambling,” the legislature reasonably concluded they are neither “games of

3. Pool selling is “a scheme for facilitating betting on horse races” where a bettor deposits money with a manager, selects a horse and, depending on the type of pool, “[t]he event of the race determines the winner,” with the bettor getting the whole, less the manager’s commissions (*Reilly*, 28 NYS at 815; *see United States ex rel. Rafanello v Hegstrom*, 336 F2d 364, 366 [2d Cir 1964]). Bookmaking is generally understood to be a process in which a bookmaker prepares a schedule of odds and solicits bets, with winners taking a share of the betting pool and the bookmaker taking a percentage of profit (*see People ex rel. Lichtenstein v Langan*, 196 NY 260, 264-265 [1909]).

4. Indeed, it is only the dissent that rejects the ordinary meaning of “gambling” as encompassing games of chance and bets and wagers but excluding games of skill. While the dissent devotes several pages to reciting statements made by delegates of the 1894 Constitutional Convention, these statements establish only the uncontroversial intent to prohibit, absent constitutional amendment, all forms of gambling—a term the delegates did not define (*see* dissenting op at 235-238). Notably, however, several delegates commented that all types of gambling were already prohibited by statute with the exception of bookmaking and pool selling under the Ives Pool Law (*see* 4 Rev Rec, 1894 NY Constitutional Convention at 1112, 1117, 1118, 1122, 1126, 1130), demonstrating an intent that the constitutional prohibition on “gambling” apply to games of chance and bets and wagers as already prohibited by statute.

chance” nor “bets or wagers” on competitions of skill because IFS contests are themselves skill-based contests in which fixed prizes are awarded based upon the participants’ own exercise of their relevant knowledge, judgment, and strategy. Defendants further contend that the legislature’s conclusion that IFS contests are not “gambling” is consistent with long-standing precedent delineating the nuanced parameters of that term. We agree.

A. Games of Chance

Today, the Penal Law defines “[c]ontest[s] of chance” as those “in which the outcome depends in a material degree upon an element of chance, notwithstanding that skill of the contestants may also be a factor therein” (Penal Law § 225.00 [1]). The courts below applied this metric to conclude that IFS contests are contests of chance and, therefore, a form of “gambling” prohibited by article I, § 9 of the Constitution. This was error.

When the 1894 Constitution was adopted, “games of chance” were commonly understood to be those in which the element of chance was “the *dominating* element that determines the result of the game” (*People ex rel. Ellison v Lavin*, 179 NY 164, 170-171 [1904] [emphasis added]). In *People ex rel. Ellison v Lavin*, this Court was called upon to determine whether a particular scheme constituted a “lottery” for purposes of the former Penal Code provisions (*see id.* at 168). In that case, in determining whether a scheme in which customers guessed the number of cigars taxed by the government in a particular month constituted a “lottery,” the Court scrutinized the difference between “games of chance” and “games of skill” (*see id.* at 170) and, thus, provided guidance more broadly as to the ordinary meaning of “gambling” around the relevant time period. Recognizing that all games inevitably involve some degree of chance, the Court in *Ellison* explained that “[t]he test of the character of the game is not whether it contains an element of chance or an element of skill, but which is the *dominating* element that determines the result of the game” (*id.* at 170-171 [emphasis added]). Applying this dominating element test, we concluded it was “perfectly clear that the *dominating* and *controlling* factor in the award of the prizes [was] chance” (*id.* at 172-173 [emphases added]) because the contest was structured in such a manner as to “eliminate as far as practicable the elements of knowledge and judgment . . . [and] make the contest as fair a gamble . . . as possible” (*id.* at 174).

New York courts have historically applied the dominating element standard to determine whether a particular activity constituted a “game of chance”—reflecting a shared understanding that “gambling” encompasses those games dominated by chance, not skill (*see e.g. People ex rel. Lawrence v Fallon*, 152 NY 12, 17 [1897]; *Matter of Shapiro v Moss*, 245 App Div 835, 835 [2d Dept 1935], *affd* 270 NY 609 [1936]; *People v Stiffel*, 61 Misc 2d 1100, 1100 [App Term, 2d Dept 1969]; *People v Li Ai Hua*, 24 Misc 3d 1142, 1145 [Crim Ct, Queens County 2009]; *Valentin v El Diario LaPrensa*, 103 Misc 2d 875, 878 [Civ Ct, Bronx County 1980]; *People v Cohen*, 160 Misc 10, 11 [NY City Magistrates’ Ct, Queens County 1936]).⁵ By comparison, the “material degree” standard advanced by plaintiffs surfaced in 1965 when the legislature consolidated the Penal Law provisions governing lotteries and gambling and statutorily defined various terms, including “contest of chance” (L 1965, ch 1030). To the extent there is any difference between the “material degree” or “dominating” element standard in this context, the proper benchmark for assessing whether an activity is a “game of chance” for purposes of the constitutional gambling prohibition is whether chance is the dominating or controlling element.⁶

Turning to the controversy here, the legislature’s factual determination that IFS contests are a game of “skill,” not of “chance” (Racing, Pari-Mutuel Wagering and Breeding Law § 1401 [8])—and therefore are not “gambling”—has resounding support. Evidence presented to the legislature indicated that outcomes in IFS contests are predominantly based on skill. Studies showed that skilled players achieve significantly more success in IFS contests and that rosters of skilled human players were more successful in IFS contests than randomly generated lineups over 80% of the time. Through a statistical

5. The dominant element test has also been adopted by the courts of other states (*see e.g. Dew-Becker v Wu*, 2020 IL 124472, ¶ 25, 178 NE3d 1034, 1040 [2020], *reh denied* Sept. 28, 2020; *In re Allen*, 59 Cal 2d 5, 6, 377 P2d 280, 281 [1962]; *Las Vegas Hacienda, Inc. v Gibson*, 77 Nev 25, 30, 359 P2d 85, 87 [1961], *reh denied* Mar. 2, 1961; *Lucky Calendar Co. v Cohen*, 20 NJ 451, 462, 120 A2d 107, 112-113 [1956]; *State v Ricciardi*, 18 NJ 441, 445, 114 A2d 257, 259 [1955]; *Boosalis v Crawford*, 99 F2d 374, 376 [DC Cir 1938]).

6. We need not consider what, if any, difference exists between games dependent upon chance to a material degree and those which are dominated by the element of chance because, here, we are concerned with the scope of “gambling” only for purposes of article I, § 9 of the Constitution and the legislature is free to extend statutory prohibitions on games of chance beyond those prohibited by the Constitution.

analytic report quoted at the public legislative hearing, an expert opined that IFS games “have an inherent and vast character of skill where chance is overwhelmingly immaterial in the probability of winning” and winning a prize in such contests “strongly depends more on skill than on chance.” In fact, it is now “widely recognized” that IFS contests are predominately skill-based competitions (*Dew-Becker v Wu*, 2020 IL 124472, ¶ 26, 178 NE3d at 1040-1041).

Indeed, unlike in *Ellison* where skill played little to no role in the cigar-guessing contest, the facts here bear out that IFS competitions involve a significant exercise of the participants’ skills. Participants draw from their knowledge of the relevant sport, player performance and histories, offensive and defensive strengths of players and teams, team schedules, coaching strategies, how certain players on opposing teams perform against each other, statistics, strategy, and the fantasy scoring system in order to exercise considerable judgment in selecting virtual players for their rosters. Although participants are not able to influence athlete performance in actual sporting events, their skill nevertheless plays a substantial role in the outcome of the IFS contest—that is, the competition between IFS participants as to whose roster will yield more fantasy points, a contest which is scored through a metric different from that of the actual sport.

We do not discount plaintiffs’ contention that chance plays some role in IFS contests given their connection to real-life sporting events over which the contestants lack control. The points scored by participants correlate to the real-life performance of the athletes on the participant’s fantasy roster, and IFS participants concededly cannot themselves influence the day-to-day performance of such athletes. Nevertheless, as the record demonstrates, the legislature’s determination that IFS contests are *predominantly* games of skill because they pit the strategic rosters of participants against one another—that is participants have control over their own skill-based roster selection, which substantially determines the outcome of the IFS contest—is firmly grounded in evidence and logic. In fact, plaintiffs have offered no proof to the contrary, relying merely on the existence of the Attorney General’s prior allegations against certain IFS operators and a New York Times crossword puzzle characterizing IFS as involving “bets” as their evidence that IFS contests constitute “gambling.”

In reviewing the constitutionality of legislative action, if there “can be discovered any state of facts either known or

which could reasonably be assumed to afford support for the legislative decision,” courts may not “substitute their judgment for that of the [l]egislature,” as the dissent does (*Lincoln Bldg. Assoc. v Barr*, 1 NY2d at 415 [internal quotation marks omitted]). Here, we need not assume facts as the legislature’s determination of the skill issue—a fact question—is supported by considerable evidence, both from the record of the public legislative hearing and the materials produced by defendants in support of their motion for summary judgment, demonstrating that IFS contests are not games of chance because the outcome is predominantly dependent upon the skill of the participants. Article 14 requires that IFS contests maintain this skill-based character (*see* Racing, Pari-Mutuel Wagering and Breeding Law § 1404 [1] [n]-[q]). Inasmuch as IFS contests authorized by article 14 are not “games of chance” within the meaning of the constitutional prohibition on “gambling,” the courts below erred by invalidating article 14 on that ground.

B. Betting and Wagering

Nor have plaintiffs met their heavy burden of establishing beyond a reasonable doubt that the IFS contests authorized by article 14 constitute “bets or wagers” on future events outside of the contestants’ influence or control. Not every contest that involves monetary stakes constitutes gambling. To the contrary, we have long distinguished the “bets and wagers” of gambling activities from lawful contests that award prizes to competitors—contests integral to the fabric of American social life, spanning the range from spelling bees to golf tournaments to televised game shows.

The contest at issue in *People ex rel. Lawrence v Fallon* is illustrative (152 NY at 19). There, after offering prizes in connection with horse races, the relator—an officer of a horse racing association—was charged with violating former Penal Code provisions prohibiting bets and wagers on contests of skill. Horse owners (who were not necessarily horse “trainers”) were permitted to enter their horses into races upon submission of an entrance fee and the owner of the winning horse was awarded a prize. In concluding that this contest did not constitute unconstitutional “gambling,” we drew a distinction between a permissible competition where a contestant pays an entry fee to a nonparticipant in order to compete for a prize that is fixed without regard to the sum of the entry fees, and gambling—“where the stake is contributed by the participants

alone, and the successful contestant is to have the fund thus created”; the latter is a “mere bet or wager, while the former is for a prize offered by one not a party to the contest” (*id.* at 18-19; see *People ex rel. Weaver v Van De Carr*, 150 NY 439, 442 [1896]).⁷

Permissible contests for prizes, we explained, share the “essential particulars” that “one of the parties strives with others for a prize; the competing parties pay an entrance fee for the privilege of joining in the contest, and . . . the entrance fee forms a part of the general fund from which the premiums or prizes are paid” (*Lawrence*, 152 NY at 19). By comparison, bets and wagers are “agreement[s] between two or more, that a sum of money or some valuable thing, in contributing which all agreeing take part, shall become the property of one or some of them, on the happening in the future of an event at the present uncertain” (*Harris v White*, 81 NY 532, 539 [1880]). In other words, “[i]llegal gaming implies *gain and loss between the parties* by betting, such as would excite a spirit of cupidity” (*id.* at 539, quoting *People v Sergeant*, 8 Cow 139, 141 [Sup Ct 1828])—an element that is notably lacking when entrance fees are fixed, and predetermined prizes are awarded by a neutral party whose monetary stake is limited to the payment of the prize.⁸

Contests charging entry fees and awarding fixed prizes do not constitute gambling prohibited by article I, § 9 of the Constitution. The IFS contests authorized by article 14 are structured in the manner of fixed prizes for skill-based competitions—consistent with the teachings of *Lawrence* (152 NY at 19). Article 14 permits only IFS contests that have prizes that are predetermined, announced prior to the start of the contest, awarded by a neutral operator, and which do not change based upon the number of participants or the amount of entry fees

7. The dissent asserts that, “under the majority’s definition, poker, blackjack and commonly understood forms of gambling are not gambling, because of the level of skill they entail” (dissenting op at 241). Of course, no issue is presented here as to whether such card games—which, needless to say, are quite distinct from IFS contests—constitute “gambling.” In any event, the dissent ignores the fact that, where games incorporate bets or wagers, the level of skill involved would not be determinative.

8. Courts of other states have drawn similar distinctions between “bets and wagers” and prizes for contests (see *Humphrey v Viacom, Inc.*, 2007 WL 1797648, *8, 2007 US Dist LEXIS 44679, *20-21 [D NJ, June 20, 2007, No. 06-2768 (DMC)]; *State v American Holiday Assn., Inc.*, 151 Ariz 312, 314, 727 P2d 807, 809 [1986]; *Las Vegas Hacienda, Inc.*, 77 Nev at 28-29, 359 P2d at 87; *Toomey v Penwell*, 76 Mont 166, 172-173, 245 P 943, 945 [1926]).

collected (*see* Racing, Pari-Mutuel Wagering and Breeding Law § 1404 [1] [n]-[q]). Thus, IFS participants are not “wagering” in the hopes of scoring a pool of funds “wagered” by other players; rather, at the outset, an IFS contestant knows the set fee to enter the competition and the sum total of prizes that may be awarded—and that sum must be awarded even if entry fees are insufficient to cover the cost of the prize. In this regard, the legislature was careful to authorize only a contest for a prize, not place its imprimatur on a scheme of prohibited bets and wagers.

Plaintiffs and the dissent maintain that, notwithstanding the structure, IFS contests are indistinguishable from sports betting because the points awarded to participants are tied to the performance of real-life athletes over which participants have no influence or control. To be sure, in this respect, IFS contests are distinct from spelling bees, golf tournaments, and essay competitions, which do not involve the performance of a third party. However, unlike bets or wagers on games of skill in which a bettor takes no part, participants in IFS contests engage in a distinct game of their own, separate from the real-life sporting events, in which they strive against other IFS participants.

The outcome of an IFS contest turns—not on the performance of real-life athletes, as it would with respect to a bet or wager—but on whether the participant has skillfully composed and managed a virtual roster so as to garner more fantasy points than rosters composed by other participants. An IFS contestant’s success is therefore not dependent upon the outcome of any particular real-life athlete’s performance or on the score sheet of any sporting event. Rather, success in IFS contests is relative, measured only by the quantity and quality of skill exercised by other IFS participants. The legislature mandated as much, requiring that IFS operators ensure that “all winning outcomes reflect the relative knowledge and skill of the authorized players” and that outcomes are never based on the score, point spread, or performance of a single athlete, team, or sporting event (Racing, Pari-Mutuel Wagering and Breeding Law § 1404 [1] [o]-[q]). Given the careful circumscription of article 14, plaintiffs’ and the dissent’s attempts to portray IFS contests as unlawful “gambling” simply because they relate to professional sporting events are unavailing, and plaintiffs have failed to satisfy us beyond a reasonable doubt that IFS contests constitute bets or wagers on future contingent events.

V. Conclusion

As we now clarify, the prohibition on “gambling” in article I, § 9 encompasses either the staking of value on a game in which the element of chance predominates over the element of skill or the risking of value through bets or wagers on contests of skill where the pool of wagered value is awarded upon some future event outside the wagerer’s influence or control. However, games in which skill predominates over chance and skill-based competitions for predetermined prizes in which the participants have influence over the outcome do not constitute “gambling.”

Contrary to the dissent’s contention, in clarifying the meaning of the term “gambling” in the State Constitution in this manner, we do no disservice to our judicial role or the separation of powers doctrine. Indeed, it is the dissent who abdicates the judicial role, providing no discernable definition for the term “gambling.” In lieu of a coherent legal standard, the dissent obliquely relies on “common understanding[s]” (dissenting op at 241) and “societal judgments” for its conclusion that IFS contests are unconstitutional gambling rather than permissible “desirable commercial speculation” (dissenting op at 242). Indeed, the dissent acknowledges that its approach provides no logical framework for assessing the constitutionality of any particular activity alleged to be “gambling” (see dissenting op at 242). Particularly in cases involving the constitutionality of a state statute—a law adopted by the duly-elected representatives of the people—the development of fixed objective standards is imperative, as judges may not arbitrarily supplant the legislature’s reasoned determinations with their own judgments or notions of common sense under the guise of constitutional interpretation.

After careful consideration, the New York State Legislature reasonably concluded—as have many other state legislatures (see *e.g.* NJ Stat Ann § 5:20-1; Del Code Ann, title 29, § 4861; Colo Rev Stat Ann § 44-30-1603 [4] [b]; Ind Code Ann § 4-33-24-1; Iowa Code Ann § 99E.1; Tenn Code Ann § 47-18-1602; Ariz Rev Stat Ann § 5-1201; Mo Ann Stat § 313.905)—that IFS contests are neither games of chance, nor bets or wagers on sporting events, but rather are independent contests of skill over which the participants exert influence. It has been our repeated admonition, in light of our obligation to respect the powers of a coequal branch of government, that “legislation should not be declared unconstitutional unless it clearly ap-

pears to be so” and that “all doubts should be resolved in favor of the constitutionality of an act” (*Johnson v City of New York*, 274 NY 411, 430 [1937]; see *People v Nebbia*, 262 NY 259, 271 [1933], *affd* 291 US 502 [1934]). Here, in addition to being presumed constitutional, the legislature’s determinations are supported by the legislative record, the summary judgment proof (which was not contradicted), and our precedent delineating the scope of the term “gambling.” Therefore, plaintiffs have not met their heavy burden to establish that article 14 violates article I, § 9 of the New York Constitution.

Accordingly, the order of the Appellate Division insofar as appealed from should be reversed, with costs, and defendants’ cross motion for summary judgment declaring that article 14 of the Racing, Pari-Mutuel Wagering and Breeding Law does not violate article I, § 9 of the New York Constitution granted.

WILSON, J. (dissenting). Since 1894, New York’s Constitution has prohibited “lotter[ies] . . . pool-selling, book-making, or any other kind of gambling.” Everyone knows that sports betting is gambling. Betting on how many touchdowns a particular player will score is gambling. The defendants here agree. Aggregating several bets involving different players into a point total that is pitted against point totals of other bettors does not transform gambling into something else. The majority’s explanation of why something everyone knows is gambling is not actually gambling brings to mind a brief exchange in *Casablanca*:

“Captain Renault: This café is closed until further notice. Clear the room at once!

“Rick: How can you close me up? On what grounds?

“Captain Renault: I’m shocked, shocked to find that gambling is going on in here!

“[A croupier hands Captain Renault a pile of money.]

“Croupier: Your winnings, sir.

“Captain Renault: Oh, thank you, very much.”

Perhaps the majority is right that gambling does not today carry the same moral approbation it did in 1894; perhaps the plaintiffs are right that gambling addiction is a more severe problem now than then. Perhaps both are right. Those policy

questions are immaterial here. Were there no constitutional prohibition on gambling, that policy dispute could be resolved through the legislative process. But because our Constitution prohibits any kind of gambling, the policy issues must be put to the voters of this state, in the form of a popular referendum to amend the Constitution (or via a constitutional convention). The Constitution was amended by popular vote to legalize horse racing; to allow charities to conduct raffles and other forms of gambling; to allow the State to run a lottery; and to allow the operation of up to seven casinos within the state. The great damage done by today's decision is not the legalization of gambling (which has existed, in an illegal but mildly tolerated form throughout the state's history), but the affront to the importance of our Constitution and the role of the courts—in particular this Court—in upholding the Constitution and defending it from ordinary legislative incursion.

Although we presume the constitutionality of a statute and will construe it, if reasonably possible, to avoid unconstitutionality, we do not defer to legislative interpretations of constitutional provisions or the words within them. Instead, “in construing the Constitution we seek the meaning which the words would convey to an intelligent, careful voter,” because “[i]t is the approval of the People of the State which gives force to a provision of the Constitution” (*Matter of Kuhn v Curran*, 294 NY 207, 217 [1945]; *Matter of Carey v Morton*, 297 NY 361, 366-367 [1948]). What constitutes “gambling” under the Constitution is not a question entitled to any legislative or administrative deference. If article 14 of the Racing, Pari-Mutuel Wagering and Breeding Law authorizes gambling that the Constitution clearly prohibits, then we must strike down that statute, as we have done when statutes authorize conduct foreclosed by the Constitution (see e.g. *People v Viviani*, 36 NY3d 564 [2021]; *Protect the Adirondacks! Inc. v New York State Dept. of Envtl. Conservation*, 37 NY3d 73 [2021]; *Matter of Kuhn*, 294 NY at 211-212, 220). Demurring that the legislative branch “has investigated for and found facts necessary to support the legislation,” the majority diminishes this Court's authority and responsibility, leading it to conclude, I suppose, that Supreme Court and the Appellate Division “lightly disregard[ed] the considered judgment of a legislative body that is also charged with a duty to uphold the Constitution” (majority op at 217). Those courts better understood our role: constitutions exist as a check on legislative and executive activity.

I.

Prior to the enactment of article 14, DraftKings, Inc. and FanDuel began offering online interactive fantasy sports (IFS) contests in New York State. The parties herein stipulated that

“[p]articipants in such contests select fantasy teams of real-world athletes and compete against other contestants based on a scoring system that awards points based on the individual athlete’s performances in actual sporting events that are held after contests are closed and no more participants may enter the contest. Participants in fantasy sports contests may use, among other things, their sports knowledge and statistical expertise to determine how athletes individually, and their fantasy teams overall, are likely to perform in such sporting events. Participants cannot control how the athletes on their fantasy sports teams will perform in such sporting events.”

The parties also stipulated that the winners were paid from the fees paid by all entrants to a given game, less fees taken by DraftKings or FanDuel. Various permutations of online IFS contests offered participants the chance to win large jackpots, some greater than \$1 million, based on the points they amassed. The companies spent millions of dollars advertising in New York the large jackpots and the potential for life-changing payouts.

In 2015, the New York Attorney General sent cease and desist letters to DraftKings and FanDuel, stating that their “operations constitute illegal gambling under New York law.” The Attorney General elaborated that FanDuel’s and DraftKings’ “customers are clearly placing bets on events outside of their control or influence, specifically on the real-game performance of professional athletes. Further, each . . . wager represents a wager on a ‘contest of chance’ where winning or losing depends on numerous elements of chance to a ‘material degree.’ ” The Attorney General further admonished the companies that their operations were “creating the same public health and economic problems associated with gambling, particularly for populations prone to gambling addiction and individuals who are unprepared to sustain losses, lured by the promise of easy money. . . . Ultimately, it is these types of

harms that our Constitution and gambling laws were intended to prevent in New York.”¹

DraftKings and FanDuel did not comply with the Attorney General’s cease-and-desist letters. Thus, the Attorney General sued, charging that their operations were “in flagrant disregard of New York’s state constitution, penal laws and other statutes.” While the litigation proceeded, the gaming industry spent millions of dollars lobbying the legislature to authorize IFS in New York. Those efforts succeeded. In 2016, the legislature passed a statute that added article 14 to the Racing, Pari-Mutuel Wagering and Breeding Law. Article 14 authorized IFS contests that met certain conditions, and the new law established mechanisms for regulating and taxing companies offering IFS contests.

Shortly thereafter, the Attorney General terminated its lawsuits against FanDuel and DraftKings. Then, Jennifer White, Katherine West, Charlotte Wellins and Anne Remington filed the instant lawsuit, essentially restating the Attorney General’s claims against DraftKings and FanDuel. The plaintiffs either have gambling disorders or have been harmed by others’ gambling disorders; their standing to pursue this appeal is unquestioned. Both Supreme Court and the Appellate Division held that article 14 is unconstitutional. I agree with them.

II.

Article I, § 9 (1) of the Constitution provides: “no lottery or the sale of lottery tickets, pool-selling, book-making, or any other kind of gambling”—excepting certain lotteries authorized by the legislature, pari-mutuel betting on horse races prescribed by the legislature, and casino gambling at no more than seven facilities as prescribed by the legislature—“shall

1. The Attorney General complained that DraftKings and FanDuel “run[] a casino-style gambling operation,” “us[ing] advertisements to lure New York residents with promises of easy riches for a lucky few sports fans,” noting that the CEO of one IFS company described IFS as “sports betting parlay on steroids.” The Attorney General worried that “[t]he speed of DraftKings’ games, the size of their jackpots, and the degree to which the games are sold as winnable have ensnared compulsive gamblers and threaten to trap populations at greater risk of gambling addiction, particularly male college students,” prompting “gambling addiction experts and advocates to sound the alarm.” The complaint directly compared IFS to “poker, blackjack, and horseracing,” as forms of gambling where “a small percentage of professional gamblers manage to use research, software, and large bankrolls to extract a disproportionate share of . . . jackpots.”

hereafter be authorized or allowed within this state.” The Constitution further states that “the legislature shall pass appropriate laws to prevent offenses against any of the provisions of this section” (NY Const, art I, § 9 [1]). The Constitution then permits certain categories of games of chance, such as bingo or lotto, under certain restrictions (*id.* § 9 [2]). The above exceptions to the blanket prohibition on gambling were each adopted by constitutional amendment, as was the blanket prohibition itself. The history of New York’s prohibition of gambling and subsequent tailored amendments is illuminating: it evidences a powerful intention to constitutionalize the prohibition of all forms of gambling, to be overcome only by future constitutional amendments, not mere legislative action. It further demonstrates that “gambling” in the Constitution was defined by a commonsense understanding of the term, not by any measure of skill versus chance. The majority misreads that history.

A.

Gambling was anathema to the public policy of New York long before New York became a state. As far back as the early 1700s, New York legislators criticized the rise of lotteries in the colony. In 1721, New York prohibited the disposition of goods “by way or in manner of lottery, raffling, balloting, voluntary subscriptions, or other method that shall depend on or be determined by lot or chance” (3 Charles Z. Lincoln, *Constitutional History of New York* 34 [1906]). In 1772, New York decreed that all lotteries not specifically authorized by the legislature were “common and public nuisances” and set high penalties for violating the statute (*id.* at 35). Two years later, the legislature criminalized private lotteries (*id.*).

When delegates met in the Constitutional Convention of 1821, their concern expanded to include public lotteries alongside private ones (*id.* at 43). For one delegate,

“lotteries constituted a ‘legalized system of gambling;’ . . . all classes of society were affected by its pernicious influences, and . . . , like other gambling, ‘its tendency was to destroy industry and economy;’ . . . benevolent societies considered it ‘a fruitful source of pauperism,’ and . . . ‘it was the very worst mode which could be resorted to for the purpose of raising a revenue, as but a very small portion of the money extracted . . . ever found its way into the public treasury’ ” (*id.* at 43).

Another delegate warned that “[t]he evil consequence of lotteries is more extensive than we can at first imagine” (L.H. Clarke, Report of the Debates and Proceedings of the Convention of the State of New York, Held at the Capitol, in the City of Albany, on the 28th Day of August, 1821 at 299 [1821]). Not only did lotteries “demoralize the state” and “loosen[] the moral obligations of society,” they also “deprive[d] the family of the poor man of the pittance which his daily labour afforded them” (*id.*). That delegate rejected the idea of permitting lotteries for their revenue, stating that “a tax on vices of this kind operates as an encouragement to vice” (*id.* at 300). Yet another delegate expressed that he would be “disheartened” if a canal were to be financed by revenues from lotteries, advocating that the money come directly from the treasury instead of “drawn from the poorest and most miserable wretches in community” (*id.*). Ultimately, the Convention amended the Constitution to provide that “no lottery shall hereafter be authorized in this state” (Lincoln at 44). The debate leading up to the amendment foreshadowed a growing concern about gambling, even beyond lotteries, setting the stage for greater constitutional restrictions some decades later.

B.

After the Constitutional Convention of 1821, gambling in New York State began to evolve beyond lotteries. Pari-mutuel horse-race betting was invented in 1867 and exploded in popularity in Europe. After the new form of betting came to New York, the legislature in 1887 accommodated horse-racing interests by passing the Ives Pool Law. The Ives Pool Law explicitly authorized racing and pool selling for about five months of the year, authorized certain racing associations to conduct races for limited periods within this five-month stretch, and taxed the gross receipts for admission on race days (*id.* at 47). Much as is the case with IFS, our legislature saw an opportunity to raise revenues by authorizing, licensing and taxing the new form of gambling.

The Ives Pool Law sparked a strong backlash. Indeed, the year 1894, when New York had its next Constitutional Convention, was a “highwater mark for antigambling sentiment in New York” (Peter J. Galie & Christopher Bopst, *The New York State Constitution* 83 [2d ed 2012]). The new law faced immediate constitutional challenges in the courts. The day the 1894 Constitutional Convention convened, a panel of the General Term held that the Ives Pool Law was unconstitutional, a deci-

sion the New York Times described at the time as one that “surprised no one, as all intelligent racing men knew that this would be the outcome of any attempt to test the constitutionality of the law in the courts” (*The Ives Pool Bill Illegal: So Judge Pryor Decides in the Irving Case*, NY Times, May 8, 1894 at 3, col 1; *Irving v Britton*, 8 Misc 201 [Ct Common Pleas 1894]). After that decision, the Fourth Department separately held that the Ives Pool Law was *not* unconstitutional, concluding that the activities authorized by the Ives Pool Law did not fall within the Constitution’s prohibition against “lotteries” (*Reilly v Gray*, 28 NYS 811, 815 [4th Dept 1894]). The question of whether pool selling was a prohibited lottery under the Constitution, however, gave way to a broader sentiment: that the Ives Pool Law exposed the need for a stronger and more expansive prohibition against gambling in the Constitution. The existing prohibition against lotteries was no longer sufficient, and the people of New York could not rely on the legislature to prevent gambling.

At the 1894 Constitutional Convention, delegates emphasized that the legislature’s authorization of racing and pool selling in the Ives Pool Law required a forceful response by the Convention: a constitutional amendment to establish a sweeping prohibition against gambling—one that could not be overcome by future legislative action. Delegates described the Ives Pool Law as “an act dangerous to public morals” that authorized “the most iniquitous, vile, and wretched business that has ever been carried on within the borders of this state” (Lincoln at 50-51). One delegate “implore[d] that an end shall be put to [the practice] forever” and called upon his peers to “[s]weep the whole brood together,—gamblers, pool sellers, bookmakers,—all other racing fraternity into oblivion forever” (*id.* at 51). Other delegates echoed that desire. One delegate urged the Convention to “put the seal of our condemnation upon all kinds of gambling” and emphasized that “[w]hat we want to-day is to condemn all kinds of gambling, bookmaking and everything else” (4 Rev Rec, 1894 NY Constitutional Convention at 1086).

Delegates understood that forms of gambling would change with time and sought to ensure the amendment would be far-reaching enough to account for future changes. One delegate, for example, stated that “while every one admits that bookmaking and pool selling are prevailing crimes to-day and very injurious to the young men of the State, as well as the old men, we should not limit [the prohibition], and while we are about it

we should prohibit in the Constitution all forms of gambling” (*id.* at 1087). Another delegate expressed that without a broad prohibition against all forms of gambling, “[i]t will not be twenty-four hours before they would have some new scheme of gambling, and the evil would still exist” (*id.* at 1124). One delegate proclaimed that a constitutional prohibition against gambling “should be so broad as to prohibit not only the boy upon the street, who gambles away a few pennies which he may earn from day to day, but it should [also] prevent poker playing in the Union Club in New York” (*id.* at 1118-1119).²

Delegates to the 1894 Convention also believed a broad constitutional prohibition against gambling was imperative to prevent the legislature, which had failed to prohibit gambling, from affirmatively authorizing gambling in the future as it had with the Ives Pool Law. The kind of gambling that arose after the initial constitutional prohibition on lotteries had “proved more powerful than the Legislature, and therefore, [required] the power of a Constitutional Convention to prohibit it” (*id.* at 1117). Though “[t]here is no one but that says [the gambling] should be stopped, . . . no one but agrees that the Legislature is impotent to stop it, and [a Constitutional Convention] is the only place to stop it” (*id.*). Delegates believed that a broad prohibition against gambling was necessary because “there never should be a law affirmatively justifying gambling,” and the prohibition’s effect would be “to avoid [such] legislation” (*id.* at 1118, 1122). One delegate announced that the Constitution should provide “that gambling shall not be allowed,” and “leav[e] it to legislative declaration what shall be the penalty for the violation” (*id.*). In other words, the legislature should be restricted, when it comes to gambling, to “fix[ing] a penalty for the violation of this [prohibition] of the Constitution,” without any power to authorize gambling on its own (*id.*). Another delegate urged a broad constitutional prohibition because “[y]ou will never get the Legislature to do anything about it”; the legislature “will not pass any law for the suppression of gambling” (*id.* at 1124). Yet another delegate decried that “every

2. The majority acknowledges that the Ives Pool Law “prompted delegates to the Constitutional Convention of 1894” because they were “critical of the legislature’s decision to carve out particular seasons and locations for betting on horse races” (majority op at 218), but it fails to account for the extent of the outrage created by the law. The Ives Pool Law did not merely prompt the delegates to the Constitutional Convention, it caused a significant backlash and animated the constitutional prohibition on gambling ultimately adopted by the delegates in 1894.

effort to induce the Legislature to come to the rescue has been futile” (*id.* at 1129). The answer, he believed, was a broad amendment that would “[m]ake no half-way work” and eliminate all forms of gambling in toto (*id.* at 1130).

The Convention understood that gambling business interests seeking to sway the legislature were “many and powerful” (*id.* at 1112). One delegate believed that “[t]he agents of the pool selling interests . . . will leave unused no influence, open or secret, to defeat any attempt to deprive them of their opportunities” (*id.* at 1080-1081). Another delegate feared the “inventive genius of the men who are capable of conducting pool selling and bookmaking” (*id.* at 1112). The delegate explained that if the Convention limited its prohibition to pool selling and bookmaking only, the gambling organizers “will devise some means other than pool selling and bookmaking by which they can gamble just the same as ever” (*id.*). Another delegate echoed concerns about “the wit of the gamblers and their attorneys,” worrying that—if a constitutional prohibition were limited to pool selling and bookmaking alone—“it will not be three months after [such an] amendment goes into effect before they will have some other device . . . [that] serves their purpose equally well” (*id.* at 1119).

For other delegates, Louisiana offered a cautionary tale on the lobbying power of gambling organizers. According to one delegate, Louisiana “was almost ruined, politically and morally, by the existence of the hydra-headed monster of lotteries” (*id.* at 1082). The very people “who were at the head of the great lottery business in that State, many of them after being driven from there, moved to New York and established themselves as racing men, and set up pool selling and bookmaking, far worse and more dangerous than lotteries” (*id.*). The delegate denounced the acts of gambling organizers to corrupt the Louisiana legislature by “offer[ing] the State of Louisiana thirty millions of dollars to be allowed to continue the lottery business in that State” (*id.*). Though “public sentiment was aroused and their offer was spurned, . . . [n]ow, many of the same men driven from Louisiana have settled themselves in the State of New York” and the delegates were called “to decide whether this system of gambling, in its worst aspect, shall thrive in this State” (*id.* at 1082-1083). Another delegate resurfaced the “hard fight” in Louisiana, which involved “[t]he lottery [interests] offer[ing] [the State of Louisiana] immense sums for the privilege” (*id.* at 1121). That delegate acknowl-

edged that he was “not awed by [the] suggestion that the pool men [in New York] will raise a large fund of money and put it into the campaign against our party” because “they have been doing that every year since the Ives bill became a law” (*id.*). Thus, as much as the delegates were concerned about the ills of gambling and the unreliability of the legislature in preventing it, they were also worried about the political process in New York and protecting government decision-making from powerful money interests; the “cause of good government” motivated the 1894 delegates in their ultimate decision that the Constitution should broadly prohibit gambling (*id.* at 1122).

After extensive and unequivocal pronouncements by delegates as to the evils posed by gambling, the Convention acted decisively to prohibit gambling expansively. The Convention amended the Constitution, with 109 delegates voting in favor and only 4 delegates voting against, adding a broad prohibition against gambling: “Nor shall any lottery or the sale of lottery tickets, poolselling, bookmaking, or any other kind of gambling hereafter be authorized or allowed within this state; and the legislature shall pass appropriate laws to prevent offenses against any of the provisions of this section” (*id.* at 48 [italics indicating text added by the 1894 Convention]).

The 1894 amendment caused some concern that the phrase “or any other kind of gambling” could be “sweepingly inclusive” (*The Poolselling Amendment*, NY Times, Oct. 15, 1894, at 4 col 3 [internal quotation marks omitted]). That concern put people involved in exchanges for securities and “materials of the earth” “in a state of considerable alarm” (*id.*). The New York Times commented that

“[i]f there were any real danger that the prohibition of gambling would be construed to include dealings in stocks and commodities in organized Exchanges, we should say that the whole list of amendments tied up with this one [ought] to be beaten and their authors censored by a mass meeting for submitting such owlsh and mediaeval proposition[s]” (*id.*).

The Times “[did] not think the danger exists,” because to think of stock market and commodities “speculation as gambling is contrary to modern enlightenment” (*id.*). Instead, “[t]he racing men, of course, know that the amendment is aimed directly at them” and “[t]here is not the slightest doubt about [the

amendment's] intent" (*id.*). The meaning of "gambling" in the constitutional amendment, therefore, was not understood to rest on the relative measures of skill or chance in providing a return on money invested or wagered, but on a common understanding of the difference between investing and betting. Delegates, stockbrokers and the public understood that those exchanges did not constitute gambling and were not within the ambit of the constitutional prohibition, without any reference to the level of skill or chance in those activities.

The most nearly contemporaneous expression of the conception of gambling at the time was contained in the 1895 Penal Law, which prohibited "record[ing] or register[ing] bets or wages, or sell[ing] pools upon the result of any trial or contest of skill, speed or power of endurance, of man or beast." Although the 1895 Penal Law does not determine the constitutional definition of gambling, it provides one additional piece of evidence as to what was understood to be "gambling" very close in time to the adoption of the constitutional prohibition.³

C.

Even decades after the 1894 amendment to the Constitution, the legislature's actions continued to evidence a broad conception of the "gambling" prohibited by the Constitution. In 1939, the legislature sought to authorize pari-mutuel betting at authorized tracks, to "provide an effective legal control of wagering on horse racing and thus protect the public interest" and to raise revenue (Statement by Joint Legis Comm for Study of Pari-Mutuel Sys, 1941 NY Legis Doc No. 69 at 14). To do so, the legislature understood that it needed to amend the Constitution. The legislature approved an amendment for popular referendum, and the people of New York ultimately voted in favor of the amendment that same year (*id.*; 1,225,495 *Approved Pari-Mutuel*, NY Times, Dec. 10, 1939 at 2, col 3). As the majority details, the Constitution has been amended repeatedly to permit certain forms of gambling—in 1957 and

3. It is important not to conflate the modest insight the 1895 Penal Law may provide into the constitutional definition of gambling with subsequent or contemporary Penal Law interpretations of gambling. The 1895 Penal Law represents one notion of gambling *nearly simultaneous with the time of* the 1894 Constitutional Convention. In contrast, subsequent or contemporary Penal Law definitions of gambling are divorced from the 1894 Convention's understanding of gambling and—as the delegates widely feared—are much more likely to reflect legislative attempts to circumvent the broad definition of gambling than to shed light on the constitutional meaning of the term.

1975 to permit certain games of chance like bingo or lotto operated by certain religious, charitable and nonprofit organizations; in 1966 to allow the legislature to create a state lottery to fund education; and in 2013 to authorize casino gaming at certain locations in the state (majority op at 219). The majority, however, misses the point of those amendments. Even if the amendments can be taken to show that the public's views on gambling have changed (*id.* at 219), they underscore that the process for authorizing new forms of gambling is through a constitutional amendment approved by the people of the state. Surely the Constitution does not allow us to conclude that because past voters approved some form of gambling, we are no longer required to obtain the approval of today's voters for a different form.

The history of New York's laws and the constitutional prohibition on lotteries and gambling demonstrates that delegates, legislators, and the public alike understood the Constitution's prohibition on gambling to be far-reaching. That history also shows that the definition of "gambling" did not revolve on the relative weights of skill and chance. Instead, the constitutional prohibition sought to eliminate a broad category of activities that legislators and delegates worried were impoverishing, distracting, or even corrupting New York's people. That was exactly the Attorney General's stated concern when he sued DraftKings and FanDuel, and the issue motivating the plaintiffs here.

III.

Disregarding the clear historical understanding of the word "gambling" in our Constitution, the majority manufactures a constitutional definition of gambling along a skill-chance divide. The majority holds that the constitutional prohibition on gambling encompasses two types of activities: (i) "the staking of value on a game in which the element of chance predominates over the element of skill," and (ii) "the risking of value through bets or wagers on contests of skill where the pool of wagered value is awarded upon some future event outside the wagerer's influence or control" (majority op at 228). In other words, "games in which skill predominates over chance," as well as "skill-based competitions for predetermined prizes in which the participants have influence over the outcome" are *not* "gambling" under the Constitution (*id.* at 228). That definition belies our constitutional history and is unworkable.

A.

The history and text of article I, § 9 of our Constitution make clear that the prohibition on gambling is broad and the definition arises not from any relative measure of chance or skill, but from the common understanding of what types of activities constitute gambling. Players skilled at counting cards are better able to win at blackjack than those who are unskilled, but that does not exempt blackjack, if played for money, from the prohibition on gambling. The Attorney General, now defending DraftKings' and FanDuel's operations as constitutional, admits that because poker involves a substantial amount of skill and highly skilled poker players—just like highly skilled IFS players—reap the lion's share of winnings, poker would not constitute “gambling” under the Constitution, except for the fact that it was thought of as gambling at the time and now we are stuck with that anomaly. That admission underscores how the definition employed by the majority cannot comport with the constitutional meaning of “gambling”: under the majority's definition, poker, blackjack and commonly understood forms of gambling are not gambling, because of the level of skill they entail. Everybody understands that stock and commodities trading is excluded from the Constitution's prohibition on gambling, but trading is not principally a “skill-based” activity and is highly dependent on contingent future events completely out of control of the traders. Nobel Laureate Daniel Kahneman has written that the stock market “appears to be built largely on an illusion of skill,” and other research shows that active traders in stocks have net negative returns when compared to the stock indices (see Brad M. Barber & Terrance Odean, *Trading Is Hazardous to Your Wealth: The Common Stock Investment Performance of Individual Investors*, 55 J Finance 773 [2000] [(I)nvestors hurt their gross performance by trading”]; Kenneth R. French, *Presidential Address: The Cost of Active Investing*, 63 J Finance 1537 [2008] [(T)he typical investor would increase his average annual return by 67 basis points over the 1980-2006 period if he switched to a passive market portfolio”]; Alessio Emanuele Bionio et al., *Are Random Trading Strategies More Successful than Technical Ones?*, 8 PLOS ONE e68344 [2013] [(F)or the individual trader, a purely random strategy represents a costless alternative to expensive professional consulting, being at the same time also much less risky, if compared to the other trading strategies”]). The skill/chance dichotomy does not let us separate activities clearly not within

the constitutional prohibition of gambling, such as stock or commodities trading, from betting on sports.

There is no logical way to differentiate activities that everyone understands do not constitute gambling from those that do: both may involve some measure of skill and chance, and both depend on future events that the investor or bettor cannot influence. Instead, as the history of the 1894 amendment demonstrates, ascertaining the definition of gambling is not a purely logical exercise conducted in a void. Rather, it requires a careful examination of the historical and social context in which the 1894 amendment was placed in our Constitution, including looking to societal judgments about what types of activities constitute gambling and what types constitute desirable commercial speculation. Betting on sports has consistently been understood to constitute gambling. IFS contests involve betting on the performances of a collection of individual players, rather than the performance of a real team, but they nevertheless involve betting on sports outcomes—an activity clearly understood to constitute gambling.⁴

The constitutional meaning of gambling does not turn on some weighing of skill and chance, but rather on what types of activities are commonly understood to constitute gambling. At the time of the 1894 Convention, people generally understood that the stock and commodity markets could be thought of as betting on uncertain future events over which they had no influence, but the universal understanding was that those activities were not gambling—for reasons having nothing to do with the relative weight of skill and chance. Nothing in the relevant history suggests that the Convention, or the legislature at that time, or the public generally, thought that stock and commodity trading was removed from the definition of gambling

4. The majority mischaracterizes my view for why IFS contests are gambling, stating that this dissent “attempts to portray IFS contests as unlawful ‘gambling’ simply because they relate to professional sporting events” (majority op at 227). When the New York Giants drafted Daniel Jones sixth overall and signed him to a \$25.6 million four-year contract, they most certainly did so in relation to a professional sporting event. Although his future performance was not then knowable, the relation to a sporting event does not determine whether the Giants’ action was gambling under the Constitution (which it was not). Two things distinguish it from IFS: (1) the Giants have some ability to affect Jones’ future performance (which IFS bettors selecting him do not); and (2) we understand that entering into employment contracts is a socially desirable activity and not “gambling” within the meaning of the Constitution, even though an employee’s future performance has an inherent measure of uncertainty.

because more skill than luck was involved. Instead, the common understanding was that investments in stocks and commodities—regardless of the risk or skill involved—were simply not gambling because of a societal judgment about the nature and utility of those activities and their importance to a flourishing market economy.

The very purpose of placing the prohibition on gambling into our Constitution was to prevent alteration by mere legislative action. New York’s Constitution, to be sure, has proved far easier to amend than the United States Constitution. It has been amended several hundred times, and constitutional amendments are regularly put to the voters. To allow betting on horse races, the people overwhelmingly approved the 1939 constitutional amendment. Subsequent amendments to article I, § 9 in 1957, 1966, 1975, and 2013 underscore that IFS can be legalized in New York, but only through a constitutional amendment. During the time this issue has ping-ponged from the Attorney General’s suit to bar IFS to its current defense of IFS as not gambling, eight proposed constitutional amendments have been put to the voters of our state. If the legislature wanted to legalize IFS, it could and should have put that question to the voters, which is precisely what the 1894 Convention concluded would be necessary to modify its broad prohibition.

B.

The majority misinterprets the constitutional definition of gambling by assuming an equivalency with later penal definitions of gambling. To support its mistaken view that “[w]hen the 1894 Constitution was adopted, ‘games of chance’ were commonly understood to be those in which the element of chance was ‘the *dominating* element that determines the result of the game’” (majority op at 222), the majority quotes *People ex rel. Ellison v Lavin* (179 NY 164, 170-171 [1904]). *Ellison*, however, held that a contest awarding money to people for guessing the number of cigars the United States would collect taxes on during a given month was an impermissible *lottery* under the *Penal Law*—not whether it constituted “gambling” under the *Constitution* (*id.* at 168, 170-173).

To the extent *Ellison* has any relevance to the present case, it cuts against the majority’s position. A cigar company sponsored a contest in which the winners were to be determined by how closely they were able to estimate the number of cigars that would be sold in the United States in the month of

November 1903. The United States Tobacco Journal, a trade newspaper, published an advertisement announcing the competition and providing its rules and information showing the monthly cigar sale totals for several preceding years. The newspaper's publisher was arrested and charged with violating Penal Code § 327, which made it a misdemeanor to advertise a lottery. Section 323 of the Penal Code defined a lottery as: "a scheme for the distribution of property by chance, among persons who have paid or agreed to pay a valuable consideration for the chance" (179 NY at 168).

The Appellate Division held that

"knowledge of the condition of the tobacco trade, the importation of cigars and similar matters not stated in the advertisement would enable those possessing the information to estimate [the number of cigars] more accurately than others ignorant of these conditions . . . [and therefore] the distribution would not depend exclusively on chance, but, to some extent at least, be affected by the exercise of judgment, and that, therefore, the scheme did not constitute a lottery" (*id.* at 169).

Thus, the question before this Court in *Ellison* was whether the contest, in which those with greater access to data and skill in predicting future events based on that data, would constitute a "scheme for distribution of property by chance." We held that the contest remained a contest of chance even though some skill was involved, because chance was the "dominating element," and therefore the contest was one of "chance within the meaning of the statute" (*id.* at 174).

Obviously, *Ellison* has nothing to do with the meaning of "gambling" in the Constitution. The Penal Code definition was not of "gambling," but of a "lottery," which under the Constitution is just one form of gambling. Indeed, the Penal Code statute at issue in *Ellison* did not mention "gambling" at all. Its prohibition was far narrower than the Constitution's prohibition of "pool-selling, book-making, or any other kind of gambling."

Interestingly, though, the argument in *Ellison* that persons who obtained additional data about cigar sales and imports and who were better skilled in statistical interpretation brought a measure of skill to the contest so that it was no longer one of chance, are much like the arguments made here to urge that IFS is not gambling. In *Ellison*, we rejected those

arguments when applied to the much narrower definition of “chance,” even though the presence of some measure of skill did not render the contest one of pure chance. *Ellison*’s rejection of the proposition that “chance” means “pure chance” evidences an understanding that the Penal Law prohibitions of lotteries should not be evaded by injecting into a competition some measure of skill allowing some participants to do better than others. Correspondingly, *Ellison*’s approach suggests that the injection of some measure of skill into the selection of fantasy rosters in IFS contests should not remove IFS from the (much broader) constitutional definition of gambling.

After misapplying *Ellison*, the majority cites a string of cases for its claim that “New York courts have historically applied the dominating element standard to determine whether a particular activity constituted a ‘game of chance’—reflecting a shared understanding that ‘gambling’ encompasses those games dominated by chance, not skill” (majority op at 223). Like *Ellison*, each of those cases’ discussion of whether an activity had a dominating element of chance involved *statutory* constraints on gambling—not the Constitution’s prohibition of gambling (see *People ex rel. Lawrence v Fallon*, 152 NY 12, 17 [1897] [discussing whether a contest of speed of animals for prizes violated the Penal Code’s statutory prohibition against lotteries and the sale of lotteries]; *Matter of Shapiro v Moss*, 245 App Div 835, 835 [2d Dept 1935], *affd* 270 NY 609 [1936] [citing *Ellison* and finding that a mechanical bagatelle game was improperly licensed because it was gambling]; *People v Stiffel*, 61 Misc 2d 1100, 1100 [App Term, 2d Dept 1969] [citing *Ellison* and reversing convictions of defendants for allowing their premises to become disorderly by allowing wagering on three games of billiards]; *People v Li Ai Hua*, 24 Misc 3d 1142, 1145 [Crim Ct, Queens County 2009] [granting defendant’s motion to dismiss the accusatory instrument for facial insufficiency because the information contained no factual basis for the conclusion that the game defendant was participating in was gambling under the Penal Law]; *Valentin v El Diario La-Prensa*, 103 Misc 2d 875, 878 [Civ Ct, Bronx County 1980] [discussing *Ellison* and finding that the sale of voting coupons was void against public policy]; *People v Cohen*, 160 Misc 10, 11 [NY City Magistrates’ Ct 1936] [finding defendant improperly charged with violating the Penal Law because a device he had in his establishment—allowing participants to shoot at a target for a prize—was a game of skill]). Like *Ellison*, all those

cases interpret penal statutes, not the constitutional prohibition on gambling. As Supreme Court held (undisturbed by the majority), the legislature has substantial discretion in how to enforce the constitutional prohibition on gambling. Thus, the legislature need not criminalize everything that meets the constitutional definition of gambling (see *People ex rel. Sturgis v Fallon*, 152 NY 1, 10 [1897] [rejecting challenge to the legislature's reduction of the penalty for horse-race betting]). Instead, as the majority acknowledges, the legislature "is free to extend statutory prohibitions on games of chance beyond those prohibited by the Constitution" (majority op at 223 n 6). By the majority's own admission, then, the Penal Law's varying prohibitions of various types of gambling activities have no bearing on the constitutional definition.

IV.

Even if it were proper to consider the relationship of skill and chance in determining whether IFS contests are gambling under the constitutional definition, the majority's analysis is not credible. First, the parties stipulated that "[p]articipants cannot control how the athletes on their fantasy sports teams will perform in such sporting events," and the majority itself acknowledges that IFS "participants are not able to influence athlete performance in actual sporting events" (majority op at 224). There is no escaping the real-world fact that IFS bettors have absolutely no influence on how any of the athletes they have selected will perform. Incongruously, in defiance of the parties' stipulated fact and the majority's own acknowledgment of that fact, the majority concludes that the plaintiffs here have not "met their heavy burden of establishing beyond a reasonable doubt that the IFS contests authorized by article 14 constitute 'bets or wagers' on future events outside of the contestants' influence or control" (*id.* at 225).

To explain why betting on the future performance of a selected handful of athletes does not constitute gambling, the majority digs an even deeper hole for itself. The majority attempts to distinguish "'bets and wagers' of gambling activities from lawful contests that award prizes to competitors—contests integral to the fabric of American social life, spanning the range from spelling bees to golf tournaments to televised game shows" (*id.* at 225). Leaving aside whether IFS is "integral to the fabric of American social life," I control my performance in a spelling bee. I control my performance in a golf tournament. I

control my performance in a televised game show. I do not control Tom Brady's performance in a football game.

The case cited by the majority to illustrate its gambling vs. prize competition distinction, *People ex rel. Lawrence v Fallon* (152 NY 12 [1897]), roundly disproves the majority's argument. In *Lawrence*, we considered the constitutionality of a statute that (1) authorized associations to host races for prizes to be contributed by the corporations, the owners of horses competing in the races, or by others who were not participants in the race, and (2) prohibited any person other than the owners of the competing horses from having any pecuniary interest in the prizes (*id.* at 18). Each of the entrants in the race in *Lawrence* had trained and prepared its own horse for the race, giving it some measure of influence over the performance of the actual competitor in the race (the horse). We held that "[t]here is a plain and obvious distinction" between a contest where the sponsor offers a fixed prize to the winner, unaffected by the number of entrants or money received in entrance fees (not gambling) and "a race where the stake is contributed by the participants alone, and the successful contestant is to have the fund thus created" (gambling) (*id.* at 18-19). We concluded that "[t]he latter is a race for a mere bet or wager, while the former is for a prize offered by one not a party to the contest" (*id.* at 19). To explain the difference between gambling and not gambling, we pointed to a variety of activities commonly thought of as prize contests, to contrast those to gambling, namely: "the farmer, the mechanic or the stock breeder who attends his town, county or state fair, and exhibits the products of his farm, his shop or his stable, in competition with his neighbors or others for purses or premiums," which we noted, as a matter of common understanding, were not gambling (*id.*).

Three propositions in *Lawrence* help understand the constitutional meaning of "gambling": (1) contests where payouts are based on the total amount paid to enter the contest are gambling, whereas a fixed prize offered by the promoter of a competition could suggest a contest is a prize competition and not gambling; (2) people who enter their own horse, pig, dog, jams or pie in a contest have some influence over the future contingent outcome because they bred the horse, fed the pig, trained the dog, grew the fruit and composed the jam, or baked the pie, which suggests that the contest is not gambling; and (3) most importantly, a commonplace understanding of "gambling" grounds the constitutional definition of the term. We

know that the Constitution does not prohibit, as gambling, day trading in stocks or entering Wilbur in the state fair. We know it prohibits a casino sponsoring poker played for money.

Those three propositions work in concert. For example, if a contest has fixed payouts, satisfying proposition (1), but does not involve people entering themselves or things they control into the contest, failing proposition (2), then that contest would constitute gambling, falling within the commonplace understanding of the term under proposition (3). The majority fixates on the first proposition, stressing that the legislature through article 14 ensured it was authorizing only IFS contests that have predetermined prizes that are set by a neutral operator and that do not change with the number of participants. Even if the IFS contests authorized by article 14 meet that proposition, they clearly constitute “gambling” under the second and third propositions of *Lawrence*. Claiming that what would otherwise be gambling is not, merely because the million-dollar jackpot is a fixed amount, is precisely “the wit of the gamblers and their attorneys” that the 1894 Convention sought to curb. The Convention instead entrusted the voters with the exclusive authority to determine which forms of gambling to allow.

The majority attempts to satisfy the second proposition by claiming that the selection of IFS rosters itself represents some control over the future contingent outcome. That is a sophistry: that “control” is merely the decision of what to bet on, not any influence over how the subjects of the competition—the athletes—will perform. The purported “skill” involved is a skill in betting, not a skill in influencing the actual underlying athletic events. It is the same “skill” that we rejected in *Ellison* as insufficient to remove the cigar competition from the Penal Code’s definition of “chance.” I agree that at least some IFS bettors “draw from their knowledge of the relevant sport, player performance and histories, offensive and defensive strengths of players and teams, team schedules, coaching strategies, how certain players on opposing teams perform against each other, statistics, strategy, and the fantasy scoring system in order to exercise considerable judgment in selecting virtual players for their rosters” (majority op at 224), but the same would be true of persons placing a bet on the number of touchdowns an individual football player would score in tomorrow’s game. The Attorney General agrees that such a bet would be gambling—a “prop bet”; the aggregation of those prop bets into one big prop bet does not constitute any skill other than

the skill in placing a bet. The “skill” is in the determination of what to bet on—not in affecting the outcome of the underlying future contingent events. Someone who owns a horse, trains it, and enters it into a competition in which the owner is rewarded based on the horse’s performance has some ability to affect the outcome of the competition. A person who assembles a slate of horses, NASCAR drivers or football players has no ability to affect the performance of any of those persons in the competition. In short, IFS is merely a group of individual bets, where the payout is determined by the sum of the individual bets, and there are rules around how the group of bets may be placed.

The Ives Pool Law, allowing pari-mutuel horse betting, formed the impetus for broadening the constitutional prohibition against gambling. Subsequently, to legalize horse-race betting, the Constitution was amended by popular vote. The same arguments made to urge that IFS is not gambling could have been made about horse racing. A horse racing bettor can assemble a slate of horses much like an IFS “team.” For example, betting a “trifecta box” allows you to win if the three horses you choose finish first, second and third in any order. Betting an “exacta part wheel” pays you if you pick the winner and any one of the several other horses you pick comes in second. Betting a “pick six” pays you if you successfully select five or six of the horses that win in six separate races. As with IFS, some people study horses and track conditions in depth and are better informed and thus more likely to win (*compare e.g.* Nicely-Nicely Johnson *with* Freddy Eynsford-Hill). Daily racing forms and other publications with highly detailed information about individual horses, track conditions, jockey performance, etc., are available (and at least one, the Daily Racing Form, has been available since the late 1800s) to allow bettors to educate themselves just as IFS bettors can access and evaluate player statistics before assembling their fantasy lineups. Nevertheless, the courts and legislature understood that those features did not remove horse racing from the constitutional prohibition of gambling; therefore, a constitutional amendment was required. IFS wagers are no different than winning the trifecta box, exacta part wheel, or pick six at a racetrack; they are still dependent on future contingent events over which the bettors have no control, even if skill in picking players or horses greatly affects the chance of winning. The aggregation of the horses in a race or across races, and any level of skill involved in select-

ing them, does not change that the activity at its core is gambling, or that the “skill” involved is merely the skill in placing the bet, not the skill in spelling “murraya” to win the Scripps National Spelling Bee. The same is true of IFS.

The majority’s additional observation, that “unlike bets or wagers on games of skill in which a bettor takes no part, participants in IFS contests engage in a distinct game of their own, separate from the real-life sporting events, in which they strive against other IFS participants,” does not transform gambling into non-gambling (majority op at 227).⁵

V.

Determining what the New York Constitution means is exclusively the responsibility of the courts. The separation of powers doctrine that upholds our State’s democracy demands it. The majority disrupts the balance of power in our State and effectively amends the Constitution, bypassing the voters. The majority does this by establishing a definition of “gambling” that contradicts the Constitution’s plain meaning and history and that instead bows in deference to the legislature’s preferences.

Over several decades, the Constitution has been amended to authorize several types of gambling. No amendment has authorized IFS. In authorizing and regulating interactive fantasy sports through article 14, the legislature impermissibly bypassed the means by which new forms of gambling can be made lawful. If people in New York want to allow interactive fantasy sports, they must vote for it. Amending our State’s Constitution is neither uncommon nor infrequent, as evidenced by the amendments to the gambling provision itself, as well as to the forever wild provision discussed in *Protect the Adirondacks!* (37 NY3d at 77, 81 [noting that a provision in the Constitution requiring that the forest preserve within the Adirondack Park “shall be forever kept as wild forest lands” had been amended 19 times prior to the Court’s holding in that case that a state plan to build 27 miles of trails through the forest preserve was unconstitutional]). In fact, by the late 1980s

5. If, instead of buying a lottery ticket, we bet on whether anyone will hit the Powerball jackpot this week, or bet on whether both the Powerball and Mega Millions jackpot will be hit during the same month, we are engaged in a “distinct game of our own, separate from” the lotteries, but we are still gambling: we are still betting on the outcome of future events over which we have no control.

alone, New York's Constitution had been amended more than 200 times (William H. Manz, Gibson's New York Legal Research Guide 3 n 1 [4th ed 2014]).

When the delegates to the Constitutional Convention of 1894 prepared to promulgate the expansive prohibition against gambling in our Constitution today, they worried about the powerful money interests that are inextricably intertwined with gambling. The delegates were concerned about how lottery operators in Louisiana attempted to buy that state's legislature, offering millions in exchange for permission to continue operating their business there. The Louisiana lottery and scandal bled into other states, ultimately sparking federal action (*see* Nelson Rose, *Gambling and the Law: The Third Wave of Legal Gambling*, 17 Villanova Sports & Ent LJ 361, 371-374 [2010]). The delegates understood that the same lottery operators from Louisiana had set up shop in New York; the gambling operators then in our state were strategic and powerful. For the delegates, "[t]he infamy which [the] amendment [prohibiting gambling] seeks to destroy is the creature of politics, and of the basest order of politics" (4 Rev Rec at 1124). To protect the democratic process, foster good government, and protect decision-making from the unsteady influence of money interests, the Convention adopted our Constitution's prohibition against gambling expressly to prevent the legislature from passing laws authorizing gambling; that decision thereafter belonged to the people of this state.

The 1894 Convention anticipated that gambling companies like DraftKings and FanDuel would emerge, would create new and popular forms of gambling, and would engage in expensive campaigns to sway our legislature. What that Convention could not have anticipated is that, having squarely put the expansion of any form of gambling exclusively in the hands of the voters, our Court would defer to legislative "findings" to strip voters of their rights under our Constitution.⁶ The tragedy of today's decision is not the legalization of gambling; it is the usurpation of the constitutional process.

IFS contests are clearly gambling under our State Constitution. The legislature may nevertheless believe that the benefits of IFS contests—through taxation, for example—outweigh the

6. Those findings, which concern the relative level of skill and chance involved in IFS, are irrelevant to determining the meaning of "gambling" under the Constitution, and irrelevant as well once the proper definition—which does not turn on skill versus chance—is applied.

harm to people like the plaintiffs here and others.⁷ The majority's perception that popular opinion towards gambling has changed since 1894 may be true (though the plaintiffs here would not agree), but the majority cannot usurp the voters' prerogative to maintain or alter the meaning of gambling in the Constitution. The majority abandons that bedrock democratic principle, subverting this Court's responsibility, and the people's power, as embodied in a constitutional provision whose purpose was to prevent repeal by mere statute, in deference to the legislature's preferences. We can only hope the decision does not crack the foundational principle we have thus far followed: that the three branches of government limit each other in important ways to protect the rights of the people of our state.

Judges SINGAS, CANNATARO and LaSALLE* concur; Judge WILSON dissents in an opinion, in which Judges RIVERA and TROUTMAN concur; Judge GARCIA took no part.

Order insofar as appealed from reversed, with costs, and defendants' cross motion for summary judgment declaring that article 14 of the Racing, Pari-Mutuel Wagering and Breeding Law does not violate article I, § 9 of the New York Constitution granted.

7. Scholars warn, however, that the legalization of gambling for tax revenues constitutes a regressive tax on the poor—increasing poverty and exacerbating preexisting social problems (see John Warren Kindt, *U.S. National Security and the Strategic Economic Base: The Business/Economic Impacts of the Legalization of Gambling Activities*, 39 St Louis U LJ 567, 579 [1995]; John Warren Kindt, *Legalized Gambling Activities as Subsidized by Taxpayers*, 48 Ark L Rev 889, 894-899 [1995]; Emanuel V. Towfigh et al., *Dangerous Games: The Psychological Case for Regulating Gambling*, 8 Charleston L Rev 147, 152 [2013]). Those same concerns were voiced by the 1894 Convention delegates who adopted the broad prohibition of gambling.

* Designated pursuant to NY Constitution, article VI, § 2.

[192 NE3d 1128, 172 NYS3d 649]

THE COLUMBIA MEMORIAL HOSPITAL, Appellant, v MARCEL E. HINDS, Respondent.

KIM E. SCHOCH, Respondent, v LAKE CHAMPLAIN OB-GYN, P.C., Appellant.

MAPLE MEDICAL LLP, Appellant, v JOSEPH SCOTT, M.D., Respondent, et al., Defendant.

MAPLE MEDICAL LLP, Appellant, v DIANA GOLDENBERG, M.D., Respondent, et al., Defendant.

MAPLE MEDICAL LLP, Appellant, v DIANA AREVALO, M.D., Respondent, et al., Defendant.

MAPLE MEDICAL LLP, Appellant, v NINA SUNDARAM, M.D., Respondent, et al., Defendant.

MAPLE MEDICAL LLP, Appellant, v MARIO MUTIC, M.D., Respondent, et al., Defendant.

MAPLE MEDICAL LLP, Appellant, v LISA H. YOUKELES, M.D., Respondent, et al., Defendant.

Argued April 20, 2022; decided May 19, 2022

SUMMARY

APPEAL, in the first above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered November 5, 2020. The Appellate Division affirmed an order of the Supreme Court, Columbia County (Henry F. Zwack, J.; op 65 Misc 3d 1205[A], 2019 NY Slip Op 51508[U] [2019]), which had (1) granted defendant's motion to dismiss the complaint; (2) dismissed the complaint; and (3) ordered that defendant was entitled to \$412,418.93 arising from the sale and demutualization of Medical Liability Mutual Insurance Company.

APPEAL, in the second above-entitled action, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered June 18, 2020. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Saratoga County (Ann C. Crowell, J.; op 64 Misc 3d 1215[A], 2019 NY Slip Op 51176[U] [2019]), which had (a) denied plaintiff's motion for summary judgment; (b) granted defendant's cross motion for summary judgment; and (c) declared that defendant was entitled to the

\$74,747.03 cash consideration from Medical Liability Mutual Insurance Company's demutualization plus the interest accrued while the proceeds were in escrow; (2) denied defendant's cross motion; (3) granted plaintiff's motion; and (4) declared that plaintiff was solely entitled to the \$74,747.03 cash consideration from Medical Liability Mutual Insurance Company's demutualization, plus interest for the time the proceeds were in escrow, and that defendant's claim thereto was invalid.

APPEAL, in the third above-entitled action, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered December 9, 2020. The Appellate Division (1) reversed, on the law, an order and judgment (one paper) of the Supreme Court, Westchester County (Lawrence H. Ecker, J.; op 64 Misc 3d 909 [2019]), which, insofar as appealed from, had (a) denied that branch of defendant Joseph Scott's motion which was for summary judgment on his counterclaim for a judgment declaring him entitled to receive certain funds in the amount of \$128,148; (b) granted that branch of plaintiff's cross motion which was for summary judgment declaring it entitled to receive those funds; (c) dismissed the second, third, and fourth causes of action in the complaint as moot; (d) declared that plaintiff was entitled to receipt from the escrow agent the subject funds in the amount of \$128,148 plus accrued interest; and (e) dismissed the action upon compliance with the aforesaid declaration; (2) granted that branch of defendant Joseph Scott's motion which was for summary judgment on his counterclaim for a judgment declaring that he was entitled to receive certain funds in the amount of \$128,148; (3) denied that branch of plaintiff's cross motion which was for a judgment declaring that it was entitled to receive those funds; (4) remitted the matter to Supreme Court, Westchester County, for entry of a judgment declaring that defendant Joseph Scott was entitled to receive the subject funds in the principal amount of \$128,148 and directing the release of the funds to that defendant 30 days after service of the opinion and order with notice of entry, provided that in the event plaintiff timely moves for leave to appeal to the Court of Appeals, the funds shall remain in escrow pending a determination of such motion and, if such motion is granted, pending a determination of that appeal. The following question was certified by the Appellate Division: "Was the decision and order of this Court dated December 9, 2020, properly made?"

APPEAL, in the fourth above-entitled action, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered December 9, 2020. The Appellate Division (1) reversed, on the law, an order and judgment (one paper) of the Supreme Court, Westchester County (Lawrence H. Ecker, J.; op 64 Misc 3d 1213[A], 2019 NY Slip Op 51128[U] [2019]), which, insofar as appealed from, had (a) denied that branch of defendant Diana Goldenberg's motion which was for summary judgment on her counterclaim for a judgment declaring her entitled to receive certain funds in the amount of \$130,833.79; (b) granted that branch of plaintiff's cross motion which was for summary judgment declaring it entitled to receive those funds; (c) dismissed the second, third, and fourth causes of action in the complaint as moot; (d) declared that plaintiff was entitled to receipt from the escrow agent the subject funds in the amount of \$130,833.79 plus accrued interest; and (e) dismissed the action upon compliance with the aforesaid declaration; (2) granted that branch of defendant Diana Goldenberg's motion which was for summary judgment on her counterclaim for a judgment declaring that she was entitled to receive certain funds in the amount of \$130,833.79; (3) denied that branch of plaintiff's cross motion which was for a judgment declaring that it was entitled to receive those funds; and (4) remitted the matter to Supreme Court, Westchester County, for entry of a judgment declaring that defendant Diana Goldenberg was entitled to receive the subject funds in the principal amount of \$130,833.79 and directing the release of the funds to that defendant 30 days after service of the opinion and order with notice of entry, provided that in the event plaintiff timely moves for leave to appeal to the Court of Appeals, the funds shall remain in escrow pending a determination of such motion and, if such motion is granted, pending a determination of that appeal. The following question was certified by the Appellate Division: "Was the decision and order of this Court dated December 9, 2020, properly made?"

APPEAL, in the fifth above-entitled action, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered December 9, 2020. The Appellate Division (1) reversed, on the law, an order and judgment (one paper) of the Supreme Court, Westchester County (Lawrence H. Ecker, J.; op 64 Misc 3d 1213[A], 2019 NY Slip Op 51127[U] [2019]), which, insofar as

appealed from, had (a) granted that branch of plaintiff's motion which was for summary judgment declaring that it was entitled to receive certain funds in the amount of \$53,017.36; (b) denied that branch of defendant Diana Arevalo's cross motion which was for summary judgment on her counterclaim for a judgment declaring that she was entitled to receive those funds; (c) dismissed the second, third, and fourth causes of action in the complaint as moot; (d) declared that plaintiff was entitled to receipt from the escrow agent the subject funds in the amount of \$53,017.36 plus accrued interest; and (e) dismissed the action upon compliance with the aforesaid declaration; (2) denied that branch of plaintiff's motion which was for summary judgment declaring that it was entitled to receive certain funds in the amount of \$53,017.36; (3) granted that branch of defendant Diana Arevalo's cross motion which was for summary judgment on her counterclaim for a judgment declaring that she was entitled to receive those funds; and (4) remitted the matter to Supreme Court, Westchester County, for entry of a judgment declaring that defendant Diana Arevalo was entitled to receive the subject funds in the principal amount of \$53,017.36 and directing the release of the funds to that defendant 30 days after service of the opinion and order with notice of entry, provided that in the event plaintiff timely moves for leave to appeal to the Court of Appeals, the funds shall remain in escrow pending a determination of such motion and, if such motion is granted, pending a determination of that appeal. The following question was certified by the Appellate Division: "Was the decision and order of this Court dated December 9, 2020, properly made?"

APPEAL, in the sixth above-entitled action, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered December 9, 2020. The Appellate Division (1) reversed, on the law, an order and judgment (one paper) of the Supreme Court, Westchester County (Lawrence H. Ecker, J.; op 64 Misc 3d 1213[A], 2019 NY Slip Op 51130[U] [2019]), which, insofar as appealed from, had (a) denied that branch of defendant Nina Sundaram's motion which was for summary judgment on her counterclaim for a judgment declaring her entitled to receive certain funds in the amount of \$67,212; (b) granted that branch of plaintiff's cross motion which was for summary judgment declaring it entitled to receive those funds; (c) dismissed the second, third, and fourth causes of action in the complaint as

moot; (d) declared that plaintiff was entitled to receipt from the escrow agent the subject funds in the amount of \$67,212 plus accrued interest; and (e) dismissed the action upon compliance with the aforesaid declaration; (2) granted that branch of defendant Nina Sundaram's motion which was for summary judgment on her counterclaim for a judgment declaring that she was entitled to receive certain funds in the amount of \$67,212; (3) denied that branch of plaintiff's cross motion which was for a judgment declaring that it was entitled to receive those funds; and (4) remitted the matter to Supreme Court, Westchester County, for entry of a judgment declaring that defendant Nina Sundaram was entitled to receive the subject funds in the principal amount of \$67,212 and directing the release of the funds to that defendant 30 days after service of the opinion and order with notice of entry, provided that in the event plaintiff timely moves for leave to appeal to the Court of Appeals, the funds shall remain in escrow pending a determination of such motion and, if such motion is granted, pending a determination of that appeal. The following question was certified by the Appellate Division: "Was the decision and order of this Court dated December 9, 2020, properly made?"

APPEAL, in the seventh above-entitled action, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered December 9, 2020. The Appellate Division (1) reversed, on the law, an order and judgment (one paper) of the Supreme Court, Westchester County (Lawrence H. Ecker, J.; op 64 Misc 3d 1213[A], 2019 NY Slip Op 51129[U] [2019]), which, insofar as appealed from, had (a) granted that branch of plaintiff's motion which was for summary judgment declaring that it was entitled to receive certain funds in the amount of \$52,000; (b) denied that branch of defendant Mario Mutic's cross motion which was for summary judgment on his counterclaim for a judgment declaring that he was entitled to receive those funds; (c) dismissed the second, third, and fourth causes of action in the complaint as moot; (d) declared that plaintiff was entitled to receipt from the escrow agent the subject funds in the amount of \$52,000 plus accrued interest; and (e) dismissed the action upon compliance with the aforesaid declaration; (2) denied that branch of plaintiff's motion which was for summary judgment declaring that it was entitled to receive certain funds in the amount of \$52,000; (3) granted that branch of defendant Mario Mutic's cross motion which was for summary

judgment on his counterclaim for a judgment declaring that he was entitled to receive those funds; and (4) remitted the matter to Supreme Court, Westchester County, for entry of a judgment declaring that defendant Mario Mutic was entitled to receive the subject funds in the principal amount of \$52,000 and directing the release of the funds to that defendant 30 days after service of the opinion and order with notice of entry, provided that in the event plaintiff timely moves for leave to appeal to the Court of Appeals, the funds shall remain in escrow pending a determination of such motion and, if such motion is granted, pending a determination of that appeal. The following question was certified by the Appellate Division: "Was the decision and order of this Court dated December 9, 2020, properly made?"

APPEAL, in the eighth above-entitled action, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered December 9, 2020. The Appellate Division (1) reversed, on the law, an order and judgment (one paper) of the Supreme Court, Westchester County (Lawrence H. Ecker, J.; op 64 Misc 3d 1213[A], 2019 NY Slip Op 51131[U] [2019]), which, insofar as appealed from, had (a) granted that branch of plaintiff's motion which was for summary judgment declaring that it was entitled to receive certain funds in the amount of \$20,000; (b) denied that branch of defendant Lisa H. Youkeles's cross motion which was for summary judgment on her counterclaim for a judgment declaring that she was entitled to receive those funds; (c) dismissed the second, third, and fourth causes of action in the complaint as moot; (d) declared that plaintiff was entitled to receipt from the escrow agent the subject funds in the amount of \$20,000 plus accrued interest; and (e) dismissed the action upon compliance with the aforesaid declaration; (2) denied that branch of plaintiff's motion which was for summary judgment declaring that it was entitled to receive certain funds in the amount of \$20,000; (3) granted that branch of defendant Lisa H. Youkeles's cross motion which was for summary judgment on her counterclaim for a judgment declaring that she was entitled to receive those funds; and (4) remitted the matter to Supreme Court, Westchester County, for entry of a judgment declaring that defendant Lisa H. Youkeles was entitled to receive the subject funds in the principal amount of \$20,000 and directing the release of the funds to that defendant 30 days after service of the opinion and order with notice

of entry, provided that in the event plaintiff timely moves for leave to appeal to the Court of Appeals, the funds shall remain in escrow pending a determination of such motion and, if such motion is granted, pending a determination of that appeal. The following question was certified by the Appellate Division: “Was the decision and order of this Court dated December 9, 2020, properly made?”

Columbia Mem. Hosp. v Hinds, 188 AD3d 1337, affirmed.

Schoch v Lake Champlain OB-GYN, P.C., 184 AD3d 338, affirmed.

Maple Med., LLP v Scott, 191 AD3d 81, affirmed.

Maple Med., LLP v Goldenberg, 189 AD3d 1018, affirmed.

Maple Med., LLP v Arevalo, 189 AD3d 1017, affirmed.

Maple Med., LLP v Sundaram, 189 AD3d 1019, affirmed.

Maple Med., LLP v Mutic, 189 AD3d 1019, affirmed.

Maple Med., LLP v Youkeles, 189 AD3d 1020, affirmed.

HEADNOTES

Insurance — Liability Insurance — Distribution of Cash Consideration from Demutualization of Professional Liability Insurance Company

1. When an employer pays premiums to a mutual insurance company to obtain a policy of which its employee is the policyholder, and the insurance company demutualizes, absent contrary terms in the contract of employment, insurance policy, or separate agreement, the policyholder is entitled to the proceeds from the demutualization. Accordingly, in eight actions arising out of the demutualization of an insurance company to which medical practices/employers paid premiums for professional liability insurance policies covering their medical professionals/employees, who were the sole named policyholders for their respective policies, the employees were legally entitled to the cash consideration resulting from the demutualization. Insurance Law § 7307 provides that the “policyholder” is entitled to cash consideration when a mutual insurance company demutualizes (Insurance Law § 7307 [e] [3]). It was undisputed that each medical professional/employee was the sole named policyholder of a professional liability insurance policy issued by the insurer. Further, no contract of employment, insurance policy language, or separate agreement in any of the cases purported to assign the employee/policyholder’s rights in the demutualization consideration to anyone. The premiums paid by the medical practices/employers paid for the cost of insurance coverage, not for an ownership interest in the insurance company. Further, a policyholder’s designation of their employer as a policy administrator does not convert the employer into a policyholder or member; it merely authorizes the employer to undertake various tasks on behalf of the employee policyholder.

Insurance — Liability Insurance — Distribution of Cash Consideration from Demutualization of Professional Liability Insurance Company — Unjust Enrichment

2. In eight actions involving disputes over entitlement to cash consideration resulting from the demutualization of an insurance company, the medical

professionals/employees covered by the professional liability insurance policies paid for by their medical practices/employers were not unjustly enriched by receiving the cash consideration to which they were entitled under the Insurance Law. The employees had lost something valuable as a direct result of the demutualization: their ownership interests as members of the insurance company. The Insurance Law's mandate that policyholders be compensated for their loss of membership interests demonstrates that the legislature considered an ownership interest to have value, even if such value had not yet been monetized prior to the demutualization. Although the employers paid the policy premiums for each of their employees, those premiums paid for the cost of professional liability insurance coverage; the ownership interest the employees had in the company was incident to the corporate structure of mutual insurance companies. The employers did not pay the insurance premiums gratuitously; they paid the premiums on the employees' behalf because they were contractually obligated to do so by the employment agreements that they negotiated, and the employers received the full benefit of those agreements since they received the services of the employees and the residual benefits of their staff being insured. The medical practices/employers could have written agreements assigning the demutualization benefits to themselves had they so chosen and their failure to do so did not render the outcome inequitable.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Insurance § 69.

COUCH ON INSURANCE (3d ed) §§ 39:43–39:45.

McKINNEY'S, Insurance Law § 7307.

NY JUR 2d Insurance §§ 320, 526.

ANNOTATION REFERENCE

See ALR Index under Insurance.

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POINTS OF COUNSEL

Garfunkel Wild, P.C., Great Neck (Andrew L. Zwerling and Jason Hsi of counsel), for appellant in the first above-entitled action. I. Insurance Law § 7307 expressly limits receipt of the cash consideration to those who paid the premiums. (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55; *Colon v Martin*, 35 NY3d 75; *People v Marquan M.*, 24 NY3d 1; *Lynch v City of New York*, 35 NY3d

517; *Matter of Anonymous v Molik*, 32 NY3d 30; *Matter of New York State Land Tit. Assn., Inc. v New York State Dept. of Fin. Servs.*, 169 AD3d 18; *Matter of Diegelman v City of Buffalo*, 28 NY3d 231; *People ex rel. Cornell Steamboat Co. v Dederick*, 161 NY 195; *Matter of Schmidt v Roberts*, 74 NY2d 513.) II. Regardless of which party is entitled to receive the Medical Liability Mutual Insurance Company funds under Insurance Law § 7307, Columbia Memorial Hospital's equitable claims survive. (*Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854; *Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451; *Simonds v Simonds*, 45 NY2d 233; *Sharp v Kosmalski*, 40 NY2d 119; *Robert M. Schneider, M.D., P.C. v Licciardi*, 65 Misc 3d 254.) III. Columbia Memorial Hospital maintains a viable claim for unjust enrichment because it paid the premiums and was the de facto owner of the policy. (*Paramount Film Distrib. Corp. v State of New York*, 30 NY2d 415; *Mandarin Trading Ltd. v Wildenstein*, 16 NY3d 173; *Simonds v Simonds*, 45 NY2d 233; *Robert M. Schneider, M.D., P.C. v Licciardi*, 65 Misc 3d 254; *Hornett v Leather*, 145 AD2d 814; *State of New York v Barclays Bank of N.Y.*, 76 NY2d 533; *Shah v Exxis, Inc.*, 138 AD3d 970; *Mobarak v Mowad*, 117 AD3d 998; *McGrath v Hilding*, 41 NY2d 625; *New York City Health & Hosps. Corp. v WellCare of N.Y., Inc.*, 35 Misc 3d 250.)

Weiss Zarett Brofman Sonnenklar & Levy, P.C., New Hyde Park (Seth A. Nadel of counsel), for respondent in the first above-entitled action. I. Only policyholders in a mutual insurance company are entitled to demutualization proceeds as a matter of law. (*Dorrance v United States*, 809 F3d 479.) II. The Insurance Law vests Columbia Memorial Hospital with no right to demutualization proceeds. (*Lubov v Welikson*, 21 Misc 3d 896; *People ex rel. McCurdy v Warden, Westchester County Corr. Facility*, 36 NY3d 251; *Matter of McNerney v City of Geneva*, 290 NY 505; *Matter of New York County Lawyers' Assn. v Bloomberg*, 19 NY3d 712; *Bank of New York v Janowick*, 470 F3d 264.) III. Columbia Memorial Hospital cannot use equity to circumvent the law governing Medical Liability Mutual Insurance Company's demutualization. (*Matter of Sutka v Conners*, 73 NY2d 395; *Matter of McNerney v City of Geneva*, 290 NY 505; *Niesig v Team I*, 76 NY2d 363; *Bordell v General Elec. Co.*, 208 AD2d 219; *Tompkins v Hunter*, 149 NY 117; *Guidry v Sheet Metal Workers Nat. Pension Fund*, 493 US 365; *Hughes Aircraft Co. v Jacobson*, 525 US 432; *National Railroad Passenger Corporation v National Assn. of Railroad Passengers*, 414 US 453; *Paramount Film Distrib. Corp. v State of New York*, 30 NY2d 415.)

Dreyer Boyajian LLP, Albany (*James R. Peluso* and *Joshua R. Friedman* of counsel), for appellant in the second above-entitled action. I. The lower court failed to interpret Insurance Law § 7307 in accordance with well-established and codified rules of statutory interpretation and construction. (*Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *People ex rel. Prieston v Nassau County Sheriff's Dept.*, 34 NY3d 177; *Matter of Marian T. [Lauren R.]*, 36 NY3d 44; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Weinberg v D-M Rest. Corp.*, 53 NY2d 499; *Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382.) II. Lake Champlain OB-GYN, P.C. is a "policyholder" under a proper interpretation of Insurance Law § 7307 (e) (3) and is therefore entitled to share in the cash consideration in an amount determined by reference to the premiums it paid to insurer. (*Matter of Mental Hygiene Legal Serv. v Sullivan*, 32 NY3d 652; *Catlin v Sobol*, 77 NY2d 552; *Pierre v Providence Washington Ins. Co.*, 99 NY2d 222; *Matter of Albany Law School v New York State Off. of Mental Retardation & Dev. Disabilities*, 19 NY3d 106; *People v Mobil Oil Corp.*, 48 NY2d 192; *Matter of Lezette v Board of Educ., Hudson City School Dist.*, 35 NY2d 272; *City of New York v New York City Ry. Co.*, 193 NY 543; *Town of Amherst v County of Erie*, 236 App Div 58.) III. The Third Department erred in holding that payment of the cash consideration to Ms. Schoch would not result in her unjust enrichment. (*Mandarin Trading Ltd. v Wildenstein*, 16 NY3d 173; *Simonds v Simonds*, 45 NY2d 233; *Castellotti v Free*, 138 AD3d 198; *Matter of Schaffer, Schonholz & Drossman, LLP v Title*, 171 AD3d 465; *Ruocco v Bateman, Eichler, Hill, Richards, Inc.*, 903 F2d 1232; *Mell v Anthem, Inc.*, 688 F3d 280.)

Nolan Heller Kauffman LLP, Albany (*Justin A. Heller* and *Brendan J. Carosi* of counsel), for respondent in the second above-entitled action. I. The Court below correctly relied on the plan of conversion in holding that Ms. Schoch was legally entitled to the cash consideration under Insurance Law § 7307. (*Matter of Allstate Ins. Co. v Sullivan*, 230 AD2d 732; *Utica Fire Ins. Co. of Oneida County v Gozdziaik*, 198 AD2d 775; *Rhine v New York Life Ins. Co.*, 248 App Div 120; *East Riv. Sav. Bank v 245 Broadway Corp.*, 284 NY 470; *Taylor v Davis' Administratrix*, 110 US 330; *Ryan v City of New York*, 177 NY 271; *Faith Assembly v Titledge of N.Y. Abstract, LLC*, 106 AD3d 47; *Banditree, Inc. v Calpo, Inc.*, 146 AD2d 74; *Maple-Gate Anesthesiologists, P.C. v Nasrin*, 182 AD3d 984.) II. Appellant impermissibly attempts to collaterally attack the New York State

Department of Financial Services decision approving the plan. (*Fiala v Metropolitan Life Ins. Co.*, 6 AD3d 320; *Chatlos v MONY Life Ins. Co.*, 298 AD2d 316; *ABN AMRO Bank, N.V. v MBIA Inc.*, 17 NY3d 208; *Brawer v Johnson*, 231 AD2d 664; *Maple-Gate Anesthesiologists, P.C. v Nasrin*, 63 Misc 3d 703.) III. Appellant's argument respecting Insurance Law § 501 was not raised below and, in any event, fails as a matter of law and fact. (*Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Telaro v Telaro*, 25 NY2d 433; *Matter of Mental Hygiene Legal Serv. v Sullivan*, 32 NY3d 652; *Matter of Keane [Bethlehem Steel Co.—Lubin]*, 2 AD2d 148, 6 NY2d 910; *Michaels v Chemical Bank*, 110 Misc 2d 74; *People v Muhleman*, 183 Misc 979.) IV. Appellant is improperly attempting to rewrite the Insurance Law to permit group malpractice policies. V. As Ms. Schoch's policy administrator, appellant had limited rights respecting her policy—none of which entitled it to the cash consideration. (*Menin v New York Life Ins. Co.*, 188 Misc 870.) VI. The Third Department correctly held that Ms. Schoch would not be unjustly enriched by receiving the cash consideration. (*E.J. Brooks Co. v Cambridge Sec. Seals*, 31 NY3d 441; *Goel v Ramachandran*, 111 AD3d 783; *Clark v Daby*, 300 AD2d 732, 100 NY2d 503; *Clifford R. Gray, Inc. v LeChase Constr. Servs., LLC*, 31 AD3d 983; *Smith v Chase Manhattan Bank, USA*, 293 AD2d 598; *A & A Assoc. v Olympic Plumbing & Heating Corp.*, 306 AD2d 296, 1 NY3d 503; *Simonds v Simonds*, 45 NY2d 233; *CDR Créances S.A. v Euro-American Lodging Corp.*, 40 AD3d 421; *Fruchthandler v Green*, 233 AD2d 214; *Paramount Film Distrib. Corp. v State of New York*, 30 NY2d 415.)

Finger & Finger, White Plains (Carl L. Finger of counsel), for appellant in the third through eighth above-entitled actions. I. Insurance Law § 7307 is not by itself dispositive of which party is entitled to keep the demutualization cash consideration. (*Lynch v City of New York*, 35 NY3d 517; *Simonds v Simonds*, 45 NY2d 233.) II. The Second Department incorrectly decided that the physician/employee could not be unjustly enriched by the demutualization proceeds. (*Mandarin Trading Ltd. v Wildenstein*, 16 NY3d 173; *Paramount Film Distrib. Corp. v State of New York*, 30 NY2d 415; *Alan B. Greenfield, M.D., P.C. v Long Beach Imaging Holdings, LLC*, 114 AD3d 888; *Matter of Schaffer, Schonholz & Drossman, LLP v Title*, 171 AD3d 465; *State of New York v Barclays Bank of N.Y.*, 76 NY2d 533; *Shah v Exxis, Inc.*, 138 AD3d 970; *Mobarak v Mowad*, 117 AD3d 998; *Ruocco v Bateman, Eichler, Hill, Richards, Inc.*, 903 F2d 1232.)

Nolan Heller Kauffman LLP, Albany (*Justin A. Heller* and *Brendan J. Carosi* of counsel), for respondents in the third through eighth above-entitled actions. I. The Court below correctly held that respondents were legally entitled to the cash consideration under Insurance Law § 7307, the plan, and the Department of Financial Services decision. (*Matter of Allstate Ins. Co. v Sullivan*, 230 AD2d 732; *Utica Fire Ins. Co. of Oneida County v Gozdziaik*, 198 AD2d 775; *Rhine v New York Life Ins. Co.*, 248 App Div 120; *Maple-Gate Anesthesiologists, P.C. v Nasrin*, 182 AD3d 984; *Menin v New York Life Ins. Co.*, 188 Misc 870.) II. Appellant's mischaracterization of Insurance Law § 7307 (e) (3) has no basis in the plan, was rejected by the Department of Financial Services, and constitutes an impermissible collateral attack. (*Fiala v Metropolitan Life Ins. Co.*, 6 AD3d 320; *Chatlos v MONY Life Ins. Co.*, 298 AD2d 316; *ABN AMRO Bank, N.V. v MBIA Inc.*, 17 NY3d 208.) III. Appellant is improperly attempting to rewrite the Insurance Law to permit group malpractice policies. IV. The Second Department correctly held that respondents would not be unjustly enriched by receiving the cash consideration. (*E.J. Brooks Co. v Cambridge Sec. Seals*, 31 NY3d 441; *Brawer v Johnson*, 231 AD2d 664; *Goel v Ramachandran*, 111 AD3d 783; *Smith v Chase Manhattan Bank, USA*, 293 AD2d 598; *Clark v Daby*, 300 AD2d 732; *Clifford R. Gray, Inc. v LeChase Constr. Servs., LLC*, 31 AD3d 983; *A & A Assoc. v Olympic Plumbing & Heating Corp.*, 306 AD2d 296, 1 NY3d 503; *CDR Créances S.A. v Euro-American Lodging Corp.*, 40 AD3d 421; *State of New York v Barclays Bank of N.Y.*, 76 NY2d 533; *Simonds v Simonds*, 45 NY2d 233.)

Cohen & Gresser LLP, New York City (*Elizabeth F. Bernhardt* and *Karen H. Bromberg* of counsel) and Washington, D.C. (*Ronald F. Wick* of the District of Columbia bar, admitted pro hac vice, of counsel), and *Foley Hoag LLP*, New York City (*Peter A. Sullivan* of counsel), for James D. Sullivan, M.D. and others, amici curiae in all of the above-entitled actions. I. The notice and voting provisions of the Insurance Law prove that the legislature intended the policyholders—and no one else—to benefit from the demutualization of a casualty insurance company. II. Where policyholders chose, bargained for, and administered their Medical Liability Mutual Insurance Company policies, and voted in favor of demutualization in reliance on Medical Liability Mutual Insurance Company's promises and on their statutory rights, the policyholders have an equitable claim to compensation. III. *Matter of Schaffer, Schonholz & Drossman, LLP v Title* (171 AD3d 465 [2019]),

finding unjust enrichment, should be limited to its facts or overruled. (*Corsello v Verizon N.Y., Inc.*, 18 NY3d 777; *Georgia Malone & Co., Inc. v Rieder*, 19 NY3d 511; *Connaughton v Chipotle Mexican Grill, Inc.*, 135 AD3d 535, 29 NY3d 137.)

Siri & Glimstad LLP, New York City (*Mason A. Barney* and *Sonal Jain* of counsel), for Wyckoff Heights Medical Center, amicus curiae in all of the above-entitled actions. I. The Court should hold that under Insurance Law § 7307, the party who paid for the insurance policies is entitled to the cash consideration. (*Dorrance v United States*, 809 F3d 479; *Zwarycz v Marnia Constr., Inc.*, 130 AD3d 922; *Matter of Shannon*, 25 NY3d 345.) II. This Court must find that regardless of the provisions of Insurance Law, the medical practices' unjust enrichment claims survive. III. The concurring courts failed to recognize the difference between legal title and beneficial ownership, and that there were other ways in which the ownership interests were assigned or transferred through the Medical Liability Mutual Insurance Company forms.

Hinman Straub P.C., Albany (*David T. Luntz* and *David B. Morgen* of counsel), for The Brooklyn Hospital Center and others, amici curiae in all of the above-entitled actions. I. Insurance Law § 7307 requires equitable distribution of cash consideration. (*Gevorkyan v Judelson*, 29 NY3d 452; *Matter of Cassano v Cassano*, 85 NY2d 649; *Matter of Schwarz v New York State Educ. Dept.*, 88 AD2d 1082; *Beha v Weinstock*, 247 NY 221; *Matter of New York City Asbestos Litig. [Brooklyn Nav. Shipyard Cases]*, 188 AD2d 214, 82 NY2d 821.) II. Even if the Appellate Division's interpretation of the statute is correct, it would produce unjust enrichment. (*Paramount Film Distrib. Corp. v State of New York*, 30 NY2d 415; *Markwica v Davis*, 64 NY2d 38; *Pollock v Castrovinci*, 476 F Supp 606; *Matter of Schaffer, Schonholz & Drossman, LLP v Title*, 171 AD3d 465.)

Hancock Estabrook, LLP, Syracuse (*Alan J. Pierce* and *Janet D. Callahan* of counsel), for Regional Medical Practice, P.C. and others, amici curiae in all of the above-entitled actions. I. Under Insurance Law § 7307 (e) (3), employers are entitled to the Medical Liability Mutual Insurance Company proceeds. (*Maple-Gate Anesthesiologists, P.C. v Nasrin*, 182 AD3d 984; *Matter of Oneida Health Sys., Inc. [Qalla]*, 201 AD3d 1222; *People v Viviani*, 36 NY3d 564; *Pajak v Pajak*, 56 NY2d 394; *Matter of Estate of Youngjohn v Berry Plastics Corp.*, 36 NY3d 595; *Town of Aurora v Village of E. Aurora*, 32 NY3d 366; *Mat-*

ter of New York County Lawyers' Assn. v Bloomberg, 19 NY3d 712; *Matter of Raynor v Landmark Chrysler*, 18 NY3d 48; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577.)

II. Payment of all of the demutualization proceeds to the employees would result in their unjust enrichment. (*Matter of Schaffer, Schonholz & Drossman, LLP v Title*, 171 AD3d 465; *Mandarin Trading Ltd. v Wildenstein*, 16 NY3d 173; *Paramount Film Distrib. Corp. v State of New York*, 30 NY2d 415; *Simonds v Simonds*, 45 NY2d 233; *Sharp v Kosmalski*, 40 NY2d 119; *Ruocco v Bateman, Eichler, Hill, Richards, Inc.*, 903 F2d 1232, 498 US 899.)

OPINION OF THE COURT

WILSON, J.

Medical Liability Mutual Insurance Company (MLMIC), formerly a mutual insurance company, issued professional liability insurance policies to the eight medical professionals who are litigants in the eight cases before us on these appeals. The premiums for those policies were paid by their employers. In October 2018, MLMIC demutualized and was acquired by National Indemnity Company. Pursuant to its “Plan of Conversion”—approved by the New York State Department of Financial Services—MLMIC sought to distribute \$2.502 billion in cash consideration to “Eligible Policyholders.”

The question presented is as follows: when an employer pays premiums to a mutual insurance company to obtain a policy for its employee, and the insurance company demutualizes, who is entitled to the proceeds from demutualization: the employer or the employee? We answer that, absent contrary terms in the contract of employment, insurance policy, or separate agreement, the employee, who is the policyholder, is entitled to the proceeds.

I.

A.

MLMIC was a mutual insurance company, which means that it was “organized, maintained and operated for the benefit of its members”—and “[e]very policyholder [was] a member of” MLMIC (Insurance Law § 1211 [a]). National Indemnity Company (NICO), a member of the Berkshire Hathaway Group, sought to buy MLMIC in exchange for \$2.502 billion in cash consideration. On June 15, 2018, MLMIC submitted a “Plan of Conversion” (Plan) to the New York State Department of Financial Services (DFS) seeking to convert from a mutual in-

insurance company owned by its members to a stock insurance company. According to the Plan, the cash consideration was to be distributed to “Eligible Policyholders,” defined, consistent with the Insurance Law, as “each person who had a policy ‘in effect’ during the three-year period preceding the MLMIC Board’s adoption of the resolution” to convert, which would result in MLMIC becoming a wholly owned subsidiary of NICO.

On September 6, 2018, DFS approved both MLMIC’s demutualization and NICO’s acquisition subject to approval by a policyholder vote. DFS noted that, at the public hearing, different medical employers “contend[ed] that the cash consideration should be paid to them in the circumstances where they paid the premiums on behalf of policyholders and/or acted as policy administrators.” In particular, “[o]ne commenter referred to the provision of Insurance Law § 7307 (e) stating that[,] in calculating such person’s equitable share[,] one must factor in the amount ‘such policyholder has properly and timely paid to the insurer’ ” on the insurance policy and “suggested that this means that the person that paid the premium is automatically entitled to the proceeds of the sale” (emphasis omitted). DFS rejected that interpretation because “the same provision refers to the ‘policyholder,’ which might or might not be the person who paid the premiums.” One week later, two thirds of the policyholders approved the plan. On October 1, 2018, MLMIC and NICO closed both the demutualization and acquisition deal.

In the Plan approved by DFS, MLMIC established an objection and escrow procedure. According to the objection procedure, a “Designee”—defined to include “Policy Administrators . . . to the extent designated by Eligible Policyholders to receive the portion of Cash Consideration allocated to such Eligible Policyholders,” with “Policy Administrator” defined as “a Person designated on the declarations page of the applicable Policy or otherwise as the administrator of the Policy on behalf of the applicable Policyholder”—could object to the distribution of the cash consideration to the policyholder if it believed that it, rather than the policyholder, was entitled to receive the distribution. Upon a timely objection, the money would be placed in escrow pending the agreement of the parties or the outcome of an adversarial proceeding. On January 14, 2019, DFS issued an order related to cash consideration remaining in escrow, which provided that if MLMIC received timely notice that an employer and employee were in a dispute resolution process or

litigation about the cash consideration, MLMIC would continue to hold the funds in escrow.

B.

The eight cases before us on these appeals have slight differences but share the facts that are necessary for resolving the legal question before us. The facts of each case have been detailed extensively by Supreme Court¹ and the Appellate Division,² so we only summarize them here.

In each case, a medical professional/employee was the sole named policyholder of a professional liability insurance policy issued by MLMIC. In each case, the medical practice/employer had included the provision of such insurance coverage as a term of employment in each employee's employment agreement; had, in most of the cases, been designated by its employee as the policy administrator³ and had handled the administrative logistics of the policy, including receiving dividends and paying policy premiums; and, after the demutualization, had asserted that it, and not its employee, was entitled to the cash consideration that MLMIC allocated to each medical professional/employee despite the absence of an assignment of the cash consideration to the employers.

Supreme Court found that Marcel Hinds, employed as an OB/GYN physician by Columbia Memorial Hospital, was entitled to the cash consideration and granted Dr. Hinds's motion to dismiss the hospital's action against him seeking to es-

1. *Columbia Mem. Hosp. v Hinds*, 65 Misc 3d 1205(A), 2019 NY Slip Op 51508(U) (Sup Ct, Columbia County 2019); *Schoch v Lake Champlain OB-GYN, P.C.*, 64 Misc 3d 1215(A), 2019 NY Slip Op 51176(U) (Sup Ct, Saratoga County 2019); *Maple Med. LLP v Scott*, 64 Misc 3d 909 (Sup Ct, Westchester County 2019); *Maple Med. LLP v Goldenberg*, 64 Misc 3d 1213(A), 2019 NY Slip Op 51128(U) (Sup Ct, Westchester County 2019); *Maple Med. LLP v Arevalo*, 64 Misc 3d 1213(A), 2019 NY Slip Op 51127(U) (Sup Ct, Westchester County 2019); *Maple Med. LLP v Sundaram*, 64 Misc 3d 1213(A), 2019 NY Slip Op 51130(U) (Sup Ct, Westchester County 2019); *Maple Med. LLP v Mutic*, 64 Misc 3d 1213(A), 2019 NY Slip Op 51129(U) (Sup Ct, Westchester County 2019); *Maple Med. LLP v Youkeles*, 64 Misc 3d 1213(A), 2019 NY Slip Op 51131(U) (Sup Ct, Westchester County 2019).

2. *Columbia Mem. Hosp. v Hinds*, 188 AD3d 1337 (3d Dept 2020); *Schoch v Lake Champlain OB-GYN, P.C.*, 184 AD3d 338, 345 (3d Dept 2020); *Maple Med., LLP v Scott*, 191 AD3d 81 (2d Dept 2020); *Maple Med., LLP v Goldenberg*, 189 AD3d 1018 (2d Dept 2020); *Maple Med., LLP v Arevalo*, 189 AD3d 1017 (2d Dept 2020); *Maple Med., LLP v Sundaram*, 189 AD3d 1019 (2d Dept 2020); *Maple Med., LLP v Mutic*, 189 AD3d 1019 (2d Dept 2020); *Maple Med., LLP v Youkeles*, 189 AD3d 1020 (2d Dept 2020).

3. Mutic and Youkeles did not (*Scott*, 191 AD3d at 84).

tablish its entitlement to the funds (65 Misc 3d 1205[A], 2019 NY Slip Op 51508[U] [Sup Ct, Columbia County 2019]). Central to the court’s analysis was that Insurance Law § 7307 “repeatedly refers to those eligible for cash consideration as the ‘policyholder,’ ” that Dr. Hinds was “clearly the policyholder” while Columbia was the policy administrator, and that Dr. Hinds had not signed any agreement assigning his portion of the cash consideration to Columbia (2019 NY Slip Op 51508[U], *4).

Unlike Columbia Memorial Hospital, the other two medical practices/employers—Lake Champlain OB-GYN, P.C., and Maple Medical LLP—prevailed before Supreme Court. Supreme Court denied Ms. Schoch’s motion for summary judgment in her action seeking a declaration that she was solely entitled to the cash consideration and granted Lake Champlain’s cross motion for summary judgment (64 Misc 3d 1215[A], 2019 NY Slip Op 51176[U] [Sup Ct, Saratoga County 2019]). The court relied exclusively on a First Department case, *Matter of Schaffer, Schonholz & Drossman, LLP v Title* (171 AD3d 465 [1st Dept 2019]), which held that an employer that paid the insurance policy premiums, rather than the employee who was the named policyholder, was entitled to the cash consideration resulting from MLMIC’s demutualization on a theory of unjust enrichment.⁴ Similarly, Supreme Court granted summary judgment to Maple Medical in its actions against six medical professionals/employees, holding that it was entitled to the MLMIC consideration, on the ground that *Schaffer* was “dispositive of the issues raised in this matter” and that the court was bound to follow it under the doctrine of stare decisis (64 Misc 3d 909, 911 [Sup Ct, Westchester County 2019]).

Before the Appellate Division, however, all the medical professionals/employees prevailed. In *Columbia Mem. Hosp. v Hinds*, the Appellate Division affirmed Supreme Court’s order granting Dr. Hinds’s motion to dismiss (188 AD3d 1337 [3d Dept 2020]). Citing Insurance Law § 7307, the Court held that “entitlement to the MLMIC funds is not contingent on who paid the premiums for the subject policy. Rather, the sole policyholder, here, [Dr. Hinds], is entitled to receive said funds

4. *Schaffer* was an expedited proceeding submitted directly to the First Department as a court of first impression on stipulated facts pursuant to CPLR 3222. The parties did not brief or argue the applicable legal framework discussed in this opinion before the First Department.

unless he or she executed an assignment of such rights to third party” (*id.* at 1338).

In *Schoch v Lake Champlain OB-GYN, P.C.*, the Appellate Division reversed, granted Ms. Schoch’s motion for summary judgment, and declared that she was entitled to the cash consideration, reasoning that because Ms. Schoch “was the named insured on the relevant MLMIC policy . . . per [Insurance Law § 7307 (e) (3)] and the conversion plan’s definitions, [Schoch] was entitled to the cash consideration” (184 AD3d 338, 342 [3d Dept 2020]). The Court also rejected Lake Champlain’s unjust enrichment argument, holding that although “the demutualization proceeds were unexpected and will be a windfall to whichever party receives them,” the “fact that one party will receive these benefits does not mean that such party has unjustly enriched itself at the other’s expense” because “[n]o factual mistake exists,” “both parties benefitted from [Lake Champlain’s] fulfillment of its contractual obligation to provide malpractice insurance and pay for the premiums,” “[n]either party changed its position based on demutualization,” and Ms. Schoch’s “conduct was neither tortious nor fraudulent” (*id.* at 346).

In the *Maple Med.* actions, the Appellate Division held that the physicians/employees were entitled to the MLMIC consideration based on “[t]he plain language of Insurance Law § 7307, the plan of conversion, and the DFS decision” (*Maple Med., LLP v Scott*, 191 AD3d 81, 92 [2d Dept 2020]; *see also Goldenberg*, 189 AD3d 1018; *Arevalo*, 189 AD3d 1017; *Sundaram*, 189 AD3d 1019; *Mutic*, 189 AD3d 1019; *Youkeles*, 189 AD3d 1020). The Court also rejected Maple Medical’s unjust enrichment claims, reasoning that “[t]he payment of the medical malpractice insurance premiums was not a gratuitous act; it was part of the bargained-for consideration for the employment services that the physicians provided to the medical group” (*Scott*, 191 AD3d at 103-104).

We granted leave in *Columbia Mem. Hosp. v Hinds* (36 NY3d 904 [2021]) and *Schoch v Lake Champlain OB-GYN, P.C.* (35 NY3d 918 [2020]). In the *Maple Med.* actions, the Appellate Division granted Maple Medical leave to appeal to our Court and certified a question as to whether the order was properly made (*Scott*, 2021 NY Slip Op 62415[U] [2d Dept 2021]; *Goldenberg*, 2021 NY Slip Op 62413[U] [2d Dept 2021]; *Arevalo*, 2021 NY Slip Op 62412[U] [2d Dept 2021]; *Sundaram*, 2021 NY Slip Op 62416[U] [2d Dept 2021]; *Mutic*, 2021 NY Slip Op

62414[U] [2d Dept 2021]; *Youkeles*, 2021 NY Slip Op 62417[U] [2d Dept 2021]).

II.

We begin and end our analysis of the medical practices/employers' claim to legal entitlement to receive the demutualization proceeds with the text of New York's Insurance Law. "When presented with a question of statutory interpretation, a court's primary consideration is to ascertain and give effect to the intention of the Legislature" (*Nadkos, Inc. v Preferred Contrs. Ins. Co. Risk Retention Group LLC*, 34 NY3d 1, 7 [2019] [internal quotation marks omitted], quoting *Matter of Lemma v Nassau County Police Officer Indem. Bd.*, 31 NY3d 523, 528 [2018]). "We have long held that 'the statutory text is the clearest indicator of legislative intent' and that a court 'should construe unambiguous language to give effect to its plain meaning' " (*id.* [alteration omitted], quoting *Matter of Daimler-Chrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006]). It is also our well-settled practice that "statutory language should be harmonized, giving effect to each component and avoiding a construction that treats a word or phrase as superfluous" (*Lemma*, 31 NY3d at 528).

MLMIC's conversion from a mutual insurance company to a stock insurance company is governed by Insurance Law § 7307 (e) (3). Section 7307 (e) (3) provides that when an insurance company demutualizes, it must create a conversion "plan" and contains several requirements for that plan, including:

"The plan shall include . . .

"[t]he manner and basis of *exchanging the equitable share of each eligible mutual policyholder for securities or other consideration*, or both, of the stock corporation into which the mutual insurer is to be converted and the disposition of any unclaimed shares. The plan shall also provide that *each person who had a policy of insurance in effect at any time during the three year period* immediately preceding the date of adoption of the resolution described in subsection (b) hereof *shall be entitled to receive in exchange for such equitable share*, without additional payment, *consideration* payable in voting common shares of the insurer or other consideration, or both" (Insurance Law § 7307 [e] [3] [emphasis added]).

Thus, by statute, when an insurance company demutualizes, it must exchange the equitable share of “each eligible mutual policyholder” for, as relevant here, consideration. That makes sense given the nature of the corporate structure of a mutual insurance company—it is owned by its policyholders and operated for their benefit:

“Every domestic mutual insurance corporation shall be organized, maintained and operated for the benefit of its members as a non-stock corporation. *Every policyholder shall be a member of such corporation* and shall, except as provided in subsection (d) hereof, be entitled to vote at any regular or special meeting of such corporation, to notice thereof pursuant to the by-laws and to share equitably in dividends declared by the board of directors” (Insurance Law § 1211 [a] [emphasis added]).⁵

[1] Insurance Law § 7307 delineates other rights exclusively held by policyholders pursuant to a demutualization. Subsection (f) provides that the mutual insurer must give prompt notice to policyholders about the demutualization plan:

“Prompt notice shall be given by the mutual insurer to all persons who become policyholders or holders of section 1307 agreements on or after the date of the adoption of the resolution described in subsection (b) hereof, of the pendency of a proposed conversion and of the effect thereof on them” (Insurance Law § 7307 [f]).

Subsection (j) provides that the demutualization plan will be adopted only if two thirds of voting policyholders approve it:

“Each such policyholder eligible to vote pursuant to subsection (i) hereof shall be entitled to such number of votes as may be provided for in the by-laws of the mutual insurer” (*id.* § 7307 [j]).

Thus, the Insurance Law mandates that policyholders be informed about and vote on the fairness of demutualization consideration, requirements that are in harmony with the Insurance Law’s mandate that the same policyholder is entitled to receive the consideration.

5. See also Edward X. Clinton, *The Rights of Policyholders in an Insurance Demutualization*, 41 Drake L Rev 657, 662 (1992) (“Cases and statutes have clearly established that the mutual policyholders are the owners of the company”).

Insurance Law § 7307 is dispositive of the legal question in these appeals: it provides that the “policyholder” is entitled to cash consideration when a mutual insurance company demutualizes (Insurance Law § 7307 [e] [3]). Here, it is undisputed that each medical professional/employee was the sole named policyholder of a professional liability insurance policy issued by MLMIC. Further, no contract of employment, insurance policy language, or separate agreement in any of the eight cases purported to assign the employee/policyholder’s rights in the demutualization consideration to anyone. Thus, the medical professionals/employees—Dr. Hinds, Ms. Schoch, Dr. Scott, Dr. Goldenberg, Dr. Arevalo, Dr. Sundaram, Dr. Mutic, and Dr. Youkeles—are legally entitled to the cash consideration.

The medical practices/employers argue that because they paid the policy premiums, they are entitled to the cash consideration, asserting that they are the “de facto” owners of the policies because they chose the policies, paid the premiums, and handled the necessary administrative tasks. That argument is not persuasive. The premiums paid for the cost of insurance coverage, not for an ownership interest in MLMIC. A policyholder’s ownership interest in a mutual insurance company is “an incident of the structure of mutual insurance policies” (*Dorrance v United States*, 809 F3d 479, 485 [9th Cir 2015]; Insurance Law § 1211 [a]), not something purchased through the payment of premiums.

Further, that the employers purchased, negotiated, or selected policies does not make them policyholders or members. A policyholder’s designation of her or his employer as a policy administrator does not convert the employer into a policyholder or member; it merely authorizes the employer to undertake various tasks on behalf of the employee policyholder. Indeed, that some of the employees/policyholders explicitly delegated to their employers the right to receive dividends on their behalf pursuant to the MLMIC policies cuts against the employers’ claim to the demutualization consideration given that, in all eight cases, the employees/policyholders refused to assign such rights to demutualization consideration to their employers, despite several of the employers repeatedly seeking such assignment.

The medical practices/employers also argue that because the employees themselves paid no premiums, their allocable shares, pursuant to Insurance Law § 7307 (e) (3), must be nothing—an absurd result they urge us to avoid. That argument is

based on the portion of Insurance Law § 7307 (e) (3) that specifies the method by which the total demutualization proceeds are to be allocated:

“The equitable share of the policyholder in the mutual insurer *shall be determined by the ratio which the net premiums* (gross premiums less return premiums and dividend paid) *such policyholder has properly and timely paid to the insurer* on insurance policies in effect during the three years immediately preceding the adoption of the resolution by the board of directors under subsection (b) hereof bears to the total net premiums received by the mutual insurer from such eligible policyholders” (Insurance Law § 7307 [e] [3][emphasis added]).

Based on this statutory language, the employers argue that because the “net premiums” their employees themselves “properly and timely paid to the insurer” is zero, the employees’ allocable share must also then be zero. The employers contend this language reflects a legislative intent to award the consideration to whomever actually paid the premiums.

We reject that argument. As the Appellate Division correctly noted, the provision of section 7307 (e) (3) on which the medical practices/employers rely merely addresses the method by which the amount of consideration is to be allocated among the members who own the mutual insurance company—the policyholders—not to whom it is payable, which the same subsection, in the immediately preceding sentence, clearly describes as “each person who had a policy of insurance in effect” (see *Schoch*, 184 AD3d 342; *Scott*, 191 AD3d at 96-97). Moreover, the employers paid the premiums on behalf of the employees and, thus, such payments are ultimately attributable to the employee for purposes of Insurance Law § 7307. Thus, in each case, the Appellate Division properly rejected the employers’ claims that they were legally entitled to the cash consideration under Insurance Law § 7307.

III.

The medical practices/employers argue that, regardless of their legal entitlement, they should nevertheless receive the cash consideration as a matter of equity because the medical professionals/employees would be unjustly enriched if they were entitled to the cash consideration. Their argument is meritless.

Unjust enrichment “lies as a quasi-contract claim” and contemplates “an obligation imposed by equity to prevent injustice, in the absence of an actual agreement between the parties” (*Georgia Malone & Co., Inc. v Rieder*, 19 NY3d 511, 516 [2012] [internal quotation marks and citation omitted]; see *IDT Corp. v Morgan Stanley Dean Witter & Co.*, 12 NY3d 132, 142 [2009]; *Goldman v Metropolitan Life Ins. Co.*, 5 NY3d 561, 572 [2005]). Unjust enrichment claims are rooted in “the equitable principle that a person shall not be allowed to enrich [themselves] unjustly at the expense of another” (*Miller v Schloss*, 218 NY 400, 407 [1916]), and “[t]he essential inquiry in any action for unjust enrichment . . . is whether it is against equity and good conscience to permit the defendant to retain what is sought to be recovered” (*Mandarin Trading Ltd. v Wildenstein*, 16 NY3d 173, 182 [2011], quoting *Paramount Film Distrib. Corp. v State of New York*, 30 NY2d 415, 421 [1972]). To recover under a theory of unjust enrichment, a litigant must show “that (1) the other party was enriched, (2) at that party’s expense, and (3) that ‘it is against equity and good conscience to permit [the other party] to retain what is sought to be recovered’” (*Mandarin Trading Ltd. v Wildenstein*, 16 NY3d 173, 182 [2011], quoting *Citibank, N.A. v Walker*, 12 AD3d 480, 481 [2d Dept 2004]). An unjust enrichment claim “is undoubtedly equitable and depends upon broad considerations of equity and justice” and, to determine if it is against equity to permit a party to retain what is sought to be recovered, courts “look to see if a benefit has been conferred on the defendant under mistake of fact or law, if the benefit still remains with the defendant, if there has been otherwise a change of position by the defendant, and whether the defendant’s conduct was tortious or fraudulent” (*Paramount Film Distrib. Corp.*, 30 NY2d at 421).

[2] Here, the employers fail on every factor. Under the first factor, the employees are not unjustly “enriched” by receiving the cash consideration. Rather, the employees should receive the cash consideration because they have lost something valuable as a direct result of the demutualization: their ownership interests as members of MLMIC. The employers’ argument rests on the unstated premise that an ownership interest in a mutual insurance company is worthless. But that premise is wrong. The Insurance Law’s mandate that policyholders be compensated for their loss of membership interests demonstrates that the legislature considered an ownership interest to

have value, even if such value had not yet been monetized prior to the demutualization (*cf. Fisher v United States*, 82 Fed Cl 780, 797-798 [2008], *affd* 333 Fed Appx 572 [Fed Cir 2009]).

Under the second factor, the employees will not receive the cash consideration “at [their employers’] expense.” Although the employers paid the policy premiums for each of their employees, those premiums, as discussed earlier, paid for the cost of professional liability insurance coverage; the ownership interest the employees had in MLMIC was incident to the corporate structure of mutual insurance companies, wholly unrelated to the payment of premiums. Moreover, “[e]nrichment alone will not suffice to invoke the remedial powers of a court of equity. Critical is that under the circumstances and as between the two parties to the transaction the enrichment be unjust” (*McGrath v Hilding*, 41 NY2d 625, 629 [1977]). Here, the employers did not pay the insurance premiums gratuitously; they paid the premiums on the employees’ behalf because they were contractually obligated to do so by the employment agreements that they negotiated, and the employers received the full benefit of those agreements since they received the services of the employees and the residual benefits of their staff being insured.

Finally, under the third factor, for the reasons described above, there is nothing inequitable about complying with the clear statutory language establishing that policyholders are the members of mutual insurance companies, which are to operate for their benefit, and should receive consideration distributed in the event of demutualization. “Typical [unjust enrichment] cases are those in which the [enriched party], though guilty of no wrongdoing, has received money to which [the enriched party] is not entitled” (*Corsello v Verizon N.Y., Inc.*, 18 NY3d 777, 790 [2012]; *see E.J. Brooks Co.*, 31 NY3d at 455). The “doctrine is a narrow one; it is ‘not a catchall cause of action to be used when others fail’ ” (*E.J. Brooks Co.*, 31 NY3d at 455, quoting *Corsello*, 18 NY3d at 790). Here, the employees were entitled to the cash consideration under the Insurance Law; the medical practices/employers could have written agreements assigning the demutualization benefits to themselves had they so chosen and their failure to do so does not render the outcome inequitable.

IV.

In sum, we hold that when an employer pays premiums to a mutual insurance company to obtain a policy of which its em-

ployee is the policyholder, and the insurance company demutualizes, absent contrary terms in the contract of employment, insurance policy, or separate agreement, the policyholder is entitled to the proceeds from the demutualization. Accordingly, in each case, the order of the Appellate Division should be affirmed with costs, and, in the *Maple Med.* actions, the certified question not answered as unnecessary.

In *Columbia Mem. Hosp. v Hinds* and *Schoch v Lake Champlain OB-GYN, P.C.*: Order affirmed, with costs.

Opinion by Judge WILSON. Chief Judge DiFIORE and Judges RIVERA, GARCIA, SINGAS, CANNATARO and TROUTMAN concur.

In *Maple Med. LLP v Scott*, *Maple Med. LLP v Goldenberg*, *Maple Med. LLP v Arevalo*, *Maple Med. LLP v Sundaram*, *Maple Med. LLP v Mutic* and *Maple Med. LLP v Youkeles*: Order affirmed, with costs, and certified question not answered as unnecessary.

Opinion by Judge WILSON. Chief Judge DiFIORE and Judges RIVERA, GARCIA, SINGAS, CANNATARO and TROUTMAN concur.

[192 NE3d 1141, 172 NYS3d 662]

In the Matter of DCH AUTO, as Tenant Obligated to Pay Taxes,
et al., Appellants, v TOWN OF MAMARONECK, a Municipal
Corporation, et al., Respondents.

Argued May 19, 2022; decided June 16, 2022

SUMMARY

APPEAL, by permission of the Court of Appeals, from a judgment (denominated “So Ordered” stipulation and judgment) of the Supreme Court, Westchester County (O. Peter Sherwood, J.), entered January 27, 2021. The Supreme Court discontinued and dismissed, upon the parties’ stipulation, the previously purported severed portions of a consolidated RPTL article 7 tax certiorari proceeding. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 11, 2019. The Appellate Division had affirmed, insofar as appealed from, a judgment of that Supreme Court which had dismissed the five petitions in the consolidated proceeding insofar as they sought review of the assessments of the parcel of real property designated as Section 8, Block 26, Lot 1.1 on defendant Town of Mamaroneck’s official tax map, and as Section 8, Block 111, Lot 1A on defendant Village of Mamaroneck’s official tax map, collectively also known as 700 Waverly Avenue, Mamaroneck, New York.

Matter of DCH Auto v Town of Mamaroneck, 178 AD3d 823, reversed.

HEADNOTES

Taxation — Assessment — Grievance Complaint by Person Whose Property is Assessed — Net Lessee Contractually Obligated to Pay Real Estate Taxes

1. A grievance complaint filed with the local property tax assessor or board of assessment review at the administrative level by a net lessee who is contractually obligated to pay real estate taxes on the property satisfies RPTL 524 (3)’s requirement that the complaint be made “by the person whose property is assessed” such that the net lessee may properly commence an article 7 proceeding upon rejection of its grievance. Accordingly, the petitions for judicial review of the grievance complaints filed by petitioner, a net lessee, should not have been dismissed. Initially, any person “conceiving himself aggrieved” could complain to a board of assessors. When the “person . . . whose property is assessed” language first appeared in the tax law, the legislature explicitly stated that the change was not substantive. The text of the bill itself provided that in the event that a board of assessors failed to meet, “any person aggrieved by the assessment” could instead seek relief

from the municipality's board of supervisors. Thus, based on the evolution of the statutory text and the Court of Appeals' contemporaneous interpretations, it is clear that it was not the legislature's intent to limit the meaning of "person whose property is assessed" to owners of real property. Interpreting the RPTL such that a net lessee may both file the RPTL 524 (3) complaint and the RPTL 704 (1) petition, given that the complaint is a prerequisite to filing a petition, harmonizes the two statutory steps of the tax assessment scheme. Such a result ensures that the party with the economic interest and legal right to challenge an assessment will not be unable to raise a challenge because an out-of-possession landlord that lacks economic incentive fails to file an administrative complaint. It also avoids an inequitable result by which a net lessee may be precluded from obtaining full review of its assessment if the complaint was brought by an owner with different interests.

Taxation — Assessment — Person Who May File Grievance Complaint

2. To the extent that *Matter of Circulo Hous. Dev. Fund Corp. v Assessor of City of Long Beach, Nassau County, NY* (96 AD3d 1053 [2d Dept 2012]), in which the Appellate Division interpreted RPTL 524 (3) as requiring that the property owner file a complaint or grievance to obtain administrative review of a tax assessment, is inconsistent with the Court of Appeals' holding that a grievance complaint filed by a net lessee who is contractually obligated to pay real estate taxes on the property satisfies RPTL 524 (3), it should not be followed. The *Circulo* Court gave no reasoning and cited no rules of statutory construction or legislative history to reach its holding, but cited only the Court of Appeals decision in *Matter of Sterling Estates v Board of Assessors of County of Nassau* (66 NY2d 122 [1985]), which turned on the substantive incompleteness of the administrative petition, not the identity of the filer.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d State and Local Taxation § 694.
CARMODY-WAIT 2d Judicial Review of Assessments and
Taxes §§ 146:32, 146:33.
McKINNEY'S, RPTL 524 (3); 704 (1).
NY JUR 2d Taxation and Assessment §§ 424, 427.

ANNOTATION REFERENCE

See ALR Index under Landlord and Tenant; Taxes.

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POINTS OF COUNSEL

Griffin, Coogan, Sulzer & Horgan, P.C., Bronxville (Matthew S. Clifford, William E. Sulzer and Kevin M. Brady, Jr. of

counsel), for appellants. I. The Appellate Division's conclusion that DCH Auto failed to satisfy the condition precedent was erroneous, and its interpretation of RPTL 524 (3) contradicts the plain language of the statute, is unsupported by the statute's legislative history, and is contrary to established rules of statutory construction. (*Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *American Tr. Ins. Co. v Sartor*, 3 NY3d 71; *Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382; *Matter of Albany Law School v New York State Off. of Mental Retardation & Dev. Disabilities*, 19 NY3d 106; *Nostrom v A.W. Chesterton Co.*, 15 NY3d 502; *Matter of Sterling Estates v Board of Assessors of County of Nassau*, 66 NY2d 122; *Lavoie v Assessor of Town of Kent*, 222 AD2d 561; *Matter of Frei v Town of Livingston*, 50 AD3d 1381; *Matter of Raer Corp. v Village Bd. of Trustees of Vil. of Clifton Springs*, 78 AD2d 989.) II. The Appellate Division's interpretation of RPTL 524 (3) contradicts decades of judicial precedent, the Office of Real Property Tax Service's interpretation of that statute, long-established and accepted tax certiorari practice, and the Town of Mamaroneck's public website, all of which recognized that a party contractually obligated to pay the real property taxes has the right to file the predicate administrative grievance. (*Matter of Birchwood Vil. LP v Assessor of the City of Kingston*, 94 AD3d 1374; *Matter of Onteora Club v Board of Assessors of Town of Hunter*, 29 AD2d 251; *Matter of Circulo Hous. Dev. Fund Corp. v Assessor of City of Long Beach, Nassau County, N.Y.*, 96 AD3d 1053; *Cayuga Nation v Campbell*, 34 NY3d 282; *Ferraiolo v O'Dwyer*, 302 NY 371; *Matter of Grecian Garden Apts. v Barlow*, 71 Misc 2d 457; *Matter of Koch v Sheehan*, 95 AD3d 82, 21 NY3d 697; *Matter of Scotsmen Press v State of N.Y. Tax Appeals Trib.*, 165 AD2d 630; *Matter of Radisson Community Assn. v Long*, 3 AD3d 135; *J. A. Preston Corp. v Fabrication Enters.*, 68 NY2d 397.) III. The Appellate Division's interpretation of RPTL 524 (3) is inconsistent with the remedial nature of the RPTL, which should be liberally construed to the end that the taxpayer's right to have the assessment reviewed should not be defeated by a technicality. (*Matter of People v Ivybrooke Equity Enters., LLC*, 175 AD3d 1000; *Matter of Garth v Board of Assessment Review for Town of Richmond*, 13 NY3d 176; *Matter of Miller v Board of Assessors*, 91 NY2d 82; *Matter of Tennanah Lake Townhouse & Villa Community v Town of Fremont*, 168 AD2d 789; *Matter of Divi Hotels Mktg. v Board of Assessors of County of Tompkins*, 207

AD2d 580; *Matter of Rotblit v Board of Assessors*, 121 AD2d 727; *Bergman v Horne*, 100 AD2d 526.) IV. The Appellate Division ignored settled law which holds that technical objections that are not raised at the grievance stage are waived. (*People ex rel. MacCracken v Miller*, 291 NY 55; *People ex rel. Brooklyn Paramount Corp. v Sexton*, 255 App Div 1011; *Matter of Skuse v Town of S. Bristol*, 99 AD2d 670.) V. Even assuming, arguendo, that DCH Auto is not the “person whose property is assessed,” it was authorized by its lease to challenge the tax assessment, and therefore the Appellate Division erred in dismissing this proceeding. (*Matter of Waldbaum, Inc. v Finance Adm’r of City of N.Y.*, 74 NY2d 128.)

William Maker, Jr., Mamaroneck, for Town of Mamaroneck and others, respondents. I. The petitioners-appellants’ leasehold was not assessed. Hence, the petitioners-appellants are neither the “person whose property is assessed” nor the “taxpayer.” (*Ampco Print.—Advertisers’ Offset Corp. v City of New York*, 14 NY2d 11; *Matter of Fort Hamilton Manor v Boyland*, 4 NY2d 192; *PK Rest., LLC v Lifshutz*, 138 AD3d 434; *First Trust & Deposit Co. v Syrdelco, Inc.*, 249 App Div 285; *Matter of Ehram*, 37 App Div 272; *Matter of Grumman Aircraft Eng’g Corp. v Board of Assessors of Town of Riverhead*, 2 NY2d 500; *Matter of Circulo Hous. Dev. Fund Corp. v Assessor of City of Long Beach, Nassau County, NY*, 96 AD3d 1053.) II. The Second Department was not the first New York appellate court to recognize that an administrative complaint must be filed or authorized by the property owner. (*Matter of Raer Corp. v Village Bd. of Trustees of Vil. of Clifton Springs*, 78 AD2d 989; *Matter of Sterling Estates v Board of Assessors of County of Nassau*, 66 NY2d 122; *Matter of Radisson Community Assn. v Long*, 3 AD3d 135, 4 NY3d 870.) III. The difference in the language of RPTL 524 (3) and RPTL 704 (1) means that the petitioners-appellants cannot be “the person whose property is assessed.” (*Matter of Town of Irondequoit v County of Monroe*, 36 NY3d 177; *People ex rel. McCurdy v Warden, Westchester County Corr. Facility*, 36 NY3d 251; *Matter of National Energy Marketers Assn. v New York State Pub. Serv. Commn.*, 33 NY3d 336; *Leader v Maroney, Ponzini & Spencer*, 97 NY2d 95; *Matter of Branford House v Michetti*, 81 NY2d 681; *Matter of Aaron J.*, 80 NY2d 402; *Rocovich v Consolidated Edison Co.*, 78 NY2d 509; *People v Brancoccio*, 83 NY2d 638; *Matter of Level 3 Communications, LLC v Clinton County*, 144 AD3d 115.) IV. The Appellate Division’s interpretation of RPTL 524 (3) is sup-

ported by another RPTL statute, by the form of administrative complaint promulgated by the state and by case law and statutes from other states. (*Matter of Radisson Community Assn. v Long*, 3 AD3d 135, 4 NY3d 870.) V. Lack of subject matter jurisdiction cannot be ignored. (*Financial Indus. Regulatory Auth., Inc. v Fiero*, 10 NY3d 12; *Repwest Ins. Co. v Hanif*, 178 AD3d 973; *Matter of Hart Family, LLC v Town of Lake George*, 110 AD3d 1278; *Matter of Hook v Snyder*, 193 AD3d 588; *Davis v State of New York*, 64 AD3d 1197; *Matter of Larchmont Pancake House v Board of Assessors and/or the Assessor of the Town of Mamaroneck*, 33 NY3d 228.) VI. There is no split among the Departments, as the only appellate case that can be considered at odds with the Second Department did not interpret state law. (*Matter of McLean's Dept. Stores v Commissioner of Assessment of City of Binghamton*, 2 AD2d 98; *Matter of Onteora Club v Board of Assessors of Town of Hunter*, 29 AD2d 251.) VII. The petitioners-appellants easily could have complied with RPTL 524 (3) in each year at issue and in fact did comply in 2014. (*Matter of Grecian Garden Apts. v Barlow*, 71 Misc 2d 457.) VIII. The respondents-respondents cannot be estopped from discharging their statutory duties. (*Matter of New York State Med. Transporters Assn. v Perales*, 77 NY2d 126; *West Midtown Mgt. Group, Inc. v State of N.Y., Dept. of Health, Off. of the Medicaid Inspector Gen.*, 31 NY3d 533; *Matter of Schorr v New York City Dept. of Hous. Preserv. & Dev.*, 10 NY3d 776; *Matter of Gallo v New York City Dept. of Consumer Affairs*, 170 AD3d 479; *Matter of Wilson v New York City Dept. of Hous. Preserv. & Dev.*, 145 AD3d 905; *Matter of Ryan v Tax Appeals Trib. of the State of N.Y.*, 133 AD3d 929; *Wilson v Neighborhood Restore Hous.*, 129 AD3d 948; *Matter of New Surfside Nursing Home, LLC v Daines*, 103 AD3d 637, 22 NY3d 1080; *Roberts v Paterson*, 19 NY3d 524; *Flushing Unique Homes, LLC v Brooklyn Fed. Sav. Bank*, 100 AD3d 956.) IX. Courts do not have the same authority to correct mistakes in an administrative review that they have to correct errors in court proceedings. (*People ex rel. MacCracken v Miller*, 291 NY 55; *People ex rel. Brooklyn Paramount Corp. v Sexton*, 255 App Div 1011; *Matter of Skuse v Town of S. Bristol*, 99 AD2d 670; *Matter of Astoria Fed. Sav. & Loan Assn. v Board of Assessors*, 212 AD2d 600; *Matter of Eastbrooke Condominium v Ainsworth*, 33 NY3d 139; *Matter of Sterling Estates v Board of Assessors of County of Nassau*, 66 NY2d 122; *Matter of Onteora Club v Board of Assessors of Town of Hunter*, 17 AD2d 1008, 13 NY2d 1170; *Matter of Frei v Town of Livingston*, 50 AD3d 1381;

Matter of Great E. Mall v Condon, 36 NY2d 544.) X. *Matter of Circulo Hous. Dev. Fund Corp. v Assessor of City of Long Beach, Nassau County*, NY (96 AD3d 1053 [2d Dept 2012]) is not rooted in the tax exemption statutes. (*Matter of Sterling Estates v Board of Assessors of County of Nassau*, 66 NY2d 122.) XI. Opinions of counsel for state agencies must give way to court decisions. (*Matter of Albano v Board of Trustees of N.Y. City Fire Dept., Art. II Pension Fund*, 98 NY2d 548; *Matter of Walsh v New York State Comptroller*, 34 NY3d 520; *Matter of DeVera v Elia*, 32 NY3d 423; *Matter of Level 3 Communications, LLC v Erie County*, 174 AD3d 1497; *Jackson v Bank of Am., N.A.*, 149 AD3d 815; *Roberts v Tishman Speyer Props., L.P.*, 62 AD3d 71.) XII. The cases involving industrial development agencies cited by the petitioners-appellants are irrelevant. (*Matter of EFCO Prods. v Cullen*, 161 AD2d 44; *Matter of Big “V” Supermarkets, Store #217 v Assessor of Town of E. Greenbush*, 114 AD2d 726; *Matter of Birchwood Vil. LP v Assessor of the City of Kingston*, 94 AD3d 1374; *Matter of Erie County Indus. Dev. Agency v Roberts*, 94 AD2d 532, 63 NY2d 810; *Davidson Pipe Supply Co. v Wyoming County Indus. Dev. Agency*, 85 NY2d 281.) XIII. Nineteenth century decisions cannot be used to construe the Real Property Tax Law. (*Matter of Burke*, 62 NY 224; *Matter of Walter*, 75 NY 354; *People ex rel. Wallkill Val. R.R. Co. v Keator*, 101 NY 610.) XIV. The petitioners-appellants cite cases that have no bearing on the interpretation of RPTL 524 (3). (*Matter of Ames Dept. Store, No. 418 v Assessor of Town of Greece*, 261 AD2d 835; *Matter of Mack v Assessor of Town of Ramapo*, 72 AD2d 604; *Matter of Onteora Club v Board of Assessors of Town of Hunter*, 29 AD2d 251; *Matter of Waldbaum, Inc. v Finance Adm’r of City of N.Y.*, 74 NY2d 128; *Matter of Miller v Board of Assessors*, 91 NY2d 82; *Matter of Sterling Estates v Board of Assessors of County of Nassau*, 66 NY2d 122; *Matter of Tennenah Lake Townhouse & Villa Community v Town of Fremont*, 168 AD2d 789; *Matter of City of Little Falls v Board of Assessors of Town of Salisbury*, 68 AD2d 734; *Matter of Cherrypike Estates v Herbert*, 67 Misc 2d 853.)

McCullough, Goldberger & Staudt, LLP, White Plains (Kevin E. Staudt of counsel), for Village of Mamaroneck and others, respondents. I. The Village of Mamaroneck has reviewed the brief submitted by the Town of Mamaroneck and adopts the statements and arguments contained in said brief as if fully set forth herein. II. DCH Auto’s contention that certain statements on the Town of Mamaroneck’s website and a link on the Town’s website to the Office of Real Property Tax Services

website suggest that a tenant has standing to bring an RPTL 524 grievance has no bearing on DCH Auto's proceeding against the Village of Mamaroneck. (*Matter of Ryan v Tax Appeals Trib. of the State of N.Y.*, 133 AD3d 929; *Wilson v Neighborhood Restore Hous.*, 129 AD3d 948; *Flushing Unique Homes, LLC v Brooklyn Fed. Sav. Bank*, 100 AD3d 956.)

Koeppel Martone & Leistman, L.L.C., Mineola (*Donald F. Leistman, Michael P. Guerriero and Jason M. Penighetti* of counsel), for CVS Albany LLC and others, amici curiae. I. There is no compelling precedent which supports the interpretation of RPTL 524 (3) by the Appellate Division. *Matter of Circulo Hous. Dev. Fund Corp. v Assessor of City of Long Beach, Nassau County, NY* (96 AD3d 1053 [2d Dept 2012]) is inapposite. (*Matter of Larchmont Pancake House v Board of Assessors and/or the Assessor of the Town of Mamaroneck*, 153 AD3d 521; *Kahal Bnei Emunim & Talmud Torah Bnei Simon Israel v Town of Fallsburg*, 78 NY2d 194; *Matter of Association of Bar of City of N.Y. v Lewisohn*, 34 NY2d 143; *People ex rel. Watchtower Bible & Tract Socy. v Haring*, 8 NY2d 350; *Hewlett Assoc. v City of New York*, 57 NY2d 356; *Dun & Bradstreet, Inc. v City of New York*, 276 NY 198; *Troy Towers Redevelopment Co. v City of Troy*, 51 AD2d 173, 41 NY2d 816; *Matter of Sterling Estates v Board of Assessors of County of Nassau*, 66 NY2d 122; *Matter of City of Little Falls v Board of Assessors of Town of Salisbury*, 68 AD2d 734; *Matter of Singer Co. v Tax Assessor of Vil. of Pleasantville*, 86 Misc 2d 631, 56 AD2d 655.) II. The plain terms of RPTL 524 (3) do not preclude a net lessee from filing a complaint. (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *American Tr. Ins. Co. v Sartor*, 3 NY3d 71; *Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382; *Rosner v Metropolitan Prop. & Liab. Ins. Co.*, 96 NY2d 475; *Matter of Village of Chestnut Ridge v Howard*, 92 NY2d 718; *Matter of Yeshivath Shearith Hapletah v Assessor of Town of Fallsburg*, 79 NY2d 244; *Matter of Brooklyn Assembly Halls of Jehovah's Witnesses, Inc. v Department of Envtl. Protection of City of N.Y.*, 11 NY3d 327; *Matter of Maetreum of Cybele, Magna Mater, Inc. v McCoy*, 24 NY3d 1023; *Matter of Greater Jamaica Dev. Corp. v New York City Tax Commn.*, 25 NY3d 614.) III. RPTL 524 (3) and 704 (1) must be interpreted together. (*Matter of Tall Trees Constr. Corp. v Zoning Bd. of Appeals of Town of Huntington*, 97 NY2d 86; *Matter of Waldbaum, Inc. v Finance Adm'r of City of N.Y.*, 74 NY2d 128; *Matter of Steel Los III/Goya Foods, Inc. v Board of Assessors of County of Nassau*, 10 NY3d 445; *Matter of Long Is. Power Auth. v As-*

essor of the Town of Huntington, 164 AD3d 591; *Matter of Ames Dept. Store, No. 418 v Assessor of Town of Greece*, 261 AD2d 835; *Matter of Caldor, #30 v Town of Ramapo*, 253 AD2d 876; *Matter of K-Mart Corp. v Board of Assessors of County of Tompkins*, 176 AD2d 1034; *Matter of Big “V” Supermarkets, Store #217 v Assessor of Town of E. Greenbush*, 114 AD2d 726.)

Forchelli Deegan Terrana LLP, Uniondale (Peter Basil Skelos, John V. Terrana, Nathan R. Jones and Douglas W. Atkins of counsel), for International Council of Shopping Centers, Inc., amicus curiae. I. *Matter of DCH Auto v Town of Mamaroneck’s* (178 AD3d 823 [2019]) interpretation of RPTL 524 (3) is error and should be reversed because it relies exclusively on cases that do not support it and is contradicted by past precedent and recent cases on point. (*Matter of Grecian Garden Apts. v Barlow*, 71 Misc 2d 457; *Matter of Al-Ber, Inc. v New York City Dept. of Fin.*, 80 AD3d 760; *De Paulis Holding Corp. v Vitale*, 66 AD3d 816; *Dougherty v Equitable Life Assur. Socy.*, 266 NY 71; *Matter of Campbell Sales Co. v New York State Tax Commn.*, 68 NY2d 617; *Matter of Brown v Blumenfeld*, 103 AD3d 45; *Zangiacomi v Hood*, 193 AD2d 188.) II. *Matter of DCH Auto v Town of Mamaroneck’s* (178 AD3d 823 [2019]) novel holding that imperfect identification of a complainant is an incurable jurisdictional defect is error and must be reversed. (*Matter of City of Little Falls v Board of Assessors of Town of Salisbury*, 68 AD2d 734; *Matter of Frei v Town of Livingston*, 50 AD3d 1381; *Matter of Lussi v Board of Assessors of Vil. of Lake Placid*, 113 Misc 2d 558; *Matter of Rotblit v Board of Assessors*, 121 AD2d 727; *Matter of Great E. Mall v Condon*, 36 NY2d 544; *Miller v Board of Assessors of Town of Islip*, 164 Misc 2d 62, 236 AD2d 408, 91 NY2d 82; *Matter of Astoria Fed. Sav. & Loan Assn. v Board of Assessors*, 212 AD2d 600; *W.T. Grant Co. v Srogi*, 52 NY2d 496; *Matter of Eastgate Corporate Park, LLC v Assessor, Bd. of Assessment Review of Town of Goshen*, 54 AD3d 1036; *New Amsterdam Cas. Co. v National Union Fire Ins. Co.*, 266 NY 254.)

Cronin & Cronin Law Firm, PLLC, Mineola (Sean M. Cronin of counsel), for Stop & Shop Supermarket Company, LLC, and others, amici curiae. I. The Appellate Division, Second Department’s reliance on its decision in *Matter of Circulo Hous. Dev. Fund Corp. v Assessor of City of Long Beach, Nassau County, NY* (96 AD3d 1053 [2d Dept 2012]) furthers a clearly erroneous statement of law in a tax exemption case guided by RPTL 420-a. (*Matter of Larchmont Pancake House v Board of*

Assessors and/or the Assessor of the Town of Mamaroneck, 153 AD3d 521, 33 NY3d 228.) II. The Appellate Division, Second Department's decision in *Matter of DCH Auto v Town of Mamaroneck* (178 AD3d 823 [2019]) ignores the mandatory rules of statutory construction and incorrectly interprets the language of RPTL 524 in violation of this Court's long-held precedent that tax laws relating to review of assessments are to be liberally construed. (*People ex rel. New York City Omnibus Corp. v Miller*, 282 NY 5; *Matter of Waldbaum, Inc. v Finance Adm'r of City of N.Y.*, 74 NY2d 128; *Matter of People v Ivybrooke Equity Enters., LLC*, 175 AD3d 1000; *Matter of Garth v Board of Assessment Review for Town of Richmond*, 13 NY3d 176.) III. The holding in *Matter of DCH Auto v Town of Mamaroneck* (178 AD3d 823 [2019]) ignores decades of case law, guidance provided by the Office of Real Property Tax Services for grieving assessments, and severely distorts universally understood tax certiorari practices. (*Matter of Howard v Wyman*, 28 NY2d 434; *Matter of Koch v Sheehan*, 95 AD3d 82; *People ex rel. Durham Realty Corp. v Cantor*, 234 NY 507; *Matter of Miller v Board of Assessors*, 91 NY2d 82; *Matter of EFCO Prods. v Cullen*, 161 AD2d 44; *Matter of Long Is. Power Auth. v Assessor of the Town of Huntington*, 164 AD3d 591; *Matter of McLean's Dept. Stores v Commissioner of Assessment of City of Binghamton*, 2 AD2d 98.) IV. RPTL 524 is not designed to preclude thousands of taxpaying aggrieved parties who have the right to judicially challenge their real estate tax obligation pursuant to RPTL article 7 by a technical point not present in the plain language of the statute or legislature's intent. (*Matter of Sterling Estates v Board of Assessors of County of Nassau*, 66 NY2d 122; *Matter of Onteora Club v Board of Assessors of Town of Hunter*, 29 AD2d 251.) V. The *Matter of DCH Auto v Town of Mamaroneck* (178 AD3d 823 [2019]) decision will have nonsensical results in situations such as long-term ground leases granting ownership of improvements to tenants. (*Matter of National Cold Stor. Co. v Boyland*, 16 AD2d 267; *People ex rel. Hudson Riv. Day Line v Franck*, 257 NY 69; *Matter of Colleges of the Seneca v City of Geneva*, 94 NY2d 713.)

Herman Katz Cangemi Wilkes & Clyne, LLP, Melville (Kevin M. Clyne of counsel), for Wakefern Food Corp., amicus curiae. I. The petitioner in *DCH Auto* has the contractual right to commence proceedings and the contractual obligation to pay the real estate taxes, and as such this matter is factually and legally distinguishable from *Matter of Larchmont Pancake House v Board of Assessors and/or the Assessor of the Town of*

Mamaroneck (153 AD3d 521 [2017]). (*Matter of County of Orange [Al Turi Landfill, Inc.]*, 75 AD3d 224; *People ex rel. New York City Omnibus Corp. v Miller*, 282 NY 5.) II. The Second Department improperly creates an ownership requirement in RPTL 524 (3). (*Matter of Bliss v Bliss*, 66 NY2d 382; *Mangam v City of Brooklyn*, 98 NY 585; *Matter of Orens v Novello*, 99 NY2d 180.) III. The Second Department unequivocally and improperly changed the law with *Matter of Circulo Hous. Dev. Fund Corp. v Assessor of City of Long Beach, Nassau County, NY* (96 AD3d 1053 [2d Dept 2012]), *Matter of Larchmont Pancake House v Board of Assessors and/or the Assessor of the Town of Mamaroneck* (153 AD3d 521 [2017]), and *Matter of DCH Auto v Town of Mamaroneck* (178 AD3d 823 [2019]). (*Matter of Waldbaum, Inc. v Finance Adm'r of City of N.Y.*, 74 NY2d 128; *Matter of Big "V" Supermarkets, Store #217 v Assessor of Town of E. Greenbush*, 114 AD2d 726; *Matter of EFCO Prods. v Cullen*, 161 AD2d 44; *Matter of Sterling Estates v Board of Assessors of County of Nassau*, 66 NY2d 122.)

New York State School Boards Association, Inc., Latham (Jay Worona and Jeffrey Mongelli of counsel), for New York State School Boards Association, Inc., amicus curiae. I. The court below properly determined that the petitioners-appellants are not authorized to seek administrative review of the property tax assessment at issue herein pursuant to RPTL 524 (3). (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Cole v Mandell Food Stores*, 93 NY2d 34; *People v Shakun*, 251 NY 107; *Matter of McLean's Dept. Stores v Commissioner of Assessment of City of Binghamton*, 2 AD2d 98; *Matter of Malpica-Orsini*, 36 NY2d 568, 423 US 1042; *Oneida Natl. Bank & Trust Co. of Utica v Manikas*, 10 Misc 2d 671; *People v Graham*, 55 NY2d 144; *Klein v City of Yonkers*, 53 NY2d 1011; *People v Kupprat*, 6 NY2d 88; *Matter of Metropolitan Life Ins. Co. Bolland*, 281 NY 357.) II. The interpretation of the court below of RPTL 524 (3) is consistent with basic principles of property ownership rights. (*Kaiser Aetna v United States*, 444 US 164.) III. An expansion of the class of persons who can file complaints to commence administrative reviews of property tax assessments under RPTL 524 (3) is likely to have a negative impact on school districts. (*Campaign for Fiscal Equity v State of New York*, 86 NY2d 307; *Board of Educ., Levittown Union Free School Dist. v Nyquist*, 57 NY2d 27; *Matter of Circulo Hous. Dev. Fund Corp. v Assessor of City of Long Beach, Nassau County, NY*, 96 AD3d 1053; *Matter of Larchmont Pancake House v Board of Assessors and/or the Assessor of the Town of*

Mamaroneck, 153 AD3d 521; *Matter of McLean's Dept. Stores v Commissioner of Assessment of City of Binghamton*, 2 AD2d 98.)

Association of Towns of the State of New York, Albany (Sarah Brancatella of counsel), and *New York State Conference of Mayors and Municipal Officials*, Albany (Rebecca Ruscito of counsel), for Association of Towns of the State of New York and another, amici curiae. I. The Court should not complicate a straightforward standard by allowing those who do not own or have permission from the property owner to file a complaint and grieve a property tax assessment at the local level. (*Matter of Sterling Estates v Board of Assessors of County of Nassau*, 66 NY2d 122.) II. Public policy requires that the owner of a property file an RPTL article 5 complaint or provide permission to file a complaint.

OPINION OF THE COURT

WILSON, J.

DCH Auto leased a parcel of real property located in Mamaroneck, New York. DCH's lease with the property's owner is a "net lease," which means that DCH must pay, in addition to rent, all the real estate taxes associated with the property. Starting in 2009, DCH believed that certain tax assessments for the property were too high, so it challenged those tax assessments by filing grievance complaints with the local board of assessment review. After the board reviewed and denied the challenges to the assessments, DCH filed petitions for judicial review. Supreme Court dismissed DCH's petitions, holding that only an *owner*—and not a net lessee—may file the initial grievance complaints pursuant to RPTL 524 (3) and that the failure of the owner to file the initial grievance precluded judicial review of the board's determinations. The Appellate Division affirmed. The question we address is: does a grievance complaint filed with the assessor or board of assessment review at the administrative level by a net lessee who is contractually obligated to pay real estate taxes on the subject property satisfy RPTL 524 (3) such that the net lessee may properly commence an article 7 proceeding upon rejection of its grievance? We answer in the affirmative and reverse.

I.

DCH Auto, now known as DCH Investments Inc. (New York) (together, DCH), operates a car dealership in Mamaroneck. In

2007, DCH entered into a 20-year net lease with the nonparty owner, 700 Waverly Avenue Corp. (Owner), of a parcel of real property located at 700 Waverly Avenue in the Village of Mamaroneck (Village), which is located within the Town of Mamaroneck (Town) (together, Mamaroneck).

The lease obligates DCH to pay “all ad valorem real estate taxes or other taxes in the nature thereof . . . levied or imposed against or with respect to” the subject property during the lease term. The lease also provides that DCH “shall have the right, at its sole cost and expense, to contest the amount or validity, in whole or in part, of any [tax] relating to the [subject property] by appropriate proceedings.”

By administrative complaints pursuant to RPTL 524 (3), DCH timely challenged eight tax assessments of the subject property: the Town’s tax assessments for five tax years (2009, 2010, 2011, 2013, and 2014), and the Village’s tax assessments for three tax years (2010, 2011, and 2013). DCH filed the 2014 complaint against the Town in Owner’s name but filed all the other complaints in its own name.

At the time DCH filed its grievances, the Town’s website stated that “[a]ny person aggrieved by an assessment,” including a “tenant who is required to pay the real estate taxes pursuant to a lease” “may file a complaint.” The Town’s website also directed taxpayers to the website of the New York State Department of Taxation and Finance’s Office of Real Property Tax Services (ORPTS), which similarly instructed that “[a]ny person who pays property taxes” including “tenants who are required to pay property taxes pursuant to a lease or written agreement” may file an assessment challenge. That same instruction is still on ORPTS’s website today (NY St Dept of Taxation & Fin, Off of Real Prop Tax Servs, *Contesting Your Assessment in New York State* at 2 [Feb. 2012], <https://www.tax.ny.gov/pdf/publications/orpts/grievancebooklet.pdf> [last accessed June 9, 2022], cached at <https://www.nycourts.gov/reporter/webdocs/grievancebooklet.pdf>).

For each complaint challenging the Town’s assessments, the Town Board of Assessment Review accepted the grievances, considered them, and confirmed the Town’s assessments. The Town Board did not dismiss the complaints or indicate that the complaints were in any way defective. Similarly, the Village Board accepted and considered the complaints and confirmed the Village’s assessments.

Once DCH received the Town and Village Board determinations, it timely filed judicial petitions challenging the Town and Village assessments pursuant to RPTL article 7. After procedural history not relevant here, in September 2016, the Town and Village jointly moved to dismiss each proceeding “for lack of subject matter jurisdiction due to [DCH]’s failure to satisfy a condition precedent for challenging the assessments”—namely “[t]he failure of the [o]wner to submit [the] RP-524 [c]omplaints.” In opposition, DCH argued that the complaints were properly filed because RPTL 524 (3) did not provide that only an “owner” may file a complaint and that the plain text of RPTL 524 (3) and our case law “recognize[] the right of a non-owner tenant who is responsible for paying the real property taxes to seek both administrative and judicial review of the assessment” (rec on appeal at 304-312). DCH alternatively argued that the purported defect was, at most, “technical,” that the Town and Village were not prejudiced by it, and the defect was not jurisdictional (rec on appeal at 313-320).

Based on joint stipulated facts and submitted documentary evidence, Supreme Court granted the Town and Village’s joint motion and dismissed the petitions. The court held that it lacked subject matter jurisdiction to review the assessments because, although DCH was “[u]ndisputedly . . . ‘aggrieved’ by the decisions of the Boards,” it “did not satisfy ‘a condition precedent to the commencement of [these] proceeding[s]’ ” because the owner did not file the complaints pursuant to RPTL 524 (3). Finally, the court held that “the failure of the owner to raise the RP-524 Complaint in the administrative process is a fundamental error which the courts cannot cure because of a lack of subject matter jurisdiction.” The Appellate Division affirmed (178 AD3d 823 [2d Dept 2019]). It held that DCH “failed to satisfy a condition precedent to the commencement of an RPTL article 7 proceeding since it was neither the owner, nor identified in the complaints as an agent of the owner” (*id.* at 825). We granted leave to appeal (37 NY3d 903 [2021]).

II.

A.

The Real Property Tax Law sets out a two-step process for the review of property tax assessments. First, pursuant to RPTL 524, “a complainant who is dissatisfied with a property assessment may seek administrative review by filing a griev-

ance complaint with the assessor or the board of assessment review” (*Matter of Larchmont Pancake House v Board of Assessors and/or the Assessor of the Town of Mamaroneck*, 33 NY3d 228, 235 [2019]). Second, once “the board of assessment review has made a determination, any ‘aggrieved party’ may seek judicial review of the assessment pursuant to RPTL article 7” (*id.*).

This case concerns the statutory language that governs the first step. The question presented on this appeal is whether the initial administrative complaints filed by DCH fail to meet the requirements of RPTL 524 (3) because DCH is not the owner of the property at issue. Specifically, the parties dispute the meaning of the provision requiring that the initial complaint be made “by the person whose property is assessed” (RPTL 524 [3]). RPTL 524 (3), as relevant, provides:

“[A] complaint with respect to an assessment shall be on a form prescribed by the commissioner and shall consist of a statement specifying the respect in which the assessment is excessive, unequal or unlawful, or the respect in which real property is misclassified, and the reduction in assessed valuation or taxable assessed valuation or change in class designation or allocation of assessed valuation sought. Such statement shall also contain an estimate of the value of the real property. Such statement must be made by *the person whose property is assessed*, or by some person authorized in writing by the complainant or his officer or agent to make such statement who has knowledge of the facts stated therein. Such written authorization must be made a part of such statement and bear a date within the same calendar year during which the complaint is filed” (*id.* [emphasis added]).

In contrast, RPTL 704 (1)—which governs step two, filing a petition for judicial review of the assessment pursuant to RPTL article 7—provides:

“*Any person claiming to be aggrieved* by any assessment of real property upon any assessment roll may commence a proceeding under this article by filing a petition described in section seven hundred six of this chapter in the manner set forth in [CPLR 304]” (RPTL 704 [1] [emphasis added]).

“In order to maintain an article 7 tax certiorari proceeding, the aggrieved party must allege in its petition that ‘a complaint was made in due time to the proper officers to correct such assessment’ ” (*Larchmont Pancake House*, 33 NY3d at 235, quoting RPTL 706 [2]). That is, “the proper filing of an administrative grievance pursuant to RPTL article 5 is a condition precedent to judicial review pursuant to RPTL article 7” (*Larchmont Pancake House*, 33 NY3d at 235).

Mamaroneck’s position is that RPTL 524 (3) is a condition precedent that must be satisfied for judicial review of a board’s determination of an assessment complaint to lie, and that the plain language of RPTL 524 (3) requires the administrative complaint be filed “by the person whose property is assessed”—which it argues means the property owner, and only the property owner. Once the owner files the administrative complaint, according to Mamaroneck, then any aggrieved person, including a net lessee, can challenge the result of the administrative grievance in court. In opposition, DCH argues that RPTL 524 (3) does not limit the filing of a complaint to a property owner and that it satisfied the condition precedent requirement in RPTL 706 (2) to file for judicial review.

B.

“When presented with a question of statutory interpretation, our primary consideration ‘is to ascertain and give effect to the intention of the Legislature’ ” (*Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006], quoting *Riley v County of Broome*, 95 NY2d 455, 463 [2000]). Although the text itself is generally the clearest indicator of legislative intent, where “the language is ambiguous, we may examine the statute’s legislative history” (*Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270, 286 [2009], citing *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]).

Here, RPTL 524 (3) presents an ambiguity. The clause “person whose property is assessed” is not defined in the RPTL, and it lends itself to more than one reasonable interpretation (see *Matter of Golf v New York State Dept. of Social Servs.*, 91 NY2d 656, 662-663 [1998]). As Mamaroneck points out, the RPTL uses different language to delineate who may seek administrative review of a tax assessment by filing a grievance complaint with the assessor or the board of assessment review—“the person whose property is assessed” (RPTL 524 [3])—versus who may seek judicial review of the tax assess-

ment—“[a]ny person claiming to be aggrieved” (RPTL 704 [1]). A colorable reading of the difference in that statutory language is that only an “owner” is a “person whose property is assessed” under the narrower language RPTL 524 (3).

As DCH urges, however, RPTL 524 (3) does not clearly require that a complaint be brought by an “owner” (or, e.g., “title holder”) of “real” property. Had the legislature intended to require that only “owners” (or agents of owners) could initiate a grievance under RPTL 524 (3), it would have been simple to use that word. Indeed, in RPTL article 5, the legislature used the word “owner” myriad times (RPTL 500, 502, 504 [6]; 510 [1]; 510-a, 511, 512 [4]; 518, 520, 522 [4] [b]; 523 [3]; 523-b, 524 [4]; 525 [4]; 543, 551-a, 552 [2]; 553, 554, 556 [2] [b]; 556-b, 560 [1]; 562, 564 [1]; 566 [1]; 574 [1]; 575-a [3]; 575-b, 582, 586, 588 [2]; 589 [1]; 592 [1] [c]; 594, 596 [3]). “We have firmly held that the failure of the Legislature to include a substantive, significant prescription in a statute is a strong indication that its exclusion was intended” (*People v Finnegan*, 85 NY2d 53, 58 [1995] [citations omitted]). Here, the statutory language is broader—it provides that a complaint must contain a statement “by the person whose property is assessed” (RPTL 524 [3]). Similarly, RPTL 524 (3) provides that if a complaint is not filed by “the person whose property is assessed,” then it may be filed by “some person authorized in writing by the complainant” (RPTL 524 [3]). Again, the legislature used the broad term “complainant,” rather than the term “owner,” and the statute gives no indication that the class of people who can authorize a third party to make the complaint is different from the class of people who may themselves file a grievance complaint. Moreover, the word “whose” can reasonably be used and understood as denoting possession, not only ownership (*see Webster’s Third New International Dictionary, Unabridged* 2612 [Merriam-Webster 2002] [“of or belonging to whom as possessor or possessors : due to whom : inherent in whom : associated or connected with whom”]). Thus, DCH, also advances a colorable argument that it, as the holder of an exclusive net lease for the subject property, falls within the term “person whose property is assessed” in RPTL 524 (3). We therefore examine the legislative history to aid in interpreting that provision.

C.

The legislative history of the origin of the clause “the person whose property is assessed” demonstrates that a net lessee ob-

ligated to pay real estate taxes of the leased real property may file a grievance under RPTL 524 (3).

Before 1896, any person “conceiving himself aggrieved” could complain to a board of assessors. For example, in 1799, the governing tax law provided that “assessors shall meet, and on application of *any person conceiving himself aggrieved*, shall review the said assessment” (L 1799, ch 72 [emphasis added]), and in 1851, the tax law similarly provided that “[o]n the application of *any person conceiving himself aggrieved*, it shall be the duty of the said assessors on such day to meet at the time and place specified, and hear and examine all complaints in relation to such assessments that may be brought before them” (L 1851, ch 176, § 4 [emphasis added]).

While the “any person conceiving himself aggrieved” statutory language was in force, our Court’s decisions similarly reflected that any aggrieved person could complain to the local assessor. For instance, in *Jewell v Van Steenburgh*, we held that assessor’s failure to give notice upon the completion of an assessment was a jurisdictional defect rendering the tax invalid because “[t]his is the only mode by which *persons interested* have an opportunity to be heard” (58 NY 85, 91 [1874] [emphasis added]).

During that same time period, when the “any person conceiving himself aggrieved” statutory language was still in force, we also used the language “parties whose property is assessed” to describe who may file grievance complaints with a local board of assessors (*People ex rel. Mayor of City of N.Y. v McCarthy*, 102 NY 630, 643 [1886] [“Except for the provision of the statute authorizing *parties whose property is assessed* to appear before the town, ward, or city assessors, and make affidavit as to the circumstances and value of property assessed to them respectively,—no provision is made for the hearing of such parties, by any of the administrative bodies engaged in perfecting the valuations of taxable property” (emphasis added)]). The issue in *People ex rel. Mayor of City of N.Y. v McCarthy* was different from the issue presented here—the petitioner was seeking a review of the state board of equalization’s proceedings in equalizing property appraisals in the state among several counties—but it is nevertheless instructive that we appear to have considered the two phrases to be synonymous.

Then, in 1896, the “person . . . whose property is assessed” language first appeared in the tax law. That year, the legisla-

ture enacted a provision governing the hearing of grievance complaints. The new provision provided:

“Such complainants shall file with the assessors a statement, under oath, specifying the respect in which the assessment complained of is incorrect, which verification must be made by *the person assessed or whose property is assessed*, or by some person authorized to make such statement, and who has knowledge of the facts stated therein” (L 1896, ch 908, § 36 [emphasis added]).

Although the clause “person assessed or whose property is assessed” was new, the New York State Commissioners of Statutory Revision explicitly stated that the change was not substantive:

“The provision that the complaint shall be in writing and filed with the assessors is new. L. 1857, ch. 176, § 6, requires the examination to be subscribed by witness and filed in town clerk’s office, while § 36 merely requires the minutes of the testimony to be so filed. *Otherwise there is no change of substance*” (1896 Rep of Commrs of Statutory Rev, reprinted in 1896 Annual Rep of Commrs of Statutory Revision of the St of NY at 39, available at https://www.google.com/books/edition/Annual_Report_of_the_Commissioners_of_St/bH44AAAAIAAJ?hl=en&gbpv=0 [emphasis added]).*

That the clauses “any person conceiving himself aggrieved” and “person assessed or whose property is assessed” were interchangeable is also supported by the text of the 1896 bill itself, which provided that in the event that a board of assessors failed to meet, “any person aggrieved by the assessment” could instead seek relief from the municipality’s board of supervisors (L 1896, ch 908, § 40).

[1] Thus, based on this evolution of the statutory text, and our Court’s contemporaneous interpretations, it is clear that it was not the legislature’s intent to limit the meaning of “person whose property is assessed” to owners of real property.

* “L 1857, ch 176” is a mis-citation. The correct citation is to Laws of 1851, chapter 176, § 6, which, as accurately described in the 1896 Report of the Commissioners of Statutory Revision, did not contain a requirement that a complaint to the local assessors be filed in writing.

D.

In keeping with the legislature's intent, we therefore hold that a grievance complaint filed with the assessor or board of assessment review at the administrative level by a net lessee who is contractually obligated to pay real estate taxes on the subject property satisfies RPTL 524 (3).

That interpretation is not only in keeping with the legislative history, but it construes the RPTL "as a whole," with "its various sections . . . considered together and with reference to each other" (*Matter of Anonymous v Molik*, 32 NY3d 30, 37 [2018], quoting *People v Mobil Oil Corp.*, 48 NY2d 192, 199 [1979]). Interpreting the RPTL such that a net lessee may both file the RPTL 524 (3) complaint and (as is undisputed) the RPTL 704 (1) petition, given that the complaint is a prerequisite to filing a petition, harmonizes the two statutory steps of our tax assessment scheme. Such a result ensures that the party with the economic interest and legal right to challenge an assessment will not be unable to raise a challenge because an out-of-possession landlord that lacks economic incentive fails to file an administrative complaint. It also avoids an inequitable result by which a net lessee may be precluded from obtaining full review of its assessment if the complaint was brought by an owner with different interests, because a petitioner in an RPTL article 7 proceeding may not add grounds for review beyond those specified in the original RPTL 524 (3) complaint (see *Matter of Sterling Estates v Board of Assessors of County of Nassau*, 66 NY2d 122, 127 [1985]). Indeed, our conclusion is consistent with guidance from the New York State Department of Taxation and Finance, which instructs that lessees who are contractually obligated to pay real estate taxes are eligible to grieve tax assessments (see NY St Dept of Taxation & Fin, Off of Real Prop Tax Servs, *Contesting Your Assessment in New York State* [Feb. 2012] ["Any person who pays property taxes can grieve an assessment, including . . . tenants who are required to pay property taxes pursuant to a lease or written agreement"], <https://www.tax.ny.gov/pdf/publications/orpts/grievancebooklet.pdf>, cached at <https://www.nycourts.gov/reporter/webdocs/GrievanceBooklet.pdf>).

[2] In support of its restrictive interpretation that "person whose property is assessed" in RPTL 524 (3) is limited to "owner," the Appellate Division primarily relied on *Matter of Circulo Hous. Dev. Fund Corp. v Assessor of City of Long Beach, Nassau County, NY* (96 AD3d 1053 [2d Dept 2012]). That case

is grounded on a misapplication of our decision in *Matter of Sterling Estates v Board of Assessors of County of Nassau* (66 NY2d 122 [1985]). In *Circulo*, the Appellate Division interpreted RPTL 524 (3) and announced that it contained an ownership requirement: “RPTL article 5 requires that the *property owner* file a complaint or grievance to obtain administrative review of the tax assessment” (*id.* at 1056). The Court gave no reasoning and cited no rules of statutory construction or legislative history to reach its holding, but instead cited only our decision in *Sterling*. In *Sterling*, however, we did not suggest—much less decide—that the *owner* of a property must file the administrative complaint. Instead, we emphasized that “it is essential that sufficient facts detailing the taxpayer’s complaint be presented to the assessors so that realistic efforts at adjustment can be made” (*Sterling*, 66 NY2d at 125). Our holding in *Sterling* turned on the substantive incompleteness of the administrative petition, not the identity of the filer (*id.* at 127). Thus, to the extent that *Circulo* is inconsistent with our holding today, it should not be followed.

III.

In sum, we hold that DCH, as a net lessee contractually obligated to pay the real estate taxes of the subject property is included within the meaning of “the person whose property is assessed” under RPTL 524 (3). Accordingly, the judgment appealed from and the Appellate Division order brought up for review should be reversed, with costs, and the motion to dismiss the consolidated proceeding with respect to 700 Waverly Avenue, Mamaroneck, New York denied.

Chief Judge DiFIORE and Judges RIVERA, GARCIA, SINGAS, CANNATARO and TROUTMAN concur.

Judgment appealed from and Appellate Division order brought up for review reversed, with costs, and motion to dismiss the consolidated proceeding with respect to 700 Waverly Avenue, Mamaroneck, New York denied.

[194 NE3d 239, 173 NYS3d 484]

JESUS FERREIRA, Appellant, v CITY OF BINGHAMTON et al.,
Respondents.

Argued February 8, 2022; decided March 22, 2022

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review a question certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following question was certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “Does the ‘special duty’ requirement—that, to sustain liability in negligence against a municipality, the plaintiff must show that the duty breached is greater than that owed to the public generally—apply to claims of injury inflicted through municipal negligence, or does it apply only when the municipality’s negligence lies in its failure to protect the plaintiff from an injury inflicted other than by a municipal employee?”

HEADNOTES

Municipal Corporations — Tort Liability — Special Duty Requirement

1. Plaintiffs must establish that a municipality owed them a special duty when they assert a negligence claim based on actions taken by the municipality acting in a governmental capacity. The special duty rule, which is grounded in separation of powers concerns and a recognition that executive agencies, not the courts and juries, have the primary responsibility to determine the proper allocation of government resources and services, minimizes a municipality’s exposure to open-ended liability that could discourage it from undertaking activities to promote the general welfare. The special duty rule is not limited to instances in which it is alleged that a non-governmental third party directly inflicted the harm. Instead, it has been applied where a party asserts a negligence claim against a municipality acting in its governmental capacity, regardless of who most immediately inflicted the injury. Adopting a rule requiring a distinction between affirmatively inflicted injuries and those occasioned by a failure to adequately respond or protect would improperly merge the separate elements of duty and causation, require an already-rejected distinction between misfeasance and nonfeasance, and produce inconsistent applications, a muddled pleading standard, confusion and arbitrary outcomes.

Municipal Corporations — Tort Liability — Special Duty Requirement — Police Planning and Execution of No-Knock Warrant

2. Plaintiffs may establish a special duty when a municipality, acting through its police force, plans and executes a no-knock search warrant at a

person's home, and such a duty runs to the individuals within the targeted premises at the time the warrant is executed. To sustain liability against a municipality engaged in a governmental function, the duty breached must be more than that owed the public generally before the court will examine the reasonableness of the actions. A special duty can arise in situations where: the plaintiff belonged to a class for whose benefit a statute was enacted; the government entity voluntarily assumed a duty to the plaintiff beyond what was owed to the public generally; or the municipality took positive control of a known and dangerous safety condition. When police plan and execute a no-knock search warrant, they effectively take control of the targeted premises, knowingly creating an unpredictable and potentially dangerous condition at a particular premises. Execution of a no-knock warrant is a charged and volatile situation undertaken at the direction and supervision of municipal actors, who plan and execute the warrant and who can reasonably foresee and take steps to avoid many of the risks occasioned by uncertain reactions to chaotic events when the police forcefully cross the threshold of someone's home. As a result, the municipality's duty to the individuals in the targeted premises, a limited class of potential plaintiffs, exceeds the duty the municipality owes to the members of the general public.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Municipal, County, School, and State Tort Liability §§ 83–87, 99, 378, 380, 412, 413; AM JUR 2d Searches and Seizures §§ 261–264.
CARMODY-WAIT 2d Search and Seizure §§ 173:140, 173:178.
DOBBS LAW OF TORTS § 346.
NY JUR 2d Criminal Law: Procedure § 325; NY JUR 2d Government Tort Liability §§ 43, 141, 164.
NEW YORK LAW OF TORTS §§ 17:47, 17:48, 17:67.

ANNOTATION REFERENCE

Propriety of Execution of No-Knock Search Warrant. 59 ALR6th 311.

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POINTS OF COUNSEL

Sonin & Genis, New York City (*Robert J. Genis* of counsel), and *Alexander J. Wulwick*, New York City, for appellant. The special duty requirement does not apply to the police officer's shooting of plaintiff during a negligently executed, no-knock

search warrant, in violation of nondiscretionary, acceptable police procedures. (*Davis v South Nassau Communities Hosp.*, 26 NY3d 563; *Purdy v Public Adm'r of County of Westchester*, 72 NY2d 1; *Lauer v City of New York*, 95 NY2d 95; *Tenuto v Lederle Labs., Div. of Am. Cyanamid Co.*, 90 NY2d 606; *Palka v Servicemaster Mgt. Servs. Corp.*, 83 NY2d 579; *Gilson v Metropolitan Opera*, 5 NY3d 574; *Sorichetti v City of New York*, 65 NY2d 461; *Riss v City of New York*, 22 NY2d 579; *Kircher v City of Jamestown*, 74 NY2d 251; *Cuffy v City of New York*, 69 NY2d 255.)

Sokoloff Stern LLP, Carle Place (Brian S. Sokoloff of counsel), and *Office of the Corporation Counsel*, Binghamton (Brian Matthew Seachrist of counsel), for respondents. I. This Court should reframe the certified question. (*Applewhite v Accuhealth, Inc.*, 21 NY3d 420; *Turturro v City of New York*, 28 NY3d 469; *Williams v Weatherstone*, 23 NY3d 384; *Lauer v City of New York*, 95 NY2d 95.) II. Long-standing public policies require this Court to find that special duty applies. (*Bernardine v City of New York*, 294 NY 361; *Sharapata v Town of Islip*, 56 NY2d 332; *Florence v Goldberg*, 44 NY2d 189; *Motyka v City of Amsterdam*, 15 NY2d 134; *Tara N.P. v Western Suffolk Bd. of Coop. Educ. Servs.*, 28 NY3d 709; *McLean v City of New York*, 12 NY3d 194; *Lauer v City of New York*, 95 NY2d 95; *Kircher v City of Jamestown*, 74 NY2d 251; *Cuffy v City of New York*, 69 NY2d 255; *Weiss v Fote*, 7 NY2d 579.) III. This Court can avoid the certified question by examining the Second Circuit's faulty predicate rejection of governmental immunity. (*Tango v Tulevech*, 61 NY2d 34; *Kenavan v City of New York*, 70 NY2d 558; *Haddock v City of New York*, 75 NY2d 478; *Mon v City of New York*, 78 NY2d 309; *McCormack v City of New York*, 80 NY2d 808; *Johnson v City of New York*, 15 NY3d 676; *Rodriguez v City of New York*, 189 AD2d 166; *Lubecki v City of New York*, 304 AD2d 224, 2 NY3d 701; *Velez v City of New York*, 157 AD2d 370, 76 NY2d 715; *Valdez v City of New York*, 18 NY3d 69.) IV. Surveillance prior to warrant execution was not the proximate cause of injury. (*Kush v City of Buffalo*, 59 NY2d 26; *Hamilton v Beretta U.S.A. Corp.*, 96 NY2d 222.)

New York Civil Liberties Union Foundation, New York City (Daniel R. Lambright and Christopher T. Dunn of counsel), for New York Civil Liberties Union, amicus curiae. I. Expanding the special duty rule to cases involving government-inflicted injury is inconsistent with section 8 of the Court of Claims Act. (*Matter of Evans v Berry*, 262 NY 61; *Augustine v Town of*

Brant, 249 NY 198; *Babcock v State of New York*, 190 App Div 147, 231 NY 560; *Jackson v State of New York*, 261 NY 134; *Bernardine v City of New York*, 294 NY 361; *Sheehan v North Country Community Hosp.*, 273 NY 163; *Becker v City of New York*, 2 NY2d 226; *Schuster v City of New York*, 5 NY2d 75; *Flamer v City of Yonkers*, 309 NY 114; *Wilkes v City of New York*, 308 NY 726.) II. Expanding the special duty rule to cases involving government-inflicted injuries would be inconsistent with the vast majority of jurisdictions where some form of the special duty rule is applied. III. Municipal liability for government-inflicted injuries incentivizes municipalities to exercise due care particularly when using dangerous policing techniques and fosters public accountability. (*Sheehan v North Country Community Hosp.*, 273 NY 163.)

Michaels & Smolak, P.C., Auburn (*Michael G. Bersani* of counsel), for New York State Academy of Trial Lawyers, amicus curiae. I. This Court should be guided by its past outcomes not by its past phrasing of the rule in dictum. (*Meistinsky v City of New York*, 309 NY 998; *Flamer v City of Yonkers*, 309 NY 114; *Wilkes v City of New York*, 308 NY 726; *Haddock v City of New York*, 75 NY2d 478; *McCummings v New York City Tr. Auth.*, 81 NY2d 923; *Mon v City of New York*, 78 NY2d 309; *Lauer v City of New York*, 95 NY2d 95; *Coleson v City of New York*, 24 NY3d 476.) II. Recognizing that a “special” duty is not required where the government employee directly inflicts harm on a plaintiff comports with the public policy rationale underlying the public duty rule. III. No “special” duty is required where the government agent directly inflicts the harm on a plaintiff because a duty already exists. (*Pulka v Edelman*, 40 NY2d 781; *Tenuto v Lederle Labs., Div. of Am. Cyanamid Co.*, 90 NY2d 606; *Palka v Servicemaster Mgt. Servs. Corp.*, 83 NY2d 579; *Parvi v City of Kingston*, 41 NY2d 553; *Federico v Defoe Corp.*, 138 AD3d 682; *Gilson v Metropolitan Opera*, 5 NY3d 574; *D’Amico v Christie*, 71 NY2d 76; *Pratt v Robinson*, 39 NY2d 554; *Sanchez v State of New York*, 99 NY2d 247.) IV. A finding that a “special” duty is required where the government directly inflicts harm on a plaintiff would essentially abrogate this state’s waiver of sovereign immunity. V. A rule that “special” duty need not be demonstrated when a governmental employee directly inflicts harm on a plaintiff will not open “the floodgates” of tort lawsuits against the government. (*Gilson v Metropolitan Opera*, 5 NY3d 574; *Matter of New York City Asbestos Litig.*, 5 NY3d 486; *Meistinsky v City of New York*, 309 NY 998; *Flamer v City of Yonkers*, 309 NY 114; *Wilkes v City of New York*, 308 NY 726;

Mon v City of New York, 78 NY2d 309; *Haddock v City of New York*, 75 NY2d 478.) VI. Requiring a “special” duty when police directly inflict harm would undermine the movement for greater police accountability. (*Tenuto v Lederle Labs., Div. of Am. Cyanamid Co.*, 90 NY2d 606; *Palka v Servicemaster Mgt. Servs. Corp.*, 83 NY2d 579.) VII. A rule that no “special” duty is needed when the government directly inflicts harm is easier to apply than the misfeasance/nonfeasance distinction. (*Rodriguez v City of New York*, 189 AD2d 166.) VIII. Alternatively, the Court should add a separate category for establishing “special duty” where the government employee directly caused the harm. (*Garrett v Holiday Inns*, 58 NY2d 253; *Kircher v City of Jamestown*, 74 NY2d 251; *Flo & Eddie, Inc. v Sirius XM Radio, Inc.*, 28 NY3d 583.)

New York State Conference of Mayors and Municipal Officials, Albany (Wade Beltramo of counsel), and *New York State Association of Towns*, Albany (Sarah Brancatella of counsel), for New York State Conference of Mayors and Municipal Officials and another, amici curiae. I. Execution of a search warrant should be subject to government immunity unless the plaintiff demonstrates wilful misconduct or gross negligence on the part of the police. (*Della Pietra v State of New York*, 71 NY2d 792; *Teddy’s Dr. In v Cohen*, 47 NY2d 79.) II. A monumental shift away from existing standards of liability should be left to the state legislature as it will have substantial impacts on local government operations and finances, public safety, and court resources.

The Association of the Bar of the City of New York, New York City (Amanda Johnson, Kevin Jason and Ben Herrington-Gilmore of counsel), for New York City Bar Association, amicus curiae. I. Expanding the special duty rule would contradict New York’s long-standing policy of holding municipalities accountable for wrongdoing. (247-59 W., *LLC v State of New York*, 27 Misc 3d 570; *Sorichetti v City of New York*, 65 NY2d 461.) II. Expanding the special duty rule is contrary to the purposes of New York tort law. (*Enright v Eli Lilly & Co.*, 77 NY2d 377, 502 US 868; *Owen v Independence*, 445 US 622; *Adickes v S. H. Kress & Co.*, 398 US 144; *Landon v Kroll Lab. Specialists, Inc.*, 91 AD3d 79.) III. Expanding the special duty rule would exacerbate racial injustice by failing to deter police violence and by preventing compensation for victims of police violence. (*Floyd v City of New York*, 959 F Supp 2d 540.)

New York County Lawyers Association, New York City (Rob-

ert Rickner and *Elliot Dolby Shields* of counsel), for New York County Lawyers Association and another, amici curiae. I. No-knock raids are dangerous. (*McColley v County of Rensselaer*, 740 F3d 817; *Richards v Wisconsin*, 520 US 385.) II. Police raids are insufficiently regulated. III. The negligent planning of the City of Binghamton in this case is exactly the type of behavior that standard common-law tort liability is designed to remedy and deter. (*Davis v South Nassau Communities Hosp.*, 26 NY3d 563; *Tenuto v Lederle Labs., Div. of Am. Cyanamid Co.*, 90 NY2d 606; *Palka v Servicemaster Mgt. Servs. Corp.*, 83 NY2d 579; *Hamilton v Beretta U.S.A. Corp.*, 96 NY2d 222; *Gonzalez v City of New York*, 133 AD3d 65; *Jones v City of Buffalo*, 267 AD2d 1101; *Wyatt v State of New York*, 176 AD2d 574; 532 Madison Ave. *Gourmet Foods v Finlandia Ctr.*, 96 NY2d 280; *Moch Co. v Rensselaer Water Co.*, 247 NY 160; *Landon v Kroll Lab. Specialists, Inc.*, 22 NY3d 1.) IV. The “special duty” doctrine should be limited to cases where the municipality fails adequately to protect against or respond to harms committed by a third party. V. The governmental and discretionary functions exemptions should also not be applied. VI. Alternatively, this Court should hold there is a special duty in instances where municipal actors negligence created a dangerous situation that directly caused the harm. (*McLean v City of New York*, 12 NY3d 194; *Smullen v City of New York*, 28 NY2d 66.)

Sylvia O. Hinds-Radix, Corporation Counsel, New York City (*Antonella Karlin*, *Richard Dearing* and *Scott Shorr* of counsel), for City of New York, amicus curiae. I. The City of Binghamton should not be liable for the discretionary planning decisions of its police officers here. (*Johnson v City of New York*, 15 NY3d 676; *McLean v City of New York*, 12 NY3d 194; *Kovit v Estate of Hallums*, 4 NY3d 499; *Matter of World Trade Ctr. Bombing Litig.*, 17 NY3d 428; *Valdez v City of New York*, 18 NY3d 69; *Weiner v Metropolitan Transp. Auth.*, 55 NY2d 175; *Riss v City of New York*, 22 NY2d 579; *Haddock v City of New York*, 75 NY2d 478; *Mon v City of New York*, 78 NY2d 309; *Desmond v City of New York*, 88 NY2d 455.) II. Planning execution of a no-knock warrant at a private home does not trigger a special duty of care to the occupants. (*Applewhite v Accuhealth, Inc.*, 21 NY3d 420; *Laratro v City of New York*, 8 NY3d 79; *Valdez v City of New York*, 18 NY3d 69; *Pelaez v Seide*, 2 NY3d 186; *Martin v Malhoyt*, 830 F2d 237; *McCummings v New York City Tr. Auth.*, 81 NY2d 923; *Lauer v City of New York*, 95 NY2d 95.)

New York State Trial Lawyers Association, New York City

(*David A. Roth* of counsel), for New York Trial Lawyers Association, amicus curiae. I. That “special” duty only applies to negligent inaction and does not apply to negligent action by a municipal employee is both the settled jurisprudence of this Court and comports with the public policy rationale of the doctrine. (*Ferreira v City of Binghamton*, 975 F3d 255; *Jamison v McClendon*, 476 F Supp 3d 386.) II. The present appeal is an opportunity to clarify that special duty is not at issue where the municipal tortfeasor negligently acts to cause the harm. (*Cuffy v City of New York*, 69 NY2d 255; *Dinardo v City of New York*, 13 NY3d 872; *Mon v City of New York*, 78 NY2d 309; *Lauer v City of New York*, 95 NY2d 95; *McLean v City of New York*, 12 NY3d 194.) III. The Court herein should adopt the three-step process as detailed by the Second Circuit to analyze special duty and governmental immunity defenses. (*Jagatpal v Chamble*, 172 AD3d 573; *Miller v City of New York*, 116 AD3d 829; *Feeney v County of Delaware*, 150 AD3d 1355; *Full v Monroe County Sheriff’s Dept.*, 152 AD3d 1237; *Denis v Town of Haverstraw*, 852 F Supp 2d 405; *Haddock v City of New York*, 140 AD2d 91, 75 NY2d 478.)

OPINION OF THE COURT

SINGAS, J.

The United States Court of Appeals for the Second Circuit has inquired whether New York’s “‘special duty’ requirement” applies “to claims of injury inflicted through municipal negligence” or if it applies only to claims premised upon a municipality’s negligent “failure to protect the plaintiff from an injury inflicted other than by a municipal employee” (975 F3d 255, 291 [2d Cir 2020]). Consistent with our precedent and the purpose of the special duty rule, we reiterate that plaintiffs must establish that a municipality owed them a special duty when they assert a negligence claim based on actions taken by the municipality acting in a governmental capacity. We further clarify that plaintiffs may establish a special duty when a municipality, acting through its police force, plans and executes a no-knock search warrant at a person’s home, and that such a duty runs to the individuals within the targeted premises at the time the warrant is executed.

I.

In August 2011, a police officer employed by defendant Binghamton Police Department obtained information that Michael Pride, an alleged armed and dangerous felony suspect, resided

at a certain apartment in that city. On August 24, 2011, the police obtained a no-knock search warrant for the residence.¹ That night, police officers surveilled the residence for approximately one hour, confirming Pride's connection with the apartment identified in the warrant. The officers observed Pride and another man in front of the residence engage in activity consistent with a drug transaction. Later, they saw Pride leave the residence. The police never saw Pride return to the apartment, and they did not conduct additional surveillance.

Because the police believed that Pride was dangerous, a heavily-armed SWAT team conducted a dynamic entry into the residence early the next morning to execute the search warrant. A dynamic entry uses speed and surprise to gain an advantage before occupants have time to access weapons, destroy evidence, or resist the police. The team had difficulty entering and had to strike the door repeatedly before it opened. After breaching the door, defendant Police Officer Kevin Miller led the SWAT team into the apartment. Upon entry, Miller encountered plaintiff, who had slept on the living room couch near the front door. Plaintiff and Miller gave different accounts of what happened next, but it is undisputed that Miller shot plaintiff, who was unarmed, in the stomach and that plaintiff suffered serious injuries. Miller claimed that plaintiff advanced towards him, and he mistook an Xbox controller in plaintiff's hand for a handgun. Plaintiff maintained that he did not leave the couch, did not have the controller in his hand, and Miller shot him as soon as the door opened.

Plaintiff commenced this action in federal court against, among others, Miller, the police department, and the City of Binghamton (the City). As relevant here, plaintiff asserted a state law negligence claim, contending that the City breached a special duty.² At trial, plaintiff alleged that the City was liable under a respondeat superior theory for Miller's negligence

1. Police may obtain authorization "to enter premises to be searched without giving notice of [their] authority and purpose"—i.e., a no-knock warrant—upon a showing of "reasonable cause to believe" that evidence may be destroyed, notice may endanger the life or safety of the police or other person, or where the subject of a felony warrant is likely to commit another felony or endanger the safety of others (CPL 690.35 [4] [b]).

2. Plaintiff also interposed state law causes of action sounding in false arrest and battery, as well as a federal excessive force claim under 42 USC § 1983.

in shooting plaintiff and for the police department's negligence in planning the raid.

The jury found that Miller had not acted negligently and rendered a verdict in his favor. However, the jury determined that the City was "liable for negligence with respect to the incident . . . under a respondeat superior theory" and awarded plaintiff \$3 million in damages, with 90% apportioned to the City.

Both plaintiff and the City moved for judgment as a matter of law or, alternatively, a new trial. Plaintiff contended that the jury's verdict as to Miller's liability and negligence was against the weight of the evidence and should be set aside. The City argued, among other things, that there was no evidence establishing that it owed a special duty to plaintiff and, in any event, its liability was precluded by the governmental function immunity defense.

As relevant here, the United States District Court for the Northern District of New York denied plaintiff's motion and granted the City's motion for judgment as a matter of law. In denying plaintiff's motion, the court determined that a reasonable jury could have concluded that Miller's "mistake and the shooting that resulted" did not violate any applicable standard of care and hinged on a credibility determination best left for the jury (2017 WL 4286626, *5, 2017 US Dist LEXIS 159141, *15 [ND NY, Sept. 27, 2017, No: 3:13-CV-107, McAvoy, Sr. J.]). Concerning the City's motion, the court concluded that New York law required that plaintiff demonstrate that the City owed him a special duty and no record evidence supported a special duty here. The court noted that, in any event, the governmental function immunity defense would bar plaintiff's claim against the City.

Upon plaintiff's appeal, the Second Circuit upheld the portion of the district court order denying plaintiff's motion, explaining that "the jury could reasonably conclude that Miller was not negligent in believing himself threatened and shooting" plaintiff (975 F3d at 268). The issue of whether Miller was negligent in shooting plaintiff was therefore resolved in the federal courts and is not before us.

The Second Circuit next addressed the district court's grant of judgment as a matter of law to the City. The court first determined that the governmental function immunity defense did not protect the City from liability because plaintiff had

“elicited sufficient evidence to support a jury finding that the City, through the actions of its employees in the police department and SWAT unit, violated established police procedures and acceptable police practice” by “failing to conduct adequate pre-raid surveillance of the residence or gather other intelligence” (*id.* at 272).³

The court then turned to plaintiff’s argument that “the special duty requirement applies only in cases in which the allegedly negligent government conduct is the failure to protect from or respond adequately to a separately imposed injury, but does not apply where the negligent conduct alleged involves the municipal government’s own infliction of injury” (*id.* at 282). According to the Second Circuit, New York law offered “conflicting guidance” on the issue, making it “impossible to discern” whether plaintiff was required to establish a special duty (*id.*). The Second Circuit therefore certified a question to this Court:

“Does the ‘special duty’ requirement—that, to sustain liability in negligence against a municipality, the plaintiff must show that the duty breached is greater than that owed to the public generally—apply to claims of injury inflicted through municipal negligence, or does it apply only when the municipality’s negligence lies in its failure to protect the plaintiff from an injury inflicted other than by a municipal employee?” (*Id.* at 291.)

We accepted the question (*see* 35 NY3d 1105 [2020]).

II.

New York waived its immunity from liability in 1929 when it enacted Court of Claims Act former § 12-a, now § 8 (*see Bernardine v City of New York*, 294 NY 361, 365 [1945]). The State’s immunity waiver applies equally to its municipal subdivisions, including cities (*see Valdez v City of New York*, 18 NY3d 69, 75 [2011]; *Florence v Goldberg*, 44 NY2d 189, 195 [1978]). By this waiver, “the State assumed liability for its conduct and consented to have such liability determined in accordance with

3. The Second Circuit did not certify a question concerning governmental function immunity and, thus, we have no occasion to address the Second Circuit’s analysis of that issue here, despite the City’s request that we do so (*see* 975 F3d at 271 [noting that the governmental function immunity issue on the appeal raised “two related but distinct legal questions, which the New York Court of Appeals has apparently not explicitly addressed”]).

the same rules of law applicable to individuals and corporations,” thereby opening the door to negligence claims against municipal actors (*Florence*, 44 NY2d at 194-195). Nevertheless, “other recognized limitations still govern the tort liability of municipal officers” (*Tango v Tulevech*, 61 NY2d 34, 40 [1983]), and governmental defendants “unquestionably continue to enjoy . . . a significant measure of immunity” (*Haddock v City of New York*, 75 NY2d 478, 484 [1990]; see *Connolly v Long Is. Power Auth.*, 30 NY3d 719, 726-727 [2018]).

In any common-law negligence case brought pursuant to New York law, “a plaintiff must demonstrate (1) a duty owed by the defendant to the plaintiff, (2) a breach thereof, and (3) injury proximately resulting therefrom” (*Solomon v City of New York*, 66 NY2d 1026, 1027 [1985]). Thus, a threshold issue that the court must resolve “is whether the defendant owed a legally recognized duty to the plaintiff” (*Gilson v Metropolitan Opera*, 5 NY3d 574, 576 [2005]; see *Lauer v City of New York*, 95 NY2d 95, 100 [2000]). A negligence claim against a municipality implicates a “complex area of the law” that has caused some “confusion concerning the relationship between the special duty rule (establishing a tort duty of care) and the governmental function immunity defense (affording a full defense for discretionary acts, even when all elements of the negligence claim have been established)” (*Valdez*, 18 NY3d at 77-78). This Court has therefore adhered to a conceptual framework to analyze the special duty and governmental function immunity doctrines when both issues are presented in a given case.

As we have explained previously, a court must first decide “whether the municipal entity was engaged in a proprietary function or acted in a governmental capacity at the time the claim arose” (*Applewhite v Accuhealth, Inc.*, 21 NY3d 420, 425 [2013]; see *Tara N.P. v Western Suffolk Bd. of Coop. Educ. Servs.*, 28 NY3d 709, 713 [2017]). “This is so because, if the action challenged in the litigation is governmental, the existence of a special duty is an element of the plaintiff’s negligence cause of action” (*Connolly*, 30 NY3d at 727, citing *Lauer*, 95 NY2d 95). A municipality’s “varied functions” may be “interspersed with both governmental and proprietary elements” and, therefore, “the determination of the primary capacity under which a governmental agency was acting turns solely on the acts or omissions claimed to have caused the injury” (*Matter of World Trade Ctr. Bombing Litig.*, 17 NY3d 428, 447 [2011], *cert denied* 568 US 817 [2012]).

“A government entity performs a purely proprietary role when its activities essentially substitute for or supplement traditionally private enterprises” (*Applewhite*, 21 NY3d at 425 [internal quotation marks and citation omitted]), such as when a government entity acts as a landlord (*see Miller v State of New York*, 62 NY2d 506, 511 [1984]). Conversely, “a municipality will be deemed to have been engaged in a governmental function when its acts are undertaken for the protection and safety of the public pursuant to the general police powers” (*Applewhite*, 21 NY3d at 425 [internal quotation marks and citation omitted]). Examples of governmental functions include fire protection services, the oversight of juvenile delinquents, the issuance of building permits or certificates of occupancy, garbage collection, and the provision of front-line emergency medical services (*see id.* at 425-426, 430). As particularly relevant here, policing is a “long-recognized, quintessential governmental function[]” (*id.* at 425; *see Valdez*, 18 NY3d at 75), and there is no dispute that the specific act alleged to have caused the injury here—the planning and execution of a no-knock warrant—is a governmental function.

We have also explained previously that “[i]f the municipality’s actions fall in the proprietary realm, it is subject to suit under the ordinary rules of negligence applicable to nongovernmental parties” (*Applewhite*, 21 NY3d at 425; *see Tara N.P.*, 28 NY3d at 713). In that instance, “the State is held to the same duty of care as private individuals and institutions engaging in the same activity,” consistent with the State’s sovereign immunity waiver (*Schrempf v State of New York*, 66 NY2d 289, 294 [1985]). However, where a municipality is exercising a governmental function—i.e., undertaking functions or services that are not typically provided by private actors—the duty question is more complicated, with “the next inquiry focus[ing] on the extent to which the municipality owed a ‘special duty’ to the injured party” (*Applewhite*, 21 NY3d at 426; *see Tara N.P.*, 28 NY3d at 714).⁴

Under the public duty rule, a municipality owes a general duty to the public, but it does not owe “a duty of care running

4. The dissent ignores this black letter law, erroneously suggesting that whether a municipality is engaged in a governmental or proprietary function has no bearing on an assessment of negligence (*see* dissenting op at 319, 325-326). Our cases plainly demonstrate the significance of the proprietary/governmental function distinction to the special duty analysis, with only proprietary functions subject to an “ordinary” duty of care (*see e.g. Wittorf v City of New York*, 23 NY3d 473, 479-480 [2014] [highway planning, design, and

(n. cont’d)

to a specific individual sufficient to support a negligence claim, unless the facts demonstrate that a special duty was created” (*Valdez*, 18 NY3d at 75; see *Florence*, 44 NY2d at 195-196). The special duty doctrine thus developed “to rationally limit the class of citizens to whom the municipality owes a duty of protection” (*Kircher v City of Jamestown*, 74 NY2d 251, 258 [1989]). “The core principle is that to ‘sustain liability against a municipality [engaged in a governmental function], the duty breached must be more than that owed the public generally’ ” (*Applewhite*, 21 NY3d at 426, quoting *Valdez*, 18 NY3d at 75; see *Lauer*, 95 NY2d at 100). To that end, we have “consistently refused to impose liability for a municipality in performing a public function absent a duty to use due care for the benefit of particular persons or classes of persons” (*Lauer*, 95 NY2d at 101 [internal quotation marks and citation omitted]). That is not to say that a negligence claim may never lie against a municipal defendant for acts undertaken in its governmental capacity. Rather, this Court has recognized that a special duty exists in “a narrow class of cases” where the plaintiff establishes a duty on the part of the municipal defendant running to the plaintiff (*Cuffy v City of New York*, 69 NY2d 255, 260 [1987]; see *Sorichetti v City of New York*, 65 NY2d 461, 468 [1985] [a special duty arises in “extraordinary instances”]).

More specifically, this Court has

“recognized that a special duty can arise in three situations: (1) the plaintiff belonged to a class for whose benefit a statute was enacted; (2) the government entity voluntarily assumed a duty to the plaintiff beyond what was owed to the public generally; or (3) the municipality took positive control of a known and dangerous safety condition” (*Applewhite*, 21 NY3d at 426).

Where the claimed negligent acts or omissions involved a governmental function, “[i]t is the plaintiff’s obligation to prove that the government defendant owed a special duty of care to the injured party because duty is an essential element of the negligence claim itself” (*id.*). “In situations where the plaintiff fails to meet this burden, the analysis ends and liability may not be imputed to the municipality that acted in a governmental capacity” (*id.*; see *Tara N.P.*, 28 NY3d at 714). Thus, where

maintenance are proprietary functions]; *Schrempf*, 66 NY2d at 294 [certain medical and psychiatric care are proprietary functions]).

there is no special duty “courts will not examine the ‘reasonableness’ of the municipality’s actions” (*Sorichetti*, 65 NY2d at 468).⁵

“Even if a plaintiff satisfies” their burden of demonstrating that a special duty exists, “a municipality acting in a discretionary governmental capacity may rely on the ‘governmental function immunity defense,’ ” an affirmative defense that must be pleaded and proved by the municipality (*Turturro v City of New York*, 28 NY3d 469, 478 [2016], quoting *Valdez*, 18 NY3d at 75). “The doctrine of governmental function immunity ‘reflects separation of powers principles and is intended to ensure that public servants are free to exercise their decision-making authority without interference from the courts’ ” (*Connolly*, 30 NY3d at 727, quoting *Valdez*, 18 NY3d at 76). The doctrine represents

“a value judgment that—despite injury to a member of the public—the broader interest in having government officers and employees free to exercise judgment and discretion in their official functions, unhampered by fear of second-guessing and retaliatory lawsuits, outweighs the benefits to be had from imposing liability for that injury” (*Haddock*, 75 NY2d at 484; see *Valdez*, 18 NY3d at 76).

The governmental function immunity defense “provides immunity for the exercise of discretionary authority during the performance of a governmental function” (*Turturro*, 28 NY3d at 479). Thus, “even if a plaintiff establishes all elements of a negligence claim, a state or municipal defendant engaging in a governmental function can avoid liability if it timely raises the defense and proves that the alleged negligent act or omission involved the exercise of discretionary authority” (*Valdez*, 18 NY3d at 76; see *Haddock*, 75 NY2d at 484). The “defense cannot attach,” however, “unless the municipal defendant establishes that the discretion possessed by its employees was in fact exercised in relation to the conduct on which liability is predicated” (*Valdez*, 18 NY3d at 76; see *McLean v City of New York*, 12 NY3d 194, 203 [2009]). As we have previously clarified, when both the special duty requirement and the govern-

5. On the other hand, because the special duty rule and the governmental function immunity defense operate independently of each other, in appropriate circumstances, a court may conclude that the municipality is not liable for its alleged negligence under the governmental function immunity defense, without first addressing special duty.

mental function immunity defense are asserted in a negligence case, “the rule that emerges is that ‘[g]overnment action, if discretionary, may not be a basis for liability, while ministerial actions may be, but only if they violate a special duty owed to the plaintiff, apart from any duty to the public in general’ ” (*Valdez*, 18 NY3d at 76-77, quoting *McLean*, 12 NY3d at 203). As discussed, the Second Circuit conducted its own analysis concerning governmental function immunity, and has not asked us to opine on this aspect of their ruling.

III.

[1] Plaintiff argues that a special duty is required only in cases where the municipality allegedly fails to protect a plaintiff from or respond adequately to injury inflicted by a nongovernmental third party. As a result, plaintiff argues, the special duty rule does not apply where a municipal employee inflicts the injury in question. We have never limited the requirement to establish a special duty in the manner advanced by plaintiff, and we decline to do so now. Such a rule—purporting to draw a distinction between those negligence claims alleging injuries inflicted by municipal actors and those in which the injury is alleged to be inflicted by a nongovernmental actor—is belied by our precedent, unworkable, and contrary to the public policies upon which the special duty requirement is founded.

As discussed, where a plaintiff seeks to demonstrate a special duty, this Court has recognized three avenues to do so. The second route, showing a municipality’s voluntary assumption of a duty, is the most litigated and, thus, dominates this Court’s case law. This issue often arises in the context of a claim that the police failed to protect the plaintiff from injury inflicted by a third party after voluntarily assuming a duty to do so. A plaintiff must establish four elements to show a “special relationship” giving rise to a voluntarily assumed duty (*Tara N.P.*, 28 NY3d at 714):

“(1) an assumption by the municipality, through promises or actions, of an affirmative duty to act on behalf of the party who was injured; (2) knowledge on the part of the municipality’s agents that inaction could lead to harm; (3) some form of direct contact between the municipality’s agents and the injured party; and (4) that party’s justifiable reli-

ance on the municipality's affirmative undertaking" (*Cuffy*, 69 NY2d at 260; see *Tara N.P.*, 28 NY3d at 714-715).

It is undisputed that the special duty rule applies where non-governmental third parties directly inflicted plaintiff's injury, including in the police protection context (see e.g. *Valdez*, 18 NY3d at 72; *Cuffy*, 69 NY2d at 258; *Sorichetti*, 65 NY2d at 468; see also *McLean*, 12 NY3d at 204 [requiring the plaintiff to establish a special duty where she claimed that the municipality acted negligently in failing to protect an infant from injury caused by a private day care provider licensed by the municipality]).

However, we have never limited the special duty rule to instances in which it is alleged that a nongovernmental third party directly inflicted the harm. Instead, we have applied the special duty rule where a party asserts a negligence claim against a municipality acting in its governmental capacity, regardless of who most immediately inflicted the injury. We reiterate the special duty rule's core principle as stated in *Lauer*: "[t]o sustain liability against a municipality, the duty breached must be more than that owed the public generally" (95 NY2d at 100; see *Connolly*, 30 NY3d at 727; *Florence*, 44 NY2d at 195). In other words, "an agency of government is not liable for the negligent performance of a governmental function unless there existed 'a special duty to the injured person, in contrast to a general duty owed to the public'" (*McLean*, 12 NY3d at 199, quoting *Garrett v Holiday Inns*, 58 NY2d 253, 261 [1983]). That is, whenever "an individual seeks recovery out of the public purse" for acts taken in a governmental capacity (*Lauer*, 95 NY2d at 100), "[i]t is the plaintiff's obligation to prove that the government defendant owed a special duty of care to the injured party because duty is an essential element of the negligence claim itself" (*Applewhite*, 21 NY3d at 426). The requirement that a plaintiff establish a special duty when stating a negligence claim against a municipality acting in a governmental capacity reinforces these principles—despite the dissent's assertion that we are adopting a "novel proposition" (dissenting op at 332).

Lauer makes this point in no uncertain terms, directly contradicting plaintiff's attempt to limit the special duty requirement. In *Lauer*, the medical examiner, a municipal employee, erroneously determined at first that a child's death was a homicide, but later concluded that he actually died of natural

causes. The medical examiner “failed to correct the autopsy report or death certificate, and failed to notify law enforcement authorities,” who were investigating the child’s father for the homicide (95 NY2d at 98). After the autopsy report was corrected and the police investigation ended, the father sought damages for the harm allegedly caused by the medical examiner’s negligence. We dismissed the complaint, concluding that the father failed to establish that the medical examiner owed him a special duty beyond that owed to the public at large (*see id.* at 102, 105). Thus, in *Lauer*, we applied the special duty rule even though it was the acts of the municipally employed medical examiner, not a third party, that allegedly caused the father’s injury.⁶

Any suggestion that prior cases dispensed with the special duty rule when the municipality in question directly inflicted the alleged harm is incorrect. As the Second Circuit recognized, we resolved both *Johnson v City of New York* (15 NY3d 676 [2010]) and *Mon v City of New York* (78 NY2d 309 [1991]) by applying the governmental function immunity doctrine (*see* 975 F3d at 285 n 11) and, thus, it was unnecessary to address whether the plaintiff had established a special duty. Similarly, “we did not address the question of special duty in *Haddock*” (*Tara N.P.*, 28 NY3d at 716 n), where the issue was whether the municipality could “be held liable . . . for negligent retention” of the employee “or whether it [was] immune from liability” (*Haddock*, 75 NY2d at 483). We concluded that the municipality “was properly held liable for [a] child’s injuries” because there was no evidence that the municipality “exercised any . . . discretion” that would have made the governmental function immunity defense applicable (*id.* at 480, 485). We likewise did not address whether the plaintiffs established a special duty in the other cases upon which plaintiff relies, as the issue was not raised (*see McCummings v New York City Tr. Auth.*, 81 NY2d 923, 925 [1993], *cert denied* 510 US 991 [1993]; *Meistinsky v City of New York*, 309 NY 998, 1000 [1956], *affg* 285 App Div 1153 [2d Dept 1955]; *Flamer v City of Yonkers*,

6. The dissent misreads *Lauer* to suggest that a plaintiff may establish an “ordinary duty” separate from a special duty when a municipality is “exercising a governmental function” (dissenting op at 332). While *Lauer* sets forth a general discussion of the law of duty, its holding plainly rejects the two bases proffered to establish a special duty, namely theories based on certain statutes and conduct purportedly giving rise to a voluntary assumption of a duty (*Lauer*, 95 NY2d at 101-103).

309 NY 114, 119 [1955]; *Wilkes v City of New York*, 308 NY 726, 728 [1954], *affg* 283 App Div 724 [2d Dept 1954]).

Cases like *Haddock*, *Johnson*, and *Mon*, which addressed only governmental function immunity, cannot reasonably be interpreted to cast aside the special duty rule. The same is true for cases like *McCummings*, *Meistinsky*, *Flamer*, and *Wilkes*, which likewise did not address special duty in any regard and were decided prior to this Court's subsequent refinement of the special duty rule in *Lauer* and *Valdez*.⁷

In short, we have never affirmatively held that a plaintiff need not establish a special duty when stating a negligence cause of action against a municipality for acts occurring when the municipality was engaged in a governmental function. To do so here would depart from our precedent and require us to assume that the cases upon which plaintiff relies held, by implication, that no special duty was required in the respective factual scenarios based on what was omitted from our opinions. This we decline to do.

Other factors support our conclusion. First, plaintiff's proposed rule is unworkable as a practical matter. Duty and causation are separate elements of a negligence cause of action, but plaintiff urges us to improperly merge those elements by looking to the purported cause of the injury to determine whether the municipality owed a duty. In every instance in which a municipality is alleged to be liable for negligence—whether it be a failure to protect or respond or a situation in which the municipal actor more directly inflicted an injury—there must necessarily be a claim that the municipality caused the injury, at least in part. Given that there are often multiple causes of an injury, a rule tying the special duty pleading requirement to who caused the injury in question is untenable.

Further, as we have explained, “our precedent does not differentiate between misfeasance and nonfeasance, and such a distinction is irrelevant to the special duty analysis” (*Applewhite*, 21 NY3d at 426 n 1). In part, this is because “the line between misfeasance and nonfeasance is difficult to draw” (*Eaves Brooks Costume Co. v Y.B.H. Realty Corp.*, 76 NY2d 220, 226 [1990]). The rule advanced by plaintiff requiring a

7. Our decision does not implicitly overrule *McCummings*, *Meistinsky*, *Flamer*, and *Wilkes*. We simply have not yet examined factual circumstances similar to those cases through the lens of our contemporary understanding of the special duty doctrine.

distinction between affirmatively inflicted injuries and those occasioned by a failure to adequately respond or protect far too closely resembles the misfeasance versus nonfeasance distinction we have rejected. Adopting plaintiff's rule would produce inconsistent applications of the special duty requirement and a muddled pleading standard, leading to confusion and arbitrary outcomes.

Moreover, our conclusion that the special duty requirement applies to all negligence actions against a governmental defendant is consistent with the public policies upon which the special duty requirement is founded. Of course, the special duty rule is intended, in part, to ensure that municipalities do not become insurers for the injurious conduct of third parties (*see Valdez*, 18 NY3d at 75). More generally, however, the special duty rule is grounded in separation of powers concerns and a recognition that executive agencies, not the courts and juries, have the primary responsibility to determine the proper allocation of government resources and services (*see O'Connor v City of New York*, 58 NY2d 184, 191 [1983]). Indeed, the special duty rule minimizes a municipality's exposure to "open-ended liability of enormous proportions and with no clear outer limits," which could otherwise "discourage municipalities from undertaking activities to promote the general welfare" that may expose them to liability (*id.*; *see McLean*, 12 NY3d at 204). The special duty rule does not, and has never been understood to, "expand[] the circumstances in which governmental entities can be held liable in negligence" as the dissent would have it (dissenting op at 322). Rather, it is intended to allow municipalities to "allocat[e] resources where they would most benefit the public" and ensure that "the prime concern" is not "the avoidance of tort liability" but "the promotion of the public welfare" (*O'Connor*, 58 NY2d at 191). These concerns are no less implicated where an injury is more immediately inflicted through acts taken by a municipal defendant.

Finally, our conclusion that the special duty requirement applies to all claims against municipal actors does not obviate the State's waiver of sovereign immunity. Instead, it simply requires the establishment of a duty, as is required for all negligence claims, while accounting for the unique considerations that are at play when the defendants are municipal actors undertaking governmental functions (*see generally Florence*, 44 NY2d at 195).

IV.

[2] Our precedent dictates that a plaintiff must establish a special duty when suing a municipality in negligence. However, because the underlying premise of the certified question appears to be that a special duty could not be established in a scenario like the one presented, we take this opportunity to clarify that this is not the case: a special duty may be established where the police plan and execute a no-knock search warrant on a targeted residence.⁸ Although we have not yet had an occasion to address application of the special duty rule to the execution of no-knock search warrants, that situation fits within the existing parameters of our special duty precedent.

Smullen v City of New York (28 NY2d 66 [1971]) is the prototypical case for the third manner of establishing a special duty, where the municipality takes positive control of a known and dangerous safety condition. There, we determined that a special duty could be established where a municipal inspector on a work site informed the decedent that a trench did not need to be shored just before it collapsed, killing the decedent. We explained that the municipality had “actual knowledge of the dangerous condition,” the authority to halt work on the trench, the inspector was the only person in authority then present, and the inspector took “positive action in assuming direction and control” over the dangerous situation of the inspector’s own making (*id.* at 71, 72; compare *O’Connor*, 58 NY2d at 191).

Consistent with our approach in *Smullen*, when police plan and execute a no-knock search warrant, they effectively take control of the targeted premises, knowingly creating an unpredictable and potentially dangerous condition at a particular premises. The police decide when, where, and how to execute the warrant, often proceeding with a dynamic entry which typically involves several heavily armed police officers breaching a door in a show of force that is intended to surprise unsuspecting occupants of the premises. These types of raids are often conducted in the early-morning hours to catch people off-guard, thereby minimizing the risk of destruction of evi-

8. Notably, however, plaintiffs alleging injuries caused by police shootings often assert other state law tort claims, such as battery, and federal claims of excessive force, that do not require a showing of duty (see *Jones v State of New York*, 33 NY2d 275, 279 [1973]). Indeed, plaintiff asserted such claims in this litigation.

dence and danger to the life and safety of the police and residents.

The execution of a no-knock warrant is a charged and volatile situation undertaken at the direction and supervision of municipal actors, who plan and execute the warrant and who can reasonably foresee and take steps to avoid many of the risks occasioned by uncertain reactions to chaotic events when the police forcefully cross the threshold of someone's home. In a no-knock warrant situation, the police exercise extraordinary governmental power to intrude upon the sanctity of the home and take temporary control of the premises and its occupants. In such circumstances, the police direct and control a known and dangerous condition, effectively taking command of the premises and temporarily detaining occupants of the targeted location. As a result, the municipality's duty to the individuals in the targeted premises, a limited class of potential plaintiffs, exceeds the duty the municipality owes to the members of the general public. A special duty therefore arises when the police plan and execute a no-knock search warrant at an identified residence, running to the individuals within the targeted premises at the time the warrant is executed. In other words, in those circumstances, the police take positive control of a known and dangerous condition, creating a special duty under the third situation recognized by this Court.

Accordingly, the certified question should be answered in accordance with this opinion.

WILSON, J. (dissenting). The Second Circuit certified the following question to this Court:

“Does the ‘special duty’ requirement—that, to sustain liability in negligence against a municipality, the plaintiff must show that the duty breached is greater than that owed to the public generally—apply to claims of injury inflicted through municipal negligence, or does it apply only when the municipality's negligence lies in its failure to protect the plaintiff from an injury inflicted other than by a municipal employee?” (*Ferreira v City of Binghamton*, 975 F3d 255, 291 [2d Cir 2020]).

The majority holds that officers who plan and execute a no-knock search warrant owe a “special duty” to the individuals in the targeted premises. My answer is different: such officers

have a duty—not a special duty—to plan and execute the no-knock search warrant in a manner reasonable under the circumstances to avoid foreseeable harm. As the majority recognizes, when New York waived its sovereign immunity (and that of its municipal subdivisions), it “assumed liability for its conduct and consented to have such liability *determined in accordance with the same rules of law applicable to individuals and corporations*” (majority op at 307-308 [emphasis added], quoting *Florence v Goldberg*, 44 NY2d 189, 194-195 [1978]; see also *Bernardine v City of New York*, 294 NY 361, 365 [1945] [“the civil divisions of the State are answerable equally with individuals and private corporations for wrongs of officers and employees”]).

The majority’s principal error, which infects its entire analysis, is embodied in the following statement: “Consistent with our precedent and the purpose of the special duty rule, we reiterate that plaintiffs must establish that a municipality owed them a special duty when they assert a negligence claim based on actions taken by the municipality acting in a governmental capacity” (majority op at 304). That statement: (1) is not consistent with our precedent, in which we have repeatedly evaluated negligence claims against governmental actors by asking whether an ordinary duty exists; and (2) improperly incorporates the governmental/proprietary distinction from immunity law into negligence law (see *Motyka v City of Amsterdam*, 15 NY2d 134, 138 [1965] [“just as it is necessary to sustain an action against an individual or private corporation to ascertain whether it is under a duty to a plaintiff, so, also, it is necessary to decide whether a city or other civil subdivision or municipal corporation is under a duty to a plaintiff irrespective of sovereign immunity”]).

Our numerous precedents—spanning well over a century—establish that municipalities can owe an *ordinary* duty of care to individual members of the public. It is only when a plaintiff cannot demonstrate the existence of an ordinary duty breached by a governmental actor that the “special duty” doctrine comes into play. That is, the “special duty” doctrine is not a contraction of the circumstances under which a plaintiff could establish a claim for negligence; it is, as its name suggests, an expansion that allows a claim of negligence to proceed even when no ordinary duty exists.

Often, recovery in actions where a plaintiff has properly pleaded or proved a claim of negligence against a governmental

actor will be blocked by governmental function immunity, but that is not a reason to incorporate immunity-related concepts into the law of negligence: that law is the same whether the actor is private or public.¹

I.

Whether the actor is public or private, negligence requires the same elements of proof. To establish a claim of negligence, a plaintiff must prove: (1) a duty owed to the plaintiff by the defendant, (2) a breach of that duty, and (3) an injury that is the proximate result of the breach (*Pasternack v Laboratory Corp. of Am. Holdings*, 27 NY3d 817, 825 [2016]; *Solomon v City of New York*, 66 NY2d 1026, 1027 [1985]; *Akins v Glens Falls City School Dist.*, 53 NY2d 325 [1981]). The first element—whether a defendant owes a duty to a plaintiff—is an important threshold requirement for negligence claims and is the sole element relevant to answering the certified question.

To determine whether a duty exists and the scope of a duty, we consider the wrongfulness of the defendant's action or inaction and examine the plaintiff's reasonable expectations of care owed by others (*Turcotte v Fell*, 68 NY2d 432, 437 [1986]). Risk and foreseeability of an injury help determine whether a duty exists. We have stated that a "risk reasonably to be perceived defines the duty to be obeyed, and risk imports relation; it is risk to another or to others within the range of apprehension" (*Palsgraf v Long Is. R.R. Co.*, 248 NY 339, 344 [1928]). Accordingly, when someone "is by circumstances placed in such a position with regard to another that every one of ordinary sense . . . would at once recognize that if [the second person] did not use ordinary care and skill in his own conduct with regard to the circumstances he would cause danger of injury to the person or property of the other, a duty arises to use ordinary care and skill to avoid such danger" (*Havas v Victory Paper Stock Co.*, 49 NY2d 381, 386 [1980], quoting *Heaven v Pender* [1883] 11 QBD 503 at 509 [Brett MR]). Logic, science, and

1. The majority acknowledges that "[t]he Second Circuit did not certify a question concerning governmental function immunity and, thus, we have no occasion to address the Second Circuit's analysis of that issue here, despite the City's request that we do so" (majority op at 307 n 3). Despite that acknowledgment, the majority discusses governmental immunity at length and then improperly injects that discussion into negligence law as applied to governmental actors (majority op at 308-309). The elements of negligence law and the elements of governmental immunity are two unrelated subjects whose separateness should be maintained, not conflated.

policy factor into our analysis of whether a duty exists (*De Angelis v Lutheran Med. Ctr.*, 58 NY2d 1053, 1055 [1983]).

When someone sues a governmental entity for negligence, the first inquiry is whether the governmental entity owes an ordinary duty of care to the plaintiff. As with any negligence claim, that ordinary duty depends on a plaintiff's reasonable expectations and the foreseeability of injury to the plaintiff based on the defendant's actions (*see Turcotte*, 68 NY2d at 437; *Palsgraf*, 248 NY at 344; *Havas*, 49 NY2d at 386). We have thus found an ordinary duty of care was owed to an individual by a governmental defendant in numerous and varied situations—for example where a city employee improperly screened by a city agency sexually assaulted a person (*Haddock v City of New York*, 75 NY2d 478 [1990]); where governmental entities failed to maintain a highway safely (*Brown v State of New York*, 31 NY3d 514 [2018]; *Turner v City of Newburgh*, 109 NY 301 [1888]); where a police officer shot and paralyzed a person who was unarmed and running away from a robbery (*McCummings v New York City Tr. Auth.*, 81 NY2d 923 [1993]); where an iron grate at a courthouse crushed a coal delivery person (*Galvin v Mayor*, 112 NY 223 [1889]); where police allegedly shot and killed someone who was intoxicated and not posing any harm to the officers (*Flamer v City of Yonkers*, 309 NY 114 [1955]); where a Board of Education negligently supervised a student who attacked another student (*Mirand v City of New York*, 84 NY2d 44 [1994]); where a runaway police horse injured a bystander (*Bernardine*, 294 NY 361); where the state permitted an opening in the railing of a bridge, through which a child fell and a father died attempting a rescue (*Gibney v State of New York*, 137 NY 1 [1893]); where police shot and killed an innocent bystander being held up by someone in a store (*Meistinsky v City of New York*, 309 NY 998 [1956]); and “frequently” where state entities “breach[ed] [their] duty to protect others from the acts of the mentally ill confined to State institutions” (*Williams v State of New York*, 308 NY 548, 554 [1955] [collecting cases]). In those myriad instances, we held that governmental entities, sometimes through police action, bore an ordinary duty of care. In none of those cases did we suggest any “special duty” was involved, and in many the facts would not have fit within any of the avenues available to recognize a special duty.

If a plaintiff cannot prove an ordinary duty of care owed by a governmental defendant, a plaintiff may nevertheless be able to maintain a negligence claim by showing that the governmen-

tal defendant bore a “special duty” running to that plaintiff. Governmental entities may assume a “special duty” to a plaintiff by three avenues: first, where a plaintiff belongs to a distinct class for whose benefit a statute was enacted; second, where a governmental actor voluntarily assumes a duty to the plaintiff beyond what is owed to the public generally;² and third, where a governmental actor takes positive control of a known and dangerous safety condition (*Applewhite v Accuhealth, Inc.*, 21 NY3d 420, 426 [2013]). Proving a “special duty” is not a requirement for all suits against a governmental entity; instead, it is a means for some individuals to maintain negligence claims when they are unable to prove an ordinary duty of care owed by the governmental defendant. The “special duty” doctrine expands the circumstances in which governmental entities can be held liable in negligence even when the government owes no ordinary duty of care to the plaintiff. The “special duty” is not, as the majority suggests, a restrictive requirement that applies to all negligence suits against governmental entities acting in a governmental capacity. Instead, it arises where the governmental actor has, through its actions as to a specific, identifiable individual, undertaken a duty it would not otherwise have (or, in a circumstance not relevant here, the legislature has statutorily created a duty for a defined class of persons). Thus, the doctrine is akin to the “ancient” common-law rule (subsequently modified by good Samaritan laws) that “one who assumes to act, even though gratuitously, may thereby become subject to the duty of acting carefully” (*Glanzer v Shepard*, 233 NY 236, 239 [1922]; see also *Marks v Nambil Realty Co.*, 245 NY 256 [1927]).

We have typically considered the “special duty” doctrine where a municipality has failed to protect the plaintiff from harm caused by a third party. The “special duty” inquiry can arise in such situations because a general duty municipalities may have to protect the public does not automatically give rise to an ordinary duty owed to a specific individual. In several early cases, we concluded that the general obligation of a

2. A plaintiff must satisfy each of four conditions to prove a governmental defendant voluntarily assumed a special duty to the plaintiff: (i) the governmental defendant must have assumed through promises or actions an affirmative duty to act on behalf of the injured party; (ii) the governmental defendant must have known that its inaction could cause harm; (iii) the plaintiff must have had direct contact with the governmental defendant; and (iv) the plaintiff must have justifiably relied on the governmental defendant’s affirmative undertaking (*Cuffy v City of New York*, 69 NY2d 255, 260 [1987]).

municipality to provide water to residents does not create a duty sufficient to render municipalities liable in negligence to owners of buildings that burned because of a failure in the water supply (see e.g. *Steitz v City of Beacon*, 295 NY 51 [1945]; *Moch Co. v Rensselaer Water Co.*, 247 NY 160 [1928]). Likewise, the fact that local governments are responsible for police and fire services does not create a duty sufficient to support claims of negligence for the failure of those services to prevent or minimize harm to individual members of the public caused by a third party. The government is not meant to serve as an insurer against harm individuals may suffer on part of third parties, a proposition particularly relevant to the context of policing (*Valdez v City of New York*, 18 NY3d 69, 75 [2011]). As we summarized in *Riss v City of New York* (22 NY2d 579, 583 [1968]),

“there is no warrant . . . for the courts, in the absence of legislation, to carve out an area of tort liability for police protection to members of the public. Quite distinguishable, of course, is the situation where the police authorities undertake responsibilities to particular members of the public and expose them, without adequate protection, to the risks which then materialize into actual losses (*Schuster v City of New York*, 5 NY2d 75).”

In a nutshell, then, the special duty doctrine typically pertains, as the Second Circuit was “inclined to think” (975 F3d at 282), to acts by third parties where the plaintiff alleged that the government failed to protect the plaintiff.

In situations like those above, where the provision of government services is insufficient to support an ordinary duty necessary for a negligence claim to proceed, we then have asked whether a special duty exists. Thus, we considered whether a special duty arose where the police promised to staff a school crosswalk and the child’s parent relied on that promise (*Florence v Goldberg*, 44 NY2d 189, 195 [1978]); where the police assured a woman that they would arrest her estranged boyfriend “immediately” (*Valdez v City of New York*, 18 NY3d 69, 72-73 [2011]); and where parents placed their child at a family daycare center in reliance upon assurances from the city that the center was safe (*McLean v City of New York*, 12 NY3d 194, 197-202 [2009]). If municipalities had an ordinary duty—sufficient to support a claim of negligence—to staff all school crosswalks, or arrest all threatening boyfriends immediately, or refuse to license daycare facilities with substantiated claims

of abuse against them, no examination of any special duty would have been required. Instead, because no ordinary duty sufficient to support a claim of negligence could be imputed to those municipalities, only then did we ask whether the plaintiffs' negligence claims could nevertheless survive under any special duties assumed by or statutorily applicable to the municipalities.

II.

Because we have rendered numerous decisions in which governmental entities were held liable under an ordinary standard of duty for injuries directly caused by their own employees or agents, the majority cannot bypass whether Binghamton owes an ordinary duty of care when planning and executing no-knock warrants. The oddest part of the majority's opinion is that it firmly establishes the existence of an *ordinary* duty of municipalities to use reasonable care in planning and executing no-knock warrants. Turning to the three avenues under which a special duty might exist, the first (statutory duty) and second (promise to the plaintiff) are not relevant here; the majority rests on the third (taking "positive control of a known and dangerous safety condition"). But everything the majority recites as to the inherent danger of no-knock search warrants more than suffices to establish an ordinary duty of care under settled negligence doctrine. The majority's conclusions are not facts based on the particulars of the no-knock warrant here; instead, they are universally applicable to no-knock warrants (*see* majority op at 317). Thus, where the special duty doctrine looks to the facts specific to the plaintiff and defendant, here, the majority, though terming what it establishes as a "special duty," in truth has established an ordinary duty of the police to take reasonable care in planning and executing no-knock warrants.

The majority's description of the duty as running "to the individuals in the targeted premises" (majority op at 318) would be dicta if meant to exclude others within the foreseeable zone of danger from the police activity. Here, the plaintiff was present inside the targeted premises, so the question as to persons outside the premises but within the zone of danger is not presented. However, depending on the means used in other no-knock warrant executions, persons other than occupants of the premises may be among those to whom an ordinary duty runs (e.g., residents of a neighboring apartment if bullets travel

through walls or if tear gas or concussion grenades start a fire). As we have noted, one of the factors important in determining the existence and scope of duty is “whether the plaintiff was within the zone of foreseeable harm” (*Di Ponzio v Riordan*, 89 NY2d 578, 583 [1997]).

At least as applied to no-knock warrants, the difference between my view and that of the majority may only be one of semantics: whether one calls the duty “ordinary” or “special,” it indisputably exists in such situations and can form the basis for a negligence action against the police, provided the remaining elements of a negligence claim are proved. The difficulty from the majority’s articulation comes not in the likely result in this case, but in future cases in which the majority’s decision may be interpreted to bar any negligence claims against a governmental actor unless a “special duty” is proved. One of two things will likely happen: either legitimate claims of negligence will be barred by the majority’s misinterpretation of “special duty” here, or “special duty” will no longer turn on individual facts, but will be applied categorically, as the majority does here. As an example of the latter, many, but not all, of the factors identified by the majority for the creation of a “special duty” pertaining to no-knock warrants apply equally to ordinary warrants for search of a home: multiple, heavily armed officers arrive unannounced; they often execute warrants early in the morning; they take control of the premises and the situation; and the potential for confrontation is high. It is not much of a step at all to conclude that the police, in executing an ordinary search warrant of a home, have a duty to the occupants (and those within the zone of danger), though the steps reasonably necessary to discharge such a duty may be less than in the case of a no-knock warrant. If all such duties are termed “special” merely because a municipality is the defendant, we will have abandoned the proper meaning of a “special duty,” but perhaps will have done no harm.

III.

The majority incorrectly interprets the absence of any discussion on special duty in several cases where this Court allowed negligence claims to proceed against municipalities. The majority claims that the silence in those cases leaves the door open to hold that no claim of negligence against a governmental actor lies unless the plaintiff establishes a special duty, because “we have never affirmatively held that a plaintiff need not es-

tablish a special duty when stating a negligence cause of action against a municipality for acts occurring when the municipality was engaged in a governmental function” (majority op at 315). There are two problems with that conclusion. First, whether the municipality was “engaged in a governmental function” has nothing to do with the law of negligence. As discussed previously, we have repeatedly held that the law of negligence is the same for public and private actors. Whether the defendant was “engaged in a governmental function”—as compared to a proprietary one—is not a negligence question, it is an immunity question. Without doubt, governmental actors acting in a governmental (nonproprietary) capacity have an immunity that private actors do not have. That immunity may bar a valid negligence claim. It does not alter the elements of the negligence claim.³

Second, the majority has things backwards. Our numerous cases sustaining negligence claims against governmental defendants without any mention of a special duty establish that no such duty is needed when an ordinary duty exists. The plaintiffs in those cases did not need to allege any special duty; they had viable claims of negligence because the municipality owed them an *ordinary* duty of care.

As an example, our decision in *McCrink v City of New York* (296 NY 99 [1947]) holds that an ordinary duty can suffice to render a municipality liable in negligence even when a governmental function is involved, without any need to prove a special duty. There, an unprovoked shooting by a drunken, off-duty New York City police officer left McCrink dead and Murphy permanently injured. We explained:

“The breach of duty by the city which the plaintiffs pleaded and the theory upon which the case was tried was that the city negligently failed to discharge Anderson when it knew, or in the exercise of

3. The majority claims that “[o]ur cases plainly demonstrate the significance of the proprietary/governmental function distinction to the special duty analysis, with only proprietary functions subject to an ‘ordinary’ duty of care” (majority op at 309-310 n 4, citing *Wittorf v City of New York*, 23 NY3d 473, 479-480 [2014]; *Schrempf v State of New York*, 66 NY2d 289, 294 [1985]). That claim is erroneous; those cases merely demonstrate that when governmental actors act in proprietary functions, they are held to ordinary duties of care. Those cases do not hold—nor do any other cases—that *only* when a government actor acts in a proprietary function may it be subject to an ordinary duty of care.

reasonable care should have known, that he was an incompetent, troublesome and vicious person who had become so addicted to an excessive use of alcohol that he had repeatedly been the subject of disciplinary action; and that, with knowledge of Anderson's vicious propensities the city knew or should have known that his compliance with rule 288 of the Rules and Regulations of the Police Department—which required him as a patrolman to carry a revolver 'at all times'—was a source of danger to the public" (*id.* at 104).

None of the three avenues to establish a special duty could have been present in that case: no statute specially protected McCrink or Murphy; no promise was made to and relied on by them; and the police did not take control of a dangerous situation. Instead, the claim was based on an ordinary duty, running to individual members of the public, as to which we emphasized that the "civil divisions of the State . . . are answerable equally with individuals and private corporations for wrongs of officers and employees" (*id.* at 106, quoting *Bernardine*, 294 NY at 365). Thus, we held that even though the Police Commissioner's authority "to dismiss a member of the police force, calls for the exercise of his discretion," where "the retention of an employee may involve a known risk of bodily harm to others . . . that discretion . . . is limited. It is superseded by the duty to abate that risk if in related circumstances danger to others is reasonably to be perceived" (*id.* at 105-106, citing *Palsgraf*, 248 NY at 344). Thus, it is painfully clear that no special duty is needed to hold a governmental defendant liable for even discretionary governmental actions. Again, immunity, which bars many such suits, is an independent consideration wholly distinct from whether an ordinary duty suffices to support a claim of negligence against a governmental entity.

An instructive counterpoint is *Williams v State of New York* (308 NY 548 [1955]), in which we held that the State had no duty running to the decedent, who was frightened to death when an incarcerated individual with no history of violence escaped from a minimum-security prison farm and induced the decedent to drive him to Syracuse. Although the operation of prisons is a quintessential governmental function, our decision does not import immunity or "special duty" into its analysis. Instead, relying on our foundational negligence decisions in *Palsgraf* and *O'Neill v City of Port Jervis* (253 NY 423 [1930]),

we rested our analysis on the proposition that it is the “‘risk reasonably to be perceived’, which defines the *duty* ‘to be obeyed’ in each situation” (308 NY at 554, quoting *Palsgraf*, 248 NY at 344). Applying that ordinary rule for the determination of duty, we carefully distinguished between “the risks to be perceived with the mentally ill who are irresponsible,” which “define[] the State’s duty to protect others from them,” and the risks to be perceived with the incarcerated individual who escaped the prison farm, who “was not a psychiatric patient” and who “had been imprisoned for a *toy* pistol holdup, and had a relatively tranquil record while in prison” (*id.* at 555). That comparison led to our conclusion that there was no “basis for the foreseeability of [the individual’s] conduct” toward the decedent (*id.* at 555). We further explained that

“[u]nlike a mental patient, [the incarcerated individual] was being *punished* . . . [t]hus, if the State negligently permitted [his] premature return to society, it breached only that *public* duty to *punish*, a duty owed to the members of the community collectively but importing no ‘crushing burden’ of liability to individuals for the breach thereof. If it was a wrong, it was not a wrong to [the decedent], for, as to him, the breach of duty or wrong did not carry with it ‘possibilities of danger’; the assault or threatened force upon him was not ‘The risk reasonably to be perceived’ ” (*id.* at 556 [citations omitted]).

Like *McCrink*, *Williams* illustrates the analysis relevant here: even though the defendant is a governmental entity acting in a governmental (nonproprietary) capacity, special duty and governmental function do not enter the determination of the existence and scope of duty in negligence. Ordinary principles of negligence law, fashioned by the court, determine the existence and scope of duty. That includes a consideration of public policy; in *Williams*, the concern that the expansion of duty “would impose a heavy responsibility upon the State, or dissuade the wardens and principal keepers of our prison system from continued experimentation with ‘minimum security’ work details” (*id.* at 557), and the observation that statutory and disciplinary procedures were sufficient to ensure appropriate care in preventing prison escapes (*id.* at 558).

The same proposition applies to cases the majority cites for their silence on special duty (*Flamer*, 309 NY at 119; *Wilkes v*

City of New York, 308 NY 726, 728 [1954]; *Meistinsky*, 309 NY at 1000; *Haddock*, 75 NY2d at 483, 485) (majority op at 314-315). There was no basis to consider a special duty in those cases because an ordinary duty of care was established.⁴ The majority appears to wish that those cases included a statement in dicta stating something to the effect of, “The plaintiff in these circumstances does not need to establish that the municipality owed a special duty.” But courts are not in the habit of itemizing unnecessary, more difficult claims that a successful plaintiff might have tried to plead. When a tourist asks me for directions to a subway stop, I point out the shortest route. I have never added, “there is a much longer, more circuitous route you could take instead of walking one block south.”

Indeed, the majority’s own characterization of the special duty doctrine exposes its error. The majority states that “[t]he special duty doctrine thus developed ‘to rationally limit the class of citizens to whom the municipality owes a duty of protection’ ” (majority op at 310 [emphasis added], citing *Kircher v City of Jamestown*, 74 NY2d 251, 258 [1989]). The cases cited by the majority for its descriptions of the special duty doctrine all are cases that involve claims that governmental actors failed in their duty to protect an individual from third-party harm (majority op at 308, 309-311) (*Connolly v Long Is. Power Auth.*, 30 NY3d 719, 725-726 [2018] [failure of municipal utility companies to prevent harm caused by Hurricane Sandy]; *Applewhite*, 21 NY3d at 426 [failure of EMTs to address harm caused by a nongovernmental nurse]; *Tara N.P. v Western Suffolk Bd. of Coop. Educ. Servs.*, 28 NY3d 709, 714 [2017] [county’s failure to protect person from sexual assault by worker at a county facility]; *Kircher*, 74 NY2d at 258 [failure of city and police to respond to reports of abduction and protect person from subsequent beating and sexual assault]; *Cuffy*, 69 NY2d at 260 [failure of city to protect landlord and family members from injuries imposed by tenants]; *Sorichetti v City of*

4. The majority acknowledges the challenge that cases like *McCummings*, *Meistinsky*, *Flamer*, and *Wilkes* pose to its decision when it states that its “decision does not implicitly overrule [those cases]” and that “[w]e simply have not yet examined factual circumstances similar to those cases through the lens of our contemporary understanding of the special duty doctrine” (majority op at 315 n 7). The majority draws the wrong conclusion; those cases’ silence on special duty emphatically illustrates that the special duty doctrine is wholly irrelevant to their disposition. The governmental defendants in those cases did not mention any “special duty” limitation—or any other legally inapplicable concept—precisely because of the legal irrelevance.

New York, 65 NY2d 461, 468 [1985] [police failure to respond to mother's request for assistance resulting in a failure to protect minor child from injuries inflicted by father]). When a governmental actor directly and negligently injures someone, no "duty of protection" is involved—it is a duty not to inflict injury.

Likewise, the majority's observation that the special duty doctrine "minimizes a municipality's exposure to 'open-ended liability of enormous proportions and with no clear outer limits,' which could otherwise 'discourage municipalities from undertaking activities to promote the general welfare' that may expose them to liability" undermines its interpretation of that doctrine (majority op at 316, citing *O'Connor v City of New York*, 58 NY2d 184, 191 [1983]; *McLean v City of New York*, 12 NY3d 194, 204 [2009]). Open-ended liability of enormous proportions could well result if the government could be held liable for negligently failing to protect people from the acts of third parties, which is precisely where the special duty doctrine lives. In contrast, holding the government liable in negligence for its own acts that directly cause injury serves the same socially beneficial purpose as with private actors: placing an economic incentive to take reasonable steps to avoid unnecessary harm on the party able to avoid it. To the extent a different cost-benefit calculus pertains to some types of government action that cause direct injury, that is handled through the separate application of governmental immunity, not contortions of negligence law.

The two cases on which the majority relies most heavily, *Applewhite* (21 NY3d 420) and *Lauer v City of New York* (95 NY2d 95 [2000]), do not support its novel proposition that governmental actors acting in a governmental capacity cannot be sued for negligence unless a special duty is established. In *Applewhite*, a private visiting nurse injured a child by administering medicine that produced anaphylaxis. Government-affiliated EMTs who responded to the emergency lacked epinephrine, and, while performing CPR, advised the mother to wait for the properly equipped EMT vehicle to arrive instead of taking the child to the hospital. The child ultimately suffered brain damage. We remanded *Applewhite* to the trial court for a determination of whether the EMTs assumed a special duty to the child. *Applewhite* is entirely consistent with a proper understanding of negligence law and offers the majority no support. Just as police and firefighters have no duty, actionable through a claim of negligence, to protect the public

from criminals and fires, EMTs have no such duty to protect the public from injuries caused by private nurses (or otherwise). If the EMTs themselves negligently administered a lethal drug to the child, or (as in *McCrink*) the municipality knew that the ambulance driver was prone to drive drunk, and while doing so he crashed the ambulance on the way to the hospital, no special duty would be required: the question then would only be whether the law imposed an ordinary duty of care.

The majority also misreads *Lauer*. A careful reading shows that it, too, does not support the majority's claim. In *Lauer*, a doctor employed by the New York City Chief Medical Examiner ruled a child's death a homicide from blunt trauma to the head (95 NY2d at 97-98). Several weeks later, the doctor realized that the cause of death was a brain aneurism, but the doctor failed to correct the autopsy report or inform the police. The police continued investigating the father for 17 months, during which he allegedly was ostracized by his neighbors, divorced by his wife, and was subjected to other humiliation and harassment (*id.*).

In *Lauer*, we discussed conditions that could give rise to a special duty owed to the father from the Office of Chief Medical Examiner, but our central holding in the case was that there was no duty—ordinary or special—that was owed to the father. In the decision, we explained that our focus was on duty—“an essential element of any negligence case”—because “[w]ithout a duty running directly to the injured person there can be no liability in damages, however careless the conduct or foreseeable the harm” (*id.* at 100). We discussed that “[t]o sustain liability against a municipality, the duty breached must be more than that owed the public generally” (*id.*)—capturing the oft-stated proposition that merely because a city has a generalized duty to provide police or fire protection or water, that sort of obligation does not establish an ordinary duty to a given individual under negligence law. (Likewise, when party A contracts with party B, no tort for negligent performance of the contract will lie, even though there is a contractual “duty” to perform the contract obligations [*Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.*, 70 NY2d 382, 389 (1987)].) Because the plaintiff in *Lauer* could not “point to a duty owed to him by the Office of the Chief Medical Examiner, his negligence claim must fail” (*id.* at 101). We then explained why no duty existed. First, we rejected *Lauer*'s argument that New York City Charter § 557 created a duty that ran to “members of the general public who may

become criminal suspects” (95 NY2d at 102). Next, we rejected Lauer’s contention that there was a “special relationship” between Lauer and the Medical Examiner because none of the four elements necessary to create a special relationship were met (*id.*, citing *Cuffy v City of New York*, 69 NY2d 255, 260 [1987]).

After rejecting those arguments, we then turned more broadly to the question of duty—not special duty, but duty generally. We began by noting that “absent legislative intervention, the fixing of the ‘orbit’ of duty, as here, in the end is the responsibility of the courts” (*id.* at 103, quoting *De Angelis v Lutheran Med. Ctr.*, 58 NY2d at 1055). We then considered whether “to impose a new duty on the Office of the Chief Medical Examiner, which for the future would run to members of the public who may become subjects of a criminal investigation into a death” (*id.*). In determining not to do so, we did not discuss “special duty” whatsoever—because the duty would have been an ordinary duty—one that did not implicate any of the three avenues for establishment of a special duty (statutory duty for a specific class; promise and reliance; assumption of control over a dangerous situation). Instead, we declined to establish a general duty because, after weighing the “consequential effects” of such a duty, we could not “agree that the proposed enlargement of the orbit of duty, resting largely on the foreseeability of harm, is a sound one” (*id.* at 105).

Thus, far from supporting the proposition that any negligence claim against a governmental actor exercising a governmental function must rest on a special duty, *Lauer* illustrates that, even when the elements necessary to create a special duty are lacking, the court may nevertheless establish an ordinary duty applicable to governmental actors exercising a governmental function. We considered doing so and rejected it in that case, noting that “[f]ixing the orbit of duty has likely divided this Court more than any other issue” (*id.* at 103). Strangely, although announcing a novel proposition that the existence of a “special duty” is a sine qua non of governmental liability when the government exercises a governmental (nonproprietary) function, the majority has, under the misnamed moniker of “special duty,” conducted the balancing of policy concerns pertinent to establishing a general duty and has done exactly that: where we refused to create a duty running from the Medical Examiner to homicide suspects in *Lauer*, here, we have announced a duty running from the police to (at least) persons present within the premises subject to no-knock warrants.

IV.

The disagreement between the majority and me may seem semantic, but the difference in analytic method and faithfulness to our precedent is important. We must acknowledge, as so many of our cases hold, that our government can owe ordinary duties of care to those within our borders. Cabining governmental negligence to situations where the legislature has expressly protected a certain class of person, promises made to and relied on by a specific individual, and circumstances where the government takes control of a dangerous situation, flouts our precedent such as *McCrink* and *Meistinsky*, which establish an ordinary duty of municipalities—running to affected members of the public and requiring proper hiring and training of police officers—sufficient to support a claim of negligence if breached. It also evidences either a tone deafness to the needs of modern society or a fundamental misunderstanding of the nature of tort law, or both. Just as “[p]recedents drawn from the days of travel by stage coach do not fit the conditions of travel to-day,” the scope of duty attendant to police activity differs today than it did in the days of the stage coach (*MacPherson v Buick Motor Co.*, 217 NY 382, 391 [1916]). The scope of ordinary duty in negligence is ours to define, and must embody “whatever the needs of life in a developing civilization require them to be” (*id.*).

Where we could have revived the proud tradition of Chief Judge Cardozo’s Court in advancing tort law to meet modern needs by announcing an ordinary duty of the police to use due care in planning and executing no-knock warrants, the majority has littered its opinion with unsound conclusions suggesting that police activity—or any nonproprietary governmental negligence—can proceed only by establishing a special duty. Instead of advancing the law, we become a regressive outlier. Other states do not require any showing of a special duty when a governmental actor has directly harmed the plaintiff.⁵ Query how the majority’s formulation will address a situation in

5. Some states articulate a “public duty doctrine” that provides that a plaintiff suing a governmental unit or agent must establish that the government owed that plaintiff a duty of care separate from its general duties to the public at large. Where the duty a plaintiff alleges was violated is a general duty to the public, the plaintiff may nevertheless sue in negligence if the plaintiff can show a special relationship was assumed by the municipality. The public duty doctrine, however, is irrelevant where a government actor directly harmed a plaintiff in a way that would give rise to a tort action were the harm committed by a private actor (*see Kent v City of Columbia Falls*,

(n. cont’d)

which a police officer pursues a suspect into a crowd and opens fire wildly, injuring bystanders, or engages in a high-speed chase through a pedestrian-laden area, striking several pedestrians. None of our avenues for creation of a special duty would apply, though a future court should find itself hard-pressed to say that because the officer was engaged in a governmental function, the officer (and, vicariously, the government) cannot be held liable in negligence. What we should want that future court to hold is that, just as a private security guard has a duty not to fire into a crowd of bystanders or drive recklessly through a pedestrian mall, government employees

379 Mont 190, 201, 350 P3d 9, 17 [2015] [(C)ourts should first determine whether a governmental defendant has a specific duty to a plaintiff arising from ‘generally applicable principles of law’ that would support a tort claim. If a private person would be liable to the plaintiff for the acts that were committed by the government, then the governmental entity would similarly be liable. Where such a specific duty and breach exists, the public duty doctrine has no application”]; *Cope v Utah Val. State Coll.*, 342 P3d 243, 252 [Ut 2014] [(I)f a police officer affirmatively acts by negligently discharging his weapon and wounds a child ten blocks away, it would be absurd to inquire whether the officer had a special relationship with the innocent victim. Imposing liability if the officer happened to have a special relationship with the child, but disallowing recovery if no such relationship existed simply would not make sense”]; *Coty v Washoe County*, 108 Nev 757, 760, 839 P2d 97, 99 [1992] [along with instances where a police or fire department assume a special duty to the plaintiff, instances where “a public officer’s conduct ‘affirmatively causes’ harm to an individual” is an exception to the public duty doctrine]; *Mancini v City of Tacoma*, 196 Wash 2d 864, 885-886, 479 P3d 656, 668 [2021] [“Unlike government actors in many public duty doctrine cases who fail to protect a plaintiff from harm caused by a third party or entity, the police in this case personally caused the harm of which (plaintiff) complains. In such a case of affirmative misfeasance, all individuals have a duty to exercise reasonable care—including when they invade another’s property” (citations omitted)]; see also *Stevenson v City of Doraville*, 294 Ga 220, 220-223, 751 SE2d 845, 846-848 [2013] [stating that the public duty doctrine does not apply to claims of misfeasance, which are claims of active negligence]; *Williams v State of California*, 34 Ca1 3d 18, 24 and n 3, 664 P2d 137, 140 and n 3 [1983] [holding that common law on whether people have a duty to respond to accidents applies to police officers and quoting a D.C. appellate court for the claim that “(a) person does not, by becoming a police officer, insulate himself from any of the basic duties which everyone owes to other people, but neither does he assume any greater obligation to others individually. The only additional duty undertaken by accepting employment as a police officer is the duty owed to the public at large” (emphasis omitted)]). Other states do not have a special duty or public duty rule at all (see *Natrona County v Blake*, 81 P3d 948 [Wy 2003]; *Schear v Board of County Commrs. of Bernalillo County*, 101 NM 671, 687 P2d 728 [1984]; *Brennen v City of Eugene*, 285 Or 401, 411 [1979]; *Coffey v City of Milwaukee*, 74 Wis 2d 526, 247 NW2d 132 [1976]; *Coleman v East Joliet Fire Protection Dist.*, 2016 IL 117952, ¶¶ 57-62, 46 NE3d 741, 757-758 [2016]).

have that same duty. In what circumstances we might grant immunity to the officer or governmental entity is a wholly separate question, one not raised here and one which should not be incorporated into the determination of negligence.

Chief Judge DiFIORE and Judges GARCIA, CANNATARO and TROUTMAN concur; Judge WILSON dissents in an opinion, in which Judge RIVERA concurs.

Following certification of a question by the United States Court of Appeals for the Second Circuit and acceptance of the question by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and record submitted, certified question answered in accordance with the opinion herein.

[194 NE3d 266, 173 NYS3d 511]

FRANCIS NEMETH, Individually and as Personal Representative of the Estate of FLORENCE NEMETH, Respondent, v BRENNTAG NORTH AMERICA, as Successor in Interest to WHITTAKER, CLARK & DANIELS, INC., et al., Defendants, and WHITTAKER, CLARK & DANIELS, INC., Appellant.

Argued March 15, 2022; decided April 26, 2022

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered April 9, 2020. The Appellate Division modified, on the law, a judgment of the Supreme Court, New York County (Martin Shulman, J.), entered upon a jury verdict in favor of plaintiff and upon plaintiff's stipulation to a reduction of the jury's award, which had, pursuant to General Obligations Law § 15-108 and CPLR 1601, reduced the net verdict with respect to defendant Whittaker Clark & Daniels, Inc.'s apportionment of fault (50%), leaving an adjusted net verdict of \$2,933,750. The modification consisted of increasing the principal amount to \$3,300,000. The Appellate Division affirmed the judgment as modified.

Nemeth v Brenntag N. Am., 183 AD3d 211, reversed.

HEADNOTE

Evidence — Scientific Evidence — Exposure to Toxic Substances — Proof of Causation

In an action alleging that decedent's daily use of a certain talcum powder for more than 10 years caused her to develop peritoneal mesothelioma, plaintiff failed to introduce sufficient evidence to support the jury's verdict, where plaintiff's proof failed as a matter of law to demonstrate decedent's level of exposure to asbestos in a manner that established causation. An opinion on causation in toxic tort cases should set forth the plaintiff's exposure to a toxin, that the toxin is capable of causing the particular illness (general causation), and that the plaintiff was exposed to sufficient levels of the toxin to cause the illness (specific causation). Any method used to demonstrate causation must be generally accepted as reliable in the scientific community. Expert testimony is to be excluded when there is too great an analytical gap between the data and the opinion proffered. Plaintiff's medical expert failed to provide any foundational basis for her opinion that exposure to asbestos at a level analogous to decedent's was shown to be a substantial factor in causing mesothelioma of any kind. Her causation testimony attempted to rely on a comparison to the exposure levels of subjects of other studies but failed to provide a specific comparison sufficient to show how plaintiff's exposure level related to those of the other subjects. Moreover, plaintiff's expert geologist could not offer an estimate of the amount that

would be inhaled based on a glove box test he conducted. Nor did his identification of the number of released fibers and description of those fibers as of “an inhalable size” establish causation by demonstrating that decedent’s exposure was comparable to similar exposures proved to be causally related to the development of mesothelioma.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d Expert and Opinion Evidence § 176; AM JUR 2d Negligence §§ 356, 490–492; AM JUR 2d Products Liability §§ 64–66, 71–74.
CARMODY-WAIT 2d Particular Types of Evidence § 194:180.
DOBBS LAW OF TORTS §§ 183–184, 190–191.
NY JUR 2d Evidence and Witnesses §§ 671, 717; NY JUR 2d Products Liability § 38.
NEW YORK LAW OF TORTS §§ 12:100, 16:73, 20:32.
WEINBERGER, NEW YORK PRODUCTS LIABILITY 2d §§ 20:3–20:4, 20:11.

ANNOTATION REFERENCES

Products Liability: Necessity and Admissibility of Expert or Opinion Evidence as to Causation of Injury to User of Household Items. 44 ALR7th Art. 5.

Products Liability: Necessity and Admissibility of Expert or Opinion Evidence as to Causation of Injury to Users of Asbestos and Tobacco Products. 50 ALR7th Art. 3.

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POINTS OF COUNSEL

Simpson Thacher & Bartlett LLP, New York City (*Bryce L. Friedman*, *Eamonn Campbell* and *Stephanie Hon* of counsel), for appellant. I. Plaintiff’s evidence on causation was insufficient. (*Sean R. v BMW of N. Am., LLC*, 26 NY3d 801; *Matter of Eighth Jud. Dist. Asbestos Litig.*, 187 AD3d 1623; *Matter of New York City Asbestos Litig.*, 186 AD3d 401; *Matter of NYC Asbestos Litig.*, 148 AD3d 233, 32 NY3d 1116.) II. Whittaker, Clark & Daniels, Inc. did not have a fair trial. Plaintiff’s counsel’s erroneous and prejudicial summation was not supported by facts in the record and no curative instruction was

given by the trial court. The order's reliance on plaintiff's "good faith" is not relevant in determining whether a new trial is required. (*Marincic v Long Is. R.R. Co.*, 20 NY2d 676; *Lyons v City of New York*, 29 AD2d 923; *People v Swanson*, 278 App Div 846; *Rohring v City of Niagara Falls*, 192 AD2d 228; *People v Adams*, 21 NY2d 397; *People v Whalen*, 59 NY2d 273.)

Belluck & Fox, LLP, New York City (Seth A. Dymond of counsel), and *Levy Konigsberg LLP*, New York City (Robert I. Komitor, Renner K. Walker and Jerome H. Block of counsel), for respondent. I. A valid line of reasoning and permissible inferences clearly support the jury's causation finding. (*Cohen v Hallmark Cards*, 45 NY2d 493; *Killon v Parrotta*, 28 NY3d 101; *Sean R. v BMW of N. Am., LLC*, 26 NY3d 801; *Westberry v Gislaved Gummi AB*, 178 F3d 257; *Dominick v Charles Millar & Son Co.*, 149 AD3d 1554, 30 NY3d 907; *Matter of New York City Asbestos Litig.*, 148 AD3d 233; *Matter of Eighth Jud. Dist. Asbestos Litig.*, 187 AD3d 1623; *Caruolo v John Crane, Inc.*, 226 F3d 46; *Jackson v Nutmeg Tech., Inc.*, 43 AD3d 599; *Ford v A.O. Smith Water Prods.*, 173 AD3d 602.) II. Supreme Court did not abuse its discretion as a matter of law by denying appellant's mistrial application based on an isolated summation remark that was cured by the summation continuance. (*Brady v Ottaway Newspapers*, 63 NY2d 1031; *People v Jones*, 24 NY3d 623; *People v Cook*, 34 NY3d 412; *People v Branch*, 83 NY2d 663; *People v Mairena*, 34 NY3d 473; *Penn v Amchem Prods.*, 85 AD3d 475; *Gregware v City of New York*, 132 AD3d 51; *Di-Michel v South Buffalo Ry. Co.*, 80 NY2d 184; *Wilson v City of New York*, 65 AD3d 906; *Calzado v New York City Tr. Auth.*, 304 AD2d 385.)

Crowell & Moring LLP, New York City (Gary A. Stahl of counsel) and Washington D.C. (William L. Anderson of counsel), for Chamber of Commerce of the United States of America and another, amici curiae. I. The cosmetic talc litigation relies on speculative exposure opinions to extend suspect low-dose asbestos litigation. (*Parker v Mobil Oil Corp.*, 7 NY3d 434; *Cornell v 360 W. 51st St. Realty, LLC*, 22 NY3d 762; *Sean R. v BMW of N. Am., LLC*, 26 NY3d 801; *Matter of NYC Asbestos Litig.*, 148 AD3d 233, 32 NY3d 1116; *Lustenring v AC&S, Inc.*, 13 AD3d 69; *Yates v Ford Motor Co.*, 113 F Supp 3d 841; *Krik v Exxon Mobil Corp.*, 870 F3d 669; *Bartel v John Crane, Inc.*, 316 F Supp 2d 603; *Lindstrom v A-C Prod. Liab. Trust*, 424 F3d 488; *Corazza v Amchem Prods., Inc.*, 170 AD3d 610.) II. The Court should reaffirm key scientific principles applicable

to all exposure-causation cases. III. The Court should eliminate the use of *Lustenring v AC&S, Inc.* (13 AD3d 69 [1st Dept 2004]) in today's asbestos and talc litigation.

Gordon & Rees Scully Mansukhani LLP, New York City (*Jacob C. Cohn, Erik C. DiMarco* and *Mohammad M. Haque* of counsel), *Foley & Mansfield, PLLP*, New York City (*Stephen Novakidis* of counsel), *Patterson Belknap Webb & Tyler LLP*, New York City (*Thomas P. Kurland* of counsel), and *Goldberg Segalla LLP*, Newark, New Jersey (*David E. Rutkowski* of counsel), for Colgate-Palmolive Company and others, amici curiae. I. As the evidentiary gatekeeper, trial courts must distinguish between genuine science and junk science, and exclude the latter. (*Clemente v Blumenberg*, 183 Misc 2d 923; *Styles v General Motors Corp.*, 20 AD3d 338; *General Elec. Co. v Joiner*, 522 US 136; *Marsh v Smyth*, 12 AD3d 307.) II. When courts fail to properly guard the gate, the erroneous admission of expert testimony can and does produce improper outcomes, divorced from science, in product liability suits. (*Nonnon v City of New York*, 88 AD3d 384; *Heckstall v Pincus*, 19 AD3d 203; *Ratner v McNeil-PPC, Inc.*, 91 AD3d 63; *Allison v McGhan Med. Corp.*, 184 F3d 1300; *Meister v Medical Eng'g Corp.*, 267 F3d 1123; *Glastetter v Novartis Pharms. Corp.*, 252 F3d 986.) III. Adherence to *Parker v Mobil Oil Corp.*'s (7 NY3d 434 [2006]) principled guidelines promotes legal and procedural certainty and facilitates appellate review.

Simmons Hanly Conroy, LLC, New York City (*Olivia P. Kelly* of counsel), for Richard L. Kradin and others, amici curiae. Generally-accepted scientific principles and conclusions support that exposure to asbestos-contaminated cosmetic talcum powder products causes all forms of mesothelioma.

OPINION OF THE COURT

GARCIA, J.

Plaintiff's spouse used a commercial talcum powder daily for a period of more than 10 years during the 1960s and early 1970s. Decades later, she developed mesothelioma and died as a result. Plaintiff brought this action, alleging that use of the cosmetic powder was a proximate cause of decedent's illness. A jury agreed and awarded damages. Because plaintiff's proof of causation was insufficient as a matter of law, we now reverse and dismiss the complaint against defendant.

I.

Florence Nemeth was diagnosed with peritoneal mesothelioma¹ in 2012 and passed away from the disease in 2016. Plaintiff—decedent’s husband—sued an array of defendants involved in the manufacturing and distribution of certain products alleged to contain asbestos to which decedent was exposed over the course of her lifetime, on the theory that each product proximately caused her illness. Plaintiff alleged that decedent used lawn care products containing asbestos; worked with construction materials containing asbestos during home renovations; and inhaled asbestos fibers when she laundered the clothing her son wore as an elevator repairman. Plaintiff also alleged that defendant-appellant Whittaker supplied defendant Shulton with talc contaminated with asbestos that was then used in a commercial talcum powder, Desert Flower, which decedent applied daily from 1960 until 1971. Plaintiff settled with all other defendants, and the case went to trial against Whittaker only.

At trial, the jury viewed a videotaped deposition of decedent, in which she explained that she used Desert Flower daily during the relevant time frame, applying the product while inside small unventilated bathrooms and later cleaning up the residual powder. This routine lasted approximately seven minutes each day. Plaintiff then called a geologist, Sean Fitzgerald, who testified about a test—referred to as a “glove box test”—in which he agitated a vintage sample of Desert Flower within a small, sealed plexiglass chamber to simulate decedent’s use of the talc and to capture the released asbestos fibers, in an effort to “target[] the actual exposure.” He testified that he strategically placed filters inside the chamber to simulate “breathing zones.” He concluded that the asbestos fibers in the sample of Desert Flower were “significantly releasable” and that 2.7 million fibers were released into the air of the chamber during his test and so, multiplying that number by the amount of time, duration, and frequency of decedent’s exposure, he concluded that she must have been exposed to “thousands to millions of fibers, billions and trillions when you add it up through repeated use.” Fitzgerald compared this to

1. Plaintiff’s expert explained that mesothelioma is a tumor of the mesothelia cells, and can occur in “areas where there is mesothelia tissue . . . [, m]ost commonly it’s the pleura [the lining of the lungs] . . . [but it] can also occur in the abdomen, when it’s called peritoneal mesothelioma.”

the ambient level, or what “an average person living in an urban area breathes in,” of 60,000 fibers per day.

Dr. Jacqueline Moline, a doctor of internal medicine, also testified for plaintiff. She told the jury that mesothelioma is a “Sentinel Health Event” or “signal tumor,” meaning that “if someone develops that cancer, . . . then it signals that they’ve had exposure to that particular substance.” She testified that in reaching her conclusions she relied on clinical experience treating patients with mesothelioma, peer reviewed literature discussing epidemiological and case studies, and government standards and regulations governing acceptable levels of asbestos. Dr. Moline concluded that, although “not every inhalation of asbestos fibers results in peritoneal mesothelioma,” because “some exposures to asbestos . . . are trivial and don’t increase a person’s risk,” Desert Flower was “a substantial contributing factor” to decedent’s peritoneal mesothelioma. Relying on Fitzgerald’s testimony regarding releasable asbestos fibers, she testified that decedent’s exposure was “at levels at which multiple studies have shown elevated rates of mesothelioma.”

The jury returned a verdict in plaintiff’s favor, awarding \$15 million to the estate and \$1.5 million to plaintiff for loss of consortium, and apportioned fault equally between Whittaker and Shulton.² Whittaker moved for judgment notwithstanding the verdict, arguing that it was not supported by legally sufficient evidence as to causation. The trial court denied the motion.

A divided Appellate Division modified the judgment in connection with the damages awarded, concluding that certain offsets relating to settling defendants had been improperly calculated, but otherwise affirmed, holding that there was sufficient evidence, “consistent with the Court of Appeals’ [precedent] . . . to support the jury’s verdict and conclusion that [decedent] was exposed to a sufficient quantity of asbestos to cause the disease” (183 AD3d 211, 215 [1st Dept 2020]). The Court determined that

“Fitzgerald’s testimony about the amount of asbestos released in a glove box analysis of [Desert

2. In response to a ruling by the trial court, the parties later stipulated to a reduced award, and judgment against Whittaker was ultimately entered in the amount of approximately \$2 million to decedent’s estate and \$200,000 for loss of consortium.

Flower], along with the timing, duration and frequency of [decedent's] use of that product, with his conclusion that the amount of asbestos greatly exceeded by 'several [orders] of magnitude' the amount of asbestos fibers in ambient air, presents a sound basis for the jury's conclusion" (*id.* at 230).

One Justice dissented, asserting that plaintiff had both "failed to present expert evidence specifying the level of exposure to respirable asbestos that would have been sufficient to cause peritoneal mesothelioma" and that "plaintiff's evidence falls short of establishing that Mrs. Nemeth 'was exposed to sufficient levels of the toxin to cause the illness'" (*id.* at 236-237 [Friedman, J.P., dissenting], quoting *Parker v Mobil Oil Corp.*, 7 NY3d 434, 448 [2006]). The dissent concluded that the glove box study was insufficient to establish decedent's exposure level because it did not estimate the quantity of asbestos fibers to which the decedent would have been exposed, and that Dr. Moline's testimony failed to provide more than "vague, conclusory and subjective terms . . . characteriz[ing] both the level of asbestos exposure sufficient to cause peritoneal mesothelioma . . . and the level of asbestos exposure to which [decedent] allegedly was subjected" (*id.* at 241-242). The Appellate Division granted leave to appeal to this Court (2020 NY Slip Op 69871[U] [1st Dept 2020]).

II.

A court may set aside a jury verdict on the ground that it is not supported by legally sufficient evidence where "there is simply no valid line of reasoning and permissible inferences which could possibly lead rational [jurors] to the conclusion reached by the jury on the basis of the evidence presented at trial" (*Cohen v Hallmark Cards*, 45 NY2d 493, 499 [1978]; CPLR 4404 [a]). For the reasons that follow, we conclude that plaintiff failed to introduce sufficient evidence to support the jury's verdict.

We agree with the dissent below that plaintiff's proof failed as a matter of law to meet our test for proving causation in toxic tort cases, and we take the opportunity to reaffirm our requirements in such cases. As we noted 16 years ago, "[i]t is well-established that an opinion on causation should set forth a plaintiff's exposure to a toxin, that the toxin is capable of causing the particular illness (general causation) and that plaintiff was exposed to sufficient levels of the toxin to cause

the illness (specific causation)” (*Parker v Mobil Oil Corp.*, 7 NY3d 434, 448 [2006]). In *Parker*, the toxin at issue was benzene in gasoline, the illness was acute myelogenous leukemia, and the expert testimony described plaintiff’s exposure as only “frequent[],” “excessive,” and “far more” than exposure in epidemiological studies (*id.* at 449-450). We acknowledged that, because there are times that “a plaintiff’s exposure to a toxin will be difficult or impossible to quantify by pinpointing an exact numerical value,” “it is not always necessary for a plaintiff to quantify exposure levels precisely or use the dose-response relationship, provided that whatever methods an expert uses to establish causation are generally accepted in the scientific community” (*id.* at 447-448). We noted that there may be several ways that an expert might demonstrate causation, for example by using mathematical modeling, but that any method used must be “generally accepted as reliable in the scientific community” (*id.* at 449).

We later emphasized that *Parker*, despite including language to the effect that precise quantification of exposure is not always required, “by no means . . . dispensed with a plaintiff’s burden to establish sufficient exposure to a substance to cause the claimed adverse health effect” (*Cornell v 360 W. 51st St. Realty, LLC*, 22 NY3d 762, 784 [2014]). Plaintiffs must, using expert testimony based on “generally accepted methodologies,” still establish sufficient exposure to the toxin even though “it is sometimes difficult, if not impossible,” to do so (*Sean R. v BMW of N. Am., LLC*, 26 NY3d 801, 812 [2016]). Throughout this line of toxic tort cases, we have repeatedly rejected as insufficient to prove causation expert testimony that exposure to a toxin is “excessive” or “far more” than others, and such testimony that merely links a toxin to a disease or “work[s] backwards from reported symptoms to divine an otherwise unknown concentration” of a toxin to prove causation (*Parker*, 7 NY3d at 449 [experts failed to demonstrate causation with “subjective and conclusory assertion” that plaintiff had more exposure than the workers in an epidemiological study]; *Sean R.*, 26 NY3d at 810 [rejecting experts’ testimony that plaintiff was exposed to 1,000 ppm of gasoline vapor, a number reached by analyzing plaintiff’s symptoms]). Expert testimony, we have made clear, is to be excluded when “‘there is simply too great an analytical gap between the data and the opinion proffered’ ” (*Cornell*, 22 NY3d at 781, 783-785, quoting *General Elec. Co. v Joiner*, 522 US 136, 146 [1997]).

More recently, we affirmed the Appellate Division’s holding that defendant was entitled to judgment notwithstanding the verdict in a case that applied these principles in the asbestos context (see *Matter of New York City Asbestos Litig.*, 32 NY3d 1116, 1118 [2018] [hereinafter *Juni*], *affg* 148 AD3d 233, 236 [1st Dept 2017] [“the fact that asbestos . . . has been linked to mesothelioma . . . is not enough for a determination of liability against a particular defendant; a causation expert must still establish that the plaintiff was exposed to sufficient levels of the toxin from the defendant’s products to have caused his disease”]). As was the case in *Juni*, plaintiff here failed to prove that exposure to asbestos in defendant’s product was a proximate cause of decedent’s illness.³

Dr. Moline provided the expert opinion that decedent’s “exposure to the contaminated talcum powder was a substantial contributing factor” in causing decedent’s peritoneal mesothelioma. The basis for that opinion, however, did not meet our requirements for establishing exposure to a toxin in an amount sufficient to cause decedent’s peritoneal mesothelioma.

With respect to the level of exposure that could serve as a proximate cause of decedent’s peritoneal mesothelioma, Dr. Moline asserted that “brief or low level exposures of asbestos” could cause the disease, but that “there are some exposures to asbestos that are trivial and don’t increase a person’s risk of developing mesothelioma” and that exposure to twice the amount of asbestos in ambient air would not cause mesothelioma. She also testified that mesothelioma may develop idiopathically—that is, without a known cause.⁴ This testimony was plainly insufficient (see *Parker*, 7 NY3d at 449-450 [expert’s conclusion that plaintiff’s exposure was “frequent” or “excessive” could not be characterized as a “scientific expression” of exposure level]; *Matter of New York City Asbestos Litig.*, 173 AD3d 573 [1st Dept 2019]).

3. Any reliance on the Appellate Division’s holding in *Lustenring v AC&S, Inc.* (13 AD3d 69 [1st Dept 2004]) to support a theory that “working in dust laden with asbestos generated from products containing asbestos,” along with “expert testimony that dust raised from manipulating asbestos products ‘necessarily’ contains enough asbestos to cause mesothelioma,” is incorrect (*Juni*, 148 AD3d at 252 [Feinman, J., dissenting]; see 183 AD3d at 225-226, 229-230). Such an approach is incompatible with *Parker* and its progeny.

4. That Dr. Moline doubts whether patients were asked “the right questions” about their exposure has little bearing on evidence that mesothelioma may develop without a known cause (dissenting op at 352 n 6).

The majority below nevertheless asserted that “Dr. Moline’s testimony did not simply ‘associate’ or ‘link’ asbestos to mesothelioma, she described it as a sentinel health event of asbestos exposure, and that virtually all cases of mesothelioma are related to asbestos exposure” (183 AD3d at 228). Yet this is no different than conclusory assertions of causation that we have held were insufficient to meet the *Parker* requirements (*Sean R.*, 26 NY3d at 810; *Cornell*, 22 NY3d 784; *Parker*, 7 NY3d at 450). That standard must be met whether the toxin is mold, benzene, or asbestos (*see Juni*, 143 AD3d at 238).

Nor did the studies or scientific literature cited or relied upon by Dr. Moline provide the necessary support for her conclusion as to proximate causation. Those studies include the “Welch article,” which identifies only an association between “low level” exposure to asbestos and peritoneal mesothelioma, and does not quantify “low level”; the “Helsinki criteria,” which found an association between “significant” asbestos exposure and pleural mesothelioma without identifying what level of exposure constitutes “significant,” and continued on to find that peritoneal mesothelioma is associated with “higher” levels of exposure; and a single case study describing an incidence of peritoneal mesothelioma without determining either the amount of exposure or a causal connection between the individual’s use of talc and his illness. Indeed, as the dissent below noted, “[c]ritically, not one of the articles Dr. Moline discussed on the witness stand . . . sets forth an estimate of the minimum level of exposure to respirable asbestos . . . that would suffice to cause peritoneal mesothelioma” (183 AD3d at 238-239, 239 n 6 [Friedman, J.P., dissenting]). Simply put, Dr. Moline failed to provide any foundational basis for her opinion that exposure to asbestos at a level analogous to decedent’s was shown to be a substantial factor in causing mesothelioma of any kind. Her causation testimony attempted to rely on a “[c]omparison to the exposure levels of subjects of other studies” but failed to provide “a specific comparison sufficient to show how the plaintiff’s exposure level related to those of the other subjects” (*Parker*, 7 NY3d at 449). In addition, as we cautioned in *Parker*, “standards promulgated by regulatory agencies as protective measures are inadequate to demonstrate legal causation” (*Parker*, 7 NY3d at 450), and therefore Dr. Moline’s testimony regarding the “permissible exposure limit” to

asbestos promulgated by the Occupational Safety and Health Administration could not be relied upon to fill this gap in proof as to the level of exposure sufficient to cause peritoneal mesothelioma.

Under these circumstances, plaintiff's proof failed to demonstrate decedent's level of exposure to asbestos in a manner that established causation. In attempting to do so, plaintiff primarily relied on the testimony of the geologist, Fitzgerald. The dissent, plaintiff, and the majority below all characterize Fitzgerald's glove box test as a quantification, or at least a scientific expression, of decedent's exposure, recasting it as some sort of "breathability" study (dissenting op at 362). It was not. Fitzgerald shook a vintage sample of Desert Flower to determine the number of fibers released into a box, or as he put it, to "contain anything that's released" and "determine . . . if that asbestos was releasable." Fitzgerald could not offer an estimate of the amount that would be inhaled based on the test he conducted. Nor did his identification of the number of released fibers and description of those fibers as of "an inhalable size" establish causation by demonstrating that decedent's exposure was comparable to similar exposures proved to be causally related to the development of mesothelioma. While a precise numerical value is not required, Fitzgerald's test simply failed to provide any scientific expression linking decedent's actual exposure to asbestos to a level known to cause mesothelioma.

Dr. Moline purported to base her expert opinion on the results of Fitzgerald's test, testifying that the volume of fibers released into the glove box during Fitzgerald's simulation corresponds to those "at which multiple studies have shown elevated rates of mesothelioma." But Dr. Moline admitted that industrial hygienists could have estimated decedent's inhalation levels (183 AD3d at 244 n 12 [Friedman, J.P., dissenting] [noting that "it is possible to conduct a test in an actual bathroom of the level of exposure to respirable asbestos resulting from the use of a cosmetic powder" and "Mr. Fitzgerald, however, did not conduct any such test with Desert Flower in a bathroom the size of Mrs. Nemeth's"])). Plaintiff could have introduced such evidence, and could also have introduced evidence regarding the inhalation levels known to cause peritoneal mesothelioma, but did not do so. Because of these flaws in Fitzgerald's test, Dr. Moline's corresponding reliance on that

test to conclude that decedent's exposure caused her mesothelioma was likewise insufficient.⁵

Although we have recognized that in any given case it may be "difficult, if not impossible, to quantify a plaintiff's past exposure" to a toxin (*Sean R.*, 26 NY3d at 812), our standard itself is not "impossible" for plaintiffs to meet (dissenting op at 365). We must, as always, strike a balance between the need to exclude "unreliable or speculative information" as to causation with our obligation to ensure that we have not set "an insurmountable standard that would effectively deprive toxic tort plaintiffs of their day in court" (*Parker*, 7 NY3d at 447). The requirement that plaintiff establish, using expert testimony based on generally accepted methodologies, sufficient exposure to a toxin to cause the claimed illness strikes the appropriate balance (see *Cornell*, 22 NY3d at 784). The fault here is not in our standard, but in plaintiff's proof.⁶

Accordingly, the order should be reversed, with costs, and the complaint as against Whittaker, Clark & Daniels, Inc. dismissed.

RIVERA, J. (dissenting). Florence (Flo) Nemeth died of peritoneal mesothelioma before the trial in this toxic tort action, which had been brought against several companies for their role in the manufacture, supply, distribution, and sale of products that allegedly caused her terminal cancer. Defendant Whittaker, Clark & Daniels—the only defendant that went to trial—appeals from a judgment for damages based on a jury determination that defendant supplied the asbestos-containing talc in the cosmetic powder used by Flo which, in turn, was a causative factor in her peritoneal mesothelioma. The trial evidence established the existence of asbestos in Flo's brand of cosmetic powder, her daily use of the powder in small, unventilated bathrooms over 11 years, and that she was diagnosed decades after her exposure to the asbestos, as is common for mesothelioma patients. Plaintiff relied on epidemiological studies, case reports, and expert testimony to show that: (1) asbestos causes cancer, including the type that took Flo's life; (2) low-level exposure to asbestos causes cancer; (3) mathematical modeling performed for this litigation measured

5. Of course, the issue is not that Dr. Moline relied on tests other than those she performed herself (dissenting op at 364), but rather that the test on which she relied was itself insufficient to support Dr. Moline's conclusion.

6. Because we reverse on this basis, we do not address defendant's argument regarding plaintiff's summation.

the amount of asbestos in the cosmetic powder released into Flo's breathable zone, determining that it was at least twice the amount found in ambient air and that it exceeded the amount permitted in schools under federal law; and (4) the asbestos in the cosmetic powder used by Flo caused her cancer. That evidence persuaded the jury on causation. The trial court and the Appellate Division agreed that the evidence was sufficient. We should do the same because plaintiff met the standard set forth in *Parker v Mobil Oil Corp.* (7 NY3d 434 [2006]) and its progeny. The majority's reversal is improperly based on the weight, not sufficiency, of this evidence.

I.

A.

Flo and her husband Frank Nemeth filed this toxic tort action against several defendants.¹ Flo passed away during the litigation and Frank continued, in his individual capacity and as executor of Flo's estate.² Although Flo did not live to testify in person, her deposition testimony was entered into evidence at trial. In detail, she described how, as a teenager, she began her daily routine of applying Desert Flower cosmetic powder all over her body after showering. She first saw her mother use it, and she followed suit, the two of them going through a large box of this same brand of powder every two weeks. Flo explained that she used the powder puff that came in the box to apply the powder to her body, including around her neck. Her parents' apartment bathroom was "tiny," five by six feet, with no ventilation, windows, or fans. For approximately six years, Monday through Sunday, while living in this apartment, she applied the powder in the same way; each time, the bathroom became dusty, and she inhaled the dust. As she applied the powder, the dust fell on the sink, toilet, and floor, and Flo used a damp towel for about five minutes to clean up the dust.

When she was 14, Flo met Frank. After years of dating, they married and moved into an apartment. Flo continued to apply the Desert Flower cosmetic powder daily. As in her parents' home, she applied the powder in the bathroom, which had the

1. I use "Flo," rather than Florence, because that is how Frank and his attorneys referred to her throughout the trial and in the briefing to this Court.

2. The third amended complaint amended the caption and added a claim for wrongful death.

same dimensions and was just as tiny as her parents'. Flo stopped using the powder when she was 25 years old, approximately 11 years after first using Desert Flower.

The couple eventually moved to a house, had children and grandchildren, and Flo testified to an active life with her family—going to baseball games, visiting amusement parks, gardening, and playing with her grandchildren—until at 68 years of age, she was diagnosed with peritoneal mesothelioma, a rare and terminal cancer of the abdomen. The doctor told Flo she had six years left to live. Those years were marked by several surgeries, rounds of chemotherapy treatment, and a drug medication regimen.

Flo described the physical pain and psychological effects of the cancer:

“I get up in the morning, I try to do little things just to move but when I do that, I start huffing and puffing and then I wheeze. So, now I have to sit down to catch my breath, then I can get up again, do something, a little bit just to move a little bit but all day long I have to stop and sit to catch my breath.

“Every day I think [about] . . . not being around to see my grandchildren get married or my grandchildren to have children, it's all part of life.”

As her responses further reveal, the emotional toll was overwhelming:

“Q. How does that make you feel emotionally knowing that they have to take care of you and you can't take care of them?

“A. Very bad, very, very depressing. There are times I cry but they don't know it. I don't like to let them see that I get upset, so either I go in the bathroom if they're there and let it out and come back out.

“Q. Why don't you like to see them—let them see you get upset?

“A. Because I know they're going to be upset and I don't want them to do that. Then I'll come out of the bathroom and I joke around and I make them—I try to push myself to make them think I'm not going through all this pain and suffering.”

B.

Plaintiff's causation evidence rested on testimony of two experts. Their credentials are not at issue on this appeal. Sean Fitzgerald, a licensed geologist and microscopist specializing in asbestos,³ tested a sample of Desert Flower from the period when Flo used the product. He explained that the experimental design was based upon an earlier, peer-reviewed study that he had co-authored and which he described to the jury.⁴ In accordance with this design, Mr. Fitzgerald constructed a "glove box," a clear box constructed of plexiglass with two gloves built in, allowing him to manipulate the talcum powder in a sealed environment. Mr. Fitzgerald and defendant's expert both noted that the use of a glove box for this testing purpose had been approved by the federal Environmental Protection Agency. Inside the box were pumps, one positioned under Mr. Fitzgerald's nose to simulate asbestos release in the breathing zone relative to the hands in the gloves. He aerosolized the talcum powder by pouring it onto his gloved hand. Then, he allowed the pumps to run for 15 minutes while his hands were in the glove box. The pump closest to Mr. Fitzgerald's nose ran at a volume of two liters per minute, half of the average respiratory rate. Mr. Fitzgerald placed the other filters farther back in the glove box and ran the pumps attached to those filters at a higher volume to simulate powder spreading towards the back of a room. Mr. Fitzgerald also placed a clean wipe in the back of the glove box as a "dust fall" monitor to measure the amount of powder collected there and determine what would happen should the powder be re-aerosolized.

Mr. Fitzgerald determined that the asbestos contained in Desert Flower "was significantly releasable," at a level "thousands of times" higher than would be acceptable in a

3. At the time of the trial, Fitzgerald had been working as a professional geologist for approximately 30 years. He had worked in several laboratories—including the McCrone Institute, a well-known microscopy laboratory—and had training in industrial hygiene and public health. Fitzgerald also served on asbestos-related committees operated by ASTM International, a private standards-setting organization whose standards are used worldwide. He also served as a peer reviewer for a third-party update to the Environmental Protection Agency's Purple Book, which contains up-to-date research on asbestos.

4. See Ronald E. Gordon et al., *Asbestos in Commercial Cosmetic Talcum Powder as a Cause of Mesothelioma in Women*, 20 Intl J Occupational & Env't Health 318 (2014).

school under the federal Asbestos Hazard Emergency Response Act (15 USC § 2641 *et seq.* [AHERA]), using AHERA's definitions and protocols for measurement. He further estimated that "millions of fibers [were] initially released into the chambers" and opined that the fibers would have been of an inhalable size.

In response to a series of counsel's hypotheticals, Mr. Fitzgerald opined—based on his experience and education, and the test results and Flo's description of her daily use of the cosmetic powder in the confines of her tiny bathroom—that had Flo used Desert Flower every day, she would have been exposed to inhalable asbestos in measures above those acceptable under the AHERA standards. The final hypothetical and response is particularly significant:

"Q. With those facts that I asked you to assume in mind [i.e., facts pertaining to Flo's long-term use of Desert Flower and the geologic source of the talc], do you have an opinion that—And I would like you to further assume within those facts that Flo Nemeth testified that she breathed this dust every time she used the product. With those facts in mind, do you have an opinion within a reasonable degree of geological and scientific certainty about whether the talc from those mines that was used in Desert Flower was consistently contaminated with releasable asbestos? . . .

"A. I do. And my opinion to a reasonable degree of scientific and geological certainty is that that product contained releasable asbestos fibers including tremolite, anthophyllite and occasionally chrysotile asbestos based on my research of the geology and the mineralogy of the actual source talcs that you've asked me to assume were constituents supplied to Shulton through Whittaker, Clark, Daniels."

During cross-examination, Mr. Fitzgerald conceded that it is difficult to count asbestos in talc, that microscopy involves a degree of subjective interpretation, and that his testing was an approximation in that he did not conduct testing in a bathroom-sized space. Defendant's geologist witness criticized Mr. Fitzgerald for not using a bathroom-sized simulation but admitted that the glove box is a less expensive method for counting asbestos than a space the size of a bathroom.

Plaintiff's expert, Dr. Jacqueline Moline,⁵ testified that asbestos causes peritoneal mesothelioma and that, based on Flo's testimony and Mr. Fitzgerald's results, defendant's asbestos-containing talc was a significant factor in Flo's terminal cancer. Specifically, Dr. Moline explained that asbestos is "associated with four cancers," including mesothelioma, and that peritoneal mesothelioma is rare, with approximately 350 cases per year. She further testified that "[v]irtually all cases of mesothelioma are related to asbestos exposure," that mesothelioma is considered a "Sentinel Health Event," and that a peritoneal mesothelioma mass is a "signal tumor," meaning that development of that illness and the tumor implies asbestos exposure.⁶ As to adverse health impact exposure levels, Dr. Moline testified that "brief or low level exposures of asbestos can cause mesothelioma." She described a study that "found that even slight exposure to asbestos was associated with an

5. Dr. Moline earned her M.D. at the University of Chicago-Pritzker School of Medicine and a Master of Science in Community Medicine (equivalent to a Master of Public Health) from the Mount Sinai School of Medicine in New York. Dr. Moline completed her internal medicine residency at Yale and then completed a fellowship in occupational medicine with a team of asbestos experts at Mount Sinai Medical Center, where she then worked for around 19 years. She also served as the Director of the National Institute for Occupational Safety and Health New York/New Jersey Education and Research Center, a consortium of educational institutions that provides interdisciplinary training in occupational health and safety. At the time of trial, Dr. Moline served as the Chair of the Department of Occupational Medicine, Epidemiology and Prevention at Northwell Health.

6. According to the majority, Dr. Moline "testified that mesothelioma may develop idiopathically—that is, without a known cause" (majority op at 344). To the contrary, Dr. Moline made clear that she disagreed with the defendant's expert's opinion that most cases of mesothelioma are "spontaneous" and occur as a result of age and genetics, rather than asbestos exposure. Dr. Moline opined, based on her knowledge of epidemiological methodologies, that "most allegedly" "idiopathic" cases of mesothelioma involved prior exposures to asbestos that researchers had not identified due to poor study design. She also explained that many of her colleagues who treat mesothelioma would only know to ask about particular exposure scenarios based on what had been reported in the literature. For example, she explained that until recently many doctors had not known of the link between cosmetic talc and asbestos, and failed to ask patients—particularly women—about their use of beauty products containing talc. Thus, according to Dr. Moline, in those cases doctors would have wrongly reported their patients' mesotheliomas as "idiopathic," when in reality, they had failed to perceive the cause. The majority's assertion that asking the right questions "has little bearing on evidence that mesothelioma may develop without a known cause" (*id.* at 344 n 4) misses the mark. The right questions, in Dr. Moline's opinion, could uncover known unknowns, and that opinion had bearing on the core debate between the parties' experts.

increased risk over six fold of developing mesothelioma in th[e study] group” (the Welch study).⁷ Further, the 0.1 fiber per cubic centimeter of air permissible exposure limit for asbestos set by the federal Occupational Safety and Health Administration “shows that very low levels of asbestos exposure can cause disease.” According to Dr. Moline, the medical literature describes increased mesothelioma rates even at low levels of asbestos exposure. She also referred to epidemiological studies and public health literature linking talc with asbestos and describing asbestos as a cause of mesothelioma,⁸ as well as various mortality studies.⁹

Dr. Moline discussed the Helsinki criteria,¹⁰ which explain that “low levels of exposure are attributed to mesothelioma.” The criteria were originally developed in 1997 by a group of researchers as a consensus report for asbestos diagnostic criteria (see Helsinki I). They were updated in 2014 and recommend that causation be established through measurements of asbestos levels “if available,” but also recognize that since “most people work or live in a place where they don’t go around having air measurements of what their exposure is on a day-to-day basis,” a “history of exposure is sufficient for attribution.”

Counsel asked Dr. Moline to consider Mr. Fitzgerald’s testimony, and she responded that, based on his testimony and

7. See Laura S. Welch et al., *Asbestos and Peritoneal Mesothelioma Among College-Educated Men*, 11 Intl J Occupational & Env’t Health 254 (2005).

8. See Victor L. Roggli et al., *Tremolite and Mesothelioma*, 46 Annals Occupational Hygiene 447 (2002); Sharon H. Srebro & Victor L. Roggli, *Asbestos-Related Disease Associated with Exposure to Asbestiform Tremolite*, 26 Am J Indus Med 809 (1994); L. Paoletti et al., *Evaluation by Electron Microscopy Techniques of Asbestos Contamination in Industrial, Cosmetic, and Pharmaceutical Talcs*, 4 Regul Toxicology & Pharmacology 222 (1984); D.L. Longo & R.C. Young, *Cosmetic Talc and Ovarian Cancer*, 314 Lancet 349 (1979); A.N. Rohl et al., *Consumer Talcums and Powders: Mineral and Chemical Characterization*, 2 J Toxicology & Env’t Health 255 (1976).

9. See Alberto Andrion et al., *Malignant Peritoneal Mesothelioma in a 17-Year-Old Boy with Evidence of Previous Exposure to Chrysotile and Tremolite Asbestos*, 25 Hum Pathology 617 (1994); J. Gamble et al., *An Epidemiological-Industrial Hygiene Study of Talc Workers*, 26 Annals Occupational Hygiene 841 (1982).

10. See Consensus Report, *Asbestos, Asbestosis, and Cancer; the Helsinki Criteria for Diagnosis and Attribution 2014: Recommendations*, 41 Scandinavian J Work Env’t & Health 5 (Henrik Wolff et al. reporters 2015) (hereinafter Helsinki II); Consensus Report, *Asbestos, Asbestosis, and Cancer: The Helsinki Criteria for Diagnosis and Attribution*, 23 Scandinavian J Work Env’t & Health 311 (Antti Tossavainen reporter 1997) (hereinafter Helsinki I).

her knowledge, the amount of released asbestos from talc described in the literature is at levels shown to have elevated mesothelioma rates:

“Q. With that understanding in mind, Mr. Fitzgerald also testified yesterday that the reports of releasable asbestos fibers from cosmetic talc he studied was orders of magnitude above the ambient levels he mentioned. What significance is that from an occupational health perspective?

“A. Well, that is from what Mr. Fitzgerald you’re telling me said and what’s in the literature compared to my knowledge of the medical literature and the government regulations on what has been measured is, if it is true in that the amount of fibers from cosmetic talc that are released is orders of magnitude higher than ambient exposure and are at levels capable—they’re at levels at which multiple studies have shown elevated rates of mesothelioma.”

Dr. Moline also opined that, “[i]f the product is contaminated with asbestos and it gives off dust, then whatever percentage of asbestos is in that dust will be and it’s breathed i[n], then it has the potential for causing human health consequences.” The following colloquy directly addressed asbestos fibers in talc:

“Q. What significance, if any, does the fact that we’re talking about an asbestos contaminated talc hold from an environmental health perspective with regard to the possibility of airborne fibers?

“A. There is no encapsulation, so there is nothing weighing it down. It’s just fibers that become airborne. People can breathe it in. And it can get deep into the lung and exert human health effects.”

Dr. Moline further opined regarding Flo’s exposure to asbestos during her cleaning of the dust:

“Q. Now, there is evidence in this case that Flo Nemeth spent five minutes [at] a time cleaning up cosmetic talcum powder after she applied it in a five by seven closed bathroom without ventilation or closed windows. Is there any significance to that amount of time when we’re talking about the idea of re-entrainment?

“A. Well, sure. While she is cleaning it up she has direct exposure from the act of what she’s doing cleaning it. Plus, there is asbestos from the day before when she might have been cleaning it from a prior utilization of that, but the act of cleaning it is another exposure that goes to her total exposure.”

Counsel inquired as to Dr. Moline’s opinion on the following hypotheticals based on Flo’s use of the powder:

“Q. . . . Dr. Moline, there is evidence in this case that Flo Nemeth used Desert Flower Dusting Powder from the time she turned 13 in roughly 1960 through the year 1971. There is also evidence in this case that she used this powder every day after bathing in an enclosed five by seven foot bathroom without ventilation or windows, and she applied the powder all over her body and that applying the powder took approximately two minutes every time she applied it.

“There is also evidence in this case that during each application, Flo Nemeth breathed in the airborne pattern. There is also evidence in this case that Flo would stay in the bathroom after she applied it and would return to the bathroom to clean any powder that had fallen to the floor. There is evidence that it took Flo five minutes in this bathroom to clean it after every application of the powder.

“There is also evidence in this case that Whittaker, Clark & Daniels was the main supplier of talcum powder for Desert Flower from approximately 1967 through 1971. There is also evidence in this case that during this time, Whittaker, Clark & Daniels sources of talc were consistently contaminated with tremolite, anthophyllite and chrysotile asbestos.

“There is also evidence in this case that the use of this talc released airborne asbestos fibers, thousands of times above the AHERA level for safety for children in schools, and that those fibers were quantified to millions of fibers released per application, which when quantified over her total use measure in the trillions of asbestos fibers released into the air.

“There is also evidence in this case that these find-

ings [of] releasable asbestos fibers are consistent with published—with published findings and peer reviewed published study, which examined finish [sic] talcum powder products, sharing two of the three mine sources implicated in this case.

“Based on these facts in evidence, Dr. Moline, I would like you to assume that over the course of the relevant time period, Flo Nemeth applied talc in the manner I described over the course of 1,825 days for two minutes per day totaling 3,650 minutes, inhaling this talc and releasable asbestos fibers for approximately 61 hours of inhalation. I would also like you to assume in addition that she remained in the bathroom for a minimum of five minutes after every application to clean up powder that had fallen to the floor.

“Based on these facts and evidence and my hypothetical, do you have an opinion within a reasonable degree of medical certainty as to whether this exposure to Whittaker, Clark & Daniels contaminated talc was a substantial contributing factor in causing Flo Nemeth peritoneal mesothelioma?

“A. Yes.

“Q. What is your opinion, Doctor?

“A. That her exposure to the contaminated talcum powder was a substantial contributing factor.

“Q. And what are you relying on scientific expression and otherwise as the basis for your opinion?

“A. Relying on the information that there was talc present in—there was asbestos present in the talc, that there is studies that show that the use of talc in this manner elaborates respirable asbestos levels, at levels well above those that have been associated in multiple studies with the development of disease.

“She has the appropriate latency from when she was using this product to when she developed the disease. She develops a disease that’s associated with asbestos exposure, so it’s a combination. She had the exposure, she has the appropriate amount

of time from when she had the exposure and she has the significance disease related to this exposure.

“Q. I would like you to assume the facts I mentioned, but this time I would like you to assume that the contaminated talc Whittaker, Clark & Daniels supplied for Desert Flower only occurred between the years 1969 through 1971. As such, I would like you to assume that Flo Nemeth’s exposure to Whittaker, Clark & Daniels’ talc was over the course of 1,095 days which for two minutes per day amounts to 2,190 minutes of inhalation of Whittaker, Clark & Daniels’ asbestos-contaminated talcum powder or approximately 36 and a half hours.

“I would also like you to assume that she remained in the bathroom for a minimum of five minutes after every application to clean up powder that had fallen to the floor. Under these facts, does your opinion change? . . .

“A. . . . No. My opinion would not change. It would still be a substantial factor.”

On cross-examination, Dr. Moline confirmed that her opinion that cosmetic talc can cause peritoneal mesothelioma was based on over 60 years of literature and collected information. She reiterated that her opinion was based upon a comparison of Flo’s use of talcum powder, Mr. Fitzgerald’s results, “what has been published in the literature,” and a determination that decedent “used it in analogous fashion to studies that have shown measurements of asbestos.”

The defense position was that there was no scientific support for plaintiff’s argument that asbestos in talc powder causes mesothelioma or that Flo’s use of Desert Flower caused her peritoneal mesothelioma. The defense presented testimony from its expert, Suresh Moolgavkar, M.B.B.S., Ph.D.¹¹ He opined that peritoneal mesothelioma can occur spontaneously,

11. An M.B.B.S. (Medicinae Baccalaureus, Baccalaureus Chirurgiae) is a bachelor of medicine and surgery, an international medical school undergraduate degree. Dr. Moolgavkar did a fellowship at The Johns Hopkins University School of Medicine and received his Ph.D. in mathematics from The Johns Hopkins University. He is not a licensed physician and did not have a clinical practice. He previously worked as a researcher at the Fox Chase Cancer Center and the Fred Hutchinson Cancer Research Center and

(n. cont’d)

“as a consequence of the natural accumulation of mutations that is going on in our bodies all the time.” He further asserted that in determining external causes of cancer, “it is the dose that makes the poison,” meaning that exposure to a carcinogen at low doses does not present a risk of cancer. He opined that the primary internal risk factors are age and genetics, and that age is a strong risk factor because as a person ages, more cells mutate, increasing the risk of cancerous cells forming. Dr. Moolgavkar cited a study finding “that a major fraction of cancers in the United States are not attributable to exposure to environmental agents,” but rather occur from cell mutations.¹² He further noted some epidemiological studies had found that “a significant fraction of mesotheliomas cannot be attributed to asbestos exposure.” Dr. Moolgavkar also discussed a paper that he had co-authored that had found no association between asbestos consumption and rates of peritoneal mesothelioma in women.¹³ He also claimed that there were no studies in the literature showing that consumer talc was associated with a risk of peritoneal mesothelioma.

On cross-examination, Dr. Moolgavkar conceded he was not licensed to practice medicine, had never treated or diagnosed anyone with mesothelioma, nor had he met Flo or knew that she had died prior to trial. He also admitted that there were limitations to the epidemiological studies he relied on and that a well-known judge’s reference manual¹⁴ recognizes asbestos as causing mesothelioma.

C.

During summation, plaintiff’s counsel told the jury that Dr. Moline had testified that “there was a second avenue of

was a faculty member of epidemiology at the University of Washington. At the time of trial, Dr. Moolgavkar was retired from teaching and served as a consultant, senior fellow, and corporate principle for Exponent, a consulting firm he worked for prior to his retirement.

12. See Cristian Tomasetti & Bert Vogelstein, *Variation in Cancer Risk Among Tissues Can Be Explained by the Number of Stem Cell Divisions*, 347 Sci 78 (2015).

13. See Suresh H. Moolgavkar et al., *Pleural and Peritoneal Mesotheliomas in SEER: Age Effects and Temporal Trends, 1973–2005*, 20 Cancer Causes & Control 935 (2009).

14. See Bernard D. Goldstein & Mary Sue Henifin, Reference Guide on Toxicology, in Federal Judicial Center, Reference Manual on Scientific Evidence at 635 (3d ed 2011) (“A particular challenge is that only rarely is the adverse impact highly specific to the toxic agent; for example, the relatively rare lung cancer known as mesothelioma is almost always caused by asbestos”).

exposure that could occur,” vaginally. The testimony was in the context of an article that Dr. Moline was discussing. Defendant moved for a mistrial on the ground that there was no opinion on vaginal exposure presented in the testimony and that there was no cure for counsel’s erroneous statement. The court allowed plaintiff’s counsel to clarify the statement the following morning during further summation to the jury. Defendant again objected following this additional summation.

The jury returned a verdict for plaintiff in the amount of \$15 million for Flo’s past pain and suffering, plus \$1.5 million for Frank’s loss of consortium, holding defendant 50% at fault and codefendant Shulton 50% at fault. The judgment against defendant was eventually reduced to \$2,933,750. The court denied defendant’s CPLR 4404 (a) motion for a directed verdict based on the alleged insufficiency of plaintiff’s causation evidence.

The Appellate Division affirmed as modified, concluding that plaintiff presented sufficient evidence of general and specific causation in accordance with case law from this Court and rejecting defendant’s challenge based on the summation (*see* 183 AD3d 211, 227 [1st Dept 2020], citing *Cornell v 360 W. 51st St. Realty, LLC*, 22 NY3d 762, 782 [2014]; *id.* at 229, citing *Parker*, 7 NY3d 434).¹⁵ One Justice dissented, arguing that neither general nor specific causation had been established and that the original summation error was not cured (*see id.* at 237-238, 240-243, 249 [Friedman, J.P., dissenting]). The Appellate Division granted defendant leave to appeal (*see* 2020 NY Slip Op 69871[U] [1st Dept 2020]).¹⁶

I agree for the reasons stated by the Appellate Division majority that defendant’s challenge to the summation and the denial of a mistrial is without merit and I have no reason to opine further as to this aspect of defendant’s appeal. As to defendant’s challenge to the sufficiency of plaintiff’s causation evidence, for the reasons I discuss (*see* § III, *infra*), I conclude that plaintiff’s proof was sufficient under our precedent and a valid line of reasoning supports the jury’s verdict.

15. Plaintiff successfully cross-appealed on the amount of damages and defendant did not appeal from that part of the Appellate Division order. The modification was made on plaintiff’s cross appeal and consisted of an increase in the principal amount of the award to \$3.3 million.

16. The appeal was initially placed sua sponte on this Court’s alternative review track and the parties filed letter submissions in accordance with section 500.11 of the Rules of the Court of Appeals (22 NYCRR 500.11). Thereafter, the appeal was normal-coursed and oral argument was heard.

II.

On a motion pursuant to CPLR 4404 (a), “[i]t is necessary to first conclude that there is simply no valid line of reasoning and permissible inferences which could possibly lead rational [people] to the conclusion reached by the jury on the basis of the evidence presented at trial” (*Cohen v Hallmark Cards*, 45 NY2d 493, 499 [1978]). Put another way, when “[a] valid line of reasoning exists based on the record evidence to support the jury verdict finding defendants liable,” the verdict should stand (*Acosta v City of New York*, 15 NY3d 881, 882 [2010], citing *Cohen*, 45 NY2d at 499). On a motion to set aside the verdict, we must view “the facts . . . in a light most favorable to the non-movant” (*Szczerbiak v Pilat*, 90 NY2d 553, 556 [1997]).

“In any common-law negligence case brought pursuant to New York law, ‘a plaintiff must demonstrate (1) a duty owed by the defendant to the plaintiff, (2) a breach thereof, and (3) injury proximately resulting therefrom’ ” (*Ferreira v City of Binghamton*, 38 NY3d 298, 308 [2022], quoting *Solomon v City of New York*, 66 NY2d 1026, 1027 [1985]). The Court has identified two necessary components of the causation element in toxic tort actions: a plaintiff must establish “general” and “specific” causation (*Parker*, 7 NY3d at 448; accord *Cornell*, 22 NY3d at 784; *Sean R. v BMW of N. Am., LLC*, 26 NY3d 801, 808 [2016]). Thus, in a toxic tort case, the plaintiff’s expert’s “opinion on causation should set forth a plaintiff’s exposure to a toxin, that the toxin is capable of causing the particular illness (general causation) and that plaintiff was exposed to sufficient levels of the toxin to cause the illness (specific causation)” (*Parker*, 7 NY3d at 448, citing *McClain v Metabolife Intl., Inc.*, 401 F3d 1233, 1241 [11th Cir 2005], and *Wright v Willamette Indus., Inc.*, 91 F3d 1105, 1106 [8th Cir 1996]). To establish general causation, a plaintiff need only show “that the toxin is capable of causing the particular illness” (*id.*). A plaintiff may establish general causation through epidemiological evidence, which must rely upon “the generally accepted methodology for evaluating epidemiologic evidence when determining whether exposure to an agent causes a harmful effect or disease” (*Cornell*, 22 NY3d at 783). Epidemiological evidence cannot establish general causation by showing a mere “risk,” “linkage,” or “association” between the toxin and the illness because “there can be an association without causation” (*id.*). Specific causation does not require “precise quantifica-

tion” (*Parker*, 7 NY3d at 448). “[I]t is not always necessary for a plaintiff to quantify exposure levels precisely or use the dose-response relationship, provided that whatever methods an expert uses to establish causation are generally accepted in the scientific community” (*id.*). Indeed, “[o]ne problem with establishing causation in toxic tort cases is that, often, a plaintiff’s exposure to a toxin will be difficult or impossible to quantify by pinpointing an exact numerical value” (*id.* at 447). “At a minimum, there must be evidence from which the factfinder can conclude that the plaintiff was exposed to levels of the agent that are known to cause the kind of harm that the plaintiff claims to have suffered” (*Sean R.*, 26 NY3d at 809 [brackets and ellipsis omitted]).

In *Parker*, this Court identified both quantitative and qualitative methods as “ways an expert might demonstrate causation” (7 NY3d at 449). An expert may use quantitative methods, such as determining the “intensity of exposure” or estimating exposure “through the use of mathematical modeling” (*id.*). Alternatively, an expert may use “qualitative means,” such as “[c]omparison to the exposure levels of subjects of other studies[,] . . . provided that the expert ma[ke] a specific comparison sufficient to show how the plaintiff’s exposure level related to those of the other subjects” (*id.*). The Court explained that those methods, “along with others, could be potentially acceptable ways to demonstrate causation” (*id.*).

III.

Defendant makes no claim as to the duty or breach elements of plaintiff’s tort claim and limits its challenge on appeal to the alleged insufficiency of plaintiff’s causation evidence. The majority adopts defendant’s view that the evidence failed to present a scientific expression of Flo’s exposure to asbestos (*see* majority op at 346-347). That view finds no support in the record, is a misapplication of precedent, and confuses legal sufficiency with weight of the evidence.

As to general causation, Mr. Fitzgerald and Dr. Moline testified that there were epidemiological and case studies supporting a finding that asbestos causes mesothelioma and that the talc in Desert Flower contained asbestos. Mr. Fitzgerald further testified to historical and recent geological findings of asbestos in the talc that had been mined, including his own testing of a sample from an old mine that supplied defendant, and eventually mixed into the Desert Flower cosmetic powder used by Flo. Dr. Moline testified to numerous epidemiological

and case studies explaining and showing that asbestos causes mesothelioma, including peritoneal mesothelioma, that reflected the many peer-reviewed studies that were part of six decades of material showing asbestos can cause mesothelioma. Based on the literature, she testified that even low levels of asbestos exposure could cause mesothelioma and that peritoneal mesothelioma is a rare form of cancer. She relied on federal standards, the Helsinki international consensus criteria, and the Welch study, which provided specific findings of peritoneal mesothelioma in persons exposed to asbestos.¹⁷ Defendant's cross-examination of both experts failed to undermine their testimony. Instead, defendant relied on Dr. Moolgavkar's contrasting opinion. Yet, he acknowledged that the medical literature that he relied upon had limitations. That view, which plaintiff argued was unsupported by science, was that epidemiological studies had shown that "a significant fraction of mesotheliomas cannot be attributed to asbestos exposure" and that "th[e] view that spontaneous mesotheliomas can occur is consistent with our view of cancer, the accumulation of mutations in normally dividing stem cells without any kind of exposure to any environmental agent."

Plaintiff also satisfied his burden as to specific causation with a multi-step evidentiary presentation that culminated in Dr. Moline's causation opinion. First, Mr. Fitzgerald testified to a mathematical modeling methodology, previously peer-reviewed and acknowledged by defendant's expert. Mr. Fitzgerald used the glove box to measure the amount of releasable asbestos in the historic cosmetic powder, which was from the same era in which Flo used it. Second, based on those results and his calculations, he opined as to the asbestos in the breathable zone and compared it to the federal AHERA standards. He stated that "millions of fibers [were] initially released into the chamber" and were an inhalable size. Third, Dr. Moline provided a scientific expression of Flo's exposure level to

17. *E.g.* Welch et al. at 256 ("This study supports the conclusion that asbestos exposures cause peritoneal mesothelioma even at levels lower than exposures sustained by cohorts previously described"); *see* Helsinki II at 10 ("[A]sbestos can contribute to causation of disease in exposed populations at even lower levels"); Gordon et al. at 330 ("Our findings indicate that historic talcum powder exposure is a causative factor in the development of mesotheliomas and possibly lung cancers in women"); Helsinki I at 313 ("The great majority of mesotheliomas are due to asbestos exposure"); *cf.* Srebro & Roggli (finding causal relationship between asbestos and pleural mesothelioma); Roggli et al. (same).

asbestos based on the literature she had previously discussed, including a comparator study showing development of peritoneal mesothelioma after use of talcum powder (*see* Andrión et al.), Mr. Fitzgerald’s test results, and Flo’s testimony of her daily and regular exposure. Dr. Moline concluded—“[r]elying on the information that . . . there was asbestos present in the talc, that there [are] studies that show that the use of talc in this manner elaborates respirable asbestos levels, at levels well above those that have been associated in multiple studies with the development of disease,” and based upon the “appropriate latency” period from Flo’s use and the development of her cancer—that defendant’s cosmetic powder was a significant factor in causing Flo’s peritoneal mesothelioma.

The majority concludes that the evidence is insufficient based on what the majority considers to be unpersuasive about plaintiff’s evidence (*see* majority op at 344-347). To the extent the majority suggests there was a lack of any evidence of general causation, such a suggestion is unsupportable as there was an abundance of evidence that asbestos-containing talc could cause mesothelioma because the asbestos was releasable during use. Dr. Moline also testified that the literature included studies of persons exposed to asbestos who developed peritoneal mesothelioma, a rare cancer. This was enough under our law (*see Cornell*, 22 NY3d at 782-783; *Parker*, 7 NY3d at 448).

The majority’s conclusion that plaintiff failed to present sufficient evidence of specific causation is similarly flawed. First, the majority relies heavily for its analysis on an apparent lack of evidence on “breathability” (*see* majority op at 346).¹⁸ The majority acknowledges that Mr. Fitzgerald’s glove box test provided data on the releasability of asbestos from the historical sample of Desert Flower talc powder. But the majority then ignores that Mr. Fitzgerald’s test was designed to measure the

18. Contrary to the majority’s view, the majority below and I have not “recast[ed]” Mr. Fitzgerald’s study “as some sort of ‘breathability’ study” (majority op at 346). I nowhere describe it as such. Rather, I acknowledge—as the trial court did—that Mr. Fitzgerald opined solely as to the releasability of asbestos in the historic sample of Desert Flower cosmetic talc. Under our precedent, Dr. Moline could draw on Mr. Fitzgerald’s study to reach her opinion on causation. The majority attempts to elide the issue with its carefully worded assertion that Mr. Fitzgerald’s results did not “offer an estimate” or “scientific expression” of Flo’s exposure (*id.* at 346). But, as I explain, our precedent requires only that plaintiff’s evidence provide a scientific expression in accordance with scientifically recognized methods, not that the expert conducting the tests articulate that scientific expression for the trier of fact (*see infra* at 364).

amount of inhalable-sized asbestos that was released into the breathable zone—positioning a pump near his nose, and also pumping in a manner that would simulate drawing air further into a room. This test simulated the release of asbestos from the talc as Flo shook the powder while patting her body with the powder-covered puff, and the test further simulated that release in the range where she would inhale that dust. The majority simply misreads the record and ignores this critical part of the data which formed part of the basis for Dr. Moline’s opinion on causative effect.

This misreading leads to the second flaw: an erroneous assumption that Dr. Moline could not rely on Mr. Fitzgerald’s results and calculations to provide her opinion that Flo had inhaled the concededly released asbestos in sufficient quantities that were a substantial cause of her mesothelioma. Our precedent does not require that any particular expert ground their scientific expression solely on their own tests (*see e.g. People v Miller*, 91 NY2d 372, 380 [1998] [holding, where autopsy reports and other documents and testimony had been properly introduced into evidence, forensic pathologist could “draw . . . conclusions from the record evidence” without having “examined the corpus delicti or performed the autopsy”]; *see generally Cassano v Hagstrom*, 5 NY2d 643, 646 [1959]; Jerome Prince, Richardson on Evidence § 7-308 [Farrell 11th ed 1995, 2008 Supp]). Put another way, Dr. Moline could base her opinion of causation on Mr. Fitzgerald’s results and calculations along with her own knowledge of the medical literature, the extensive data from the glove box test, and Flo’s testimony of her daily exposure to Desert Flower’s asbestos-containing talc (*see Matteson v New York Cent. R.R. Co.*, 35 NY 487, 493 [1866] [“the opinions of experts . . . are admissible, though the witness founds them, not on (their) own personal observation, but on the case itself, as proved by other witnesses on the trial” (internal quotation marks and parentheses omitted)]). It is a tried-and-true method to ask an expert for an opinion based on assumed facts and the existing data. All of the fundamental considerations of her opinion—her education, clinical experience, the medical literature, Fitzgerald’s tests and results, which were conducted in accordance with the mathematical modeling noted approvingly in *Parker* (7 NY3d at 449), and Flo’s testimony regarding her exposure—are all acceptable bases for an expert opinion on specific causation under our case law.

“The fault here” was not “in plaintiff’s proof” (majority op at 347). As with most tort actions, including toxic torts, this litigation turned on a battle of the experts. Dr. Moline and Mr. Fitzgerald relied on methodologies and studies that are generally accepted in the scientific community, and Dr. Moline provided her opinion—her scientific expression—that the asbestos to which Flo was exposed through inhalation was sufficient to be a significant cause of Flo’s cancer. Plaintiff met his burden of proof under our law, which the lower courts properly articulated, and the jury found his experts persuasive and rejected defendant’s experts’ views. The fact that the majority would have come to a different conclusion is irrelevant. Concerns about whether the plaintiffs’ experts’ opinions were based on studies and criteria that defendant’s expert disagreed with goes to the weight of the evidence, and not the legal sufficiency of the proof establishing causation. And, this Court has no authority to weigh the evidence (*see* Arthur Karger, Powers of the New York Court of Appeals § 13:2 at 453-454 [3d ed rev 2005]).

IV.

In sum, plaintiff’s proof of causation was sufficient and provided a basis for the jury’s conclusion that plaintiff established by a preponderance of the evidence that defendant distributed and/or sold talc contaminated with asbestos, Flo was exposed to that talc, defendant negligently failed to provide adequate warning, and defendant’s negligence was a substantial factor causing injury to Flo. Accordingly, defendant’s motion for a directed verdict was properly denied because “[a] valid line of reasoning exists based on the record evidence to support the jury verdict finding defendant[] liable” (*Acosta*, 15 NY3d at 882, citing *Cohen*, 45 NY2d at 499).

The majority has essentially adopted an impossible standard for plaintiffs—even though this Court has rejected that exact approach, explaining in *Parker* that “it is . . . inappropriate to set an insurmountable standard that would effectively deprive toxic tort plaintiffs of their day in court” (7 NY3d at 447). I dissent.

Chief Judge DiFiore and Judges Singas, Cannataro and Troutman concur; Judge Rivera dissents in an opinion. Judge Wilson took no part.

Order reversed, with costs, and complaint as against defendant Whittaker, Clark & Daniels, Inc. dismissed.

[195 NE3d 19, 174 NYS3d 312]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v JOHN
WAKEFIELD, Appellant.

Argued March 15, 2022; decided April 26, 2022

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered August 15, 2019. The Appellate Division affirmed a judgment of the Supreme Court, Schenectady County (Michael V. Coccoma, J.; *see* 47 Misc 3d 850 [2015]), which had convicted defendant, upon a jury verdict, of murder in the first degree and robbery in the first degree.

People v Wakefield, 175 AD3d 158, affirmed.

HEADNOTES

Crimes — Evidence — DNA Identification Tests — Admissibility of TrueAllele Casework System

1. In a criminal prosecution, Supreme Court did not abuse its discretion in finding, following a *Frye* hearing, that the TrueAllele Casework System's use of the continuous probabilistic genotyping approach to generate a statistical likelihood ratio, including the use of peak data below the stochastic threshold, of a DNA genotype is generally accepted in the relevant scientific community. It was undisputed that the foundational mathematical principles were widely accepted in the scientific community. It was also undisputed that the relevant scientific community was fully represented by those persons and agencies who weighed in on the approach. Although the continuous probabilistic approach was not used in the majority of forensic crime laboratories at the time of the hearing, the methodology had been generally accepted in the relevant scientific community based on the empirical evidence of its validity, as demonstrated by multiple validation studies, including collaborative studies, peer-reviewed publications in scientific journals and its use in other jurisdictions. The empirical studies demonstrated TrueAllele's reliability, by deriving reproducible and accurate results from the interpretation of known DNA samples. Although the developer of the software was involved in many of the validation studies, his interest was addressed at the *Frye* hearing and his involvement did not preclude a determination of general acceptance as a matter of law. Moreover, disclosure of the TrueAllele source code was not needed in order to establish at the *Frye* hearing the acceptance of the methodology by the relevant scientific community.

Crimes — Right of Confrontation — DNA Identification Tests — TrueAllele Casework System Source Code

2. In a criminal prosecution in which the TrueAllele Casework System was used to generate DNA mixture interpretation evidence introduced in defendant's murder trial, Supreme Court did not deprive defendant of his Sixth Amendment right to confrontation by denying his request for discovery of the

TrueAllele software source code. The report created by TrueAllele providing the likelihood ratio that defendant was a contributor to the DNA mixture profile found on the items of evidence was testimonial. The report was prepared at the request of the People for purposes of prosecuting defendant in a pending criminal proceeding. Therefore, the report satisfied the primary purpose test and was testimonial. However, even if the TrueAllele system is programmed to have some measure of “artificial intelligence,” the source code is not an entity that can be cross-examined. The essential purpose of the Confrontation Clause is to ensure a personal examination and cross-examination of the witness, in which the accused has an opportunity, not only of testing the recollection and sifting the conscience of the witness, but of compelling the witness to stand face to face with the jury in order that they may look at the witness, and judge by the witness’s demeanor upon the stand and the manner in which the witness gives their testimony whether the witness is worthy of belief. The instrument performs its quantitative analysis on electronic data generated by the lab during the electrophoresis process only after the analyst sets the parameters following a human review of the data. Both the analyst who performed the electrophoresis on the DNA samples and the developer, who fully understood the parameters and methodology of the TrueAllele software in its DNA interpretation processes, testified at trial and were subject to cross-examination.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d Constitutional Law § 1005; AM JUR 2d Criminal Law §§ 1045–1049, 1062–1064; AM JUR 2d Evidence §§ 570, 989, 994, 1013; AM JUR 2d Expert and Opinion Evidence § 212.

CARMODY-WAIT 2d Particular Types of Evidence §§ 194:64–194:65, 194:80, 194:90, 194:200, 194:209.

LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) §§ 10.5, 24.3.

NY JUR 2d Criminal Law: Procedure §§ 2225, 2261–2262, 2264, 2295, 2297, 2355, 2361; Evidence and Witnesses § 676.

ANNOTATION REFERENCES

Admissibility of DNA identification evidence. 84 ALR4th 313.

Application of *Crawford* Confrontation Clause Rule to DNA Analysis and Related Documents. 17 ALR7th Art. 3.

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POINTS OF COUNSEL

Hug Law, PLLC, Albany (*Matthew C. Hug* of counsel), for appellant. I. TrueAllele Casework failed to satisfy the *Frye* test, because it was black box proprietary technology that had not been examined by the greater scientific community and failed to demonstrate that it had gained general acceptance in the scientific community. Its erroneous admission into evidence should result in reversal of the judgment of conviction. And because the remaining evidence was legally insufficient to establish guilt beyond a reasonable doubt, the indictment should be dismissed. (*People v Williams*, 35 NY3d 24; *People v Wesley*, 83 NY2d 417; *Frye v United States*, 293 F 1013; *People v Brooks*, 31 NY3d 939; *People v Foster-Bey*, 35 NY3d 959; *United States v Gissantaner*, 417 F Supp 3d 857.) II. The trial court deprived appellant of his Sixth Amendment constitutional right to confrontation, by denying his demand for an opportunity to have his expert review the TrueAllele source code, thereby exalting the profit motive of a corporation over the most basic and fundamental constitutional protections. (*Crawford v Washington*, 541 US 36; *Bullcoming v New Mexico*, 564 US 647; *People v John*, 27 NY3d 294; *People v Brown*, 13 NY3d 332; *People v Tsintzelis*, 35 NY3d 925; *People v Austin*, 30 NY3d 98; *Maryland v Craig*, 497 US 836.) III. The court erred in admitting DNA evidence taken from the sweatshirt due to critical chain of custody failures. (*People v Julian*, 41 NY2d 340; *People v Rivera*, 184 AD2d 153; *People v Roberts*, 66 AD3d 1135; *People v Heiss*, 113 AD2d 953; *People v Crimmins*, 36 NY2d 230.) IV. Appellant's Sixth Amendment right to counsel was violated by the prosecution's use of jailhouse informant testimony and the court erred in permitting K.A. to testify. (*Massiah v United States*, 377 US 201; *People v Velasquez*, 68 NY2d 533; *People v Cardona*, 41 NY2d 333; *Matter of Asem v Key Food Stores Co-Op.*, 216 AD2d 806; *Manacher v Sterling Natl. Bank & Trust Co. of N.Y.*, 4 Misc 2d 1069; *Maine v Moulton*, 474 US 159; *People v Crimmins*, 36 NY2d 230; *People v Hamlin*, 71 NY2d 750.) V. The court erred in permitting the prosecution to present identification testimony from witnesses that had not been properly noticed, and the court's *Rodriguez* hearing decisions were erroneous. (*People v Rodriguez*, 79 NY2d 445; *People v Anderson*, 149 AD3d 1407; *People v Bernier*, 73 NY2d 1006; *People v Thomas*, 225 AD2d 641; *People v Boyer*, 6 NY3d 427.) VI. The court erred in permitting the prosecution to present

evidence of a prior consistent statement of one of their witnesses. (*People v Stone*, 133 AD3d 982; *People v McDaniel*, 81 NY2d 10; *People v Rosario*, 17 NY3d 501; *People v Massie*, 2 NY3d 179; *People v Hunte*, 168 Misc 2d 466; *United States v Cardillo*, 316 F2d 606.) VII. The judgment of conviction was unsupported by legally sufficient evidence. (*People v Bleakley*, 69 NY2d 490.)

Robert M. Carney, District Attorney, Schenectady (Peter H. Willis of counsel), for respondent. I. The defendant's claim that TrueAllele is not generally accepted in the scientific community is without merit and unpreserved for review. (*Frye v United States*, 293 F 1013; *People v Wesley*, 83 NY2d 417; *People v Wilson*, 192 AD3d 1379; *People v Middleton*, 54 NY2d 42; *Cornell v 360 W. 51st St. Realty, LLC*, 22 NY3d 762; *Saulpaugh v Krafte*, 5 AD3d 934; *United States v Gissantaner*, 990 F3d 457; *United States v Bonds*, 12 F3d 540; *People v McRay*, 51 NY2d 594.) II. The defendant's claim that his Sixth Amendment right to confrontation was violated is unpreserved and without merit. (*People v Wright*, 160 AD3d 667; *People v Howell*, 44 AD3d 685; *Crawford v Washington*, 541 US 36; *Melendez-Diaz v Massachusetts*, 557 US 305; *People v Rawlins*, 10 NY3d 136; *People v John*, 27 NY3d 294; *Bullcoming v New Mexico*, 564 US 647; *Davis v Washington*, 547 US 813; *People v Pealer*, 20 NY3d 447; *People v Austin*, 30 NY3d 98.) III. The court properly allowed the admission of the grey sweatshirt, cuttings, and the DNA evidence which was obtained from it. (*People v Julian*, 41 NY2d 340; *People v Hawkins*, 11 NY3d 484; *People v Torres*, 146 AD3d 1086.) IV. The court did not err in allowing K.A. to testify about statements made by the defendant while he was incarcerated in the Schenectady County Jail. (*People v Jones*, 21 NY3d 449.) V. The trial court's decisions in the *Rodriguez* hearings were correct. (*People v Rodriguez*, 79 NY2d 445.) VI. The court did not err in allowing the prosecution to present evidence of a prior consistent statement made by R.E. (*People v Rosario*, 17 NY3d 501; *People v McDaniel*, 81 NY2d 10.) VII. The trial court did not improperly limit defendant's cross-examination. (*People v Smith*, 27 NY3d 652; *People v Corby*, 6 NY3d 231; *United States v Cardillo*, 316 F2d 606; *People v Perry*, 218 AD2d 818; *People v Brock*, 238 AD2d 347; *People v Cole*, 196 AD2d 634.) VIII. The defendant's convictions were based on legally sufficient evidence. (*People v Smith*, 79 NY2d 309.)

OPINION OF THE COURT

Chief Judge DiFiore.

This appeal primarily concerns the admissibility of DNA mixture interpretation evidence generated by the TrueAllele Casework System. We conclude that Supreme Court did not abuse its discretion in finding, following a *Frye* hearing, that TrueAllele's use of the continuous probabilistic genotyping approach to generate a statistical likelihood ratio—including the use of peak data below the stochastic threshold—of a DNA genotype is generally accepted in the relevant scientific community. We also hold that there was no error in the court's denial of defendant's request for discovery of the TrueAllele software source code in connection with the *Frye* hearing or for the purpose of his Sixth Amendment right to confront the witness against him at trial.

I.

On April 12, 2010, the victim was found strangled to death in his apartment, with a guitar amplifier cord wrapped around his neck. Several items had been stolen from the victim's home, including a PlayStation 3, a laptop and a distinctive orange duffel bag. Witnesses observed defendant in the company of the victim the weekend of the homicide and defendant admitted to three individuals that he had choked the victim. Defendant did not dispute that he had been present at the victim's home. A separate witness observed defendant with a distinctive orange duffel bag like the one belonging to the victim, attempting to trade a PlayStation and a laptop for drugs. The victim's PlayStation 3 was recovered from the home of a local drug dealer.

At the scene, the police collected DNA samples from several items of evidence and sent them to the New York State Police Forensic Investigation Center (the Lab) for PCR DNA typing analysis, using the FBI-selected 15 STR loci standard.¹ Defendant's single-source DNA profile was developed from two bottles taken from the victim's home. Relevant to the issues presented here are four DNA profiles developed by the Lab through the

1. Briefly, as we have previously explained in greater detail, PCR, or polymerase chain reaction DNA typing, “analyzes DNA in the form of alleles that are found at the same location (locus) of the DNA on homologous (matching) chromosomes” (*People v John*, 27 NY3d 294, 298 [2016]; see also *People v Williams*, 35 NY3d 24, 46-47 [2020]). In the samples at issue, the Lab used electrophoresis to test for 15 specific short tandem repeat (STR) locations, or loci, as well as the sex-determining amelogenin locus (see 27 NY3d at 298). The reliability of the electrophoresis is not contested here.

samples taken from the front and rear outside collar of the victim's shirt, the victim's dorsal forearm and a section of the amplifier cord used to strangle the victim. The DNA test results developed by the Lab in an electropherogram were then compared to known DNA profiles from defendant and the victim. The Lab concluded that: (1) the two profiles generated from the shirt collar were consistent with at least two donors, one of which was the victim, and defendant could not be excluded as the other contributor; (2) the DNA mixture from the right dorsal forearm was consistent with DNA from the victim, as the major contributor, mixed with at least two additional donors; and (3) the amplifier cord was a mixture of at least two donors, from which the victim could not be excluded as a possible contributor. The results generated from the amplifier cord were not compared to defendant's DNA profile because of the complexity of the mixture.

Since the Lab used an interpretation standard of a stochastic threshold of 50 to 100 relative fluorescence units, the analyst did not call any alleles based on peaks on the electropherogram below that threshold. As a result, there was insufficient data to allow the Lab to calculate probabilities for the unknown contributors to the DNA mixtures found on the amplifier cord and the front of the shirt collar. The Lab was able to call only 4 out of 15 STR loci and the analyst, using the combined probability of inclusion method,² generated a statistic that the probability an unrelated individual contributed DNA to the outside rear shirt collar was 1 in 1,088. Using the same number of loci for the profile obtained from the victim's forearm, the analyst generated a statistic that the probability an unrelated individual contributed DNA to the profile was 1 in 422.

The electronic data from the DNA testing of the four samples at issue was then sent to Cybergenetics for additional analysis because its TrueAllele Casework System applies a continuous probabilistic genotyping method of calculating a likelihood ratio—using all of the information generated on the electropherogram, including peaks that fall below a laboratory's stochastic threshold. The likelihood ratio in its modern form was developed by Alan Turing during World War II as a code-breaking method. TrueAllele uses a probability model to assess

2. The combined probability of inclusion method relies on the alleles at the combined loci called by an analyst and then calculates the probability that a random person's DNA is included in the mixture by determining how often each allele occurs in the general population.

the values of a genotype objectively. It does not consider a reference sample for any particular DNA profile. Following protocol, once the genotypes were inferred based on mathematical computations from all the data in the electropherograms, the system compared defendant's genotype to all of the statistical genotype possibilities and calculated likelihood ratios as to the presence of defendant's genotype. The ratios were exponentially greater than those generated by the methods employed by the Lab. Specifically, TrueAllele concluded that it was 5.88 billion times more probable that defendant was a contributor to the mixture on the amplifier cord than an unrelated black person, that it was 170 quintillion times more probable that defendant was a contributor to the mixture on the outside rear shirt collar than an unrelated black person, that it was 303 billion times more probable that defendant was a contributor to the mixture on the outside front shirt collar than an unrelated black person, and that it was 56.1 million times more probable that defendant was a contributor to the mixture on the victim's dorsal forearm than an unrelated black person.

Prior to trial, in March 2014, defendant moved to preclude the introduction of any evidence or testimony derived from the TrueAllele Casework System or, in the alternative, for a *Frye* hearing to determine the general acceptance of TrueAllele in the relevant scientific community. Defense counsel acknowledged having received from the People approximately 1,500 pages of discovery documents, including reports relating to the DNA analysis, but argued that several additional items “must be disclosed”—specifically, the defense sought the “assumptions” and parameters programmed into the TrueAllele system and the software's source code.

In support of the motion, defendant submitted an affidavit from Ranajit Chakraborty, Ph.D.—a member of the Scientific Working Group on DNA Analysis Methods (SWGDM)³ and former member of the New York State Commission on Forensic Science DNA Subcommittee. Parenthetically, the DNA Subcommittee is charged by Executive Law § 995-b (13) (b) to “assess and evaluate all DNA methodologies proposed to be used for forensic analysis” in the state. Dr. Chakraborty acknowledged

3. SWGDAM serves as a forum for evaluating forensic biology methods and research in order to enhance forensic biology services and provides recommendations to the FBI Director for the quality assurance standards for forensic DNA analysis (<https://www.swgdam.org/bylaws> [last accessed Apr. 18, 2022]).

that both New York's DNA Subcommittee and the full Commission on Forensic Science (CFS) approved TrueAllele for forensic casework without limitation in 2011 while he was a member. However, since TrueAllele "re-analyzes" the electronic data from another laboratory by including "all allele peak height information including that which extends below" the stochastic threshold, he maintained that it was a novel innovation which had not gained general acceptance in the scientific community. Dr. Chakraborty opined that, when the DNA Subcommittee approved TrueAllele, it had not been presented with evidence of its ability to analyze certain types of complex DNA mixtures and that it "ha[d] not been adequately validated for the type of casework[] [to which] it is now being applied." Dr. Chakraborty contended that, in the absence of disclosure of the source code for the software and the underlying assumptions programmed into the system, "TrueAllele cannot be meaningfully validated."

Supreme Court granted defendant's motion to the extent of ordering a *Frye* hearing to determine the admissibility of TrueAllele's methodology.

In July 2014, prior to the *Frye* hearing, defense counsel made a supplemental demand for discovery seeking several items relating to the TrueAllele process including, as relevant here, the TrueAllele source code. The People, who were not in possession of the source code, denied the request as the source code was outside the scope of the former demand discovery provision, CPL 240.20.

The *Frye* hearing commenced in October 2014 and the People called three witnesses—Dr. Mark Perlin from Cybergenetics, and Dr. Barry Duceman and forensic analyst Jay Caponera from the Lab. Dr. Perlin, who has a medical degree as well as a Ph.D. in both mathematics and computer science, founded Cybergenetics in 1994 and is its Chief Scientist and Executive Officer. He testified that TrueAllele is comprised of two systems—TrueAllele Databank, for interpreting single-source reference samples (used by the New York State Police for the state DNA databank), and TrueAllele Casework, for interpreting more complex DNA mixtures. The TrueAllele Casework System does not generate a DNA profile, but analyzes the electronic raw data that has already been generated by a forensic crime lab, separates (or deconvolutes) the genotypes and calculates the

likelihood ratio.⁴ As described at the hearing, the analyst operating the TrueAllele system reviews the raw electronic data and then inputs the data file into the computer, setting parameters such as the number of contributors and the quality of the mixture. The computer then separates the genotypes using the mathematical probability principle of the Markov chain Monte Carlo (MCMC) search to calculate the probability for what the different genotypes could be. The computer conducts a quantitative analysis using all of the electronic data generated in the electropherogram—including patterns and peak heights—as opposed to the qualitative analysis of visual human review, which has a limited data field due to the laboratory’s stochastic level.⁵ Through the mathematical process, the system makes an inference based on the probability of each possibility of the alleles at each locus, then records the genotypes and mixture weights for each contributor. The analyst then looks at the results to determine whether the computer has achieved “concordance” and, if not, the analyst has the option to take additional steps—i.e., ask the computer to model for another donor, allow it to run more cycles or ask it to account for degradation in the sample.

As to general acceptance of the continuous probabilistic genotyping system, the testimony of the People’s witnesses established that probabilistic genotyping methods have been recognized by the relevant scientific community such as SWGDAM, the American National Standards Institute and the

4. The computer divides the genotype probability for an allele by the rate at which it occurs in the general population, using genotype information from the FBI database, and thereby derives the match statistic for a locus. The same calculation is made at each locus and they can be multiplied together to calculate the likelihood ratio or “how much more the suspect matches the evidence [than] a random person would.”

5. Under the 2010 SWGDAM guidelines, a laboratory using a probabilistic genotyping approach, rather than a stochastic threshold, required empirical data and internal validation of the software by the laboratory. Both Dr. Duce-man and Caponera testified at the *Frye* hearing to their compliance with controlling laboratory standards and to the Lab’s “intensive validation” of TrueAllele Casework, including validation studies conducted after the approval of TrueAllele in 2011 by the CFS. Shortly after the trial in this case, SWGDAM issued guidelines for the prospective validation of probabilistic genotyping systems (SWGDAM, Guidelines for the Validation of Probabilistic Genotyping Systems [June 15, 2015], available at https://www.swgdam.org/_files/ugd/4344b0_22776006b67c4a32a5ffc04fe3b56515.pdf [last accessed Apr. 18, 2022]). The concurrence’s consideration and independent evaluation of the test in these subsequently issued guidelines is inappropriate.

National Institute of Standards and Technology (NIST) as a valid approach to DNA interpretation—including the fully continuous probabilistic genotyping approach used by TrueAllele. The mathematical and scientific principles underlying the system (MCMC and Bayes' theorem) are well-established and independent validation of the reliability of the software is available in the form of a free trial that can be used to verify a known sample. Dr. Perlin has presented on the DNA mixture interpretation of TrueAllele at multiple scientific conferences, including internationally, and TrueAllele Casework has been the subject of numerous peer-reviewed published articles in scientific journals. The TrueAllele Casework System had also undergone approximately 25 validation studies—one involving samples created by NIST. Although Dr. Perlin was involved in and coauthored most of the validation studies, his interest in TrueAllele was disclosed as required by the journals who published the studies and the empirical evidence of the reliability of TrueAllele was not disputed. Four validation studies were conducted independently by laboratories.

Two of the independent validation studies were conducted by the New York State Police Lab and were designed to conform to the quality assurance standards of the FBI in order to maintain the Lab's access to the national Combined DNA Index System (CODIS) database. Jay Caponera testified that he performed the validation studies using complex mixtures of up to four contributors and varying amounts of DNA, including low template samples.⁶ The system was able to separate the known donor samples from the unrelated profiles provided by staff members—demonstrating that it provides both inculpatory and exculpatory results. In sum, the validation studies found the results generated by TrueAllele were reliable as they were sensitive (identifies the correct person), specific (excludes noncontributors), accurate and reproducible.

The evidence at the hearing further established that NIST used the TrueAllele system to examine the composition and assess the weights of a two-person mixture for its standard reference materials (used by other laboratories to conduct quality

6. The validation studies established that TrueAllele generated accurate and reproducible results with as little as 15.6 picograms of DNA. Below that level and with more complex mixtures, more variation was found in the results.

assurance).⁷ Evidence generated by TrueAllele had also been found admissible after hearings conducted in states outside New York, as well as other countries. In addition, the system was used to conduct all forensic casework in the Commonwealth of Virginia and in Kern County, California.

Defendant did not call an expert witness or introduce any evidence at the hearing. He also did not refute the fundamental mathematical principles of the methodology used by TrueAllele. Rather, in cross-examining the People's witnesses, the defense focused on the fact that the TrueAllele system involves artificial intelligence in its mathematical application by drawing inferences on the data, the "black box" nature of the technology and the small number of independent validation studies conducted without Dr. Perlin's involvement. The defense also emphasized that most forensic laboratories still used the stochastic threshold model. Defendant elicited that some laboratory analysts lack a complete understanding of how the sophisticated mathematical system works and that Dr. Perlin characterized the "main barrier" to implementing the continuous method as the difficulty in educating analysts on the system to the degree they would be able to testify in court.⁸

Following the hearing, in a lengthy and detailed opinion, Supreme Court found that TrueAllele was generally accepted in the relevant scientific community and denied defendant's motion to preclude testimony and evidence derived therefrom (47 Misc 3d at 859). The court concluded that the quantitative analysis performed by TrueAllele had been empirically tested and found to be reliable and accurate, that it was the subject of publication in scientific journals and favorable peer review, that it was more efficacious than human review using the stochastic method, that it had been validated and the results were reproducible, and that the scientific and mathematical principles upon which it was based had been accepted by the relevant scientific community long ago. The court observed that, notwithstanding that TrueAllele had been in existence

7. As the hearing court noted, NIST is "the scientific wing of the United States Department of Commerce, whose mission is to advocate science in the United States and guide the forensic DNA community" (47 Misc 3d 850, 858 [Sup Ct, Schenectady County 2015]).

8. The court reopened the *Frye* hearing, following a *Brady* disclosure by the People, to hear testimony about allegations of cheating on TrueAllele proficiency tests in the Lab. The testimony established that the suspected individuals were not involved in any way in the Lab's validation studies.

since 1999, there was a lack of negative critical work concerning its methods in the scientific community.

II.

Prior to trial, defendant moved for disclosure of the source code in order “to meaningfully exercise his constitutional right to confront his accusers.” He argued that the report generated by TrueAllele was testimonial, that the computer program was the functional equivalent of a laboratory analyst and that the source code was the witness that must be produced to satisfy his right to confrontation. He claimed that Perlin’s “surrogate” trial testimony without disclosure of the source code was inadequate—“the TrueAllele Casework System source code itself, and not Dr. Perlin, is the declarant with whom [defendant] has a right to be confronted.” The court denied the motion, finding that the source code was not a witness or testimonial in nature, and that defendant would have the opportunity to confront and cross-examine Dr. Perlin—the analyst and the developer of the software.

Defendant again raised his confrontation argument prior to Dr. Perlin’s trial testimony, asserting that the TrueAllele Casework System was the witness and that he needed the source code to effectively cross-examine that witness. When the court questioned how one cross-examines a computer program, defendant represented that, once his experts had the opportunity to review the source code, he would then pose questions to Dr. Perlin based on the experts’ review. The court denied the request, stating that the issue defense counsel raised was a discovery issue and that defendant’s ability to cross-examine Dr. Perlin, the developer of the source code, satisfied his right to confrontation.

Both Dr. Perlin and the analyst from the Lab who conducted the electrophoresis testified at trial to the results of the DNA testing and statistical analysis.

Gary Skuse, Ph.D., a professor of biological sciences at the Rochester Institute of Technology, testified at trial as a defense witness. After reviewing 1,278 pages of documents relating to the DNA testing in this case, including the electropherograms, Skuse agreed with the DNA interpretation analysis that defendant’s DNA was present in the mixtures found on the shirt collar and amplifier cord and that it was “most likely” present on the victim’s forearm. Skuse opined, however, that the DNA may have been present as a result of secondary transfer (not directly from defendant).

The jury convicted defendant of murder in the first degree and robbery in the first degree.

The Appellate Division affirmed (175 AD3d 158 [3d Dept 2019]). The Court held that Supreme Court properly concluded that TrueAllele was generally accepted in the relevant scientific community and rejected defendant's argument that disclosure of the TrueAllele source code was required to properly conduct the *Frye* hearing. The Court noted that "[t]he record reflects that articles evaluating TrueAllele have been published in six separate forensics journals"; "TrueAllele had undergone approximately 25 validation studies, some of which appeared in peer-reviewed publications"; "[t]he DNA Subcommittee of the New York State Forensic Science Commission offered a binding recommendation that TrueAllele be used by the State Police for its forensic casework" and it was later approved by the full Commission; and "[a]t the time of the *Frye* hearing, TrueAllele had also been used in various states and had been deemed admissible in Virginia, Pennsylvania and California" (175 AD3d at 162-163). As to defendant's claim that the failure to disclose the TrueAllele source code violated his constitutional right to confrontation, the Court concluded that the report generated by TrueAllele was testimonial in nature, but that the source code was not a declarant. The Court cited Dr. Perlin's explanation at the *Frye* hearing that

"there is human input when utilizing TrueAllele[, including that] a human analyst tells the computer what to download and under what conditions to analyze the data, the analyst tells the computer what questions to ask when interpreting the data and the analyst downloads certain results from the computer, the analyst determines how many 'runs,' or cycles, of the data the system will complete and the analyst then makes comparisons to form the likelihood ratios" (175 AD3d at 169).

The Court further observed that defendant had the opportunity to confront Dr. Perlin, "his true accuser," at trial and that defendant did not preserve the alternative argument that the failure to disclose the source code impaired his ability to cross-examine Dr. Perlin as the declarant (175 AD3d at 170).

In a concurring opinion, one Justice opined that there was no need to address the relative merit of defendant's arguments as to the violation of his right to confrontation, in light of the absence of "any meaningful attempt by defendant to gain ac-

cess to, or compel disclosure of, the source code prior to trial” (175 AD3d at 173).

A Judge of this Court granted defendant leave to appeal (35 NY3d 1097 [2020]) and we now affirm.

III.

We must address whether the trial court abused its discretion in determining that TrueAllele “is not novel but instead is ‘generally accepted’ under the *Frye* standard” (47 Misc 3d at 859). Defendant argues that the evidence the People presented at the *Frye* hearing was insufficient because, absent disclosure of the TrueAllele source code for examination by the scientific community, its “proprietary black box technology” cannot be generally accepted as a matter of law.⁹ He further asserts that, even if such technology could be generally accepted, the People failed to meet their burden at the hearing, given the dearth of independent validation as a result of Dr. Perlin’s involvement in the large majority of studies produced at the hearing.

The well-known *Frye* test applied to the admissibility of novel scientific evidence (*Frye v United States*, 293 F 1013 [DC Cir 1923]) is “whether the accepted techniques, when properly performed, generate results accepted as reliable within the scientific community generally” (*People v Wesley*, 83 NY2d 417, 422 [1994]). General acceptance by the relevant scientific community, however, does not require that the procedure be “‘unanimously indorsed’ ” (83 NY2d at 423, quoting *People v Middleton*, 54 NY2d 42, 49 [1981]).

At issue in *Wesley* was the general acceptance of DNA evidence—specifically, the restriction fragment length polymorphism (RFLP) methodology, including the assessment of a visual “match” between DNA samples. There, in a concurring opinion, Chief Judge Kaye warned of the “pitfalls of self-validation by a small group” and urged caution in accepting technology that had been validated by individuals with a commercial or professional interest in promoting its use, “developed

9. Of note, the term “black box” is used in a federal report to describe subjective methods inside an examiner’s head, the foundational validity of which must be established through empirical studies of the examiner’s performance (see Executive Office of the President, President’s Council of Advisors on Science and Technology, Report to the President: Forensic Science in Criminal Courts: Ensuring Scientific Validity of Feature-Comparison Methods at 49 [Sept. 2016] https://obamawhitehouse.archives.gov/sites/default/files/microsites/ostp/PCAST/pcast_forensic_science_report_final.pdf [published after the *Frye* hearing was held]).

in commercial laboratories under conditions of secrecy, preventing emergence of independent views” and had not been peer-reviewed (83 NY2d at 439-440 [internal quotation marks and citations omitted]). Notwithstanding these concerns, Chief Judge Kaye ultimately agreed that, at the time the appeal was decided, “RFLP-based forensic analysis [was] generally accepted as reliable” (*id.* at 445) and those testing procedures were accepted as the standard methodology used in the scientific community until the advent of the PCR STR method used today.

[1] Here, the evidence presented at the *Frye* hearing established that the relevant scientific community generally accepted TrueAllele’s DNA interpretation process and that the continuous probabilistic genotyping approach is more efficacious than human review of the same data using the stochastic threshold. It was undisputed that the foundational mathematical principles (MCMC and Bayes’ theorem) are widely accepted in the scientific community. It was also undisputed that the relevant scientific community was fully represented by those persons and agencies who weighed in on the approach. Although the continuous probabilistic approach was not used in the majority of forensic crime laboratories at the time of the hearing, the methodology has been generally accepted in the relevant scientific community based on the empirical evidence of its validity, as demonstrated by multiple validation studies, including collaborative studies, peer-reviewed publications in scientific journals and its use in other jurisdictions. The empirical studies demonstrated TrueAllele’s reliability, by deriving reproducible and accurate results from the interpretation of known DNA samples.

Defendant and the concurrence raise the legitimate concern that the technology at issue is proprietary and the developer of the software is involved in many of the validation studies. This skepticism, however, must be tempered by the import of the empirical evidence of reliability demonstrated here and the acceptance of the methodology by the relevant scientific community. First, Dr. Perlin’s hearing testimony established that, in forensic science, “most validation studies are internal and they’re not published,” but the FBI’s Quality Assurance Standards require that “a developmental validation for a particular

technology” be published (*see also* NIST, DNA Mixture Interpretation: A NIST Scientific Foundation Review at 64 [NISTIR 8351-DRAFT June 2021], <https://nvlpubs.nist.gov/nistpubs/ir/2021/NIST.IR.8351-draft.pdf>). The interest of the developer was addressed at the *Frye* hearing in this case and, contrary to defendant’s argument, Dr. Perlin’s involvement in many of the validation studies does not preclude a determination of general acceptance as a matter of law.¹⁰ The concurrence’s claim to the contrary ignores that the performance of validation studies by Dr. Perlin, the State Lab and independent agencies was entirely consistent with the scientific method (*see e.g.* Executive Office of the President, President’s Council of Advisors on Science and Technology, Report to the President: Forensic Science in Criminal Courts: Ensuring Scientific Validity of Feature-Comparison Methods at 46 [Sept. 2016] https://obamawhitehouse.archives.gov/sites/default/files/microsites/ostp/PCAST/pcast_forensic_science_report_final.pdf [published after the *Frye* hearing was held])). Here, unlike in *Wesley*, there were developer and independent validation studies and laboratory internal validation studies, many published and peer-reviewed. The technology was approved for use by NIST and for forensic casework in New York by both the DNA Subcommittee and the full CFS—entities that were established, in part, in response to the concerns raised in *Wesley* as to the lack of independent scientific validation of DNA technology (Governor’s Approval Mem, Bill Jacket, L 1994, ch 737; Executive Law § 995-b). Importantly, the Lab, in accepting the TrueAllele Casework System after approval by the CFS, must still conduct additional validation of the program and the hearing testimony indicates that they did so in this case. In addition, NIST’s use of the TrueAllele system for its standard reference materials

10. We recently held in *People v Williams* (35 NY3d 24 [2020]) that the trial court abused its discretion to deny a *Frye* hearing as to the admissibility of low copy number DNA evidence and the use of the forensic statistical tool (FST) to determine the likelihood ratio. That case involved the use of proprietary “black box” technology for the FST, unique to the New York City Office of Chief Medical Examiner, which was a “semi-continuous” probabilistic genotyping approach that used the concept of allelic dropout in analyzing multiple source samples. The FST had not been subject to “unbiased” review by the relevant scientific community and warranted the *Frye* scrutiny. In stark contrast, these concerns were allayed in this case by the *Frye* evidence of the multiple validation studies of the instrument by various agencies and the uncontroverted acceptability of the methodology in the relevant scientific community.

likewise demonstrates confidence within the relevant community that the system generates accurate results.¹¹

Disclosure of the TrueAllele source code was not needed in order to establish at the *Frye* hearing the acceptance of the methodology by the relevant scientific community.¹² First, defendant's initial attempt to obtain the source code was made by a July 2014 supplemental demand under the former demand-discovery provision (former CPL 240.20). Defendant was not entitled to the source code under that provision, as the source code is not a "written report or document" made at the People's request for trial purposes and the proprietary information belonging to Cybergenetics was not in the People's possession or control (*see* former CPL 240.20 [1] [c]; former CPL 240.45; *People v Washington*, 86 NY2d 189 [1995]; *compare People v DaGata*, 86 NY2d 40 [1995] [error to deny defendant access to FBI notes relating to DNA testing not in the People's possession]). As we have previously explained, the former article 240 of the CPL was "a detailed discovery regimen" and "[i]tems not enumerated in article 240 [were] not discoverable as a matter of right unless constitutionally or otherwise specially mandated" (*People v Colavito*, 87 NY2d 423, 427 [1996]). Outside of his discovery demand, defendant made no further attempt to demonstrate a particularized need for the source code by motion to the court (*see* former CPL 240.40 [1] [c]).

Moreover, defendant's arguments as to why the source code had to be disclosed pay no heed to the empirical evidence in the validation studies of the reliability of the instrument or to the general acceptance of the methodology in the scientific

11. TrueAllele is not an outlier in the use of the continuous probabilistic genotyping method. Other types of probabilistic genotyping software, such as STRmix, have likewise been found to be generally accepted (*see e.g. United States v Gissantaner*, 990 F3d 457, 467 [6th Cir 2021]).

12. This conclusion is consistent with that reached by courts in several other jurisdictions that have addressed these issues (*see Commonwealth v Foley*, 38 A3d 882 [Pa Super 2012] [TrueAllele evidence found admissible without a *Frye* hearing; rejected the argument that Dr. Perlin's methodology could not be verified absent disclosure of the source code]; *People v Superior Court [Chubbs]*, 2015 WL 139069, *9, 2015 Cal App Unpub LEXIS 105, *32 [Jan. 9, 2015, No. B258569] [defendant failed to make "a prima facie showing of the particularized need for TrueAllele's source code"]; *State v Simmer*, 304 Neb 369, 387, 935 NW2d 167, 180 [2019] [district court was not "required to find that TrueAllele had been validated 'from a software engineering perspective' to find it reliable"]; *compare State v Pickett*, 466 NJ Super 270, 278, 246 A3d 279, 283-284 [App Div 2021] [finding that the defendant was entitled to disclosure of the TrueAllele source code, subject to a protective order, for the *Frye* hearing]).

community—the issue for the *Frye* hearing—and are directed more toward the foundational concern of whether the source code performed accurately and as intended (*see Wesley*, 83 NY2d at 429). To the extent the testimony at the hearing reflected that the TrueAllele Casework System may generate less reliable results when analyzing more complex mixtures (*see also* Executive Office of the President, President’s Council of Advisors on Science and Technology, Report to the President: Forensic Science in Criminal Courts: Ensuring Scientific Validity of Feature-Comparison Methods at 80 [Sept. 2016], https://obamawhitehouse.archives.gov/sites/default/files/microsites/ostp/PCAST/pcast_forensic_science_report_final.pdf [published after the *Frye* hearing was held]), defendant did not refine his challenge to address the general acceptance of TrueAllele on such complex mixtures or how that hypothesis would have been applicable to the particular facts of this case. As a result, it is unclear that any such objection would have been relevant to defendant’s case, where the samples consisted largely of simple (two-contributor) mixtures with the victim as a known contributor (*see also* NIST, DNA Mixture Interpretation: A NIST Scientific Foundation Review at 3 [NISTIR 8351-DRAFT June 2021], <https://nvlpubs.nist.gov/nistpubs/ir/2021/NIST.IR.8351-draft.pdf>).

IV.

Defendant also argues that the source code for the software is the declarant and that, in the absence of disclosure of the source code, he was deprived of his Sixth Amendment right to confront the witness against him. He maintains that the TrueAllele system involves artificial intelligence and, to some extent, draws its own inferences from the data. He asserts that Dr. Perlin’s testimony was therefore that of a surrogate, merely parroting the results of the analyst.

[2] Here, like the Lab reports on the generated DNA profiles, the report created by TrueAllele providing the likelihood ratio that defendant was a contributor to the DNA mixture profile found on the items of evidence is testimonial. The report was prepared by Cybergenetics at the request of the People for purposes of prosecuting defendant in a pending criminal proceeding. Indeed, the DNA results were sent to TrueAllele precisely because of its “more advanced approach to analyzing the DNA evidence”—i.e., its consideration of patterns and peaks below the stochastic threshold and ability to produce a

higher match statistic. Therefore, the report satisfies our primary purpose test and was testimonial (*see People v John*, 27 NY3d at 303-308).¹³

However, we reject defendant's novel argument that the source code is the declarant. Even if the TrueAllele system is programmed to have some measure of "artificial intelligence," the source code is not an entity that can be cross-examined. "[T]he Confrontation Clause provides two types of protections for a criminal defendant: the right physically to face those who testify against him, and the right to conduct cross-examination" (*Coy v Iowa*, 487 US 1012, 1017 [1988], quoting *Pennsylvania v Ritchie*, 480 US 39, 51 [1987 plurality]). The essential purpose of the provision was to ensure

“ ‘a personal examination and cross-examination of the witness in which the accused has an opportunity, not only of testing the recollection and sifting the conscience of the witness, but of compelling him to stand face to face with the jury in order that they may look at him, and judge by his demeanor upon the stand and the manner in which he gives his testimony whether he is worthy of belief’ ” (*California v Green*, 399 US 149, 157-158 [1970], quoting *Mattox v United States*, 156 US 237, 242-243 [1895]).

In *Bullcoming v New Mexico*, the United States Supreme Court addressed an argument that a laboratory report could be introduced into evidence through the testimony of an analyst who did not personally perform or observe the test because the gas chromatograph machine, used to analyze the blood alcohol content of the accused's blood sample, was the "true accuser" and the analyst who ran the test was a "mere scrivener" (564 US 647, 659 [2011] [internal quotation marks omitted]). The Court did not expressly address the concept that a machine can be a declarant, but rejected it sub silentio. Instead, the Court focused on the actions taken by the analyst who operated the machine that would be the appropriate subject of cross-examination—e.g., that the blood sample was received in an intact condition, that a particular test was performed on the sample number that corresponded to the case and that the test

13. The source code, which was programmed long before defendant's trial, is not in itself testimonial. The source code is not a statement, was not "prepared in a manner resembling ex parte examination" and does not accuse defendant of a crime (27 NY3d at 307 [internal quotation marks omitted]).

was performed according to protocol (*see* 564 US at 660). In other words, the analyst “certified to more than a machine-generated number” (564 US at 661; *see also John*, 27 NY3d at 311 [declining to “indulge in the science fiction that DNA evidence is merely machine-generated, a concept that reduces DNA testing to an automated exercise requiring no skill set or application of expertise or judgment”]). Similarly, here, the instrument performs its quantitative analysis on electronic data generated by the Lab during the electrophoresis process only after the analyst sets the parameters following a human review of the data. And both the analyst who performed the electrophoresis on the DNA samples and Dr. Perlin, who fully understood the parameters and methodology of the TrueAllele software in its DNA interpretation processes, testified at trial and were subject to cross-examination.

We agree with the Appellate Division that defendant failed to preserve the separate argument that he was entitled to disclosure of the source code in order to fully cross-examine Dr. Perlin as the declarant at trial and, regardless, defendant’s argument suffers from the same defect as the request for the source code for purposes of the *Frye* hearing. Defendant was not entitled to the source code under the former demand discovery statute. After the People refused the demand, defendant failed to make any further attempt to demonstrate a particularized need for the source code by motion to the court (*see* former CPL 240.40 [1] [c]; CPL 245.30 [3]).

Defendant’s remaining arguments, including the arguments raised in his pro se brief, are without merit.

Accordingly, the order of the Appellate Division should be affirmed.

RIVERA, J. (concurring in result). Traditional DNA testing employs human analysis and judgment (*see* Erin Murphy, *The Art in the Science of DNA: A Layperson’s Guide to the Subjectivity Inherent in Forensic DNA Typing*, 58 Emory LJ 489, 501-508 [2008]). As a consequence, test results may reflect human error and bias, especially in cases involving mixtures of small amounts of DNA from two or more individuals (*see e.g.* John M. Butler et al., *NIST Interlaboratory Studies Involving DNA Mixtures [MIX05 and MIX13]: Variation Observed and Lessons Learned*, 37 Forensic Sci Intl: Genetics 81 [2018]; Itiel E. Dror & Greg Hampikian, *Subjectivity and Bias in Forensic DNA Mixture Interpretation*, 51 Sci & Just 204 [2011]; *see also* Saul

M. Kassin et al., *The Forensic Confirmation Bias: Problems, Perspectives, and Proposed Solutions*, 2 J Applied Rsch Memory & Cognition 42 [2013]). Enter probabilistic genotyping software—here, a platform branded TrueAllele—a computer-based form of DNA analysis dependent on complex mathematical models and artificial intelligence to derive DNA profiles from complex, multi-person mixtures. While TrueAllele does not completely replace humans, it comes pretty close by eliminating all but the most rudimentary of human participation.

At defendant's trial, the court admitted DNA results developed using the TrueAllele methodology, even though at the time its source code and underlying algorithms were kept from independent evaluators and the defense as trade secrets. The court's decision was an abuse of discretion as a matter of law because it relied on validation studies by interested parties and evaluations founded on incomplete information about TrueAllele's computer-based methodology. Without defense counsel and objective, expert third-party access to and evaluation of the underlying algorithms and source code, the court could not conclude that TrueAllele's brand of probabilistic genotyping was generally accepted within the forensic science community. However, I concur in the result and would affirm defendant's conviction because the evidence against him was overwhelming and the error, even when considered with the other alleged trial errors raised on this appeal, could not have contributed to the guilty verdict.

I.

A.

In 2014, prior to defendant's trial for murder and robbery, the court held a *Frye* hearing on the admissibility of the prosecutor's DNA evidence developed by use of a proprietary probabilistic genotyping methodology called TrueAllele. The prosecutor sought to establish the likelihood that defendant committed the crimes with results based on TrueAllele's computerized interpretive analysis of mixtures of more than one individual's DNA. In preparation for the hearing, defendant requested but was denied access to TrueAllele's source code, which would have revealed the underlying algorithmic assumptions that replace human judgment.

The majority adequately describes the science-based, analytical challenges presented by mixed DNA samples, like those in

issue at defendant's trial, and I do not repeat them here (*see* majority op at 374-376). Instead, I focus on the testimonial description of TrueAllele and the studies relied upon by the prosecution and referenced by the majority to support its conclusion that, at the time of the *Frye* hearing, TrueAllele was generally accepted within the relevant scientific community of forensic scientists.

The most revealing and significant hearing testimony came from Dr. Mark Perlin, M.D., Ph.D., the founder of Cybergenetics and the lead developer of TrueAllele. He testified that TrueAllele Casework was first developed in 1999, after he had already developed and commercialized TrueAllele Databank, a DNA database software.¹ Dr. Perlin stated that TrueAllele is an "expert system," defined as a "computer system that replicates human expertise," usually using artificial intelligence, that makes its own inferences. TrueAllele uses a probabilistic genotyping model, which calculates the probabilities that specific allele pairs belong to the genotype of a particular individual in a mixed, low-template DNA sample. Put another way, TrueAllele sifts through scattered genes in a DNA sample and attempts to reconstruct them into a potential genotype, picking from algorithms, equations, and assumptions that can help it to reach a valid conclusion. The core of TrueAllele is a Markov chain Monte Carlo (MCMC) algorithm, an often-used statistical model first developed in the 1950s that determines the probabilities of all the different possibilities that explain a set of data.

TrueAllele's probabilistic genotyping model, according to Dr. Perlin, was developed in the context of well-known flaws in the field of stochastic, or threshold, modeling in DNA interpretation. Thus, TrueAllele was based on "a need to use normative statistics and mathematical analysis that's used in all other fields where you use all the data, it's examined objectively, you build and validate and test statistical models, use computers and accept that reliable results . . . can be learned, taught and used."

Following the MCMC calculation, TrueAllele "reports out what the genotype is for each contributor at each locus" by "looking at . . . the probabilities across all the allele pairs at [a] locus for . . . one contributor without particular regard to

1. References to TrueAllele are to the Casework System, unless otherwise specified.

any particular allele pair.” TrueAllele also accounts for various variables and determines which of those variables to apply in its analysis. Finally—and separately from its inferential processes—TrueAllele compares the “inferred” genotypes against a random population to produce a likelihood ratio based upon a known reference sample, using standard methods of DNA comparison.

Dr. Perlin described an analyst’s process of using TrueAllele as follows. Initially, raw data from a .FSA file, produced after an electropherogram is generated in a laboratory from DNA samples, are imported into TrueAllele, at which point TrueAllele analyzes the data “in order to determine the size and heights of the peaks to develop quantitative data.” Then, an analyst asks the computer a question, such as “[a]ssuming that there are two contributors, what are the genotypes of those two contributors.” In general, those questions are preset for ease of use, but trained analysts have the option to ask more complex questions and set additional parameters. After the analyst asks the computer questions, the computer conducts the relevant calculations, drawing on its algorithm and programming to help it determine which equations or models it should use. Generally, as part of the question, the analyst will tell TrueAllele to run a particular number of MCMC calculations. Dr. Perlin testified that the number of calculations can vary depending on the amount of time and computer resources allocated to the case or whether TrueAllele is working with an “easy mixture[].” Using TrueAllele, “[t]he computer does the work, we don’t, we just set up the variables. And the amount of computation is proportional to the number of variables that you’re considering. So . . . if it’s thinking a lot harder then it’s going to take longer.” The analyst also looks for concordance between genotypes across each run of the software and can ask for additional MCMC calculations if necessary. Finally, the software “produces probabilities and then it writes them down.” Thereafter, an analyst can compare the genotype(s) inferred by TrueAllele against known reference samples or DNA databases.

According to Dr. Perlin, unlike threshold DNA models, which exclude data from an analyst’s review, TrueAllele is fully continuous, in that it uses “the peak height data and the patterns of those peak rise[s].” In contrast, using a “threshold model,” a human analyst “get[s] a fixed list of possible alleles, and then by looking at all pairwise combinations of those alleles, those will be included genotypes.” Generally, an analyst

will input “the alleles or the pu[t]ative alleles . . . into software by hand and then the computer calculates one over the square of the frequencies of those alleles, the sum of it, and then produces a match statistic.”

In comparing TrueAllele to threshold methods of DNA analysis, Dr. Perlin explained that “the computer can do it or the lab can do it. . . . [H]aving a better way of understanding the data through statistical modeling and computer interpretation is a way of looking at the data you have and extracting more information from it.” Computer analysis can thus go beyond human review of a sample using methods and calculations that a human would be unable to replicate. Essentially, this testimony revealed that TrueAllele extrapolates and processes data to make judgments that supplant human choice, leading to conclusions based on assumptions generated by artificial intelligence.

Dr. Perlin asserted that TrueAllele had gone through 25 unique version numbers for its software since 1999 and had 170,000 lines of source code, inclusive of “the user interface, the way it interacts with databases, [and] the way it solves problems.”² TrueAllele had last received a significant update in 2008, when Dr. Perlin and his team “put in more hierarchal modeling to account for even more of the variation” in inferring genotypes. Dr. Perlin testified that the development team “made no effort to preserve” earlier versions of TrueAllele.

TrueAllele underwent an initial validation study in the early 2000s. The software was first used in a criminal trial in Pennsylvania in 2009, and was subsequently found admissible

2. Dr. Perlin’s testimony reveals that TrueAllele does not comply with the Scientific Working Group on DNA Analysis Methods (SWGDM) guidelines cited by the majority (*see* majority op at 375 n 5). Those guidelines require that probabilistic genotyping software undergo new validation studies upon “significant” software changes (SWGDM, Guidelines for the Validation of Probabilistic Genotyping Systems § 5.2 [June 15, 2015], available at https://www.swgdam.org/_files/ugd/4344b0_22776006b67c4a32a5ffc04fe3b56515.pdf [last accessed Mar. 27, 2022]). To ensure that that requirement is met, the guidelines also require that “[e]very software release should have a unique version number” (*id.* § 2.2.1). It is clear from the record that Dr. Perlin has not preserved past versions of TrueAllele and only one of his published validation studies (*see infra* n 3) identifies which version number of TrueAllele was being tested. The majority also points out that the New York State Police Forensic Investigation Center (FIC) conducted internal validation studies in line with 2010 SWGDM guidelines (*see* majority op at 375 n 5). While true, that fact is not relevant on this appeal because Cybergenetics, not FIC, analyzed the DNA sample using TrueAllele.

in Virginia, California, Northern Ireland, and Australia. The New York State Police Forensic Investigation Center was in the process of onboarding TrueAllele, and a state and international crime lab had both fully adopted TrueAllele for forensic work. Seven other labs had also purchased the TrueAllele software package. The DNA Subcommittee of the New York State Commission on Forensic Sciences and the full Commission had approved TrueAllele for laboratory use. Likewise, the National Institute of Standards and Technology (NIST) had used TrueAllele to verify one of its reference material kits. NIST had also hosted conferences and meetings to encourage laboratories to adopt probabilistic genotyping models like TrueAllele.

Dr. Perlin testified that TrueAllele had undergone approximately 25 validation studies, resulting in several peer-reviewed publications and some prints that were pre-publication at the time of the hearing. Seven of those peer-reviewed studies and two non-peer-reviewed validation studies were entered into evidence.³ Dr. Perlin either conducted or participated in all of these studies. He also explained that the source code was a “trade secret,” but that the basic mathematical equations underlying TrueAllele were published in the literature. However, “[t]he engineering of the elaboration of [the equations] in more levels of hierarchy” were proprietary.

3. The seven peer-reviewed studies were: Susan A. Greenspoon et al., *Establishing the Limits of TrueAllele® Casework: A Validation Study* (60 J Forensic Scis 1263 [2015]); Mark W. Perlin et al., *TrueAllele® Genotype Identification on DNA Mixtures Containing Up to Five Unknown Contributors* (60 J Forensic Scis 857 [2015]); Mark W. Perlin et al., *TrueAllele Casework on Virginia DNA Mixture Evidence: Computer and Manual Interpretation in 72 Reported Criminal Cases* (9 PLoS ONE e92837 [2014]); Mark W. Perlin et al., *New York State TrueAllele® Casework Validation Study* (58 J Forensic Scis 1458 [2013]); Jack Ballantyne et al., *DNA Mixture Genotyping by Probabilistic Computer Interpretation of Binomially-Sampled Laser Captured Cell Populations: Combining Quantitative Data for Greater Identification Information* (53 Sci & Just 103 [2013]); Mark W. Perlin et al., *Validating TrueAllele® DNA Mixture Interpretation* (56 J Forensic Scis 1430 [2011]); Mark W. Perlin & Alexander Sinelnikov, *An Information Gap in DNA Evidence Interpretation* (4 PLoS ONE e8327 [2009]).

Several other articles on the field of probabilistic genotyping were also received into evidence, including: Christopher D. Steele & David J. Balding, *Statistical Evaluation of Forensic DNA Profile Evidence* (1 Ann Rev Stat & Its Application 361 [2014]); Hannah Kelly et al., *A Comparison of Statistical Models for the Analysis of Complex Forensic DNA Profiles* (54 Sci & Just 66 [2014]); Duncan Taylor et al., *The Interpretation of Single Source and Mixed DNA Profiles* (7 Forensic Sci Intl Genetics 516 [2013]); James M. Curran, *A MCMC Method for Resolving Two Person Mixtures* (48 Sci & Just 168 [2008]).

Dr. Perlin argued that source code validation was “not needed” because, in his view, “[t]he question when conducting a validation study had to do with the reliability of the system, the reliability of the software, not the text of the code that underlies that reliable system.”

Barry Duceman, Ph.D., who was then the Director of the Biological Science Section of FIC, testified that he was in charge of implementing and validating TrueAllele’s Databank and Casework systems and obtaining the State Forensic Commission’s approval for its use. Dr. Duceman testified to TrueAllele’s “increased sensitivity” and “stronger statistical measure,” meaning that TrueAllele can do what a human cannot or will not. He also testified to the threshold approaches currently used in DNA testing, explaining that they resulted in data being excluded from analysis. However, Dr. Duceman testified that his laboratory had yet to use TrueAllele because they were still running further validation studies.

Jay Caponera, a Forensic Scientist 3 with FIC, testified that he had conducted internal validation studies on TrueAllele for FIC. Caponera also discussed his training on the use of TrueAllele and testified to attending conferences hosted by NIST on probabilistic genotyping and the use of TrueAllele in other jurisdictions, as well as his review of the scientific literature. Caponera did not have access to the source code.

The court concluded that TrueAllele was generally accepted in the scientific community, based largely on the validation studies and its use in some laboratories and criminal cases in the United States and abroad (47 Misc 3d 850 [Sup Ct, Schenectady County 2015]).

B.

The victim was discovered in his home, facedown and propped against the couch. His laptop and video game console were missing. At trial, the prosecutor argued that defendant strangled the victim and stole his property to sell for drugs. Undisputed evidence established that the victim had died of asphyxia due to ligature strangulation from a guitar cord, and that defendant and victim were known to each other and were together at the victim’s home just before the estimated time of the murder.

The prosecution presented testimonial and physical evidence of defendant’s guilt. One witness testified that she knew de-

defendant regularly bought drugs with money and by trading property, and that a few months after the victim's death, defendant, while at a "crack house," told her he had a laptop and video game system to trade for drugs, and that she saw him with a duffel bag which she identified as the same bag the victim was holding in a photograph taken years prior. The prosecutor also presented evidence that the police recovered the receipt for the video game console, and a former employee from the maker confirmed that the console went online five days after the victim's death and that the IP address for the console matched the address of a person who another witness identified as a known drug dealer who had supplied one of the drug houses frequented by defendant.

Three witnesses testified that defendant admitted to killing the victim. One witness testified that he knew defendant for decades and that a few days after the murder, defendant showed him a marijuana pipe which he said he took from a man "he had choked and took out" with a guitar cord. The witness came forward to the police months later, after he heard about the murder and a reward for information about the crime. The two other witnesses testified that defendant separately confessed to them when they were each incarcerated with defendant. One of those witnesses testified that defendant admitted to going to the victim's apartment to steal his musical equipment and then killed him when things got out of hand. The other witness testified that he had known defendant for years and that they had smoked crack together. Defendant admitted to killing the victim and stealing his laptop, gaming system, and other items, which he sold for drugs. Defendant also provided the witness with details of his interaction with the victim the evening before the murder, including the type of liquor they were drinking in the apartment and descriptions of the two other people who were present. The court admitted evidence from the victim's garbage of a liquor bottle with defendant's DNA on it which also matched the slang name of the liquor mentioned by defendant. The two individuals who had been with defendant and the victim the night before the victim was killed also testified to seeing defendant drinking alcohol at the victim's apartment.

The prosecution's additional conventional DNA analysis further inculpated defendant. According to the results, neither defendant nor the victim could be excluded from a sample obtained from the rear collar of the victim's shirt containing a

mixed profile, with a combined probability of inclusion (CPI) of 1 in 1,088. A DNA sample obtained from a swab taken from the victim's right dorsal forearm was also found to have a CPI of 1 in 422 with regards to defendant and the victim.

As further proof of defendant's guilt, Dr. Perlin testified that, based on his analysis using the TrueAllele methodology, it was 5.88 billion times more probable that defendant contributed to DNA obtained from the guitar cord than an unrelated African American person, 170 quintillion times more probable that defendant contributed to DNA obtained from the back of decedent's shirt collar than an unrelated African American person, 303 billion times more probable that defendant contributed to DNA obtained from the front of decedent's shirt collar than an unrelated African American person, and 56.1 million times more probable that defendant contributed to DNA obtained from a swab of the cut on decedent's forearm than an unrelated African American person.

Defendant argued that he was entitled to TrueAllele's source code at trial in order to challenge the DNA evidence pursuant to his Sixth Amendment right to confrontation. The court denied the request, concluding that the source code was neither a witness nor testimonial in nature under the Confrontation Clause.

The jury convicted defendant of one count each of first-degree murder and robbery, and the court sentenced him to life imprisonment without parole. The Appellate Division affirmed the judgment of conviction (175 AD3d 158 [3d Dept 2019]). A Judge of this Court granted defendant leave to appeal (35 NY3d 1097 [2020]). I would affirm, but not for the reasons set forth in the majority analysis. Here, the court erred in admitting the TrueAllele results but the error, either alone or considered with defendant's claims of other alleged errors, was harmless.

II.

"The admissibility and scope of expert testimony are subject to the discretion of the trial court, limiting our scope of review to whether the determination to exclude the proffered expert testimony was an abuse of that discretion as a matter of law" (*People v Powell*, 37 NY3d 476, 489 [2021] [citation omitted], citing *People v Lee*, 96 NY2d 157, 162 [2001]). New York courts follow the approach set out in *Frye v United States* (293 F 1013 [DC Cir 1923]), which asks "whether the accepted techniques, when properly performed, generate results accepted as reliable

within the scientific community generally” (*People v Wesley*, 83 NY2d 417, 422 [1994]). “In determining whether . . . DNA profiling evidence [is] properly admissible, attention must focus on the acceptance of such evidence as reliable by the relevant scientific community” (*id.*). Under *Frye*, there must be “consensus[,] [which] has been described as ‘a surrogate for determining the reliability of a purported scientific methodology’ ” (*People v Williams*, 35 NY3d 24, 37 [2020], quoting Michael M. Martin et al., New York Evidence Handbook § 7.2.3 at 644 [1997]).

“[T]he particular procedure need not be ‘unanimously indorsed’ by the scientific community but must be ‘generally accept[ed] as reliable’ ” (*Wesley*, 83 NY2d at 423, quoting *People v Middleton*, 54 NY2d 42, 49 [1981]). However, “[a] showing that an expert’s opinion has ‘some support’ is not sufficient to establish general acceptance in the relevant scientific community” (*Williams*, 35 NY3d at 37, quoting *Cornell v 360 W. 51st St. Realty, LLC*, 22 NY3d 762, 783 [2014]). A novel method “should be supported by those with no professional interest in its acceptance” because “*Frye* demands an objective, unbiased review” (*id.* at 42). Indeed, “a proprietary program exclusively developed and controlled by” one individual “is not ‘an appropriate substitute for the thoughtful exchange of ideas . . . envisioned by *Frye*.’ It is an invitation to bias” (*id.* at 41 [citation omitted], quoting *Wesley*, 83 NY2d at 441 [Kaye, Ch. J., concurring]).

Defendant is correct that TrueAllele’s proprietary algorithm was not generally accepted because its source code had not been tested and assessed as reliable by independent third parties within the relevant forensic scientific community.⁴

4. It is a close question whether, at the time of the *Frye* hearing, probabilistic genotyping was generally accepted as reliable for the DNA purposes for which it was used in defendant’s prosecution (see e.g. Kelly et al. at 69 [(T)he continuous model is unfamiliar to many forensic DNA scientists]; Taylor et al. at 517 [(P)rogress is still partial with only a few laboratories worldwide implementing or investigating fully continuous methods” (endnote omitted)], citing Bruce Budowle et al., *Mixture Interpretation: Defining the Relevant Features for Guidelines for the Assessment of Mixed DNA Profiles in Forensic Casework*, 54 J Forensic Scis 810 [2009]). Indeed, the evidence and testimony at the *Frye* hearing demonstrated that NIST and other forensic organizations sought to encourage the use of probabilistic genotyping in an effort to overcome hesitance about this type of DNA technology among forensic experts (see e.g. Peter Gill et al., *DNA*

(n. cont’d)

Although Dr. Perlin has since offered to release the source code in other criminal proceedings, at the time of the *Frye* hearing here he asserted that TrueAllele's source code was a trade secret and refused to turn it over to defendant (*see e.g. State v Simmer*, 304 Neb 369, 380, 935 NW2d 167, 177 [2019] [noting that "Cybergenetics had recently decided to allow defense experts access to the TrueAllele source code, with limitations"]; *State v Baugh*, 2019 Ga Super LEXIS 418, *18 [Apr. 29, 2019, No. 2017-CR-618, Palmer, J.] ["Dr. Perlin explained that approximately two years ago he agreed to disclose TrueAllele's source code under specific conditions"]; *but see United States v Ellis*, 2021 US Dist LEXIS 36176, *1 [WD Pa, Feb. 26, 2021, No. 19-369, Ambrose, J.] ["Cybergenetics was not willing to disclose the source code"], *reconsideration denied* 2021 WL 1600711, 2021 US Dist LEXIS 78212 [Apr. 23, 2021]). Because there was no opportunity for members of the relevant scientific community to review the source code, and specific software using a complex algorithm cannot be deemed reliable in the scientific community without an independent review of how the software reaches its conclusions—including the inferences made by artificial intelligence—the prosecution failed to satisfy its burden at the *Frye* hearing. As the President's Council of Advisors on Science and Technology (PCAST) has made clear, while "probabilistic genotyping software programs clearly represent a major improvement over purely subjective interpretation[,] . . . they still require careful scrutiny to determine . . . whether the software correctly implements the methods" (PCAST, Report to the President, Forensic Science in Criminal Courts: Ensuring Scientific Validity of Feature-Comparison Methods 79 [2016], available at <https://obamawhitehouse.gov>).

Commission of the International Society of Forensic Genetics: Recommendations on the Evaluation of STR Typing Results That May Include Drop-out and/or Drop-in Using Probabilistic Methods, 6 Forensic Sci Intl Genetics 679, 680 [2012] ["Clearly the adoption of probabilistic models has been inhibited by the complexity of concepts that are largely outside the experience of case-working forensic scientists, coupled with lack of suitable training opportunities"]; Michael D. Coble & John M. Butler, NIST, Exploring the Capabilities of Mixture Interpretation Using True Allele Software, Presentation at the 24th Congress of the International Society for Forensic Genetics [Sept. 3, 2011], slides available at https://strbase.nist.gov/pub_pres/ISFG2011-Coble-TrueAllele.pdf). Assuming it was not an abuse of discretion for the court to decide as a threshold matter that this type of analysis was generally accepted, for the reasons I discuss, the evidence is not at all close as regards TrueAllele.

archives.gov/sites/default/files/microsites/ostp/PCAST/pcast_forensic_science_report_final.pdf [hereinafter PCAST Report];⁵ see also *State v Pickett*, 466 NJ Super 270, 305-306, 246 A3d 279, 301 [2021] [“Allowing independent access to the requested information, for the sole purpose of addressing whether the technology underlying the expert testimony is reliable—specifically, whether the source code for that technology is properly implementing the program’s design specifications—is obvious”)].⁶ Just as a machine may need to be recalibrated and tested regularly for accuracy, the *Frye* hearing evidence failed to establish that TrueAllele is generally accepted within the forensic scientific community based on its inferential assumptions and its applications of general mathematical principles.

To be sure, Dr. Perlin had published the general mathematical principles behind TrueAllele in the scientific literature at the time of the hearing. But those general principles alone could not serve to validate TrueAllele’s unique, proprietary application and inferences that are the basis for its ultimate DNA matching determinations. As Dr. Perlin testified, TrueAllele goes beyond human capabilities in conducting calculations

5. It is unclear what significance the majority assigns to the PCAST Report’s use of the term “black box” to refer to “subjective methods inside an examiner’s head” (majority op at 380 n 9). As the majority recognizes—other commenters and the courts routinely use “black box” to refer to technologies with unknown internal workings (see *id.* at 382 n 10; *Williams*, 35 NY3d at 33-34; Katherine Kwong, Note, *The Algorithm Says You Did It: The Use of Black Box Algorithms to Analyze Complex DNA Evidence*, 31 Harv JL & Tech 275, 292-295 [2017] [discussing TrueAllele’s black box algorithm and transparency concerns]). And, in common usage, “black box” refers to “a usually complicated electronic device whose internal mechanism is usually hidden from or mysterious to the user” (see Merriam-Webster Online Dictionary, black box [<https://www.merriam-webster.com/dictionary/black%20box>]). The majority merely engages in a rhetorical comparison of the “black box” as object to the “black box” as an examiner’s mind.

6. The majority suggests, without citation or support, that “simple (two-contributor) mixtures with the victim as a known contributor” (majority op at 384) should be distinguished from other DNA mixtures. This misses the mark because although a mixture of several contributors apart from the victim may provide additional complicating factors, the core problem is that the DNA is combined in the sample, requiring an analysis of the data by means of justifiable assumptions and choices that accord with a methodology and lead to a likelihood ratio that a particular individual is a contributor to the mixture. As Dr. Perlin explained at the *Frye* hearing, describing a mixture as simple or complex largely pertains to the ability of a human analyst “to obtain a reportable result using the methods that they had” (see also Kelly et al. at 66).

that would be nearly impossible to do by hand; it also substitutes for humans in that it chooses which of its models, algorithms, and equations to run based on the questions posed by human analysts. So while the mathematical principles—such as MCMC—may be commonly accepted and understood, the inferences and interpretive efforts made by TrueAllele that are subject to challenge were unknown and unknowable at the time of the hearing because of Dr. Perlin’s refusal to turn over the source code. In effect, disclosure of the formulas, but not the source code, is analogous to a student pointing to the correct equation to use and giving an answer on a mathematics exam, without showing their work. In that case, however, the teacher knows the correct answer to the exam question, notwithstanding whether the student reached the answer incorrectly; here, there is no “generally accepted” correct answer—as a scientific matter—unless the relevant scientific community can determine that TrueAllele was making appropriate choices when doing the math. Put another way, general principles cannot displace the need for an independent source code review of software that makes its own decisions and inferences and where one error in a decimal place or a missing parenthesis, or a choice to assume the existence of an allele based on the computer’s judgment of an acceptable probability, can mean the difference between inclusion and exclusion of a person as a DNA donor. Therefore, the court abused its discretion as a matter of law by admitting the results of the TrueAllele’s analysis at trial.

The majority’s view that the *Frye* hearing record established acceptance within the scientific community is based on an overly favorable but unsupported view of the testimony and documentary evidence. First, contrary to the majority’s suggestion, there is no meaningful involvement by the analyst (see majority op at 375, 398). Dr. Perlin testified that TrueAllele “does the work, we don’t” and that it relies on its programming to determine the particular analytical tools that are appropriate based upon the data entered into the system. That means there is all the more reason to provide defendant with access to the source code—the algorithm makes the critical decisions and a human being is an “analyst” in name only, as they merely provide the data that TrueAllele computes and probes. Indeed, this is TrueAllele’s defining service (see Kwong at 283 [“Dr. Perlin published an article that called the interpretation method used by most laboratories a ‘random generator’ and argues in interviews that his company’s technology produces

better probability measurements” (footnote omitted)).

Second, the majority places undue reliance on evaluations by regulatory entities that had only partial information; the widely accepted nature of TrueAllele’s underlying mathematical principles; validation studies in which Dr. Perlin was conflicted due to his financial interest in TrueAllele; and the perceived efficacy of probabilistic genotyping (*see* majority op at 381-383). We have previously rejected or been skeptical of each of these types of “supporting evidence.” In *Williams*, we made clear that “insular endorsement[s]” by executive branch agencies—here, the DNA Subcommittee of the New York State Forensic Science Committee and NIST—cannot “supplant the courts’ obligation to ensure” that a scientific technique has gained general acceptance within the scientific community (35 NY3d at 41). Notably, the reliance on these agencies by the majority—and a description of them as “the relevant scientific community” for the purposes of the *Frye* hearing (majority op at 375-376)—is a jarring turnabout for the Court, given that it is the same view unsuccessfully advocated by a minority in *Williams* two years ago (*see Williams*, 35 NY3d at 49-50 and n 1 [DiFiore, Ch. J., concurring]). That is particularly true in this appeal because Dr. Perlin criticized the PCAST Report, arguing that “NIST lacks expertise in modern statistical analysis”—which would presumably be a prerequisite to being a part of the relevant scientific community that is qualified to evaluate TrueAllele (Letter from Dr. Mark Perlin, Chief Scientific and Executive Officer, Cybergenetics, to Dr. John Holdren, PCAST Co-Chair, Sept. 16, 2016 at 3, available at <https://www.cybgene.com/information/newsroom/2016/sep/files/letter.pdf>; *see Kwong* at 289).

The majority—going further—also refers to the American National Standards Institute (ANSI) as being part of the relevant scientific community (*see* majority op at 375-376). ANSI, however, is a standards-development organization (SDO), a private industry group that writes “voluntary consensus standards” for use in technological applications (*see American Socy. for Testing & Materials v Public.Resource.Org, Inc.*, 896 F3d 437, 440-441 [DC Cir 2018] [discussing role of SDOs in promulgating standards]; Robert W. Hamilton, *The Role of Nongovernmental Standards in the Development of Mandatory Federal Standards Affecting Safety or Health*, 56 Tex L Rev 1329, 1341-1368 [1978] [discussing ANSI’s history and its procedures for developing industry standards]; *see generally* Harm Schepel, *The Constitution of Private Governance: Prod-*

uct Standards in the Regulation of Integrating Markets 145-152 [2005] [discussing the history of SDOs in the United States]). Including such organizations within the “relevant scientific community,” as the majority does, raises similar concerns about professional interest and profit motive analogous to Dr. Perlin’s involvement in the validation studies here (*see infra* at 400-401). Indeed, Dr. Perlin was on a DNA working group that assisted in the development of an NIST standard approved by ANSI that recognized probabilistic genotyping “as a valid approach to DNA interpretation and reporting” (Perlin et al., *New York State TrueAllele Casework Validation Study* at 1458, citing NIST Special Publication 500-290, ANSI/NIST-ITL 1-2011, *American National Standard for Information Systems: Data Format for the Interchange of Fingerprint, Facial & Other Biometric Information* [July 2012], available at https://tsapps.nist.gov/publication/get_pdf.cfm?pub_id=910136).

In any case, without the source code, the agencies could not adequately evaluate the use of TrueAllele for this type of DNA mixture analysis, and Dr. Perlin’s self-serving statements to the contrary were insufficient to satisfy the prosecution’s burden. *Williams* also rejected the notion that the use of known mathematical principles could satisfy the *Frye* standard, explaining that such reasoning cannot overcome “the proprietary nature of the [software] or the relatively narrow subsection of the relevant scientific community able to examine and endorse that tool” (*Williams*, 35 NY3d at 42).

Third, as for the validation studies, the majority acknowledges that Dr. Perlin conducted or was involved in the majority of them. Given Dr. Perlin’s “professional interest in [TrueAllele’s] acceptance” (*id.*), the studies must be viewed with a healthy dose of skepticism and cannot support a conclusion of general acceptance. The majority attempts to minimize this obvious conflict of interest with an unsupported statement that internal validation studies and validation studies conducted by laboratories using the software are “entirely consistent with the scientific method” and because Dr. Perlin’s interest was raised at the hearing (majority op at 382).⁷ Contrary to the majority’s view, such conflicts do present serious concerns about the integrity of the studies (*see Wesley*, 83 NY2d at 441 [Kaye,

7. The majority recognizes that unpublished internal validation studies alone would be insufficient to meet the *Frye* standard (*see* majority op at 381-382 and n 10).

Ch. J., concurring]). As the literature shows, conflicts have long been a source of concern within the scientific community and the standard procedure is to disclose such financial interests, not to assume, as the majority does, that they have little impact on the study itself (*see e.g.* Singapore Statement on Research Integrity, World Conferences on Research Integrity [2010], <https://wcrif.org/statement>; Sheldon Krinsky & L.S. Rothenberg, *Financial Interest and Its Disclosure in Scientific Publications*, 280 JAMA 225 [1998]; Jerome P. Kassirer & Marcia Angell, *Financial Conflicts of Interest in Biomedical Research*, 329 New Eng J Med 570 [1993]). Put another way, mere disclosure of a conflict of interest and subsequent peer review cannot overcome the potential for bias. Dr. Perlin's professional interest in a favorable assessment of TrueAllele was raised at the hearing, but its significance was discounted, and the validation studies were treated as if conducted by disinterested third parties, confirming, rather than refuting, the court's abuse of its discretion. The remaining two validation studies not involving Dr. Perlin are similarly of little value because they were conducted by the New York State Police FIC, which presented a different form of conflict, as they had already invested significant time and money in adopting TrueAllele for internal use.

Additionally, the majority is incorrect that peer review and publication in a scientific journal implies that "the empirical evidence of the reliability of TrueAllele was not disputed" (majority op at 376). Peer review, while a prerequisite for publication, does not imply that the relevant scientific community has generally accepted a scientific method as reliable. Indeed, as the United States Supreme Court explained in *Daubert v Merrell Dow Pharmaceuticals, Inc.*:

"Publication (which is but one element of peer review) is not a *sine qua non* of admissibility; it does not necessarily correlate with reliability, and in some instances well-grounded but innovative theories will not have been published. Some propositions, moreover, are too particular, too new, or of too limited interest to be published. But submission to the scrutiny of the scientific community is a component of 'good science,' in part because it increases the likelihood that substantive flaws in methodology will be detected. The fact of publication (or lack thereof) in a peer reviewed journal thus will be a relevant, though not dispositive,

consideration in assessing the scientific validity of a particular technique or methodology on which an opinion is premised” (509 US 579, 593-594 [1993] [citations omitted]; *see e.g.* David H. Kaye et al., *The New Wigmore: Expert Evidence* § 8.3.2 [b] [2] [3d ed, 2022 Supp] [(P)eer review merely signifies that an article has been subject to some basic scrutiny for methodological and logical flaws. In even the best journals, that scrutiny sometimes is inadequate, and peer review is neither a necessary nor a sufficient condition for demonstrating the validity of a theory or technique” (footnotes omitted)]).

Thus, while peer review might be an appropriate factor for consideration under the federal *Daubert* standard, it is insufficient under *Frye* (*cf. Powell*, 37 NY3d at 514 [Rivera, J., dissenting]).

In sum, the majority is incorrect that “[i]t was . . . undisputed that the relevant scientific community was fully represented by those persons and agencies who weighed in on the [TrueAllele] approach” (majority op at 381). The prosecution’s case at the *Frye* hearing turned on Dr. Perlin’s validation studies, the opinions of executive agencies and private entities, and the mere fact of peer-reviewed publication, none of which are adequate for the reasons I have discussed.

We are left, then, only with the majority’s statement that probabilistic genotyping is more efficacious than other DNA typing. That reasoning is circular because the point of accessing the source code is to evaluate the programming and algorithm and to test the very conclusion that TrueAllele is able to provide a reliable assessment of whether and in what ratio an individual’s DNA is likely found in DNA mixtures from a crime scene. On this point, the court below and the majority make the same mistake—assuming that if the system *appears* reliable then we need not know *how* the system reached its conclusions (*see id.* at 381 [“The empirical studies demonstrated TrueAllele’s reliability, by deriving reproducible and accurate results from the interpretation of known DNA samples”]). That is contrary to the basic scientific method, which explores not only the end result but the how and the why of an outcome, or “whether the source code performed accurately and as intended” (*id.* at 383-384). That is no less true in forensic science where, as Dr. Perlin testified, human choice can be based on bias and error. In order to ensure that TrueAl-

lele—created by a human—does not replace one form of bias or flawed assumption with another, third-party independent reviewers must be provided with the source code. As the District Attorney explains, “[t]he development of the computer inferred probability that an allele is present at a specific locus is the major difference between TrueAllele and a human analyst.” That difference is critical to results that either include or exclude an individual as a DNA mixture contributor. Although a human analyst can be asked why they decided a peak was or was not present, or why they believed they could not make a reliable determination of the existence of a peak based on the available data, TrueAllele uses statistical modeling to “infer[] the probability that the peak is present.” Without the source code, no independent third party or defendant could challenge TrueAllele’s assumptions for what is essentially a mathematical guess—a computer-run, theoretically-based conclusion, but still a guess.

III.

Defendant further argues that the trial court’s denial of his request for the source code so that an expert could review it was a violation of his constitutional right to confrontation. The Sixth Amendment Confrontation Clause provides that, “[i]n all criminal prosecutions, the accused shall enjoy the right . . . to be confronted with the witnesses against [them]” (*Crawford v Washington*, 541 US 36, 42 [2004]). “[T]he principal evil at which the Confrontation Clause was directed was the civil-law mode of criminal procedure, and particularly its use of *ex parte* examinations as evidence against the accused” (*id.* at 50). Thus, although “the Clause’s ultimate goal is to ensure reliability of evidence, . . . it is a procedural rather than a substantive guarantee. It commands, not that evidence be reliable, but that reliability be assessed in a particular manner: by testing in the crucible of cross-examination” (*id.* at 61). “The upshot is that the role of the trial judge is not, for Confrontation Clause purposes, to weigh the reliability or credibility of testimonial hearsay evidence; it is to ensure that the Constitution’s procedures for testing the reliability of that evidence are followed” (*Hemphill v New York*, 595 US —, —, 142 S Ct 681, 692 [2022]).

“Therefore, ‘[a]s a rule, if an out-of-court statement is testimonial in nature, it may not be introduced against the accused at trial unless the witness who made the statement is

unavailable and the accused has had a prior opportunity to confront that witness’ ” (*People v John*, 27 NY3d 294, 303 [2016], quoting *Bullcoming v New Mexico*, 564 US 647, 657 [2011]). Under *Crawford*’s “primary purpose test for determining whether evidence is testimonial,” this Court has “considered ‘whether the statement was prepared in a manner resembling ex parte examination and . . . whether the statement accuses defendant of criminal wrongdoing’ ” (*People v Austin*, 30 NY3d 98, 104 [2017], quoting *People v Pealer*, 20 NY3d 447, 453 [2013]). “Statements that are considered testimonial include ‘affidavits, . . . similar pretrial statements that declarants would reasonably expect to be used prosecutorially . . . [and] statements that were made under circumstances which would lead an objective witness reasonably to believe that the statement would be available for use at a later trial’ ” (*John*, 27 NY3d at 303, quoting *Crawford*, 541 US at 51-52).

The DNA evidence was clearly testimonial and subject to the Confrontation Clause. Forensic reports are testimonial in nature because they are “‘functionally identical to live, in-court testimony’ and . . . their ‘sole purpose’ [is] evidentiary in nature” (*id.* at 303-304 [emphasis omitted], quoting *Melendez-Diaz v Massachusetts*, 557 US 305, 310-311 [2009]). Further, it is undisputed that defendant did not have access to the source code, and thus no way to identify and challenge the underlying inferences drawn by TrueAllele and the application of those inferences to the DNA. Defendant could not mount a viable challenge to the conclusions based on the application of TrueAllele’s algorithm that linked him to the murder.

Defendant was entitled to cross-examine those who testified about the “sources” of TrueAllele’s inferences—i.e., its source code—and “how [it] evaluated those sources in arriving at [its] conclusion” (*People v Stone*, 35 NY2d 69, 76 [1974]). Dr. Perlin was a declarant, but defendant could only effectively cross-examine him on his programming assumptions, and any potential biases reflected therein, by reviewing the source code. Although a computer cannot be cross-examined, as Dr. Perlin explained, the computer does the work, not the humans, and TrueAllele’s artificial intelligence provided “testimonial” statements against defendant as surely as any human on the stand. Defendant makes a compelling argument that he was entitled to challenge TrueAllele’s inferences and choices that led to the DNA interpretations connecting him to the crime in the only way possible: by access to the source code and questioning those who served as the human translators of TrueAllele.

The use of artificial intelligence within our system of justice presents challenging questions and may destabilize our established notions of the dividing line between opinion and uncontestable fact (*see e.g.* Sonia K. Katyal, *Private Accountability in the Age of Artificial Intelligence*, 66 UCLA L Rev 54, 62-82 [2019]; Andrea Roth, *Machine Testimony*, 126 Yale LJ 1972, 2021-2022 [2017]). Courts across the country will decide how our federal and state constitutions may be interpreted in light of continued technological advances and their application in the courtroom. For now, although the questions presented are intellectually challenging and the answers will significantly impact defendants' rights, I need not resolve thorny esoteric questions in this appeal, nor the more specific question of whether defendant was entitled to the source code under the Confrontation Clause or another constitutional guarantee. As I discuss below, even assuming defendant is correct, any constitutional error or abuse of discretion related to the admission of the TrueAllele results without defendant's access to the source code was harmless.

IV.

An error of constitutional dimension is "harmless beyond a reasonable doubt" when "the proof of the defendant's guilt, without reference to the error, is overwhelming," and there is "no reasonable possibility that the error might have contributed to defendant's conviction" (*People v Crimmins*, 36 NY2d 230, 237, 241 [1975]; *see People v Perez*, 36 NY3d 1093, 1093-1094 [2021]). Overwhelming proof exists where "the quantum and nature of proof, excising the error, are so logically compelling and therefore forceful in the particular case as to lead the appellate court to the conclusion that 'a jury composed of honest, well-intentioned, and reasonable [people]' on consideration of such evidence would almost certainly have convicted the defendant" (*Crimmins*, 36 NY2d at 241-242).

Here, the totality of the evidence presented at trial, excluding the erroneously admitted TrueAllele DNA evidence, was overwhelming proof of defendant's guilt. There was unchallenged DNA evidence obtained using traditional methods that linked defendant to the crime, with combined probabilities of inclusion—for both decedent and defendant—of 1 in 1,088 for the DNA obtained from decedent's shirt collar, and 1 in 422 for the DNA obtained from decedent's right dorsal forearm. Defendant also did not contest that he had been in decedent's

apartment. Moreover, three individuals testified that defendant made inculpatory statements with similar details to each of them about stealing from and killing decedent. Although defendant asserts that those witnesses were unreliable, and that the “jailhouse” witnesses in particular had motive to lie, trial counsel successfully brought those matters to the attention of the jury. Given this evidence, there is “no reasonable possibility” that a jury would have acquitted defendant (*id.* at 237, 241-242). Thus, because the error was harmless under the more demanding constitutional standard, defendant is not entitled to a new trial (*cf. id.* at 242 [explaining that an error is harmless under the nonconstitutional standard when “there is a significant probability, rather than only a rational possibility, in the particular case that the jury would have acquitted the defendant had it not been for the error or errors which occurred”]; *People v Easley*, 38 NY3d 1010, 1016 [2022, Rivera, J., dissenting] [decided today] [explaining that admission of FST DNA results was not harmless under nonconstitutional standard because “(t)here was no eyewitness who saw defendant in possession of the gun, no admission of his guilt, and no video recording depicting him holding the gun at any time”]).⁸

V.

The order of the Appellate Division should be affirmed. Although the prosecutor failed to establish that, at the time of the *Frye* hearing, TrueAllele’s methodology was properly validated by disinterested parties with access to the source code, and defendant was denied an opportunity to review the source code because of the developer’s proprietary claims, the error, considered alone or with the other alleged constitutional error, was harmless on the facts of this case.

Even though the majority rejects defendant’s claim to the source code on the facts of this case, it remains an open question in this Court whether a defendant should be granted access to a proprietary source code under a protective order. This familiar method of ensuring a defendant’s right to present a defense would safeguard commercial interests. It provides no help to this defendant, but it is squarely within a court’s authority to grant such an order in an appropriate future case.

8. Defendant’s other challenges are either unpreserved or lack merit.

Judges GARCIA, SINGAS and CANNATARO concur; Judge RIVERA concurs in result in an opinion, in which Judges WILSON and TROUTMAN concur.

Order affirmed.

[194 NE3d 708, 174 NYS3d 1]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v MARC MITCHELL, Appellant.

Argued April 20, 2022; decided May 24, 2022

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the First Judicial Department, entered October 23, 2020. The Appellate Term affirmed a judgment of the Criminal Court of the City of New York, New York County (Stephen M. Antignani, J.), which had convicted defendant, upon a plea of guilty, of fraudulent accosting.

People v Mitchell, 69 Misc 3d 133(A), 2020 NY Slip Op 51240(U), affirmed.

HEADNOTE

Crimes — Fraudulent Accosting — Facial Sufficiency of Accusatory Instrument

The complaint charging defendant with fraudulent accosting (Penal Law § 165.30 [1]) based on allegations that defendant set up a makeshift table that “blocked” the sidewalk, requiring pedestrians to “walk around” him in order “to continue walking on the sidewalk,” and asked the passersby to “[h]elp the [h]omeless,” was facially sufficient. The factual allegations were sufficient to establish reasonable cause that defendant accosted the potential victims of his scam. Not only did the complaint establish that defendant spoke first to the pedestrians by calling out to them, but also that defendant engaged in an affirmative act tantamount to a physical approach, by blocking the sidewalk and forcing passersby to maneuver around him to proceed. “Accost” is not defined in the Penal Law, but at the time when the legislature created the offense of fraudulent accosting, contemporary dictionaries defined “accost” to mean either to “approach,” to “speak to first,” or to “address” and did not limit the term to an aggressive or persistent physical approach. The purpose in enacting the fraudulent accosting statute was to protect the public against the swindler who proposes by their acts to defraud innocent victims of property and to aid the police in stamping out an ever-increasing number of swindle rackets, many of which involved an initial approach that was benign. Nor did the statute require that the approach be directed toward a specific individual, rather than the public at large.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d Indictments and Informations § 111.

McKINNEY’S, Penal Law § 165.30 (1).

NY JUR 2d Criminal Law: Substantive Principles and Offenses § 1064.

ANNOTATION REFERENCE

See ALR Index under Indictments and Informations;
Peddlers and Canvassers; Sidewalks.

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Query: “fraudulent accosting” & accusatory /s sufficient

POINTS OF COUNSEL

Janet E. Sabel, The Legal Aid Society, New York City (Ying-Ying Ma and Richard Joselson of counsel), for appellant. The accusatory instrument charging defendant with fraudulent accosting was facially insufficient (1) as to the essential element of accosting where it failed to allege that defendant approached or engaged in aggressive actions towards anyone; and (2) as to the essential element of intent to defraud where it failed to provide sufficient evidentiary facts supporting any such intent. (*People v Vetri*, 309 NY 401; *People v Jones*, 9 NY3d 259; *People v Vandover*, 20 NY3d 235; *People v De Bour*, 40 NY2d 210; *People v Wallace*, 31 NY3d 503; *People ex rel. Negron v Superintendent, Woodbourne Corr. Facility*, 36 NY3d 32; *People v Francis*, 30 NY3d 737; *People v Andujar*, 30 NY3d 160; *People v Stoll*, 242 NY 453; *People v Destin*, 150 AD3d 76.)

Alvin L. Bragg, Jr., District Attorney, New York City (Philip V. Tisne and Alan Gadlin of counsel), for respondent. The complaint was facially sufficient. (*People v Dumay*, 23 NY3d 518; *People v Aragon*, 28 NY3d 125; *People v Drelich*, 32 NY3d 1032; *People v Konieczny*, 2 NY3d 569; *People v Casey*, 95 NY2d 354; *People v Jackson*, 18 NY3d 738; *People v Farrar*, 120 Misc 2d 464; *People v Badji*, 36 NY3d 393; *People v Golo*, 26 NY3d 358; *People v Wallace*, 31 NY3d 503.)

OPINION OF THE COURT

GARCIA, J.

Defendant waived prosecution by information, pleaded guilty to fraudulent accosting (Penal Law § 165.30 [1]), and was sentenced to time served. He argues on appeal that the term “accost” should be narrowly construed to require “a physical approach and an element of aggressiveness or persistence” that is “directed toward a specific individual, rather than the public at large.” We reject that proposed definition, hold that the complaint was facially sufficient, and affirm.

Because defendant waived prosecution by information, we judge facial sufficiency by the standard applied to a misdemeanor complaint (*see* CPL 170.65 [3]; *People v Kalin*, 12 NY3d 225, 228 [2009]), namely that the accusatory instrument “need only set forth facts that establish reasonable cause to believe that the defendant committed the charged offense” (*People v Dumay*, 23 NY3d 518, 522 [2014]; *see* CPL 100.40 [4] [b]). “Reasonable cause” exists when “evidence or information which appears reliable discloses facts or circumstances which are collectively of such weight and persuasiveness as to convince a person of ordinary intelligence, judgment and experience that it is reasonably likely that such offense was committed and that such person committed it” (CPL 70.10 [2]). The complaint in this case met that standard.

A person is guilty of fraudulent accosting when he or she “accosts a person in a public place with intent to defraud him of money or other property by means of a trick, swindle or confidence game” (Penal Law § 165.30 [1]). In pertinent part, the complaint alleged that defendant was standing on a Manhattan street corner next to two milk crates set up as a table. On the table was a black box with a slot for money and fliers describing how to donate to homeless shelters. According to the complaint, defendant positioned the table in a way that “blocked” the sidewalk, causing at least 75 pedestrians to have to “walk around” him in order “to continue walking on the sidewalk.” As pedestrians did so, defendant asked them to “[h]elp the [h]omeless.” In response to a question by a police officer, defendant said that “‘donations go to a church on 116 Street,’” but he “was unable to state the name of the church or the name of the person that receives the money.” Although defendant told the officer that he was “‘the [p]resident of the NYC Homeless Outreach’” and gave the officer “a laminated card which stated he was affiliated with” that organization, he later admitted that “‘[m]ost of the proceeds’” went to him.

On appeal following his plea, defendant claimed that the accusatory instrument was facially insufficient as to the fraudulent accosting charge. The Appellate Term affirmed, holding that the “accosting” element was “satisfied by allegations that defendant ‘ask[ed] passing pedestrians to “[h]elp the [h]omeless,”’” citing language from a criminal court case to the effect that this element “‘requires that . . . defendant take some affirmative action to make contact with the victim for the purpose of involving that individual in the scam’” (69 Misc 3d 133[A],

2020 NY Slip Op 51240[U], *1 [App Term, 1st Dept 2020], citing *People v Morrison*, 58 Misc 3d 19, 20 [App Term, 1st Dept 2017], quoting *People v Tanner*, 153 Misc 2d 742, 746 [Crim Ct, NY County 1992]). A Judge of this Court granted defendant leave to appeal (36 NY3d 1052 [2021]).

In interpreting a statute, we look to effectuate the intent of the legislature (see *Patrolmen's Benevolent Assn. of City of N.Y. v City of New York*, 41 NY2d 205, 208 [1976]). “[T]he clearest indicator of legislative intent is the statutory text,” and we therefore start with the plain meaning of the language itself (see *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]). Applying that well-settled standard leads us to reject defendant’s argument that “accost” as used in the statute requires “a physical approach and an element of aggressiveness or persistence.”

“Accost” is not defined in the Penal Law, and, accordingly, to discern its meaning here, we look to dictionaries from the time of the statute’s enactment as well as the statute’s purpose and history (see *Yaniveth R. v LTD Realty Co.*, 27 NY3d 186, 192 [2016]; *People v Ocasio*, 28 NY3d 178, 181-184 [2016]; McKinney’s Cons Laws of NY, Book 1, Statutes §§ 232, 234). During the relevant period in 1952, when the legislature created the offense of fraudulent accosting (see L 1952, ch 640), contemporary dictionaries defined “accost” to mean either to “approach,” to “speak to first,” or to “address” (see e.g. Webster’s New World Dictionary of the American Language 9 [1951] [“to approach and speak to; speak to first, before being spoken to”]; Webster’s New Collegiate Dictionary [1949] [“(t)o approach” or “(t)o speak first to; to greet”]). Indeed, a California appellate court looking for the meaning of “accost” in a 1961 statute noted that the definition “‘to approach, to speak to, to address’” was found in “10 of the 12 dictionaries” cited by the lower court and “in all 6 of those dictionaries that were in print at the time the statute was enacted” (*Ulmer v Municipal Ct.*, 55 Cal App 3d 263, 266, 127 Cal Rptr 445, 447 [1976]). No dictionary cited from the relevant time period limits the term to an aggressive or persistent physical approach.¹ All the dictionaries cited by defendant in support of his proposed defi-

1. One Webster dictionary later added, as the second definition of “accost,” “to confront, usu[ally] in a somewhat challenging or defensive way” (Webster’s Third New International Dictionary 12 [1961]; but see Webster’s Seventh New College Dictionary 6 [1967] [listing the only definition of “accost” as “to approach and speak to; speak first to; address”]).

dition were published decades after the statute's enactment and, therefore, are inapt.

Defendant's definition of "accost" as including only persistent or aggressive conduct is also inconsistent with the Bartlett Commission's² understanding of the term. In 1964, the Commission made a proposal—later withdrawn—to place the offense within a new "harassment" section of the Penal Law, so that it would apply only when the perpetrator acted with the intent "to harass, annoy or alarm an individual" (Bartlett Commission, Staff Notes on Proposed Penal Law § 250.10 at 387-390 [1964] [internal quotation marks omitted]). It is inconceivable that the Commission would require such intent as a separate element if "common usage" (dissenting op at 419-421) defined "accost" to mean essentially the same thing (*see* McKinney's Cons Laws of NY, Book 1, Statutes § 231).

As to the purpose in enacting the fraudulent accosting statute, the goal was to protect the public against "the swindler who proposes by his acts to defraud innocent victims of property" (Mem of the Citizens Union of the City of NY, Bill Jacket, L 1952, ch 640 at 12) and to "aid the police in stamping out an ever-increasing number of swindle rackets," of which there are "many variations" (Mem of the City of NY, Bill Jacket, L 1952, ch 640 at 7). Many of those swindles involved an initial approach that was benign. For example, the "handkerchief switch" begins with the perpetrator "inform[ing]" the victim that he has "occult powers" that enable him to increase the denomination of dollar bills (Mem of the City of NY, Bill Jacket, L 1952, ch 640 at 8-9). In the "pocket-book drop" scam, the perpetrator tells the victim that he "just found a substantial sum of money in a pocket-book" and does not know what to do with it (*id.* at 7). A narrow interpretation of the fraudulent accosting statute, requiring an aggressive or persistent physical approach, would make it impossible for the statute to reach such conduct and would run contrary to the statute's intended purpose (*see* McKinney's Cons Laws of NY, Book 1, Statutes § 234, Comment).

This point is brought home by the 1965 amendment of the statute (*see* L 1965, ch 1030), a "noteworthy feature" of which was the inclusion of language to allow for the perpetrator to

2. The Bartlett Commission was tasked with studying and recommending a revised version of the Penal Law (*see* Interim Rep of Temp St Commn on Rev of Penal Law and Crim Code, 1962 NY Legis Doc No. 41 at 5).

manifest the requisite culpable intent either “at the time and place of the original ‘accosting’ ‘or subsequently in any place’ ” (Richard G. Denzer & Peter McQuillan, Practice Commentary, McKinney’s Cons Laws of NY, Book 39, Penal Law § 165.30 at 515). This language “embraces” the fact that a swindler may engage in an “initial approach” that is “ostensibly innocent from a conversational standpoint”—rather than “aggressive or persistent”—and, later, manifest the requisite intent to defraud “at another time and place” (*id.*).

Lower courts have uniformly applied an interpretation of “accost” that does not require any aggressive or persistent approach. Instead, to establish the offense’s “accost” element, courts have required only that the defendant initiate contact with a potential victim through an affirmative act (*see e.g. People v Bannister*, 37 Misc 3d 1229[A], 2012 NY Slip Op 52240[U], *2-3 [Crim Ct, NY County 2012]; *People v Mellish*, 4 Misc 3d 1013[A], 2004 NY Slip Op 50869[U], *4 [Crim Ct, NY County 2004]). Indeed, “stationing” (dissenting op at 426), with no accompanying affirmative action to make contact with a potential victim, is insufficient, as evidenced by the legislature’s decision to remove that term from the statute (*see* L 1965, ch 1030; *see also Tanner*, 153 Misc 2d at 745 [“Though defendant may have hoped that people would walk over to the table where he was seated, this essentially passive behavior (was) not ‘accosting’ ”]).

Here, the accusatory instrument contained factual allegations sufficient to establish reasonable cause that defendant accosted the potential victims of his scam. The complaint alleged that defendant set up a makeshift table that “blocked” the sidewalk, requiring pedestrians “to walk around [him] to continue walking on the sidewalk,” and asked the passersby to “[h]elp the [h]omeless.” In other words, not only did the complaint establish that defendant spoke first to the pedestrians by calling out to them, but also that defendant engaged in an affirmative act tantamount to a physical approach, by blocking the sidewalk and forcing passersby to maneuver around him to proceed.³

Defendant, citing the statutory language requiring that the offender accost “a person in a public place” (Penal Law § 165.30

3. Accordingly, we leave for another day the question of whether a defendant “accosts” someone within the meaning of the statute solely by calling out to potential victims.

[1]), also argues that the approach must be directed toward a specific individual, rather than the public at large. It is a settled rule of statutory interpretation that “[w]ords in the singular number include the plural” (General Construction Law § 35; *see also* Antonin Scalia & Bryan A. Gardner, *Reading Law: The Interpretation of Legal Texts* 129-131 [2011]). This rule “is applicable to every statute unless its general object, or the context of the language construed, or other provisions of law indicate that a different meaning or application was intended” (General Construction Law § 110). There is no reason to apply that exception here, given that the statute was aimed at preventing members of the public, going about their business in public places, from being lured into fraudulent schemes (*see CIT Bank N.A. v Schiffman*, 36 NY3d 550, 559 [2021] [“words in the singular may generally be interpreted to encompass the plural, if doing so is consistent with the context and legislative intent”]; *see e.g. Matter of Johnson v Joy*, 48 NY2d 689, 691 [1979] [interpreting a statutory term in the singular form to include the plural where such interpretation, “in context and in light of the purpose” of the statute, was “clearly reasonable”]).

A quick word about the dissent’s proposal to define “accost” to mean the following: to physically approach a specific member of the public in a persistent, aggressive, or otherwise particularly assertive manner that can also “take the form of the perpetrator insinuating themselves into the victim’s physical space” (dissenting op at 423). No relevant dictionary provides support for such a limiting interpretation. Nor has any court considering the issue applied anything remotely near that restrictive of a definition. As discussed above, adoption of the dissent’s approach would effectively make it impossible to prosecute the very schemes that the legislature sought to proscribe by enacting the provision (*see* dissenting op at 422-423 n 7). And, contrary to the dissent’s dramatic warning that we come “perilously close to criminalizing” protected speech (dissenting op at 415), “[w]here false claims are made to effect a fraud or secure moneys or other valuable considerations, . . . it is well established that the [g]overnment may restrict speech without affronting the First Amendment” (*United States v Alvarez*, 567 US 709, 723 [2012] [plurality]). Addressing that potential constitutional infirmity was, of course, the purpose of the 1971 amendment adding the fraudulent intent element to the statute (*see* L 1971, ch 772; *People v Harris*, 64 Misc 2d 510, 515

[App Term, 1st Dept 1969] [refusing to save the statute by reading into it “that acts be committed . . . or that there must be a coexistent fraudulent intent” (emphasis added)]). Lastly, dismissing the charges against a defendant who admitted that he falsely led members of the public to believe that they were donating to a legitimate charity that helps the homeless seems much more likely to undermine—rather than advance—the laudable goals of such organizations (*see* dissenting op at 425).

Defendant’s remaining contentions have been considered and are without merit.

Accordingly, the order of the Appellate Term should be affirmed.

RIVERA, J. (dissenting). What does it mean to “accost a person” as a target of a swindle for purposes of Penal Law § 165.30 (1), the fraudulent accosting statute? The majority has no clear answer but concludes that the term encompasses defendant’s act of standing on a public street corner, calling out to no one in particular to “[h]elp the [h]omeless” as pedestrians walked around him. That conclusion relies on an overly broad view of the phrase “accost a person” that is contrary to its commonly understood meaning of an affirmative, aggressive act, contact with a specific target, or a directed invitation to engage another. The legislature amended the statute to its current form in order to increase penalties on confidence artists—those who prey on victims by use of trickery and deceit, in an effort to gain the victim’s trust. The statute does not criminalize calling out to the general public simply because, as the majority concludes, the speaker happens to stand in someone’s preferred route through a crowded pedestrian sidewalk. The majority’s approach is perilously close to criminalizing speech protected by the First Amendment.¹ I dissent.

I.

Defendant Marc Mitchell was arrested on a New York City street corner near Times Square, in the heart of Midtown

1. The majority’s contentions—that false claims in furtherance of a fraud are not protected speech and that the intent element of the statute obviates First Amendment concerns (*see* majority op at 414-415)—elide that this is a jurisdictional challenge based on the sufficiency of the factual allegations in the accusatory instrument. A challenge to the statute under the overbreadth doctrine would not be limited to the particular facts of defendant’s alleged conduct (*see People v Marquan M.*, 24 NY3d 1, 8 [2014], quoting *United States v Stevens*, 559 US 460, 473 [2010], and *People v Stuart*, 100 NY2d 412, 421 [2003]).

Manhattan. It was around 7:15 p.m. on February 16, 2016, a busy night in the neighborhood, as the Theater District opened its doors for the evening's performances.

A misdemeanor complaint charged defendant with the class A misdemeanor of fraudulent accosting (Penal Law § 165.30 [1]) and disorderly conduct (Penal Law § 240.20 [5]), a violation. As relevant to this appeal, Penal Law § 165.30 (1) provides that “[a] person is guilty of fraudulent accosting when [they] accost[] a person in a public place with intent to defraud [that person] of money or other property by means of a trick, swindle or confidence game.”

According to the complaint, an officer observed defendant “standing [on the corner of Broadway and West 48th street] . . . next to two milk crates that were set up like a table while asking passing pedestrians to ‘Help the Homeless.’” On the table was a black box with statistics about shelters in New York City and a paper explaining where donations would be directed and payment options. The officer alleged that defendant, upon questioning, stated “[t]he donations go to a church on [116th] Street,” although he could not name the church or who receives the money,² and that defendant was “President of the NYC Homeless Outreach.” The officer further alleged that defendant presented him with a laminated card stating his affiliation with “NYC Homeless Outreach” and that the date of birth on that card did not, in some unstated way, match the date of birth on the benefits card defendant also presented to the officer. Defendant also stated that “most of the proceeds actually go to [him] because [he] is homeless.” The officer did

2. In 2016, when defendant was arrested, there were no less than eight churches in Manhattan on 116th Street or an intersecting avenue, including Our Lady of Mount Carmel (*see* <http://www.mountcarmelshrine.com/>), the Canaan Baptist Church of Christ (*see Our History*, <https://www.canaanbaptistcoc.com/our-history>), the Salvation & Deliverance Headquarters Church (*see Origin of the Ministry*, <https://www.sndhq.org/mission>), the First Corinthian Baptist Church (*see Our Story*, <https://fcbcnyc.org/about/our-story>), the Second Providence Baptist Church (*see* Edgar Sandoval & Victoria Bekiempis, *Historic Harlem Church Wants Judge to Allow Sale of Building for \$6M to Condo Developer*, NY Daily News [Jan. 9, 2017], <https://www.nydailynews.com/new-york/manhattan/harlem-church-judge-6m-sale-building-article-1.2941974>), the Mount Zion A.M.E. Church (*see Mount Zion A.M.E. Church Celebrating 100 Years*, <https://mountzionamenyc.org/our-history-honoring>), the Primera Iglesia Bautista de Habla Española de Nueva York (*De 1938 a 1961*, <http://pibheny.nyc/de-1938-a-1961/>), and the First Sharon Baptist Church (*see* David W. Dunlap, *From Abyssinian to Zion: A Guide to Manhattan's Houses of Worship* 78-79 [2004]).

not allege any facts contradicting defendant's statements that the organization existed, that defendant was affiliated with it, that donations went to a church on 116th Street, or that defendant was in fact homeless. The officer did observe and allege that the milk crate setup blocked approximately 75 pedestrians who "had to walk around the defendant to continue walking on the sidewalk." However, the officer did not allege that he observed a single pedestrian stop and interact with defendant, or that defendant made contact or otherwise approached or insinuated himself into the physical space of any person as they walked by.³

After being held a night in jail, defendant appeared for arraignment where the prosecution sought 90 days' incarceration on the charges. The court instead offered defendant time served and expressed the court's doubts as to the fraudulent accosting charge as described in the complaint:

"On these facts—look, I would understand if there were some threatening behavior done to another individual to get an individual to give money. I understand it is a crime, but there is nothing here. It says the only one that even went up to [defendant] was the officer and said to him, well, let me see your benefit card. He showed his benefit card. The officer said, well, it doesn't match something you're presenting to me. Why are you saying it goes to the homeless? And he says, because I am homeless.

"Look, you can't do this."

After defendant pleaded guilty to the fraudulent accosting charge in satisfaction of the complaint, and before the court imposed sentence, the court again expressed its uncertainty that defendant had broken the law:

"I want to note, before I sentence you . . . that, I know the People's position was they were trying to protect tourists, but there is nothing in this complaint that even says [defendant] went up to a tourist, and just used the word accosting. It says he asked pedestrians. I don't know if that rises to the level of accosting."

3. The misdemeanor complaint also states that defendant "obstructed vehicular . . . traffic" but provided no factual support for that allegation.

The Appellate Term affirmed the conviction, rejecting defendant's claim that the accusatory instrument was jurisdictionally defective because it lacked sufficient facts to establish reasonable cause to believe he accosted or intended to defraud anyone (*see* 69 Misc 3d 133[A], 2020 NY Slip Op 51240[U] [App Term, 1st Dept 2020]). As to that challenge, the court concluded that the instrument sufficiently alleged an affirmative act constituting "[t]he accosting element of the offense . . . by allegations that defendant 'ask[ed] passing pedestrians to 'Help the Homeless''" (2020 NY Slip Op 51240[U], *1).

I would reverse because the accusatory instrument is jurisdictionally defective, as it lacks any factual assertions that defendant accosted someone.⁴ The Appellate Term is correct that the statute requires an affirmative act, but mere passive speech without some physical contact or aggressive (in the sense of intrusive) behavior to engage a potential victim is legally insufficient to establish reasonable cause to believe that defendant fraudulently accosted some unknown person. Defendant did not "accost" a particular individual—indeed he did not make any attempt to target anyone—by calling out to the general public to act charitably; the fact that passersby sought to avoid contact with defendant by walking around him does not transform his speech into the required criminal *actus reus*.

II.

The majority correctly explains the standard and rules of construction we must apply on this appeal, and I have no quarrel with the articulation of these well-established legal principles. Rather, I take issue only with the majority's application of the law to reach its ultimate conclusion that the accusatory instrument is facially sufficient. Although we usually begin with the statutory language, the Penal Law does not define "accost," and so we cannot rely in the first instance solely on the plain text to resolve defendant's jurisdictional challenge. Instead, we must fathom the legislative intent and determine the coverage of the statute by employing extrinsic aids to statutory construction.

4. Unlike the majority, which rejects without explanation defendant's alternative claim that the accusatory instrument fails to plead an intent to defraud another person (*see* majority op at 415), I have no occasion to opine on whether the instrument sufficiently alleges the requisite *mens rea* because, as I explain, the instrument is jurisdictionally defective for failing to set out facts constituting the *actus reus*.

As the Court has previously explained, “[i]n the absence of a statutory definition, ‘dictionary definitions serve as useful guideposts in determining the word’s ordinary and commonly understood meaning. This follows from the principle that, generally, unless a contrary intent is clear, lawmakers employ words as they are commonly or ordinarily employed’” (*People v Holz*, 35 NY3d 55, 59 [2020], quoting *People v Aleynikov*, 31 NY3d 383, 397 [2018]; see also McKinney’s Cons Laws of NY, Book 1, Statutes §§ 232, 234). The majority and I consider the same guideposts but reach the opposite conclusion as to what definition those sources suggest applies here.

At the time the statute was enacted and later amended to its present version, accost was defined in multiple ways, all of which required initial affirmative, targeted conduct, but not necessarily physical contact. Dictionaries of the period included the broad definitions relied upon by the majority—to “approach,” “speak to first,” or “address” (see e.g. The American Heritage Dictionary of the English Language 9 [1969]; Webster’s Seventh New Collegiate Dictionary 6 [Merriam-Webster 1963]; 1 Webster’s New World Dictionary of the American Language 9 [1951]; Webster’s Sixth New Collegiate Dictionary 6 [Merriam-Webster 1949]). But along with these definitions, accost was also defined narrowly and discriminately as the following aggressive or offensive behavior towards another person: “to confront, usu. in a somewhat challenging or defensive way”; “to address abruptly (as in a chance meeting) and usu. with a certain degree of impetuosity or boldness” (Webster’s Third New International Dictionary 12 [Merriam-Webster 1961]). Moreover, at least one thesaurus from this period listed synonyms for accost based on aggressive conduct (see Webster’s First Dictionary of Synonyms 13 [Merriam-Webster 1951] [affront, offend, and insult]). Thus, “accost” is a particularly assertive, often unexpected manner of “approach[ing],” “speak[ing] to first,” or “address[ing]” another.⁵

Although the majority relegates the narrow definition to a footnote (see majority op at 411 n 1), that definition has historic and contemporary resonance. Indeed, the definition of accost as aggressive or offensive behavior that directly targets another

5. As is clear from the definitions in the above paragraph, the majority is incorrect that “[n]o relevant dictionary provides support” for my definition of accosting (majority op at 414). Moreover, as I discuss (see section III, *infra*), my definition is supported by the legislative history evincing a focus on confidence games and by lower court case law.

comports with the common usage of the term, then and now (see e.g. 166 Cong Rec H3703 [July 23, 2020] [Representative Alexandria Ocasio-Cortez] [“I want to thank him (i.e., Representative Ted Yoho) for showing the world that you can be a powerful man and accost women”]; Senator John F. Kennedy, The Religion Issue in American Politics, Remarks at the American Society of Newspaper Editors [Apr. 21, 1960] [“I think they (i.e., voters) objected to being accosted by reporters outside of political meetings and asked one question only—their religion—not their occupation or education or philosophy or income—only their religion”], available at <https://www.jfklibrary.org/archives/other-resources/john-f-kennedy-speeches/american-society-of-newspaper-editors-19600421> [last visited May 4, 2022]; see generally *Yaniveth R. v LTD Realty Co.*, 27 NY3d 186, 192 n 2 [2016] [explaining that dictionary definitions “are a useful tool of statutory construction to the extent that they reflect the common meaning and usage of (a) term” at the time of enactment]). That common understanding survives and is reflected in dictionary editions from the time of defendant’s arrest (see e.g. Merriam-Webster Online Dictionary [<https://web.archive.org/web/20160201154355/https://merriam-webster.com/dictionary/accost>] [archived Feb. 1, 2016] [“to approach and speak to often in a challenging or aggressive way”]; The American Heritage Dictionary of the English Language [<https://web.archive.org/web/2016/0408041836/https://www.ahdictionary.com/word/search.html?q=accost>] [archived Apr. 8, 2016] [“(t)o approach and speak to, especially aggressively or insistently, as with a demand or request”]; Oxford English Dictionary [<https://www.oed.com/view/Entry/1184>] [“(t)o approach and speak to, esp. (in later use) in a bold, hostile, or unwelcome manner; to waylay (a person) in this way”]). Present day thesauruses, as did their predecessors, reflect this same understanding of accost as a manifestation of aggressive behavior towards another (see e.g. Merriam-Webster Online Thesaurus [<https://www.merriam-webster.com/thesaurus/accost>] [e.g., affront, challenge, and corner]). As these sources make clear, “accost” as a descriptor of benign, general behavior—to merely approach, speak first to, or address another—is an overgeneralization that fails to express the nuance of conduct encompassed by the narrower, more particularized definition that focuses on the actor’s conduct towards a target.

There is no logical reason to rely, as the majority does, on the definition that was out of step with common usage at the

time of the enactment and amendment of the statute, at the time of defendant's arrest, and which continues to be today.⁶ Nor is there reason to assume that the legislature intended the broader meaning, notwithstanding the formally recognized and popular use of the other, narrower definition.

In any case, the majority misapplies the broad definition of accost that requires that a person "approach," "speak first to," or "address," because the accusatory instrument here lacks sufficient factual support for reasonable cause to believe that defendant accosted within the meaning of the statute. Nowhere does the officer allege that he observed defendant approach anyone, and the majority does not contend otherwise. Nor did defendant speak first to or address a particular individual in order to engage a potential victim in the alleged scam. In fact, the officer did not observe a single person respond positively to defendant's invitation to help the homeless. But the fraudulent accosting statute only applies if defendant "accosts a person in a public place with intent to defraud [that person]" (Penal Law § 165.30 [1]). Simply stated, the statute requires conduct focused on a victim, and the accusatory instrument lacks any factual assertion of defendant's contact with anyone. Indeed, as the trial court explained, "there is nothing here" because the accusatory instrument did not allege that defendant interacted with another person. If defendant's calling out to the general public falls within these definitions—and the majority specifically does not base its conclusion solely on defendant's statement into the air—then to accost would be nothing more than a form of common speech, and the term would be rendered meaningless in application. It is the speaker's targeting of a particular listener that distinguishes these definitions and constitutes the transitive verb—"to accost." And, as I explain (*see* section III, *infra*), this meaning better comports with the actions of the swindlers and confidence artists that are the targets of the statute.

III.

As with its selective reference to historic dictionary entries, the majority's reliance on the legislative history is misplaced;

6. Because a definition with an element of aggression or assertion has consistently been recognized in print and common usage, there is no reason to consider defendant's argument that dictionaries in print prior to defendant's arrest are not relevant because we may only look to sources available at the time of defendant's alleged criminal act.

that history supports the conclusion that the legislature drafted and adopted the statute cognizant of the dictionary definitions and common understanding that accost requires an affirmative, aggressive, or offensive contact aimed at a target. There is no dispute that the statute is intended to address a category of theft, namely scams employed by confidence artists who prey on human weakness (*see* William C. Donnino, Practice Commentary, McKinney's Cons Laws of NY, Penal Law § 165.30 ["'Fraudulent accosting' is essentially a theft offense aimed at confidence artists who prey upon the gullible"]; Mem of Legis Rep of City of NY at 3, Bill Jacket, L 1952, ch 640). In 1952, the legislature recognized that street swindles were difficult to prosecute, and the statute was passed to assist law enforcement. As New York City's memorandum in support of the legislation discussed, the statute would address common confidence games or "swindle rackets," including "'pocket-book drops' [and] 'handkerchief switches'" (Mem of Legis Rep of City of NY at 1, Bill Jacket, L 1952, ch 640).⁷ These scams succeed by engaging the victim to gain their trust and confidence—

7. The memorandum first described the "pocket-book drop" as a swindle "ordinarily involv[ing] three participants, two swindlers working together and a victim" (Mem of Legis Rep of City of NY at 1, Bill Jacket, L 1952, ch 640). "Swindler No. 1, usually a woman, posts herself in the vicinity of a bank and waits for an aged, apparently gullible person to emerge" (*id.*). Then, she "approaches the victim with the story that she has just found a substantial sum of money in a pocket-book and that she does not know what to do with it" (*id.*). She shows the money to the victim, and then "swindler No. 2 approaches and swindler No. 1 suggests that they ask No. 2 what to do about the money and whether the matter should be reported to the police" (*id.*). Swindler No. 1 then relays the fake story to swindler No. 2, "who states that while he himself has no constructive suggestions to make, he will request the advice of the president of the corporation of which he himself is an officer," pointing out a "well-established business firm" in the area and then walking towards it (*id.*). "After an appropriate interval, swindler No. 2 reappears" and tells swindler No. 1 and the victim that the president has suggested that the president hold the money while they "search for the owner," with the caveat that the president will only do so if both the finder (swindler No. 1) and the victim put up "cash security" (*id.* at 2). "Swindler No. 1 pretends to object at first, then puts up a small sum and induces the victim to withdraw a substantial sum from the bank near which the swindle is being perpetrated. Often this represents the victim's entire life savings" (*id.*). Thereafter, swindler No. 2 takes the cash, ostensibly to return to the office and obtain a receipt, after which swindler No. 1 creates an excuse to leave and look for swindler No. 2 (*see id.*).

The handkerchief switch was a confidence scheme in which "[a] swindler . . . poses as a possessor of occult powers and informs the victim" that the con artist can "increase the denomination of money in bill form" (*id.*).

(*n. cont'd*)

hence the label “confidence game” (see *People v Williams*, 93 Misc 2d 726, 733 [Crim Ct, NY County 1978] [“The essence of the classic confidence game is that the victim views the confidence (artist) as a protagonist, someone on (their) side”]). The actions of these perpetrators aligned completely with the definition of accost as affirmative contact, notable for aggressive behavior targeting a potential victim. That aggressive behavior is not always hostile but can take the form of the perpetrator insinuating themselves into the victim’s physical space, preying on the victim’s desire to acquire a significant sum of money with little effort or to assist a stranger.

Moreover, the majority’s characterization of the Bartlett Commission’s recommendations is mistaken. The Bartlett Commission initially proposed including fraudulent accosting under the heading of harassment offenses in order to make it easier to prosecute the offense, as harassment crimes did not require an intent to defraud (see Staff Notes of Temp St Commn on Rev of Penal Law and Crim Code, 1964 Proposed NY Penal Law [Study Bill, 1964 Senate Intro 3918, Assembly Intro 5376] § 250.10 at 389-390; see also 3d Interim Rep of Temp St Commn on Rev of Penal Law and Crime Code, 1964 Legis Doc No. 14 at 26-27). There is no evidence to conclude, as the majority does, that the Bartlett Commission withdrew its proposal to include fraudulent accosting under the heading of harassment offenses because they viewed the general harassment intent provision as coextensive with the definition of the word accost (see majority op at 412, citing McKinney’s Cons Laws of NY, Book 1, Statutes § 231). Rather, the Bartlett Commission changed course after introduction of the 1964 Study Bill, explaining that several stakeholders had requested harsher punishments for the offense, which would have been impossible had it remained a harassment offense:

Thereafter, the swindler takes “one of the victim’s bills,” places it in a handkerchief, and “knot[s]” the handkerchief “so as to conceal the bill” (*id.*). “While the victim holds the handkerchief, the swindler recites incantations over it. During these fraudulent ceremonies, the swindler expertly substitutes a different handkerchief for the original. When the substituted handkerchief is opened, it contains a bill of a higher denomination” (*id.*). Thereafter, the now drawn-in victim is “told that the occult forces are especially favorable . . . and is induced to place a large sum of money in the handkerchief” (*id.*). After doing so, the con artist again changes the handkerchief with a slight of hand, gives the handkerchief to the victim, and tells the victim to “open it only at a specified later time” (*id.*). Upon opening the handkerchief, the victim is left with “nothing but waste paper” (*id.* at 3).

“Th[e] offenses [of jostling and fraudulent accosting] are substantially carried over to the old [proposed study] bill from the existing Penal Law’s ‘disorderly conduct’ statute, where they have been of great utility, in New York City at least, as the principal weapons against pickpockets and certain kinds of confidence [artists]. As ‘disorderly conduct,’ these offenses are punishable under the existing Penal Law by a term of imprisonment of up to six months; but, as ‘harassment’ in the old proposed bill—an offense graded a violation—the maximum prison term imposable is fifteen days. This is regarded as grossly inadequate by many judges, prosecutors and police officers familiar with the problems involved in apprehending, prosecuting and protecting society from the professional pick-pocket and confidence [artist]” (4th Interim Rep of Temp St Commn on Rev of Penal Law and Crim Code, 1965 Legis Doc No. 25, Staff Notes at 40 [citations omitted]).

“Upon the premise that these are basically ‘theft’ offenses requiring fairly severe penalties,” the Bartlett Commission moved the crime of fraudulent accosting into the article dealing with theft in the Penal Law and upgraded the crime to a class A misdemeanor (*id.*). The change between 1964 and 1965 was solely related to sentencing and has no bearing on the meaning of the word “accost” or on the scope of the *actus reus*.⁸

The majority makes a final attempt to save the accusatory instrument by adopting an analysis different from the Appellate Term, concluding “not only did the complaint establish that defendant spoke first to the pedestrians by calling out to them, but also that defendant engaged in an affirmative act tantamount to a physical approach, by blocking the sidewalk and forcing passersby to maneuver around him to proceed” (majority op at 413). Because the majority holds open the question of whether someone accosts under Penal Law § 165.30 (1)

8. Unlike the majority’s reimagining of the purpose animating the Bartlett Commission’s proposal, the majority’s citation to the contemporary Practice Commentary (*see* majority op at 412-413) is not inconsistent with the legislative history. Many confidence games begin as “ostensibly innocent” interactions (Richard G. Denzer & Peter McQuillan, Practice Commentary to Penal Law § 165.30, McKinney’s Cons Laws of NY, Book 39, at 515)—for example, the pocket-book drop (*see* n 7, *supra*)—making it difficult to prove intent until the scam progresses. The intent provision has no bearing on the *actus reus*; the element of “accost” can be satisfied, notwithstanding a lack of *mens rea* (*see infra* at 428-429).

“solely by calling out to potential victims” (majority op at 413 n 3), the majority must mean that the factual allegation that defendant obstructed the passersby is essential to the sufficiency of the accusatory instrument. But defendant no more accosted the passersby than would a religious leader who stands on the corner requesting contributions to a place of worship or a local homeless shelter, the Salvation Army Officer who positions a bucket in front of a store and rings a bell asking for donations to help the needy, the peace activist who stands in front of an entrance to Central Park who calls for an end to war and for civil disobedience, or the person who stands in the middle of the block holding a sign asking for food because they are hungry. In each case, the individual makes a general request of anyone who can hear or see them to act on their conscience. The fact that a pedestrian must make a minor adjustment to their preferred street path does not turn the speech into an accosting or mean that they have accosted everyone who chose to avoid them by changing direction. Walking around people is part of daily coexistence in public spheres and we would be hard-pressed to find a passerby who would think themselves accosted every time they had to walk around someone talking in the middle of the street or on the corner. People often have to bob and weave, duck and dive, maneuver and negotiate to make their way around others standing, walking, or sitting in their way. There is no unbroken line of passage on a New York City sidewalk, and certainly not one as busy as that found in the Theater District, or the exact street corner where defendant was observed—48th and Broadway—where, at the time of defendant’s arrest, large numbers of people were likely stepping on or off the curb shortly before curtains rose on the evening’s performances.⁹ The fact that defendant set up an immediate and convenient depository for anyone inspired to donate, while also allowing for pedestrians to avoid him completely by walking around a makeshift table, does not constitute accosting (*cf. People v Argyris*, 24 NY3d 1138, 1179 [2014, Rivera, J., concurring in part] [“No quotidian moment escapes potential police intrusion”]).

9. For example, in the week ending February 21, 2016, *Fiddler on the Roof* grossed \$977,197.82 in ticket sales at the Broadway Theatre, just up the street from where defendant was arrested (*see* Playbill, *Broadway Grosses*, <https://playbill.com/production/gross?production=00000150-aea8-d936-a7fd-eefc72e8000b> [last accessed May 4, 2022]); *but cf.* Movieclips, *Fiddler on the Roof (4/10) Movie CLIP - If I Were a Rich Man (1971) HD*, <https://www.youtube.com/watch?v=D1TC1n91hXU> [last accessed May 4, 2022]).

The legislative history and case law support just this view. In addition to upgrading the severity of fraudulent accosting from a violation to a misdemeanor, the 1965 amendment removed “stationing” from the same list that included accosting (see Penal Law former § 722 [6]; *People v Yonko*, 115 NYS2d 560, 564-566 [NY City Magistrates’ Ct 1952]).¹⁰ Dictionaries from this period defined stationing as “to assign to or set in a station or position,” and “station” as “2: the place or position in which something or someone stands or is assigned to stand or remain”; and “3a: the act or manner of standing” (Webster’s Third New International Dictionary, Unabridged 2229 [Merriam-Webster 1966]). As this history suggests, merely standing in the way of a passerby is not, as the majority concludes, “tantamount to a physical approach” (majority op at 413). Rather, it constitutes stationing—a separate actus reus from accosting. Lower courts have similarly required more than this type of passive behavior to establish that a defendant accosts within the meaning of Penal Law § 165.30 (1). For example, in *People v Tanner*, the court cited a 1984 dictionary definition for accost—“to approach and speak to often in a challenging or aggressive way”—in support of its holding that the accusatory instrument did not sufficiently allege that defendant accosted within the meaning of the statute simply by displaying counterfeit sweatshirts for sale at a table where he was seated (153 Misc 2d 742, 745-746 [Crim Ct, NY County 1992]).¹¹ As the court explained, “the complaint fail[ed] to indicate that [the] defendant approached anyone, called out to potential customers or made any effort to initiate contact with any passersby. Though defendant may have hoped that people would walk over to the table where he was seated, this essentially passive behavior is not accosting” (*id.* at 745 [internal quotation marks omitted]). Similarly, here, the accusatory instrument does not state that defendant made an approach to

10. The majority is correct that the legislature’s removal of the actus reus of “stationing” indicates an intent to limit the scope of the statute to accosting, and that stationing is not synonymous with accosting (see majority op at 413). As discussed, that history supports defining “accost” more narrowly, not so broadly as to encompass the actus reus of “stationing,” as the majority does.

11. *Tanner* relied in part on the criminal jury instruction, which at the time of the decision in 1992 defined “accost” as “to approach and speak to another person without first being spoken to” (153 Misc 2d at 745 [internal quotation marks omitted]). The current criminal jury instruction has removed any definition of accost (see CJI2d[NY] Penal Law § 165.30 [1]), reflecting the obviousness of the meaning of accost to contemporary juries.

any person on the street, that he called out to a potential victim, or that he initiated contact with any passerby. The only differences between the facts of *Tanner* and this case are that defendant Mitchell did not set up a table to display goods for sale and that, rather than relying solely on signage, he verbally invited the general public to act charitably and “Help the Homeless.” The *Tanner* dicta only encompasses calling out to a potential customer, which in the context of the court’s clear statement that “an essential element of [fraudulent accosting] is that the defendant initiate contact with the potential victim in some manner” (153 Misc 2d at 745) suggests the court was of the view that accosting required more than an untargeted verbalization of defendant’s signage. Put another way, defendant Mitchell’s plea to the general public is the same as defendant Tanner’s signage, and without a factual allegation of some aggressive act to insinuate himself into the physical space of a passerby or a specific invitation to a targeted individual, the accusatory instrument against defendant Mitchell—like the complaint in *Tanner*—is defective.

The cases relied on by the majority are factually distinct from the instant appeal, each involving direct contact with a victim. In *People v Bannister* (37 Misc 3d 1229[A], 2012 NY Slip Op 52240[U] [Crim Ct, NY County 2012]), a charge of fraudulent accosting was dismissed where the defendant hailed cabs in the hopes of obtaining tips from travelers while pretending to be an Amtrak worker, but where the accusatory instruments did not allege that defendant approached the victims while doing so (*see also People v Morrison*, 58 Misc 3d 19 [App Term, 1st Dept 2017] [holding same where defendant was impersonating a Port Authority employee]). *People v Mellich* involved a defendant who stood behind a table with signs stating “Animal Rights Lobby” and “Homeless Cats” and asked pedestrians to sign a petition and talked two people into giving money to what they had been misled to believe were genuine charities (4 Misc 3d 1013[A], 2004 NY Slip Op 50869[U], *4 [Crim Ct, NY County 2004]).¹²

The majority’s description of the legislative history and reliance on decisions in the lower courts do not support the conclu-

12. The lower courts have routinely found the element of accosting satisfied in circumstances much narrower than the majority’s approach. For example, *People v Lewis* involved a fake ticket sale in which the accusatory instrument alleged that the defendant offered to sell someone a ticket, received money and the victim’s own ticket in exchange for the defendant’s

(n. cont’d)

sion that the legislature intended “accost” to include statements to the general public on a street corner, without any aggressive act aimed at a potential victim, simply because passersby had to walk around defendant.

IV.

The majority’s decision here is troubling because it expands the definition of accost to include speech and conduct that the legislature did not intend to criminalize. Indeed, a prior version of the statute was struck down as unconstitutionally vague in 1969 because it lacked a mens rea element and did not sufficiently define the prohibited statements and conduct (*see* William C. Donnino, Practice Commentary, McKinney’s Cons Laws of NY, Penal Law § 165.30; *People v Harris*, 64 Misc 2d 510 [App Term, 1st Dept 1969]).¹³ The legislature amended the statute in 1971, the version that exists today, to address those deficiencies (*see* Bill Jacket, Letter from City of NY, Off of Mayor, L 1971, ch 772 at 5). The majority’s construction of the statute to include standing on the street and making statements to the general public as an “accost” of some unknown person who has no contact at all with defendant sweeps too broadly and risks another constitutional challenge to the statute.¹⁴ It is no answer that the mens rea element protects against unlawful prosecution of those not involved in illegal activity; the actus reus element must be assessed and satisfied on its own (*see* Penal Law § 15.10; *cf. e.g. People v Gaworecki*,

ticket, and that the deponent officer recovered four additional forged tickets from the defendant’s hands (*see* 56 Misc 3d 126[A], 2017 NY Slip Op 50800[U], *1 [App Term, 1st Dept 2017], *lv denied* 30 NY3d 951 [2017]).

13. The previous statute provided: “A person is guilty of fraudulent accosting when [that person] accosts [another] person in a public place and, either at that time and place or subsequently in any place, [the person] makes statements to such [other] person of a sort commonly made or used in the perpetration of a known type of confidence game” (Penal Law former § 165.30).

14. This appeal hardly justifies the need for broad definitions to address street swindles, especially when other charges are more appropriate to the conduct as observed by the officer. Defendant told the officer that he was homeless and that he was affiliated with the organization referred to at the table. The officer did not contradict those statements. If defendant was lying about either or both points, but telling the truth that he would keep most of the donations if he successfully swindled victims into giving him money, he could have been arrested for an offense such as attempted petit larceny by false promise (*see* Penal Law §§ 110.00, 155.05 [1], [2] [d]; 155.25). If he was telling the truth, it is hard to see how defendant is the confidence artist targeted by the legislature. Rather, it seems he is a person in a desperate position seeking assistance from his fellow New Yorkers.

37 NY3d 225, 234 [2021] [declining to address causation element of offense where Court “concluded that the evidence presented to the grand jury was legally insufficient to establish the requisite mens rea for second-degree manslaughter or the lesser included offense of criminally negligent homicide”]). Put another way, for purposes of determining whether the accusatory instrument adequately alleged that a defendant accosted a target of a swindle, the factual allegations must describe the defendant’s contact with the intended victim. Here, as recognized by the arraignment court, there are no allegations that defendant approached anyone. The majority ignores this simple fact and collapses the actus reus and mens rea elements when it refers to defendant’s alleged admission rather than the officer’s actual observations (*see* majority op at 415).¹⁵

Unfortunately, homelessness is now a familiar, perennial part of our society, one we have yet to properly address.¹⁶ The

15. The majority fails to explain the source of the alleged admission but it cannot be defendant’s plea, as any statement to the court would be irrelevant to our analysis because defendant could not cure the inadequacy of the accusatory instrument’s factual allegations. And, of course, the accusatory instrument does not allege that defendant confessed to making false statements.

16. In 2016, the Coalition for the Homeless—the court-appointed monitor pursuant to the consent decree in *Callahan v Carey* (Sup Ct, NY County, Aug. 26, 1981, Andrew Tyler, J., index No. 42582/79, available at <https://dev-cfh.pantheonsite.io/wp-content/uploads/2014/08/CallahanConsentDecree.pdf>; *see also Eldredge v Koch*, 98 AD2d 675 [1st Dept 1983])—reported that “the shelter census remain[ed] at near record levels, with 60,400 individuals in shelter each night, including nearly 24,000 children” and approximately 14,700 family households (Coalition for the Homeless, State of the Homeless 2016, *Beyond the Rhetoric: What Will Turn the Tide?* at 3, 11 [Apr. 2016], available at <https://www.coalitionforthehomeless.org/wp-content/uploads/2016/04/SOTH-2016.pdf>). Additionally, New York City surveyed 2,794 homeless people on the streets during their annual nightly count in February 2016 (*see* Press Release, City of New York, Office of the Mayor, 2016 Federally-Mandated Hope Count Finds 12 Percent Decline in Street Homeless on the Night of the Count [Apr. 28, 2016], available at <https://www1.nyc.gov/office-of-the-mayor/news/408-16/2016-federally-mandated-hope-count-finds-12-percent-decline-street-homeless-the-night-the>).

The Coalition for the Homeless estimated that, on each night in December 2021, an average 18,704 homeless single adults and 10,221 homeless families slept in a New York City Department of Homeless Services shelter, with Black and Hispanic populations disproportionately represented (*see* Coalition for the Homeless, State of the Homeless 2022: New York at a Crossroads, at 20-21 [Mar. 2022], available at <https://www.coalitionforthehomeless.org/wp-content/uploads/2022/03/StateofThe-Homeless2022.pdf>). The City counted 2,376 homeless people sleeping on the streets in January 2021 (*see* David

(n. cont’d)

majority's decision does nothing to resolve that problem, instead making it easier to penalize people who are attempting to survive. Recognition that the majority's approach will expand the criminalization of homelessness does not "undermine . . . the laudable goals" of organizations that advocate for homeless people (majority op at 415). We are not free to ignore the impacts of our decisions on our communities because "[c]ourts . . . do not sit or act in a social vacuum" (*Cleburne v Cleburne Living Center, Inc.*, 473 US 432, 466 [1985, Marshall, J., concurring in judgment in part and dissenting in part]).

I dissent.

Chief Judge DiFiore and Judges Cannataro and Troutman concur; Judge Rivera dissents in an opinion, in which Judge Wilson concurs; Judge Singas took no part.

Order affirmed.

Brand, NYC Touts Drop in Street Homelessness, But Advocates Say Count Obscures Extent of Crisis, City Limits [May 20, 2021], <https://citylimits.org/2021/05/20/nyc-touts-drop-in-street-homelessness-but-advocates-say-count-obscures-extent-of-crisis/>).

The Coalition for the Homeless has also noted that the "annual point-in-time estimate of unsheltered New Yorkers . . . is a vast undercount, and no accurate census of this population has ever been achieved" (State of the Homeless 2022 at 10).

[195 NE3d 1, 174 NYS3d 294]

In the Matter of the Claim of THOMAS JOHNSON, Appellant, v
CITY OF NEW YORK, Respondent. WORKERS' COMPENSATION
BOARD, Respondent.

In the Matter of the Claim of JOSEPH D. LIUNI, Appellant, v
GANDER MOUNTAIN et al., Respondents. WORKERS' COMPEN-
SATION BOARD, Respondent.

Argued March 17, 2022; decided April 21, 2022

SUMMARY

APPEAL, in the first above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered February 6, 2020. The Appellate Division affirmed a decision of the Workers' Compensation Board which had ruled that claimant sustained a 30% schedule loss of use of his left leg and a 0% schedule loss of use of his right leg as a result of a February 2006 accident.

APPEAL, in the second above-entitled proceeding, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Third Judicial Department, entered November 12, 2020. The Appellate Division affirmed a decision of the Workers' Compensation Board which had ruled that claimant was entitled to a 5% schedule loss of use of his left arm.

Matter of Johnson v City of New York, 180 AD3d 1134, affirmed.

Matter of Liuni v Gander Mtn., 188 AD3d 1403, reversed.

HEADNOTES

Workers' Compensation — Award — Schedule Loss of Use Awards for Different Injuries to Same Body Member

1. Separate schedule loss of use (SLU) awards for different injuries to the same statutory body "member" are contemplated by Workers' Compensation Law § 15 and, when a claimant proves that the second injury, "considered by itself and not in conjunction with the previous disability" (Workers' Compensation Law § 15 [7]), has caused an increased loss of use, the claimant is entitled to an SLU award commensurate with that increased loss of use. Workers' Compensation Law § 15 (7) provides that a claimant may receive more than one SLU award in connection with successive injuries to the same statutory body member enumerated in section 15 (3). But section 15 (7) also imposes limits on a subsequent award. The statute mandates that the wage rate used in calculating the subsequent SLU award must measure any

diminished earning capacity due to the previous disability and that generally the award should not exceed the benefits allowed for the later work-related injury considered by itself. These statutory requirements insure that the subsequent award is based solely on the diminished earning capacity attributable to the later injury rather than from all disabilities. This is in keeping with the purpose of an SLU award, which is to compensate for loss of earning power that results from the diminished use of a statutorily enumerated member. Thus, the limitations set forth in Workers' Compensation Law § 15 (7), taken together, mandate that awards for successive injuries to subparts of the members set forth in section 15 (3) be limited to the loss of earning power caused by the second injury.

Workers' Compensation — Award — Schedule Loss of Use Award Reduced by Prior Award

2. The decision of respondent Workers' Compensation Board to reduce claimant's schedule loss of use (SLU) award under Workers' Compensation Law § 15 for injuries to his knees by a prior SLU award for his legs as a result of injuries to his hips was not irrational, where claimant failed to adduce evidence sufficient to permit the Board to determine the degree of impairment to his legs caused solely by his knee injury and, thus, the degree of any increased loss of use to that member due to that particular injury. Claimant had the opportunity to present evidence regarding the degree of loss of use attributable solely to the accident in question. Claimant's expert, whom the Workers' Compensation Law Judge credited, declined to offer an opinion on the question of whether the injury to claimant's knees caused a further loss of use of his legs in addition to the loss that was addressed in the first SLU award. Despite the initial conclusion of respondent's orthopedic consultant that there was no further injury to the hips as a result of the knee injuries, claimant's expert testified that the knee and hip injuries were not isolated from one another, leaving it unclear whether any or how much loss of use of claimant's legs was solely related to his knee injuries. Respondent was entitled to credit that testimony.

Workers' Compensation — Award — Schedule Loss of Use Award — Impact of Award for Prior Injury

3. In an action challenging the decision of respondent Workers' Compensation Board concluding that the schedule loss of use (SLU) awards for claimant's successive work-related injuries to his left elbow and left shoulder were encompassed by awards for the loss of use of the arm associated with both injuries, reversal was warranted to permit the Board to consider the extent to which, if any, the evidence indicated that claimant's second injury resulted in an increased loss of use of his left arm. Claimant offered evidence that the injuries to his elbow and shoulder were separate pathologies that each individually caused a particular amount of loss of use of his arm. His expert testified that claimant's later injury constricted the range of motion in his shoulder by 27.5% and that this loss of use was based solely on findings related to the shoulder. The prior 22.5% loss of use of the arm was based solely on findings at the elbow and the expert testified that those impairments "shouldn't be subsumed or combined" in determining the loss of use because the impairments were "completely separate" and "not in any way related." Overall, the expert explained, claimant had a 50% loss of use of his arm, with 27.5% of that loss attributable solely to the later injury. Although claimant's employer attacked the credibility of the expert's testimony, stating that it was not based on an examination of the separate sites but a simple assertion that the two injuries were separate, credibility determinations are within the sole province of respondent.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Workers' Compensation §§ 342, 368, 383, 385.
McKINNEY'S, Workers' Compensation Law § 15 (3), (7).
NY JUR 2d Workers' Compensation §§ 858–860, 919–922.

ANNOTATION REFERENCE

See ALR Index under Workers' Compensation.

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POINTS OF COUNSEL

Grey & Grey, L.L.P., Farmingdale (*Robert E. Grey* of counsel), for appellant in the first above-entitled proceeding. The Court below erred as a matter of law by allowing the Workers' Compensation Board to deduct a "schedule loss of use" award resulting from an unrelated injury to one part of a limb from a schedule loss of use award in a later case involving injury to a different part of that limb. (*Matter of Mancini v Office of Children & Family Servs.*, 32 NY3d 521; *Matter of Zimmerman v Akron Falls Park—Erie County*, 29 NY2d 815; *Matter of Bazzano v Ryan & Sons*, 62 AD2d 260; *Matter of Pellegrino v Textile Prints Corp.*, 81 AD2d 723; *Matter of Deck v Dorr*, 150 AD3d 1597; *Matter of Bell v Glens Falls Ready Mix Co., Inc.*, 169 AD3d 1145; *Matter of Charles A. Field Delivery Serv. [Roberts]*, 66 NY2d 516; *Matter of Hroncich v Con Edison*, 21 NY3d 636; *Matter of Post v Burger & Gohlke*, 216 NY 544; *Matter of Johannesen v New York City Dept. of Hous. Preserv. & Dev.*, 84 NY2d 129.)

Sylvia O. Hinds-Radix, Corporation Counsel of the City of New York, New York City (*Daniel Matza-Brown, Richard Dearing* and *Claude S. Platton* of counsel), for City of New York, respondent in the first above-entitled proceeding. The Workers' Compensation Board appropriately compensated Thomas Johnson for the loss of use not already covered by his prior award. (*People v Page*, 35 NY3d 199; *Matter of Zimmerman v Akron Falls Park—Erie County*, 29 NY2d 815; *Matter of Deck v Dorr*, 150 AD3d 1597; *Matter of Pellegrino v Textile Prints Corp.*,

81 AD2d 723; *Matter of Bazzano v Ryan & Sons*, 62 AD2d 260; *Matter of Charles A. Field Delivery Serv. [Roberts]*, 66 NY2d 516; *Matter of Johannesen v New York City Dept. of Hous. Preserv. & Dev.*, 84 NY2d 129; *Matter of Grover v State Ins. Fund*, 33 NY3d 971; *Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208; *Matter of Poverelli v Nabisco/Kraft Co.*, 123 AD3d 1309.)

Letitia James, Attorney General, Albany (Brian D. Ginsberg, Patrick A. Woods, Barbara D. Underwood and Andrea Oser of counsel), for Workers' Compensation Board, respondent in the first above-entitled proceeding. Workers' Compensation Law § 15 (3) requires that new schedule loss of use awards account for prior schedule loss of use awards for injuries to the same statutorily enumerated body part. (*Matter of Marhoffer v Marhoffer*, 220 NY 543; *Matter of Landgrebe v County of Westchester*, 57 NY2d 1; *Matter of State Indus. Commn. v Newman*, 222 NY 363; *Matter of Schurick v Bayer Co.*, 272 NY 217; *Matter of Gonzalez v Annucci*, 32 NY3d 461; *El-Dehdan v El-Dehdan*, 26 NY3d 19; *Pajak v Pajak*, 56 NY2d 394; *Matter of Hoffman v Chatham Elec. Light, Heat & Power Co.*, 249 NY 433; *Matter of Gefers v New York Window Cleaning Co.*, 224 App Div 792; *Matter of Zimmerman v Akron Falls Park—Erie County*, 29 NY2d 815.)

Bronk & Somers, P.C., Rochester (Daniel A. Bronk of counsel), for Injured Workers' Bar Association, amicus curiae in the first above-entitled proceeding. I. The Appellate Division's reduction of the schedule loss of use awards attributable to permanent injuries to Thomas Johnson's knees for distinct injuries to Mr. Johnson's hips is without statutory or regulatory authority. (*Matter of Burns v Robert Miller Constr.*, 55 NY2d 501; *Matter of Mancini v Office of Children & Family Servs.*, 32 NY3d 521.) II. The Appellate Division's reduction of the schedule loss of use awards attributable to permanent injuries to Thomas Johnson's knees for distinct injuries to Mr. Johnson's hips is contrary to established case precedent. (*Matter of Zimmerman v Akron Falls Park—Erie County*, 29 NY2d 815; *Matter of Bazzano v Ryan & Sons*, 62 AD2d 260; *Matter of Pellegrino v Textile Prints Corp.*, 81 AD2d 723.) III. The Appellate Division's reduction of the schedule loss of use awards attributable to permanent injuries to Thomas Johnson's knees for distinct injuries to Mr. Johnson's hips is contrary to the Workers' Compensation Board's permanency guidelines. IV. The Appellate Division's determination to reduce the schedule

loss of use awards attributable to permanent injuries to Thomas Johnson's knees for separate and distinct injuries to Mr. Johnson's hips is unfair because it creates disparate results between workers with similar injuries. (*Matter of Genduso v New York City Dept. of Educ.*, 164 AD3d 1509.) V. The Appellate Division's failure to take judicial notice of the prior schedule loss of use award for a different joint in the same member to award the cumulative schedule loss of use of both injuries ignores the Workers' Compensation Board's practice of taking judicial notice of prior schedule loss of awards in many other circumstances for the benefit of the carrier. (*Matter of Scally v Ravena Coeymans Selkirk Cent. School Dist.*, 31 AD3d 836.)

Colleran, O'Hara & Mills L.L.P., Woodbury (*Particia L. Bolland* of counsel), for New York State AFL-CIO, amicus curiae in the first above-entitled proceeding. The Appellate Division erred as a matter of law by upholding the Workers' Compensation Board's new limitations on schedule loss of use awards that have no basis in statute, regulation, or guideline. (*Matter of Taher v Yiota Taxi, Inc.*, 162 AD3d 1288; *Matter of Arias v City of New York*, 182 AD3d 170; *Matter of Fernandez v New York Univ. Benefits*, 180 AD3d 1305; *Matter of Saputo v Newsday, LLC*, 180 AD3d 1303; *Matter of Estate of Youngjohn v Berry Plastics Corp.*, 36 NY3d 595; *Matter of Semrau v Coca-Cola Refreshments USA Inc.*, 189 AD3d 1873; *Matter of Genduso v New York City Dept. of Educ.*, 164 AD3d 1509.)

Kirk & Teff, LLP, Kingston (*Justin S. Teff* of counsel), for appellant in the second above-entitled proceeding. I. The Workers' Compensation Board's decision that the claimant has only a five percent schedule loss of use of the left arm payable in this case is not supported by substantial evidence. (*Samiento v World Yacht Inc.*, 10 NY3d 70; *Matter of Raynor v Landmark Chrysler*, 18 NY3d 48; *Town of Aurora v Village of E. Aurora*, 32 NY3d 366; *Matter of New York County Lawyers' Assn. v Bloomberg*, 19 NY3d 712; *Matter of Long v Adirondack Park Agency*, 76 NY2d 416; *Matter of Belmonte v Snashall*, 2 NY3d 560; *Matter of Gruber [New York City Dept. of Personnel—Sweeney]*, 89 NY2d 225; *Ives v South Buffalo Ry. Co.*, 201 NY 271; *Matter of Hoffman v Chatham Elec. Light, Heat & Power Co.*, 249 NY 433.) II. The Workers' Compensation Board's application of the *Genduso* principle (*Matter of Genduso v New York City Dept. of Educ.*, 164 AD3d 1509 [3d Dept 2018]) in unwavering black-letter form produces unsound results which are contrary to the humanitarian purpose and intended

construction of New York's Workers' Compensation Law. (*Matter of Smith v Tompkins County Courthouse*, 60 NY2d 939; *Matter of Johannesen v New York City Dept. of Hous. Preserv. & Dev.*, 84 NY2d 129.)

Walsh and Hacker, Albany (Jeffrey M. Fox and Mariah W. Dolce of counsel), for Gander Mountain and others, respondents in the second above-entitled proceeding. The Third Department properly affirmed the Workers' Compensation Board's decision to offset the schedule award for partial loss of use of the left arm by the compensation previously awarded for partial loss of use of the same arm. (*Samiento v World Yacht Inc.*, 10 NY3d 70; *Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *Town of Aurora v Village of E. Aurora*, 32 NY3d 366; *Pajak v Pajak*, 56 NY2d 394; *Matter of LaCroix v Syracuse Exec. Air Serv., Inc.*, 8 NY3d 348; *Matter of Mancini v Office of Children & Family Servs.*, 32 NY3d 521; *Matter of Raynor v Landmark Chrysler*, 18 NY3d 48; *People v Bing*, 76 NY2d 331.)

Letitia James, Attorney General, Albany (Brian D. Ginsberg, Barbara D. Underwood and Andrea Oser of counsel), for New York State Workers' Compensation Board, respondent in the second above-entitled proceeding. I. The Third Department's decision reflects an incorrect understanding of the Workers' Compensation Law regime for schedule loss of use awards. (*Matter of Estate of Youngjohn v Berry Plastics Corp.*, 36 NY3d 595; *Matter of Marhoffer v Marhoffer*, 220 NY 543; *Matter of Landgrebe v County of Westchester*, 57 NY2d 1; *Matter of Kigin v State of N.Y. Workers' Compensation Bd.*, 24 NY3d 459; *Matter of Malacarne v City of Yonkers Parking Auth.*, 41 NY2d 189.) II. The proper remedy is vacatur and remittal for further Workers' Compensation Board proceedings. (*Akpan v Koch*, 75 NY2d 561.)

OPINION OF THE COURT

CANNATARO, J.

The common issue in these appeals is whether, under Workers' Compensation Law § 15, a claimant's schedule loss of use (SLU) award must always be reduced by the percentage loss determined for a prior SLU award to a different subpart of the same body "member" enumerated in section 15. We hold that separate SLU awards for different injuries to the same statutory member are contemplated by section 15 and, when a

claimant proves that the second injury, “considered by itself and not in conjunction with the previous disability” (Workers’ Compensation Law § 15 [7]), has caused an increased loss of use, the claimant is entitled to an SLU award commensurate with that increased loss of use.

I.

Matter of Johnson v City of New York

Claimant Thomas Johnson, a patient care technician, suffered work-related injuries to both of his knees in 2006 while employed by respondent City of New York (the City). His claim for workers’ compensation benefits was established but the SLU award for the injury to his knees was not made until after he sustained a second injury and an SLU award had been made for the subsequent injury. In the second workplace accident, which occurred in 2009, Johnson injured both of his hips. Johnson was awarded, as relevant here, a 50% SLU of his left leg and 52.50% SLU of his right leg as a result of the 2009 injuries.

Johnson thereafter reached maximum medical improvement with regard to the 2006 knee injuries. He submitted medical evidence regarding the permanency of his injuries, including a report from his expert, who was also his treating physician, opining that Johnson sustained an 80% SLU of his left leg and a 40% SLU of his right leg. Johnson’s expert later testified that the knee injuries did not exist in isolation from the hip injuries. Although Johnson’s expert acknowledged that it was fair to say, under the guidelines, that Johnson had suffered a 130% loss of use of his left leg and 92.50% loss of use of his right due leg to the separate injuries, the expert refused to opine as to whether those numbers translated to the actual loss of use for the legs.

The Workers’ Compensation Law Judge (WCLJ) ultimately credited the opinion of Johnson’s expert on the degree of impairment caused by the knee injuries, determining that Johnson had an 80% loss of use of his left leg and a 40% loss of use of his right leg. The WCLJ concluded, however, that the then-recent decision in *Matter of Genduso v New York City Dept. of Educ.* (164 AD3d 1509 [3d Dept 2018]) required that any SLU awards based on the knee injuries be offset by the previously awarded SLU for each leg in connection with his hip injuries. The WCLJ reduced the 80% SLU of the left leg by

50% to account for the prior SLU award for that leg and reduced the 40% SLU of the right leg by the prior 52.50% SLU awarded for that leg, leaving Johnson with an “additional” SLU award of 30% for the left leg and 0% for the right leg.

The Workers’ Compensation Board affirmed, concluding that Johnson’s injuries to the hips and knees were both encompassed “by a leg schedule,” such that the second SLU award for the legs must be reduced by his prior SLU award for the legs, regardless of which subpart of the leg was injured. Upon Johnson’s appeal, the Appellate Division affirmed (180 AD3d 1134 [3d Dept 2020]). The Court reasoned that separate SLU awards for a member’s subparts are not authorized by the statute and would amount to a monetary windfall that would compensate claimants beyond the degree of impairment actually sustained to the statutorily enumerated member (*see id.* at 1136-1137). This Court granted Johnson’s motion for leave to appeal (35 NY3d 915 [2020]).

Matter of Liuni v Gander Mtn.

Claimant Joseph D. Liuni also sustained successive work-related injuries to different subparts of the same body member enumerated in Workers’ Compensation Law § 15 (3). Liuni first injured his left elbow in 2007, for which he received an SLU award of 22.5% for his left arm. After a 2014 accident, Liuni developed a consequential injury to his left shoulder. His expert, a consulting physician, opined that Liuni had a 20% SLU of his right arm and a 27.5% SLU of his left arm due to the 2014 injury. The expert opined that, in light of the previous 22.5% SLU award for his left arm, “Liuni warrants a total of 50% [SLU] of the left arm associated with both of his injuries,” with 22.25% attributable to the 2007 injury and 27.5% related to his 2014 injury. At his subsequent deposition, the expert elaborated that the impairments to Liuni’s left arm “shouldn’t be subsumed or combined,” because “they were separate both in terms of dates of injury and in terms of findings on physical examination,” and that the two injuries were “completely separate pathologies” that were “not in any way related.”

Consistent with the expert’s testimony, the WCLJ determined that Liuni had a 20% SLU of the right arm and an “overall 50% SLU of the left arm, which is an increase of 27.5% overall.” The Board, however, modified the WCLJ’s decision, concluding that Liuni had a 5% SLU of the left arm, for an overall left arm SLU of 27.5%. Although the Board credited the

opinion of Liuni’s expert that the second accident resulted in a 27.5% SLU of his left arm, it concluded that the two SLU awards for the left arm could not be treated as separate under *Genduso*.¹ The Appellate Division affirmed (188 AD3d 1403 [3d Dept 2020]). The Court reasoned, as in *Johnson*, that separate SLU awards for a member’s subparts are not authorized—i.e., the elbow and shoulder are not enumerated as separate body members in the statute but encompassed by the arm—and concluded that the SLU awards arising from the two injuries were both encompassed by awards for the loss of use of the left arm (*see id.* at 1404-1405). This Court granted Liuni’s motion for leave to appeal (36 NY3d 908 [2021]).

II.

The Workers’ Compensation Law establishes four classifications of disability: (1) permanent total, (2) temporary total, (3) permanent partial, and (4) temporary partial (*see* Workers’ Compensation Law § 15 [1]-[3], [5]; *Matter of LaCroix v Syracuse Exec. Air Serv., Inc.*, 8 NY3d 348, 353 [2007]). “[T]he claimant generally has the burden in the first instance of proving facts sufficient to support [a] claim for compensation” for the disability (*Matter of Kigin v State of N.Y. Workers’ Compensation Bd.*, 24 NY3d 459, 468 [2014]). Claimants who suffer a permanent partial disability, like Johnson and Liuni, “typically qualif[y] for one of two broad categories of primary award under Workers’ Compensation Law § 15 (3)—referred to colloquially as a ‘schedule loss of use’ award or a ‘non-schedule’ benefit—depending on the nature of the injury” (*Matter of Mancini v Office of Children & Family Servs.*, 32 NY3d 521, 525 [2018]). SLU awards are “compensation allowed for specified permanent partial disabilities in which the loss or the loss of use of a member of the body listed in [Workers’ Compensation Law § 15 (3)] has occurred” (*Mancini*, 32 NY3d at 526 n [internal quotation marks and citation omitted]; *see Matter of*

1. Contrary to the representations of the dissent, Liuni acknowledges in his brief before us that the Court in *Genduso* “likely reached the proper result,” and the Attorney General, representing the Board, would have equal reason for surprise at the dissent’s claim that she contends the affirmation of the Board’s determination in *Genduso* was wrongly decided. In any event, Liuni correctly explains *Genduso* is distinguishable from his case because there was a finding in *Genduso* that the impairments to the claimant’s knee were “inclusive” of impairments covered by prior SLU awards (*see Employer: NYC Dept. Educ.*, 2017 WL 667430, *2, 2017 NY Wrk Comp LEXIS 3177, *4 [WCB No. G101 3459, Feb. 10, 2017]). Given that distinction, our decision herein should not be interpreted as overruling the Appellate Division decision in *Genduso* sub silentio.

Estate of Youngjohn v Berry Plastics Corp., 36 NY3d 595, 599 [2021]). For SLU awards, Workers' Compensation Law § 15 (3) "‘assigns—as by a “schedule”—a fixed number of lost weeks’ compensation according to the bodily member [or sensory organ] injured’" (*Mancini*, 32 NY3d at 526, quoting *LaCroix*, 8 NY3d at 353).² An SLU award is calculated by multiplying a percentage of the employee's weekly wages by the number of weeks specific to the enumerated member that is injured (*see Youngjohn*, 36 NY3d at 599-600). The purpose of an SLU award is to compensate for loss of earning power, rather than the time that an employee actually loses from work or the injury itself (*see id.* at 600; *Matter of Landgrebe v County of Westchester*, 57 NY2d 1, 6 [1982]).

The members currently listed in the statutory schedule include the arm and leg, but knees, hips, elbows and shoulders are not separately listed (*see Workers' Compensation Law* § 15 [3]). It is undisputed that impairments to those subparts of the arm and leg are encompassed by SLU awards for the loss of use of the arm or leg. Workers' Compensation Law § 15 (3) (r) provides that compensation for total loss of use is the same as for loss of a member, and section 15 (3) (s) provides that compensation for "[p]artial loss or partial loss of use" of a member is based on the "proportionate loss or loss of use of the member." As relevant here, Workers' Compensation Law § 15 (3) (u) also provides that

“[i]n any case in which there shall be a loss or loss of use of more than one member or parts of more than one member set forth in . . . this subdivision, but not amounting to permanent total disability, the board shall award compensation for the loss or loss of use of each such member or part thereof.”³

In determining the extent to which SLU awards for successive injuries to the same enumerated member must be offset,

2. For non-schedule, permanent partial disabilities that are not caused by injury to the body members listed in Workers' Compensation Law § 15 (3), “[p]aragraph (w) . . . specifies the number of weeks the worker will receive [a] weekly sum, based on the percentage of lost wage-earning capacity. For example, the number of weeks that benefits may be received is capped at 525 where the loss of earnings is greater than 95%” (*Mancini*, 32 NY3d at 526; *see Workers' Compensation Law* § 15 [3] [w] [il]).

3. To the extent that claimants argue that Workers' Compensation Law § 15 (3) (u), in itself, allows separate SLU awards for injuries to different unenumerated subparts of an enumerated body member, they are incorrect. Section 15 (3) (u) permits separate awards for loss of use of more than one

(n. cont'd)

we are presented with a question of pure statutory interpretation, the starting point for which “must always be the [statutory] language itself, giving effect to the plain meaning thereof” (*Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]). Inasmuch as the provisions of Workers’ Compensation Law § 15 constitute “an integrated statutory scheme,” they “must be considered as a whole, with each component viewed in relation to the others” (*Mancini*, 32 NY3d at 525; see McKinney’s Cons Laws of NY, Book 1, Statutes § 97, Comment at 213-214, 216 [1971 ed] [“(W)ords, phrases, and sentences of a statutory section should be interpreted with reference to the scheme of the entire section . . . and the meaning of a single section may not be determined by splitting it up into several parts”]).

[1] Workers’ Compensation Law § 15 (3) plainly contemplates SLU awards based on the loss of use of the relevant “member,” not awards based on injuries to the various subparts of such “members.” At the same time, section 15 also expressly provides that claimants may receive additional awards, subject to certain limitations, if more than one workplace accident occurs. In particular, Workers’ Compensation Law § 15 (3) must be read in the context of section 15 (7), which governs in cases, such as these, involving successive awards for separate injuries to the same member. Workers’ Compensation Law § 15 (7) states:

“Previous disability. The fact that an employee has suffered previous disability or received compensation therefor shall not preclude [the employee] from compensation for a later injury nor preclude compensation for death resulting therefrom; but in determining compensation for the later injury or death [the employee’s] average weekly wages shall be such sum as will reasonably represent [the employee’s] earning capacity at the time of the later injury, provided, however, that an employee who is suffering from a previous disability shall not receive compensation for a later injury in excess of the compensation allowed for such injury when considered by itself and not in conjunction with the

member or parts of more than one member, not multiple parts of the same enumerated member. In each of these cases, only one enumerated body member is involved and paragraph (u) is therefore inapplicable by its terms.

previous disability except as hereinafter provided in subdivision eight of this section.”⁴

This Court has interpreted section 15 (7) as

“specify[ing] that (1) a previous disability does not disqualify an employee from receiving compensation benefits for a later work-related injury . . . ; (2) the measure of compensation . . . in this situation is the employee’s earning capacity at the time of the later work-related injury, which would necessarily reflect any diminished earning capacity due to the previous disability; and (3) generally, the employee shall not receive compensation benefits in excess of those allowed for the later work-related injury considered by itself, which insures that the award is based solely on the diminished earning capacity attributable to the later injury rather than from all disabilities” (*Matter of Hroncich v Con Edison*, 21 NY3d 636, 645 [2013]).

Thus, section 15 (7) provides that a claimant may receive more than one SLU award in connection with successive injuries to the same statutory body member enumerated in section 15 (3). But section 15 (7) also imposes limits on a subsequent award. Specifically, the statute mandates that the wage rate used in calculating the subsequent SLU award must measure “any diminished earning capacity due to the previous disability” and that “generally” the award should not exceed the benefits “allowed for the later work-related injury considered by itself” (*Hroncich*, 21 NY3d at 645). These statutory requirements “insure[] that the [subsequent] award is based solely on the diminished earning capacity attributable to the later injury rather than from all disabilities” (*id.*).⁵ This is in keeping with the purpose of an SLU award, which “is to compensate for loss of earning power” that results from the diminished use of a statutorily enumerated member (*LaCroix*, 8 NY3d at 353 [internal quotation marks and citation omit-

4. The parties are in agreement that the provisions of Workers’ Compensation Law § 15 (8) are not at issue here.

5. Contrary to the suggestion of the dissent, nothing in the text of Workers’ Compensation Law § 15 (7)—which more broadly dictates that compensation for an injury shall not be in excess of the compensation allowed for such injury when considered by itself—limits that provision to instances in which employers may otherwise be held liable for permanent total disability. Nor does *Schurick v Bayer Co.* support the dissent’s contention inasmuch as that case did not involve successive SLU awards (272 NY 217, 218 [1936]).

ted]). In short, the limitations set forth in Workers' Compensation Law § 15 (7), taken together, mandate that awards for successive injuries to subparts of the members set forth in section 15 (3) be limited to the loss of earning power caused by the second injury.⁶

Finally, although claimants are correct that this Court's decision in *Matter of Zimmerman v Akron Falls Park—Erie County* (29 NY2d 815 [1971]) is relevant to the issues raised on this appeal, their reading of that case misses the mark. In *Zimmerman*, the claimant received separate SLU awards for a 1924 amputation of his hand, and a 1967 injury to his arm, specifically the shoulder (*Matter of Zimmerman v Akron Falls Park*, 35 AD2d 1030, 1030 [3d Dept 1970]). The Workers' "Compensation Law in effect in 1924 . . . authorized benefits for [the] claimant's injury only for the loss of his hand (Workmen's Compensation Law, § 15, subd. 3, par. o [1924]), and . . . the 1924 award was only for the loss of a hand" (*Zimmerman*, 35 AD2d at 1031 [Herlihy, J., dissenting]).⁷ The 1967 award, in contrast, was for "a 50% [SLU] of the left arm" (*id.* at 1030)—a separately enumerated member (*see* Workers' Compensation Law § 15 [3] [a], [c])—and the claimant was left more severely disabled after the 1967 accident, which caused "a separate and

6. Claimants contend that the directive in Workers' Compensation Law § 15 (7) that compensation may not be awarded in excess of that allowed "for such injury when considered by itself and not in conjunction with the previous disability" is not a limitation on successive awards. That contention cannot be reconciled with either the express language on which they rely or with the requirement in subdivision (7) that compensation for an additional injury must take into account any prior loss of earning power.

7. In 1924, former Workmen's Compensation Law § 15 (3) (o) provided:

"Amputated arm or leg. Compensation for an arm or a leg, if amputated at or above the elbow or the knee, shall be the same as for loss of the arm or leg; but, if amputated between the elbow and the wrist or the knee and the ankle, shall be the same as for loss of a hand or foot."

This Court concluded that substantial evidence supported the Board's determination that the claimant in *Zimmerman* suffered a "50% loss of use of his arm attributable solely to the 1967 accident . . . in view of the restricted motion of the left shoulder and in spite of the prior left *forearm amputation*" (29 NY2d at 817 [internal quotation marks omitted and emphasis added]). The Appellate Division noted that, for the amputation, the "claimant was awarded a schedule loss of 80% of his left arm for loss of his left hand and forearm six inches below the elbow" (35 AD2d at 1030). We note the Board's current Impairment Guidelines similarly provide that "[a]mputation at the wrist equals 100% loss of use of the hand (80% loss of use of the arm)" (*see* Workers' Compensation Guidelines for Determining Impairment § 3.6 at 25 [1st ed, Nov. 22, 2017]).

distinct injury” (*Zimmerman*, 35 AD2d at 1031 [Herlihy, J., dissenting]).

This Court held that it was not necessary to reduce the 1967 award for the injury to the claimant’s left arm by the 1924 award for his forearm amputation because the “[c]laimant’s 1924 accident did not affect his left shoulder which was injured in the 1967 accident causing the 50% loss of use of the left arm” (29 NY2d at 817 [internal quotation marks and citation omitted]). In essence, offset was unnecessary because there was evidence that the amputation addressed in Workers’ Compensation Law § 15 (3) (o) did not affect the claimant’s shoulder, which was addressed in the separate paragraph (a) of section 15 (3). Specifically, “[t]here was substantial medical evidence that claimant suffered a 50% loss of use of his arm attributable solely to the 1967 accident” (*id.*). *Zimmerman* therefore does not provide support for claimants’ argument that SLU awards for successive injuries to different subparts of the same enumerated body member may never be offset. Rather, it establishes that offset is not required when the claimant demonstrates that a subsequent injury increased the loss of use of a body member beyond that resulting from the prior injury.

III.

Here, each claimant had the opportunity to present evidence regarding the degree of loss of use attributable solely to the accident in question. Because Liuni submitted evidence regarding the loss of use of his left arm that was attributable solely to the injury to his shoulder and demonstrating that the second injury resulted in a greater degree of loss of use of the body member in question, reversal and remittal to the Board to make an SLU award in light of that evidence is warranted. Because Johnson did not submit any such evidence, the Appellate Division order in his case must be affirmed.

[2] Johnson’s expert, whom the WCLJ credited, declined to offer an opinion on the question of whether the injury to Johnson’s knees caused a further loss of use of his legs in addition to the loss that was addressed in the first SLU award. In fact, despite the initial conclusion of the City’s orthopedic consultant that there was no further injury to the hips as a result of the knee injuries, Johnson’s expert testified that the knee and hip injuries were not isolated from one another, leaving it unclear whether any or how much loss of use of Johnson’s legs

was solely related to his knee injuries. The Board was entitled to credit that testimony.⁸

[3] In contrast, Liuni *did* offer evidence that the injuries to his elbow and shoulder were separate pathologies that each individually caused a particular amount of loss of use of his arm. Specifically, his expert testified that Liuni's later injury constricted the range of motion in his shoulder by 27.5% and that this loss of use was based solely on findings related to shoulder. The prior 22.5% loss of use of the arm was based solely on findings at the elbow and the expert testified that those impairments "shouldn't be subsumed or combined" in determining the loss of use because the impairments were "completely separate" and "not in any way related." Overall, the expert explained, claimant had a 50% loss of use of his arm, with 27.5% of that loss attributable solely to the later injury. Although Liuni's employer attacked the credibility of the expert's testimony, stating that it was not based on an examination of the separate sites but a simple assertion that the two injuries were separate, credibility determinations are within the sole province of the Board (*see Matter of Axel v Duffy-Mott Co.*, 47 NY2d 1, 8 [1979]).

IV.

In sum, in *Johnson*, the claimant failed to adduce evidence sufficient to permit the Board to determine the degree of impairment to his legs caused solely by his knee injury and, thus, the degree of any increased loss of use to that member due to that particular injury. Therefore, the Board's decision to reduce the SLU awarded to Johnson for his knees by the prior SLU award for his legs was not irrational. In *Liuni*, however, reversal is warranted—as the Board and City, as employer, concede—to permit the Board to consider the extent to which, if any, the evidence indicated that claimant's second injury resulted in an increased loss of use of his left arm.

Accordingly, in *Johnson*, the order of the Appellate Division should be affirmed, with costs. In *Liuni*, the order should be

8. Contrary to Johnson's argument, the fact that the Board's guidelines for determining impairment provide for separate assessment of the knee and hip joints (*see* New York State Guidelines for Determining Permanent Impairment and Loss of Wage Earning Capacity at 25-26 [2012]) does not overcome Johnson's failure to meet his burden of demonstrating entitlement to compensation (*see Kigin*, 24 NY3d at 468), particularly given that the statute does not separately enumerate the hips and knees.

reversed, with costs, and the matter remitted to the Appellate Division, Third Department, with directions to remand to the Workers' Compensation Board for further proceedings in accordance with this opinion.

WILSON, J. (dissenting). I agree that a reversal is required in *Liuni* and disagree with the affirmance in *Johnson*. In short, the proper result in both cases should be to expressly disavow the legal test set forth in *Matter of Genduso v New York City Dept. of Educ.* (164 AD3d 1509 [3d Dept 2018]), on which the Workers' Compensation Board based both decisions appealed here; set out the correct legal standard; and remit to the Board to determine the awards under the correct legal standard. Instead, the majority: (i) sub silentio overrules *Genduso*; (ii) affirms the denial of any award to Mr. Johnson for the work-related injury he suffered—even though his employer conceded that he was entitled to an award for that injury; and (iii) sets out, in what is pure dicta—wholly unnecessary to its holding in either case—an erroneous interpretation of *Matter of Zimmerman v Akron Falls Park—Erie County* (29 NY2d 815 [1971]).

I.

The Appellate Division's central error in *Johnson* and *Liuni* was the Board's reversal of the awards to Messrs. Liuni and Johnson based on the controlling and erroneous legal standard set out in *Genduso*. In *Genduso*, the claimant had sustained two prior work-related injuries to his right leg: a 1997 injury to his right ankle and right knee, for which he was awarded a 20% schedule loss of use (SLU) of the right leg, and a 1999 injury to his right knee, for which he was awarded a 12.5% SLU of the right leg attributable to the second injury (164 AD3d at 1509). At issue was the proper SLU amount for a third work-related injury to his right knee sustained in 2013 (*id.*). The WCLJ credited the testimony of the claimant's expert and awarded claimant a 40% SLU of the right leg in accordance with that testimony (*id.*). The WCLJ, however, then proceeded to deduct the previous 20% and 12.5% SLU awards and ultimately awarded claimant an award reflecting a 7.5% SLU of the right leg attributable to the 2013 injury, and the Board affirmed (*id.*).

The Appellate Division also affirmed, reasoning that Workers' Compensation Law § 15 (3) did not "list[] the ankle or the knee as body parts lending themselves to separate SLU

awards” but rather “impairments to these extremities are encompassed by awards for the loss of use of the leg” and thus “[i]nasmuch as the 20% SLU award granted with respect to claimant’s 1997 injury was for the loss of use of his right leg, it was not improper for the Board to deduct it from the 40% SLU award that it found applicable to claimant’s 2013 injury in arriving at the final SLU award of 7.5%” (*id.* at 1510).

Here, the Board, constrained by *Genduso*, required the deduction of the percentage loss from each claimant’s prior award from his second award. In Mr. Liuni’s case, the Board held “that *Matter of Genduso* applies to the instant case,” and therefore deducted the loss of use determined for Mr. Liuni’s first workplace injury from the loss of use determined in his second. In Mr. Johnson’s case, the Board held “that *Genduso* is on point with the exact issue in the present case . . . [and therefore] the claimant’s currently awarded schedule losses of use must be reduced by the prior schedule losses of use.”

The Attorney General, representing the Board, contends *Genduso* was wrongly decided (*see* oral argument of Brian D. Ginsberg, Assistant Solicitor General, of counsel for respondent Workers’ Compensation Board in *Matter of Johnson v City of New York*, No. 29, and *Matter of Liuni v Gander Mtn.*, No. 30, at 19:58 [Mar. 17, 2022], available at https://www.youtube.com/watch?v=OC0J_Fb1Sco&t=1198s [“Again, we’re asking for a new legal rule. No question about that. . . . I think we all agree that in *Liuni*, there would have to be a vacate and remit to the Board to be properly instructed to apply these case-by-case rules that I just set forth as opposed to the categorical rule of *Genduso*”]). Mr. Johnson contends *Genduso* was wrongly decided. Mr. Liuni politely offers that although the Third Department in *Genduso* “likely reached the proper result” in that case, *Genduso*’s language and reasoning has “fashioned a new black-letter rule that injuries to different joints within a single extremity may never be separately compensated as a matter of law,” which has “produce[d] unsound results which are contrary to the humanitarian purpose and intended construction of New York’s Workers’ Compensation” (*see* brief for appellant at 19, 23 [May 13, 2021], available at https://www.nycourts.gov/ctapps/courtpass/Public_search.aspx [enter “Liuni” for “Party Name”; click “Select” next to “Matter of Liuni v Gander Mountain”; click “Select” for file “LiunivGanderMountain-app-Liuni-brf”]; *see also id.* at 17 [“*Genduso* was itself a fact-specific decision, and the notion of

arbitrarily subsuming one loss of use within another in every case of multiple joint injuries actually represents a misapprehension of the Board's determination"]. In holding that Workers' Compensation Law § 15 allows for separate SLU awards for distinct injuries to the same statutory member, the majority has agreed, overruling *Genduso* without expressly saying so.¹ I agree with the majority that *Genduso*'s automatic deduction of a prior SLU award from a subsequent SLU award for an injury to the same enumerated body member has no basis in the text of Workers' Compensation Law § 15 (7). When, as here, an agency has issued a decision under an incorrect legal standard, our job is to correct the legal standard and remit to the agency for determination under the correct legal standard (see e.g. *Matter of Meyer v McGuire*, 64 NY2d 1152 [1985]). Both Mr. Liuni's award and Mr. Johnson's award expressly rested on an incorrect legal standard. The majority remits Mr. Liuni's award for the Board to redetermine, but does not do so for Mr. Johnson's, choosing instead to redetermine it here.² We should not do so.

II.

Second, given the majority's disposition of these appeals, its discussion of *Matter of Zimmerman v Akron Falls Park—Erie County* (29 NY2d 815 [1971]) is dicta; calling its discussion

1. The majority notes that *Genduso* constrained the awards for Mr. Johnson and Mr. Liuni, because *Genduso* held that "separate SLU awards for a member's subparts are not authorized" (majority op at 438, 439). The majority later holds, without mentioning *Genduso*, that "section 15 also expressly provides that claimants may receive additional awards, subject to certain limitations, if more than one workplace accident occurs" (*id.* at 441). Our colleagues in the Appellate Division are not so thin-skinned that they need this degree of sugarcoating, and litigants would be served by a forthright statement from our Court.

2. It is hardly clear that Mr. Johnson's expert, Dr. Long, failed to give an opinion based solely on the loss of use caused by Mr. Johnson's knee injuries—the basis on which the majority denies Mr. Johnson recovery. Although Dr. Long acknowledged that several of Mr. Johnson's ailments interacted, he also testified: "40 percent is the knee but it's affecting the other joints"; Mr. Johnson's hip ailment "does not affect my opinion of his knees"; "I'm providing the schedule loss of use for the extremity under examination today"; and "I've been asked a very specific issue related to a very specific joint and I'm providing you the best of my ability to answer that." Why we would take it on ourselves to make a factual determination that Dr. Long's testimony was not isolated to the knees—particularly when the WCLJ found that it was but reversed the award solely because of *Genduso*—is very hard to square with our consistent pronouncements that we are powerless to resolve disputed factual issues.

“relevant” (majority op at 443) does not make it so. The majority’s decisions here would be no different if *Zimmerman* did not exist. In *Zimmerman*, the claimant sustained an injury in 1924 that resulted in a “left forearm amputation” for which he had received an SLU award for 80% loss of use of the left arm (29 NY2d at 817). Later, in 1967, the claimant injured his left shoulder, and our Court affirmed an additional 50% SLU award for “loss of use of his [left] arm attributable solely to the 1967 accident” (*id.*). There is no question that *Zimmerman* received awards totaling 130% for workplace injuries to his left arm. The sum of the awards for Mr. Johnson’s successive injuries to his left leg exceeded 100%, and the parties in *Johnson* dispute whether *Zimmerman* permits an award of greater than 100%. However, that issue is absent in Mr. Luini’s case, because the sum of his successive injuries totaled only 50%. Thus, in Mr. Liuni’s case, the circumstances in which *Zimmerman* permits successive award to total more than 100% is not raised.

Mr. Johnson’s case does raise that issue because for his left leg (but not his right), the sum of the awards exceeded 100%. However, the majority does not deny Mr. Johnson recovery on that ground. Instead, the majority denies Mr. Johnson any compensation for his *first* workplace injury to his legs because of a failure of proof: “Johnson’s expert testified that the knee and hip injuries were not isolated from one another, leaving it unclear whether any or how much loss of use of Johnson’s legs was solely related to his knee injuries” (majority op at 444-445). Thus, *Zimmerman* is irrelevant to the majority’s holding in Mr. Johnson’s case as well: the circumstances in which a claimant may recover more than 100% loss of use for a leg, or even whether a deduction should be made from a current award based on a prior award, is not present in Mr. Johnson’s case given the majority’s holding that Mr. Johnson failed to tender evidence showing the degree of loss of use that resulted from his first workplace accident.

III.

For two reasons, Mr. Johnson should be able to receive an award for the injuries to his knees or, at least as a minimum, should have his case remitted to the Board for determination now that *Genduso*—on which the Board’s denial of his claim was based—has been swept aside.

A.

The simplest basis on which I disagree with the majority's disposition as to Mr. Johnson's appeal is that his employer, the City of New York, conceded that he had a compensable loss of use resulting specifically from the injuries to both of his knees. The City engaged an expert, Dr. Parisien, to examine Mr. Johnson. Dr. Parisien concluded that, as a result of the injury to Mr. Johnson's knees from his initial workplace accident, Mr. Johnson had suffered "a 27.5% causally related schedule[] loss of use of the right leg and a 40% causally related schedule[] loss of use of the left leg." Although it is true that the WCLJ determined that Mr. Johnson's expert's higher loss-of-use figures were preferable to Dr. Parisien's, there is no finding that Dr. Parisien's loss-of-use determinations were incredible or so lacking in foundation as to be unreliable. Moreover, at oral argument, counsel for the Board agreed that Dr. Parisien's estimates would support an SLU award under the proper legal test.

Not much legal analysis is needed here: the Board denied Mr. Johnson's claim solely and expressly by applying the erroneous legal standard created by *Genduso*. The Board has consistently argued that *Genduso* is wrong, and the majority so holds (and I agree). The Board further agrees that record evidence, in the form of Dr. Parisien's report and testimony, would support an SLU award for Mr. Johnson's knee injuries under the correct legal standard. Before the WCLJ and Board, the City never argued that Mr. Johnson should get nothing for his knee injuries—rather, it argued that he should receive just not as great an amount as he sought. Yet Mr. Johnson now winds up with nothing. "As a remedial statute serving humanitarian purposes, the Workers' Compensation Law should be liberally construed" (*Matter of Burns v Miller Constr.*, 55 NY2d 501, 508 [1982]). Try convincing Mr. Johnson of that after today's decision.

B.

The second reason I disagree as to Mr. Johnson's appeal is more complex and more important. The majority's dicta about *Zimmerman* is wrong. Properly understood, Workers' Compensation Law § 15 (7) together with *Zimmerman* entitle Mr. Johnson to an SLU award in the amount he sought or, at a minimum, a remittal based on a proper interpretation of the Workers' Compensation Law and *Zimmerman*.

If you lose your arm in a workplace accident, you receive a 100% SLU for loss of your arm. That makes sense. Intuitively, one might conclude that a person can never have a greater than 100% loss of use of an arm, but *Zimmerman* clearly holds otherwise: Mr. Zimmerman received SLU awards totaling 130% loss of use of his left arm. Why should a worker like Mr. Zimmerman, who lost his forearm and hand in one accident and then injured his shoulder in another, have a 130% loss of use of his left arm, while a worker who loses an entire arm in a single workplace accident recover only 100%? The answer lies in the purpose and history of the Workers' Compensation Law, in the statutory language, and in *Zimmerman* itself.

The Commission Appointed under Chapter 518 of the Laws of 1909 to Inquire Into the Question of Employers' Liability and Other Matters, known as the "Wainwright Commission," issued its first report in 1910. It observed that employers generally "pay less attention to prevention of accidents than the public interest demands because the payment for the damages of accident bears very little direct relation under the present system of liability, to the number of accidents," concluded that "the present system in New York rests on a basis that is economically unwise and unfair," and proposed legislation establishing a workers' compensation system—the first in the United States (Rep to Legislature of the St of NY by the Commn to Inquire into the Question of Employers' Liability and Other Matters, First Rep, Mar. 19, 1910 at 7, 68 [First Wainwright Report]; see generally John Fabian Witt, *The Transformation of Work and the Law of Workplace Accidents, 1842-1910*, 107 Yale L J 1467 [1998]). The Wainwright Commission chronicled in detail the proliferation of workplace accidents resulting from the transformation to an industrial society and explained that "the changes in the liability laws which we recommend, because they tend to make the employer pay something for every accident, will have a real effect in making him put his mind constantly to the question of preventing accidents" (First Wainwright Report at 7).³

The proposed legislation was limited to hazardous occupations; it passed immediately. Almost as quickly, in a bit of

3. The Report is replete with demands that the cost of accidents be shifted to employers as a means of preventing injuries to workers: "The Commission is strongly of opinion that the present legal system of employers' liability in force in this State (and practically everywhere else in the United States) in industrial employments is fundamentally wrong and unwise and needs radical change"; "the wise policy for the State should be to throw the burden of

(n. cont'd)

Lochner-era jurisprudence, our Court held the “revolutionary . . . radical” statute void under the United States and New York Constitutions (*Ives v South Buffalo Ry. Co.*, 201 NY 271, 285 [1911]). Because the State made an employer “responsible to the employee for every accident in the course of the employment, whether the employer is at fault or not, and whether the employee is at fault or not,” “plainly constitutes a deprivation of liberty and property under the Federal and State Constitutions” (*id.* at 285, 294). We issued the *Ives* decision on March 24, 1911. The next day, 146 workers perished in the Triangle Shirtwaist factory fire.

The Wainwright Commission went back to work, issuing its Fourth Report to the Legislature on May 3, 1911, proposing an amendment to the New York State Constitution providing that the legislature would have the power to “make provision for the payment of compensation, with or without . . . regard to fault, to employees injured by accidents of employment” (Rep to Legislature of the St of NY by the Commn to Inquire into the Question of Employers’ Liability and Other Matters, Fourth Rep, May 3, 1911 at 6 [Fourth Wainwright Report]).⁴ On November 4, 1913, voters adopted the proposed amendment by a nearly 3-to-1 margin. The legislature promptly reenacted a workers’ compensation law, this time not limited to inherently hazardous businesses (L 1913, ch 816).

accident relief in dangerous trades on the industry”; “If we are right in our reasoning, the employer who has to pay, even a small amount for each serious accident for which he is in any way responsible, will be anxious to prevent accidents, and will spend money to that end”; “The best expert opinion seems to be that an analysis of the foreign figures shows a decrease of serious accidents [because of workers’ compensation laws]”; “It is the opinion of a great many of the employers testifying before us on the subject that the compensation system will have the effect of making the employers more careful.” (First Wainwright Report at 7, 56.)

4. For those wondering about the Court of Appeals’ holding in *Ives* invoking the Federal Due Process Clause, the Wainwright Commission was advised that it could not appeal the *Ives* decision to the United States Supreme Court, but that

“based on a careful study of recent decisions of the United States Supreme Court, there is good ground for expecting that in interpreting the ‘Due process’ clause the court will hold that reasonable legislation for the establishment of a compulsory compensation plan may be sustained as a legitimate exercise of the police power, particularly where there is a provision in the Constitution of the State enacting such legislation, which expressly authorizes this method of dealing with industrial accidents” (Fourth Wainwright Report at 3, 6-7).

That history—particularly the legislative emphasis on imposing liability even when an employer is without fault in a particular case as a means of incentivizing greater safety measures in general—is important when understanding the words of Workers’ Compensation Law § 15 (7), which is where the majority’s dicta goes awry. Section 15 (7) reads:

“7. Previous disability. The fact that an employee has suffered previous disability or received compensation therefor shall not preclude him from compensation for a later injury nor preclude compensation for death resulting therefrom; but in determining compensation for the later injury or death his average weekly wages shall be such sum as will reasonably represent his earning capacity at the time of the later injury, provided, however, that an employee who is suffering from a previous disability shall not receive compensation for a later injury in excess of the compensation allowed for such injury when considered by itself and not in conjunction with the previous disability except as hereinafter provided in subdivision eight of this section.”

My disagreement with the majority’s dicta turns on the interpretation of the “provided” clause. The plain meaning of the “provided” clause is that each claim for compensation must be evaluated on its own, without regard to any other claim for compensation.⁵ The majority reads it to allow a deduction for awards made for a prior injury, at least if that injury is to the same subpart of a statutorily defined member, e.g., a knee (which is a subpart of a leg, and has no separate statutory definition as a knee). But nothing in section 15 (7) supports the majority’s reading; there is no mention of any difference between awards for statutorily defined members and their subparts.

Our prior decisions also establish the error of the majority’s reading of section 15 (7). With the ink barely dry on the 1913 workers’ compensation statute, we decided *Matter of Schwab v Emporium Forestry Co.* (216 NY 712 [1915]). Mr. Schwab was

5. There is a further reason why the “provided” clause could not be used to bar Mr. Johnson from recovery: whether you read it as I do or the majority does, it governs compensation for a “later injury”—Mr. Johnson’s claim at issue here is for his *initial* injury.

a forester.⁶ In 1892, his left hand was amputated. In 1914, while employed by the Emporium Forestry Company, he lost his right hand at the wrist. At the time, section 15 (6) contained the text of what is now section 15 (7), but it did not include the “provided” clause at the end. The issue was whether, as a result of the 1914 accident, Mr. Schwab was “entitled to compensation for permanent total disability under subdivision 1 of section 15 of the Workmen’s Compensation Law, or for compensation as for the loss of one hand under subdivision 3 of said section” (167 App Div at 614). The former would have entitled him to two thirds of his wages for life; the latter to two thirds of his wages for 244 weeks. We affirmed the Appellate Division’s holding that Emporium was required to pay him the greater amount, as a permanent total disability.

As we explained in *Matter of State Indus. Commn. v Newman* (222 NY 363, 366-367 [1918]), the “provided” clause was added to alter the effect of *Schwab*, which was “a hindrance to those who, having lost a hand or other member, sought to become employees under the act, because the loss of the remaining member subjected the employer to the payment of a compensation substantially greater than it would in [the] case the employee had had the two members.” Thus, the “provided” clause cannot be read as the majority would have it—to allow for a *deduction* of a prior award from a current award—but rather exists so that an employer is not subjected to liability for a permanent total disability when that result would arise from the combination of a prior partial disability and a current partial disability. We reaffirmed that understanding of the “provided” clause in *Matter of Schurick v Bayer Co.* (272 NY 217, 219 [1936]), in which we were “chiefly concerned with the proviso at the end”—the “provided” clause of section 15 (7). We explained that “[w]hile the language of the proviso was capable of a wider application, it is reasonably clear that it was originally intended to cover only a state of facts comparable with those in the *Schwab* case” (*id.* at 220).⁷

6. The facts are found only in the Appellate Division’s decision (*Matter of Schwab v Emporium Forestry Co.*, 167 App Div 614 [3d Dept 1915]), which we summarily affirmed.

7. That said, the legislature did not conclude that a claimant like Mr. Schwab should not receive compensation for a total disability. To the contrary, the legislature provided that the employer would be fully liable for the injury occurring at its workplace and also created the special fund to pay

(n. cont’d)

That brings us, finally, to *Zimmerman*, and back to why it is that an injured worker can receive awards totaling more than 100% loss of use for successive injuries to an arm, leg or other body part. The plain answer is that the Workers' Compensation Law has, as a major purpose, making employers (and ultimately consumers, as the Wainwright Commission explained) liable for workplace injuries regardless of fault, so that employers will have an incentive to employ safety measures to reduce workplace injuries. Thus, although the legislature amended section 15 (7) in response to *Schwab* to eliminate *Schwab's* incentive for employers to avoid hiring persons with a prior disability, there is no reason to believe that the legislature intended to reduce the incentive to avoid workplace accidents by allowing employers to obtain a discount for injuring a previously injured worker.

In *Zimmerman*, as described earlier, the claimant received an SLU award for 80% use of his left arm for a left forearm amputation caused by a workplace accident in 1924. He continued working for the same employer at his same job and, four decades later, suffered a workplace injury to his left shoulder for which he received a 50% SLU award "for loss of use of his [left] arm attributable solely to the 1967 accident" (29 NY2d at 817). The majority posits that Mr. Zimmerman was able to recover 130% of the loss of use of his left arm because hands and arms are separately enumerated statutory members, and his first award was for the loss of his hand, not a fractional loss of use of his arm. There are three problems with the majority's theory. First, as explained above, the "provided" clause's text, prior interpretations by our court, and legislative history do not support that reading. The majority has invented the "separate statutory member" out of whole cloth.

Second, the majority's theory depends on an incorrect factual claim. Contrary to the majority's assertion, the 1924 award was not for "amputation of his hand" (majority op at 443) and the 1967 award was not for "a separately enumerated member" from the prior injury (*id.* at 443)—rather, the 1924 award was for the "left forearm" and the 1967 award was for the "left shoulder," a different subpart of the same statutory member (29 NY2d at 816). Those facts are not open to interpretation. We know definitively that the 1924 award was for the left fore-

claimants the difference, thereby distributing the cost across all employers rather than tagging the employer whose employee suffered his or her subsequent injury in its employment (*see* Workers' Compensation Law § 15 [8]).

arm, not the left hand, because the award for the 1924 injury was for 80% loss of use of the left arm. Had the award been for the hand, the award would have equaled 78% loss of use of the left arm because, in 1924, former Workmen's Compensation Law § 15 (3) (c) provided that the number of weeks' compensation for loss of a hand was 244 weeks—that is, 78% of the 312 weeks allowed for 100% loss of use of an arm. Because the compensation actually awarded to Mr. Zimmerman was 80%, it was not for his hand as a statutorily enumerated member, but it was for a fractional use of his arm—which is exactly how *Zimmerman* characterizes it. *Zimmerman*'s holding thus definitively interprets Workers' Compensation Law § 15 (7) to require that a current award be made as if no prior award has been made; that is what “when considered by itself and not in conjunction with the previous disability” means.

Third, *Zimmerman*'s holding that successive injuries to the same statutorily defined body member can exceed 100% is consistent with the legislative intent underpinning the enactment of Workers' Compensation Law § 15 (7). As set forth earlier, the Workers' Compensation Law exists not merely to provide compensation to injured workers regardless of fault, but also to provide an incentive to employers to reduce workplace accidents and pass those costs on to the consumers of their products. Allowing a current award to be reduced by a prior award for an injury to the same body member reduces the incentive for employers to take measures to improve workplace safety.

The majority's dicta has no basis in the statutory text, no basis in the legislative history, and is foreclosed by our holding in *Zimmerman*. Its basis rests solely on a misreading of a small portion of *Matter of Hroncich v Con Edison* (21 NY3d 636 [2013])—a portion which itself is dicta. The majority claims the following passage in *Hroncich* “interpreted section 15 (7)” (majority op at 442):

“Thus, the three clauses in section 15 (7) specify that (1) a previous disability does not disqualify an employee from receiving compensation benefits for a later work-related injury, or disqualify his survivors from receiving a death benefit where the later injury results in the employee's demise; (2) the measure of compensation or death benefits in this situation is the employee's earning capacity at

the time of the later work-related injury, which would necessarily reflect any diminished earning capacity due to the previous disability; and (3) generally, the employee shall not receive compensation benefits in excess of those allowed for the later work-related injury considered by itself, which insures that the award is based solely on the diminished earning capacity attributable to the later injury rather than from all disabilities” (*Hroncich*, 21 NY3d at 645).

Hroncich then emphasizes that “[s]ection 15 (7) is simply not implicated where, as here, an employee does not suffer a disability in a compensation sense prior to a work-related injury or disablement” (*id.* at 646)—rendering the entire passage dicta.

More importantly, the passage does not even purport to say what the majority claims. Point (1) is a direct refutation of *Genduso*, with which both the majority and I agree. Point (2) restates the portion of section 15 (7) saying that “in determining compensation for the later injury or death his average weekly wages shall be such sum as will reasonably represent his earning capacity at the time of the later injury”—a provision that specifies the average weekly wage rate to be used in calculating the SLU award and is neither disputed nor relevant here. Point (3) is based on the “provided” clause in section 15 (7). The majority seizes on the very last fragment of *Hroncich*’s dicta to conclude that “diminished earning capacity attributable to the later injury rather than from all disabilities” means that a deduction for a prior injury to the same portion of the same member should be made, but that is contrary to the statutory language and not even a fair reading of the words in *Hroncich*.

That majority asserts that the “purpose of an SLU award is to compensate for loss of earning power, rather than the time that an employee actually loses from work or the injury itself” (majority op at 440). That statement is true insofar as it goes, but “compensate for loss of earning power” does not mean a calculation designed to make the injured worker whole or avoid paying compensation when the injured worker is able to return to the same job at the same rate of pay. As we have noted, an SLU award is “independent of the time an employee actually loses from work [but instead] . . . is fixed at a statutorily prescribed number of weeks of compensation” (*Matter of Land-*

grebe v County of Westchester, 57 NY2d 1, 6 [1982]). Two workers performing the same job, one 60 years old and the other 20 years old, do not have the same lifetime loss of earning power from the loss of a hand, but the SLU compensation is the same for each. Indeed, paying two thirds of a worker's salary for 312 weeks in the case of the loss of a hand does nothing to replace wage-earning capacity once week 313 rolls around. Instead, "compensate for loss of earning power" is meant to emphasize that it is *not* anything like a tort award that would provide full recompense for the worker's actual loss: "The compensation awarded the employee is not such as is recoverable under the rules of damages applicable in actions founded upon negligence. It is based on loss of earning power" (*Matter of Marhoffer v Marhoffer*, 220 NY 543, 547 [1917], quoting *Matter of Winfield v New York Cent. & Hudson Riv. R.R. Co.*, 216 NY 284, 289 [1915]; see also First Wainwright Report at 7 [injured workers should "receive such prompt and certain compensation as will keep (them) and those dependent on (them) from destitution"]). Thus, some workers, like Mr. Zimmerman, will receive a substantial SLU award and be able to resume the same line of work for four decades, with no actual loss of earning power. Others will have an actual diminishment in their wages because of the injury, and their awards will run out per the schedule. Either way, the broader purposes of providing a safety net for injured workers and an incentive for employers to avoid accidents in the first place are served.

IV.

As required by statute, the Workers' Compensation Board promulgates "guidelines for the evaluation of medical impairment and determination of permanency with respect to injuries which are amenable to a schedule loss of use award" (Workers' Compensation Guidelines for Determining Impairment at 2 [1st ed, Nov. 22, 2017]). Those guidelines are required to be "reflective of advances in modern medicine" (Workers' Compensation Law § 15 [3] [x]). As an example, the Guidelines specify that if a worker suffers a workplace injury that requires a full or partial knee replacement, the SLU award will be at least a 35% loss of use of the leg. Under the majority's dicta, if a worker whose right knee was replaced suffered a workplace accident that destroyed the prior knee replacement, requiring a second knee replacement surgery that was completely successful, the worker would receive no SLU award. That result does

not comport with the language of Workers' Compensation Law § 15 (7), *Zimmerman* or the purposes of the Workers' Compensation Law. It is also wholly irrelevant to the majority's result in either case. I would gladly have joined an opinion saying *Genduso* was wrong and remitting to the Board for further proceedings. The different route taken by the majority compels me to dissent.

In *Matter of Johnson v City of New York*: Order affirmed, with costs.

Opinion by Judge CANNATARO. Chief Judge DiFIORE and Judges RIVERA, GARCIA, SINGAS and TROUTMAN concur. Judge WILSON dissents in an opinion.

In *Matter of Liuni v Gander Mtn.*: Order reversed, with costs, and matter remitted to the Appellate Division, Third Department, with directions to remand to the Workers' Compensation Board for further proceedings in accordance with the opinion herein.

Opinion by Judge CANNATARO. Chief Judge DiFIORE and Judges RIVERA, GARCIA, SINGAS, and TROUTMAN concur. Judge WILSON dissents in an opinion.

[195 NE3d 47, 174 NYS3d 340]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v RON HILL, Appellant.

Argued May 19, 2022; decided June 16, 2022

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the First Judicial Department, entered November 20, 2020. The Appellate Term affirmed a judgment of the Criminal Court of the City of New York, Bronx County (Miriam R. Best, J.), which had convicted defendant, upon a plea of guilty, of criminal possession of a controlled substance in the seventh degree.

People v Hill, 69 Misc 3d 145(A), 2020 NY Slip Op 51394(U), reversed.

HEADNOTE

Crimes — Controlled Substances — Synthetic Cannabinoid — Sufficiency of Accusatory Instrument

The misdemeanor complaint charging defendant with criminal possession of a controlled substance in the seventh degree, which described the substance seized from defendant as “SYNTHETIC CANNABINOID/SYNTHETIC MARIJUANA (K2)” and made no reference to Public Health Law § 3306 (schedule I) (g) or its schedule listing 10 proscribed synthetic cannabinoid substances by specific chemical designation, failed to allege a sufficient factual basis to conclude that the substance defendant possessed was illegal and thus that count was facially deficient. The instrument’s factual assertions gave no basis for concluding that the substance defendant possessed was a controlled substance; that is, an illegal synthetic cannabinoid as listed with precision in Public Health Law § 3306 (schedule I) (g), as opposed to one of the many synthetic cannabinoid substances that are not criminalized in the schedule. Section 3306 (schedule I) (g) does not list “K2” as a trade or other name for any of the 10 banned synthetic cannabinoid substances. The complaint’s remaining non-particularized reference to “SYNTHETIC CANNABINOID/SYNTHETIC MARIJUANA” simply did not state whether the substance defendant possessed was illegal. The Public Health Law’s statutory framework, which criminalizes only a limited number of synthetic cannabinoids by reference to their specific chemical designation, required more to sufficiently plead possession of an illegal synthetic cannabinoid. Absent a basis explaining the officer’s belief that the substance possessed was listed in section 3306 (schedule I) (g), the conduct alleged in the complaint was as consistent with legal conduct as it was with illegal conduct and the accusatory instrument therefore failed to give defendant sufficient notice of the charged crime.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Drugs and Controlled Substances § 156; AM
JUR 2d Indictments and Informations §§ 110, 264.
CARMODY-WAIT 2d Commencing the Prosecution; Grand
Jury §§ 178:12, 178:17, 178:27.
LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) § 19.3.
MCKINNEY'S, Public Health Law § 3306 (g).
NY JUR 2d Criminal Law: Procedure §§ 991, 995, 998; NY
JUR 2d Criminal Law: Substantive Principles and Of-
fenses § 1601.

ANNOTATION REFERENCE

See ALR Index under Drugs and Narcotics; Indictments
and Informations; Marijuana.

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POINTS OF COUNSEL

*Janet E. Sabel, The Legal Aid Society, New York City (Harold V. Ferguson, Jr. of counsel), for appellant. Contrary to the Appellate Term, First Department's decision, the complaint charging defendant with criminal possession of a controlled substance in the seventh degree was jurisdictionally defective because it failed to contain sufficient evidentiary facts to establish that the synthetic cannabinoid that defendant possessed was one of the illegal synthetic cannabinoids identified in the Public Health Law (CPL 100.40 [4] [b]; 170.30 [1]; Penal Law § 220.03; Public Health Law § 3306 [schedule I] [g]; *People v Dreyden*, 15 NY3d 100 [2010]; *People v Kalin*, 12 NY3d 225 [2009]; *People v Alejandro*, 70 NY2d 133 [1987]). (*Matter of Favreau v Venettozzi*, 173 AD3d 1587; *People v Jones*, 9 NY3d 259; *People v Hall*, 48 NY2d 927; *People v Case*, 42 NY2d 98; *People v Dumas*, 68 NY2d 729; *People v Dumay*, 23 NY3d 518; *Walker v Town of Hempstead*, 84 NY2d 360; *People v Hardy*, 35 NY3d 466.)*

Darcel D. Clark, District Attorney, Bronx (Joshua P. Weiss and Nancy D. Killian of counsel), for respondent. Where de-

fendant waived prosecution by information, the Appellate Term properly upheld the facial sufficiency of the accusatory instrument because the allegations established reasonable cause to believe that defendant possessed an illicit synthetic cannabinoid. (*People v Kalin*, 12 NY3d 225; *People v Smalls*, 26 NY3d 1064; *People v Henderson*, 92 NY2d 677; *People v Casey*, 95 NY2d 354; *People v Dumay*, 23 NY3d 518; *People v Dumas*, 68 NY2d 729; *People v Konieczny*, 2 NY3d 569; *People v Thiam*, 34 NY3d 1040; *People v Dreyden*, 15 NY3d 100; *Matter of Jahron S.*, 79 NY2d 632.)

OPINION OF THE COURT

SINGAS, J.

Defendant Ron Hill was charged with criminal possession of a controlled substance in the seventh degree for allegedly possessing an illegal synthetic cannabinoid. The Public Health Law's controlled substance schedules criminalize possession of some, but not all, synthetic cannabinoids. Because the misdemeanor to which defendant pleaded guilty failed to allege a sufficient factual basis to conclude that the substance defendant possessed was illegal, that count was facially deficient and should be dismissed.

In 2018, defendant was charged, in a complaint, with criminal possession of a controlled substance in the seventh degree (*see* Penal Law § 220.03), a class A misdemeanor, and possession, manufacture, distribution, sale or offer of sale of synthetic phenethylamines and synthetic cannabinoids under the State Sanitary Code, a violation (*see* 10 NYCRR former 9.2; 10 NYCRR 9-1.2). In the factual portion of the accusatory instrument, an officer alleged that he saw defendant possess one "clear ziplock bag containing a shredded dried plant-like material with a chemical odor." "[B]ased upon [his] training and experience, which includes training in the recognition of controlled substances, and their packaging," the officer averred that the "substance is alleged and believed to be SYNTHETIC CANNABINOID/SYNTHETIC MARIJUANA (K2)." The complaint made no reference to Public Health Law § 3306 (schedule I) (g), or its schedule which lists 10 proscribed synthetic cannabinoid substances by specific chemical designation.

At arraignment, defendant waived prosecution by information, pleaded guilty to criminal possession of a controlled substance in the seventh degree in satisfaction of the accusa-

tory instrument, and was sentenced to a conditional discharge. Defendant appealed, arguing that the misdemeanor complaint was jurisdictionally defective because it failed to allege that he possessed one of the synthetic cannabinoid substances listed in Public Health Law § 3306 (schedule I) (g).

The Appellate Term affirmed the judgment, concluding that the complaint was valid because it provided sufficient notice of the crime charged and established reasonable cause to believe that defendant committed that crime (*see* 69 Misc 3d 145[A], 2020 NY Slip Op 51394[U] [App Term, 1st Dept 2020]). A Judge of this Court granted defendant leave to appeal (*see* 37 NY3d 965 [2021]). We now reverse.

A guilty plea “generally marks the end of a criminal case, not a gateway to further litigation” (*People v Konieczny*, 2 NY3d 569, 572 [2004] [internal quotation marks and citation omitted]). Certain “limited issues surviv[e] a guilty plea,” however, including “jurisdictional matters” like the facial sufficiency of an accusatory instrument (*id.* at 573 [internal quotation marks omitted]).

The standard “for whether a flaw in an accusatory instrument is jurisdictional” is whether the instrument failed to give the defendant “sufficient notice of the charged crime to satisfy the demands of due process and double jeopardy” (*People v Dreyden*, 15 NY3d 100, 103 [2010]; *see People v Dumay*, 23 NY3d 518, 524 [2014]). “Pleading errors involving omission of elements of the charged crime are fundamental. They impair a defendant’s basic rights to fair notice sufficient to enable preparation of a defense and to prevent double jeopardy” (*People v Casey*, 95 NY2d 354, 366 [2000]).

Because defendant waived his statutory right to be prosecuted by misdemeanor information, the standard governing misdemeanor complaints applies. “A misdemeanor complaint . . . is sufficient on its face when . . . [t]he allegations of the factual part,” along with “any supporting depositions which may accompany it, provide reasonable cause to believe that the defendant committed the offense charged in the accusatory part of such instrument” (CPL 100.40 [4] [b]; *see Dumay*, 23 NY3d at 524; *Dreyden*, 15 NY3d at 102). “To meet the jurisdictional standard for facial sufficiency, a misdemeanor complaint ‘need only set forth facts that establish reasonable cause to believe that the defendant committed the charged offense’ ” (*People v Smalls*, 26 NY3d 1064, 1066 [2015], quoting *Dumay*,

23 NY3d at 522). “Standing alone, a conclusory statement that a substance seized from a defendant was a particular type of controlled substance does not meet the reasonable cause requirement” (*People v Kalin*, 12 NY3d 225, 229 [2009]; see *Dreyden*, 15 NY3d at 103; *People v Dumas*, 68 NY2d 729, 731 [1986]).

Turning to the crime at issue, “[a] person is guilty of criminal possession of a controlled substance in the seventh degree when” they “knowingly and unlawfully possess[] a controlled substance” (Penal Law § 220.03). Penal Law § 220.00 (5) defines “[c]ontrolled substance” as “any substance listed in schedule I, II, III, IV or V of” Public Health Law § 3306.

Section 3306 (schedule I) (g) makes certain synthetic cannabinoids schedule I controlled substances, but does not list all known synthetic cannabinoids (*compare* Public Health Law § 3306 [schedule I] [g], *with* 10 NYCRR 9-1.1 [b]). Although hundreds of synthetic cannabinoids exist, Public Health Law § 3306 (schedule I) (g) only proscribes “any material, compound, mixture, or preparation, which contains any quantity of” 10 specified “synthetic cannabinoid substances.”¹ The 10 synthetic cannabinoid substances are listed in the schedule by their specific chemical designations. For each of the 10 specified chemical designations, the statute also lists some trade names or other names, none of which is K2. For instance, Public Health Law § 3306 (schedule I) (g) (1) lists: “(1-pentyl-1H-indol-3-yl) (2,2,3,3-tetramethylcyclopropyl) methanone. Some trade or other names: UR-144.” The statute enumerates nine other synthetic cannabinoid substances in a similar fashion.²

Synthetic cannabinoids, whether listed in section 3306 (schedule I) (g) or not, “have become prevalent drugs of abuse”

1. In addition to the 10 identified synthetic cannabinoid substances, the statute also proscribes any material containing the “salts, isomers, and salts of isomers” of those substances “whenever the existence of such salts, isomers, and salts of isomers is possible within the specific chemical designation” (Public Health Law § 3306 [schedule I] [g]).

2. The nine other listed synthetic cannabinoids are:

“(2) {1-(5-fluoro-pentyl)-1H-indol-3-yl}(2,2,3,3-tetramethylcyclopropyl) methanone. Some trade names or other names: 5-fluoro-UR-144, XLR11.

“(3) N-(1-adamantyl)-1-pentyl-1H-indazole-3-carboxamide. Some trade or other names: APINACA, AKB48.

“(4) quinolin-8-yl 1-pentyl-1H-indole-3-carboxylate. Some trade or other names: PB-22; QUPIC.

“(5) quinolin-8-yl 1-(5-fluoropentyl)-1H-indole-3-carboxylate. Some trade or other names: 5-fluoro-PB-22; 5F-PB-22.

(n. cont’d)

that “are designed to stimulate the same receptor in the body as” marijuana’s active ingredient, “cannabinoid 9-tetrahydrocannabinol (THC)” (NY Reg, Aug. 26, 2015 at 8). Synthetic cannabinoids are not marijuana, however. These manufactured drugs, containing varied chemical compounds, present a public health threat (*see id.*; *see also People v Turner*, 202 AD3d 1375, 1377 [3d Dept 2022]).

The Public Health Law’s statutory framework, which criminalizes only a subset of synthetic cannabinoids, renders it difficult for both the public and law enforcement alike to reasonably conclude whether a synthetic cannabinoid is a controlled substance without additional facts.³ Given this particular statutory framework, the misdemeanor count in this accusatory instrument contains a fundamental defect because it does not sufficiently allege that defendant committed a crime.

The officer stated in the complaint that, based on his training, he believed that the substance he seized from defendant was “SYNTHETIC CANNABINOID/SYNTHETIC MARIJUANA (K2)” because it was “a shredded dried plant-like material with a chemical odor.” These factual allegations gave a non-conclusory description of the substance seized from defendant and were adequate to state the officer’s training in

“(6) N-(1-amino-3-methyl-1-oxobutan-2-yl)-1-(4-fluorobenzyl)-1H-indazole-3-carboxamide. Some trade or other names: AB-FUBINACA.

“(7) N-(1-amino-3,3-dimethyl-1-oxobutan-2-yl)-1-pentyl-1H-indazole-3-carboxamide. Some trade or other names: ADB-PINACA.

“(8) N-(1-amino-3-methyl-1-oxobutan-2-yl)-1-(cyclohexylmethyl)-1H-indazole-3-carboxamide. Some trade or other names: AB-CHMINACA.

“(9) N-(1-amino-3-methyl-1-oxobutan-2-yl)-1-pentyl-1H-indazole-3-carboxamide. Some trade or other names: AB-PINACA.

“(10) {1-(5-fluoropentyl)-1H-indazol-3-yl}(naphthalen-1-yl)-methanone. Some trade or other names: THJ-2201.”

3. The legislature is considering proposed legislation that would expand the list of proscribed synthetic cannabinoids by “ban[ning] those products that affect a person’s cannabinoid receptors producing the high,” rather than continuing to “ban the drug based on its exact chemical composition” through use of Public Health Law § 3306 (schedule I) (g)’s schedule (Senate Introducer’s Mem in Support of 2021 NY Senate-Assembly Bill S2716, A6465). The proposed legislation is intended to combat the work of “underground chemists” who are “constantly altering the chemical makeup of” synthetic cannabinoids “to bypass any bans or criminal penalties” (*id.*).

identifying controlled substances (*see Smalls*, 26 NY3d at 1067).

Nevertheless, the Public Health Law's scheme, banning only a limited number of synthetic cannabinoids by reference to their specific chemical designation, requires more to sufficiently plead possession of an *illegal* synthetic cannabinoid. The instrument's factual assertions gave no basis for concluding that the substance defendant possessed was a controlled substance; that is, an illegal synthetic cannabinoid as listed with precision in Public Health Law § 3306 (schedule I) (g), as opposed to one of the many synthetic cannabinoid substances that are not criminalized in the schedule. As noted, section 3306 (schedule I) (g) does not list "K2" as a trade or other name for any of the 10 banned synthetic cannabinoid substances. The complaint's remaining non-particularized reference to "SYNTHETIC CANNABINOID/SYNTHETIC MARIJUANA" simply does not state whether the substance defendant possessed was illegal. Absent a basis explaining the officer's belief that the substance possessed was listed in section 3306 (schedule I) (g), the conduct alleged in the complaint is as consistent with legal conduct as it is with illegal conduct. The accusatory instrument therefore failed to give defendant sufficient notice of the charged crime. Consequently, under our jurisdictional standard for a facially sufficient misdemeanor complaint, the allegations within this instrument's four corners failed to establish reasonable cause to believe that defendant committed the crime of criminal possession of a controlled substance in the seventh degree as charged.

Finally, dismissal of the remaining count, a violation, is appropriate here because the People do not oppose such disposition and defendant was sentenced to a conditional discharge, with no sentence to serve (*see People v Hightower*, 18 NY3d 249, 253 [2011]; *Dreyden*, 15 NY3d at 104). Accordingly, the order of the Appellate Term should be reversed and the accusatory instrument dismissed.

Chief Judge DiFIORE and Judges RIVERA, GARCIA, WILSON, CANNATARO and TROUTMAN concur.

Order reversed and accusatory instrument dismissed.

[195 NE3d 503, 174 NYS3d 670]

BATAVIA TOWNHOUSES, LTD., et al., Respondents, v COUNCIL OF
CHURCHES HOUSING DEVELOPMENT FUND COMPANY, INC.,
Appellant.

Argued April 21, 2022; decided May 24, 2022

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered October 2, 2020. The Appellate Division modified, on the law, an order of the Supreme Court, Genesee County (Timothy J. Walker, J.; op 2019 NY Slip Op 34037[U] [2019]), which had (1) denied defendant's motion for summary judgment; (2) granted plaintiffs' cross motion to cancel and discharge the wraparound note and mortgage and for an order requiring defendant to restore to the Partnership all mortgage loan payments that it had collected pursuant to the February 7, 2019 resolution; and (3) ordered that defendant's actions, subsequent to the expiration of the statute of limitations on March 3, 2018, to re-commence payments on the wraparound note and mortgage (starting in February 2019) were invalid and were set aside. The modification consisted of remitting the matter to Supreme Court, Genesee County, for the grant of an appropriate judgment declaring the rights of the parties in compliance with RPAPL article 15. The Appellate Division affirmed the judgment as modified.

Batavia Townhouses, Ltd. v Council of Churches Hous. Dev. Fund Co., Inc., 189 AD3d 20, affirmed.

HEADNOTE

Limitation of Actions — Revival of Time-Barred Claims — Expiration of Time to Commence Mortgage Foreclosure Action — Express Promise to Pay Mortgage Debt

The express promise provision of General Obligations Law § 17-105, rather than the mere acknowledgment provision of section 17-101, governs whether the statute of limitations has been tolled or revived in an action pursuant to RPAPL 1501 (4). Accordingly, in a derivative action seeking a judgment declaring that a mortgage was unenforceable on the ground that the statute of limitations period had expired, the Appellate Division correctly concluded that plaintiff's financial statements and tax returns, which listed the mortgage as an outstanding liability, did not revive the limitations period because they were not express promises to pay the mortgage debt. General Obligations Law § 17-105, by its express terms, is the sole statute governing the tolling or revival of the statute of limitations for an action to foreclose a mortgage. Section 17-101 excludes itself, and by implication its allowance for

a mere acknowledgment to toll or revive the statute of limitations, because it indicates that it does not apply to “actions for the recovery of real property.” Under General Obligations Law § 17-105 (1), plaintiff’s actions could only toll or revive the statute of limitations for defendant to bring a foreclosure action if plaintiff made an “express” “promise to pay the mortgage debt.” The purpose behind General Obligations Law § 17-105 was to require more express actions by a mortgage debtor to toll or revive the statute of limitations so as to prevent serious impairment of titles to land and hindrance of real property financing. It would conflict with that legislative intent to allow an acknowledgment, as opposed to an express promise, to toll or revive the statute of limitations for a mortgage foreclosure action.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d Limitation of Actions §§ 296, 297; AM JUR 2d Mortgages § 554.
 CARMODY-WAIT 2d Limitation of Actions §§ 13:462–13:464, 13:479; CARMODY-WAIT 2d Action to Compel Determination of Claims to Real Property § 101:15.
 MCKINNEY’S, General Obligations Law §§ 17-101, 17-105; RPAPL 1501 (4).
 MORTGAGE LIENS IN NEW YORK (2020-2021 ed) ch 19, The Action to Foreclose the Mortgage.
 NY JUR 2d Limitations and Laches §§ 335, 336; NY JUR 2d Mortgages and Deeds of Trust §§ 394, 470.
 SIEGEL, NY PRAC § 50.

ANNOTATION REFERENCE

See ALR Index under Foreclosure; Limitation of Actions; Mortgages.

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POINTS OF COUNSEL

Woods Oviatt Gilman LLP, Rochester (*William E. Brueckner* of counsel), and *McConville, Considine, Cooman & Morin, P.C.*, Rochester (*Kevin S. Cooman* of counsel), for appellant. I. The evolution of New York law regarding the reaffirmation of debt. (*Scheuer v Scheuer*, 308 NY 447; *Estate of Vengroski v Garden Inn*, 114 AD2d 927; *Curtiss-Wright Corp. v Intercontinent Corp.*, 277 App Div 13; *Shapley v Abbott*, 42 NY 443; *Henry v Root*, 33

NY 526; *Lynford v Williams*, 34 AD3d 761; *Lew Morris Demolition Co. v Board of Educ. of City of N.Y.*, 40 NY2d 516; *Knoll v Datek Sec. Corp.*, 2 AD3d 594; *Essex Real Estate Corp. v Piluso*, 68 AD2d 923; *George Tsunis Real Estate, Inc. v Benedict*, 116 AD3d 1002.) II. The Partnership's annual financial reporting reaffirmed the obligations of the WrapAround Note and Mortgage. (*Chase Manhattan Bank v Polimeni*, 258 AD2d 361, 93 NY2d 952; *Clarkson Co. Ltd. v Shaheen*, 533 F Supp 905; *Estate of Vengroski v Garden Inn*, 114 AD2d 927; *Nelux Holdings Intl., N.V. v Dweck*, 160 AD3d 520; *Hakim v Hakim*, 99 AD3d 498; *Sullivan v Troser Mgt., Inc.*, 15 AD3d 1011; *Park Assoc. v Crescent Park Assoc.*, 159 AD2d 460; *Leising v Multiple R Dev.*, 249 AD2d 920; *Victory Inv. Corp. v Muskogee Elec. Traction Co.*, 150 F2d 889; *Wells Fargo Bank, N.A. v Alessi*, 133 AD3d 1216.)

Holland & Knight LLP, Washington, D.C. (Steven D. Gordon of the District of Columbia bar, admitted pro hac vice, of counsel), and *Harter Secrest & Emery LLP*, Rochester (Jeffrey A. Wadsworth of counsel), for respondents. I. The tolling or revival of the limitations period is governed by General Obligations Law § 17-105, which requires a written promise to pay the debt. (*People ex rel. Negron v Superintendent, Woodbourne Corr. Facility*, 36 NY3d 32; *Riley v County of Broome*, 95 NY2d 455; *Scheuer v Scheuer*, 308 NY 447; *Lew Morris Demolition Co. v Board of Educ. of City of N.Y.*, 40 NY2d 516; *Henry v Root*, 33 NY 526; *Bloodgood v Bruen*, 8 NY 362; *Matter of Francois v Dolan*, 95 NY2d 33; *East End Trust Co. v Otten*, 255 NY 283; *Matter of Perlbindler Holdings, LLC v Srinivasan*, 27 NY3d 1; *U.S. Bank N.A. v Caruana*, 188 AD3d 511.) II. The Partnership's financial statements and tax returns do not toll the limitations period. (*Skiadas v Terovolas*, 271 AD2d 521; *Estate of Vengroski v Garden Inn*, 114 AD2d 927; *Artisan Stainless Specialties v Broadway Equities*, 294 AD2d 385; *Curtiss-Wright Corp. v Intercontinent Corp.*, 277 App Div 13; *Moore v Candlewood Holdings, Inc.*, 714 F Supp 2d 406; *Chase Manhattan Bank v Polimeni*, 258 AD2d 361; *Tucker Anthony Realty Corp. v Schlesinger*, 888 F2d 969; *Clarkson Co. Ltd. v Shaheen*, 533 F Supp 905; *Shelley v Dixon Equities*, 300 AD2d 566; *20 Plaza Hous. Corp. v 20 Plaza E. Realty*, 37 Misc 3d 601.) III. Council's appeal to sympathy is unavailing. (*Ajdler v Province of Mendoza*, 33 NY3d 120; *Schwartz v Heyden Newport Chem. Corp.*, 12 NY2d 212; *Lubonty v U.S. Bank N.A.*, 34 NY3d 250.)

OPINION OF THE COURT

TROUTMAN, J.

The primary question presented by this appeal is which section of article 17 of the General Obligations Law governs the tolling or revival of the statute of limitations period in an action pursuant to Real Property Actions and Proceedings Law § 1501 (4). RPAPL 1501 (4) allows a party to cancel a mortgage where the limitations period for commencing a foreclosure action has expired. We hold that General Obligations Law § 17-105, not section 17-101, governs whether the statute of limitations has been tolled or revived in such an action.

Defendant Council of Churches Housing Development Fund Company (Council) borrowed approximately \$4.7 million in 1971 to develop and operate Birchwood Village Apartments (Birchwood). Council defaulted on the private loan in 1979, which was insured by the U.S. Department of Housing and Urban Development (HUD). Upon Council's default, HUD acquired the note and associated mortgage on Birchwood. With HUD poised to foreclose on the property, Council subsequently formed plaintiff Batavia Townhouses, Ltd. (the Partnership) to bring in a cash infusion from private investors. Council is the managing general partner of the Partnership, which also currently has two limited partners: plaintiffs Arlington Housing Corp. and Batavia Investors, Ltd. The Partnership bought Birchwood from Council in 1979 for \$5.5 million and executed a wraparound note and mortgage (wraparound mortgage) in that amount in favor of Council. From 1979 to 2012, the Partnership used income from Birchwood to make payments to Council on the wraparound mortgage, and Council used those funds to pay off the HUD mortgage on the property, which was fully satisfied in February 2012. The Partnership's wraparound mortgage, the only remaining encumbrance on Birchwood, matured on March 1, 2012. The Partnership made no further payments on that debt for the next seven years, and Council did not commence any foreclosure proceedings.

In May 2019, the limited partners brought this derivative action, on behalf of the Partnership, against Council seeking a declaration that the wraparound mortgage was unenforceable because the six-year limitations period for foreclosure had expired in March 2018. Council responded that the statute of limitations had been tolled under General Obligations Law §§ 17-101 or 17-105 because the Partnership's annual financial statements and tax returns for 2012 to 2018 listed the

mortgage as an outstanding liability. Section 17-101 provides that an “acknowledgment” of a contractual debt is “competent evidence of a new or continuing contract” that tolls the limitations period for commencing actions “other than an action for the recovery of real property.” Section 17-105 (1) states,

“A waiver of the expiration of the time limited for commencement of an action to foreclose a mortgage of real property . . . or a promise to pay the mortgage debt . . . by the express terms of a writing signed by the party to be charged is effective . . . to make the time limited for commencement of the action run from the date of the waiver or promise.”

Supreme Court, among other things, granted plaintiffs’ motion for summary judgment seeking to cancel and discharge the wraparound mortgage. As is pertinent, the court ruled that the action to foreclose on the mortgage was time-barred pursuant to CPLR 213 (4) and the six-year statute of limitations was not tolled or revived under General Obligations Law § 17-105 (2019 NY Slip Op 34037[U] [Sup Ct, Genesee County 2019]).

The Appellate Division modified the Supreme Court order insofar as appealed from by remitting the matter to Supreme Court for the grant of an appropriate judgment declaring the rights of the parties and otherwise affirmed. The Court agreed with Supreme Court that only General Obligations Law § 17-105 (1) “applies to the type of action brought here under RPAPL 1501 (4), which requires the party bringing such an action to establish that the limitations period for the commencement of a mortgage foreclosure action has expired” (189 AD3d 20, 25 [2021]). The Court reached that conclusion based on the “plain language” and legislative history of sections 17-101 and 17-105 (*id.* at 25-26). The Court explained that, although section 17-101 allows a “mere ‘acknowledgment’” to extend the statute of limitations for “contractual debts,” section 17-105 (1) “was enacted specifically to address the waiver of the statute of limitations applicable to mortgage debt and . . . provided that an express promise to pay such debt . . . would be sufficient to revive the otherwise expired statute of limitations” (*id.*). As a result, the Appellate Division unanimously concluded that the Partnership’s financial statements and tax returns could not revive the limitations period because they “do not constitute an express promise to pay the mortgage debt” (*id.* at 28). We granted leave to appeal (36 NY3d 906 [2021]), and we now affirm.

In pertinent part, RPAPL 1501 (4) provides as follows:

“Where the period allowed by the applicable *statute of limitation for the commencement of an action to foreclose a mortgage*, or to enforce a vendor’s lien, *has expired*, any person having an estate or interest in the real property subject to such encumbrance may maintain an action against any other person or persons, known or unknown, including one under disability as hereinafter specified, to secure the cancellation and discharge of record of such encumbrance, and to adjudge the estate or interest of the plaintiff in such real property to be free therefrom” (emphasis added).

Thus, a party seeking to cancel or discharge a mortgage must first establish that the limitations period for enforcement by way of foreclosure has already expired. Here, it is undisputed that the six-year statute of limitations to foreclose on Birchwood expired on March 2, 2018, pursuant to CPLR 213 (4), unless it was extended or revived by one of the means set forth in either General Obligations Law §§ 17-101 or 17-105. The question we must answer is whether both or only one of those sections of the General Obligations Law applies here.

Despite what Council contends, General Obligations Law § 17-105, by its express terms, is the sole statute governing the tolling or revival of the statute of limitations for an action to foreclose a mortgage. Section 17-105 (1) states that, among other things, a

“promise to pay the mortgage debt, if made *after the accrual of a right of action to foreclose the mortgage . . .* by the express terms of a writing signed by the party to be charged is effective . . . to make the time limited for commencement of the action run from the date of the . . . promise” (emphasis added).

The statute further states that

“[e]xcept as provided in subdivision five, no acknowledgment, waiver or promise has any effect to extend the time limited for commencement of an *action to foreclose [a] mortgage* for any greater time or in any other manner than that provided in this section, nor unless it is made as provided in this section” (§ 17-105 [4] [emphasis added]).

Moreover, section 17-101 excludes itself—and by implication its allowance for a mere acknowledgment to toll or revive the statute of limitations—because it indicates that it does not apply to “action[s] for the recovery of real property.”

Council further argues that General Obligations Law §§ 17-101 and 17-105 both apply to mortgage foreclosure actions based on this Court’s precedent in *Petito v Piffath* (85 NY2d 1 [1994]), in which we considered both statutes in concluding that a time-barred foreclosure had not been revived. However, *Petito* is distinguishable from the present case because the record in that case reveals that, unlike the present case, the parties did not present this Court with the threshold question of which section of the General Obligations Law applied in a mortgage foreclosure action.

Under General Obligations Law § 17-105 (1), the Partnership’s actions in this case could only toll or revive the statute of limitations for Council to bring a foreclosure action if the Partnership made an “express” “promise to pay the mortgage debt.” Accordingly, the Appellate Division correctly concluded that the Partnership’s delivery of its financial statements and tax returns to Council did not meet the requirements of section 17-105 (1) because they were not express promises to pay the mortgage debt (189 AD3d at 28).¹

Council seeks, however, to draw a distinction between an “express promise” and General Obligations Law § 17-105 (1)’s requirement of a “promise . . . made . . . by the express terms of a writing.” According to Council, a mere acknowledgment meets that requirement. Section 17-105 (1), however, does not use the word “acknowledgment,” and it instead refers to a “promise” or “waiver” made “by the express terms of a writing.” The logical reading is that, whereas section 17-101 allows for a written and signed “acknowledgment [of] or promise” to pay a contractual obligation to toll or revive the statute of limitations, section 17-105 (1) requires the mortgage debtor to make an “express” “promise to pay the mortgage debt.” To instead construe the word “promise” to refer both to an “acknowledgment” and a “promise” would render meaningless the distinction between an “acknowledgment or [a] promise” made in sec-

1. Because we conclude that General Obligations Law § 17-105 (1) governs the tolling or revival of the statute of limitations for an action pursuant to RPAPL 1501 (4), we have no occasion to decide whether the Partnership’s delivery of its financial statements and tax returns to Council constituted “acknowledgment[s]” under General Obligations Law § 17-101.

tion 17-101. Treating an “acknowledgment” as being something different than a “promise” abides by the rule of statutory construction that “[w]hen different terms are used in various parts of a statute or rule, it is reasonable to assume that a distinction between them is intended” (*Matter of Albano v Kirby*, 36 NY2d 526, 530 [1975]). Additionally, section 17-105 (4)’s statement that outside of the provisions of that section “no acknowledgment, waiver or promise has any effect to extend the time” indicates that the legislature didn’t intend for a mere acknowledgment to revive or toll the statute of limitations for a foreclosure action.

The legislative history further demonstrates that the purpose behind General Obligations Law § 17-105 was to require more express actions by a mortgage debtor to toll or revive the statute of limitations so as to prevent “[s]erious impairment of titles to land and hindrance of real property financing” (1961 Report of NY Law Rev Commn, Acts, Recommendation and Study Relating to Transaction Affecting the Time Limited for an Action to Foreclose a Mortgage of Real Property, at 112). It would conflict with that legislative intent to allow an acknowledgment (*i.e.*, an implied promise), as opposed to an express promise, to toll or revive the statute of limitations for a mortgage foreclosure action. Council’s remaining arguments are lacking in merit.²

Accordingly, the order of the Appellate Division should be affirmed, with costs.

WILSON, J. (dissenting in part). There are actually three classic blunders: only slightly lesser known than “never get involved in a land war in Asia” is “never get involved in a tax shelter deal in Batavia.” We should heed that advice and leave the core issue for resolution in the prior pending federal litigation.

2. The partial dissent’s analysis addresses arguments that were neither preserved for review by any party nor raised in this Court (*see Misicki v Caradonna*, 12 NY3d 511, 518-520 [2009]). Although the parties dispute which tolling provisions apply (and what they require), there is no suggestion that the note and mortgage could or should be treated separately for tolling purposes. Indeed, in its brief, Council repeatedly suggests just the opposite, directing its tolling arguments to the enforceability of “the WrapAround Note and Mortgage,” also referred to as the “mortgage obligation” (brief for appellant at 11, 26, 29). Council does not contend that a triable issue of fact precluded summary judgment but, to the contrary, noted that the parties “agreed that the matter is appropriate for resolution by summary judgment” (brief for appellant at 11).

I.

To understand the heart of this dispute, it is important to pay close attention to the corporate structures of and relationships among the parties involved in this lawsuit and the underlying transactions. That requires some exposition, but the bottom line is that the interrelated plaintiffs-respondents, Arlington Housing Corporation and Batavia Investors, Ltd., invested in a low-income apartment complex, Birchwood Village, as a tax shelter and have received tax breaks for their investment for the past 40 years. Their investment had two parts: a \$400,000 cash investment and a promise that the partnership generating their tax losses (of which they were a part) would pay a \$5.5 million dollar loan to the creator and operator of Birchwood Village.

That tax shelter was set to expire in December 2020, so the investors decided to try to have their cake and eat it too: they tried to take control of Birchwood Village without paying the promised \$5.5 million loan plus accumulated interest. The Council of Churches Housing Development Fund Company, Inc. (Council of Churches), the defendant-appellant in this lawsuit, developed and operates Birchwood Village and is trying to defend itself from that takeover in a separate lawsuit, which was filed before this one and is currently pending in federal court (*see Council of Churches Hous. Dev. Fund Co., Inc. v Arlington Hous. Corp.*, 2019 WL 1970517, 2019 US Dist LEXIS 75148 [WD NY, May 3, 2019, 18-CV-6920 CJS]). In that lawsuit, the investors claimed that Council of Churches breached its fiduciary duty to the investors by not charging high enough rents to the tenants of Birchwood Village. The federal court denied the investors' motion for a preliminary injunction on the ground, *inter alia*, that they were not likely to succeed on the merits.

The derivative lawsuit in our Court may seem ancillary—the question is whether the applicable statute of limitations on the note or mortgage has been revived—but that dispute is interwoven with the federal litigation. A detailed understanding of the underlying facts in the record informs the correct resolution of this case.

A.

Fifty-two years ago, in 1970, a group of churches formed the Council of Churches Housing Development Fund Company, Inc. (Council of Churches) as a not-for-profit organization with

the mission of developing and operating, on a nonprofit basis, a housing complex in Batavia, New York for persons with low income. One year later, to finance the development of that apartment complex, Birchwood Village (Birchwood), Council of Churches borrowed \$4.7 million from a private lender.

That \$4.7 million loan was evidenced by a promissory note—that is, a written promise that Council of Churches would pay back the borrowed money to the lender under specific terms and conditions—and secured by a mortgage—that is, an agreement that gave the lender the right to take the actual property of Birchwood Village if Council of Churches failed to repay the money it borrowed on the schedule provided for. The United States Department of Housing and Urban Development (HUD) guaranteed the loan, in exchange for which Council of Churches promised to operate Birchwood Village in compliance with certain HUD regulations, including restricting use of the apartment complex to families with low or moderate income. Council of Churches built and operated Birchwood Village as it had intended from the start and as it had promised HUD.

Birchwood faced financial difficulties, however. Eight years later, in 1979, Council of Churches defaulted on the loan, at which point HUD, pursuant to its guarantee, paid off the private lender and acquired the note and associated mortgage. But Birchwood continued to have financial difficulties and Council of Churches was still unable to make the mortgage payments, now due to HUD.

Then, plaintiff-respondent Batavia Investors, Ltd. (Investors) entered the picture. It proposed to HUD that the ownership of Birchwood change to bring in private investors. The benefit was twofold: Birchwood would receive an influx of cash (\$400,000) from Investors to make needed repairs and improvements, and Investors would be able to use Birchwood as a tax shelter.

In general, the amount of taxes a business must pay in a given year is based on how much money it made that year. If a business has expenses or losses, it can subtract them from the amount of money it made, which in turn reduces the amount of taxes it owes. If the business is structured as a partnership, the business's losses are passed through to the partners as individuals, who can use those losses to offset income they've earned elsewhere, thus reducing their tax liability.

Here, the idea was that the apartment complex, Birchwood Village, would operate at a loss and provide a tax shelter for

private investors (*see Council of Churches*, 2019 WL 1970517, *6, 2019 US Dist LEXIS 75148, *16-17). The way it would work is that a private investor would invest money in, and own part of, Birchwood, and then it could use Birchwood's operating losses to count against profits it made in other ways, which would reduce how much taxes it would owe. The private investors who ended up using Birchwood as a tax shelter are the plaintiffs-respondents in this lawsuit: Arlington Housing Corporation (Arlington) and Investors (together, the Limited Partners).

To execute the plan of turning Birchwood into a tax shelter, the parties created a new legal entity: the "Partnership," which was formed as a limited partnership in 1978 under the laws of the District of Columbia with Investors, then known as "Essex, Ltd.," as the sole limited partner of the Partnership¹ (2019 WL 1970517, *1, 2019 US Dist LEXIS 75148, *1-3). One year later, Council of Churches sold Birchwood to the Partnership in exchange for a \$5.5 million note—a written promise to pay a debt—secured by a mortgage—an agreement that Council of Churches could take Birchwood from the Partnership if it defaulted on the debt (*id.*). That note and mortgage were "wrapped around" the HUD mortgage, which was still encumbering the property (*id.*).

As part of the transaction, the Partnership's Partnership Agreement was altered with five important changes. First, the Partnership was given the name it has today: Batavia Townhouses, Ltd. Second, Council of Churches joined the Partnership as managing general partner; a Mr. David C. Green, who had construction and rehabilitation expertise, was the Partnership's second general partner. Third, the Partnership Agreement provided that the Partnership would automatically dissolve on December 1, 2020. Fourth, Investors, still then known by its former name of Essex Ltd., continued to be the sole limited partner and, pursuant to the Partnership Agreement, made a one-time contribution of \$400,000 to the Partnership. Finally, the Partnership Agreement made clear that the point of the Partnership was to operate Birchwood as a tax shelter:

"The sole purpose and business of the Partnership shall be to acquire real property . . . and to own, hold, manage, maintain, and operate thereon . . . as may be necessary, advisable, or convenient to

1. Investors itself is organized as a limited partnership.

the promotion or conduct of the business of the Partnership . . . *and insofar as is consistent therewith, will maximize the Federal, state and local income tax benefits available to the Partnership*" (emphasis added).

To make sure that the operating losses that supported the tax savings went to the investors wanting to use Birchwood as a tax shelter, the Partnership Agreement allocated 99% of the Partnership's property, profits, and losses to its limited partners.²

In 1981, Mr. Green withdrew as the Partnership's second general partner, and he was replaced by plaintiff-respondent Arlington. Arlington's president, Mr. Lawrence F. Penn, was also the president of Investors's general partner. Council of Churches remained the managing general partner, and Investors remained a limited partner.

Twenty years later, in 2001, Council of Churches received a memorandum from HUD advising that HUD had entered into a settlement agreement with Mr. Penn pursuant to which he and his associated entities were to divest from all interests in HUD properties; the settlement agreement resolved outstanding criminal, civil, and administrative charges involving Mr. Penn, HUD and the United States Department of Justice.

2. The parties ensured the Limited Partners' tax shelter as follows: the Partnership promised to pay the \$5.5 million dollar note to Council of Churches and the Partnership Agreement allocated 99% of the "profits" (losses, really) to the Limited Partners. The Partnership Agreement provided that the Limited Partners would not be personally liable for the debts of the Partnership, which allowed the Limited Partners to claim losses of up to \$5.9 million, though only contributing \$400,000 in cash. This is because

"[a] partner may not deduct his share of partnership losses below his basis in his partnership interest. A partner's initial basis in his partnership interest is the amount of money he contributes to the partnership, plus the adjusted basis of any property he contributes. However, the [Internal Revenue] Code specifically provides that a partner shall be treated as having contributed additional money to the partnership to the extent he shares in partnership liabilities. Under the Treasury Regulations . . . the limited partners may share in partnership liabilities for basis purposes, but are only deemed to share in those liabilities that are fully non-recourse as to the partners and to the partnership. Such non-recourse liabilities are automatically shared by the limited partners in the same proportion they share in profits. The effect is that limited partners may deduct partnership losses far in excess of their cash and property investment in the partnership" (Donald J. Weidner, *Realty Shelter Partnerships in a Nutshell*, 8 Ind L Rev 899, 901 [1975]).

Because Birchwood Village was a HUD property, Arlington was not permitted to continue as general partner. Arlington was permitted, however, to participate as a limited partner, and the Partnership Agreement was amended in 2004 to reflect this change in capacity from general to limited partner.

To recap, the Partnership, now called Batavia Townhouses, Ltd., is now made up of one managing general partner, defendant-appellant Council of Churches, and two limited partners, plaintiffs-respondents Arlington and Investors, which brought this derivative suit on behalf of the Partnership. For the past 40 years, Council of Churches has operated Birchwood consistent with its mission to provide low-income housing and consistent with the Partnership Agreement's mandate to generate operating losses that create tax savings for the limited partners.

For reasons that will become clear later, it also is important to mention that every year since 2000, the Partnership has prepared and distributed to its partners, both general (Council of Churches) and limited (Arlington and Investors), written financial statements prepared by the Partnership's independent certified public accountants under a signed auditor's report, most recently in April 2019. Those financial statements include balance sheets that reflect the 1979 wraparound note and mortgage as a liability of the Partnership. The Partnership also prepared, filed, and distributed to Council of Churches its annual tax returns, which reflect the mortgage obligation and were signed by the Partnership's executive director, who oversees the daily operation of Birchwood.

B.

The genesis of the parties' dispute begins about 10 years ago. In 2012, the Partnership made the final payment on the note held by HUD, on schedule. After that, the only encumbrance on the property was the \$5.5 million note (plus accumulated interest) and associated mortgage executed by the Partnership in favor of Council of Churches in 1979. But, for reasons that are not clear from the record, the Partnership never made any payments to Council of Churches in connection with the wraparound note and mortgage, even though monthly payments were due. As a result, interest accumulated on the note, on top of the unpaid balance.

The relationship between Council of Churches and the Limited Partners subsequently deteriorated. In November 2018, the Limited Partners attempted to remove Council of

Churches “for cause” as managing general partner of the Partnership. The next month, Council of Churches filed a lawsuit in federal court seeking, among other things, a preliminary injunction barring the Limited Partners from assuming control of the Partnership and a declaration that Council of Churches did not violate the Partnership Agreement. In response, the Limited Partners filed an answer with counterclaims, alleging that Council of Churches breached its fiduciary duty by keeping rents at Birchwood too low to pay back the wraparound note and mortgage. The Limited Partners also sought an injunction to enforce their removal notice to Council of Churches.

The federal lawsuit was filed in late 2018, not long before the Partnership was set to expire automatically on December 1, 2020, pursuant to the Partnership Agreement. Upon the dissolution of the Partnership, the Limited Partners would face income tax liability.³

In February 2019, while litigation in federal court was ongoing, Council of Churches’s Board of Directors adopted a resolution stating that Council of Churches, as holder of the wraparound note and mortgage, demanded that the Partnership “resume monthly debt service payments of interest on the Note & Mortgage.” Thereafter, the Partnership, which was operated by Council of Churches as general partner, began making the requested monthly payments to Council of Churches, the holder of the note and mortgage, which eventually totaled \$330,000.

C.

The Limited Partners then filed this derivative lawsuit on behalf of the Partnership, seeking “declaratory relief that a

3. (See *Council of Churches*, 2019 WL 1970517, *7 & nn 31, 33, 2019 US Dist LEXIS 75148, *18-19 & nn 31, 33; see also 2019 WL 1970517, *7 n 32, 2019 US Dist LEXIS 75148, *19 n 32 [(“I)n 2014 Penn acknowledged that one of the reasons he wanted to sell Birchwood Village was because the limited partners would have ‘federal tax liability . . . due to their recapture of their negative capital accounts from the Partnership’ ”].) Upon the dissolution of the Partnership, its assets—Birchwood Village—would be conveyed to Council of Churches in satisfaction of the Partnership’s debt obligation. Upon the Partnership’s conveyance of Birchwood Village back to Council of Churches, the Partnership, for tax purposes, would have been treated as having gained the fair market value of Birchwood—which, in the federal lawsuit, was estimated to be \$6.8 million (see ECF No. 17, declaration of CPA Douglas Zimmer in support of Council of Churches [Jan. 19, 2019] ¶ 22, in *Council of Churches*, US Dist Ct, WD NY, docket No. 18-CV-6920 CJS).

note and mortgage . . . made by the Partnership and held by defendant Council of Churches Housing Development Fund Company, Inc. . . . , which is the general partner of the Partnership, is unenforceable.” They alleged that the six-year limitations period for enforcing the wraparound note and mortgage expired on March 1, 2018, at which time they became unenforceable. Council of Churches acknowledged that the six-year statute of limitations set forth in CPLR 213 (4) generally applied to the enforceability of the wraparound note and mortgage, and that the note matured on March 1, 2012. Council of Churches, however, argued that the statute of limitations did not expire on March 2, 2018, because it was tolled under either section 17-101 (which requires an “acknowledgment or promise contained in a writing signed by the party to be charged” to toll the limitations period) or section 17-105 (1) of the General Obligations Law (which requires “a promise to pay the mortgage debt . . . either with or without consideration, by the express terms of a writing signed by the party to be charged” to toll the limitations period). Specifically, Council of Churches argued that the Partnership’s transmission to Council of Churches of the Partnership’s financial statements and tax returns constituted a written acknowledgment of the obligation and/or promise to pay sufficient to toll the statute of limitations under either provision. Council of Churches also argued that the Partnership’s payments to Council of Churches in response to its February 2019 demand for payment reflected an intent to honor the note and mortgage.

Supreme Court granted the Limited Partners’ cross motion for summary judgment. It ordered that “the WrapAround Note and Mortgage” were “cancel[ed] and discharge[d]”; that Council of Churches must “restore to the Partnership all mortgage loan payments that it has collected pursuant to the February 7, 2019 resolution”; and that Council of Churches’s “actions, subsequent to the expiration of the statute of limitations on March 3, 2018, to re-commence payments on the WrapAround Note and Mortgage (starting in February 2019) are invalid and are hereby set aside” (2019 NY Slip Op 34037[U], *13 [Sup Ct, Genesee County 2019]).

First, Supreme Court held that the limited partners “made ‘a *prima facie* showing of [their] entitlement to judgment as a matter of law by establishing that the subject mortgage is unenforceable since . . . the six-year limitations period for the commencement of an action to foreclose the mortgage expired’ ” (*id.* at *6, quoting *Deutsche Bank Natl. Trust Co. v Lee*, 60

Misc 3d 171, 175 [Sup Ct, Westchester County 2018]).

Next, Supreme Court considered whether Council of Churches had demonstrated that the statute of limitations was tolled under section 17-101 or 17-105 of the General Obligations Law. Initially, the court determined that “[b]ecause the WrapAround Note and Mortgage is a mortgage of real property, the issue whether it has been tolled or revived is **not** governed by [General Obligations Law] § 17-101” because “[s]ection 17-101, by its explicit terms, is inapplicable to actions for the recovery of real property” (*id.*). Thus, Supreme Court concluded that section 17-105 was the correct provision to apply and that the financial statements “d[id] not constitute a promise to pay the debt” and therefore the limitations period was not tolled by the financial statements (*id.* at *9). The court also went on to add that the financial statements were “insufficient . . . to constitute even an ‘acknowledgment’ of the debt,” which would have tolled the limitations period under section 17-101 (*id.*). Supreme Court declined to consider whether the tax returns constituted either a promise in satisfaction of section 17-105 or an acknowledgment in satisfaction of section 17-101.

Finally, Supreme Court determined that the payments made pursuant to the February 2019 resolution did not revive the statute of limitations pursuant to General Obligations Law § 17-107 because the payments constituted a breach of fiduciary duty (*id.* at *12-13).

The Appellate Division modified the order to require Supreme Court to grant the Limited Partners the declaration they requested and, as so modified, affirmed (189 AD3d 20 [4th Dept 2020]). First, the Appellate Division agreed with Supreme Court that section 17-105, not section 17-101, applied in this case (*id.* at 25-28). After determining that section 17-105 applied, the Appellate Division held that the financial statements delivered to Council of Churches did “not meet the requirements of subdivision (1) of [that statute] because those documents merely list[ed] the mortgage as a liability and d[id] not constitute an express promise to pay the mortgage debt” (*id.* at 28). The Court noted that Supreme Court erred in failing to consider the tax returns, but determined that “even when properly considered, the tax returns merely reflect[ed] that [the] Partnership had unspecified nonrecourse loans on its balance sheets and d[id] not constitute an express promise to pay the mortgage debt” (*id.*). Finally, the Court held that Supreme Court correctly determined that the payments made pursuant

to the February 2019 resolution were “void ab initio because [Council of Churches’s] actions to recommence payment on the mortgage . . . constituted a breach of fiduciary duty” (*id.*).

In its analysis, the Appellate Division mischaracterized the relief sought in the complaint; the Appellate Division characterized the Limited Partners as seeking “a judgment declaring pursuant to RPAPL 1501 (4) that the mortgage is unenforceable on the ground that the limitations period for enforcement thereof had expired” (*id.* at 23), whereas the complaint actually seeks “declaratory relief that a note and mortgage . . . made by the Partnership and held by defendant Council of Churches Housing Development Fund Company, Inc. . . . , which is the general partner of the Partnership, is unenforceable.” The complaint makes no mention of RPAPL 1501 (4).

Upon Council of Churches’s motion, we granted leave to appeal (36 NY3d 906 [2021]).

II.

At issue in this case is *both* a note and a mortgage. Supreme Court, the Appellate Division, and the majority err by treating the note and mortgage as if they were one instrument. They are two, with different characteristics, and different governing provisions under the General Obligations Law.

Regarding the mortgage, I agree with Supreme Court, the Appellate Division, and the majority that General Obligations Law § 17-105 “is the sole statute governing the tolling or revival of the statute of limitations for an action to foreclose a mortgage” and that “the Partnership’s delivery of its financial statements and tax returns to Council [of Churches] did not meet the requirements of section 17-105 (1) because they were not express promises to pay the mortgage debt” (majority op at 472-473). In practical terms, that means that Council of Churches has lost the ability to institute a foreclosure action.

But I dissent because the lower courts should have separately considered the note under the different statutory limitations period applicable to it. A note is a distinct instrument that provides distinct rights and remedies. A note, even if made to finance the acquisition of real property, need not be accompanied by a mortgage (*see e.g. Transbel Inv. Co. v Venetos*, 279 NY 207, 209 [1938]). A note is a special form of a contract to pay money: a negotiable instrument that can be enforced pursuant to its terms, irrespective of the existence or validity

of any mortgage (see e.g. *CitiMortgage, Inc. v Ramirez*, 192 AD3d 70, 72 [3d Dept 2020] [allowing plaintiff bank's action seeking a money judgment in the amount of the unpaid balance of a note after its separate foreclosure action was dismissed as time-barred]). To that end, I conclude that General Obligations Law § 17-101 governs the limitations analysis for a note.

The majority's assertion that the application of General Obligations Law § 17-101 was "neither preserved for review by any party nor raised in this Court" (majority op at 474 n 2) is belied by the record. During argument on the cross motions for summary judgment, Supreme Court asked counsel to discuss "the interplay between section 17-101 of the General Obligations Law and section 17-105 of the General Obligations Law." Counsel for Council of Churches responded that "17-101 . . . was made applicable in all actions other than a mortgage foreclosure action" and that "this isn't a foreclosure. This is an effort to invalidate the mortgage. So 17-105 has no application, whatsoever." Counsel for the Limited Partners argued that "regardless of whether 17-101 or 17-105 would be applicable, or even if both are applicable, they both require a writing signed by the party." Supreme Court expressly rejected Council of Churches's argument, holding that

"[b]ecause the WrapAround Note and Mortgage is a mortgage of real property, the issue whether it has been tolled or revived is **not** governed by [General Obligations Law] § 17-101, as Council [of Churches] asserts. Section 17-101, by its explicit terms, is inapplicable to actions for the recovery of real property" (2019 NY Slip Op 34037[U], *6).

Thus, the applicability of General Obligations Law § 17-101 was emphatically raised by Council of Churches, and emphatically rejected by Supreme Court on a purely legal ground. It would be hard to find a better preserved issue. Though unnecessary as to the preservation analysis, the Appellate Division recognized that Council of Churches has argued tolling both under General Obligations Law §§ 17-101 and 17-105, and affirmed Supreme Court's rejection of the former as inapplicable (189 AD3d at 25). In our Court, Council of Churches's opening brief states: "This case is essentially a bilateral dispute between a creditor and a debtor: the case does not present any material question regarding the ownership of real property" (brief for appellant at 10) and "[b]ecause the matter is simply a

dispute between a debtor and creditor, General Obligations Law § 17-101 governs” (*id.* at 11).

Further, the majority’s assertion that the parties have made “no suggestion that the note and mortgage could or should be treated separately for tolling purposes” (majority op at 474 n 2) is neither accurate nor relevant to preservation of the General Obligations Law § 17-101 issue. First, the majority substantiates its assertion with citations to a brief filed in this Court, which are not germane to the issue of whether the applicability of General Obligations Law § 17-101 was preserved below (and which argument, as discussed previously, was fully briefed, argued and decided).⁴ Second, the majority’s assertion mischaracterizes the entire first argument of Council of Churches’s brief, spanning 13 pages, in which it argued that “[w]ith the exception of actions for the recovery of real property, General Obligations Law 17-101 effectively revives, or tolls, a time-barred contract claim when the debtor has signed a writing which validly acknowledges the debt,” whereas “General Obligations Law § 17-105 only applies in an action to recover real property” (brief for appellant at 16, 22). Third, even had Council of Churches not contended that the tolling provisions in sections 17-101 and 17-105 are different, by arguing below that section 17-101 applies (and, separately, because Supreme Court expressly decided that section 17-101 does not apply), the issue of the applicability of section 17-101 would be fully preserved.

A.

A note is like an IOU. It is a contract in which a borrower agrees to repay a loan to a lender under certain terms and conditions (*see e.g. Carnwright v Gray*, 127 NY 92, 96 [1891]). If a borrower does not pay back the loan according to the terms

4. Had Council of Churches failed to raise the preserved issue of the applicability of General Obligations Law § 17-101 in our Court, that would constitute abandonment of the issue, not a failure to preserve it. Not only was the applicability of section 17-101 extensively briefed by both parties, but oral argument began with Council of Churches urging that “17-101 is applicable in all instances except for the recovery of real property” (tr at 3) and that the instant action

“is an action to determine the enforceability of a note and mortgage. And it’s important for the court to understand that as we’ve seen through the legislative revision committee, the critical distinction is that a note is a promise to repay and a mortgage is the grant of an interest in real property” (*id.*).

of the note, the lender can sue for breach of contract and obtain a money judgment for the value of the debt left unpaid under the note (see e.g. *Spodek v Park Prop. Dev. Assoc.*, 96 NY2d 577, 578 [2001]).

A mortgage secures a note (see e.g. *Butler v Miller*, 1 NY 496, 500 [1848]; *Freedom Mtge. Corp. v Engel*, 37 NY3d 1, 21 [2021]). By signing a mortgage, the borrower puts up a piece of property as collateral for the loan. That means that if the borrower does not pay back the loan, the lender may begin foreclosure proceedings—the legal process by which the property that is secured by the mortgage is sold to satisfy the debt.

At common law, the holder of a note and mortgage could sue on the note and could sue on the mortgage. Suing on the mortgage—that is, initiating a foreclosure proceeding—could be the better legal strategy when the value of the debt was less than, or even close to, the value of the secured property because a foreclosure action provided the benefit of immediately barring any transfer of the land and the prospect of relatively quick satisfaction of the debt through the foreclosure and sale of the property. To recover any additional debt owed, the holder of the note would then need to initiate a separate action on the note. In contrast, suing on the note could be the better legal strategy when the mortgaged property was not sufficient to satisfy the debt and the debtor had other readily available assets to satisfy a judgment. In that case, the noteholder would sue on the note and obtain a money judgment in the amount of the debt held. But, in many cases, the best option was to file both a suit on the note and a foreclosure action simultaneously.

Section 1628 of the (former) Code of Civil Procedure (now RPAPL 1301 [3]) modified the common-law rule and created New York’s so-called “one-action rule”: once a foreclosure action has been filed, a plaintiff may not simultaneously sue on the note without leave of the court in which the foreclosure proceeding is pending (see e.g. *Reichert v Stilwell*, 172 NY 83 [1902]; *Central Trust Co. v Dann*, 85 NY2d 767 [1995]). The purpose of the statutory rule “is to shield the mortgagor from the expense and annoyance of two independent actions at the same time with reference to the same debt” (*Central Trust Co.*, 85 NY2d at 772, quoting *Reichert*, 172 NY at 88). The adoption of the “one-action rule,” however, did not change the separateness of the note and mortgage; indeed, it accentuated it.

B.

Sections 17-101 and 17-105 of the General Obligations Law mirror the difference between a lawsuit on a note and a foreclosure action. A suit on a note falls within section 17-101, which provides:

“An acknowledgment or promise contained in a writing signed by the party to be charged thereby is the only competent evidence of a new or continuing contract whereby to take an action out of the operation of the provisions of limitations of time for commencing actions under the civil practice law and rules other than an action for the recovery of real property.”

A suit on a note is an action to obtain a money judgment; it is not within “an action for the recovery of real property,” and thus falls outside section 17-101’s exclusion. A victorious party in an action on a note does not receive property; it receives a money judgment that it must subsequently collect. To revive a “stale” note, a mere written “acknowledgment . . . of a . . . continuing contract” “signed by the party to be charged thereby” is sufficient.

By contrast, section 17-105 requires much more. That section applies to “the time limited for commencement of an action to foreclose a mortgage” and provides:

“[A] promise to pay the mortgage debt, if made after the accrual of a right of action to foreclose the mortgage and made, either with or without consideration, by the express terms of a writing signed by the party to be charged is effective, subject to any conditions expressed in the writing, to make the time limited for commencement of the action run from the date of the . . . promise” (General Obligations Law § 17-105 [1]).

Thus, it is much harder to revive a stale mortgage—it takes a “promise” in “the express terms of a [signed] writing.” The wording of section 17-105 also illuminates an additional point about section 17-101: by choosing to not include the requirement of “express terms of a writing” in section 17-101, as it did in section 17-105, the legislature clearly directed that implied acknowledgments are sufficient to revive a stale note, so long as they are contained “in a writing signed by the party to be charged thereby” (General Obligations Law § 17-101).

It is logical that the legislature made the policy choice to make it harder to avoid the statute of limitations to foreclose than to recover a debt—and that an express promise to continue a security interest in real property will be required, whereas a debt may continue to be enforceable even if the ability to foreclose has been lost. Indeed, legislative history demonstrates that the legislature purposefully meant to distinguish between actions on the debt (note) and actions to foreclose when it enacted Real Property Law § 251-a, which was eventually codified as General Obligations Law § 17-105. In 1961, when it enacted Real Property Law § 251-a, the legislature included a footnote that explained that the provision was adopted pursuant to a recommendation by the Law Revision Commission (*see* L 1961, ch 582 n, citing 1961 Legis Doc No. 65 [F] [“This is an amendment recommended by the Law Revision Commission”])). When it provided its recommendation to the legislature, the Law Revision Commission explained that the essential difference between a debt and a mortgage animated its decision:

“The proposition that an ‘acknowledgment’ revives a barred mortgage or tolls the statute of limitation applicable to an action to foreclose the mortgage leads to a result parallel to the rule under which an acknowledgment of a debt makes the time limited for action on the debt run from the date of the acknowledgment, whether the time had already expired or had merely started to run. The latter rule, however, has been generally explained on the ground that the acknowledgment implies a new promise to pay the debt, supported by the moral consideration of the previous obligation. Consistently with this view, it is held that the ‘acknowledgment’ must be made in terms and in circumstances consistent with such a new promise. This rationale is clearly inapplicable to an acknowledgment of a mortgage lien: a mortgage is not a promise, but an executed transaction; the mortgage lien is an interest in land requiring for its creation a written instrument which is a conveyance within the real property recording statutes” (*see* 1961 Rep of NY Law Rev Commn, reprinted in 1961 Legis Doc No. 65 [F], at 110).

As the Commission explained, a note is a contract—that is, an

enforceable promise made in exchange for consideration. Because a note is “supported by the moral consideration of the previous obligation,” a mere acknowledgment is sufficient for “an action on the debt”—the acknowledgment is supported by the implicit consideration in reviving the debt (*id.*). That rationale does not work for a mortgage because a mortgage “is not a promise, but an executed transaction”—“an interest in land” (*id.*). Thus, the legislature required a different, tougher standard for reviving a mortgage.

Our Court’s precedent confirms the conclusion that section 17-101 applies to the note and section 17-105 applies to the mortgage. In *Petito v Piffath* (85 NY2d 1 [1994]), we considered both statutes in concluding that a time-barred foreclosure had not been revived. *Petito* was a “somewhat idiosyncratic” case because the defendant had reassigned his fully paid mortgage to his brother to prevent other creditors from levying against the property (*id.* at 4-5). Nevertheless, our Court had good reason to consider both statutes. As the record in that case reveals, *Petito* presented not only an action to cancel a mortgage pursuant to RPAPL 1501 (4) but also involved a plenary action for foreclosure and sale of the mortgaged property and for a deficiency judgment on any remaining amount owed under the underlying note. Accordingly, the statute of limitations for an action to recover on the note was also at issue, and thus, as we expressly stated, “[r]esolution of this controversy depends on the proper application of General Obligations Law §§ 17-101, 17-105 (1) and § 17-107 (2) (b)” (*id.* at 7). Indeed, most of the analysis in *Petito* centered on section 17-101. Contrary to the majority’s assertion (majority op at 473), the parties *did* present our Court with the threshold question of which section of the General Obligations Law applied in a mortgage foreclosure action (*see* brief for plaintiff-respondent in *Petito v Piffath*, 85 NY2d 1 (1994), available at 1994 WL 16044902, *22-24, *28-33 [arguing that the statute of limitations was tolled under both General Obligations Law §§ 17-101 and 17-105]).

III.

A.

Determining that section 17-101 applies to the note, however, is not enough to resolve this case. Applying section 17-101 to the note—determining whether the documents submitted to Council of Churches constitute “[a]n acknowledgment or

promise contained in a writing signed by the party to be charged thereby” (General Obligations Law § 17-101)—requires the resolution of factual questions that should be determined by the lower courts applying the correct legal standard, which they did not do.

Council of Churches argues that the limitations period is tolled by the Partnership’s transmission to Council of Churches of both the financial statements and tax returns because both sets of documents “unambiguously disclose[] the WrapAround Note and Mortgage as a current liability of the Partnership, and contain[] nothing inconsistent with an intent to pay” (brief for appellant at 24). Importantly, Council of Churches’s argument is based not on the creation of those documents, but on the Partnership’s distribution of the documents to Council of Churches. A factual dispute exists as to why those documents were transmitted. The Limited Partners contend that the Partnership transmitted those documents to Council of Churches in its role as managing partner, not as debt holder, but the managing partner had those documents without any need for transmission, because the documents were in the possession of, and transmitted by, the managing partner. In addition, the Partnership Agreement required the Partnership to transmit the financial statements to the Limited Partners, but it contains no requirement that the Partnership transmit the financial statements to Council of Churches. Council of Churches claims the documents were transmitted to it in its capacity as debt holder, to reassure it that the Partnership continued to acknowledge the debt. In addition, at least one of the documents shows the liability on the Partnership’s books even after the expiration of the statute of limitations, which tends to support Council of Churches’s position. On cross motions for summary judgment, this unresolved question should preclude judgment for either party, and the matter should be remitted to Supreme Court for trial of the enforceability of the note on a full record using the legal standard set out in section 17-101, not section 17-105.

B.

Also at issue before Supreme Court was whether the commencement of mortgage payments beginning in February 2019 revived the limitations period for the mortgage. Supreme Court acknowledged that a partial payment can be effective in reviving an expired limitations period, but the court held that the

payments here were void ab initio because Council of Churches's actions to recommence payment on the mortgage in the midst of litigation over whether it should be removed as general partner constituted a breach of fiduciary duty (2019 NY Slip Op 34037[U], *12), and the Appellate Division affirmed (189 AD3d at 28-29).

But that holding is wrong because the Partnership and Council of Churches are distinct legal entities whose corporate form cannot be disregarded other than by a proper evidentiary showing, which no party has argued. In support of its holding, Supreme Court relied on a single case that deals with self-dealing by the same party—not two distinct legal entities—and was a New York case—not a District of Columbia case, the laws of which govern the Partnership (2019 NY Slip Op 34037[U], *12, citing *Szelega v O'Hara*, 159 AD2d 890, 891 [3d Dept 1990]). Similarly, the Appellate Division did not consider any facts concerning veil-piercing or mention the doctrine at all, but instead cited a case for the general proposition that a general partner has fiduciary duties to other partners (189 AD3d at 29, citing *Marmac Inv. Co., Inc. v Wolpe*, 759 A2d 620, 626 [DC 2000]). Neither court made any factual determination that the Partnership's payment of monthly installments due to Council of Churches under the note constituted a breach of fiduciary duty owed by Council of Churches, as managing partner, to the Limited Partners.

The corporate structure of and relationships between the parties admittedly present an unusual situation. The tax returns are signed by the Partnership; the financial reports are signed by independent auditors, who are the Partnership's agent. The Partnership was run by the managing partner, which was Council of Churches. So, were one to ignore the legal separateness of the parties, Council of Churches prepared the documents that arguably revived the limitations period on the note for the benefit of Council of Churches, in its capacity as the noteholder.

But absent proof of fraud sufficient to disregard corporate forms, which the record does not contain, the Partnership (which signed or the agent of which signed the documents) is a different legal entity than Council of Churches. In addition, the Limited Partners received the tax returns and the financial statements and, as the owners of 99% of the losses and profits (up to a point) of the Partnership, were clearly aware that the Partnership listed the note, including interest, as a current

debt of the Partnership to Council of Churches even after the statute of limitations had expired. Moreover, whereas the Partnership Agreement requires transmission of the financial statements to the Limited Partners, it does not require transmission to the debt holder. Because the Partnership and Council of Churches are legally distinct entities (unless a veil-piercing showing had been made) and the Partnership had no obligation to distribute the financial statements and tax returns to Council of Churches, the burden falls on the Limited Partners (derivatively through the Partnership) to show that the transmission of those documents was not done for the purpose of acknowledging the debt, which they have failed to do. Finally, perhaps most importantly, whether any fiduciary duty was breached is the very subject of the federal lawsuit filed before this lawsuit, and, though on a preliminary injunction record and not on a full trial, the federal district court concluded that the Limited Partners were not likely to succeed on the merits of their claim that Council of Churches had breached its fiduciary duty to them.

IV.

In sum, the proper result here has three parts. First, affirm that General Obligations Law § 17-105 governs the tolling or revival of the statute of limitations for an action to foreclose a mortgage and then hold that the Partnership's delivery of its financial statements and tax returns to Council of Churches did not meet the requirements of section 17-105 (1) because they were not express promises to pay the mortgage debt—as the majority does. Second, having clarified that General Obligations Law § 17-101 governs the tolling or revival of the statute of limitations for an action on a note, remit for trial applying that legal standard, which would include whether the transmission of the documents to Council of Churches constituted an acknowledgment of the debt or merely a required formality carrying with it no implication of an intent to repay.

Third, I would stay consideration of the partial repayment issue because it is intertwined with the fiduciary duty issue pending in the first-filed federal litigation (*see e.g. Asher v Abbott Labs.*, 307 AD2d 211, 211-212 [1st Dept 2003] [reversing the motion court's denial of stay when "the federal action was commenced first," "the defendants in the actions are the same, there is substantial overlap between the issues raised in the two proceedings," and "the federal action will result in a more

complete disposition of the basic . . . issues alleged” because “a stay will avoid duplication of effort and waste of judicial resources”]; *Halloran v Halloran*, 161 AD2d 562, 564 [2d Dept 1990] [“A court, pursuant to CPLR 2201, may, *sua sponte*, grant a stay of proceedings in an action that is pending before it”]). Only after the federal court set out its reasons that the Limited Partners were not likely to prevail did they come to state court to attempt what, if successful, would be an end run around the federal court. I am loathe to tolerate that sort of behavior.

Chief Judge DiFiore and Judges Garcia, Singas and Cannataro concur; Judge Wilson dissents in part in an opinion, in which Judge Rivera concurs.

Order affirmed, with costs.

[197 NE3d 437, 176 NYS3d 157]

In the Matter of TIM HARKENRIDER et al., Respondents-Appellants, v KATHY HOCHUL, as Governor, et al., Appellants-Respondents, et al., Respondents.

Argued April 26, 2022; decided April 27, 2022

SUMMARY

CROSS APPEALS, on constitutional grounds, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered April 21, 2022. The Appellate Division (1) modified, on the law, an order and judgment (denominated order) of the Supreme Court, Steuben County (Patrick F. McAllister, J.; op 76 Misc 3d 171 [2022]), which had (a) adjudged that petitioners have standing to bring the action; (b) adjudged that respondents Governor and Lieutenant Governor are necessary parties to the action; (c) adjudged that “the process used to enact the 2022 redistricting maps was unconstitutional and therefore void ab initio”; (d) adjudged that with regard to the enacted 2022 congressional map petitioners “were able to prove beyond a reasonable doubt that the map was enacted with political bias and thus in violation of the constitutional prohibition against gerrymandering under article III, §§ 4 and 5 of the [New York] Constitution”; (e) adjudged that the maps enacted by chapters 13 and 15 of the Laws of 2022 are “void and not usable”; (f) adjudged that the maps enacted by chapters 14 and 16 of the Laws of 2022 are “void and not usable”; (g) adjudged that “congressional, state senate and state assembly maps that were enacted after the 2010 census are no longer valid due to unconstitutional malapportionment and therefore can not be used”; (h) adjudged that “the legislation enacted in November, 2021 purporting to create a way to bypass the IRC [Independent Redistricting Committee] is unconstitutional and in clear violation of the People’s express desire to not amend the Constitution to permit the legislature to act in the event the IRC failed to submit maps”; (i) adjudged that the enacted legislation Laws of 2021, chapter 633, § 1 is “void and not usable” and “stricken from the books”; (j) granted a permanent injunction refraining and enjoining respondents and their agents from “using, applying, administering, enforcing or implementing any of the recently enacted 2022 maps for this or any other election in New York, including but not limited to the 2022 primary and general election for Congress, State Senate and State Assembly”; (k) ordered “that

the legislature shall have until April 11, 2022, to submit bipartisanly supported maps to [Supreme Court] for review”; and (1) ordered that if “the legislature fails to submit maps that receive sufficient bipartisan support by April 11, 2022, [Supreme C]ourt will retain a neutral expert at State expense to prepare said maps”; and (2) remitted to Supreme Court, Steuben County, for further proceedings in accordance with the plurality memorandum, including that, consistent with the Appellate Division’s “prior order entered upon respondents’ motion to stay Supreme Court’s order pending this appeal, the legislature has until April 30, 2022, to enact a constitutional replacement for the congressional map.” The modification consisted of (1) “denying the amended petition insofar as it sought declaratory and injunctive relief on the ground that the 2022 congressional and state senate maps were unconstitutionally enacted by the legislature”; (2) vacating the third, sixth, eighth, ninth, eleventh, twelfth and thirteenth decretal paragraphs; and (3) deleting the word “void” from the fifth decretal paragraph and substituting the word “unconstitutional.” The Appellate Division affirmed the judgment as modified.

Matter of Harkenrider v Hochul, 204 AD3d 1366, modified.

HEADNOTES

Parties — Standing — Voter Challenge to New Electoral Maps

1. Petitioners, New York voters residing in several different congressional districts, had standing to challenge the congressional and senate electoral maps created following a constitutionally mandated redistricting in which the Independent Redistricting Committee failed to follow the prescribed constitutional procedure notwithstanding that none of the individual petitioners resided in many of the districts that they claimed reflected unconstitutional partisan gerrymandering, as standing was expressly conferred by constitution and statute. New York Constitution, article III, § 5 provides that “[a]n apportionment by the legislature, or other body, shall be subject to review by the supreme court, at the suit of any citizen, under such reasonable regulations as the legislature may prescribe.” McKinney’s Unconsolidated Laws of NY § 4221 likewise authorizes “any citizen” of the state to seek judicial review of a legislative act establishing electoral districts.

Legislature — Apportionment — Procedural Constitutionality of Electoral Maps

2. In a special proceeding commenced under New York Constitution, article III, § 5 and McKinney’s Unconsolidated Laws of NY § 4221, the 2022 congressional and senate electoral maps composed and enacted by the New York State Legislature after the legislature rejected the first set of redistricting plans submitted by the Independent Redistricting Commission (IRC), which did not submit a second plan as required by 2014 constitutional amendments reforming the redistricting process, were invalidated based on respondents’ failure to follow the constitutionally mandated procedure. Invalidity of a

legislative enactment is required when such act amounts to a gross and deliberate violation of the plain intent of the Constitution and a disregard of its spirit and the purpose for which express limitations are included therein. Article III, § 4 is permeated with language that, when given its full effect, permits the legislature to undertake the drawing of district lines only after two redistricting plans composed by the IRC have been duly considered and rejected. Moreover, the text of section 4 contemplates that any redistricting act ultimately adopted must be founded upon a plan submitted by the IRC; in the event the IRC plan is rejected, the Constitution authorizes “amendments” to such plan, not the wholesale drawing of entirely new maps. The drafters of the 2014 constitutional amendments and the voters of this state intended compliance with the IRC process to be a constitutionally required precondition to the legislature’s enactment of redistricting legislation. Permitting the IRC to abandon its constitutional mandate with no impact on the ultimate result and the legislature to seize upon such inaction to bypass the IRC process and compose its own redistricting maps with impunity would effectively nullify the 2014 amendments.

Legislature — Apportionment — Substantive Constitutionality of Electoral Maps — Partisan Gerrymandering

3. In a special proceeding commenced under New York Constitution, article III, § 5 and McKinney’s Unconsolidated Laws of NY § 4221, there was record support for the affirmed finding that the 2022 congressional map enacted by the New York State Legislature after the legislature rejected the redistricting plans submitted by the Independent Redistricting Commission violated the constitutional provision prohibiting partisan gerrymandering. Petitioners bore the burden of proving beyond a reasonable doubt that the congressional districts were drawn with a particular impermissible intent or motive, such as to “discourage competition” or to “favor[] or disfavor[] incumbents or other particular candidates or political parties” (NY Const, art III, § 4 [c] [5]). Such invidious intent could be demonstrated directly or circumstantially through proof of a partisan process excluding participation by the minority party and evidence of discriminatory results. Given the partisan process, the map enacted by the legislature itself, and the expert testimony proffered by petitioners, there was a valid line of reasoning and permissible inferences which could possibly have led a rational factfinder to the conclusion reached on the basis of the evidence presented at trial. Several of respondents’ experts, who urged the court to draw the contrary inference, concededly did not take into account the reduction in competitive districts. Thus, there was no basis to disturb the determination of the courts below.

Legislature — Apportionment — Unconstitutional Electoral Maps — Judicial Intervention

4. In a special proceeding commenced under New York Constitution, article III, § 5 and McKinney’s Unconsolidated Laws of NY § 4221 in which the enactment of congressional and senate maps by the legislature was found to be procedurally unconstitutional and the congressional map also substantively unconstitutional as drawn with impermissible partisan purpose, the Court of Appeals endorsed the procedure directed by Supreme Court to order the adoption of a redistricting plan with the assistance of a neutral expert, designated a special master, following submissions from the parties, the legislature, and any interested stakeholders who wished to be heard. The power of the judiciary of a state to require valid reapportionment or to formulate a valid redistricting plan has not only been recognized by the United States Supreme Court but appropriate action by the states in such

cases has been specifically encouraged. The New York Constitution both requires expedited judicial review of redistricting challenges and authorizes the judiciary to “order the adoption of, or changes to, a redistricting plan” in the absence of a constitutionally-viable legislative plan (NY Const, art III, § 4 [e]). Where legislative maps have been determined to be unenforceable, it is as if no maps had been enacted. Prompt judicial intervention was both necessary and appropriate to guarantee the people’s right to a free and fair election.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d Elections §§ 34, 39, 62, 69.
McKINNEY’S, Unconsolidated Laws § 4221; NY Const, art III, §§ 4 (c) (5); 4 (e); 5.
NY JUR 2d Elections §§ 48, 51–52, 57–58.

ANNOTATION REFERENCE

Power of judiciary to compel legislature to make apportionment of representatives or election districts as required by Constitution. 46 ALR 964.

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POINTS OF COUNSEL

Phillips Lytle LLP, Buffalo (Craig R. Bucki, Steven B. Salcedo and Rebecca A. Valentine of counsel), and *Graubard Miller*, New York City (C. Daniel Chill and Elaine Reich of counsel), for Carl Heastie, appellant-respondent. I. Petitioners lacked standing to challenge most of New York’s enacted 2022 congressional districts. (*Wright v County of Cattaraugus*, 41 AD3d 1303; *Bay Ridge Community Council v Carey*, 115 Misc 2d 433, 103 AD2d 280, 66 NY2d 657.) II. The trial court erred by invalidating the assembly redistricting map sua sponte. (*New York Pub. Interest Research Group v Carey*, 42 NY2d 527; *Prashker v United States Guar. Co.*, 1 NY2d 584; *Self-Insurer’s Assn. v State Indus. Commn.*, 224 NY 13.) III. The New York Legislature did not enact the congressional and state senate redistricting maps in an unconstitutional manner beyond a reasonable doubt. (*Wiggins v Town of Somers*, 4 NY2d 215; *Lighthouse Shores v Town of Islip*, 41 NY2d 7; *Matter of Harvey v Finnick*, 88 AD2d 40; *Matter of Kelley v McGee*, 57 NY2d 522;

Leib v Walsh, 45 Misc 3d 874; *Matter of Dowling*, 219 NY 44; *Anderson v Regan*, 53 NY2d 356; *Mahnk v Blanchard*, 233 App Div 555; *Strasbourger v Leerburger*, 233 NY 55; *Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801.) IV. Petitioners failed to satisfy their burden to prove the unconstitutionality of New York's enacted 2022 congressional districts beyond a reasonable doubt. (*Schulz v State of New York*, 84 NY2d 231; *Sadek v Wesley*, 27 NY3d 982; *People v Wesley*, 83 NY2d 417; *Matter of Executive Cleaning Servs. Corp. v New York State Dept. of Labor*, 193 AD3d 13; *Kingsbrook Jewish Med. Ctr. v Allstate Ins. Co.*, 61 AD3d 13.) V. The trial court's remedy violates the state Constitution and equitable principles. (*Reynolds v Sims*, 377 US 533; *Upham v Seamon*, 456 US 37; *Whitcomb v Chavis*, 403 US 124; *Johnson v Miller*, 929 F Supp 1529.) VI. Remedial maps, if any, should not take effect until after the ongoing 2022 elections. (*Purcell v Gonzalez*, 549 US 1; *Veasey v Perry*, 574 US 951; *Frank v Walker*, 574 US 929; *Fay v Merrill*, 256 A3d 622; *Jones v Secretary of State*, 239 A3d 628; *Alliance for Retired Ams. v Secretary of State*, 240 A3d 45; *Baddillo v Katz*, 32 NY2d 825; *Honig v Board of Supervisors of Rensselaer County*, 31 AD2d 989, 24 NY2d 861; *Duquette v Board of Supervisors of County of Franklin*, 32 AD2d 706; *English v Lefever*, 110 Misc 2d 220.)

Cuti Hecker Wang LLP, New York City (*Eric Hecker*, *John Cuti*, *Alex Goldenberg*, *Alice Reiter* and *Daniel Mullkoff* of counsel), for Andrea Stewart-Cousins, appellant-respondent. I. The Independent Redistricting Commission's failure to act did not extinguish the New York State Legislature's authority to enact redistricting plans. (*Cohen v Cuomo*, 19 NY3d 196; *People ex rel. Carter v Rice*, 135 NY 473; *Matter of Sherrill v O'Brien*, 188 NY 185; *Matter of Burns v Flynn*, 268 NY 601; *Matter of Schneider v Rockefeller*, 31 NY2d 420; *Bay Ridge Community Council v Carey*, 103 AD2d 280, 66 NY2d 657; *Matter of Wolpoff v Cuomo*, 80 NY2d 70; *Leib v Walsh*, 45 Misc 3d 874.) II. Petitioners failed to prove beyond a reasonable doubt that the congressional redistricting plan is an unconstitutional partisan gerrymander. (*League of Women Voters v Commonwealth*, 178 A3d 737; *People ex rel. Sturgis v Fallon*, 152 NY 1; *Matter of Wolpoff v Cuomo*, 80 NY2d 70.) III. Petitioners lack standing. (*Matter of Mental Hygiene Legal Serv. v Daniels*, 33 NY3d 44; *Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761; *Bay Ridge Community Council v Carey*, 115 Misc 2d 433, 103 AD2d 280, 66 NY2d 657.) IV. The New York State Legislature must be afforded a reasonable opportunity to correct any

infirmities in the congressional redistricting plan. (*Matter of Orans*, 15 NY2d 339.)

Letitia James, Attorney General, Albany (*Jeffrey W. Lang* and *Jennifer L. Clark* of counsel), for Kathy Hochul and another, appellants-respondents. I. Executive respondents are not proper parties to this litigation. (*Greenfield v Harris*, 109 AD2d 869; *People v Ohrenstein*, 77 NY2d 38; *Bogan v Scott-Harris*, 523 US 44; *Warden v Pataki*, 35 F Supp 2d 354; *Chan v Pataki*, 201 F3d 430; *Supreme Court of Va. v Consumers Union of United States, Inc.*, 446 US 719.) II. The 2021 legislation addressing what should occur in the case of an Independent Redistricting Commission impasse is constitutional. (*Cohen v Cuomo*, 19 NY3d 196; *Matter of Cooper*, 22 NY 67; *Matter of Sherrill v O'Brien*, 188 NY 185; *Matter of Reynolds*, 202 NY 430; *Matter of Fay*, 291 NY 198.) III. Petitioners failed to demonstrate beyond a reasonable doubt that the 2022 congressional redistricting map is an unconstitutional partisan gerrymander. (*Matter of Wolpoff v Cuomo*, 80 NY2d 70.) IV. Even if this Court invalidates the congressional or senate redistricting maps, it should defer implementation of any remedial maps until the next election cycle. (*Purcell v Gonzalez*, 549 US 1.) V. The Appellate Division order should be deemed final for purposes of this Court's review to avoid irreparable injury, notwithstanding that the Appellate Division remitted the matter to Supreme Court for further proceedings. (*Regional Gravel Prods. v Stanton*, 71 NY2d 949; *Matter of T. [Joyce] [Christopher T.]*, 63 NY2d 601; *Matter of Kemp & Beatley [Gardstein]*, 61 NY2d 900.)

Troutman Pepper Hamilton Sanders LLP, New York City (*Misha Tseytlin* of counsel), for respondents-appellants. I. The Appellate Division erred in concluding that respondents did not contravene the mandatory, exclusive redistricting process enshrined in New York's Constitution where the New York Legislature enacted redistricting maps notwithstanding that the Independent Redistricting Commission did not submit a second set of maps. (*West 158th St. Garage Corp. v State of New York*, 256 App Div 401; *Matter of Miller*, 257 NY 349.) II. The Appellate Division's affirmance of Supreme Court's factual finding that the 2022 congressional redistricting map violated article III, § 4 (c) (5) of the New York Constitution is not reviewable; however, if found reviewable, petitioner's presented ample evidence to support Supreme Court's finding. (*Matter of Hofbauer*, 47 NY2d 648; *Congel v Malfitano*, 31 NY3d 272; *Hum-*

phrey v State of New York, 60 NY2d 742; *Cohen v Hallmark Cards*, 45 NY2d 493.) III. Supreme Court properly granted an immediate remedy, applicable to the 2022 elections. (*Landes v Town of N. Hempstead*, 20 NY2d 417; *Grove v Emison*, 507 US 25.) IV. Petitioners have standing to assert their claims against the 2022 redistricting maps. (*Matter of Graziano v County of Albany*, 3 NY3d 475; *Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761; *Matter of Humane Socy. of U.S. v Empire State Dev. Corp.*, 53 AD3d 1013.) V. Petitioners did not sue over the assembly districts. (*Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761.) VI. The Governor is a proper respondent. (*Dorst v Pataki*, 90 NY2d 696; *Clark v Cuomo*, 66 NY2d 185; *Matter of Schneider v Rockefeller*, 31 NY2d 420; *Matter of Wolpoff v Cuomo*, 80 NY2d 70.)

Campaign Legal Center, Washington, D.C. (*Paul M. Smith*, *Mark P. Gaber* and *Simone T. Leeper* of counsel), and Chicago, Illinois (*Annabelle E. Harless* of counsel), for Campaign Legal Center and another, amici curiae. I. Partisan gerrymandering is antidemocratic. (*Vieth v Jubelirer*, 541 US 267; *Wesberry v Sanders*, 376 US 1.) II. Partisan gerrymandering violates the New York Constitution.

Holwell Shuster & Goldberg LLP, New York City (*James M. McGuire*, *Daniel M. Sullivan* and *Gregory J. Dubinsky* of counsel), for League of Women Voters of New York State, amicus curiae. I. The 2014 amendment to the reapportionment and redistricting provisions of article III of the NY Constitution requires the judiciary to remedy the failure of the Independent Redistricting Commission and the legislature to adhere to the process the amendment mandates. (*People v Rathbone*, 145 NY 434; *People v Carroll*, 3 NY2d 686; *Cohen v Cuomo*, 19 NY3d 196; *Samuels, Kramer & Co. v C.I.R.*, 930 F2d 975; *Matter of Hirshfield v Craig*, 239 NY 98; *People v Grasso*, 42 AD3d 126, 11 NY3d 64; *McCulloch v Maryland*, 17 US 316; *Pataki v New York State Assembly*, 4 NY3d 75; *Central Bank of Denver, N. A. v First Interstate Bank of Denver, N. A.*, 511 US 164; *Matter of Mashnouk v Miles*, 55 NY2d 80.) II. By enforcing the procedure required by the 2014 amendment to the reapportionment and redistricting provisions of article III of the NY Constitution, this Court would reflect the understanding conveyed to the people before they adopted it. III. The 2014 amendment to the reapportionment and redistricting provisions of article III of the NY Constitution's process provisions provide substantive protections against gerrymandering. (*Ari-*

zona State Legislature v Arizona Independent Redistricting Comm’n, 576 US 787; *Bowsher v Synar*, 478 US 714.)

John Ciampoli, Massapequa, for Thomas F. O’Mara and others, amici curiae. The subject redistricting plans are void because the constitutional scheme for reapportionment was not followed. (*Yatauro v Mangano*, 17 NY3d 420.)

Emery Celli Brinckerhoff Abady Ward & Maazel LLP, New York City (*Matthew D. Brinckerhoff* and *Andrew G. Celli* of counsel), and *Elias Law Group LLP*, Washington, D.C. (*Aria C. Branch*, *Haley K. Costello Essig*, *Shanna M. Ruelbach*, *Maya M. Sequeira*, *Graham W. White*, *Christina A. Ford* and *Aaron M. Mukerjee* of counsel), for Jamaal Bowman and others, amici curiae. I. The New York congressional redistricting plan is constitutional. (*Matter of Wolpoff v Cuomo*, 80 NY2d 70; *Rodriguez v Pataki*, 308 F Supp 2d 346, 543 US 997; *Puerto Rican Legal Defense & Educ. Fund, Inc. v Gantt*, 796 F Supp 698; *Wesberry v Sanders*, 376 US 1.) II. The date of the 2022 primary election cannot be moved absent action by both the legislature and by the federal court, and it would be impossible to implement a new congressional redistricting map prior to the scheduled June primary. (*Quinn v Cuomo*, 69 Misc 3d 171.)

OPINION OF THE COURT

Chief Judge DiFiore.

In 2014, the people of the State of New York amended the State Constitution to adopt historic reforms of the redistricting process by requiring, in a carefully structured process, the creation of electoral maps by an Independent Redistricting Commission (IRC) and by declaring unconstitutional certain undemocratic practices such as partisan and racial gerrymandering. No one disputes that this year, during the first redistricting cycle to follow adoption of the 2014 amendments, the IRC and the legislature failed to follow the procedure commanded by the State Constitution. A stalemate within the IRC resulted in a breakdown in the mandatory process for submission of electoral maps to the legislature. The legislature responded by creating and enacting maps in a nontransparent manner controlled exclusively by the dominant political party—doing exactly what they would have done had the 2014 constitutional reforms never been passed. On these appeals, the primary questions before us are whether this failure to follow the prescribed constitutional procedure warrants invalida-

tion of the legislature's congressional and state senate maps and whether there is record support for the determination of both courts below that the district lines for congressional races were drawn with an unconstitutional partisan intent. We answer both questions in the affirmative and therefore declare the congressional and senate maps void. As a result, judicial oversight is required to facilitate the expeditious creation of constitutionally conforming maps for use in the 2022 election and to safeguard the constitutionally protected right of New Yorkers to a fair election.

I.

Every 10 years, following the federal census, reapportionment of the state senate, assembly, and congressional districts in New York must be undertaken to account for population shifts and potential changes in the state's allocated number of congressional representatives (*see* NY Const, art III, § 4). Redistricting—which is “primarily the duty and responsibility of the State” (*Perry v Perez*, 565 US 388, 392 [2012] [internal quotation marks and citation omitted]; *see Grove v Emison*, 507 US 25, 34 [1993])—is a complex and contentious process that, historically, has been “within the legislative power . . . subject to constitutional regulation and limitation” (*Matter of Orans*, 15 NY2d 339, 352 [1965]). In New York, prior to 2012, the process of drawing district lines was entirely within the purview of the legislature,¹ subject to state and federal constitutional restraint and federal voting laws, as well as judicial review.

Particularly with respect to congressional maps, exclusive legislative control has repeatedly resulted in stalemates, with opposing political parties unable to reach consensus on district lines—often necessitating federal court involvement in the development of New York's congressional maps (*see e.g. Favors v Cuomo*, 2012 WL 928223 *2, 2012 US Dist LEXIS 36910, *10 [ED NY, Mar. 19, 2012, No. 11-CV-5632 (RR)(GEL)(DLI)(RLM), Raggi, Lynch and Irizarry, JJ.]; *Rodriguez v Pataki*, 2002 WL 1058054, *7, 2002 US Dist LEXIS 9272, *25-27 [SD NY, May 24, 2002, No. 02 Civ 618(RMB), Walker, Ch. J., Koeltl and Ber- man, JJ.]; *Puerto Rican Legal Defense & Educ. Fund, Inc. v*

1. A legislative advisory task force on apportionment—created by statute and comprising lawmakers and staff selected by legislative leaders—conducted studies and proffered recommendations and proposed maps for the legislature's consideration (*see* Legislative Law § 83-m; L 1978, ch 45, § 1).

Gantt, 796 F Supp 681, 684 [ED NY 1992]). Among other concerns, the redistricting process has been plagued with allegations of partisan gerrymandering—that is, one political party manipulating district lines in order to disproportionately increase its advantage in the upcoming elections, disenfranchising voters of the opposing party (*see generally Rucho v Common Cause*, 588 US —, —, 139 S Ct 2484, 2494 [2019]).

By adopting the 2014 constitutional amendments, the people significantly altered both substantive standards governing the determination of district lines and the redistricting process established to achieve those standards. Given the history of legislative stalemates and persistent allegations of partisan gerrymandering, the constitutional reforms were intended to introduce a new era of bipartisanship and transparency through the creation of an independent redistricting commission and the adoption of additional limitations on legislative discretion in redistricting, including explicit prohibitions on partisan and racial gerrymandering (*see* Assembly Mem in Support of 2012 NY Senate-Assembly Concurrent Resolution S6698, A9526; Senate Introducer’s Mem in Support of 2013 NY Senate-Assembly Concurrent Resolution S2107, A2086). The Constitution now requires that the IRC—a bipartisan commission working under a constitutionally mandated timeline—is charged with the obligation of drawing a set of redistricting maps that, with appropriate implementing legislation, must be submitted to the legislature for a vote, without amendment (*see* NY Const, art III, §§ 4 [b]; 5-b [a]).² If this first set of maps is rejected, the IRC is required to prepare a second set that, again, would be subject to an up or down vote by the legislature, without amendment (*see* NY Const, art III, § 4 [b]). Under that constitutional framework, only upon rejection of a second

2. Many other states have also turned to independent redistricting commissions to curtail partisan gerrymandering (*see e.g.* Ariz Const, art IV, part 2, § 1; Cal Const, art XXI, § 2; Colo Const, art V, §§ 44-48.4; Conn Const, art III, § 6; Haw Const, art IV, § 2; Idaho Const, art III, § 2; Me Const, art IV, part 3, § 1-A; Mich Const, art IV, § 6; Mont Const, art V, § 14; NJ Const, art II, sec 2, §§ 1-9; Ohio Const, arts XI, XIX; Va Const, art II, § 6-A; Wash Const, art II, § 43). In upholding a state constitutional delegation of redistricting authority to an IRC, the United States Supreme Court has recognized that IRCs “generally draw their maps in a timely fashion and create districts both more competitive and more likely to survive legal challenge” and “have succeeded to a great degree [in limiting the conflict of interest implicit in legislative control over redistricting]” (*Arizona State Legislature v Arizona Independent Redistricting Comm’n*, 576 US 787, 798, 821 [2015] [internal quotation marks and citation omitted]).

set of IRC maps is the legislature free to offer amendments to the maps created by the IRC (*see* NY Const, art III, § 4 [b]) and, even then, a statutory restriction enacted as a companion to the constitutional reforms precluded legislative alterations that would affect more than two percent of the population in any district (*see* L 2012, ch 17, § 3).

II.

Following receipt of the results of the 2020 federal census, the redistricting process began in New York—the first opportunity for district lines to be drawn under the new IRC procedures established by the 2014 constitutional amendments. Due to shifts in New York’s population, the state lost a congressional seat and other districts were malapportioned, undisputedly rendering the 2012 congressional apportionment—developed by a federal court following a legislative impasse (*see Favors*, 2012 WL 928223, *2, 2012 US Dist LEXIS 36910, *10)—unconstitutional and necessitating the drawing of new district lines. Throughout 2021, the IRC held the requisite public hearings, gathering input from stakeholders and voters across the state to inform their composition of redistricting maps. In December 2021 and January 2022, however, negotiations between the IRC members deteriorated and the IRC, split along party lines, was unable to agree upon consensus maps. According to the IRC members appointed by the minority party, after agreement had been reached on many of the district lines, the majority party delegation of the IRC declined to continue negotiations on a consensus map, insisting they would proceed with discussions only if further negotiations were based on their preferred redistricting maps.

As a result of their disagreements, the IRC submitted, as a first set of maps, two proposed redistricting plans to the legislature—maps from each party delegation—as is constitutionally permitted if a single consensus map fails to garner sufficient votes (*see* NY Const, art III, § 5-b [g]). The legislature voted on this first set of plans without amendment as required by the Constitution and rejected both plans. The legislature notified the IRC of that rejection, triggering the IRC’s obligation to compose—within 15 days—a second redistricting plan for the legislature’s review (*see* NY Const, art III, § 4 [b]). On January 24, 2022—the day before the 15-day deadline but more than one month before the February 28, 2022 deadline—the IRC announced that it was deadlocked and, as a result, would

not present a second plan to the legislature. Within a week, the Democrats in the legislature—in control of both the Senate and Assembly—composed and enacted new congressional, senate, and assembly redistricting maps (*see* 2022 NY Senate-Assembly Bill S8196, A9167; 2022 NY Senate-Assembly Bill S8172A, A9039A; 2022 NY Senate-Assembly Bill S8197, A9168; 2022 NY Senate-Assembly Bill S8185A, A9040A), undisputedly without any consultation or participation by the minority Republican Party.³ On February 3rd, the Governor signed into law this new redistricting legislation, which also superseded the two percent limitation imposed in 2012 on the legislature’s authority to amend IRC plans (Senate Introducer’s Mem in Support, Bill Jacket, L 2012, ch 17 at 11, 2012 McKinney’s Session Laws of NY at 1484-1485).

That same day, petitioners—New York voters residing in several different congressional districts—commenced this special proceeding under article III, § 5 of the State Constitution and McKinney’s Unconsolidated Laws of NY § 4221 against various state respondents, including the Governor,⁴ Senate Majority Leader, Speaker of the Assembly, and the New York State Board of Elections, challenging the congressional and senate maps. Petitioners alleged that the process by which the 2022 maps were enacted was constitutionally defective because the IRC failed to submit a second redistricting plan as required under the 2014 constitutional amendments and, as such, the legislature lacked authority to compose and enact its own plan. Petitioners also asserted that the congressional map is unconstitutionally gerrymandered in favor of the majority party because it both “packed” minority-party voters into a select few districts and “cracked” other pockets of those voters across multiple districts, thereby diluting the competitiveness of those districts. Petitioners asked Supreme Court to enjoin

3. As one house of the legislature explained during this litigation, in their view “there [was no] reason for the Democratic super-majorities in both houses of the [l]egislature to seek ‘input or involvement’ from the Republican minorities” regarding the development of these legislative maps, characterizing such communications as inviting “time-wasting political theater” (reply brief for respondent-appellant Senate Majority Leader and President Pro Tempore of the Senate Andrea Stewart-Cousins at 13 in *Matter of Harkenrider v Hochul*, 204 AD3d 1366 [4th Dept 2022]).

4. Notwithstanding respondent Governor’s contentions to the contrary, any petition challenging redistricting legislation must be served upon the Attorney General, President of the Senate, Speaker of the Assembly and the Governor, who are proper parties to this proceeding (*see* Uncons Laws § 4221).

any elections from proceeding on the 2022 congressional map and to either adopt its own map or direct the legislature to cure the infirmities. Petitioners subsequently sought to amend their petition to include similar challenges to the state senate map. The state respondents answered that petitioners lacked standing to challenge most of the districts they claimed were gerrymandered, that the IRC's failure to perform its duty did not strip the legislature of its enduring authority to enact redistricting plans, and that petitioners could not meet their burden of proving that the maps were unconstitutionally partisan.

A trial ensued, at which petitioners and the state respondents presented expert testimony regarding the maps. Petitioners' expert, Sean P. Trende—a doctoral candidate who has a Juris Doctor, a master's degree in political science, and a master's degree in applied statistics, and who has participated as an expert in several redistricting proceedings in other states—was qualified as an expert in election analysis with particular knowledge in redistricting, with no objection from the state respondents or any request for a *Frye* hearing to challenge the efficacy of his methodology or the basis of his opinion. Trende testified that a comparison of the enacted congressional map to ensembles of 5,000 or 10,000 maps created by computer simulation revealed that the enacted map was an “extreme outlier” that likely reduced the number of Republican congressional seats from eight to four by “packing” Republican voters into four discrete districts and “cracking” Republican voter blocks across the remaining districts in such manner as to dilute the strength of their vote and render such districts noncompetitive.

Opposing experts called by the state respondents challenged Trende's methodology and asserted that the enacted congressional map actually resulted in more Republican districts than the simulated maps, although several conceded that they did not analyze the level of competitiveness of the new districts. Further, the State's experts defended various choices made by the legislature as justifiable based on constitutionally required considerations, contending that the enacted maps were not reflective of partisan intent.

After determining petitioners had standing to challenge the statewide maps, Supreme Court declared the congressional, state senate, and state assembly maps “void” under the State Constitution, reasoning that the legislature's enactment of

redistricting maps absent submission of a second redistricting plan by the IRC was unconstitutional and that 2021 legislation purporting to authorize the enactment (the 2021 legislation) was also unconstitutional (76 Misc 3d 171 [Sup Ct, Steuben County 2022]). Further, crediting Trende’s testimony, Supreme Court found that petitioners had proved that the congressional map violated the constitutional prohibition on partisan gerrymandering by packing Republican voters into four districts while ensuring there were “virtually zero competitive districts” (76 Misc 3d at 189-190). Supreme Court declared all three maps void, enjoined the state respondents from using the maps in the impending 2022 election, and directed the legislature to submit new “bipartisanly supported” maps that meet constitutional requirements for the court’s review by a particular date (76 Misc 3d at 194-195).

The state respondents appealed, and a Justice of the Appellate Division stayed much of Supreme Court’s order pending that appeal, including the deadline for submission of new redistricting maps by the legislature. However, the stay order did not prohibit Supreme Court from retaining a neutral expert to prepare a proposed new congressional map, which would have no force and effect until certain contingencies occurred, including the legislature’s failure to proffer its own new congressional maps by April 30th—30 days after the date of Supreme Court’s order.⁵ Thereafter, in a divided decision, the Appellate Division modified Supreme Court’s order by denying the petition, in part, vacating the declaration that the senate and assembly maps and the 2021 legislation were unconstitutional, but otherwise affirmed and remitted, with three Justices agreeing with Supreme Court that petitioners had met their burden of proving that the constitutional prohibition against partisan gerrymandering had been violated with respect to the 2022 congressional map, rendering that map void and unenforceable (204 AD3d 1366 [4th Dept 2022]).⁶ In reaching that conclusion, the Appellate Division relied on “evidence

5. Supreme Court also analyzed whether the state senate map was an unconstitutional partisan gerrymander after granting petitioners’ request to amend the petition to challenge the senate map but concluded petitioners did not meet their burden of proof on such claim. Petitioners have not sought review of that determination.

6. Supreme Court, as permitted by the stay, has procured the services of a neutral redistricting expert “to serve as special master to prepare and draw a new neutral, non-partisan [c]ongressional map” and has established a schedule by which the parties and other interested persons may submit com-

(n. cont’d)

of the largely one-party process used to enact the 2022 congressional map, a comparison of the 2022 congressional map to the 2012 congressional map, and the expert opinion and supporting analysis of Sean P. Trende” (*id.* at 1371). However, the Court rejected petitioners’ argument that both the congressional and senate maps were void due to the failure to adhere to the constitutional procedure, with one Justice dissenting on that point. The parties now cross-appeal as of right (*see* CPLR 5601 [b] [1]), challenging certain aspects of the Appellate Division order.

III.

[1] As a threshold matter, relying on common-law standing principles, the state respondents assert that petitioners lack standing to challenge many of the districts that they claim reflect unconstitutional partisan gerrymandering because none of the individual petitioners reside in those districts. Even absent the procedural challenge applicable to all districts, this contention is unavailing because standing is expressly conferred by constitution and statute. Article III, § 5 of the New York Constitution provides that “[a]n apportionment by the legislature, or other body, shall be subject to review by the supreme court, *at the suit of any citizen*, under such reasonable regulations as the legislature may prescribe” (emphasis added; *see* 3 Rev Rec, 1894 NY Constitutional Convention at 987; *Matter of Dowling*, 219 NY 44, 50 [1916]; *Schieffelin v Komfort*, 212 NY 520, 529 [1914]). Moreover, statutes may identify the class of persons entitled to challenge particular governmental action, relieving courts of the need to resolve the question under common-law principles (*see Matter of Mental Hygiene Legal Serv. v Daniels*, 33 NY3d 44, 50 n 2 [2019]; *Society of Plastics Indus. v County of Suffolk*, 77 NY2d 761, 769 [1991]; *Wein v Comptroller of State of N.Y.*, 46 NY2d 394, 399 [1979]; *see e.g.* State Finance Law § 123) and, here, Unconsolidated Laws § 4221 likewise authorizes “any citizen” of the state to seek judicial review of a legislative act establishing electoral districts. We therefore turn to consideration of the merits of petitioners’ challenges to the 2022 redistricting maps.

Petitioners first assert that, in light of the lack of compliance by the IRC and the legislature with the procedures set forth in

mentary and proposed redistricting plans for consideration prior to a planned hearing. Petitioners and several interested parties have already proffered submissions to that court.

the Constitution, the legislature’s enactment of the 2022 redistricting maps contravened the Constitution. To conclude otherwise, petitioners contend, would be to render the 2014 amendments—touted as an important reform of the redistricting process—functionally meaningless. We agree.

[2] Legislative enactments, including those implementing redistricting plans, are entitled to a “strong presumption of constitutionality” and redistricting legislation will be declared unconstitutional by the courts “‘only when it can be shown beyond reasonable doubt that it conflicts’” with the Constitution after “‘every reasonable mode of reconciliation of the statute with the Constitution has been resorted to, and reconciliation has been found impossible’” (*Matter of Wolpoff v Cuomo*, 80 NY2d 70, 78 [1992] [some internal quotation marks omitted], quoting *Matter of Fay*, 291 NY 198, 207 [1943]; see *Cohen v Cuomo*, 19 NY3d 196, 201-202 [2012]). Nevertheless, invalidation of a legislative enactment is required when such act amounts to “‘a gross and deliberate violation of the plain intent of the Constitution and a disregard of its spirit and the purpose for which express limitations are included therein’” (*Cohen*, 19 NY3d at 202, quoting *Matter of Sherrill v O’Brien*, 188 NY 185, 198 [1907]).

To determine whether the legislature’s 2022 enactment of redistricting legislation comports with the Constitution, our starting point must be the text thereof. “In construing the language of the Constitution as in construing the language of a statute, . . . [we] look for the intention of the People and give to the language used its ordinary meaning” (*Matter of Sherrill*, 188 NY at 207; see *White v Cuomo*, 38 NY3d 209, 219-220 [2022]; *Burton v New York State Dept. of Taxation & Fin.*, 25 NY3d 732, 739 [2015]; *Matter of Carey v Morton*, 297 NY 361, 366 [1948]). Upon careful review of the plain language of the Constitution and the history pertaining to the adoption of the 2014 reforms, it is evident that the legislature and the IRC deviated from the constitutionally mandated procedure.

From a procedural standpoint, the Constitution—as amended in 2014—requires that, every 10 years commencing in 2020, an “independent redistricting commission” comprising 10 members—eight of whom are appointed by the majority and minority leaders of the senate and assembly and the remaining two by those eight appointees—shall be established (see NY Const, art III, § 5-b [a]). The members must be a diverse group of registered voters and cannot be (or recently have been)

members of the state or federal legislature, statewide elected officials, state officers or legislative employees, registered lobbyists, or political party chairmen, or the spouses of state or federal elected officials (*see* NY Const, art III, § 5-b [b], [c]).

Under the Constitution, the IRC must make its draft redistricting plans available to the public and hold no less than 12 public hearings throughout the state regarding proposals for redistricting, ensuring transparency and giving New Yorkers a voice in the redistricting process (*see* NY Const, art III, § 4 [c]). After considering public comments and working together across party lines to compose new redistricting lines, the IRC must submit its approved plan and implementing legislation to the legislature no later than January 15th in a redistricting year (*see* NY Const, art III, § 4 [b]), with the caveat that, if the IRC is unable to muster the requisite number of votes for a single plan, it must provide the legislature with each plan that “garnered the highest number of votes in support of its approval by the [IRC]” (NY Const, art III, § 5-b [g]). If the legislature rejects the IRC’s first plan, the Constitution requires the IRC to go back to the drawing board, work to reach consensus, and “prepare and submit to the legislature a second redistricting plan and the necessary implementing legislation” to the legislature within 15 days and in no case later than February 28th (NY Const, art III, § 4 [b]). “If” the legislature fails to approve the second plan without amendment, the Constitution then directs that “each house shall introduce such implementing legislation”—a clear reference to the IRC’s second plan—with any amendments each house of the legislature deems necessary (NY Const, art III, § 4 [b]). As a further safeguard against one party dominating redistricting, the Constitution dictates that the number of votes required for the IRC and legislature to approve a plan differs depending on whether the legislature is controlled by one political party or control of the houses are split between the parties (*see* NY Const, art III, §§ 4 [b] [1]-[3]; 5-b [f] [1], [2]).

The Redistricting Reform Act of 2012, legislation enacted in conjunction with the 2012 constitutional resolution, further provides as a matter of statutory law that “[a]ny amendments by the senate or assembly to a redistricting plan submitted by the [IRC] . . . shall not affect more than two percent of the population of any district contained in such plan” (L 2012, ch 17, § 3). As the sponsor of the legislation explained, “[i]f the [IRC’s] second plan [was] also rejected . . . , each house may

then amend *that plan* prior to approval except that such amendments . . . cannot affect more than two percent of the population of any district *in the commission's plan*,” a limitation designed to “provide reasonable restrictions on the legislature’s changes to the commission’s plans” (Senate Introductor’s Mem in Support, Bill Jacket, L 2012, ch 17 at 15, 2012 McKinney’s Session Laws of NY at 1487 [emphasis added]).

The plain language of article III, § 4 dictates that the IRC “*shall* prepare” and “*shall* submit” to the legislature a redistricting plan with implementing legislation, that IRC plan “*shall* be voted upon, without amendment” by the legislature, and—in the event the first plan is rejected—the IRC “*shall* prepare and submit to the legislature a second redistricting plan and the necessary implementing legislation,” which again “*shall* be voted upon, without amendment” (NY Const, art III, § 4 [b] [emphasis added]). “*If*” and only “*if*” that second plan is rejected, does the Constitution permit the legislature to introduce its own implementing legislation, “with any amendments” to the IRC plans deemed necessary that otherwise comply with constitutional directives (NY Const, art III, § 4 [b] [emphasis added]).

“In the construction of constitutional provisions, the language used, if plain and precise, should be given its full effect” and “[i]t must be presumed that its framers understood the force of the language used and, as well, the people who adopted it” (*People v Rathbone*, 145 NY 434, 438 [1895]). Our Constitution is “an instrument framed deliberately and with care, and adopted by the people as the organic law of the State” and, when interpreting it, we may “not allow for interstitial and interpretative gloss . . . by the other [b]ranches [of the government] that substantially alters the specified law-making regimen” set forth in the Constitution (*Matter of King v Cuomo*, 81 NY2d 247, 253 [1993]).

Article III, § 4 is permeated with language that, when given its full effect, permits the legislature to undertake the drawing of district lines *only* after two redistricting plans composed by the IRC have been duly considered and rejected.⁷ Moreover, the text of section 4 contemplates that any redistricting act

7. Indeed, the description on the 2014 ballot informed voters considering whether to support the constitutional amendments that “the legislature may only amend the redistricting plan . . . if the commission’s plan is rejected twice by the legislature.”

ultimately adopted must be founded upon a plan submitted by the IRC; in the event the IRC plan is rejected, the Constitution authorizes “amendments” to such plan, not the wholesale drawing of entirely new maps (NY Const, art III, § 4 [b]; see NY Assembly Debate on 2012 NY Assembly Bill A9557, Mar. 15, 2012 at 39 [“The Constitutional amendment allows the (l)egislature to *amend* the plan submitted by the independent redistricting commission *if* the (l)egislature has twice rejected submitted plans” (emphasis added)]).⁸

Despite clear constitutional language, the state respondents posit that it is wrong to interpret the 2014 constitutional amendments as requiring two separate IRC plans as a precondition to the legislature’s exercise of its long-standing and historically unbridled authority to enact redistricting legislation.⁹ They further rely on the 2021 legislation authorizing the legislature to move forward on redistricting even if the IRC fails to submit maps as permissibly filling a purported gap in the constitutional design. However, in addition to being contrary to the text of the Constitution as we have explained, the state respondents’ arguments are also belied by the purpose of the 2014 amendments and the relevant legislative history—including the legislature’s own statements regarding the intent and effect of the 2014 constitutional reform effort.

8. Judge Rivera’s contention that the IRC process was not violated because two sets of maps were simultaneously submitted by the IRC in the first round—one by the Democratic delegation and one by the Republican delegation—is remarkable. Under her view, this was the functional equivalent of the successive presentations required by the Constitution. Aside from being directly contrary to the text of the Constitution, the intent of the people who adopted the 2014 reforms, and the relevant legislative history, such contention has not been advanced by any party before this Court, a reflection of its total lack of merit.

9. In a reply brief submitted in the Appellate Division, one of the state respondents candidly acknowledged that the constitutional process was not followed here, asserting that “[e]veryone agrees” that the Constitution requires two rounds of IRC recommendations “and that the [l]egislature vote up or down on each Commission proposal without amendment before exercising its authority to make any amendments”; and that “nobody suggests that ‘the process’ is optional” (reply brief for respondent-appellant Senate Majority Leader and President Pro Tempore of the Senate Andrea Stewart-Cousins at 2-3 in *Matter of Harkenrider v Hochul*, 204 AD3d 1366 [4th Dept 2022]). Despite acknowledging the constitutional violation, however, they essentially view it as irrelevant because the legislature could ultimately have adopted its own maps through the amendment process following a properly completed IRC procedure. This view ignores the fact that procedural requirements matter and are imposed precisely because, as here, they safeguard substantive rights.

Indeed, the state respondents studiously ignore events that gave rise to the 2014 amendments. During the previous redistricting cycle in 2012, the New York Legislature was unable to reach agreement on legislation setting the congressional district lines and, as a result, a federal court ordered the adoption of a judicially-drafted congressional redistricting plan (*see Favors*, 2012 WL 928223, *2, 2012 US Dist LEXIS 36910, *10). While the 2012 legislature did agree on state senate and assembly maps, the proposed maps were widely criticized as a product of partisan gerrymandering, prompting the then-Governor to threaten to veto the plans absent a concrete legislative commitment to redistricting reform (*see* Micah Altman & Michael P. McDonald, *A Half-Century of Virginia Redistricting Battles: Shifting from Rural Malapportionment to Voting Rights to Public Participation*, 47 U Rich L Rev 771, 829 [2013]; Thomas Kaplan, *An Update on New York Redistricting*, NY Times, Mar. 7, 2012, § A at 25; Thomas Kaplan, *An Update on New York Redistricting*, NY Times, Mar. 9, 2012, § A at 25). Thus, as we have discussed, in conjunction with enactment of the 2012 redistricting acts (*see* L 2012, ch 16), the legislature affirmed its commitment to redistricting reform by passing the Redistricting Reform Act of 2012 (*see* L 2012, ch 17) and the first of the two concurrent resolutions proposing the constitutional amendments creating the IRC process (*see* 2012 NY Senate-Assembly Concurrent Resolution S6698, A9526 [Mar. 11, 2012]). Characterizing the legislature’s 2012 senate and assembly district lines as “significantly flawed,” the Governor nevertheless approved the redistricting legislation that year in light of the legislature’s demonstrated agreement to “permanent[ly]” and “meaningful[ly]” reform the redistricting process for future years and “provide[] transparency to a process [otherwise] cloaked in secrecy and largely immune from legal challenges to partisan gerrymandering” (Governor’s Approval Mem, Bill Jacket, L 2012, ch 17 at 5-6, 2012 NY Legis Ann at 12-13).

As the surrounding context and history of the 2014 amendments illustrate, the constitutional amendments adopted by the two consecutive legislatures and the voters—from the provisions detailing the composition of the IRC to those setting forth the voting metrics—were carefully crafted to guarantee that redistricting maps have their origin in the collective and transparent work product of a bipartisan commission that is constitutionally required to pursue consensus to draw district

lines. The procedural amendments—along with a novel *substantive* amendment of the State Constitution expressly prohibiting partisan gerrymandering, discussed further below—were enacted in response to criticism of the scourge of hyper-partisanship, which the United States Supreme Court has recognized as “incompatible with democratic principles” (*Arizona State Legislature v Arizona Independent Redistricting Comm’n*, 576 US at 791 [internal quotation marks, brackets and citation omitted]).

As reflected in the legislative record, the IRC’s fulfillment of its constitutional obligations was unquestionably intended to operate as a necessary precondition to, and limitation on, the legislature’s exercise of its discretion in redistricting. The legislative record shows that the 2012 legislature—the drafters of the constitutional amendments—intended to “comprehensively” reform and “implement historic changes to achieve a fair and readily transparent process” to “ensure that the drawing of legislative district lines in New York will be done by a bipartisan, independent body”—rather than entirely by the legislature itself (Assembly Mem in Support, 2012 NY Senate-Assembly Concurrent Resolution S6698, A9526; Senate Introducer’s Mem in Support, 2013 NY Senate-Assembly Concurrent Resolution S2107, A2086). As the sponsors explained, the reforms were designed to “substantively and fundamentally” alter the redistricting process, allowing “[f]or the first time, both the majority and minority parties in the legislature [to] have an equal role in the process of drawing lines,” with these “far-reaching” constitutional reforms touted as a template “for independent redistricting throughout the United States” (Assembly Mem in Support, 2013 NY Senate-Assembly Concurrent Resolution S2107, A2086).

The senate debate indicates that the constitutional provision allowing the legislature to amend the second redistricting plan submitted by the IRC only after twice voting on and rejecting IRC plans was intended to encourage bipartisan participation by the legislature in the redistricting process. The senate sponsor explained that “[o]n the third enactment, there could be amendments under this provision. But again, it would be the third time—not first time, not the second time, but the third time in order to get ultimately a product produced” (NY Senate Debate on 2013 NY Assembly Bill A2086, Jan. 23, 2013 at 222). In other words, “[i]f there cannot be agreement, if the Governor vetoes the provision twice, . . . that third time the Legislature

would be acting. But not until that time” (*id.* at 224) because “the intent of th[e] resolution [wa]s to have the Legislature act and vote on . . . a [second] plan” before undertaking any amendments of its own (*id.* at 226). Answering a charge that the IRC would essentially be only “an advisory commission” since the legislature could ultimately reject both sets of IRC maps, the senate sponsor explained that the IRC process was intended, in part, to impose consequences on the legislature for rejecting plans developed through a bipartisan process by forcing it to take a public position refusing to adopt district lines that were developed with an “enormous amount of citizen input” and effort (*id.* at 228).

It is no surprise, then, that the Constitution dictates that the IRC-based process for redistricting established therein “shall govern redistricting in this state *except* to the extent that a court is required to order the adoption of, or changes to, a redistricting plan as a remedy for a violation of law” (NY Const, art III, § 4 [e] [emphasis added]). Contrary to the state respondents’ contentions, the detailed amendments leave no room for legislative discretion regarding the particulars of implementation; this is not a scenario where the Constitution fails to provide “specific guidance” or is “silen[t] on th[e] issue” (*Cohen*, 19 NY3d at 200, 202). Under the 2014 amendments, compliance with the IRC process enshrined in the Constitution is the *exclusive* method of redistricting, absent court intervention following a violation of the law, incentivizing the legislature to encourage and support fair bipartisan participation and compromise throughout the redistricting process.¹⁰

That the IRC process was intended to operate as a limitation on the legislature’s power to compose district lines is further

10. The state respondents and Judge Rivera assert that giving force to the constitutional language risks gamesmanship by minority members of the IRC, claiming such members could potentially derail the redistricting process by refusing to participate. In giving effect to the constitutional reforms endorsed by the people of this state, our decision does not leave the legislature hostage to that body as Judge Rivera contends. Legislative leaders appoint a majority of the IRC members and, in the event those members fail either to appear at IRC meetings or to otherwise perform their constitutional duties, judicial intervention in the form of a mandamus proceeding, political pressure, more meaningful attempts at compromise, and possibly even replacement of members who fail to faithfully perform their duties, are among the many courses of action available to ensure the IRC process is completed as constitutionally intended. The IRC may not be a panacea, but to accept the crabbed description of that body proffered by the state respondents and Judge Rivera would be to render the body nothing more than “window dressing” masquerading as meaningful reform.

underscored by the Redistricting Reform Act of 2012 (*see* L 2012, ch 17). That legislation, adopted simultaneously with the 2012 constitutional resolution, instituted the two percent limitation on the legislature’s authority (*see* L 2012, ch 17, § 3). In describing this particular reform, the sponsor of the bill explained that “[i]f the legislature fails to pass” the IRC’s second plan “it may then amend such plans and vote upon them as amended. However, any such amendments shall be limited . . . to affect no more than two percent of the population of any district in such plan” (Senate Introducer’s Mem in Support, Bill Jacket, L 2012, ch 17 at 11, 2012 McKinney’s Session Laws of NY at 1484-1485). Thus, although the legislature retains the ultimate authority to enact districting maps upon completion of the IRC process, the constitutional reforms were clearly intended to promote fairness, transparency, and bipartisanship by requiring, as a precondition to redistricting legislation, that the IRC fulfill a substantial and constitutionally required role in the map drawing process.¹¹

Indeed, recent events suggest that the legislature itself recognized that the Constitution did not permit it to proceed with redistricting absent compliance with the bipartisan IRC process. Apparently forecasting that the IRC would not comply with its constitutional obligations, in the summer of 2021—before the IRC had even been given a chance to fulfill its constitutional role—the legislature attempted to amend the Constitution to add language authorizing it to introduce redistricting legislation “[i]f . . . the redistricting commission fails to vote on a redistricting plan and implementing legislation by the required deadline” for any reason (2021 NY Senate-Assembly Concurrent Resolution S515, A1916). After New York voters rejected this constitutional amendment (among others)—and with the first redistricting cycle since the 2014 amendments on the horizon—the legislature attempted to fill a purported “gap” in constitutional language by *statutorily*

11. In 2022—the very first time that the legislature had occasion to implement the IRC procedure and the two percent rule (L 2012, ch 17, § 3)—that provision was disregarded. The legislature wholly superseded the two percent rule by prefacing the 2022 redistricting legislation with language indicating that such districts were enacted as provided therein “notwithstanding any other provision of law to the contrary” and providing that the new legislation “shall supersede any inconsistent provision of law including but not limited to” the two percent rule (L 2022, chs 13, 14, 15, 16). Despite this attempted end run, however, the 2012 redistricting reform legislation provides relevant evidence of the drafters’ intent.

amending the IRC procedure in the same manner (*see* L 2021, ch 633). In this Court, the state respondents attempt to rely on the 2021 legislation to justify the deviation from constitutional requirements. Needless to say, the bipartisan process was placed in the State Constitution specifically to insulate it from capricious legislative action and to ensure permanent redistricting reform absent further amendment to the Constitution, which has not occurred. The 2021 legislation is unconstitutional to the extent that it permits the legislature to avoid a central requirement of the reform amendments (*see Matter of King*, 81 NY2d at 252 [“The (l)egislature must be guided and governed in this particular function by the Constitution, not by a self-generated additive”]).

In sum, there can be no question that the drafters of the 2014 constitutional amendments and the voters of this state intended compliance with the IRC process to be a constitutionally required precondition to the legislature’s enactment of redistricting legislation. In urging this Court to adopt their view that the IRC may abandon its constitutional mandate with no impact on the ultimate result and by contending that the legislature may seize upon such inaction to bypass the IRC process and compose its own redistricting maps with impunity, the state respondents ask us to effectively nullify the 2014 amendments. This we will not do. Indeed, such an approach would encourage partisans involved in the IRC process to avoid consensus, thereby permitting the legislature to step in and create new maps merely by engineering a stalemate at any stage of the IRC process, or even by failing to appoint members or withholding funding from the IRC. Through the 2014 amendments, the people of this state adopted substantial redistricting reforms aimed at ensuring that the starting point for redistricting legislation would be district lines proffered by a bipartisan commission following significant public participation, thereby ensuring each political party and all interested persons a voice in the composition of those lines. We decline to render the constitutional IRC process inconsequential in the manner requested by the state respondents, a result that would “violat[e] . . . the plain intent of the Constitution and . . . disregard [the] spirit and the purpose” of the 2014 constitutional amendments (*Cohen*, 19 NY3d at 202 [internal quotation marks omitted]).

IV.

Having addressed the procedural violation, we turn to the substantive partisan gerrymandering claim. As a threshold matter, despite our invalidation of the maps on procedural grounds, we nevertheless must determine on the state respondents' cross appeal whether the courts below properly declared that the congressional map was also substantively unconstitutional.¹²

In addition to the procedural amendments, in 2014, the people also amended the New York State Constitution to include certain substantive limitations on redistricting, including an express prohibition on partisan gerrymandering, commanding that “[d]istricts shall not be drawn to discourage competition or for the purpose of favoring or disfavoring incumbents or other particular candidates or political parties” (NY Const, art III, § 4 [c] [5]).¹³ This amendment was made in recognition that the practice of partisan gerrymandering “jeopardizes ‘[t]he

12. While we agree with Judge Troutman that this Court should not issue advisory opinions, her suggestion that no actual case or controversy is presented by the state respondents' appeal—here as of right on the substantial constitutional question of whether the Appellate Division erred in invalidating the congressional map on the ground of partisan gerrymandering—is quite extraordinary. Even if the state respondents were not otherwise entitled to review of the declaration that the apportionment legislation was infected by such invidious intent, there are substantial arguments before this Court concerning the proper remedy in the event of a constitutional violation—arguments that turn, in part, on whether the violation involved procedural or substantive constitutional provisions. The question of whether the congressional map amounts to a partisan gerrymander is also relevant to the issue of whether the primary election should be permitted to proceed on the maps drawn by the legislature, despite the determination of procedural unconstitutionality. Moreover, given our conclusion that new maps must be drawn in light of the procedural violation—a conclusion with which Judge Troutman agrees—resolution of the issue is critical to provide necessary guidance to inform the development of a new congressional map on remittal.

13. The 2014 constitutional amendments also forbid racial gerrymandering, in a provision that similarly prohibits an invidious intent or motive, requiring that district lines “shall not be drawn to have the purpose of, nor shall they result in, the denial or abridgement of” the voting rights of racial or minority language groups (NY Const, art III, § 4 [c] [1]). Other requirements added that year directed certain results, namely, that redistricting, to the extent possible, maintain cores of existing districts, preexisting political subdivisions—such as counties, cities, and towns—and communities of interest (*see* NY Const, art III, § 4 [c] [5]). These requirements supplement the long-standing constitutional constraints on redistricting embodied in the State Constitution requiring, to the extent practical, that districts “contain as nearly as may be an equal number of inhabitants,” “consist of contiguous

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ordered working of our Republic, and of the democratic process’ ” and, “[a]t its most extreme, the practice amounts to ‘rigging elections,’ ” which violates “the most fundamental of all democratic principles—that ‘the voters should choose their representatives, not the other way around’ ” (*Gill v Whitford*, 585 US —, —, 138 S Ct 1916, 1940 [2018], quoting *Arizona State Legislature*, 576 US at 824).

In this case, petitioners asserted that, along with being procedurally flawed, the 2022 congressional map enacted by the legislature violates the constitutional provision prohibiting partisan gerrymandering. To prevail on such claim, petitioners bore the burden of proving beyond a reasonable doubt that the congressional districts were drawn with a particular impermissible intent or motive—that is, to “discourage competition” or to “favor[] or disfavor[] incumbents or other particular candidates or political parties” (NY Const, art III, § 4 [c] [5]). Such invidious intent could be demonstrated directly or circumstantially through proof of a partisan process excluding participation by the minority party and evidence of discriminatory results (i.e., lines that impactfully and unduly favor or disfavor a political party or reduce competition).

Here, at the conclusion of the nonjury trial, Supreme Court—based on the partisan process, the map enacted by the legislature itself, and the expert testimony proffered by petitioners—found by “clear evidence and beyond a reasonable doubt that the congressional map was unconstitutionally drawn with political bias” to “significantly reduce[]” the number of competitive districts (76 Misc 3d at 190-191). The Appellate Division affirmed, similarly drawing an inference of invidious partisan purpose based on “evidence of the largely one-party process used to enact the 2022 congressional map, a comparison of the 2022 congressional map to the 2012 congressional map, and the expert opinion and supporting analysis of Sean P. Trende,” finding that “the 2022 congressional map was drawn to discourage competition and favor democrats” (204 AD3d at 1371).

[3] We reject respondents’ assertion that the evidence was legally insufficient to establish an unconstitutional partisan

territory,” and be “as compact in form as practicable” (NY Const, art III, § 4 [c] [2]-[4]), and those required by federal law—such as conformity with the “one person, one vote” principle (*Abrams v Johnson*, 521 US 74, 98 [1997]; see *Wesberry v Sanders*, 376 US 1, 8 [1964]) and with the federal Voting Rights Act (see generally 52 USC § 10301).

purpose. Viewing the evidence in the light most favorable to petitioners and drawing every inference in their favor, there is a “valid line of reasoning and permissible inferences which could possibly lead [a] rational [factfinder] to the conclusion reached by the [factfinder] on the basis of the evidence presented at trial” (*Cohen v Hallmark Cards*, 45 NY2d 493, 499 [1978]). Moreover, where, as here, this Court is presented with affirmed findings of fact in a civil case, our review is limited to whether there is record support for those findings (*see Matter of Rittersporn v Sadowski*, 48 NY2d 618 [1979]). There is record support in the undisputed facts and evidence presented by petitioners for the affirmed finding that the 2022 congressional map was drawn to discourage competition. Indeed, several of the state respondents’ experts, who urged the court to draw the contrary inference, concededly did not take into account the reduction in competitive districts. Thus, we find no basis to disturb the determination of the courts below (*see Matter of Rittersporn*, 48 NY2d at 619).¹⁴

14. Although purporting to treat the question as an issue of law, Judge Wilson impermissibly performs a weight of the evidence analysis, largely parroting the points in the state respondents’ briefs. Tellingly, however, Judge Wilson repeatedly acknowledges that an inference of intent could rationally be drawn from proof in the record. Determining whether to draw such an inference when multiple inferences are possible is a quintessential function of a finder of fact and, here, the courts below—which, unlike this Court, possessed fact-finding authority—credited Trende’s testimony. Contrary to Judge Wilson’s contention, the burden of proof was not impermissibly shifted to the state respondents. As noted, respondents did not seek exclusion of Trende’s testimony on the basis that his methodology or the computer algorithm on which he relied—drafted by a recognized expert and, according to Trende, a “state-of-the-art” program repeatedly accepted by other courts—was insufficiently reliable. Although Trende did observe that the state respondents completely failed to refute any of his simulations with simulations of their own, he also responded substantively to the criticisms of his methodology. Trende explained that his map ensemble “perform[ed] comparably to the enacted plan in terms of compactness,” “minority-majority districts,” and county lines. He ran additional simulations, freezing municipalities kept intact by the enacted plan, freezing district cores, freezing every “ability-to-elect district,” and even conceding the split in southeast Brooklyn to respondents. Trende testified that even when the simulations were run in a manner “incredibly generous” to the state respondents by “ced[ing] to [respondents] . . . a third of the districts drawn in New York,” the simulations produced “the same basic output,” showing the same cracking and packing patterns in the enacted maps. As even a short rendition of just some of the proof presented by petitioners demonstrates, Judge Wilson refuses to apply the proper standard of review, which—even in cases where the legal standard is proof beyond a reasonable doubt—requires that the evi-

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V.

Based on the foregoing, the enactment of the congressional and senate maps by the legislature was procedurally unconstitutional, and the congressional map is also substantively unconstitutional as drawn with impermissible partisan purpose, leaving the state without constitutional district lines for use in the 2022 primary and general elections.¹⁵ The parties dispute the proper remedy for these constitutional violations, with the state respondents arguing no remedy should be ordered for the 2022 election cycle because the election process for this year is already underway. In other words, the state respondents urge that the 2022 congressional and senate elections be conducted using the unconstitutional maps, deferring any remedy for a future election.¹⁶ We reject this invitation to subject the people of this state to an election conducted pursuant to an unconstitutional reapportionment.

“The power of the judiciary of a State to require valid reapportionment or to formulate a valid redistricting plan has not only been recognized by [the United States Supreme] Court but appropriate action by the States in such cases has been specifically encouraged” (*Scott v Germano*, 381 US 407, 409 [1965]; see *Grove*, 507 US at 33).¹⁷ Indeed, our State Constitution both requires expedited judicial review of redistricting

dence be viewed in the light most favorable to petitioners, the prevailing party at trial.

15. Inasmuch as petitioners neither sought invalidation of the 2022 state assembly redistricting legislation in their pleadings nor challenge in this Court the Appellate Division’s vacatur of the relief granted by Supreme Court with respect to that map, we may not invalidate the assembly map despite its procedural infirmity.

16. The state respondents’ reliance on the federal *Purcell* principle is misplaced (see *Purcell v Gonzalez*, 549 US 1 [2006]). The *Purcell* doctrine cautions federal courts against interfering with state election laws when an election is imminent (see *Republican National Committee v Democratic National Committee*, 589 US —, —, 140 S Ct 1205, 1207 [2020]) and does not limit state judicial authority where, as here, a state court must intervene to remedy violations of the State Constitution. Indeed, most recently the principle was cited to justify the United States Supreme Court’s decision not to disturb a state court order requiring alteration of North Carolina’s existing congressional maps for the upcoming 2022 primary (*Moore v Harper*, 595 US —, —, 142 S Ct 1089, 1089 [2022, Kavanaugh, J., concurring in denial of application for stay]).

17. A number of other state courts have been called upon to intervene in redistricting just this year (see *League of Women Voters of Ohio v Ohio Redistricting Commn.*, 168 Ohio St 3d 309, 198 NE3d 812, 2022-Ohio-789 [2022]; *Harper v Hall*, 380 NC 317, 323, 868 SE2d 499, 510, 2022-NCSC-17, ¶ 6 [2022]; *Johnson v Wisconsin Elections Commn.*, 401 Wis 2d 198, 210,

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challenges (*see* NY Const, art III, § 5)—as occurred here—and authorizes the judiciary to “order the adoption of, or changes to, a redistricting plan” in the absence of a constitutionally-viable legislative plan (NY Const, art III, § 4 [e]). Where, as here, legislative maps have been determined to be unenforceable, we are left in the same predicament as if no maps had been enacted. Prompt judicial intervention is both necessary and appropriate to guarantee the people’s right to a free and fair election.

We are cognizant of the logistical difficulties involved in preparing for and executing an election—and appreciate that rescheduling a primary election impacts administrative officials, candidates for public office, and the voters themselves. Like the courts below, however, we are not convinced that we have no choice but to allow the 2022 primary election to proceed on unconstitutionally enacted and gerrymandered maps. With judicial supervision and the support of a neutral expert designated a special master, there is sufficient time for the adoption of new district lines.¹⁸ Although it will likely be necessary to move the congressional and senate primary elections to August, New York routinely held a bifurcated primary until recently, with some primaries occurring as late as September. We are confident that, in consultation with the Board of Elections, Supreme Court can swiftly develop a schedule to facilitate an August primary election, allowing time for the adoption of new constitutional maps, the dissemination of correct information to voters, the completion of the petitioning process, and

972 NW2d 559, 565, 2022 WI 19, ¶ 3 [2022]; *Carter v Chapman*, 270 A3d 444, 450 [Pa 2022]).

18. Delaying a remedy until the next election would substantially undermine the people’s efforts to temper partisan gerrymandering. Here, the legislature enacted maps within one week of the IRC’s abdication—which itself came more than a month before the Constitution’s outer end date for the IRC process—and petitioners commenced this proceeding on the same day. If there is insufficient time to order a remedy for the 2022 primary election under these circumstances, it is unlikely there would ever be sufficient time to challenge a redistricting plan and obtain relief before an upcoming primary election. Such a conclusion would be contrary to the Constitution, which contemplates that the IRC process may not be completed until February 28th (to be followed by legislative action) but nevertheless expressly authorizes expedited judicial review and modification or adoption of redistricting plans by the courts. Delaying a remedy in this election cycle—permitting an election to go forward on unconstitutional maps—would set a troubling precedent for future cases raising similar partisan gerrymandering claims, as well as other types of challenges, such as racial gerrymandering claims.

compliance with federal voting laws, including the Uniformed and Overseas Citizens Absentee Voting Act (*see* 52 USC § 20302).

[4] Finally, the state respondents protest that the legislature must be provided a “full and reasonable opportunity to correct . . . legal infirmities” in redistricting legislation (NY Const, art III, § 5). The procedural unconstitutionality of the congressional and senate maps is, at this juncture, incapable of a legislative cure. The deadline in the Constitution for the IRC to submit a second set of maps has long since passed.¹⁹ Although the state respondents assert that, even following a constitutional violation, the legislature possesses exclusive jurisdiction and unrestricted power over redistricting, the Constitution explicitly authorizes judicial oversight of remedial action in the wake of a determination of unconstitutionality—a function familiar to the courts given their obligation to safeguard the constitutional rights of the people under our tripartite form of government. Thus, we endorse the procedure directed by Supreme Court to “order the adoption of . . . a redistricting plan” (NY Const, art III, § 4 [e]) with the assistance of a neutral expert, designated a special master, following submissions from the parties, the legislature, and any interested stakeholders who wish to be heard.²⁰

19. To the extent the 2022 redistricting legislation, which we invalidate here, purported to render any court order “tentative” for a period of 30 days (L 2022, ch 13, § 3 [i]) such a limitation on judicial authority appears inconsistent with (among other things) the constitutional provision authorizing judicial review without limitation and requiring “disposition” of the claim by Supreme Court within 60 days. The Constitution does not contemplate an advisory order. In any event, here, due to the procedural constitutional violations and the expiration of the outer February 28th constitutional deadline for IRC action, the legislature is incapable of unilaterally correcting the infirmity.

20. While accusing this Court of “step[ping] out of its judicial role” (Troutman, J., dissenting op at 524-525), Judge Troutman crafts a remedy that is neither consistent with the constitutional text nor requested by any of the parties to this proceeding. She proposes that the legislature should be directed to adopt one of the two plans submitted by the IRC and already rejected by the legislature (although she does not specify which one). Judge Troutman’s position is incongruous; she agrees that the legislature lacked authority to enact redistricting legislation absent a second submission from the IRC but, paradoxically, she suggests that we should now order the legislature to enact redistricting legislation despite their inability to cure the procedural violation. Moreover, although Judge Troutman posits that the people would not approve of a court-ordered redistricting map that is, in fact, exactly what the people have approved in the State Constitution as a remedy

(n. cont’d)

Nearly a century and a half ago, we wrote that “[t]he Constitution is the voice of the people speaking in their sovereign capacity, and it must be heeded” (*Matter of New York El. R.R. Co.*, 70 NY 327, 342 [1877]). Thirty years later, we relied on that fundamental principle to conclude that “[a] legislative apportionment act cannot stand as a valid exercise of discretionary power by the legislature when it is manifest that the constitutional provisions have been disregarded . . . [because] [a]ny other determination by the courts might result in the constitutional standards being broken down and wholly disregarded” (*Matter of Sherrill v O’Brien*, 188 NY at 198). Today, we again uphold those constitutional standards by adhering to the will of the people of this state and giving meaningful effect to the 2014 constitutional amendments.

We therefore remit the matter to Supreme Court which, with the assistance of the special master and any other relevant submissions (including any submissions any party wishes to promptly offer), shall adopt constitutional maps with all due haste. Accordingly, the Appellate Division order should be modified, with costs to petitioners, in accordance with this opinion and, as so modified affirmed.

TROUTMAN, J. (dissenting in part). I agree with the majority that petitioners have standing, and I further agree with the majority’s holding that the 2022 congressional and state senate redistricting plans (2022 plans) were not enacted by the legislature in compliance with the constitutional process. However, I dissent as to the majority’s advisory opinion on the substantive issue of whether the plans constitute political gerrymandering and as to the remedy.

The majority correctly concludes that sections 4, 5, and 5-b of article III of the State Constitution, as ratified by the citizens of the state, provide the exclusive process for redistricting (see NY Const, art III, § 4 [e]). This process requires, among other things, that any redistricting plan to be voted on by the legislature must be initiated by the Independent Redistricting Committee (IRC) (see § 4 [b]). Once this Court holds that the

by declaring that the IRC “process . . . shall govern . . . except to the extent that a court is required to order the adoption of, or changes to, a redistricting plan as a remedy for a violation of law” (NY Const, art III, § 4 [e]). Just as puzzling, Judge Wilson begins his dissent with a nonsensical advisory opinion, indicating that although he concludes no violation of the constitution occurred, he nonetheless agrees with Judge Troutman’s proposed remedy—a solution to a problem that, in his view, does not exist.

2022 plans were unconstitutionally enacted and must be stricken on that threshold basis, it should not then step out of its judicial role to further opine on the purely academic issue of whether the 2022 congressional map failed to comply with the substantive requirements of section 4 (c) (5). The 2022 plans, which the majority concludes are void ab initio, are no longer substantively at issue, nor can the majority seriously claim them to be so. Furthermore, although the majority purports to provide “necessary guidance to inform the development of a new congressional map on remittal” (majority op at 518 n 12), the majority’s opinion provides no such guidance. Its conclusion, based on affirmed findings of fact that the congressional map was drawn with partisan intent, is not illuminating in the least because the majority does not engage in the kind of careful district-specific analysis that might provide any practical guidance to an actual mapmaker, nor could it on this record (*cf.* Wilson, J., dissenting op at 534-543). By opining on this academic issue, the majority renders “an inappropriate advisory opinion” by “prospectively declar[ing] the [redistricting] invalid on additional . . . constitutional grounds” (*T.D. v New York State Off. of Mental Health*, 91 NY2d 860, 862 [1997]; see *Self-Insurer’s Assn. v State Indus. Commn.*, 224 NY 13, 16 [1918, Cardozo, J.] [“The function of the courts is to determine controversies between litigants . . . They do not give advisory opinions. The giving of such opinions is not the exercise of the judicial function”]).

Given the procedural violation flowing from the breakdown in the constitutional process, we must fashion a remedy that matches the error.* The Constitution contemplates that a court may be “required to order the adoption of . . . a redistricting plan as a remedy for a violation of law” (NY Const, art III, § 4 [e]). In so ordering, where a court finds that redistricting legislation violates article III, “the legislature shall have a full and reasonable opportunity to correct the law’s legal infirmities” (§ 5). Consistent with these provisions, this Court should order the legislature to adopt either of the two plans that the IRC has already approved pursuant to section 5-b (g). Those plans show significant areas of bipartisan consensus among the IRC commissioners. The boundaries of the districts of Upstate New York, in particular, are nearly identical between the two plans and similar to those in the procedurally infirm plan

* The majority seems unwilling to grasp this concept (majority op at 523-524 n 20).

enacted by the legislature (see *Matter of Harkenrider v Hochul*, 204 AD3d 1366, 1377-1378 [4th Dept, Apr. 21, 2022, Whalen, P.J. & Winslow, J., dissenting in part]). Given the existence of these IRC-approved plans, there is no need for a redistricting plan to be crafted out of whole cloth and adopted by a court. Rather, the legislature should be ordered to adopt one of the IRC-approved plans on a strict timetable, with limited opportunity to make amendments thereto. As part of our judicially crafted remedy, we could order that any amendments to either plan “shall not affect more than [2%] of the population of any district contained in such plan” (L 2012, ch 17, § 3). In other words, the legislature would be bound by its own self-imposed restrictions, which were in effect at the time these plans were first presented for legislative approval.

Such a remedy not only adheres more closely to the constitutional redistricting process, but it discourages political gamesmanship. Throughout this proceeding, respondents have asserted that the legislature has near-plenary authority to adopt a redistricting plan, whereas petitioners have sought to take the process out of the hands of the legislature and to place it into the hands of the judiciary. It is of course disputed why the constitutional process broke down, but it is readily apparent that the IRC’s bipartisan commissioners failed to fulfill their constitutional duty. None of the parties is entitled to the resolution that he or she seeks.

In addition, this remedy allows the legislature to enact a plan that minimizes the impact on the reliance interests of both the voters and candidates. Petitions have been circulated, citizens have contributed monetary donations to the candidates of their choice, and eligible voters have had the opportunity to educate themselves on the candidates who are campaigning for their votes, all in reliance on the procedurally infirm redistricting plan enacted by the legislature. Of course, entrenched candidates have the party apparatus to support them in the event that further redistricting causes excessive upset to the current plan. In such a circumstance, outside candidates, upstart candidates, and independent candidates, who lack the resources of the well-heeled, will be disadvantaged most, leaving the voters who support them without suitable options. The legislature, duly elected by the citizens of this state, is in the best position to take these considerations into account.

Yet, the remedy ordered by the majority takes the ultimate decision-making authority out of the hands of the legislature

and entrusts it to a single trial court judge. Moreover, it may ultimately subject the citizens of this state, for the next 10 years, to an electoral map created by an unelected individual, with no apparent ties to this state, whom our citizens never envisioned having such a profound effect on their democracy. That is simply not what the people voted for when they enacted the constitutional provision at issue. Although the IRC process is not perfect, it is preferable to a process that removes the people's representatives entirely from the process. The majority states that it "decline[s] to render the constitutional IRC process inconsequential in the manner requested by the state respondents" (majority op at 517); however, the majority does just that by crafting a remedy that cuts the legislature out of the process. The citizens of the state are entitled to a resolution that adheres as closely to the constitutional process as possible. By ordering the legislature to enact redistricting legislation duly initiated by the IRC, this Court could afford the legislature its "full and reasonable" opportunity while honoring the constitutional process ratified by the people.

WILSON, J. (dissenting). I agree with Judge Troutman that article III, § 5 of the New York Constitution means that the majority's referral of this matter to a special referee is not allowable, and I further agree that her proposed solution of requiring the legislature to act on the Independent Redistricting Commission (IRC) maps that have been submitted, though novel, would be acceptable in the unusual circumstances presented here. I also fully concur in Judge Rivera's dissenting opinion, and I do not view Judge Rivera's opinion as necessarily inconsistent with Judge Troutman's proposed remedy. Therefore, I address the merits of the claim that the 2022 redistricting itself violates the Constitution. It does not.

The burden a plaintiff must meet to overturn legislative action as violative of the New York Constitution is extraordinarily high. We have often (though not always) described that burden as proving unconstitutionality "beyond reasonable doubt" (*Matter of Wolpoff v Cuomo*, 80 NY2d 70, 78 [1992]; *but see Matter of City of Utica [Zumpano]*, 91 NY2d 964 [1998] [upholding a state statute's constitutionality without reference to the beyond a reasonable doubt standard]; *Matter of Sherrill v O'Brien*, 188 NY 185, 198 [1907] ["A legislative apportionment act cannot stand as a valid exercise of discretionary power by the legislature when it is manifest that the constitutional provi-

sions have been disregarded”]; *Matter of Whitney*, 142 NY 531, 533 [1894] [upholding the apportionment of Kings County into assembly districts because, although flawed, “the division has seemed to us a reasonable approach to equality, and under all the circumstances of the case a substantial obedience to the writ”]). Both Supreme Court and the Appellate Division described the test that way. Thus, to prevail, the petitioners need to have proved beyond a reasonable doubt that the legislature’s 2022 congressional and state senatorial districts were “drawn to discourage competition or for the purpose of favoring or disfavoring incumbents or other particular candidates or political parties” (NY Const, art III, § 4 [c] [5]). It is important to pay close attention to the wording of the Constitution. It does not prohibit the creation (or maintenance) of districts that are highly partisan in one direction or the other. Indeed, both in New York and around the rest of the nation, voters tend to cluster in geographic areas that reflect party affiliation. As a simple example, rural areas in New York and in the United States generally tend to have much higher concentrations of Republican voters than do urban areas. What the Constitution prevents is purposefully drawing districts to discourage competition or favor particular parties or candidates.

After a review of the record, I am certain that the petitioners failed to satisfy the “beyond reasonable doubt” standard. By that, I do not mean to say that I know the legislature did not draw some districts in a way that violated our State Constitution; rather, the evidence here does not prove that to be the case at the level of certainty required to invalidate the 2022 redistricting as unconstitutional. Perhaps with a different record, petitioners could make such a showing, but they have failed to do so here.

The question before us, then, is whether the petitioners introduced sufficient evidence to discharge their very high burden of proving that the legislature adopted gerrymandered district lines in violation of the Constitution. That is unequivocally a question of law, and thus within the heartland of our Court’s power of review (see *Glenbriar Co. v Lipsman*, 5 NY3d 388, 392 [2005]; see also *People v Jin Cheng Lin*, 26 NY3d 701, 719 [2016] [noting that whether “the proof does not meet the reasonable doubt standard” is “a matter of law” (brackets omitted)]; *People v Tarsia*, 50 NY2d 1, 13 [1980] [evaluating “the total evidence” as to whether “the proof was insufficient as a matter of law to support the affirmed findings that defendant’s

inculpatory statements . . . were voluntary”]; *People v Anderson*, 42 NY2d 35, 39 [1977] [(“W)hether the proof met the reasonable doubt standard at all is a matter of law”]; *People v Leonti*, 18 NY2d 384, 389 [1966] [(“W)hether the evidence adduced meets the standard required is one of law for our review”]). The majority incorrectly treats this as an unreviewable question of fact, characterizing Supreme Court’s finding that the 2022 congressional map was drawn to discourage competition as a factual “determination” that has “record support” and thus should not be “disturb[ed]” (majority op at 520)—a distinct, and here inapt, standard (see *Stiles v Batavia Atomic Horseshoes*, 81 NY2d 950, 951 [1993]).

Indeed, it is remarkably inaccurate to suggest that our Court is without power to review the Appellate Division’s ruling on the partisan gerrymander claim. This case is before us as an appeal as of right based on CPLR 5601 (b). This case satisfies the conditions for an appeal as of right because the question presented—whether a congressional map, i.e., a legislative enactment, is constitutionally invalid—is a question of law that is reviewable by this Court (see *Cayuga Indian Nation of N.Y. v Gould*, 14 NY3d 614, 635 [2010] [(“A) query concerning the scope and interpretation of a statute or a challenge to its constitutional validity” is a “pure question of law”])).

Petitioners’ evidence falls into three basic categories. First, petitioners primarily rely on the testimony of Sean P. Trende, an elections analyst and doctoral candidate at Ohio State University. At best, Mr. Trende’s results are incomplete and inconclusive, but they are also legally insufficient to meet the above standard. Second, petitioners rely on the projected loss of four Republican congressional seats (out of eight that currently exist). The difficulty with that proof is that it assumes that factors unrelated to how the districts were drawn have not caused the result. Third, petitioners contend that the 2022 redistricting was accomplished through the complete exclusion of Republican members of the legislature from the process and a failed attempt by Democrats to further amend the Constitution, followed by the enactment of a statute. I view that as their best argument in support of their gerrymander claim but one that, without more, does not meet the high bar for invalidating the legislature’s 2022 redistricting plan.

I.

The petitioners, Supreme Court, and the Appellate Division plurality each relied heavily on the testimony of Mr. Trende.

Mr. Trende's testimony is based on simulations in which a computer algorithm uses demographic data, takes parameters set by the user, and draws districting maps for the region (in this case, New York State) specified by the user. This is the first time Mr. Trende has testified in a case in which he prepared redistricting simulations of any kind. Instead of using the Markov Chain Monte Carlo simulation algorithm, which has been regularly used in redistricting cases, Mr. Trende used a new simulation algorithm developed by Dr. Kosuke Imai, a Harvard professor, along with publicly available political and demographic data at the census block and precinct levels. Dr. Imai's new algorithm appeared in an unpublished paper that had yet to be peer-reviewed. In that paper, Dr. Imai reported that he had tested the reliability of his new model by applying it to a 50-precinct map and running 10,000 simulations. By comparison, New York State has more than 14,000 precincts; uncontroverted evidence (including from Mr. Trende) establishes that the complexity of producing a working algorithm increases as the number of precincts increases.

In brief, Dr. Imai's algorithm draws possible maps, starting from a blank page, but taking into account parameters the user sets. For example, a user can specify to avoid splitting a county (or city) into different districts, though sometimes splitting is inevitable and may be accomplished in myriad ways. By running thousands of simulations and comparing them to what the legislature has done, the model allows for measurement of the difference in party breakdown between the collection of simulated maps and the legislatively drawn map. The model can produce summary statistics showing, for example, that, when compared to the legislative map, the simulated maps distribute voters of one party or another (here, Republicans) in a way that concentrates a lot of them into some districts where Republicans would likely have won elections anyway, thus removing them from districts where Democrats might have faced a close election. In simple terms, Mr. Trende concluded that the legislative map consolidated Republican voters into a few Republican-leaning districts and spread Democratic voters in an efficient fashion. Of course, the model cannot tell you *why* the legislature drew the districts that way, but, provided that a scientific method is proved to be reliable, the data entered is of good quality, the parameters chosen are correct, and the results are robust (i.e., not susceptible to material swings in output when parameters are varied within reason-

able ranges for those parameters), the law allows intent to be inferred from results in a variety of areas (e.g. *People v Guzman*, 60 NY2d 403, 412 [1983] [discriminatory intent inferred from underrepresentation in grand jury selection]; *Matter of 303 W. 42nd St. Corp. v Klein*, 46 NY2d 686, 695 [1979] [discriminatory intent inferred from “a convincing showing of a grossly disproportionate incidence of nonenforcement against others similarly situated in all relevant respects save for that which furnishes the basis of the claimed discrimination”]).

Again, article III, § 4 (c) (5) of the Constitution states that “[d]istricts shall not be drawn *to* discourage competition or *for the purpose of* favoring or disfavoring incumbents or other particular candidates or political parties” (emphasis added). The prohibition, then, is against drawing maps *with the intention to* discourage competition or favor or disfavor incumbents, political candidates, or political parties. In other words, if a given map ends up discouraging competition or favoring a political party, that map does not necessarily run afoul of the Constitution’s prohibition. Instead, an *intent* to discourage competition or to favor that political party must be shown for the map to violate the Constitution.

Staten Island provides a good example to keep in mind, one to which I will return later. Staten Island is traditionally Republican. It does not have quite enough people in it to constitute an entire congressional district, but it forms the vast portion of Congressional District 11, both in the 2012 districting and the legislature’s 2022 districting, with the added voters coming from Brooklyn. No one suggests that, by keeping Staten Island intact within a single congressional district instead of splitting it across two districts with more Brooklynites, the legislature in 2012 or 2022 did so with the intent to advantage Republicans. If you split Staten Island into two different congressional districts and added enough Brooklynites to fill out those districts, each of the districts would have more Brooklynites than Staten Islanders, and the strength of the Republican voting of Staten Island would be diluted. The two new districts might be more competitive—i.e., closer to 50/50 than District 11 is or has been—but it is sufficient, to reject a claim of intent to advantage Republicans by keeping Staten Island whole within a single district, to say that it is an island and people there live in communities that are distinct from those in Brooklyn. Again, the *why* is important, not the *what*.

Mr. Trende's testimony and analysis were legally insufficient to bear on the question of intent for three reasons. First, the New York Constitution *requires* the consideration of several specifically identified factors when creating congressional districts, with some additional factors required for state senatorial districts. Thus, Mr. Trende's results at most show that if we amended the New York Constitution to strike out those factors, he could conclude the legislature acted with intent to disfavor Republicans or reduce competition. Second, close examination of districts in the real world, as compared to those hidden in thousands of hypothetical unseen maps, further exposes the unreliability of Mr. Trende's conclusions. Finally, the novelty of Dr. Imai's algorithm and the opacity of Mr. Trende's implementation of it create very substantial doubt as to his conclusions. The method is novel and not peer-reviewed. Mr. Trende did not attempt the established Markov Chain Monte Carlo simulation to compare it to his results, nor did he provide the model, inputs, data sets, or output maps that formed the basis for his analysis. Indeed, neither he nor anyone has seen the algorithm-produced maps underlying his analysis. We are being asked to determine unconstitutionality based on shadows.

New York's Constitution requires that the following factors be considered when drawing congressional districts:

1. Compliance with "the federal constitution and statutes" (NY Const, art III, § 4 [c]);
2. "[W]hether such lines would result in the denial or abridgement of racial or language minority voting rights, and districts shall not be drawn to have the purpose of, nor shall they result in, the denial or abridgement of such rights" (*id.* § 4 [c] [1]);
3. "Districts shall be drawn so that, based on the totality of the circumstances, racial or minority language groups do not have less opportunity to participate in the political process than other members of the electorate and to elect representatives of their choice" (*id.*);
4. "Each district shall consist of contiguous territory" (*id.* § 4 [c] [3]);
5. "Each district shall be as compact in form as practicable" (*id.* § 4 [c] [4]);

6. “Districts shall not be drawn to discourage competition or for the purpose of favoring or disfavoring incumbents or other particular candidates or political parties” (*id.* § 4 [c] [5]);

7. Consideration of “the maintenance of cores of existing districts” (*id.*); and

8. Consideration of the maintenance of “pre-existing political subdivisions, including counties, cities, and towns, and of communities of interest” (*id.*).

For senatorial districts, the Constitution adds requirements that “senate districts not divide counties or towns, as well as the ‘block-on-border’ and ‘town on border’ rules” (*id.* § 4 [c] [6]).

Mr. Trende admittedly did not attempt to have his simulations account for several of the constitutionally required factors listed above. For that reason alone, his simulations do not provide evidence of the legislature’s intent to disfavor Republicans or reduce competition. Putting aside all other methodological and implementation problems, a proper comparison would ask: what would an unbiased mapmaker (the algorithm) do if given the same constitutional requirements as the legislature has? Instead, Mr. Trende has attempted to answer a different question: what would an unbiased mapmaker do if it lacked some of the constitutional requirements the legislature is required to follow?

This is not merely a conceptual problem, which is readily seen by identifying the constitutional factors Mr. Trende omitted. First, under the Equal Protection Clause and the federal Voting Rights Act (VRA), the composition of congressional districts must not discriminate on the basis of race or color (52 USC § 10301; US Const, Amend XIV, § 1). New York’s constitutional requirements, listed as items 2 and 3 above, represent similar protections not just on the basis of race, but language as well. Mr. Trende gave no instruction to his algorithm to take any consideration of those constitutional requirements for drawing districts. Mr. Trende noted that his “simulated maps are not drawn with any racial data available to the simulation”—that is, the simulation could not even take race into account in drawing districts if Mr. Trende had specified that as a parameter. Likewise, nothing in the record suggests that Mr. Trende’s simulation used any data concerning the language of inhabitants, and he made no claim to have done so.

Faced with criticism that he had omitted consideration of factors 1 through 3 above, Mr. Trende responded generally that

“every one of Respondents’ experts could readily demonstrate that . . . fixing the purported omissions might lead this Court to arrive at different conclusions,” which, as explained below, attempts to shift the burden of proof onto respondents. He then explained his omission on the ground that “there is no evidence proffered by any party of racially polarized voting in New York City or in particularized boroughs, nor is there evidence that any single minority group can form a reasonably compact majority in a district.” Besides lacking any evidentiary support, his assertion is patently and commonly understood to be wrong. Looking just to last year’s New York City mayoral election, Curtis Sliwa, the Republican nominee, “scored 44% of the vote in precincts where more than half of residents are Asian—surpassing his 40% of votes in white enclaves, 20% in majority-Hispanic districts and 6% in majority-Black districts” (Rong Xiaoqing et al., *Chinese Voters Came Out in Force for the GOP in NYC, Shaking Up Politics*, The City, Nov. 11, 2021, <https://www.thecity.nyc/politics/2021/11/11/22777346/chinese-new-yorkers-voted-for-sliwa-gop-republicans>). In the same election, now-Mayor Eric Adams “dominated” the “Black Bloc,” a “63 percent non-Hispanic Black and 23 percent college-educated swath of Brooklyn and Queens,” where Adams grew up and where he won “63 percent of first-place votes” (Nathaniel Rakich, *How Eric Adams Won The New York City Mayoral Primary*, FiveThirtyEight, Aug. 25, 2021, <https://fivethirtyeight.com/features/how-eric-adams-won-the-new-york-city-mayoral-primary/>).

Mr. Trende attempted to make some account of the omission of the federal and state protections for racial minority voting rights by “freezing” certain census blocks in nine districts to remove them from his analysis, explaining that those districts are “plausible candidates for protection under the VRA or the State Constitution.” Even assuming that his choice of districts is sound, his results demonstrate the importance of his omission of constitutionally required factors: his “frozen” simulations produced results that “mak[e] Petitioners’ case more difficult.” Specifically, those “plausible” protections for minority voters produced results that “accept[] the Legislature’s decision to pair Yorktown with Yonkers in the Sixteenth District, and to crack Republican-leaning areas in Midwood and Sheephead Bay between the Ninth and Eighth districts.” In other words, by including even a rough proxy for protection of minorities, he admits that some of what he described as gerryman-

dering is explainable instead by protection of minority voting rights. Mr. Trende's utter lack of consideration of the constitutional requirement to consider protection of non-English language groups inherently means his simulations do not show what an unbiased mapmaker would do if that constitutional command mattered.

Likewise, Mr. Trende completely neglected considering keeping "communities of interest" together (item 8 above), as the Constitution requires. Keeping in mind that differences in party affiliation within a district do not matter unless they were created with the *intent* to disadvantage a party or candidate or to reduce competition, Mr. Trende ignored that the IRC—composed in equal parts of persons appointed by Democrats and Republicans—reached agreement on keeping together many communities of interest. For example, both sets of IRC maps (one produced by the Democratic faction and the other by the Republican faction) agreed that the Southern Tier of New York should be unified in a district. The Southern Tier is a strip of eight counties along upstate New York's southern edge, the part of the state that shares a border with Pennsylvania.¹ Those counties are grouped as a region in New York State's materials on economic development (*see* New York State Empire State Development, Southern Tier, <https://esd.ny.gov/regions/southern-tier> [last accessed Apr. 26, 2022]). Indeed, the region has a storied history of being a manufacturing powerhouse, though the region also faced struggles within the past decade due to a decline in manufacturing and uncertain economic development (Susanne Craig, *New York's Southern Tier, Once a Home for Big Business, Is Struggling*, NY Times, Sept. 29, 2015, <https://www.nytimes.com/2015/09/30/nyregion/new-yorks-southern-tier-once-a-home-for-big-business-is-struggling.html>). Those counties are more Republican than Democratic; in a show of how culturally distinct the region is, hundreds of residents in the Southern Tier in 2015 rallied in support of seceding from the state of New York (*id.*). One Republican lawmaker even applauded the fact that the maps proposed by the Democratic and Republican commissioners to the IRC both kept the Southern Tier intact (Rick Miller, *Southern Tier Congressional District Essentially Maintained in NY*

1. The Southern Tier has long been recognized as a cohesive political unit (*see* Warren Moscow, *GOP Held Strong in Southern Tier*, NY Times, Oct. 16, 1946, available at <https://timesmachine.nytimes.com/timesmachine/1946/10/16/107146657.html?pageNumber=31>).

Redistricting Maps, Olean Times Herald, Jan. 4, 2022, available at https://www.oleantimesherald.com/news/southern-tier-congressional-district-essentially-maintained-in-ny-redistricting-maps/article_56c5d543-6c8a-55d3-a3de-e662bdb0f6dd.html). For Upstate New York, the Democratic Commissioners and the Republican Commissioners agreed that there should be three Republican-leaning districts: one uniting the Southern Tier, one uniting the North Country, and one by Lake Ontario. The Commissioners from the two parties also agreed that there should be Democratic-leaning districts in the four urban areas in Upstate New York: in and around Albany, Syracuse, Rochester, and Buffalo. The result of those bipartisan decisions by the IRC demonstrates that those districts (broadly, all of Upstate New York, about which the IRC had no substantial disagreements) should have been excluded from Mr. Trende's simulations. But even though the Southern Tier and the other upstate counties and cities were bipartisanly districted as "communities of interest," Mr. Trende made no effort to keep the Southern Tier, or other communities of interest, intact in his model. Indeed, Mr. Trende "didn't pay any attention to what any of those [IRC] commissioners had done in their proposals," had not read any of the testimony before the IRC, and did not know whether there was any testimony before the IRC about communities of interest.

Instead, he told Supreme Court that such communities are too difficult to code, even though he also acknowledged that in a redistricting exercise he undertook for Virginia, he and his co-researcher accounted for communities of interest. Mr. Trende did not do any sort of proxy analysis as he did for race, and because neither he nor anyone else ever looked at the 10,000 maps his simulation drew, he has no idea what his algorithm did to the Southern Tier or any other upstate areas. But Dr. Imai's own data provides some insight.

Mr. Trende used Dr. Imai's model and data. The record includes three sample maps from a set of 5,000 simulations for New York prepared by Dr. Imai himself. Two of the sample maps from Dr. Imai's simulations broke up the North Country. All three of the sample maps broke up the Southern Tier. None of Dr. Imai's sample maps maintained Democratic-leaning districts around all of Albany, Syracuse, Rochester, and Buffalo. Those samples strongly suggest that Mr. Trende's conclusions about intentional gerrymandering depend on comparison to maps that would have broken up congressional districts ar-

rived at by bipartisan consensus. Of course, had Mr. Trende looked at his own maps, or even turned them over for respondents to examine, we would be able to know how many of his “less gerrymandered” simulations were incompatible with districting actually arrived at bipartisanly, with regard for the Constitution’s directions.² Instead, it is clear that, just as with the racial and language protections in the Constitution, Mr. Trende’s exclusion of communities of interest has made his analysis legally irrelevant: at most, it answers what an unbiased mapmaker would do if that mapmaker was told to disregard protection of racial minorities, language minorities and communities of interest.

One final example from Dr. Imai’s work illustrates the unsoundness of Mr. Trende’s conclusions. His conclusions are based on comparing the algorithm-drawn simulated districts, which purportedly are “less gerrymandered,” against the legislature’s redistricting plan. Because neither we nor Mr. Trende knows what his “less gerrymandered” maps look like, we cannot know whether they are sensible maps that should be included in such a comparison. But because Dr. Imai, using the same data and same model, displayed some sample maps, we can observe the kind of maps Mr. Trende has relied on for his conclusions. Sample plan 1 from Dr. Imai’s simulation placed Schuyler County and Franklin County into the same congressional district. Schuyler County is near Upstate New York’s southern border with Pennsylvania, and Franklin County is one of the northernmost counties in New York, on the border with Canada—that is, those two counties are on op-

2. Mr. Trende’s decision not to examine his own maps and not to permit anyone else to see them poses a separate reliability issue. Dr. Imai’s algorithm generates huge numbers of redundant maps, which should be weeded out before analysis is conducted. Mr. Trende himself did so when working on a redistricting map for Maryland. There, he completed three sets of 250,000 simulations. He then eliminated the duplicates, which ranged from 220,000 to 160,000 for each of his sets—that is, 64% to 88% of the maps produced were duplicates that he discarded (*Szeliga v Lamone*, Md Cir Ct, Anne Arundel County, Mar. 25, 2022, Battaglia, J., Nos. C-02-CV-21-001816, C-02-CV-21-00173, slip op at 63, ¶¶ 99, 102-104). Furthermore, New York State is significantly larger than Maryland; whereas Maryland only has eight congressional districts, New York has 26 congressional districts. Mr. Trende acknowledged that the more precincts that are involved, the more complicated it becomes to accurately use redistricting simulations to draw conclusions. Yet, in spite of acknowledging that using simulations for New York would be more difficult than for Maryland, Mr. Trende inexplicably generated only 10,000 simulations for New York and subsequently failed to check even that small set for duplicates.

posite sides of Upstate New York. Their county seats are 262 miles away via highway (Google, Google Maps Driving Directions from Watkins Glen, New York to Malone, New York, <https://perma.cc/L3KH-DN5B> [last accessed Apr. 26, 2022]). In essence, what Mr. Trende is showing is that the partisan imbalance of some congressional districts could be reduced by radically rejiggering them in a way that no human mapmaker (or resident of either of those counties) would think remotely sensible. Interesting though it may be, it is legally irrelevant.

Apart from the omitted constitutional requirements, the creation of districts requires balancing among the different constitutional requirements. Some are relatively inflexible—such as districts of equal population (see *Baker v Carr*, 369 US 186 [1962]), compliance with the VRA or, for senatorial districts, the “block-on-border” rule; others, such as compactness or protection of communities of interest, allow for an exercise of judgment in how to balance them. Mr. Trende made no explicit decision in how to balance the factors he did include, was uninformative about what balance was implied, and did not vary the relative weights of his parameters to determine the robustness of his conclusions. For instance, Mr. Trende included a parameter for the compactness of districts, which the Constitution instructs should be considered. When asked how he valued compactness, he testified to selecting a value of “1” in Dr. Imai’s model because he knew that “the other choices don’t work well.” He agreed that the compactness parameter could be set at less than 1, or more than 1, but provided no explanation for what the settings meant, how much priority a change in setting gave to compactness versus any other factor, or even what was meant by other values not working well—which may simply mean that when he tested for robustness of the parameter, he found that changing the relative weight given to compactness resulted in statistics that did not support his conclusions or that the model ceased to function, neither of which should give us confidence sufficient to hold the redistricting unconstitutional.

Similarly, Mr. Trende said that Dr. Imai’s model allowed an “on” or “off” switch on whether to split counties. He put that switch “on,” even though New York map drawers must balance county preservation with other considerations—effectively meaning he gave county integrity a superpriority over other constitutional factors. Nothing in the Constitution requires the legislature to prefer county integrity over any other factor, or

even to give the same priority to county integrity for every county. Rather, the Constitution gives the legislature flexibility in weighting many of the required considerations differently in different circumstances, but Mr. Trende implicitly assigned fixed and universal relative weights to every one of those that he included. Faced with the potential for differently weighting parameters, responsible modelers alter the parameters within reasonable bounds to see whether the alterations make a difference. When the difference is not great, models are robust; when they are great, models are lacking in probative value (*see e.g.* Amariah Becker et al., *Computational Redistricting and the Voting Rights Act*, 20 Election LJ 407, 430 and n 31 [2021]). When nobody tests for robustness, invalidating districts as unconstitutional beyond a reasonable doubt is sheer guesswork.

Respondents pointed out the many deficiencies in Mr. Trende's model. In addition to the examples explained in detail above, Mr. Trende repeatedly and improperly answered in a way that attempted to shift the burden of proof from petitioners onto respondents. For instance, in response to respondents' assertion that his failure to consider all the relevant constitutional considerations undermined the validity of his methodology, Mr. Trende asserted that "[e]very one of Respondents' experts is more than capable of either re-running the relevant simulation algorithm that I employed or executing a competing algorithm" and "[i]f there are indeed important communities of interest to be protected, however, any of Respondents' experts could program a simulation that respected those communities of interest and potentially harm Petitioners' case." On cross-examination, he reiterated that "if there is something that [the respondents'] experts believe . . . is missing that makes a difference—they think makes a difference, they can do it."

The lower courts erroneously acceded to Mr. Trende's burden shifting, which itself is a legal error requiring reversal (*Matter of Harkenrider v Hochul*, 204 AD3d 1366, 1378 [4th Dept 2022, Whalen, P.J., and Winslow, J., dissenting]).³ Proof beyond a reasonable doubt is an exacting standard: a party bearing that

3. For example, Supreme Court noted that Mr. Trende "d[id] not include every constitutional consideration" (76 Misc 3d 171, 190 [Sup Ct, Steuben County 2022])—which should render his evidence legally insufficient. Supreme Court explained away that deficiency by saying that "none of respondents' experts attempted to draw computer generated maps using all the constitutionally required considerations" (*id.*), a clear example of improper burden shifting.

burden must remove all reasonable doubt, which is not met by saying that the opponent has the ability to disprove an assertion. Faulting the respondents for the petitioners' failure to account for constitutionally required redistricting criteria improperly reverses the burden of proof; it is the *petitioners'* burden to prove unconstitutional partisan intent beyond a reasonable doubt.

In short, the factors set out in the Constitution must be considered during redistricting with flexibility in the relative weighting on a case-by-case basis. Maintaining the Southern Tier as a community of interest may be powerfully important; maintaining the Upper West Side as one may not be. Mr. Trende acknowledged that his algorithm cannot undertake that balancing, and to his credit explained that "the more that you adequately control all of the variables that the actual map-makers actually used, the more you can infer intent, and the less you adequately control for those variables, the less you can infer intent" to gerrymander. Because Mr. Trende's analysis omitted constitutionally required factors and fixed implicit weights for others without allowing for flexibility, all his analysis demonstrates, at best, is that if our Constitution read very differently, he could find an intent to gerrymander. That conclusion is orthogonal to the issue here.⁴

II.

Apart from Mr. Trende's opinion, the Appellate Division plurality concluded that the "'application of simple common sense' from the enacted map itself and its likely effects on particular districts" supports petitioners' argument that the legislative districts were intentionally created to disfavor a party or candidate or render certain districts less competitive (204 AD3d at 1374 [citation omitted]). There are three significant problems with that conclusion. First, as noted above, for the great majority of congressional (and senatorial) districts,

4. The error in the majority's sole, footnoted response, contending that I have performed a weight of the evidence analysis (majority op at 520-521 n 14), can be illustrated as follows: Mr. Trende uses a Ouija board to determine that the districts have been gerrymandered, and, when communicating with the spirits in the netherworld, directs them to the provisions in North Carolina's constitution instead of New York's. The lower courts rely on that evidence to hold that the New York Legislature has engaged in gerrymandering. According to the majority, the New York Court of Appeals could not conclude an error of law has been made. The majority is right about one thing: I disagree that my job is so limited.

the Republican and Democratic factions of the IRC substantially agreed as to the district boundaries, and the legislative plan does not deviate materially in the case of those districts. Of course, that does not resolve the question for districts on which the IRC factions disagreed or for which the legislature's plan was materially different, but it should remove most districts from the dispute.

Second, the Appellate Division relied on the following observation: “under the 2012 congressional map there were 19 elected democrats and 8 elected republicans and under the 2022 congressional map there were 22 democrat-majority and 4 republican-majority districts” (204 AD3d at 1371). The majority acknowledged that, standing alone or even in conjunction with the lack of Republican input into, or vote for, the 2022 map, the evidence would not be strong enough to surmount the high standard for invalidating the 2022 redistricting as unconstitutional. However, the mere change in the number of majority Democratic and Republican districts says nothing about *why* those changes occurred or about intent. The inference that the change is nefarious ignores important undisputed data.

The 2012 districts are obsolete and not a relevant source of comparison. Population and registration shifts demonstrate that New York's voting populace has changed in the Democrats' favor. In the past 10 years, Democratic voter registration has outstripped Republican voter registration 10-to-1: Democratic voter registration increased by more than one million people statewide between April 2012 and February 2021, whereas Republican voter registration increased by less than 100,000 people during the same period. Similarly, over the decade, Democrat-leaning counties have increased in population, whereas Republican-leaning counties have decreased in population. It is unsurprising that such drastic shifts would occur in just a 10-year time horizon; that's why the Constitution requires decennial redistricting (NY Const, art III, § 4 [a]).

The characterization of the outgoing 2012 map as having 19 Democrat-leaning and eight Republican-leaning districts—in comparison to the four Republican-leaning districts in the 2022 map—is misleading because it disregards the changes of the last decade. To start, it is undisputed that one Republican seat under the 2012 map, former District 22, was eliminated due to substantial population shifts and New York's loss of a congressional seat. But more importantly, it is undisputed that, based on the 2020 census data, the 2012 map would also produce only four Republican-leaning districts.

Third, and most importantly, it is undisputed that the 2022 legislative redistricting was slightly *more* favorable for Republicans than the array of simulated “unbiased” maps produced by Mr. Trende’s simulation. The Appellate Division contended that, by “boldly asserting” that the Democratically created 2022 plan tended to favor Republicans more than Mr. Trende’s supposedly neutral maps, “respondents have created a further inference that they acted with a partisan purpose favoring democrats” (204 AD3d at 1374). That claim confuses intent with effect. I return to Staten Island to illustrate the point.

Staten Island has historically been treated as a community of interest and not split into different congressional districts. If Staten Island is to be kept that way (wholly within District 11), it needs to include voters from somewhere else because Staten Island does not have enough people to make up a full congressional district. Because of contiguity requirements, that must be Brooklyn. The 2012 map of District 11 included all of Bay Ridge (which is just north of the Verrazano Bridge) and Bath Beach, a few blocks of Bensonhurst, and Gravesend (all south of the bridge). The legislature’s 2022 redistricting keeps Bay Ridge to the north (itself a community of interest) with Staten Island, but instead of then going south, it drops out Bath Beach, the bit of Bensonhurst and Gravesend, and goes north and incorporates Sunset Park and a small bit of Park Slope.

Among the thousands of comments sent to the IRC after it publicly released its draft report for comments, looking just at the Richmond and Kings County submissions (https://nyirc.gov/storage/archive/Kings_Richmond_Redacted.pdf), numerous letters asked the IRC to keep various groups together. Among those is a letter from OCA-NY (formerly known as the Organization for Chinese Americans), a “non-profit, non-partisan organization dedicated to protecting the rights of Asian Americans in New York City.” That letter urged the IRC that, with regard to District 11, which contained Staten Island, “Bensonhurst and Bath Beach should NOT be with Staten Island. . . . Staten Island does not share a similar concentration of Asians, nor the culture of Asian businesses as Bath Beach/Bensonhurst, nor do residents in Bath Beach/Bensonhurst travel on a regular basis to Staten Island and vice versa.” Justin Wood, a Staten Islander, asked the IRC to “counter decades of artificial gerrymandering” by “extend[ing] NY11 northward into Bay

Ridge and Sunset Park to unify linguistic and ethnic communities with shared interests.” Karen Zhou, the past president of Homecrest Community Services, wrote the IRC noting that “Sunset Park, Bensonhurst, Homecrest, Sheepshead Bay, Dyker Heights, Bath Beach and Gravesend . . . [have] an interconnection bounded by common culture, language and socioeconomic factors,” further requesting that Bensonhurst and Homecrest be “together in one Congressional district . . . [to] ensur[e] communities of interest are not ignored or neglected.”

District 11 has been made less Republican by paying attention to unifying Asian American communities (which relates to the racial, language and community of interest requirements in the Constitution), for which the comments to the IRC were uniformly supportive. Because of contiguity requirements, there was nowhere to go but further north. The Appellate Division’s observation that the reduction in Republican-leaning districts (or in the strength of the Republican lean) demonstrates an *intent* to gerrymander rather than an attempt to pay attention to the Constitution is unsupportable. Data tells you effect only. But the record before the IRC shows that various members of the Asian American community—and one Staten Islander—urged the IRC to go north instead of south specifically to serve the ends of the VRA and the constitutional provision requiring weight be given to communities of interest. The algorithmic comparators on which the lower courts relied, by omitting considerations required by the Constitution, gave zero weight to those considerations, effectively saying that the Asian American community does not matter. That, in turn, leads to an unfounded inference that the 2022 redistricting was *intended* to disadvantage Republicans, when, in the case of Staten Island, it was intended to protect Asian American voting rights and community interests, as the Constitution requires.

III.

The remaining evidence on which petitioners rely to demonstrate that the 2022 redistricting was done with intent to disfavor Republicans or make certain districts less competitive relates to procedural issues concerning the 2021 legislation, a failed 2021 constitutional amendment, and the creation of the 2022 districts in a three-day period after the IRC failed to deliver a revised report. Unlike the prior two factors, these are

not legally irrelevant. As the Appellate Division concluded, however, as to petitioners' arguments on the process pursued to enact the 2022 map and its projected loss of Republican seats: without more and even with every reasonable inference taken in petitioner's favor, they do not meet the standard to declare the 2022 redistricting plan unconstitutional (204 AD3d at 1369-1370).

First, petitioners claimed that Democrats unilaterally drafted the 2022 redistricting map without any input or involvement from Republicans. The Appellate Division plurality further pointed to the "largely one-party process used to enact the 2022 congressional map" as partial support for its conclusion that petitioners met their burden of proving an inferred intent to favor the Democratic party (*id.* at 1371). That the process was dominated by one party, however, is a result of the current political reality of the legislature. Put another way, the legislature reflects the current choice of the people as to who will best represent their interests. Indeed, even had the IRC not shirked its duty, the Democratic supermajority in both houses could have rejected all IRC plans and then, consistent with the Constitution, adopted a plan without any Republican support. That result would be "partisan" in a sense, but not in the sense that would be necessary to show an intent to violate the Constitution. That the vote was along party lines could just as well suggest that the Republicans wanted to prevent a redistricting map that corrected past gerrymandering favoring Republicans (or an electoral shift that diminished their chances) as it could that Democrats sought to exclude Republicans for their party's benefit.

Next, petitioners contend that the (Democratically controlled) legislature, in June 2021, passed legislation providing for the possibility that the IRC might not vote on any redistricting plans, which the Governor signed in November 2021, and that the statute provides evidence of partisan intent to gerrymander because it provides that the legislature will conduct the redistricting in that eventuality. As with the above claim, the statute's adoption is not particularly probative as to intent. It is equally possible that the legislature, seeing the possibility of electoral chaos in the event that the IRC failed to act as required, clarified that the outcome would be the same as if the IRC produced plans that the legislature rejected. The fact that the statute was passed without Republican support might suggest a future intent by Democrats to gerrymander. It might

suggest an intent by Republicans to oppose any measures that would correct existing imbalances. Or it might suggest that legislators simply sought to provide for something not contemplated by the Constitution.

Finally, petitioners point to a failed attempt by Democrats to further amend the Constitution as supporting an inference that the Democrats intended to favor a political party through the 2022 map. In November 2021, the legislature proposed a constitutional amendment to the voters. Under that proposed constitutional amendment—if the IRC failed to vote on any redistricting plan or plans by the date required—the Commission would submit to the legislature all plans in its possession, completed and in draft form, and the data upon which those plans were based (2021 NY Senate Bill S515, § 4 [proposing amendment adding NY Const, art III, § 5-b (g-1)]). If the IRC so failed in voting and had to submit its plans to the legislature, that failure would require the legislature to create its own redistricting plan, to be enacted by the Governor (*id.* § 3 [proposing amendment to NY Const, art III, § 4 (b)]). The proposed constitutional amendment also included other changes, including increasing the number of state senators (*id.* § 1 [proposing amendment to NY Const, art III, § 2]), establishing a timeline for 2022 redistricting (*id.* § 3 [proposing amendment to NY Const, art III, § 4 (b)]), and requiring that incarcerated people be re-numerated to their last place of residence for the purpose of drawing redistricting lines (*id.* [proposing amendment to NY Const, art III, § 4 (c) (6)]). On one hand, the petitioners argue that the voters' rejection of the amendment shows that the voters would also have disapproved of the statute, and that both the failed amendment and statute were part of a plan by Democrats to bypass the IRC. On the other hand, as with the statute, it is perfectly feasible that Democrats worried that the IRC process would break down and wanted to clarify what should occur in that instance for the sake of election efficiency and integrity.

Taking all of this together, and taking every inference in favor of petitioners, one could colorably believe that the legislature was attempting to position itself to be able to draw legislative districts unfettered by the IRC if the IRC deadlocked. As the Appellate Division concluded, however, that evidence, standing alone, does not prove intent to gerrymander beyond a reasonable doubt (204 AD3d at 1369-1370).

IV.

I agree with the principles underlying the majority's opinion. Election districts should not be created for the purpose of disadvantaging political opponents. Nor should they be created to disadvantage racial or ethnic minorities, or constructed in ways that minimize the responsiveness of elected officials to their constituents by, for example, splitting cities or communities of interest apart. I also do not rule out that, with a sound analysis, these plaintiffs or others could prove that the 2022 legislative plan violated the Constitution, at least in some districts. My disagreements are threefold:

- I read the constitutional provision as Judge Rivera does—leaving the redistricting authority ultimately in the hands of the legislature;
- I am convinced these petitioners have not adduced legally sufficient evidence to demonstrate gerrymandering; and
- given my first two disagreements, I believe the majority's remedy inappropriately strips from the legislature the right clearly provided in article III, § 5: "In any judicial proceeding relating to redistricting . . . [i]n the event that a court finds such a violation, the legislature shall have a full and reasonable opportunity to correct the law's legal infirmities." This case is such a proceeding. As the majority says, "[t]he Constitution is the voice of the people speaking in their sovereign capacity, and it must be heeded" (majority op at 524, quoting *Matter of New York El. R.R. Co.*, 70 NY 327, 342 [1877]). Why, then, does the majority not heed the Constitution's command that the legislature must be given a "full and fair opportunity" to address the legal infirmities identified in this judicial proceeding?

RIVERA, J. (dissenting). I would reverse the Appellate Division judgment because petitioners failed to establish that the legislature violated the state's redistricting procedures or constitutional mandates. The legislature acted within its authority by adopting the redistricting legislation challenged here after the Independent Redistricting Commission (IRC) chose not to submit a redistricting plan by the second constitutional deadline. Thus, there is no procedural error rendering the redistricting legislation void ab initio. Petitioners' claim of

a substantive violation based on gerrymandering is also without merit as their evidence fell far short of proving that the legislature's congressional map was unconstitutional beyond a reasonable doubt.

I.

In interpreting a constitutional provision, the primary role of this Court is to give effect to its unambiguous text and the intent of the people in adopting the provision (*see White v Cuomo*, 38 NY3d 209, 216-217 [2022]). This appeal requires that we interpret article III, §§ 4 and 5 of the New York Constitution. Under section 4, the IRC shall prepare decennially a redistricting plan to establish state assembly and senate and federal congressional districts and submit such a plan and implementing legislation to the legislature for its consideration, without amendment (*see* NY Const, art III, § 4 [b]). If the legislature fails to approve the proposed legislation, the IRC shall prepare and submit a second redistricting plan and necessary implementing legislation for consideration again without amendment (*see id.*). If the legislature fails to approve the second plan, the legislature shall approve its own implementing legislation (*see id.*). Section 4 (e) acknowledges that the redistricting procedure may not be followed where “a court is required to order the adoption of, or changes to, a redistricting plan as a remedy for a violation of law.” Section 5 further provides that upon a judicial finding that a redistricting law violates article III, such law shall be “invalid in whole or in part,” and that “the legislature shall have a full and reasonable opportunity to correct the law’s legal infirmities.” Here, the IRC initially submitted two redistricting plans by the first deadline. The legislature failed to approve either. When the IRC chose not to make another submission by the second deadline, the legislature drafted and approved redistricting implementing legislation which the Governor signed.¹

1. Contrary to the majority’s view, the IRC was not required to submit a different set of second plans. Indeed, the lead Republican IRC Commissioner noted that the Republican members of the IRC had considered agreeing to submit the same plans during the second round, but he concluded that “he would prefer for the Legislature to begin its process then postpone it one week with presumably voting down maps that he claims have not changed” (Joshua Solomon, *Independent Redistricting Commission Comes to a Likely Final Impasse*, Times Union, Jan. 24, 2022, available at <https://www.timesunion.com/state/article/Independent-Redistricting-Commission-comes-to-a-16800357.php>).

Petitioners, residents of several New York districts, claim that the legislature avoided the exclusive redistricting process set forth in sections 4 and 5 by enacting redistricting legislation in the absence of an IRC submission by the second deadline, because a second IRC submission is a constitutional requirement that triggers the legislature's authority to act. Petitioners further claim that the redistricting legislation is the product of intentional gerrymandering by the Democratic members of the State Legislature, in violation of section 4 (c) (5) of article III of the Constitution. As I discuss, petitioners are wrong as a matter of law on their procedural challenge and have failed to prove their gerrymandering allegation.

II.

There is no procedural error of constitutional magnitude warranting invalidation of the legislature's redistricting implementing legislation. That conclusion is supported by either of two analytic paths.

A.

By one view, the process followed by the legislature here does not violate the text or purpose of article III because the IRC in fact submitted two plans, albeit all at once, in furtherance of the purpose of section 4, and, in any case, the legislature is not bound to approve an IRC plan as drafted.² Under that view, the legislature acted appropriately on the unique facts of this case. First, the Constitution does not mandate legislative adoption of any IRC-proposed implementing legislation; the legislature may opt to reject the IRC submissions and proceed to draft implementing legislation, which would then be submitted to the Governor for action (*see* NY Const, art III, § 4 [b]).³ That is exactly what happened here. Second, the Constitution requires that in the event that more than one draft plan receives an equal number of IRC member votes for approval,

2. The majority incorrectly asserts that the legislature's alleged violation of the constitutional procedure is undisputed (*see* majority op at 501). In fact, respondents have maintained that the IRC, not the legislature, is at fault here.

3. Several of the states cited by the majority (*see* majority op at 503 n 2) have adopted redistricting commissions which are not subject to legislative approval (*see e.g.* Cal Const, art XXI, § 2; Colo Const, art V, § 48; Mich Const, art 4, § 6; *see generally* Loyola Law School, *All About Redistricting: National Summary*, <https://redistricting.lls.edu/national-overview/?colorby=Institution&level=Congress&cycle=2020> [last visited Apr. 27, 2022]).

above the votes garnered for any other plan, the IRC must submit all of those plans to the legislature in accordance with section 4 (b) of article III of the Constitution (*see id.* § 5-b [g]). Thus, if the IRC fails to garner a majority vote, the IRC is empowered to submit more than one redistricting plan and implementing legislation for the legislature's consideration. That is also what happened here. Third, nothing in the Constitution expressly prohibits the legislature from acting if the IRC chooses not to submit yet another plan after the legislature has considered and failed to approve all the plans with the highest number of IRC votes. The Constitution is simply silent on how to address the IRC's choice to forgo submission of a redistricting plan and implementing legislation before the second deadline. Nor does the constitutional framework command that the legislature remain idle in the face of an IRC decision not to submit a plan despite section 4 (b)'s mandatory language setting forth deadlines for submission. The Constitution requires the legislature approve redistricting legislation, upon consideration of one IRC plan and, if necessary, a second plan. The legislature did exactly that, reviewing two IRC plans and determining not to approve either, but instead adopting legislation which it maintains wholly comports with the Constitution.⁴ The majority's decision leaves the legislature hostage to the IRC, and thus incentivizes political gamesmanship by the IRC members—the exact scenario the majority claims it avoids by interpreting the second IRC submission as a mandatory predicate to legislative action (*see* majority op at 515).

The majority claims that upholding the legislative action here would undermine the redistricting process adopted by the 2014 constitutional amendment and thwart the purpose of the amendment (*see id.* at 517). That is only true if we ignore the salutary aspects of the entire redistricting process and how it informs the legislature's decisions. Under the Constitution, the IRC is tasked with drafting proposed districts that are contiguous, compact, and equipopulous, while considering the mainte-

4. The majority, in claiming that my view ignores the constitutional text and purpose (*see* majority op at 512 n 8), ignores that under the unique facts here, we must harmonize the constitutional process with the overriding intent of the amendment—to create a process for public, bipartisan input in redistricting to provide the legislature with background data and options for redistricting. The majority view rests on a distinction without a difference; had the IRC merely submitted the competing plans in succession, and if the legislature had not approved either, the majority would conclude, as I do, that there was no procedural error.

nance of cores of existing districts and political subdivisions, and avoiding line-drawing that denies or abridges the rights of communities of interest, including racial and minority language groups, or the formation of districts that favor or disfavor political candidates or parties (*see* NY Const, art III, § 4 [c]). The goal of fair, non-gerrymandered line drawing is furthered, in part, by a robust public hearing and comment process that allows the IRC to consider diverse viewpoints when preparing its redistricting plan (*see id.*). In turn, the legislature benefits from this same process when it considers the IRC's draft plan. Here, in accordance with the Constitution, the legislature considered both of the plans submitted by the IRC, fully aware of the public process that preceded the approval of both plans by a concededly split IRC membership. Unfortunately, like the IRC, the legislature could not agree on only one of those plans. When the IRC chose not to make a submission by the second deadline—of a plan that would be subject to legislative amendment, unlike the two plans submitted by the first deadline—nothing in the Constitution prohibited the legislature from drafting and approving redistricting legislation that it determined was in compliance with the constitutional mandates set forth in article III.

The majority also concludes that the legislature may only “amend[]” redistricting plans submitted by the IRC (*see* majority op at 510, quoting NY Const, art III, § 4 [b]). The extent of the legislature's authority to redraw the IRC's proposed maps, however, is not before us since that did not occur here. Moreover, the majority's interpretation ignores that legislative plans may include “*any* amendments” that are “deem[ed] necessary” (NY Const, art III, § 4 [b] [emphasis added]), giving the legislature significant discretion to reject the IRC's proposals. Likewise, the two percent rule—which the majority seems to interpret as a constitutional requirement (*see* majority op at 516 n 11)—is also not properly before us, and in any case, that statutory rule applies only when the IRC submits a plan by the second deadline, which concededly it did not do. In sum, the majority is incorrect that the legislature's authority to approve redistricting legislation is subject to the two percent rule after it decides not to approve the first IRC plan as drafted because that legislative authority can only be triggered after the IRC submits a plan pursuant to the second deadline.

Even assuming the majority is correct that the Constitution provides the legislature with express and exclusive choices—

either approve, as drafted, the IRC implementing legislation submitted by the first or the second constitutional deadlines, or don't approve either and amend and approve bicamerally the second submission which is then presented to the governor for action—the majority correctly concedes that the legislature is not required to adopt, without change, the IRC recommendations (*see* majority op at 510). Instead, the legislature must exercise its constitutional duty to ensure that New York's district lines comply with the constitutional factors set forth in article III and do not otherwise violate federal or state law (*see* NY Const, art III, § 4 [c]; Voting Rights Act of 1965, 52 USC § 10101 *et seq.*, as added by Pub L 89-110, 79 US Stat 437). As this Court has made clear, redistricting is a complex and intricate task, involving a “[b]alancing” of “myriad requirements imposed by both the State and the Federal Constitution,” which is ultimately “entrusted to the [l]egislature” (*Matter of Wolpoff v Cuomo*, 80 NY2d 70, 79 [1992]; *see Matter of Schneider v Rockefeller*, 31 NY2d 420, 431 [1972] [“The gerrymander(ing) is . . . rather deep in the ‘political thicket’ ”]). Thus, and contrary to the majority's conclusion (*see* majority op at 514-515), the legislature was not required to ignore its constitutional duty because the IRC “abandon[ed] its constitutional mandate” (*id.* at 517). And, despite the majority rhetoric about redistricting reform—that the IRC process was designed to “incentiviz[e] the legislature to encourage and support fair bipartisan participation and compromise throughout the redistricting process” (*id.* at 515)—it is the majority's interpretation of the Constitution that effectively places the redistricting process at the mercy of the IRC, which cannot be what the people of the State of New York intended when they approved the amendment and even though the Constitution does not mandate legislative approval of any IRC plan. Indeed, recognition that the legislature retains the ultimate authority to enact a redistricting plan does not, as the majority posits, “render the 2014 amendments . . . functionally meaningless” (*id.* at 508-509); it merely confirms that the legislature must step in when the IRC fails in its task.

B.

Even if the plain text of the Constitution did not support the legislative action taken here, there is an alternative analytic basis for rejecting the petitioners' procedural argument. The Constitution is silent as to how to respond when the IRC does

not submit a plan in accordance with article III, as in this case where the IRC chooses not to make a second deadline submission. Notably, petitioners did not sue the IRC to secure compliance with what they and the majority maintain is the “*exclusive* method of redistricting” (majority op at 515). Nor have petitioners requested the courts to adopt either of the IRC plans even though petitioners, like the majority, claim that the IRC’s submissions are a constitutional predicate to legislative action (*see id.* at 515-516).

However, the legislature anticipated just such a failure in the IRC process by passage of an amendment to the Redistricting Reform Act of 2012 (L 2012, ch 17), which provides that

“if the commission does not vote on any redistricting plan or plans, for any reason, by the date required for submission of such plan and the commission submitted to the legislature . . . all plans in its possession, both completed and in draft form, and the data upon which such plans are based, each house shall introduce such implementing legislation with any amendments each house deems necessary” (*see* Redistricting Reform Act § 4 [c], as amended by L 2021, ch 633, § 1).⁵

That statute, having been properly enacted, controls and provided the legislature with the authority to act as it did here.⁶

III.

Turning to petitioners’ second claim, that the legislative plan is an unlawful gerrymander, we review this challenge, like other constitutional attacks on redistricting plans, *de novo* and not, as the majority suggests, under a deferential standard of

5. The majority’s discussion of the legislative history of the 2014 amendment is incomplete (*see* majority op at 513-515). Several legislators and commentators recognized, prior to adoption, that—contrary to the views of its sponsors—the amendment did not guarantee that the IRC would follow the constitutional process (*see e.g.* NY Senate Debate on Assembly Bill A2086, Jan. 23, 2013 at 252 [warning that an evenly-divided IRC might “foster gridlock”]).

6. The statute’s two percent rule would also control. If failure to comply with that rule were the sole alleged problem with the legislature’s redistricting plan, the courts could mandate compliance as a targeted and narrow remedy rather than reject the entire redistricting plan as the majority does, thus creating confusion for candidates and their supporters, and necessitating the adoption of new deadlines (*see* majority op at 522-523; Troutman, J., dissenting op at 526).

review (see *Matter of Wolpoff*, 80 NY2d at 78 [(W)e examine the balance struck by the (l)egislature in its effort to harmonize competing Federal and State requirements”]; *Matter of Schneider*, 31 NY2d at 427 [“Our duty is . . . to determine whether the legislative plan substantially complies with the Federal and State Constitutions”]). Thus, petitioners are held to the highest burden in our law—one generally enshrined in criminal law—proof beyond a reasonable doubt:

“A strong presumption of constitutionality attaches to the redistricting plan and we will upset the balance struck by the Legislature and declare the plan unconstitutional ‘only when it can be shown beyond reasonable doubt that it conflicts with the fundamental law, and that until every reasonable mode of reconciliation of the statute with the Constitution has been resorted to, and reconciliation has been found impossible’ ” (*Matter of Wolpoff*, 80 NY2d at 78, quoting *Matter of Fay*, 291 NY 198, 207 [1943]; accord *Cohen v Cuomo*, 19 NY3d 196, 201-202 [2012]).

Upon review of the record before us, I conclude that petitioners failed to meet their heavy burden. As three Justices concluded below, and as Judge Wilson explains, other than the petitioners’ expert analysis alleging gerrymandering, the petitioners’ other evidence cannot satisfy their burden of proof (see 204 AD3d 1366, 1371 [4th Dept 2022 plurality]; Wilson, J., dissenting op at 543-545).⁷ I have already discussed why there was no constitutional procedural violation, but even if there had been, the legislature’s approval of a redistricting plan in the absence of a second IRC submission does not establish intentional gerrymandering. This case does not rest on “the credibility issue routinely seen in battle-of-the-experts cases,” but rather turns on petitioners’ expert evidence and its “proba-

7. With respect to one of those alleged grounds, the majority is incorrect to the extent that it suggests that the legislature did not consider Republican views (see majority op at 505 n 3). As Judge Troutman and Judge Wilson explain in their dissents, the legislature enacted a plan that includes similar upstate boundaries as the two IRC plans actually submitted to the legislature (see Troutman, J., dissenting op at 525-526; Wilson, J., dissenting op at 535-536). As for the other ground—that the legislature’s redistricting differs from the 2012 district lines—the purpose of redistricting is to address demographic changes and so it is no surprise that population shifts in New York State would result in a different redistricting map in accordance with constitutional requirements (see Wilson, J., dissenting op at 541).

tive force . . . regardless of respondents' opposition" (204 AD3d at 1378 [Whalen, P.J., and Winslow, J., dissenting in part]). For reasons discussed at length in Judge Wilson's thorough and compelling analysis of petitioners' evidence and gerrymandering claim, which I fully join, petitioners failed to carry their burden. In sum, petitioners relied on an expert who failed to account for several constitutional requirements and who used an untested, unverified algorithm (*see* Wilson, J., dissenting op at 529-530; *cf. People v Wakefield*, 38 NY3d 367, 394-403 [2022, Rivera, J., concurring in result]). No district line drawer could do so and still comply with the Constitution.

I dissent.

Judges GARCIA, SINGAS and CANNATARO concur. Judge TROUTMAN dissents in part in an opinion, in which Judge WILSON concurs in part in a dissenting opinion, in which Judge RIVERA concurs in part. Judge RIVERA dissents in a separate dissenting opinion, in which Judge WILSON concurs.

Order modified, with costs to petitioners, in accordance with the opinion herein and, as so modified, affirmed.

[197 NE3d 921, 176 NYS3d 533]

In the Matter of NONHUMAN RIGHTS PROJECT, INC., on Behalf of
HAPPY, Appellant, v JAMES J. BREHENY, in His Official
Capacities as Executive Vice President and General Direc-
tor of Zoos and Aquariums of the Wildlife Conservation So-
ciety and Director of the Bronx Zoo, et al., Respondents.

Argued May 18, 2022; decided June 14, 2022

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 17, 2020. The Appellate Division (1) affirmed an order of the Supreme Court, Bronx County (Alison Y. Tuitt, J.; op 2020 NY Slip Op 35291[U] [2020]), which had (a) granted respondents' motion to dismiss the petition for a writ of habeas corpus on behalf of Happy, an elephant; (b) dismissed the petition; and (c) denied the remainder of the motions as academic or moot; and (2) directed the clerk to enter judgment dismissing the proceeding brought pursuant to CPLR article 70.

Matter of Nonhuman Rights Project, Inc. v Breheny, 189 AD3d 583, affirmed.

HEADNOTE

Habeas Corpus — When Remedy Available — Writ of Habeas Corpus Limited to Human Beings

Petitioner, a not-for-profit corporation seeking to establish that “some nonhuman animals” are “legal persons” entitled to fundamental rights including “bodily integrity and bodily liberty,” was not entitled to habeas corpus relief pursuant to CPLR article 70 on behalf of an elephant residing at respondents' zoo in order to secure her transfer to an elephant sanctuary, as the writ of habeas corpus does not apply to nonhuman animals who are not “persons” subjected to illegal detention. The selective capacity for autonomy, intelligence, and emotion of a particular nonhuman animal species is not a determinative factor in whether the writ is available as such factors are not what makes a person detained qualified to seek the writ. Rather, the Great Writ protects the right to liberty of humans because they are humans with certain fundamental liberty rights recognized by law. Nonhuman animals are not, and never have been, considered “persons” with a right to “liberty” under New York law. The fact that the greatest relief which could be afforded was a transfer between lawful confinements demonstrated the incompatibility of habeas relief in the nonhuman context inasmuch as, under New York law, the writ may be sustained only when a person is entitled to immediate release from an unlawful restraint of liberty. Moreover, legal personhood is connected with the capacity, not just to benefit from the provision of legal rights, but also to assume legal duties and social responsibilities. Unlike the human

species, which has the capacity to accept social responsibilities and legal duties, nonhuman animals cannot be held legally accountable or required to fulfill obligations imposed by law.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Habeas Corpus and Postconviction Remedies
§§ 5, 137.

CARMODY-WAIT 2d Habeas Corpus §§ 139:2, 139:86.

LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) §§ 27.4,
28.3.

McKINNEY'S, CPLR art 70.

NY JUR 2d Habeas Corpus §§ 13, 86.

ANNOTATION REFERENCE

See ALR Index under Animals; Elephants; Habeas
Corpus.

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POINTS OF COUNSEL

Monica L. Miller, admitted pro hac vice, Novato, California, *Nonhuman Rights Project*, New Hyde Park (*Elizabeth Stein* of counsel), and *Steven M. Wise*, admitted pro hac vice, Coral Springs, Florida, for appellant. I. This Court must recognize Happy's common-law right to bodily liberty protected by habeas corpus. (*Williams v Kaiser*, 323 US 471; *Preiser v Rodriguez*, 411 US 475; *Rasul v Bush*, 542 US 466; *People ex rel. Tweed v Liscomb*, 60 NY 559; *Lemmon v People*, 20 NY 562; *People ex rel. DeLia v Munsey*, 26 NY3d 124; *Woods v Lancet*, 303 NY 349; *Battalla v State of New York*, 10 NY2d 237; *Bing v Thunig*, 2 NY2d 656; *Millington v Southeastern El. Co.*, 22 NY2d 498.) II. Once this Court recognizes Happy's common-law right to bodily liberty protected by habeas corpus, it must order her immediate release and should send her to an elephant sanctuary. (*People ex rel. Dawson v Smith*, 69 NY2d 689; *People ex rel. Brown v Johnston*, 9 NY2d 482; *McGraw v Wack*, 220 AD2d 291.)

Phillips Lytle LLP, Buffalo (*Kenneth A. Manning*, *Joshua Glasgow* and *William V. Rossi* of counsel), for respondents. I.

There is no American or English common-law precedent supporting The Nonhuman Rights Project, Inc.'s proposal to expand "person" to include nonhuman animals. (*Matter of Nonhuman Rights Project, Inc. v Presti*, 124 AD3d 1334, 26 NY3d 901; *People ex rel. Nonhuman Rights Project, Inc. v Lavery*, 124 AD3d 148, 26 NY3d 902; *Matter of Nonhuman Rights Project, Inc. v Lavery*, 152 AD3d 73, 31 NY3d 1054; *Nonhuman Rights Project, Inc. v R.W. Commerford & Sons, Inc.*, 216 A3d 839; *Miles v City Council of Augusta, Ga.*, 710 F2d 1542; *Cetacean Community v Bush*, 386 F3d 1169; *Tilikum ex rel. People for the Ethical Treatment of Animals, Inc. v Sea World Parks & Entertainment, Inc.*, 842 F Supp 2d 1259; *Jones v Fransen*, 857 F3d 843; *Dye v Wargo*, 253 F3d 296; *Gertz v Robert Welch, Inc.*, 418 US 323.) II. The Nonhuman Rights Project, Inc.'s attempt to expand the definition of "person" to include nonhuman animals for habeas corpus purposes should be denied and left for consideration by the legislature. (*Byrn v New York City Health & Hosps. Corp.*, 31 NY2d 194; *Matter of New York State Inspection, Sec. & Law Enforcement Empls., Dist. Council 82, AFSCME, AFL-CIO v Cuomo*, 64 NY2d 233; *Palladino v CNY Centro, Inc.*, 23 NY3d 140; *Matter of Higby v Mahoney*, 48 NY2d 15; *Hammer v American Kennel Club*, 1 NY3d 294; *Xiang Fu He v Troon Mgt., Inc.*, 34 NY3d 167; *Whitman v American Trucking Assns., Inc.*, 531 US 457; *People v Graves*, 163 AD3d 16; *Lemmon v People*, 20 NY 562; *Palila v Hawaii Dept. of Land & Natural Resources*, 852 F2d 1106.) III. Common law does not permit this Court to modify the traditional writ of habeas corpus when the conditions of confinement are not illegal, the relief sought is not release, or when petitioner is a nonhuman animal. (*People ex rel. Robertson v New York State Div. of Parole*, 67 NY2d 197; *People ex rel. DeLia v Munsey*, 26 NY3d 124; *People ex rel. Pruyne v Walts*, 122 NY 238; *People ex rel. Hubert v Kaiser*, 150 App Div 541, 206 NY 46; *Di Bella v Di Bella*, 47 NY2d 828; *Rivers v Katz*, 67 NY2d 485; *Washington v Glucksberg*, 521 US 702; *Donnegan v Erhardt*, 119 NY 468; *Campaign for Fiscal Equity v State of New York*, 86 NY2d 307; *Matter of Sgueglia v Kelly*, 134 AD3d 443.) IV. The Nonhuman Rights Project, Inc.'s suggestion that the common law requires updating is unprincipled and without legal support. (*Flo & Eddie, Inc. v Sirius XM Radio, Inc.*, 28 NY3d 583; *Norcon Power Partners v Niagara Mohawk Power Corp.*, 92 NY2d 458; *People ex rel. Tweed v Liscomb*, 60 NY 559; *Matter of Leggat*, 162 NY 437.) V. The Nonhuman Rights Project, Inc.'s petition should be denied because it fails to set

forth a workable standard that would provide courts clear guidance as to when to treat a nonhuman animal as a “person.” (*People v Taylor*, 9 NY3d 129; *Myers v Schneiderman*, 30 NY3d 1; *People v Ocasio*, 28 NY3d 178.)

Super Law Group, LLC, New York City (*Reed Super* of counsel), for Martha C. Nussbaum, amicus curiae. I. This case matters because it is time to reform the law to protect our modern scientific and philosophical understanding that many animals are capable of living their own meaningful lives. II. Elephants are cognitive, complex creatures with distinct societies, emotions, and lives. III. *People ex rel. Nonhuman Rights Project, Inc. v Lavery* (124 AD3d 148 [3d Dept 2014]) and *Matter of Nonhuman Rights Project, Inc. v Lavery* (152 AD3d 73 [1st Dept 2017]) apply an incorrect philosophical approach to deny legal personhood to nonhuman animals. IV. The capabilities approach is the correct philosophical approach to determining Happy’s personhood. V. The Bronx Zoo’s conduct harms Happy in both physical and intangible ways. VI. Happy would not be the first nonhuman entity to whom a court has extended constitutional protection. (*Citizens United v Federal Election Comm’n*, 558 US 310.)

Kelley Drye & Warren LLP, Washington, D.C. (*Bezalel A. Stern* and *Ira T. Kasdan*, admitted pro hac vice, of counsel), for Protect the Harvest and others, amici curiae. I. Under established New York law, Happy is the private property of the Bronx Zoo; as such, she cannot be subject to habeas corpus. (*Matter of Ruth H. [Marie H.]*, 159 AD3d 1487; *Mullaly v People*, 86 NY 365.) II. Happy’s status as personal property may not be changed based on common law. (*Seawall Assoc. v City of New York*, 74 NY2d 92; *Chicago, B. & Q. R. Co. v Chicago*, 166 US 226; *Stop the Beach Renourishment, Inc. v Florida Dept. of Environmental Protection*, 560 US 702; *People v Hobson*, 39 NY2d 479; *Lemmon v People*, 20 NY 562.) III. Any order transferring Happy from the Bronx Zoo to a sanctuary would be a judicial taking prohibited by the United States Constitution. (*Missouri Pacific R. Co. v Nebraska*, 164 US 403; *Hawaii Housing Authority v Midkiff*, 467 US 229.)

Chaffetz Lindsey LLP, New York City (*David M. Lindsey* of counsel), for John Berkman and others, amici curiae. I. Nonhuman animals belong to God, not to us. II. Nonhuman animals have a special and particular place within God’s creation. III. Human beings, as caretakers and stewards of God’s creation,

have a special and particular duty to nonhuman animals. IV. Forcibly confining Happy this way fundamentally fails in our duty to demonstrate the kindness owed her as a matter of justice based on the kind of creature she is.

Richman Law & Policy, Irvington (Jay Shooster of counsel), for Christine M. Korsgaard, amicus curiae. I. Rights are not limited to human beings. II. Happy's liberty right is quite simply a right to have a life of her own, not one that is totally shaped by human purposes. (*People ex rel. Nonhuman Rights Project, Inc. v Lavery*, 124 AD3d 148; *Matter of Nonhuman Rights Project, Inc. v Lavery*, 152 AD3d 73.) III. A sanctuary is as close as we can come to providing a remedy for the violation of Happy's right against the captivity that treats her as a mere means to human ends. (*Matter of Nonhuman Rights Project, Inc. v Lavery*, 31 NY3d 1054.)

Ana L. McMonigle, Hartford, Connecticut, for Gary L. Comstock and others, amici curiae. I. Species membership alone cannot rationally be used to determine who is a person or a rights holder. II. Not all rights depend on the existence of a social contract, the social contract does not produce persons, and personhood is not conditional on bearing duties and responsibilities. III. Happy should be seen as a member of a community of persons. IV. On a capacities conception of personhood, Happy qualifies as a person. (*Matter of Nonhuman Rights Project, Inc. v Presti*, 124 AD3d 1334.)

Fisher & Byrialsen, PLLC, New York City (Jane H. Fisher-Byrialsen of counsel), for Jane H. Fisher-Byrialsen and others, amici curiae. I. Happy should be classified as a legal person and entitled to habeas corpus. (*United States v Mett*, 65 F3d 1531.) II. The writ of habeas corpus has historically been used in novel situations to bring about social change. (*Boumediene v Bush*, 553 US 723.) III. Applying habeas corpus to nonhuman animals, like Happy, is consistent with the writ's historical uses.

Shook Hardy & Bacon L.L.P., New York City (Scott A. Chesin of counsel) and Washington, D.C. (Philip S. Goldberg, admitted pro hac vice, and Christopher E. Appel of counsel), for American Veterinary Medical Association and others, amici curiae. I. Courts have consistently and uniformly adhered to the ownership regime for governing the human-animal relationship. (*People ex rel. Nonhuman Rights Project, Inc. v Lavery*, 124 AD3d 148.) II. Animal ownership laws reflect wide-ranging

roles of animals in society and promote animal welfare through accountability. III. Legislatures are the appropriate bodies to develop the fundamental legal rights and responsibilities governing animal welfare. (*Matter of Regina Metro. Co., LLC v New York State Div. of Hous. & Community Renewal*, 35 NY3d 332.)

Quinn Emanuel Urquhart & Sullivan, LLP, New York City (*Kathleen Sullivan* of counsel) and Austin, Texas (*John F. Bash*, admitted pro hac vice, of counsel), for National Association for Biomedical Research, amicus curiae. I. Habeas rights should not be extended to animals. (*Miles v City Council of Augusta, Ga.*, 710 F2d 1542; *Boumediene v Bush*, 553 US 723; *INS v St. Cyr*, 533 US 289; *People ex rel. Nonhuman Rights Project, Inc. v Lavery*, 124 AD3d 148, 26 NY3d 902; *People ex rel. Keitt v McMann*, 18 NY2d 257; *Flo & Eddie, Inc. v Sirius XM Radio, Inc.*, 28 NY3d 583; *Barker v Parnossa, Inc.*, 39 NY2d 926.) II. Conferring habeas rights on animals would have adverse practical effects on research universities, hospitals, and laboratories.

Lan Cao, Orange, California, for Edwin Cameron, amicus curiae. I. Under South African law, nonhuman animals may be considered rights-holders—albeit not necessarily rights-enforcers—akin to “moral patients” or those with “passive legal capacity.” II. There is debate whether legislation enacted in South Africa to protect nonhuman animals from cruelty confers rights. III. South African law is shifting to accommodate the “direct duty” view. IV. Developing South African common law to extend legal personhood to nonhuman animals is a legally sound approach. V. The right to the environment extends to nonhuman animals. VI. African customary law may bolster the importance of considering nonhuman animals, especially elephants, as sentient beings with capabilities and interests and thus entitled to respect, consideration and practical protection.

Law Offices of R. Tamara de Silva, LLC, Chicago, Illinois (*R. Tamara de Silva*, admitted pro hac vice, of counsel), for Mahinda Deegalle and others, amici curiae. I. Nonhuman animals are sentient beings. II. Buddhism does not differentiate between human and nonhuman beings. III. Happy is a sentient being who suffers in her forced captivity and Buddhism would dictate that we ought to show compassion for her.

Pryor Cashman LLP, New York City (*Susan P. Witkin* of

counsel), for Joe Wills and others, amici curiae. I. Individuals do not need to be able to bear duties to be legal persons. (*Department of Welfare of City of N.Y. v Siebel*, 6 NY2d 536; *Byrn v New York City Health & Hosps. Corp.*, 31 NY2d 194; *Cetacean Community v Bush*, 386 F3d 1169.) II. Individuals do not need to be able to bear duties to be legal rights-holders. (*People v Curcio*, 22 Misc 3d 907; *People v Gordon*, 61 Misc 3d 966; *Tilikum ex rel. People for the Ethical Treatment of Animals, Inc. v Sea World Parks & Entertainment, Inc.*, 842 F Supp 2d 1259.) III. An individual does not need to be a human to be a legal person. (*Matter of Nonhuman Rights Project, Inc. v Stanley*, 49 Misc 3d 746; *Santa Clara County v Southern Pacific R. Co.*, 118 US 394; *Waste Mgt. of Wisconsin, Inc. v Fokakis*, 614 F2d 138.) IV. The scope of habeas corpus is not a matter for the legislature. V. Extending habeas corpus protections to Happy would draw on the finest egalitarian traditions of the common law. (*Rasul v Bush*, 542 US 466; *Boumediene v Bush*, 553 US 723; *Raymond v Lachmann*, 264 AD2d 340; *Corso v Crawford Dog & Cat Hosp.*, 97 Misc 2d 530; *Feger v Warwick Animal Shelter*, 59 AD3d 68; *Travis v Murray*, 42 Misc 3d 447; *Finn v Anderson*, 64 Misc 3d 273; *People v Graves*, 163 AD3d 16.)

Ana L. McMonigle, Hartford, Connecticut, for Laurence H. Tribe and others, amici curiae. I. The Third Department's reasoning in *People ex rel. Nonhuman Rights Project, Inc. v Lavery* (124 AD3d 148 [2014]), together with the First Department's adoption of that reasoning in dictum in *Matter of Nonhuman Rights Project, Inc. v Lavery* (152 AD3d 73 [2017]) and its adherence to the same in the present case unjustifiably curtail the scope of habeas corpus. (*People ex rel. Pruyne v Walts*, 122 NY 238; *Harris v Nelson*, 394 US 286; *Lemmon v People*, 20 NY 562; *People ex rel. Wehle v Weissenbach*, 60 NY 385; *Matter of Brevorka ex rel. Wittle v Schuse*, 227 AD2d 969; *State of New York ex rel. Headley v Connor*, 87 AD2d 511; *People ex rel. Brown v Johnston*, 9 NY2d 482; *People ex rel. Ledwith v Board of Trustees of Bellevue & Allied Hosps.*, 238 NY 403; *Sporza v German Sav. Bank*, 192 NY 8; *People ex rel. Morrell v Dold*, 189 NY 546.) II. *People ex rel. Nonhuman Rights Project, Inc. v Lavery*'s reciprocity barrier to habeas jurisdiction is doubly unsound. III. By rejecting, on the basis of species alone, a nonhuman animal's rights claims, *People ex rel. Nonhuman Rights Project, Inc. v Lavery* and *Matter of Nonhuman Rights Project, Inc. v Lavery* violate common-law equality. (*Romer v Evans*, 517 US 620; *Payne v Tennessee*, 501 US 808.)

FisherBroyles LLP, Los Angeles, California (*Paul Beard II*,

admitted pro hac vice, of counsel), for New York Farm Bureau and others, amici curiae. I. Extending the writ of habeas corpus to nonhuman animals will devastate the agricultural industry. II. Extending the writ of habeas corpus to nonhuman animals raises serious constitutional questions. (*Brown v Legal Foundation of Wash.*, 538 US 216; *Armstrong v United States*, 364 US 40; *Lingle v Chevron U. S. A. Inc.*, 544 US 528; *Kelo v New London*, 545 US 469; *Calder v Bull*, 3 US 386; *Loretto v Teleprompter Manhattan CATV Corp.*, 458 US 419; *Sentell v New Orleans & Carrollton R. Co.*, 166 US 698; *Van Leuven v Lyke*, 1 NY 515; *People v Sandgren*, 302 NY 331; *Stop the Beach Renourishment, Inc. v Florida Dept. of Environmental Protection*, 560 US 702.)

Arnold & Porter Kaye Scholer LLP, New York City (*Avishai D. Don* of counsel) and Washington, D.C. (*Michael A. Johnson* and *Dirk C. Phillips* of counsel), and *Association of Zoos & Aquariums*, Silver Spring, Maryland (*John C. Keeney, Jr.*, of counsel), for Association of Zoos & Aquariums and others, amici curiae. I. Habeas corpus applied only to humans at common law, because only humans can participate in the social contract that serves as the foundation of our government. (*Smith v Bennett*, 365 US 708; *Boumediene v Bush*, 553 US 723; *Dieterich v Fargo*, 194 NY 359; *Sentell v New Orleans & Carrollton R. Co.*, 166 US 698; *Hammer v American Kennel Club*, 1 NY3d 294; *Babbitt v Sweet Home Chapter of Communities for a Great Oregon*, 515 US 687; *McCulloch v Maryland*, 17 US 316; *Slaughter-House Cases*, 83 US 36; *Tilikum ex rel. People for the Ethical Treatment of Animals, Inc. v Sea World Parks & Entertainment, Inc.*, 842 F Supp 2d 1259; *Brown v Plata*, 563 US 493.) II. The court should not use its common-law authority to extend habeas relief to animals. (*Flo & Eddie, Inc. v Sirius XM Radio, Inc.*, 28 NY3d 583; *Caronia v Philip Morris USA, Inc.*, 22 NY3d 439; *Madden v Creative Servs.*, 84 NY2d 738; *Trombetta v Conkling*, 82 NY2d 549; *Tobin v Grossman*, 24 NY2d 609; *Palka v Servicemaster Mgt. Servs. Corp.*, 83 NY2d 579; *People ex rel. Robertson v New York State Div. of Parole*, 67 NY2d 197; *Matter of Nonhuman Rights Project, Inc. v Lavery*, 152 AD3d 73; *Matter of Alan D.M. v Nassau County Dept. of Social Servs.*, 58 AD2d 111; *Cohen v State of New York*, 94 NY2d 1.)

Law Offices of David Karopkin, Brooklyn (*David Karopkin* of counsel), for Randall S. Abate and others, amici curiae. I. *People ex rel. Nonhuman Rights Project, Inc. v Lavery* (124 AD3d 148

[3d Dept 2014]) and *Matter of Nonhuman Rights Project, Inc. v Lavery* (152 AD3d 73 [1st Dept 2017]) were wrongly decided and should be overruled. (*Meyer v Inguaggiato*, 258 App Div 331; *Verni v Johnson*, 295 NY 436; *M.F. v Delaney*, 37 AD3d 1103.) II. Animals are legal persons and should be entitled to challenge their unlawful confinement. (*Cetacean Community v Bush*, 386 F3d 1169; *Travis v Murray*, 42 Misc 3d 447; *Naruto v Slater*, 888 F3d 418.)

Amy Trakinski, New York City, for Carol Bakhos and others, amici curiae. I. Obligations to nonhuman animals are a foundational ethical issue sufficiently serious to merit challenges to previous interpretations of habeas corpus. II. Jewish Americans, like Americans in general, have been expressing greater concern for animals than in the past, and these changed values warrant greater legal protections for animals. III. Failing to remedy Happy's confinement threatens the moral foundation of the legal system and ethics more generally. Allowing emotional, intelligent, and autonomous beings to be treated by the court as things is ethically dangerous.

Lan Cao, Orange, California, for Christina Nellist and others, amici curiae. A modern contextualization of Trinitarian theology can inform contemporary legal discussions and decisions on how the legal term "person" can be applied to both human and nonhuman beings.

Richman Law & Policy, Irvington (*Jay Shooster* of counsel), for Peter Singer and others, amici curiae. I. The consequentialist reasoning defended by Peter Singer in *The Expanding Circle* and other work has a consistent track record of being on the right side of history when it comes to controversial decisions about legal rights. (*Matter of Nonhuman Rights Project, Inc. v Lavery*, 152 AD3d 73.) II. Happy's strong interest in being transferred has greater moral weight than anyone else's interest in keeping her confined. III. Happy has the capacities sufficient for personhood. IV. Rights holders need not be capable of bearing social obligations. V. The question of Happy's standing must not await legislative debate. VI. The three most widely accepted moral theories agree on Happy's case. VII. Other jurisdictions increasingly edge toward recognizing nonhuman personhood.

Chaffetz Lindsey LLP, New York City (*David M. Lindsey* of counsel), for Shannon Minter and another, amici curiae. I. Much as in prior cases brought by others formerly excluded,

oppressed, or deemed too “different,” the liberty claim of a nonhuman being such as Happy the elephant presents significant and substantial concerns that courts must meaningfully address, not arbitrarily turn away. (*Matter of Nonhuman Rights Project, Inc. v Lavery*, 152 AD3d 73; *People ex rel. Nonhuman Rights Project, Inc. v Lavery*, 124 AD3d 148; *Matter of Nonhuman Rights Project, Inc. v Presti*, 124 AD3d 1334; *Lawrence v Texas*, 539 US 558; *Bowers v Hardwick*, 478 US 186.) II. Relief for Happy the elephant does not turn on constricted conceptions of personhood but, rather, on whether this intelligent nonhuman shares some right to liberty protected by habeas corpus. (*Matter of Nonhuman Rights Project, Inc. v Lavery*, 31 NY3d 1054; *United States v Virginia*, 518 US 515; *People ex rel. DeLia v Munsey*, 26 NY3d 124; *Harris v Nelson*, 394 US 286.) III. The shared liberty interest and the need for relief are similarities that easily outweigh differences concerning an overly narrow definition of personhood. IV. As in prior cases involving LGBT people and other excluded groups, this Court must take care to frame the questions and consider the urgent claim for relief seriously, commensurate with the weighty and shared liberty interest at stake here for this nonhuman being. (*Bowers v Hardwick*, 478 US 186; *Glossip v Gross*, 576 US 863; *Garcia v Spaulding*, 324 F Supp 3d 228; *Kitchen v Herbert*, 961 F Supp 2d 1181.)

Law Office of Calvin D. Weaver, Hammondsport (*Calvin D. Weaver* of counsel), and *Richard L. Cupp Jr.*, for Richard L. Cupp Jr., amicus curiae. I. Legal personhood rights and a norm of legal accountability are intertwined as a foundation of our society and its legal system. (*People ex rel. Nonhuman Rights Project, Inc. v Lavery*, 124 AD3d 148; *Matter of Nonhuman Rights Project, Inc. v Lavery*, 152 AD3d 73; *Naruto v Slater*, 888 F3d 418.) II. The amicus curiae briefs filed by academic philosophers do not make a persuasive case for adopting The Nonhuman Rights Project, Inc.’s legal theory, and in some respects they undermine it. III. Reliance on Hohfeldian analysis is misplaced. IV. Will theory and interest theory do not validate The Nonhuman Rights Project, Inc.’s position. V. Animal legal personhood as proposed in The Nonhuman Rights Project, Inc.’s lawsuit would endanger humans with significant cognitive limitations.

The Law Offices of Susan P. Witkin, PLLC, New York City (*Susan Peckett Witkin* of counsel), for Maneesha Deckha, amicus curiae. I. There are policy reasons to extend habeas corpus

to nonhuman animals. II. There are doctrinal reasons to extend habeas corpus to nonhuman animals.

Isha Jain, Washington D.C., for K.S. Panicker Radhakrishnan, amicus curiae. I. Indian law is relevant because of the constitutional and common-law traditions shared by India and the United States. II. Animal rights jurisprudence in India has developed beyond the limited scope of constitutional and statutory texts. III. Natural law, environmental principles, and customs and usages are jurisprudential bases for Happy's rights.

Dechert LLP, New York City (*Jenna Newmark* and *Patrick Andriola* of counsel), for Andrew Linzey and another, amici curiae. I. We have a moral duty rooted in Christian theology to protect nonhuman animals. II. Happy should be granted personhood status for the limited purpose of petitioning for habeas corpus.

Fenwick & West LLP, New York City (*Marc Greco* of counsel), and *Animal Legal Defense Fund* (*Ariel Flint* of counsel), for Animal Legal Defense Fund, amicus curiae. I. Happy is a legal person with respect to her statutory right to be free from animal cruelty. (*Intel Corp. v Advanced Micro Devices, Inc.*, 542 US 241; *Matter of Adirondack Wild: Friends of the Forest Preserve v New York State Adirondack Park Agency*, 34 NY3d 184; *Cetacean Community v Bush*, 386 F3d 1169.) II. The Bronx Zoo's violations of Happy's rights under the animal cruelty statute provide additional support for her habeas corpus case. (*Muller v Oregon*, 208 US 412; *Kuehl v Sellner*, 161 F Supp 3d 678.)

OPINION OF THE COURT

Chief Judge DiFiore.

For centuries, the common-law writ of habeas corpus has safeguarded the liberty rights of human beings by providing a means to secure release from illegal custody. The question before us on this appeal is whether petitioner Nonhuman Rights Project may seek habeas corpus relief on behalf of Happy, an elephant residing at the Bronx Zoo, in order to secure her transfer to an elephant sanctuary. Because the writ of habeas corpus is intended to protect the liberty right of *human beings* to be free of unlawful confinement, it has no applicability to Happy, a nonhuman animal who is not a "person" subjected to illegal detention. Thus, while no one disputes that

elephants are intelligent beings deserving of proper care and compassion, the courts below properly granted the motion to dismiss the petition for a writ of habeas corpus, and we therefore affirm.

I.

Petitioner Nonhuman Rights Project is a not-for-profit corporation that characterizes its mission as seeking to establish that “at least some nonhuman animals” are “legal persons” entitled to fundamental rights, including “bodily integrity and bodily liberty.” In furtherance of this mission, petitioner has commenced myriad proceedings in New York and other states on behalf of chimpanzees and elephants, arguing that these nonhuman animals are legal “persons” being unlawfully confined and, as such, they are entitled to the remedy of habeas corpus. Petitioner’s efforts have been unsuccessful, with no court granting such petitions and most of these courts dismissing the proceedings on the basis that nonhuman animals are not legal “persons” with liberty rights protected by the writ of habeas corpus (*see Matter of Nonhuman Rights Project, Inc. v Lavery*, 152 AD3d 73, 77 [1st Dept 2017], *lv denied* 31 NY3d 1054 [2018]; *People ex rel. Nonhuman Rights Project, Inc. v Lavery*, 124 AD3d 148, 150 [3d Dept 2014], *lv denied* 26 NY3d 902 [2015]; *Rowley v City of New Bedford*, 99 Mass App Ct 1104, 159 NE3d 1085 [2020] [table; text at 2020 WL 7690259, 2020 Mass App Unpub LEXIS 1077 (2020)], *review denied* 486 Mass 1115, 165 NE3d 159 [2021]; *Nonhuman Rights Project, Inc. v R.W. Commerford & Sons, Inc.*, 192 Conn App 36, 47-48, 216 A3d 839, 845-846 [2019], *certification denied* 333 Conn 920, 217 A3d 635 [2019]; *see also Matter of Nonhuman Rights Project, Inc. v Presti*, 124 AD3d 1334, 1335 [4th Dept 2015], *lv denied* 26 NY3d 901 [2015]; *Matter of Nonhuman Rights Project Inc. v Stanley*, 2014 NY Slip Op 68434[U] [2d Dept 2014]).

Undeterred, in 2018, petitioner commenced this habeas proceeding in Supreme Court against respondents James J. Breheny, Director of the Bronx Zoo, and the Wildlife Conservation Society, the organization that operates the Zoo and promotes conservation efforts to preserve wildlife worldwide. Petitioner sought a writ of habeas corpus “on behalf of Happy,” an Asian elephant that petitioner claimed was unlawfully confined at the Zoo in violation of her right to bodily liberty. Happy, who has been in captivity since she was approximately

one year old, has resided at the Bronx Zoo for the last 45 years. Unfortunately, Happy's original elephant companion was euthanized in 2002 due to injuries sustained in an altercation with other resident elephants. Happy was then paired with another companion for several years until that elephant was euthanized after falling ill. The Zoo then announced that it would not be acquiring more elephants and would eventually end its captive elephant program. Thus, Happy and another female elephant, Patty, are the only remaining elephants at the Zoo today and they are housed separately due to their hostile relationship.

In seeking habeas relief, petitioner did not dispute that Happy's residence at the Zoo—which is accredited by the Association of Zoos and Aquariums and regulated by the federal Animal Welfare Act (*see generally* 7 USC § 2131)—complies with all applicable federal and state statutes and regulations governing elephant care. Further, although petitioner contended that Happy does not have sufficient direct social contact with other elephants as a consequence of her current living situation, petitioner did not otherwise allege that Happy is subjected to cruel, neglectful, or abusive treatment. Nevertheless, noting that Happy is an “extraordinarily cognitively complex and autonomous nonhuman” animal, petitioner argued that she should be “recognized as a legal person with the right to bodily liberty protected by the common law” and immediately released from “unlawful imprisonment” at the Zoo. Petitioner acknowledged, however, that Happy could not safely be released to wander the city streets or even to the wild, requesting instead that she be transferred to an “appropriate sanctuary,” preferably one chosen by petitioner, where she could potentially be integrated with other elephants.

To support its request, petitioner proffered affidavits from several experts specializing in elephant study and care attesting to the general characteristics of elephants. These experts asserted that elephants are “autonomous beings” inasmuch as they “direct[] their behaviour based on some non-observable, internal cognitive process, rather than simply responding reflexively.” Further, they explained—and it is essentially undisputed—that elephants are intelligent beings, who have the capacity for self-awareness, long-term memory, intentional communication, learning and problem-solving skills, empathy, and significant emotional response. These experts did not, however, comment on Happy's particular circumstances, the

adequacy of her environment, or the care she receives at the Zoo.

The Zoo respondents opposed petitioner's application and, as relevant here, requested dismissal of the petition for lack of standing and failure to state a cause of action. Respondents argued that there was no legal basis for habeas relief and that Happy's living conditions comply with all relevant laws and accepted standards of care. The Bronx Zoo's Chief Veterinarian proffered an affidavit detailing the Zoo's efforts to "ensure Happy's continued physical and psychological well-being and health" and averring that Happy is "currently healthy and well-adapted to her present surroundings." He opined that removing Happy from her long-term home would cause her "substantial stress" and "create a serious risk to her long-term health." The Associate Director of the Bronx Zoo also submitted an affidavit describing the Zoo's compliance with elephant management and care standards and accreditation requirements, Happy's routine medical care, her physical accommodations, and her comfort and familiarity with her caregivers. Finally, respondent Breheny—Director of the Bronx Zoo—explained that Happy was housed in a separate enclosure adjoining Patty's because Happy "has a history of not interacting well with other elephants," but she is nevertheless able to interact with Patty through "sound, olfaction, and touch." Breheny pointed out—and the elephant sanctuary in question conceded—that unrelated elephants living together in captivity may have acrimonious relationships and, thus, a transfer could not guarantee Happy increased interaction with other elephants. Petitioner contested this point in reply, asserting that elephants such as Happy may be able to form positive social relationships in a sanctuary environment.

Supreme Court dismissed the petition on the ground "that animals are not 'persons' entitled to rights and protections afforded by the writ of habeas corpus" and, in any event, habeas relief is not available where, as here, petitioner merely sought to obtain Happy's transfer from one lawful confinement to another rather than her immediate release from detention (2020 NY Slip Op 35291[U], *15 [Sup Ct, Bronx County 2020]). On petitioner's appeal, the Appellate Division unanimously affirmed, reasoning that "the writ of habeas corpus is limited to human beings" (189 AD3d 583, 583 [1st Dept 2020]). The Appellate Division also cautioned that a judicial determination that nonhuman animals are legal "persons" would "lead to a

labyrinth of questions that common-law processes are ill-equipped to answer,” noting that “the decisions of whether and how to integrate other species into legal constructs designed for humans is a matter better suited to the legislative process” (*id.* [internal quotation marks and citation omitted]). This Court granted petitioner leave to appeal (36 NY3d 912 [2021]).

II.

Petitioner urges the Court to recognize Happy as a legal “person” with a common-law right to bodily liberty subject to the protections of the writ of habeas corpus. According to petitioner, modern ethics, policy, notions of justice, and social norms compel the conclusion that Happy has the right to be free from confinement in the Zoo because she is an autonomous and extraordinarily cognitively complex being capable of possessing legal rights even if she is incapable of assuming legal duties. While no one disputes the impressive capabilities of elephants, we reject petitioner’s arguments that it is entitled to seek the remedy of habeas corpus on Happy’s behalf. Habeas corpus is a procedural vehicle intended to secure the liberty rights of human beings who are unlawfully restrained, not nonhuman animals.

The ancient writ of habeas corpus “is a summary proceeding to secure personal liberty” that “strikes at unlawful imprisonment or restraint of the person by state or citizen” (*People ex rel. Duryee v Duryee*, 188 NY 440, 445 [1907]; *see People ex rel. Sabatino v Jennings*, 246 NY 258, 260 [1927]). The right of persons to invoke the writ of habeas corpus—“the historic writ of liberty” which we have recognized as “the greatest of all writs”—is “primary and fundamental” (*People v Schildhaus*, 8 NY2d 33, 36 [1960] [internal quotation marks omitted]; *see US Const*, art I, § 9; *NY Const*, art I, § 4; *People ex rel. DeLia v Munsey*, 26 NY3d 124, 130 [2015]). The centuries-old writ originated in English law and has been a steadfast pillar of our common law (*see Preiser v Rodriguez*, 411 US 475, 484-485 [1973]; *People ex rel. Tweed v Liscomb*, 60 NY 559, 565-566 [1875]). It is also enshrined in the New York Constitution, which safeguards “[t]he right of persons, deprived of liberty, to challenge in the courts the *legality* of their detention” (*Hoff v State of New York*, 279 NY 490, 492 [1939] [emphasis added]). Article I, § 6 declares that “[n]o person shall be deprived of life, liberty or property without due process of law” and article I, § 4 dictates that the privilege of the writ of habeas “shall not

be suspended, unless, in case of rebellion or invasion, the public safety requires it.” Thus, although procedural aspects of the writ are governed by statute (*see* CPLR art 70), the “writ cannot be abrogated, or its efficiency curtailed, by legislative action” (*Tweed*, 60 NY at 566).

“Our constitutional guarantees of liberty are merely empty words unless a person imprisoned or detained against [their] will may challenge the legality of [their] imprisonment and detention” (*Hoff*, 279 NY at 492). The common-law writ of habeas corpus therefore provides a means of redress for persons alleging detention or imprisonment in violation of various statutory or constitutional rights and, on the merits, the question presented in a habeas proceeding is whether the relator’s confinement is contrary to law (*see DeLia*, 26 NY3d at 130-131; *People ex rel. Thorpe v Von Holden*, 63 NY2d 546, 550 [1984]; *People ex rel. Spinks v Harris*, 53 NY2d 784, 785 [1981]; *People ex rel. Klein v Krueger*, 25 NY2d 497, 499 [1969]; *People ex rel. Zakrzewski v Mancusi*, 22 NY2d 400, 404-405 [1968]; *People ex rel. Granskofski v Whitehead*, 8 NY2d 962, 963 [1960]; *Sabatino*, 246 NY at 260; *Lemmon v People*, 20 NY 562, 615 [1860]). Persons seeking a writ of habeas corpus must establish more than just confinement to justify its issuance; they must show that their confinement is illegal (*see People ex rel. Robertson v New York State Div. of Parole*, 67 NY2d 197, 201 [1986]; *see also* CPLR 7003 [a]). Habeas corpus is not, however, the primary remedy for statutory or constitutional violations that result in unlawful restraint. Resort to habeas and “[d]eparture from traditional orderly proceedings”—such as the appellate process—is “permitted only when dictated . . . by reason of practicality and necessity” (*People ex rel. Keitt v McMann*, 18 NY2d 257, 262 [1966]). Furthermore, under New York law, “habeas corpus generally will lie only where the [relator] would become entitled to . . . immediate release upon the writ being sustained” (*People ex rel. Chakwin v Warden, N.Y. City Correctional Facility, Rikers Is.*, 63 NY2d 120, 125 [1984]; *see DeLia*, 26 NY3d at 131; *People ex rel. Hall v LeFevre*, 60 NY2d 579, 580 [1983]; *People ex rel. Mendolia v Superintendent, Green Haven Correctional Facility*, 47 NY2d 779, 779 [1979]).

Petitioner urges this Court to recognize its right on behalf of Happy, an elephant, to invoke the protections of the writ to challenge her confinement at the Bronx Zoo. However, despite the awesome power of the writ of habeas corpus and its enduring use throughout the centuries, no court of this state—or any

other—has ever held the writ applicable to a nonhuman animal. Nothing in our precedent or, in fact, that of any other state or federal court, provides support for the notion that the writ of habeas corpus is or should be applicable to nonhuman animals. The selective capacity for autonomy, intelligence, and emotion of a particular nonhuman animal species is not a determinative factor in whether the writ is available as such factors are not what makes a person detained qualified to seek the writ. Rather, the Great Writ protects the right to liberty of humans *because* they are humans with certain fundamental liberty rights recognized by law (*see generally Preiser*, 411 US at 485; *Tweed*, 60 NY at 569; *Sisquoc Ranch Co. v Roth*, 153 F2d 437, 440-441 [9th Cir 1946]). Nonhuman animals are not, and never have been, considered “persons” with a right to “liberty” under New York law (*see* ECL 11-0105 [“The State of New York owns all fish, game, wildlife, shellfish, crustacea and protected insects in the state, except those legally acquired and held in private ownership”]; *Mullaly v People*, 86 NY 365, 366-368 [1881]; *Pierson v Post*, 3 Caines 175, 178-179 [1805]; *see* Agriculture and Markets Law §§ 108, 107).

To be sure, as our dissenting colleagues observe, the writ of habeas corpus is flexible and has long existed as a mechanism to secure recognition of the liberty interests of *human beings*—even those whose rights had not yet been properly acknowledged through established law. That flexibility, however, is not limitless and the extension of the writ would far exceed its bounds here, where petitioner seeks its application to a nonhuman animal. In that regard, the dissents are long on historical discourse but woefully short of any cogent legal analysis identifying any recognizable source of a proclaimed liberty right or so-called fundamental right to be free that they seek to bestow upon autonomous nonhuman animals. Instead, the dissenters conclude that the logical progression of our common law runs from extending habeas to “abused women and children and enslaved persons” (Wilson, J., dissenting op at 626, 588-602; *see also* Rivera, J., dissenting op at 629-631) to granting an elephant the right to bring a habeas proceeding, an odious comparison with concerning implications—as both dissenters acknowledge but one on which they nevertheless rely. We are unpersuaded.

At bottom, even petitioner implicitly concedes that Happy is not guaranteed freedom from captivity—the right to liberty—under the law. The relief requested is not discharge from confinement altogether but, rather, a transfer of Happy from

one confinement to another of slightly different form—an implicit acknowledgment that Happy, as a nonhuman animal, does not have a legally cognizable right to be at liberty under New York law. The fact that the greatest relief which could be afforded Happy is a transfer between lawful confinements demonstrates the incompatibility of habeas relief in the nonhuman context inasmuch as, under New York law, the writ may be sustained only when a person is entitled to immediate release from an unlawful restraint of liberty (see *Chakwin*, 63 NY2d at 125; compare *People ex rel. Brown v Johnston*, 9 NY2d 482, 485 [1961], with *People ex rel. Dawson v Smith*, 69 NY2d 689, 691 [1986]).

Significantly, courts have consistently determined that rights and responsibilities associated with legal personhood cannot be bestowed on nonhuman animals (see *Lavery*, 152 AD3d at 78; *Lavery*, 124 AD3d at 152; *Rowley*, 2020 WL 7690259, *2, 2020 Mass App Unpub LEXIS 1077, *3-5; *R.W. Commerford & Sons, Inc.*, 192 Conn App at 45-46, 216 A3d at 844-845; cf. *Tilikum ex rel. People for the Ethical Treatment of Animals, Inc. v Sea World Parks & Entertainment, Inc.*, 842 F Supp 2d 1259, 1263 [SD Cal 2012]; *Lewis v Burger King*, 344 Fed Appx 470, 472 [10th Cir 2009]; *Cetacean Community v Bush*, 386 F3d 1169, 1177-1178 [9th Cir 2004]; *Citizens to End Animal Suffering & Exploitation, Inc. v New England Aquarium*, 836 F Supp 45, 49 [D Mass 1993]; *Miles v City Council of Augusta, Ga.*, 710 F2d 1542, 1544 n 5 [11th Cir 1983]). As these courts have aptly observed, legal personhood is often connected with the capacity, not just to benefit from the provision of legal rights, but also to assume legal duties and social responsibilities (see *R.W. Commerford & Sons, Inc.*, 192 Conn App at 46, 216 A3d at 845; *Lavery*, 152 AD3d at 78; *Lavery*, 124 AD3d at 151; Black's Law Dictionary [11th ed 2019], person). Unlike the human species, which has the capacity to accept social responsibilities and legal duties, nonhuman animals cannot—neither individually nor collectively—be held legally accountable or required to fulfill obligations imposed by law.

Nor does any recognition of corporate and partnership entities as legal “persons” lend support to petitioner’s claim. Corporations are simply legal constructs through which human beings act (see *Pembina Consol. Silver Mining & Milling Co. v Pennsylvania*, 125 US 181, 189 [1888]) and corporate entities, unlike nonhuman animals, bear legal duties in exchange for legal rights. Moreover, although corporations are deemed

“persons” in some legal contexts, courts have nonetheless recognized that corporate entities—which cannot be held in custody—do not have liberty interests subject to the remedy of habeas corpus (see *United States v Mett*, 65 F3d 1531, 1533 [9th Cir 1995]; *United States v Pacific Ship Repair & Fabricators, Inc.*, 979 F2d 856 [9th Cir 1992] [table; text at 1992 WL 337738, *2, 1992 US App LEXIS 31327, *4-5 (1992)]; *Waste Mgt. of Wis., Inc. v Fokakis*, 614 F2d 138, 140-141 [7th Cir 1980]). Thus, any comparison between nonhuman animals and corporations for these purposes is inapt and unavailing.

Petitioner and our dissenting colleagues minimize the significance of petitioner’s request that Happy be declared a legal person with a right to liberty safeguarded by the writ of habeas, maintaining that affording such a remedy merely seeks to establish one right for Happy that would allow her to live her remaining years in captivity but in a more natural environment. To that end, petitioner asserts that any concerns raised by respondents or the opposing amici regarding the potential proliferation of nonhuman animal claims on behalf of elephants or other species are irrelevant to our determination today.

We cannot agree; to do so would be to turn a blind eye to the impact of any ruling that elephants (or autonomous beings more generally) have liberty interests. A determination that Happy, an elephant, may invoke habeas corpus to challenge her confinement at the Bronx Zoo—a confinement both authorized and, by all indications, compliant with state and federal statutory law and regulations—would have an enormous destabilizing impact on modern society. It is not this Court’s role to make such a determination. As the Appellate Court of Connecticut cautioned in dismissing similar litigation by petitioner in that state, “[n]ot only would this case require us to recognize elephants as ‘persons’ for purposes of habeas corpus, this recognition essentially would require us to upend this state’s legal system to allow highly intelligent, if not all, nonhuman animals the right to bring suit in a court of law” (*R.W. Commerford & Sons, Inc.*, 192 Conn App at 44, 216 A3d at 844). Granting legal personhood to a nonhuman animal in such a manner would have significant implications for the interactions of humans and animals in all facets of life, including risking the disruption of property rights, the agricultural industry (among others), and medical research efforts. Indeed, followed to its logical conclusion, such a determination would call into question the very premises underlying pet ownership,

the use of service animals, and the enlistment of animals in other forms of work. With no clear standard for determining which species are entitled to access the writ, who has standing to bring such claims on a nonhuman animal's behalf, what parameters to apply in determining whether a confinement is "unjust," and whether "release" from a confinement otherwise authorized by law is feasible or warranted in any particular case, courts would face grave difficulty resolving the inevitable flood of petitions. Likewise, owners of numerous nonhuman animal species—farmers, pet owners, military and police forces, researchers, and zoos, to name just a few—would be forced to answer and defend those actions.

Tellingly, neither of our dissenting colleagues identify any intelligible standard upon which to resolve these labyrinthine issues, which buttresses our conclusion that habeas corpus—which exists to protect liberty interests—is not the appropriate forum to resolve disputes concerning the confinement of nonhuman animals. Judge Wilson posits that courts should engage in "a normative analysis that weighs the value of keeping the [nonhuman animal] confined with the value of releasing the [nonhuman animal] from confinement," taking into consideration "[t]he value of the confinement" to the nonhuman animal as well as the "value of the confinement to the captor and society" (Wilson, J., dissenting op at 625). This, of course, bears no relationship to the merits analysis properly undertaken in a habeas corpus proceeding, which asks whether the confinement—i.e., the curtailment of liberty—is legal. Rather, relief would be dependent, not on the legality of detention, but on a judge's subjective determination of where the relator would be "better off" (Wilson, J., dissenting op at 579). Such a balancing test would transform the Great Writ of habeas into a morass of confusing case-by-case inquiries apparently to be determined by some subjective, amorphous, and evolving "normative" value system regarding the treatment of nonhuman animals to which our own legislature has not subscribed. Moreover, a standard weighing the nonhuman animal's purported liberty interests against the various interests of the claimed human captor does little to alleviate the asserted wrongful subjugation of nonhuman animals. Judge Rivera, on the other hand, suggests that liberty rights spring from "autonomy"—a term that is notably left undefined and which could reasonably be applied to a vast number of species.

Judge Wilson also appears to contemplate some form of "functional intelligence" test to limit the undeniably slippery

slope his view would set us upon. But that is exactly the test, as Judge Wilson himself makes clear (*see* Wilson, J., dissenting op at 587), that cannot be used for human animals. All one can glean from Judge Wilson's dissent is that elephants qualify, ants do not. What of dolphins—or dogs? What about cows or pigs or chickens—species routinely confined in conditions far more restrictive than the elephant enclosure at the Bronx Zoo? Indeed, the dissenters' wholly unsatisfactory attempts to distinguish “domestic” animals from elephants despite their appreciable intelligence and autonomy simply because they purportedly live “comfortably” among humans (Rivera, J., dissenting op at 640) or are supposedly genetically predisposed to confinement (*see* Wilson, J., dissenting op at 621-622) are divorced from practical reality, devoid of support, and demonstrates the internally contradictory foundation on which their analyses are built. Such arbitrary distinctions stand in clear contrast to our recognition that habeas is, and always has been, the bulwark of *human* liberty rights. Moreover, giving a court authority to interpret the relevant “science” (Wilson, J., dissenting op at 618-623) so as to make judgments regarding “who” deserves a right to “liberty” would have perilous implications far beyond the issue here.

Simply put, granting legal personhood and attendant liberty rights to Happy, an elephant, would not be an incremental step in “the slow process of decisional accretion” regarding the scope and flexibility of the writ of habeas (*Keitt*, 18 NY2d at 263) but a “sweeping pronouncement[]” of nonhuman animal personhood lacking in legal foundation that would displace the carefully devised state and federal statutory frameworks governing animal welfare (*R.W. Commerford & Sons, Inc.*, 192 Conn App at 44, 216 A3d at 844). Thus, while this litigation may invite consideration by others of questions that are the appropriate subject of ethical, moral, religious, and philosophical debate, the legal issue presented is straightforward. The use of habeas corpus as a vehicle to extend legal personhood beyond living humans is not a matter for the courts (*see Byrn v New York City Health & Hosps. Corp.*, 31 NY2d 194, 203 [1972]).

Although nonhuman animals are not “persons” to whom the writ of habeas corpus applies, the law already recognizes that they are not the equivalent of “things” or “objects.” Unquestionably, nonhuman animals are sentient beings that, albeit without liberty rights, have been afforded many special protections by the New York Legislature—long considered a leader in

animal welfare. For example, statutes prohibit and penalize the torture, unjustifiable killing or harming, fighting, neglect, or abandonment of animals (*see* Agriculture and Markets Law §§ 351, 353, 353-a, 355, 356). Recently enacted legislation requires veterinarians to report suspected animal cruelty (*see* Education Law § 6714). Various statutes mandate minimum safety and welfare standards, or prohibit conduct commonly known to be harmful to animals (*see* Agriculture and Markets Law §§ 47, 353-b, 353-d, 353-f, 360, 362, 365, 368, 381). New York regulates the sale and care of certain animals by pet dealers (*see* Agriculture and Markets Law §§ 354, 401) and the interference with, and keeping of, wild animals, including endangered species (*see* ECL 11-0103 [6] [e]; 11-0505, 11-0511, 11-0512, 11-0535).¹ In addition to animal welfare laws, New York permits the creation of a trust for the care of a designated domestic or pet animal (*see* EPTL 7-8.1) and courts may now consider the best interests of companion animals in determining the appropriate placement of an animal during a divorce proceeding (*see* Domestic Relations Law § 236 [B] [5] [d] [15]). With respect to elephants specifically, New York largely prohibits and penalizes the sale and import of ivory articles (*see* ECL 11-0535-a, 71-0924) and, in recognition that the State “should help assure the protection and welfare of elephants” (L 2017, ch 333, § 2 [a]), New York has prohibited “person[s]” other than those involved with accredited zoos and wildlife sanctuaries from using elephants in entertainment acts (Agriculture and Markets Law § 380; *see* ECL 11-0540).

As the foregoing statutes demonstrate, New York law acknowledges that the relationships between humans and nonhuman animals are varied and complex and, in many contexts, the law clearly imposes a duty on humans to treat nonhuman animals with dignity and respect. However, also implicit in these statutes is a plain endorsement of the legal distinction between human beings and nonhuman animals (*see* Agriculture and Markets Law § 350 [1] [defining “animal” as including “every living creature except a human being”]; Agriculture and Markets Law § 380 [distinguishing between “person(s)” and “elephants”]). While it is true that the courts—

1. The federal Animal Welfare Act likewise regulates the treatment of animals in research, testing, transport, exhibition, and sale (*see generally* 7 USC § 2131 *et seq.*) and various federal laws codify protections for wildlife (*see e.g.* 16 USC § 1531 *et seq.* [Endangered Species Act]; 16 USC § 703 *et seq.* [Migratory Bird Treaty]).

not the legislature—ultimately define the scope of the common-law writ of habeas corpus (*see Sabatino*, 246 NY at 261; *Tweed*, 60 NY at 566), these statutory distinctions reflect the abiding view that nonhuman animals are not persons with a common-law right to liberty that may be secured through a writ of habeas corpus.²

We close with the observation that, despite the relative simplicity of the legal issue presented, this case has garnered extraordinary interest from amici curiae and the public—a testament to the complicated and ever-evolving relationship between human beings and other animals. Though beyond the purview of the courts, we appreciate that the desire and ability of our community to engage in a continuing dialogue regarding the protection and welfare of nonhuman animals is an essential characteristic of our humanity. Such dialogue, however, should be directed to the legislature.

Accordingly, the order of the Appellate Division should be affirmed, without costs.

WILSON, J. (dissenting). The Wildlife Conservation Society, formerly known as the New York Zoological Society, has operated the Bronx Zoo for well over a century. In 1906, it placed Ota Benga, a member of the Mbuti people, on display in the Zoo's monkey house, behind iron bars. Two years earlier, Samuel Verner, a South Carolinian white supremacist, had been hired to remove some so-called “pygmies” from what was then the Belgian Congo, for exhibition at the St. Louis World's Fair. Mr. Benga and eight others were exhibited there, after which Mr. Verner transferred Mr. Benga to the Zoo for exhibition. The Zoo's attendance doubled; nearly a quarter of a million people came to the Zoo to view Mr. Benga. The New York Times reported that Mr. Benga was “one of a race that scientists do not rate high in the human scale” (*Bushman Shares a Cage with Bronx Park Apes*, NY Times, Sept. 9, 1906 at 9). When protests by African American ministers, led by the Reverend

2. That legislative bodies have extended various statutory protections to nonhuman animals does not inexorably create a common-law or constitutional right to liberty. Nor can the judicial displacement of a carefully crafted state and federal statutory and regulatory legal framework governing animal care be justified by the views of some individuals that zoos purportedly confine wild animals solely for “human entertainment” (Rivera, J., dissenting op at 628)—a characterization of the purpose and mission of zoos to which the Bronx Zoo, operated by a renowned wildlife organization that advances scientific research and educational conservation efforts worldwide, would undoubtedly strenuously object.

Dr. Robert Stuart MacArthur, forced his release, the Zoo's director, William Hornaday, wrote to New York Mayor George McClellan, explaining that the exhibition of Mr. Benga in the monkey house was "good comic-opera material" and that the ministers "are seeking newspaper notoriety, rather than the redress of a real grievance" (Letter from William T. Hornaday to Mayor George B. McClellan, Sept. 12, 1906, available at https://wcs.access.preservica.com/uncategorized/IO_d20af6d6-8f81-4a58-b90c-1a9f7b4662f1/).¹ Mr. Benga never was returned home; he shot himself in the heart several years later. During the pendency of this lawsuit, the Zoo apologized for its treatment of Mr. Benga, and made its records concerning him publicly available for the first time. Reverend MacArthur tellingly observed: "The person responsible for this exhibition degrades himself as much as he does the African" (*Man and Monkey Show Disapproved by Clergy*, NY Times, Sept. 10, 1906 at 1).

That same Zoo has confined Happy the elephant for the past 40 years. Unquestionably, Mr. Benga was a human being; Happy is not. Human beings should have greater rights than elephants, if only because we make the rules. The crucial point from both Mr. Benga's and Happy's confinement, though, is that both suffered greatly from confinement that, though not in violation of any statutory law, produced little or no social benefit. As Jeremy Bentham wrote several centuries ago:

"The day has been, I grieve to say in many places it is not yet past, in which the greater part of the species, under the denomination of slaves, have been treated by the law exactly upon the same footing as, in England for example, the inferior races of animals are still. The day *may* come, when the rest of the animal creation may acquire those rights which never could have been withholden from them but by the hand of tyranny. . . . It may come one day to be recognised, that the number of legs, the villosity of the skin, or the termination of the *os sacrum*, are reasons equally insufficient for abandon-

1. Mayor McClellan declined to meet with the ministers, directing them to take their complaints to the Zoological Society's founder and secretary, Madison Grant, the author of a book entitled *The Passing of the Great Race*, "which advocated cleansing America of 'inferior races' through birth control, antiscegenation and racial segregation laws, and mass sterilization" (Pamela Newkirk, *Spectacle: The Astonishing Life of Ota Benga* 43 [2015]).

ing a sensitive being to the same fate. What else is it that should trace the insuperable line? . . . [T]he question is not, Can they *reason*? nor, Can they *talk*?, but *Can they suffer*?” (Jeremy Bentham, An Introduction to the Principles of Morals and Legislation 311 n1 [Oxford, Clarendon Press 1781]).

They can and do, and that day is upon us.

The majority pays lip service to Happy’s intelligence, her undisputed existence as “an autonomous and extraordinarily cognitively complex being” and legal entitlement to “dignity and respect” (majority op at 569, 576). It likewise trumpets the role of habeas corpus as “the historic writ of liberty” that is “primary and fundamental” (*id.* at 569). Yet the majority devalues both in its attempt to mis-frame the question presented. The majority erroneously claims that “the writ of habeas corpus is intended to protect the liberty right of *human beings*,” and that habeas corpus is unavailable to Happy as a matter of law because she is “not a ‘person’ subjected to illegal detention” (*id.* at 565), though knowing full well that the writ was vigorously used to challenge the detention of slaves when, under law, they were deemed chattel, and to challenge the detention of women and children who at that time, though not chattel property, had no legal existence.

The question here is not whether Happy is a “person”—Happy is an elephant. The question is not whether Happy’s detention violates some statute: historically, the Great Writ of habeas corpus was used to challenge detentions that violated no statutory right and were otherwise legal but, in a given case, unjust. Because this appeal comes on a motion to dismiss, the legal question presented is whether the detention of an elephant can ever be so cruel, so antithetical to the essence of an elephant, that the writ of habeas corpus should be made available under the common law. The history of the “‘greatest of all writs’” (*id.* at 569, quoting *People v Schildhaus*, 8 NY2d 33, 36 [1960]) demonstrates that the majority’s claimed reasons for refusing to extend it to Happy are groundless and inconsistent with its role as “the historic writ of liberty” that “cannot be . . . curtailed . . . by legislative action” (*id.* at 570, quoting *People ex rel. Tweed v Liscomb*, 60 NY 559, 566 [1875]). Whether Happy’s conditions are grave enough for the writ to issue, and whether, if so, she would be better off in a sanctuary, are questions of fact as to which Supreme Court made no determination because it was constrained by erroneous Appellate Division case law.

There are several propositions on which the majority and I agree. The purpose of the Great Writ is to secure liberty. The writ “originated in English law and has been a steadfast pillar of our common law” (*id.* at 569, citing *Preiser v Rodriguez*, 411 US 475, 485 [1973]). The writ reaches both public and private detentions (*id.* at 569). The writ is used only when “reason[s] of practicality and necessity” require it (*id.* at 570, quoting *People ex rel. Keitt v McMann*, 18 NY2d 257, 262 [1966]). Article 70 of the CPLR does not (and cannot) curtail the substance or reach of the writ; it specifies procedure only.

The majority offers numerous justifications for its conclusion that the writ must be limited to humans, no matter how sophisticated, intelligent, self-aware or capable of suffering an elephant is and no matter how severe the conditions of its confinement are. I proceed as follows: (I) whether an elephant is a “person” or whether it can bear responsibilities are irrelevant questions that obfuscate the genuine question presented; (II) the history of the Great Writ demonstrates that courts have used and should use it to enhance liberty when a captivity is unjust, even when the captor has statutory or common-law rights authorizing such captivities in general; (III) as with our society’s changed understanding of the rights of enslaved persons, women and children, our understanding of the cognitive and emotional makeup, needs and capabilities of elephants is far different than it was in bygone times; (IV) the method by which courts modify the common law to adapt it to societal changes and needs informs our Court’s role in adapting the Great Writ; and (V) application of the above principles to Happy’s petition justifies use of the writ to examine whether her interest in liberty outweighs the Zoo’s interest in her continued captivity.

I.

Two contentions, one irrelevant and one to which the majority and lower courts have offered an unsupportable answer, sow great confusion about the question raised by this appeal. The first, irrelevant, contention is that an elephant is not a “person.” The second, unsupportable, contention is that only humans can have rights.

A.

Whether an elephant (or other animal) is a “person” is not relevant to determining whether the writ of habeas corpus can

be used to challenge a confinement. All can agree that an elephant is not a member of the *homo sapiens* species. At the same time, an elephant is not a desk chair or an earthworm; the majority, echoing Judge Fahey’s concurrence in *Matter of Nonhuman Rights Project, Inc. v Lavery* (31 NY3d 1054 [2018]), offers that animals are not “the equivalent of ‘things’ or ‘objects’ ” (majority op at 575). So the correct question becomes: given what we know about the qualities an elephant has—and in particular, the qualities Happy has—should the law afford her certain rights through habeas corpus?

The idea that the definition of “person” constrains the allocation of rights arises from three different ideas: (1) CPLR article 70, which concerns writs of habeas corpus, uses the word “person”; (2) a combination of the facts that prior habeas cases concerned human beings and animals have been considered property inexorably results in the conclusion that habeas corpus cannot reach animals; and (3) the relevant rights, if any, are the rights of the subject of the confinement. The first two ideas have been conflated when they should not be, and the third has been implied without any examination of its soundness. I discuss each in turn.

1.

CPLR 7002 (a) provides, in relevant part:

“A *person* illegally imprisoned or otherwise restrained in his liberty within the state . . . may petition without notice for a writ of habeas corpus A judge . . . having evidence, in a judicial proceeding before him, that any *person* is so detained shall . . . issue a writ of habeas corpus for the relief of that person” (emphasis added).

Although the Court in *Matter of Nonhuman Rights Project, Inc. v Lavery* (152 AD3d 73, 77 [1st Dept 2017]) concluded that the use of the word “person” in the CPLR served to restrict the writ to human beings, the Court in *People ex rel. Nonhuman Rights Project, Inc. v Lavery* (124 AD3d 148 [3d Dept 2014]) held to the contrary:

“The ‘Legislature did not intend to change the instances in which the writ was available,’ which has been determined by ‘the slow process of decisional accretion’ (*People ex rel. Keitt v McMann*, 18 NY2d 257, 263 [1966] [citation omitted]). Thus, we must

look to the common law surrounding the historic writ of habeas corpus to ascertain the breadth of the writ's reach" (124 AD3d at 150).

The majority correctly adopts part of the holding of the Third Department, by recognizing that "although procedural aspects of the writ are governed by statute (*see* CPLR art 70), the 'writ cannot be abrogated, or its efficiency curtailed, by legislative action' (*Tweed*, 60 NY at 566)" (majority op at 570). It does so for good reason: as we have previously explained, "[a]lthough article 70 governs the procedure of the common-law writ of habeas corpus, relief from illegal imprisonment by means of this remedial writ is not the creature of any statute" (*People ex rel. DeLia v Munsey*, 26 NY3d 124, 130 [2015] [internal quotation marks and alteration omitted]).

Furthermore, the legislative history of article 70 demonstrates that the use of the word "person" was meant to have no substantive component: "The drafters of the CPLR made no attempt to specify the circumstances in which habeas corpus is a proper remedy. This was viewed as a matter of substantive law" (Vincent C. Alexander, Practice Commentaries, McKinney's Cons Laws of NY, CPLR 7001). Just as "person" is used in a juridical sense to refer to any entity, real or fictional, as to which a statute or rule of the common law applies, "person" in CPLR article 70 is irrelevant to whether the writ can extend beyond humans. Thus, the majority and I agree that article 70 has no bearing on whether Happy may invoke the writ of habeas corpus to challenge her confinement.

2.

In an attempt to prove that "the Great Writ protects the right to liberty of humans *because* they are humans," the majority links several incongruous citations: three cases that contain no such holding; a statute declaring that New York owns all animals except those privately held; another statute concerning dog ownership; and two cases from the 1800s concerning animal ownership (majority op at 571). *Preiser*, *Tweed* and *Sisquoc Ranch Co. v Roth* (153 F2d 437 [9th Cir 1946]) did not involve any claim on behalf of animals, and the generic language in them (e.g., "[t]he writ . . . is . . . [a] remedy by which a *man* is restored again to his liberty" [*Preiser v Rodriguez*, 411 US 475, 485 (1973) (emphasis added)]; "[t]he law . . . suffers no *man*, be he guilty or innocent, to be deprived of his liberty" [*People ex rel. Tweed v Liscomb*, 60 NY 559, 569

(1875) (emphasis added)]) no more excludes animals that it does women or children.² The final case cited by the majority, *Sisquoc Ranch Co. v Roth* (153 F2d 437 [9th Cir 1946]) held that under federal (statutory)³ habeas, an agricultural employer, asserting injury to itself from the military conscription of one of its employees, “is without standing to maintain this proceeding” (*id.* at 440).

As to the majority’s citation to statutes providing for ownership of animals, no one doubts that animals can be owned, but ownership does not prevent the application of habeas corpus to the owned subject, as is demonstrated in section II below, and not substantially challenged by the majority. Finally, the remaining cases cited by the majority, *Mullaly v People* (86 NY 365 [1881]) and *Pierson v Post* (3 Caines 175 [NY Sup Ct 1805]), establish (irrelevantly) that animals can be owned, but sharply undermine the majority’s position. Our decision in *Mullaly* noted that “[a]t common law the crime of larceny could not be committed by feloniously taking and carrying away a dog,” but then wiped out that common-law rule on the ground that “[t]he artificial reasoning upon which these rules were based are wholly inapplicable to modern society. *Tempora mutantur et le-*

2. *Preiser* undercuts a different proposition of the majority’s—that confinement must be unlawful to permit invocation of the Great Writ:

“By the time the American Colonies achieved independence, the use of habeas corpus to secure release from unlawful physical confinement, whether judicially imposed or not, was thus an integral part of our common-law heritage. . . .

“[O]ver the years, the writ of habeas corpus evolved as a remedy available to effect discharge from any confinement contrary to the Constitution or fundamental law, even though imposed pursuant to conviction by a court of competent jurisdiction” (411 US at 485 [emphasis added]).

Tweed, like *Preiser*, undercuts the majority’s restrictive application of the Great Writ:

“Neither should the *habeas corpus* act, which judges have ‘revered as the bulwark of the Constitution, the *magna charta* of personal rights,’ be shorn of its power and its glory by a subtle and metaphysical interpretation; rather should it receive a liberal construction, in harmony with its grand purpose, and in disregard, if need be, of technical language used.

“This act has always been construed in favor of, and not against, the liberty of the subject and the citizen” (60 NY at 568-569).

3. The power of federal courts to issue writs of habeas corpus is not grounded in the common law, but is purely statutory (*Ex parte Bollman*, 4 Cranch [8 US] 75 [1807]). Accordingly, federal decisions applying a more restrictive view of habeas corpus have no bearing on the powers of common-law courts such as ours.

ges mutantur in illis [Times change and the laws change with them]" (86 NY at 366-367). That proposition is at the core of my dissent. In the famous case of *Pierson v Post*, the Supreme Court of Judicature (our predecessor) twice noted that wild animals ("*ferae naturae*") have "natural liberty" (3 Caines at 178, 179)—a conclusion diametrically opposed to the majority's view that only human beings have natural liberty rights.

What is patent from the glommed-together authorities is that they do not prove anything relevant here. Cases that do not raise an issue cannot be taken to resolve something never at issue. Statutes or cases allowing that humans may own animals do not establish that owned beings can have no justiciable rights. The question here is not governed by any prior decision: it is novel. The novelty of an issue does not doom it to failure: a novel habeas case freed an enslaved person; a novel habeas case removed a woman from the subjugation of her husband; a novel habeas case removed a child from her father's presumptive dominion and transferred her to the custody of another (*see* section II, *infra*). More broadly, novel common-law cases—of which habeas is a subset—have advanced the law in countless areas (*see* section IV, *infra*). The majority's argument—"this has never been done before"—is an argument against all progress, one that flies in the face of legal history. The correct approach is not to say, "this has never been done" and then quit, but to ask, "should this now be done even though it hasn't before, and why?"

3.

A third source of confusion arises from an unstated misconception about rights. Rights are interdependent on reciprocal rights. We tend to ask whether someone has a right to free speech, or to a jury trial or to privacy in one's home. But each of those implies reciprocal rights—corresponding or even inverse rights that members of society have against that person, for example: the right to be free from libelous speech; the right to convict someone based on a jury's determination of guilt; and the right to search a home by obtaining a warrant. In Happy's case, the value of liberty to Happy, however weak or strong it is, animates Happy's right to liberty, but that right is also affected by its reciprocal: the right of the Zoo to confine Happy in the manner it has chosen, however weak or strong that interest is. In the end, whatever right we define concerns not merely Happy's interest in liberty, but the Zoo's interest in

Happy's captivity. Importantly, the choice in fixing that right affects Happy and the Zoo, but also defines who we are or, in the case of habeas, who we might want to be as a society. For that reason as well, it does not matter that Happy is an elephant. Were a court to determine that the Zoo cannot confine her, that determination would not merely define Happy's rights, but the rights of the human captors as well.

B.

The majority and the prior decisions in the Appellate Division's *Lavery* cases (152 AD3d 73; 124 AD3d 148) adopt the proposition that animals cannot have rights because they cannot bear responsibilities.⁴ That proposition, apparently based vaguely on social contract theory,⁵ confuses who can confer rights with who can hold rights. Elephants cannot confer rights on humans, but humans can—and do—confer rights on animals in abundance.

It helps to start by understanding what a right consists of. A right consists of a sphere of action protected from intrusion by others: “[d]uty and right are correlative; and where a duty is

4. It is not even clear what is meant by “bearing responsibilities.” An estimated 70% of Americans have committed a jailable offense, suggesting humans at least in our country routinely renege on responsibilities society imposes on them (Stephen L. Carter, *Law Puts Us All in Same Danger as Eric Garner*, Bloomberg, Dec. 4, 2014, available at <https://www.bloomberg.com/opinion/articles/2014-12-04/law-puts-us-all-in-same-danger-as-eric-garner#xj4y7vzkg>). Meanwhile, stories of heroically responsible animals—trained or not—abound (see e.g. Melissa Chan, *National Puppy Day 2017: Here are 5 Brave Dogs That Saved a Child's Life*, Time, Mar. 22, 2017, available at <https://time.com/4709801/national-puppy-day-2017-dogs-save-children/>). Dogs are regularly put to work defending livestock, people and property; working for law enforcement; and detecting various types of cancers in humans. The Navy has trained dolphins and sea lions to protect sailors and Marines (Naval Information Warfare Center—Pacific, *U.S. Navy Marine Mammal Program*, <https://www.niwc-pacific.navy.mil/marine-mammal-program/> [accessed June 9, 2022]). Happy, who could trample her caretakers, is responsible enough to know not to hurt them. Elephants take care of their extended families much as human families do—perhaps better. Thus, even the concept of “bearing responsibilities” imposes a human-centric idea of what it means to be responsible for others or one's own actions, and humans themselves may often fall below that standard of responsibility.

5. Social contract theory begins with the premise that a broad set of freedoms exist in the state of nature, and participants in the (theoretical) social contract agree to give up some of those freedoms in exchange for the benefits of government and civilization. It is a tortuous (though not impassible) route to conclude that the social contract grants rights by cutting back at those rights that existed in the state of nature.

imposed, there must be a right to have it performed” (*Amberg v Kinley*, 214 NY 531, 535 [1915], quoting *Willy v Mulledy*, 78 NY 310, 314 [1879]). “In other words, if X has a right against Y that he shall stay off the former’s land, the correlative (and equivalent) is that Y is under a duty toward X to stay off the place” (Wesley Newcomb Hohfeld, *Some Fundamental Legal Conceptions as Applied in Judicial Reasoning*, 23 Yale LJ 16, 30-32 [1913]).

But the holder of a right need not have a duty at all. Humans can create a legal system that confers rights on animals even if animals cannot bear duties, and even if animals are unaware of the rights they have been granted. “Animals have many legal rights, protected under both federal and state laws. In some instances, criminal statutes punish those who violate statutory duties that protect animals” (*Cetacean Community v Bush*, 386 F3d 1169, 1175 [9th Cir 2004]). Humans have granted animals countless rights without imposing any duties on them or even considering whether they are capable of bearing duties. For example, 16 USC § 668 imposes a duty on humans not to capture or kill a bald or golden eagle, enforced by fines and imprisonment; that duty establishes a correlative right of bald and golden eagles to be free from capture by humans (except as authorized by permit). The Endangered Species Act (16 USC § 1531 *et seq.*) gives all animals falling within its purview the right not to be captured, harassed or harmed by humans, and imposes a correlative duty on humans.

Indeed, the very legislation the majority lists provides numerous rights to animals, including the right not to be tortured, killed unjustifiably, abandoned or neglected; the right to have medical providers report suspected cases of abuse; the right of domestic animals to have trusts made in their behalf enforced by courts; and the right to have their best interests considered when those with legal custody over them are divorcing (majority op at 575-576). Notably, those rights parallel rights granted to children who, like animals, are not able to enforce those rights themselves, and may not even understand that they possess them. Neither of those conditions is necessary for someone—whether a child or an animal—to possess rights. The fact that the numerous rights cataloged by the majority are granted by statute does not change their character as rights; at most, it leaves open the question of whether courts

should grant rights to animals—not whether animals are capable of holding rights.⁶

If the proposition that no rights may be awarded to a being who cannot shoulder responsibilities were based on social contract theory, we could not explain why children or profoundly disabled adults—who have no capacity to enter into a social contract—can be granted rights.⁷ To say, “they are part of the human species” is no answer, because social contract theory does not propose that members of a species can bind other members of the same species to a social contract without their consent. We grant children and disabled persons rights simply because we, as a society, want to. Whether we do so because we see ourselves in them, because God commands us to, because we fear a slippery slope of eugenics, because we are charitably inclined, or for some other reason, does not matter; the point is that we can, and constantly do, grant rights to living beings who bear no responsibilities and may never be able to do so.⁸

6. Amici UK-based legal academics et al. explain that under either of the dominant theories of rights (the “interest theory” and the “will theory”), the conditions for granting a right to Happy would be met. Under the interest theory, Happy must have an interest in liberty (or less restrictive confinement) and the decision to grant a right must be, at least in part, for Happy’s own sake. Under the will theory, Happy must be able to exert some form of normative control over correlative duty bearers, but that can be exercised by a representative (public or private) acting in her behalf (*see* brief of amici curiae Joe Wills et al., UK-based legal academics, barristers and solicitors in support of petitioner-appellant at 10-17).

7. As our colleague Judge Fahey observed, “[e]ven if . . . nonhuman animals cannot bear duties, the same is true of human infants or comatose human adults, yet no one would suppose that it is improper to seek a writ of habeas corpus on behalf of one’s infant child or a parent suffering from dementia” (*Lavery*, 31 NY3d at 1057 [Fahey, J., concurring] [citation omitted]).

8. Like the United States, many other countries have given animals rights. The Supreme Court of India—a country that shares an English common-law heritage with the United States—has recognized rights for animals. India’s Supreme Court has recognized that the Indian Constitution’s due process clause applies to all species (*Animal Welfare Bd. of India v Nagaraja*, [2014] 7 SCC 547 ¶ 62 [India]). That court also interpreted the *parens patriae* doctrine, which originated in English common law, as requiring the court “to take care of the rights of animals, since they are unable to take care of themselves as against human beings” (*id.* ¶ 26; *see Hawaii v Standard Oil Co. of Cal.*, 405 US 251, 257 [1972] [describing the English constitutional system as the origin for the *parens patriae* doctrine, which referred to the King’s power “as guardian of persons under legal disabilities to act for themselves”]). Courts in other countries have granted habeas petitions on behalf of animals (*Presented by AFADA About the Chimpanzee*

(n. cont’d)

Inherently, then, to whom to grant what rights is a normative determination, one that changes (and has changed) over time. If society determines that humans should not torture dogs, then dogs have a right to be free from torture. The dogs' right to be free from torture does not emanate from their ability to take on duties or responsibilities; instead, it emanates from society's determination that a sphere of action—the ability of dogs to exist without being subjected to torture by humans—is a right worthy of protection.

Society's determination as to whether elephants have a right to be free of oppressive confinement, which they may test through habeas corpus, is not likely to be the same today as it was 100 years ago. At its core, this case is about whether society's norms have evolved such that elephants like Happy should be able to file habeas petitions to challenge unjust confinements. It is not about whether Happy is a person or whether Happy can bear responsibilities or enter into a social contract. The degree to which courts, rather than legislatures, should grant such rights is a wholly different question.

II.

As the majority acknowledges, “[t]he centuries-old writ [of habeas corpus] originated in English law and has been a steadfast pillar of our common law” (majority op at 569). Its history and usage, both in England and the United States, resoundingly rejects several of the majority's contentions. Most fundamentally, the writ was used to grant freedom to slaves, who were considered chattel with no legal rights or existence.

“*Cecilia*”—*Nonhuman Individual*, file No. P-72.254/15 [3d Ct of Guarantees, Mza, Arg, Nov. 3, 2016] [granting a habeas petition brought on behalf of a chimpanzee in a zoo and ordering the chimpanzee transferred to a sanctuary in Brazil]; *Luis Domingo Gómez Maldonado c Corporacion Autonoma Regional de Caldas Corpocaldas*, Sup Ct of Colom, Civ Cassation Chamber, July 26, 2017, AHC4806-2017 [granting a habeas petition brought on behalf of a bear and ordering the bear transferred to a more suitable habitat, preferably an identified natural reserve]; see also *Islamabad Wildlife Mgt. Bd. v Metropolitan Corp. Islamabad*, Islamabad High Ct, Pak, May 21, 2020, Athar-Minallah, C.J., W.P. No. 1155/2019 [granting the petition filed on behalf of an elephant and requiring the elephant's transfer from a zoo to a sanctuary]). Native American tribes long nurtured symbiotic relationships with animals in ways that “prohibited the physical and spiritual mistreatment of animals since time immemorial” (Sarah Deer & Liz Murphy, *Animals May Take Pity On Us: Using Traditional Tribal Beliefs to Address Animal Abuse and Family Violence within Tribal Nations*, 43 Mitchell Hamline L Rev 703, 703-704, 706-718 [2017]; see also Angela Harris, *Should People of Color Support Animal Rights?*, 5 J Animal L 15, 28 [2009]).

Indeed, the various rights held by animals today, as partially cataloged by the majority, are far greater than those held by enslaved persons in England or America, who had none. Similarly, the writ was used to grant freedom to wives and children, who, though not chattel, had few or no legal rights and legally were under the dominion of husbands and fathers. They, too, had rights that paled in comparison to those held by animals today. Additionally, the writ was flexibly used to transfer custody when circumstances demanded it, particularly in the case of children—a point contrary to the majority’s view that the writ cannot be used to transfer custody from a miserable situation to one less fraught. Not only does the history of the writ’s usage destroy the foundations of the majority’s contention, it shows how the writ was used by enlightened judges to nudge advances in the law. By freeing one enslaved person through a habeas petition, or removing one wife or child from an abusive husband or father, a court did not change the law for all, but it did cast a light on the underlying issues (slavery or the treatment of women and children), sparking public debate and sometimes leading to broader legislative change.

Courts did not base their habeas corpus decisions on whether detention was illegal under existing statutory or common law; instead, they conducted a case-by-case analysis for each habeas petition, considering whether a petitioner’s confinement was unjust based on a balancing of the benefits and harms of the confinement. Habeas petitions were not limited to detainment orchestrated or managed by the government; habeas equally reached private confinements. It was common for third parties to file habeas petitions on behalf of others who were confined. Running throughout these qualities of the Great Writ is the maxim that habeas corpus is an innovative writ—one used to advocate for relief that was slightly or significantly ahead of the statutory and common law of the time.

A.

For at least a few thousand years, slavery was viewed as legitimate, even necessary. The Code of Hammurabi, from circa 1772 BCE, prescribed death for anyone helping an enslaved person to escape or housing an enslaved person who had run away (The Code of Hammurabi §§ 15-16 [L.W. King translation], available at <https://avalon.law.yale.edu/ancient/hamframe.asp>). Other provisions punished enslaved people

themselves for certain actions or behaviors; for instance, if an enslaved person struck a free man or denied enslavement, the Code called for cutting off one of the enslaved person's ears as punishment (*id.* §§ 205, 282).

In ancient Egypt, Greece, and Rome, war was the principal catalyst for enslavement. Ancient Egypt, for example, enslaved the defeated soldiers of Nubian and Somali people (James Walvin, *A Short History of Slavery*, part I, ch 1 [2007]). In ancient Greece, slavery was “basic to the conduct of Greek democratic life” because Greek citizens relied on enslaved people for heavy physical tasks and domestic labor, freeing their time for civic duties (*id.*). Aristotle described the enslaved person as “a living possession” who “wholly belongs to [his master]” (Aristotle, *Politics*, book I, part IV). He viewed “the use made of slaves and of tame animals” as “not very different; for both with their bodies minister to the needs of life” (*id.*). Victories of the Roman Empire across a vast geography resulted in more than half a million enslaved persons annually for Rome (*id.*).

In the millennium after the fall of Rome, slavery persisted in Europe as a “mosaic of systems, held together by trade and by slave-trading links” (Walvin, *supra* at part 1, ch 2). “Villeinage,” a vestige of feudalism, was an early form of unfree status in English society (William M. Wiecek, *The Origins of the Law of Slavery in British North America*, 17 *Cardozo L Rev* 1711, 1716 [1996]). In 1547, England passed the (short-lived) Vagrancy Act, which allowed for the enslavement for two years of “vagaboundes,” who could be sold or leased by their owners, and for whom death by hanging was the penalty for escape (*id.* at 1718). Thereafter, European slavery became reserved mostly for people of African descent (*id.* at 1723-1724).

English slaveholders proceeded by action of trover—an action to protect chattel—to enforce their rights in enslaved persons (*id.* at 1724). Eventually, as abolitionists began to challenge the legitimacy of slavery, the King's Bench held that trespass *per quod servitium amisit* (trespass by which service is lost) would lie instead of trover; by which change the court subtly suggested a different way of thinking about enslaved people (*id.*).

In the United States, slavery persisted longer than it did in England, and laws institutionalized and protected it. Histories of African slavery in North America often begin with the sale of 20 enslaved Africans by a Dutch ship captain to English set-

tlers in Jamestown, Virginia in 1619, but some enslaved Africans entered the colonies even earlier (David Brion Davis, *Inhuman Bondage: The Rise and Fall of Slavery in the New World* 124 [2006]). By the middle of the seventeenth century, the Dutch in New Netherland (now New York) were more dependent on Black slave labor than the English in the colonies of Virginia and Maryland (*id.*). The United States Constitution explicitly embedded slavery in various ways (*see e.g.* Paul Finkelman, *The Founders and Slavery: Little Ventured, Little Gained*, 13 Yale JL & Humanities 413, 414-415, 427, 438 [2001]).

Constitutional law continued to “protect[] slavery and undermine[] the liberty of free blacks” as the young country developed (Paul Finkelman, *Race, Slavery, and Federal Law, 1789-1804: The Creation of Proslavery Constitutional Law Before Marbury*, 14 Univ St Thomas LJ 1 [2018]). Congress passed a fugitive slave law, rejected legislation that would prevent the kidnapping of free Black people, prevented free Black people or enslaved persons from carrying mail from one place to another, rejected immigrants who were Black from naturalizing as citizens, and prevented free Black people from joining the military (*id.*).

In 1808, Britain and the United States outlawed participation in the African slave trade (Davis, *Inhuman Bondage*, *supra* at xiv), but slavery remained a cornerstone of society and economy, as the children of enslaved people were also considered enslaved. Further limiting the rights of enslaved individuals and free individuals of African descent, in 1857, the United States Supreme Court held in *Dred Scott v Sandford* that people of African descent, whether enslaved or free, were not included as “citizens” under the United States Constitution. Therefore, no Black individuals in the country were afforded the rights, privileges and immunities the Constitution provided to citizens (19 How [60 US] 393 [1857]). Counsel for Sandford argued that “the Constitution of the United States was never designed to consider black men as citizens. It maintains throughout that man can have property in man; and so sacred is this description of property, that the Constitution pledges the force of the Union to protect it” (*The Argument in the Case of Dred Scott*, NY Times, Dec. 18, 1856 at 1). The *Dred Scott* decision was met with applause in the southern states, and “[m]ost Northern Democrats accepted it and even praised it” (Paul Finkelman, *Scott v Sandford: The Court’s Most Dreadful*

Case and How It Changed History, 82 Chi-Kent L Rev 3, 5 [2007]).

It is against that long-entrenched background of legally sanctioned slavery that the courts of England and the United States worked, through the Great Writ, to secure liberty for those deemed chattel, equated, at most, with animals. Two seminal cases, one in England (*Sommersett's Case*), one in New York (the *Lemmon Slave Case*) show how the Great Writ was flexibly used by the courts as a tool for innovation and social change.

Sommersett's Case in England involved the use of habeas corpus to free a slave; the case was celebrated by abolitionists, though its impact was incremental, not tidal. James Sommersett was an enslaved Black man on whose behalf three abolitionists submitted a habeas corpus petition (*Sommersett's Case*, 20 Howell's St Trials 1, 79-82 [King's Bench 1772] [National Archives of the United Kingdom]; see also Paul D. Halliday, *Habeas Corpus: From England to Empire* 174 [2010]). The habeas petition alleged that Mr. Sommersett was confined on a ship bound for Jamaica and sought his freedom (*Sommersett's Case*, 20 Howell's St Trials 80). Mr. Sommersett was enslaved by Charles Stuart, who had purchased him in Virginia and brought him to England, where Mr. Sommersett ran away (*id.*; Halliday, *supra* at 174). Mr. Stuart then had Mr. Sommersett seized and sent him to Jamaica to be sold as a slave (*Sommersett's Case*, 20 Howell's St Trials 80).

Lord Mansfield granted Mr. Sommersett's habeas petition, liberating him, but on the narrow basis that Mr. Stuart's return (what we would now describe as a verified answer) filed in response to the habeas petition was insufficient (*id.* at 82). Given the papers before him, it was Lord Mansfield's view that "[t]he only question before us is, whether the cause on the return is sufficient" (*id.*). He characterized the return as merely stating that Mr. Sommersett "departed and refused to serve; whereupon he was kept, to be sold abroad" (*id.*). Lord Mansfield included strong language criticizing slavery, stating for example that slavery "is so odious, that nothing can be suffered to support it, but positive law" (*id.*). Nonetheless, the narrow basis of his ruling revealed "the Janus-faced quality of habeas corpus: that it could do so much, and so little, at once" (Halliday, *supra* at 175). James Sommersett's case illustrates the opportunity and limitations of habeas corpus. The writ is a procedural tool with a storied history of opportunity for chal-

lenging social norms, but one inherently limited by its necessarily case-by-case approach.

In *Lemmon v People*, our own Court upheld the grant of a habeas petition brought on behalf of eight slaves seeking liberation from their incarceration in a house in Richmond, New York (20 NY 562 [1860]). Juliet Lemmon claimed that the eight individuals were her slaves and that she was in transit between Virginia and Texas, both of which were slave states, when she had to stop in New York out of necessity. She further claimed that she never intended to sell her slaves. Louis Napoleon, a free Black New Yorker active in the abolitionist movement, commenced a habeas petition on behalf of Lemmon's slaves upon learning of their arrival. Judge Elijah Paine heard the habeas petition. He granted the petition, considered its merits, and ruled that the eight slaves were now free. Judge Paine based his ruling on two principles: first, because Juliet Lemmon had voluntarily brought her slaves into New York, a New York statute emancipated them; and second, "and of greater historical importance, however, Judge Paine ruled the slaves free based on a higher moral authority. 'Beyond New York law,' Judge Paine wrote, 'by the law of nature no one can have a property in slaves'" (Historical Society of the New York Courts, *The Lemmon Slave Case*, available at <https://history.nycourts.gov/the-lemmon-slave-case/> [accessed June 9, 2022]). Chief Judge DiFiore recently lauded Judge Paine as "courageous" and "heroic" for his grant of habeas corpus freeing Ms. Lemmon's slaves (*id.*, video introduction at 0:31, 1:14).

The Court of Appeals affirmed Judge Paine's decision. In doing so, it rejected Ms. Lemmon's argument that the enslaved persons remained her property because "[no] civilized State on Earth can maintain this absolute outlawry of negro slavery; for in some of its forms slavery has existed in all ages" (Report of the Lemmon Case 19 [1860], available at <https://www.loc.gov/item/03020167/>). In affirming Judge Paine's decision granting relief through the Great Writ, Judge William B. Wright, joined by three Judges, sharply criticized the institution of slavery:

"for slavery is repugnant to natural justice and right, has no support in any principle of international law, and is antagonistic to the genius and spirit of republican government. Besides, liberty is the natural condition of men, and is world-wide: whilst slavery is local, and beginning in physical

force, can only be supported and sustained by positive law. ‘Slavery,’ says Montesquieu, ‘not only violates the laws of nature and of civil society; it also wounds the best forms of government; in a democracy where all men are equal slavery is contrary to the spirit of the Constitution’ ” (*Lemmon*, 20 NY at 617).

The *Lemmon* case illustrates how courts have used and should use the common-law writ of habeas corpus to expand liberty interests that were not just controversial at the time, but denied by “positive” law legitimizing slavery. Three years earlier, the United States Supreme Court had decided *Dred Scott v Sandford*, in which it rejected Mr. Scott’s claim that though he was enslaved in Missouri, he became free when his owners took him to a state where slavery was illegal (19 How [60 US] 393 [1857]). “The Court of Appeals ruling in [the *Lemmon Slave*] case was in direct conflict with the Supreme Court’s infamous Dred Scott decision of 1857 and it represented one of the most unyielding anti-slavery decisions made by any Court in the United States prior to the Civil War” (NY St Unified Court System, *The Lemmon Case: 1852-1860: Freedom Won for Eight Enslaved People in New York and Justice Takes a Step Forward*, Message from Chief Judge Janet DiFiore, available at http://ww2.nycourts.gov/courts/9jd/lemmon_slave_case.shtml [accessed June 9, 2022]). Thus, even a direct conflict with the U.S. Supreme Court’s decision in *Dred Scott* did not stop our Court from affirming the use of the Great Writ to free eight enslaved individuals who Ms. Lemmon considered her property.

As with Mr. Sommersett’s case, the *Lemmon* case did not end slavery; it freed only the subjects of the habeas petition before the court. But it added Judge Paine’s voice, and the voice of our Court, to the side of abolishing slavery. A scant nine months later, South Carolina identified as one of the “immediate causes” of its decision to secede “the action of the non-slaveholding States . . . [which] have denied the rights of property established in fifteen of the States and recognized by the Constitution; they have denounced as sinful the institution of slavery” (*Confederate States of America - Declaration of the Immediate Causes Which Induce and Justify the Secession of South Carolina from the Federal Union*, Yale Law School Lillian Goldman Law Library, the Avalon Project: Documents in Law, History and Diplomacy, available at https://avalon.law.yale.edu/19th_century/csa_scarsec.asp).

Underscoring the import of the *Lemmon* case, and as a result the import of the Great Writ as well, the New York State Unified Court System recently launched a traveling exhibition extolling the *Lemmon* decision (see NY St Unified Court System, *The Lemmon Case*, *supra*).⁹

B.

Like slavery, women's treatment as inferior to men has a long history. Aristotle wrote that "[t]he relation of male to female is by nature a relation of superior to inferior and ruler to ruled" (Ian Broinowski, *The Pakana Voice* 135 [2020]). According to Martin Luther, women have "a mind weaker than man" (Martin Luther, *Commentary on Genesis*, ch I [II], part VI, verse 27b [1545]); according to John Calvin, "all women are born, that they may acknowledge themselves inferior in consequence of the superiority of the male sex" (John Calvin, *Commentary on 1 Corinthians*, 1 Corinthians 11: 1-16 at 299); according to Charles Darwin, "[t]he chief distinction in the intellectual powers of the two sexes is shewn by man's attaining to a higher eminence, in whatever he takes up, than can woman—whether requiring deep thought, reason, or imagination, or merely the use of the senses and hands" (Charles Darwin, *Descent of Man, and Selection in Relation to Sex* 564 [1896]); and according to Napoleon Bonaparte, "[n]ature intended women to be our slaves . . . What a mad idea to demand equality for women! They are our property, we are not theirs" (Emil Ludwig, *Napoleon* 599-600 [Eden & Cedar Paul translation 1926]). The process of liberating women from those noxious views was advanced through the application of the writ of habeas corpus, though, as with racial discrimination, harmful and discriminatory views about women have not been eradicated even today.

Under English common law, "husband and wife [were] one person in law," or in other words, "the very being or legal existence of the woman is suspended during the marriage, or at least is incorporated and consolidated into that of the husband" (1 William Blackstone, *Commentaries on the Laws of England* ch 15 at 442 [3d ed 1769]). During marriage, "a wife simply had no legal existence. She became, in the words of the Seneca Falls Declaration of Sentiments, 'civilly dead'" (Claudia Zaher,

9. New York was not the only jurisdiction to use habeas corpus to recognize a liberty right in people legally considered chattel (see *Jackson v Bull-och*, 12 Conn 38 [1837]).

When a Woman's Marital Status Determined Her Legal Status: A Research Guide on the Common Law Doctrine of Coverture, 94 Law Libr J 459, 460 [2002]). That rule was called “coverture” (1 William Blackstone, *Commentaries on the Laws of England* ch 15 at 442 [3d ed 1769]). Under coverture, any property or debt belonging to a woman became her husband's property upon marriage (*see id.* at 442-443). Because a woman's legal identity was erased upon marriage, the common law granted husbands the right to beat their wives to “chastise” them (*id.* [(B)y an old law, a husband was justified in using moderate correction against his wife but barred from serious violence”]).

The definition of rape under English common law did not include sexual assaults by husbands against wives (Jill Elaine Hasday, *Contest and Consent: A Legal History of Marital Rape*, 88 Cal L Rev 1373, 1391 [2000]). As a leading treatise on criminal law stated, “the true reason why the husband, who has sexual intercourse with his wife against her will, is not guilty of rape is that such intercourse is not unlawful. . . . Sexual intercourse between husband and wife is sanctioned by law; all other sexual intercourse is unlawful” (Rollin Morris Perkins, *Criminal Law* 110 [1982]). As Chief Justice Lord Matthew Hale wrote, “the husband cannot be guilty of a rape committed by himself upon his lawful wife, for by their mutual matrimonial consent and contract the wife hath given up herself in this kind unto her husband, which she cannot retract” (*id.*).

American jurisdiction adopted the English common law, and coverture limited the rights of women in early America. In the eighteenth century, coverture deprived American married women of their property, which husbands came to own in fee simple. Husbands could possess, use and mortgage the property they gained from marrying women, and creditors could seize that property or interest in the property (Joan C. Williams, *Married Women and Property*, 1 Va J Soc Poly & L 383, 385 [1994]).

New York courts implemented English common law and placed obstacles to women's divorce and to married women having any property rights (Richard A. Dollinger, *Judicial Intervention: The Judges Who Paved the Road to Seneca Falls in 1848*, 12 Jud Notice 4, 5 [2017]). The New York Legislature started to erode the doctrine of coverture beginning in 1828 through trusts that could retain some property rights for married women, but those changes were slow and minimal (*id.*). In 1837, Assemblyperson Thomas Herttell introduced a bill that

would have allowed women to retain after marriage all property owned at the time of marriage. He called the doctrine of coverture “uncomfortably close” to slavery, which had been outlawed in New York 10 years prior, asserting that “[o]nly her husband’s inability to sell her outright saved her from the status of an unqualified slave” (*id.*). The bill failed to emerge from the Assembly, let alone become law (*id.*). In the 1840s, “bills related to women’s property flooded the legislature,” but the legislature refused to pass any reform for women’s rights (*id.* at 8).

Against that background, the courts of England and the United States used the Great Writ to grant relief to women and children in the face of statutory and common law rendering their mistreatment by men lawful. Habeas corpus freed Catherine Marsden, for example, when her husband—who had abandoned her but, upon learning that she had begun proceedings in the church courts seeking to have him pay maintenance to support her and their children, lured her to his city on the pretense of reconciliation and then locked her in a hayloft (Halliday, *supra* at 46-47).¹⁰ Thus, although the common law gave her husband legal dominion over her, the court used the writ of habeas corpus to order her release.

Similarly, before Lady Rawlinson remarried, she put her estate out of the reach of her groom, Michael Lister. The marriage failed; divorce being out of the question, the couple made a deed of separation, which worked until Mr. Lister wanted more money. Lady Rawlinson refused, and Mr. Lister and an accomplice kidnapped her as she left church, hiding her in a remote location. Responding to a writ of habeas corpus procured on her behalf, Mr. Lister argued, “by law, the husband has coercive power over the wife” (*id.* at 177). King’s Bench agreed with that legal proposition, but relied on the separation agreement to hold that Mr. Lister’s right to restrain his wife had been eroded, and ordered Lady Rawlinson’s release (*id.*).

As another example, habeas corpus could limit a father’s custody of his children, even though the common law in eighteenth century England vested custody of children in the father, not the mother. Anne Bissell was a six-year-old child at the center of a custody dispute in 1774 (*id.* at 131). After Anne’s

10. Professor Halliday’s methodology involved examining all writs of *habeas corpus ad subjiciendum* issued from the King’s Bench every fourth year from 1502 to 1798, inclusive, yielding a total of 2,757 individual subjects (Halliday, *supra* at 319).

mother had fled with Anne due to her husband's mistreatment, Anne's father used habeas corpus to force Anne's mother to bring Anne to court (*id.*). Lord Mansfield, overseeing the habeas case, acknowledged that "the natural right is with the father" but given the father's inappropriate conduct toward the mother, and his bankruptcy, decided to "do what shall appear best for the child" (*id.*). Through his resolution of the case, Lord Mansfield "assigned custody in defiance of the father's expectation, supported by common law, that custody should be his. As in all habeas decisions, the court declared the bounds of jurisdiction, even the jurisdiction of fathers" (*id.*). The early English cases of Mrs. Marsden, Lady Rawlinson and Anne Bissell show that courts employed the Great Writ to challenge and bypass controlling statutory and common law when deciding habeas corpus petitions; the writ allowed courts to assess each case individually and whether the confinement was unjust based on fairness and a balancing of interests.

Further underscoring the flexibility of the Great Writ, its history evinces that habeas corpus could be used to transfer custody from one confinement, if determined to be unlawful, to another type of custody; habeas petitions were not required to seek or result in total liberation as the remedy. That aspect of habeas corpus is evident across issues impacting children, women, and enslaved people. Frances Howland was a 10-year-old child over whom custody had been assigned to Mary Johnson (*id.* at 128). Frances's uncle, however, filed a habeas petition to bring Frances into court, arguing that his brother's will made him guardian. The Justices considering his claim wrestled with whether they could change Frances's custody or whether they were allowed to "only set her at liberty" because the case arose from a habeas petition. They decided the former, changing the custody of Frances from Ms. Johnson to Frances's uncle, even though Frances was "very unwilling" to leave Ms. Johnson. The 1724 decision "marked a step in a new direction: using the writ to assign custody, not simply to release from it" (*id.* at 128-129). Anne Bissell's transfer from the custody of her mother to a school where both of her parents could visit her, deemed to be in her best interest (which was not then a concept in the common law or statute), occurred 50 years after Frances's case, suggesting the "new direction" of using habeas corpus to transfer custody had become a norm.

In the case of Bridget Hyde—a young teenager living with her mother and stepfather (Sir Robert Viner, Lord Mayor of

London) but claimed by John Emerton as his wife—the King’s Bench issued writs of habeas corpus on the Lord Mayor to produce Bridget in court, and then, Lord Chief Justice Hale, in a striking bit of innovation, “bad[e] her take her choice who she would go to”: to Emerton or Viner (*id.* at 125). Indeed, other decisions by Chief Justice Hale further reflect an understanding that the writ could innovate to meet society’s evolving notions of fairness. “During Hale’s five years overseeing King’s Bench, we find the first writs used by wives against abusive husbands, as well as the first writs employed to bring in women to swear articles of the peace; to resolve a child custody dispute; and to explore the detention of an alleged ‘lunatic’ ” (*id.*).

Women also used habeas corpus to transfer custody from their husbands to their parents. As discussed, women in eighteenth century England had severely restricted rights, and society defined them by their relationships to their fathers when unmarried and to their husbands when married (Elizabeth Foyster, *At the Limits of Liberty: Married Women and Confinement in Eighteenth-Century England*, 17 *Continuity & Change* 39, 49 [2002]). Custody transfer arose when abused women fled to their parents (*id.*). Husbands would file habeas corpus petitions seeking to order their wives transferred back to their own households, while parents would argue “that by their physical cruelty husbands had relinquished their rights to custody of their daughters” (*id.*).

Habeas petitions were also filed on behalf of women who were confined or sent to madhouses by their husbands, as well as on behalf of husbands seeking to regain custody of their wives when their wives escaped and obtained refuge in other households (*id.* at 42). In those contexts, the writ made the King’s Bench a “forum where the boundaries of men’s rights and women’s freedoms were tested” (*id.*). Private “madhouses,” which proliferated in the eighteenth century, gave husbands another tool to control their wives: husbands could send their wives to minimally regulated madhouses on claims that their wives were insane when, in reality, their wives merely failed to obey their orders (*id.* at 47). In response, women or people acting on their behalf filed habeas petitions. A habeas petition freed Jane, the wife of Thomas Taylor, after Thomas allegedly detained her for three months in their house, keeping the front door locked, the back door nailed shut, and the windows boarded (*id.* at 44). According to the affidavits in support of Jane’s release, Thomas did not let Jane leave the home, would

have a servant deliver bread, water, and medicine through Jane's window, and would severely beat her (*id.*). The affidavits were filed after Jane passed letters through a hole in her window begging for help (*id.*). A habeas petition secured the release of Deborah D'Vebre—who had been confined in a madhouse by her husband—after a doctor inspected her and determined that he could not see “the least ground or foundation for confining her in the said madhouse” (*id.*). For women like Jane and Deborah, “[t]he writ [of habeas corpus] acted as a lifeline for freedom” (*id.* at 49), used to overcome their husbands' common-law right to restrain them.

Finally, habeas corpus was used to transfer custody in the context of slavery as well. When abolitionists attempted to use habeas corpus to retrieve Thomas Lewis, an enslaved person, from a ship about to sail for Jamaica, Lord Mansfield explained that previous habeas corpus petitions he had granted for enslaved persons who had been impressed into navy service were not meant to “free slaves, but to move them from one form of involuntary labor to another: to retrieve them from the navy's service so they could return to their masters' service, in the same manner that habeas was used to retrieve runaway apprentices from impressment” (Halliday, *supra* at 174-175).

The flexibility of the Great Writ made it an innovative writ that could challenge existing laws and social norms and inch society toward dramatic changes. The writ of habeas corpus “encouraged the justices to do much more than declare a prisoner remanded, bailed or discharged” (*id.* at 101). Instead, the writ became a vehicle for judges to negotiate settlements between parties, and judges' role in those negotiations involved “constraining—sometimes undermining—the statutes or customs on which other magistrates acted” (*id.*). Through that process, “the justices defined what counted as jurisdiction and what counted as liberties” (*id.*). The “flexibility, creativity, and widening purview” vested in judges through habeas corpus led to judges “broaden[ing] the principles that legitimated a widening oversight of detention in all forms” (*id.*). Thus, within that “widening oversight,” habeas was used to challenge abusive husbands in the 1670s, to question detentions justified by concerns of state safety in the last decade of the seventeenth century, and to “oversee other forms of detention that involved no wrongdoing” such as “apprenticeship, slavery, and naval impressment” in the mid-eighteenth century (*id.*).

The same qualities and uses of the writ found in English history are evident in the United States as well. The writ of ha-

beas corpus was understood as a means for women and children to challenge confinement or custody. As in England, women had severely restricted rights under coverture in America, and their husbands had a legal right to restrain them, but if the husband “restrain[ed] [his wife] of her liberty unreasonably, or imprison[ed] her, she may have relief by habeas corpus” (1 Zephaniah Swift, *A System of the Laws of the State of Connecticut* 1795 at 201).

Abbott v Abbott, an 1877 case from the Maine Supreme Judicial Court, is one example of the vast power men had over their wives and the availability of habeas corpus as one of the few possible remedies (67 Me 304 [1877]). In *Abbott*, the court held that a woman could not sue her former husband in tort for forcibly carrying her to an insane asylum, because the doctrine of coverture gave rise to no cause of action for violence by the husband to the wife, as their identities merged upon marriage. The court, however, observed that “the married woman has remedy enough”: the criminal courts, prosecution for divorce at her husband’s expense, and “the privilege of the writ of *habeas corpus*, if unlawfully restrained” (*id.* at 307; *see also Main v Main*, 46 Ill App 106, 107-108 [3d Dist 1892] [holding that, as in *Abbott*, a woman could not sue her husband for forcibly admitting her into an insane asylum but observing that the woman is “not without protection” because she could pursue criminal charges, sue for divorce, and “may have a writ of habeas corpus if unlawfully restrained”]).

As in England, the writ was used to transfer custody of children from one parent to another for children “under the age of discretion”; courts upon granting the writ would determine who should obtain custody of the child (*see* Dallin H. Oaks, *Habeas Corpus in the States: 1776-1865*, 32 U Chi L Rev 243, 270-271, 273-274 [1965]; *see e.g. Mercein v People ex rel. Barry*, 25 Wend 64 [NY Ct for Correction of Errors 1840]; *People ex rel. Olmstead v Olmstead*, 27 Barb 9 [NY Sup Ct 1857]). Indeed, “[t]here [were] numerous cases where courts asserted and exercised their powers to resolve issues on the guardianship of young children by habeas corpus” (Oaks, *supra* at 274). Parents also used habeas corpus to regain custody of children who enlisted in the Civil War without their consent (*see* Frances M. Clarke & Rebecca Jo Plant, *No Minor Matter: Underage Soldiers, Parents, and the Nationalization of Habeas Corpus in Civil War America*, 35 Law & Hist Rev 881 [2017]).

C.

As with *Sommersett's Case* and the *Lemmon Slave Case*, the cases liberating women and children did not bring an end to those abuses on a wholesale basis. Because of the inherently case-by-case way in which habeas corpus works, each case acted directly only on the particular petitioner seeking relief. However, those cases did spark dialogue and change on a broader scale. The decisions liberating women from "madhouses" provide a helpful illustration. Those cases did not lead to a wholesale closure of such institutions or a release of all or most women confined in them, but the writs increased public awareness that led to significant legislative reform. Through habeas corpus, "[t]he stories told in the King's Bench about wives who were wrongfully confined in private madhouses contributed to public awareness of the abuses of these institutions" (Foyster, *supra* at 52). First heard in court, the injustices of private madhouses became widely reported, "provok[ing] public alarm and mounting criticism [that] eventually led to the 1774 Act for Regulating Private Madhouses" (*id.*). Though that Act failed to eliminate all the ills of madhouses, its enactment shows how the innovative quality of the writ of habeas corpus can lead to broader social change. The writ is a tool for society to challenge confinement, construed broadly, and can document and raise awareness of injustices that may warrant legislative, policy, or social solutions.

The important points from the history and use of the Great Writ can be summarized as follows: first, even when positive (statutory or common) law renders a confinement lawful, the writ may be used to challenge a particular confinement as unjust based on the particular circumstances; second, the writ may be invoked on behalf of chattel (enslaved persons) or persons with negligible rights and no independent legal existence (women and children); third, it is a proper judicial use of the writ to employ it to challenge conventional laws and norms that have become outmoded or recognized to be of dubious or contested ethical soundness; and finally, the writ may be used to transfer a petitioner from an onerous custody to a less onerous custody. That leaves us here: animals can and do bear rights, and courts can use habeas corpus to grant rights to anyone regardless of their legal status as a person, even when positive law says otherwise. The remaining, and only real, question in this case is, when should they?

III.

As human knowledge of animal capabilities and needs has increased over the past centuries, social norms concerning human treatment of animals, and the rights granted to them, have also changed significantly. Whether an elephant could have petitioned for habeas corpus in the eighteenth century is a different question from whether an elephant can do so today because we know much more about elephant cognition, social organization, behaviors and needs than we did in past centuries, and our laws and norms have changed in response to our improved knowledge of animals.

A.

Early America had a strictly property-based view of animals. Over the last two centuries, that view has greatly eroded. Through most of the nineteenth century, animals were seen and treated as property and were used by humans for both entertainment and hard labor. A particularly troubling example of animals' use for entertainment was the practice of wealthy individuals and families watching "vivisections," or dissections of unsedated live animals (Claire Priest, *Enforcing Sympathy: Animal Cruelty Doctrine after the Civil War*, 44 L & Social Inquiry 136, 143 [2019]). The first efforts to rein in animal cruelty were facilitated under the public nuisance doctrine, which operated only when the cruelty occurred in public, or under causes of action protecting an owner's property rights in an animal (including the malicious mischief doctrine) when a third party interfered with an owner's property rights in an animal by harming it (*id.*). Under those doctrines, infliction of undue or excessive suffering on animals was regulated because of the effect it had on *humans* in society. Animal cruelty was punished through the public nuisance doctrine because the cruelty disturbed the peace for members of society enjoying public spaces. It was punished through the malicious mischief doctrine because it damaged someone's property. Thus, initial laws protecting animals did not expressly do so for the welfare of the animal *per se*.

In 1828, New York became the first state to enact an anti-cruelty law applying to animals (*id.* at 146-147). The statute made it a misdemeanor to "maliciously kill, maim, or wound any horse, ox, or other cattle, or sheep, belonging to another," or to "maliciously and cruelly beat or torture any such animal, whether belonging to himself or to another" (*id.*). Nineteen

other states followed suit with similar statutes by 1865 (*id.*). However, those statutes were largely interpreted as mere legislative reiterations of the preexisting common-law rules of public nuisance and malicious mischief (*id.*).

A major shift occurred after the Civil War, when the animal welfare movement grew significantly. Advocates' concern for animal suffering and a "widespread desire for greater social control" contributed to the rise of the movement (*id.* at 148, 150). The American Society for the Prevention of Cruelty to Animals (ASPCA) was founded in New York in 1866. ASPCA's successful lobbying led to the enactment of an expansive anti-cruelty statute in 1867 that criminalized the infliction of pain on animals and empowered the ASPCA itself to investigate and prosecute people for animal cruelty—an extraordinary power for a nongovernmental organization (see *Davis v American Socy. for Prevention of Cruelty to Animals*, 75 NY 362 [1878] [refusing to enjoin the President of the ASPCA from making arrests of persons he determined were cruelly slaughtering hogs]). The growing prosecutions and developments in the law signaled a shift in view toward animals: animal suffering was no longer simply seen as evil because of its effect on humans and society, but was now also viewed as an evil due to its effect on animals themselves.

States across the country enacted animal cruelty laws like New York's after the Civil War. This time, courts did not interpret the statutes to restrict them to the public nuisance and malicious mischief doctrines (Priest, *supra* at 156). Instead, court decisions reflected the shift toward considering suffering from the animals' perspectives (*id.* at 156-157). The Arkansas Supreme Court, for example, considered the state's new anti-cruelty acts as "not made for the protection of the absolute or relative rights of persons, or the rights of men to the acquisition and enjoyment of property, or the peace of society" (*id.* at 157, quoting *Grise v State*, 37 Ark 456, 457 [1881]). Instead, the statutes "seem[ed] to recognize and attempt to protect some abstract rights in all that animate creation, made subject to man by the creation, from the largest and noblest to the smallest and most insignificant" (*id.*). Reflecting that more expansive view of the post-Civil War anti-cruelty statutes, courts across states eliminated intent or malice elements previously required in animal cruelty offenses (*id.* at 160).

The history of abolition and other human-centered movements and the history of the animal welfare movement

intersected in some meaningful ways. Through the Civil War, the “abolition of slavery and the horror of battle—documented in thousands of wartime photographs of dead soldiers and horses—brought suffering and human rights to a national audience, therefore catalyzing a national movement” (Janet M. Davis, *The History of Animal Protection in the United States*, Organization of American Historians [May 27, 2022], <https://www.oah.org/tah/issues/2015/november/the-history-of-animal-protection-in-the-united-states/>). In the post-Civil War era, “[a]nimal protectionists believed that creaturely kindness was a marker of advanced civilization, which could rectify a fractured nation and world” (*id.*). Indeed, there were direct ties between abolitionists and animal welfare advocates in America (*id.*; see also Priest, *supra* at 148), and even more direct ties between the abolition and animal rights movements in Britain (*id.*). In the United States, the animal rights movement also may have contributed to modern interventionist and liberal ideas about government, and animal rights groups began thinking about cruelty against human children (see Davis, *History of Animal Protection*, *supra*). Animal protection groups created broader “humane societies” that “safeguarded animals and children under a singular protected fold, positing that helpless ‘beasts and babes’ had a right to protection because they could suffer” (*id.*). Historians saw these movements—toward abolition, animal rights, and child welfare—as moving in lockstep, through “an almost simultaneous development of antislavery sentiment, advocacy for animal welfare, diminished use of torture, and hostility to the use of corporal punishment to discipline children, prisoners, sailors, and women” (Priest, *supra* at 148).

Other forces may have been simultaneously at work. Charles Darwin’s *On the Origin of the Species*, published in 1859, established an evolutionary connection between humans and animals, and Darwin himself drafted legislation aimed at reducing animal suffering (Eric Michael Johnson, *Charles Darwin and the Vivisection Outrage*, *Sci Am*, Oct. 6, 2011, available at <https://blogs.scientificamerican.com/primate-diaries/vivisection-outrage/#>). Likewise, under a variety of late nineteenth century influences, “including transcendentalism, Theosophy, Buddhism, Hinduism and Darwinism, the concept of animals as rational, intelligent, and possessing souls that could survive bodily death gained popular acceptance” (A.W.H. Bates, *Have Animals Souls? The Late-Nineteenth Century Spir-*

itual Revival and Animal Welfare, in *Anti-Vivisection and the Profession of Medicine in Britain: A Social History* [2017], available at <https://www.ncbi.nlm.nih.gov/books/NBK513717/>).

Over the many decades thereafter, our societal norms toward animals have continued to change. As a simple example, in the nineteenth century, some animal welfare activists “maligned the cat as a semiwild killer of cherished songbirds” (Davis, *History of Animal Protection*, *supra*). By the twentieth century, however, medical advances and inventions like the litter box brought cats out of the shrubbery and into the home (*id.*). The animal protection movement became focused on dogs, cats, and sheltering animals (*id.*), and today, cats are beloved by many in our society (see Roberto A. Ferdman & Christopher Ingraham, *Where Cats Are More Popular Than Dogs in the U.S.—And All Over the World*, Wash Post [July 28, 2014], <https://www.washingtonpost.com/news/wonk/wp/2014/07/28/where-cats-are-more-popular-than-dogs-in-the-u-s-and-all-over-the-world/>). Indeed, domesticated pets have become important members of families, and the law has accounted for the role they play in people’s lives. A recent New York law, for example, requires that a court managing a couple’s separation, “in awarding the possession of a companion animal . . . consider the best interest of such animal” (Domestic Relations Law § 236 [B] [5] [d] [15]). In many states, people can leave behind money for their pets or domesticated animals in trusts after they die (see *e.g.* EPTL 7-8.1; Uniform Probate Code § 2-907 [b]; Breahn Vokolek, *America Gets What it Wants: Pet Trusts and a Future for its Companion Animals*, 76 UMKC L Rev 1109, 1126-1128 [2008]).

Driving many of the changing social norms about wild animals is our vastly enhanced understanding of their cognitive abilities, needs and suffering when in captivity. Prior to the twentieth century, human understanding of animal intelligence was minimal. Rather, humans regarded themselves as “unique in their sociality, individuality, and intelligence” (Piers Locke, *Explorations in Ethnoelephantology: Social, Historical, and Ecological Intersections between Asian Elephants and Humans*, 4 *Env't & Socy* 79, 79 [2013]). As scientific research progressed in the twentieth century, researchers began to discredit the notion of human exceptionalism. Scientists found that animals such as apes, dolphins and elephants—like humans—had substantial capacity to engage in and maintain social relationships, to learn and transpose information, to “ap-

preciate the thoughts and feelings of other sentient beings, and engage in strategic behavior” (*id.*). Because human understanding of the cognitive and emotional capacities of animals has developed recently and is still expanding, the contrast between what we now know and the paucity of information in earlier times must inform our analysis. What was unknown about animal cognizance and sentience a century ago is particularly relevant to whether Happy should be able to test her confinement by way of habeas corpus, because we now have information suggesting that her confinement may be cruel and unsuited to her well-being.

Philosophers have long debated the roles and capacities of animals in human society. French philosopher Michel de Montaigne contended that animals were conscious, rational, and moral—even more so than humans (Peter Harrison, *The Virtues of Animals in Seventeenth-Century Thought*, 59 J Hist Ideas 463, 463 [1998]). Descartes posited the contrary; animals were not conscious, rational, or moral (*id.*). Nicolas Malebranche, a seventeenth-century French philosopher, described Descartes’s understanding of animals: “[i]n animals there is neither intelligence nor souls as ordinarily meant. They eat without pleasure, cry without pain, grow without knowing it, desire nothing, fear nothing, and know nothing” (Steven Nadler, *The Cambridge Companion to Malebranche* 42 [2000]). Descartes’s dogmatic belief that animals were insentient, unfeeling beings was not ubiquitously accepted. Rather, theories of the virtues and capabilities of animals varied significantly prior to the twentieth century (Harrison, *supra* at 471). Some accepted Montaigne’s expansive view of animal consciousness, and others rejected it, instead following Descartes’s views (*id.*). Some found a middle ground that reflected Aristotle’s view: animals were conscious and sentient but had no rational soul (*id.*). None of those views were firmly grounded in anything we would describe as the scientific method.

Today, human understanding of the cognitive and emotional makeup of animals is meaningful and sound, though surely incomplete. The panoply of undiscovered information and broad scope of recent findings support approaching the question of animal sentience, feeling and confinement with humility and deference to the unknown. Indeed, “it is always advisable to perceive clearly our ignorance” (Charles Darwin, *The Expression of the Emotions in Man and Animals* 66 [1872]). The past century has given rise to substantial developments in the sci-

entific understanding of animals, suggesting also that there remains much that we still do not know.

As to elephants in particular, in 1957, scientists at a zoo in Germany conducted several experiments to determine the mental capabilities of elephants (B. Rensch, *The Intelligence of Elephants*, Sci Am 196 [2], 47 [1957]). The researchers found that elephants were able to recognize visual and auditory patterns, associate symbols with rewards and detriments and anticipate consequences of their actions (*id.* at 47-48). Even when patterns were altered, elephants were nonetheless able to recognize them. That behavior, researchers noted, demonstrated elephants' ability to "transpose learning or form an abstract concept" (*id.*). Elephants' substantial mental capacity was similarly demonstrated by researchers' discoveries regarding elephant memory. Researchers found that elephants were able to remember distinctions between various sounds or visual patterns one year after they had initially learned them (*id.* at 48). The research established that elephants bear very substantial mental cognizance; they can "anticipat[e] what will come of certain actions" and have the capacity for "true ideation" (*id.* at 47).

Beyond the ability to recognize and respond to patterns, elephants have exhibited complex social behaviors and have substantial ability to engage in and maintain social relationships (George Wittemyer, *The Global Guide to Animal Protection: Perceptions of Elephants* 90 [2013]). Studies have shown that elephant families are headed by matriarchs, who "lead[] their families through a vast social network where relations and dominance have been worked out among hundreds of individuals" (*id.*). Other research has detailed elephants' abilities to develop meaningful social and familial bonds (*id.*). Elephant mothers whose calves perish will often mourn their loss for days, attempt to revive the dead and stand guard over the body for days at a time (*id.*). Elephants' ritualistic funeral practices further offer support for the notion that they are mentally and socially complex beings: when a member of an elephant family dies, elephants have been seen gathering around the deceased, smelling, moving and interacting with the deceased's bones (*id.*). The motivation behind elephant funeral practices remains unknown (though a visitor from another planet might say the same about human funeral practices) and is representative of the incompleteness of human knowledge regarding animal behavior.

Human understandings of elephant cognition are continuously developing and therefore are far from absolute. Just a decade ago, scientists learned that elephants had the ability to engage in “insightful problem solving” because they demonstrated substantial capability to use tools (Preston Foerder et al., *Insightful Problem Solving in an Asian Elephant*, PLoS One 6 [8], 5 [2011]). Fewer than 20 years ago, scientists determined that elephants were likely self-aware because they were able to recognize themselves in a mirror. Happy herself was a subject of that experiment. She exhibited behavior consistent with mirror self-recognition—an ability that remains “exceedingly rare in the animal kingdom” (Joshua M. Plotnik et al., *Self-Recognition in an Asian Elephant*, PNAS 103 [45], 17053 [2006]).

Today, we would roundly reject Descartes’s claim that animals “cry without pain . . . desire nothing, fear nothing and know nothing.” Indeed, it is the advancing state of our knowledge that has led us to provide rights to animals. The idea of a habeas petition on behalf of an elephant would have seemed ludicrous to Descartes, who saw animals as inanimate, insentient objects. Given what we know today, it would be even more absurd to allow Descartes’s views to factor into a decision concerning Happy’s ability to seek relief through habeas corpus, when human understanding of elephant cognition, social behavior, capabilities and needs demonstrates the absurdity of those ancient, uninformed views. Due to our greater understanding of animals, we have also increasingly recognized that harms to animals outweigh the benefits to humans from various forms of animal uses and confinements once commonplace. The Zoo itself has decided that it will not acquire any elephants in the future, so that Happy will be one of the last elephants to inhabit the Zoo (Tracy Tullis, *The Bronx Zoo’s Loneliest Elephant*, NY Times, June 26, 2015, <https://www.nytimes.com/2015/06/28/nyregion/the-bronx-zoos-lonliest-elephant.html>). In 2015, the Ringling Brothers Barnum & Bailey Circus announced it would cease using elephants in its acts by 2018 (Richard Pérez-Pea, *Elephants to Retire From Ringling Brothers Stage*, NY Times, Mar. 5, 2015, <https://www.nytimes.com/2015/03/06/us/ringling-brothers-circus-dropping-elephants-from-act.html>). The circus shut its operations entirely in 2017, and just about a month ago announced that it would return, but with no animals whatsoever as part of the show (Sarah Maslin Nir, *Ringling Circus Is Returning*.

Lions, Tigers and Dumbo Are Not, NY Times, May 18, 2022, <https://www.nytimes.com/2022/05/18/arts/ringling-circus-returning.html>). Even if the circus made its decision because potential customers think it cruel to see an elephant doing tricks, the views of those potential customers are shaped by a better understanding of elephants. The law has reflected those evolving social norms. Today, a pediatrician who suspects that a child has been abused must report her suspicion; a veterinarian who suspects that an animal has been abused must do the same; and the abusers of either are subject to criminal prosecution.

The question presented by Happy's case—whether she should be able to challenge the conditions of her confinement through a writ of habeas corpus—arises within our country's history of evolving norms and knowledge about animals. Those evolving norms and our deepening understanding about animals, along with legal developments that reflect them, provide the essential context for deciding this case.

B.

As the Zoo's treatment of Mr. Benga illustrates, however, comparisons between animals and enslaved and non-white people have been used perniciously. Those comparisons have occurred in at least two ways: first, non-white and enslaved people were directly equated with animals in ways that justified oppression or enslavement, and second, animal rights advocates have likened animal captivity to human enslavement and the violence of colonization in ways that, intentionally or not, further dehumanize non-white and indigenous people. The first comparison shocks our conscience today. The second comparison trivializes the particular, acute and morally destitute nature of human slavery, distracting from more nuanced and helpful reflections on the insight that slavery and colonization may have for other kinds of subordination.

Any discussion of slavery in the context of animal rights demands an acknowledgment of our country's reprehensible history of denying the humanity of racial minorities. I opened with a small fragment of the outrageous story of Mr. Benga, whom the Zoo placed on display in a cage with an orangutan (see Pamela Newkirk, *Spectacle: The Astonishing Life of Ota Benga* 26 [2015]). Mr. Benga's confinement, which should enrage us today, was welcomed as an opportunity for visitors to see a Black man deemed less human than the gawking white

visitors, at least some of whom felt uneasy with the display (*id.* at 9). When Mr. Benga was first exhibited, at the 1904 St. Louis World's Fair along with other people from his part of the Congo, the Fair also included a miniature village filled with people from the Philippines, whom newspapers of the day described as "savages" comparable to monkeys (see *How a Monkey Got In: Was Mistaken for One of the Igorrote Babies*, Wash Post, May 2, 1904 at 5; Henry Grady, *Philippine Village—Startling Exhibit at Fair: Igorrotes in Native Attire, Celebrate Holidays by Diet of Dog Meat; Strange Customs and Queer Practices*, Atlanta Const, July 3, 1904 at B5). That historical practice of equating non-white people to animals was pervasive. Indeed, the practice—termed "animalization" by some—was used to justify the slavery of Africans and people of African descent and avoid any emotional empathy white society might feel for the people whose liberty it stole (see Luis C. Rodrigues, *White Normativity, Animal Advocacy, and PETA's Campaigns*, 20 *Ethnicities* 71, 77 [2020]).

Advocacy by organizations pushing for animal rights has at times drawn comparisons to human slavery that exacerbate the "animalization" of non-white people. In 2005, the People for the Ethical Treatment of Animals (PETA) ended a campaign due to criticism of its alleged comparisons between the treatment of enslaved Black people and animals (Angela Harris, *Should People of Color Support Animal Rights?*, 5 *J Animal L* 15, 18-19 [2009]). The campaign provoked a response from the NAACP, which inquired, "Is PETA saying that as long as animals are butchered for meat, racists should continue lynching Black people?" (*id.* at 19).¹¹ Such advocacy evoked harmful stereotypes of racially oppressed communities as less-than-human (see *id.*), making members of those communities hesitant to join advocacy efforts on behalf of animals (see Harris, *supra* at 24-27).

11. PETA's messaging frequently contained comparisons of animals to non-white humans. In 2005, PETA announced an exhibit it would bring to Los Angeles on "Animal Liberation" (Angela Harris, *Should People of Color Support Animal Rights?*, 5 *J Animal L* 15, 21 [2009]). The exhibit would juxtapose images of cruelty to humans that was once accepted by society with images of current cruelty to animals that society condoned (*id.* at 21). Other PETA exhibits include one titled "Are Animals the New Slaves?" (Luis C. Rodrigues, *White Normativity, Animal Advocacy, and PETA's Campaigns*, 20 *Ethnicities* 71, 74 [2020]). PETA once displayed a photo of a Black man being lynched beside an image of a cow hanging upside down by its feet mid-slaughter (*id.*).

The comparisons drawn between animals and enslaved and non-white people—evident from early American history through PETA’s campaigns in the twenty-first century—require great caution in articulating rights of animals. Discussions that involve both animal rights and racial oppression should not equate the suffering of animals with the suffering of enslaved, colonized or subjugated humans. Scholars who have criticized animal rights activists’ harmful messaging have also identified a path forward, offering alternative bases for supporting animal rights in anti-racist ways. Those alternative bases include a framework oriented against subordination broadly within the industrialization of our economy, as well as a lens drawing from the heritage of positive animal treatment in indigenous communities prior to colonization (*id.* at 28-29).

Most importantly, by moving away from questions of animal “personhood”—through a clear statement that animals are not humans—we can focus on questions about our capacity for empathy toward other beings and the expansion of the rights we have granted them, while also avoiding comparisons that have harmful racial-coding and dehumanizing effects (*see id.* at 31-32). Frederick Douglass, once enslaved himself, explained that “[t]here is no denying that slavery had a direct and positive tendency to produce coarseness and brutality in the treatment and management of domestic animals, especially those most useful to the agricultural industry” (Frederick Douglass, Address Delivered at the Third Annual Fair of the Tennessee Colored Agricultural and Mechanical Association 12-13 [1873]). Douglass urged his audience that “[i]t should be the study of every farmer to make his horse his companion and friend, and to do this, there is but one rule, and that is, uniform sympathy and kindness” (*id.* at 13). He specifically pointed to the similarities between animals and humans:

“A horse is in many respects like a man. He has the five senses, and has memory, affection and reason to a limited degree. When young, untrained and untamed, he has unbounded faith in his strength and fleetness. He runs, jumps and plays in the pride of his perfections. But convince him that he is a creature of law as well as of freedom by a judicious and kindly application of your superior power, and he will conform his conduct to that law, far better than your most law-abiding citizen” (*id.*).

The Great Writ’s purpose calls for exactly that: a judicious and kindly application of superior power.

IV.

The law, at its core, reflects normative judgments about the behaviors we want to allow, encourage, discourage or prohibit. In this way, the law reflects our society's values and aspirations. Criminal law, for example, delineates the conduct we deem most harmful and the penalties for engaging in those acts. Our law of contracts reflects how we think people or organizations should engage and make promises with one another and the circumstances in which such promises will be enforced. Our law of torts reflects which acts are wrongful or infringe on someone's rights and give the harmed person a civil remedy, usually through damages.

Because the law reflects our society's values, the law inevitably changes as those values change. Indeed, *to change* is a function of the law: "Law must be stable, and yet it cannot stand still" (Roscoe Pound, *Interpretations of Legal History* 1 [1923]). It is impossible for the law to remain static; as society changes, the law accommodates those changes, at minimum considering how the law as it exists applies to novel situations and changes in society, and sometimes shedding ancient decisions or creating new legal doctrines to accommodate new knowledge, beliefs and challenges. The law and social norms, then, are constantly in conversation with one another; oftentimes changes in social norms lead to changes in the law; other times, the law changes in attempt to adjust the prevailing social norms. "The moral code of each generation, this amalgam of custom and philosophy and many an intermediate grade of conduct and belief, supplies a norm or standard of behavior which struggles to make itself articulate in law. . . . The same pressure is at work in making the law declared by the Courts" (Benjamin N. Cardozo, *The Paradoxes of Legal Science* 17 [1928]).

As its history shows, the writ of habeas corpus was used flexibly to address myriad situations in which liberty was restrained. It is a common-law writ and, although different in the respect that the legislature cannot alter its scope, its judicial implementation mirrors the path generally used by courts to adapt the common law and conform it to present times. In that regard, habeas corpus is just one example of how courts alter conduct as societal needs, values and aspirations evolve.

The decisions of our Court during the time of Chief Judge Cardozo have long been used as textbook illustrations of how a

court changes the common law to adapt it to the changed needs and wants of society, without waiting for a legislature to act. A prime illustration is *MacPherson v Buick Motor Co.* (217 NY 382 [1916]), described by Chief Judge Judith Kaye as an opinion that “breathes with the elasticity and forward progress of the common law” (Judith S. Kaye, *Benjamin Nathan Cardozo*, Historical Society of the New York Courts, <https://history.nycourts.gov/biography/benjamin-nathan-cardozo/> [accessed June 3, 2022]). In *MacPherson*, our Court considered a negligence claim raised by a driver against a manufacturer of automobiles (217 NY at 384-385). Under long-standing common law, the plaintiff could not sue the manufacturer of the defective wheel that caused the accident because the plaintiff was not “in privity” with the wheel manufacturer—that is, they had no business relationship. Citing the limited exceptions to the privity rule, involving inherently dangerous items like “poisons, explosives, [and] deadly weapons” (*id.* at 387), Judge Cardozo extracted from those the broader principle that “[i]f the nature of a thing is such that it is reasonably certain to place life and limb in peril when negligently made, it is then a thing of danger” and if the manufacturer has “added knowledge that the thing will be used by persons other than the purchaser,” then irrespective of privity, “the manufacturer of this thing of danger is under a duty to make it carefully” (*id.* at 387-389). Applying that new rule to the *MacPherson* plaintiff’s case, the Court held that the defendant manufacturer owed the plaintiff a duty, as “the nature of an automobile gives warning of probable danger if its construction is defective” and because the manufacturer “knew . . . that the car would be used by persons other than the buyer” (*id.* at 390-391). In adapting the common law Judge Cardozo “plow[ed] through a line of cases generally recognized as exceptions to the general no-liability-without-privity rule” to create a new principle: “Foresight of danger creates a duty to avoid injury” (Judith S. Kaye, *Benjamin Nathan Cardozo*, *supra*). Judge Cardozo famously explained how societal changes require modification of the common law:

“Precedents drawn from the days of travel by stage coach do not fit the conditions of travel to-day. The principle that the danger must be imminent does not change, but the things subject to the principle do change. They are whatever the needs of life in a developing civilization require them to be” (*MacPherson*, 217 NY at 391).

Numerous other cases showcase that same innovation to meet current needs and understandings. For example, in *Wood v Duff-Gordon* (222 NY 88 [1917]), one of the “most significant contract cases” (Historical Society of the New York Courts, *There Shall Be a Court of Appeals* 60 [1997], https://history.nycourts.gov/wp-content/uploads/2018/11/History_COA-Kaye-There-Shall-Be.pdf), Judge Cardozo held that the promise to undertake and perform the terms of a contract may be implied even if not expressly included in the contract (222 NY at 91). In so holding, he observed that “[t]he law has outgrown its primitive stage of formalism when the precise word was the sovereign talisman, and every slip was fatal” (*id.*). Instead, “[i]t takes a broader view today”: “A promise may be lacking” by the express terms of a contract, “and yet the whole writing may be ‘instinct with an obligation,’ imperfectly expressed. If that is so, there is a contract” (*id.* [citations omitted]). In *Palsgraf v Long Is. R.R. Co.* (248 NY 339 [1928]), “[p]erhaps the most famous torts opinion written during the 20th century” (*There Shall Be a Court of Appeals, supra* at 66), Chief Judge Cardozo clarified that in negligence actions, “[t]he risk reasonably to be perceived defines the duty to be obeyed, and risk imports relation; it is risk to another or to others *within the range of apprehension*” (*Palsgraf*, 248 NY at 344 [emphasis added]). *Palsgraf* moved negligence common law away from a strict analysis of proximate cause between harm and injury. His decision arose in the context of increasing industrialization, high accident rates and “competing paradigms of liability” (William E. Nelson, *Palsgraf v. Long Island R.R.: Its Historical Context*, 34 Touro L Rev 281, 286 [2018]), responding to the need for clarity in the law given the changes in society.

Even recently, we have recognized our duty to adapt the common law to present circumstances, without waiting for the legislature. Just last year, in *Greene v Esplanade Venture Partnership* (36 NY3d 513 [2021]), we adjusted the common law in response to changed notions on what it means to be part of a family. For several decades, during which the legislature had not acted, the common law restricted persons within the “zone of danger” when another was killed or injured, who could recover for emotional distress, to plaintiffs who belonged to the victim’s immediate family. Although existing case law denied recovery to a woman who had been raised by her aunt, we expanded the definition of “immediate family” to include grandparents, pointing to the “increasing legal recognition of

the special status of grandparents, shifting societal norms, and common sense,” allowing the grandmother to recover for her emotional distress (*id.* at 516).

Our Court has a long and distinguished history of adapting the common law to reflect new knowledge, changed beliefs and economic and social transformations. “During its first 150 years, the New York Court of Appeals has had more impact on more areas of law than any other court in the United States” (*There Shall Be a Court of Appeals, supra* at 56). We “act in the finest common-law tradition when we adapt and alter decisional law to produce common-sense justice” (*Woods v Lancet*, 303 NY 349, 355 [1951]). Not all change can or should come from the legislature; we “abdicate our own function, in a field peculiarly nonstatutory, when we refuse to reconsider an old and unsatisfactory court-made rule” (*id.*). Indeed,

“[h]ardly a rule of today but may be matched by its opposite of yesterday. . . . These changes or most of them have been wrought by judges [who] . . . used the same tools as the judges of today. . . . The result . . . has been not merely to supplement or modify; it has been to revolutionize and transform” (Benjamin N. Cardozo, *The Nature of the Judicial Process* 26-28 [1921]).

In *Hynes v New York Cent. R.R. Co.* (231 NY 229 [1921]), Judge Cardozo considered whether a railroad company could be liable for the death of a boy who jumped from a plank or springboard projecting from the company’s bulkhead above a river—a practice common among boys swimming in the area. In ruling in favor of the boy, Judge Cardozo criticized the arguments raised by the railroad company:

“Liability, it is said, has been escaped because the pole was horizontal. The plank when projected lengthwise was an extension of the soil. We are to concentrate our gaze on the private ownership of the board. We are to ignore the public ownership of the circumambient spaces of water and of air. Jumping from a boat or a barrel, the boy would have been a bather in the river. Jumping from the end of a springboard, he was no longer, it is said, a bather, but a trespasser on a right of way.

“Right and duties in systems of living law are not built upon such quicksands” (*id.* at 233).

The judges, Justice Paine among them, who issued writs of habeas corpus freeing enslaved persons, or liberating women and children from households run by abusive men, or ordering the return home of underage soldiers could have said, as the majority does here, “that’s a job for the legislature.” They could have said, “existing law offers some protections, and we dare not do more.” They could have said, “we can’t be the first.” But they did not. None of those declamations is remotely consistent with our Court’s history, role or duty. Where would we or Judge Cardozo be, had he declined to act for any of those reasons? The Great Writ’s use, as a case-by-case tool to probe whether the law may need to adapt, is part of the fundamental role of a common-law court to adapt the law as society evolves.

V.

Supreme Court denied Happy’s petition for a writ of habeas corpus on the ground that it was bound by Appellate Division law holding that animals have no rights because they cannot bear responsibilities. If they have no rights, they have nothing to enforce by habeas corpus. As discussed above, that legal proposition is erroneous. The next question is, what is the standard to be used to determine whether Happy has made out a prima facie case in her petition, which would entitle her to a determination of her petition on the merits? In other words, did Happy present sufficient information through her complaint and supporting affidavits to entitle her to a full hearing? The ultimate question—should Happy be granted a transfer out of the Zoo and into a residence better suited to her needs—is not before us. Supreme Court did not attempt to resolve disputed issues of fact, but instead dismissed the case as a legal impossibility. I would hold that Happy has sufficiently stated a prima facie case entitling her to a hearing, and remit for Supreme Court to weigh the evidence, resolve conflicting issues and render a merits decision.

A.

Happy’s habeas petition should not have been summarily dismissed. As I discussed earlier, the dismissal of her petition was based on an erroneous Appellate Division decision that said habeas corpus in New York was restricted to humans because only humans can hold rights. The prior sections of my writing underscore that habeas is not so limited and instead has always been used to challenge confinement at the bounda-

ries of evolving social norms, even by petitioners with the legal status of chattel (enslaved persons) or no legal identity or capacity to sue on their own (wives and children).

As a threshold matter, we must review Happy's case under the liberal standard of review afforded to cases that are appealed from motions to dismiss (CPLR 3211 [a] [7]). Thus, we must "accept the facts as alleged in [Happy's] complaint [and supporting affidavits] as true" and accord Happy "the benefit of every possible favorable inference" (*Leon v Martinez*, 84 NY2d 83, 87-88 [1994]; *Morone v Morone*, 50 NY2d 481, 484 [1980]; *Rovello v Orofino Realty Co.*, 40 NY2d 633, 634 [1976]).

To begin, Supreme Court did make a factual finding, undisturbed by the Appellate Division, that "Happy is an extraordinary animal with complex cognitive abilities, an intelligent being with advanced analytic abilities akin to human beings" (2020 NY Slip Op 35291[U], *16 [Sup Ct, Bronx County, Feb. 18, 2020]).

Next—taking the information Happy has submitted as true, and granting every possible reasonable inference in her favor—what do we know about her? We know that Happy is a 48-year-old Asian elephant who was captured in the wild and brought to the United States when she was just one year old. She arrived at the Bronx Zoo in 1977, along with an elephant named Grumpy. Happy was on display for visitors, gave some of them rides and participated in "elephant extravaganzas." She lived with Grumpy for a long 25 years, but after the Zoo had Happy and Grumpy live with two other elephants, Patty and Maxine, in the same exhibit, those two elephants attacked Grumpy. Grumpy was so severely injured that the Zoo decided to euthanize her. The Zoo then separated Happy from Patty and Maxine, who had attacked her companion. They later introduced Sammie, a younger female Asian elephant, into Happy's part of the exhibit, but Sammie's severe liver disease led to the Zoo euthanizing her as well. Ever since Sammie died in 2006, Happy has been living alone at the Bronx Zoo, in a one-acre enclosure.

Accepting as true the (largely unchallenged) expert affidavits submitted on behalf of Happy, we also know that Happy and elephants like her "possess complex cognitive abilities" of a great number. Among those myriad qualities and abilities include "autonomy; empathy; self-awareness; self-determination; theory of mind (awareness that others have

minds); insight; working memory; [and] an extensive long-term memory that allows them to accumulate social knowledge.” They are able to “act intentionally and in a goal-oriented manner,” “understand the physical competence and emotional state of others,” “engage in true teaching,” “cooperate and build coalitions,” engage in “cooperative” and “innovative problem-solving,” “understand causation,” and engage in “intentional communication.” They have “complex learning and categorization abilities,” and they understand death, practicing grieving behaviors that “are akin to human responses to the death of a close relative or friend” when they have lost a companion.

Happy herself is the first elephant to pass the “mirror self-recognition-test,” meaning she was able to recognize her reflection in the mirror as herself. Passing that test is “thought to correlate with higher forms of empathy and altruistic behavior.” Those qualities suggest Happy has a level of autonomy, intelligence and understanding that could make suffering particularly acute. She knows that Grumpy died, she understands that her life progresses sequentially, and she is aware that she is alone.

Next—again taking the information Happy has submitted as true, and granting every possible reasonable inference in her favor—what do we know about her confinement? We know that elephants are “social species who suffer immensely when confined in small spaces and deprived of social contact with other members of their species.” Isolation leads to depression, boredom, aggression, and a failure to thrive, and human caregivers cannot substitute for the complex relationships that elephants like Happy are able to build with peers from their own species. Bolstering the scientific research, videos of Happy show her engaging in just five activities or behaviors: dusting, grazing on grass, standing and facing the fence or gate, swinging her trunk, and standing with one or two feet lifted off the ground, which could possibly be to ease the weight off painful, diseased feet. Of those five activities, only two—dusting and eating grass—are considered normal. In the wild, elephants are active more than 20 hours a day, traversing miles and miles to feed themselves, to find friends and to mate. When they are confined, they can develop arthritis and osteoarthritis. The favorable inference to draw, then, is that Happy’s habitation at the Bronx Zoo—a living environment that has kept her without any engagement with other elephants since 2006 and that is a miniscule fraction of the size of elephants’ typical environ-

ments—is causing her deep physical and emotional suffering because it is so unnaturally different from conditions that meet the needs of elephants (see Martha C. Nussbaum, *Working with and for Animals: Getting the Theoretical Framework Right*, 94 Denv L Rev, 609, 624 [2018] [“Each creature, then, deserves ethical consideration for what it is, and a kind of constitution that specifies what harms it should not be permitted to suffer—not in terms of its likeness to humans or its possession of some least-common-denominator property, but in terms of what it is itself, the form of life it leads”]).

Finally, given what the information Happy has submitted reveals about how she experiences the world as an elephant and about her environment at the Bronx Zoo, has Happy made a prima facie showing of possible unjust confinement that grants her a full hearing to decide the merits of her habeas petition? She has. If we accept all of the information as true, Happy is a being with highly complex cognitive, social and emotional abilities. She has self-awareness, social needs and empathy. She also comes from a wild, highly social species whose bodies and minds are accustomed to traversing long distances to connect with others and to find food. Happy has established a prima facie case that her confinement at the Bronx Zoo stunts her needs in ways that cause suffering so great as to be deemed unjust.

The majority is gravely concerned that allowing Happy to have her habeas corpus petition adjudicated on the merits “would have an enormous destabilizing impact on modern society” (majority op at 573). The majority worries that allowing Happy to invoke habeas corpus would risk the “disruption of property rights, the agricultural industry (among others), and medical research efforts” and “followed to its logical conclusion . . . call into question the very premises underlying pet ownership, the use of service animals, and the enlistment of animals in other forms of work” (*id.* at 573-574). Certain amici have contended that allowing Happy to present the merits of her habeas corpus claim would end dairy farming, result in neighbors filing habeas petitions to free domestic dogs and cats, and put children with ant farms to the task of responding to habeas petitions in court. These scenarios are so facially preposterous that they hardly deserve a response; it is also difficult to know which of many possible responses to offer.

First, the majority’s parade of horrors would arise from “a ‘sweeping pronouncement[]’ of nonhuman animal personhood”

(*id.* at 575). But I reiterate: Happy is not a person. Happy is an elephant. Elephants do have an interest in liberty and have been granted rights against inhumane treatment. Whatever rights and interests Happy may have do not tell us anything about the rights my dog has. The majority complains that granting legal personhood and liberty rights to Happy “would not be an incremental step in ‘the slow process of decisional accretion’” regarding the scope and flexibility of the writ of habeas (*id.* at 575), but granting a single elephant—not the whole animal kingdom—the right to a full hearing on a writ of habeas corpus is about as incremental as one can get.

Second, Happy is not a domestic animal; she is a wild animal. A domestic animal would not be able to make out a sufficient *prima facie* showing, principally because domestication is part of its makeup, and domestication implies confinement. In the case of domestic animals, by definition, their habitation with their owners is something aligned with their genetic dispositions (*see* Natasha Daly, *Domestic Animals, Explained*, Natl Geographic, July 4, 2019, available at <https://www.nationalgeographic.com/animals/article/domesticated-animals> [accessed June 9, 2022]; Brian Hare & Vanessa Woods, *We Didn't Domesticate Dogs; They Domesticated Us*, Natl Geographic, Mar. 3, 2013, available at <https://www.nationalgeographic.com/animals/article/130302-dog-domestic-evolution-science-wolf-wolves-human>). Domestic animals are genetically distinct from their wild ancestors or cousins, a process that takes generations of selective breeding (*see* Daly, *supra*). They are fundamentally different from animals like Happy.

Third, if an ant in an ant farm could establish the same showing that Happy has, the ant would be entitled to a hearing. But at least based on present knowledge, an ant cannot possibly make such a showing. Happy is not a human, and an ant is not an elephant. As illustrated by my analysis of whether Happy made a *prima facie* showing that a writ of habeas corpus should issue to entitle her to a merits hearing, whether a being can invoke habeas is highly case-specific. I first asked, “what does the information submitted by the petitioner tell us about the petitioner?” In Happy’s case, it showed us she is extremely cognitively complex and comes from a highly social, empathetic species of wild animals. Those qualities of elephants make them unique in the animal kingdom, meaning the answer to the question for earthworms, domesticated pets, service

animals and many animals subject to medical research, would be entirely different. The second question I asked was, “what does the information submitted by the petitioner tell us about the confinement?” In Happy’s case, it showed (in the light most favorable to her) that her habitation at the Zoo was causing extreme suffering by depriving her of social interaction with other members of her species and by significantly truncating the amount of space she typically would be able to traverse.

Fourth, common-law courts are especially good at developing doctrines to deal with slippery slopes. Proximate cause, reasonableness and foreseeability are among the many doctrines that courts use to stop principles from reaching their logical conclusions. For example, in our recent decision in *Greene* we extended to a grandmother within the zone of danger tort recovery for emotional distress. The “logical conclusion” would be that anyone suffering emotional distress from seeing or hearing about a tortious injury to anyone should be able to recover, but by employing a “within the zone of danger” test and an “immediate family member” test, we firmly controlled the slope’s slipperiness.¹²

12. The majority complains that a balancing test of rights and interests would result in a “morass of confusing case-by-case inquiries apparently to be determined by some subjective, amorphous, and evolving ‘normative’ value system” (majority op at 574)—but, as the historic and flexible use of habeas I describe in section II shows, that is exactly its character: the writs issued by the King’s Bench were indeed determined by a subjective, amorphous and evolving normative process. I do take issue with the idea that case-by-case determinations of competing rights and interests is a “morass”—it is the bread and butter of what courts do (see e.g. *Matter of Keenan v Gigante*, 47 NY2d 160, 163 [1979] [“We are called upon in this case to balance the weighty considerations of society’s right to expose criminal improprieties within the New York City Department of Correction and a priest’s solemn obligation to assist those who beckon for his guidance and help in the utmost confidence”]; *Matter of Rivera v Smith*, 63 NY2d 501 [1984] [balancing the right of free exercise of religion with the interest in prison safety]; *159 MP Corp. v Redbridge Bedford, LLC*, 33 NY3d 353, 360-361 [2019] [“(W)e may void an agreement only after ‘balancing’ the public interests favoring invalidation of a term chosen by the parties against those served by enforcement of the clause and concluding that the interests favoring invalidation are stronger”]; *Espinal v Melville Snow Contrs.*, 98 NY2d 136, 138 [2002] [“As we have often said, the existence and scope of a duty is a question of law requiring courts to balance sometimes competing public policy considerations”]; *Brown v Kingsley Books, Inc.*, 1 NY2d 177, 188-189 [1956] [“balancing the several competing interests involved” to determine obscenity]). Similarly, the majority’s complaint that a case-by-case determination would depend “on a judge’s subjective determination of where the regulator would be ‘better off’ ” (majority op at 574) is the standard our courts

The common law, of which the Great Writ is a part, determines the scope incrementally, on a case-by-case basis. “If you ask how [a judge] is to know when one interest outweighs another, I can only answer that he must get his knowledge just as the legislator gets it, from experience and study and reflection; in brief, from life itself” (Cardozo, *Nature of the Judicial Process*, *supra* at 113). Even were Supreme Court to determine that the balance favored transferring Happy to a sanctuary, that would not mean, for example, that elephants living in the San Diego Zoo’s 1,800-acre safari park, in the company of other elephants and wildlife, would succeed on the merits of a habeas petition (*see* San Diego Zoo Wildlife Alliance, San Diego Zoo Safari Park 2022 Fact Sheet, <https://sandiego-zoowildlifealliance.org/pressroom/safari-park-press-kit-fact-sheet-2022> [accessed June 9, 2022]). Each subsequent case would define the contours of the common law, whatever the result—which is the enduring genius of the common law.

Finally, allowing Happy to have a habeas corpus hearing does not mean that any other elephant would automatically be entitled to file a habeas petition and receive a full merits hearing or would prevail at one. Unlike changes to common-law doctrines wrought through civil cases, habeas corpus is inherently a case-by-case process. When the King’s Bench granted the habeas petition of James Sommersett, abolitionists cheered (Halliday, *supra* at 175). They hoped the habeas grant could lead to movement toward eradicating slavery across England; but, “they would . . . be disappointed” (*id.*). Despite the fact that thousands of people in England at that time were enslaved, “no rush for writs to release them followed” the grant in Mr. Sommersett’s case (*id.*). As “[h]abeas corpus, by its nature, could not enable a judge to declare illegal an entire system of bondage,” the following year only two enslaved persons received freedom during habeas corpus proceedings—and through settlement agreements, not through merits decisions. In other cases, judges denied the habeas petitions of enslaved people for various reasons (*id.*). Likewise, the *Lemon Slave Case* freed only the eight family members who petitioned in that case. It did not end slavery and did not produce a flood of follow-on habeas petitions. The several habeas corpus petitions freeing women from abusive husbands or

apply when determining custody overhuman children, for example, and is exactly the standard used in adjudicating writs of habeas corpus brought on behalf of children in the seventeenth and eighteenth centuries.

relocating children to better custodians also caused no great flood of filings. But if *Sommersett's Case*, the *Lemmon Slave Case* or the cases involving women and children had produced a flood of habeas petitions freeing victims of unjust confinement, would history view them with disapproval?

B.

Because I conclude that Happy is entitled to a merits hearing on her habeas corpus petition, I should address what that hearing would entail. Although Happy presented myriad information showing that her confinement is unjust, the Zoo submitted contrary information, also from experts, denying some of the claims made by Happy's experts and opining that Happy might be worse off in a sanctuary than she is now.

The Zoo submitted information to show that Happy is well taken care of in her current habitation. Her appetite, food intake, stool appearance and quantity, overall activity, and responsiveness to human keepers are monitored consistently. She receives daily baths, activities for mental and physical stimulation, and positive reinforcement training sessions. She also receives periodic blood draws, trunk washes and weigh-ins to monitor her health. She can access an outdoor space at night if she wishes. Patrick Thomas, Vice President and General Curator of the Wildlife Conservation Society (WCS) and Associate Director of the Zoo, stated that Happy is comfortable with her keepers and recognizes her surroundings as a "familiar, longstanding environment." He concluded that "suddenly taking her away from this environment and introducing entirely new surroundings without the support of her keepers could inflict long-term damage on Happy's welfare." He also stated that Happy has not responded well in the past to short, temporary moves within the Zoo. Paul P. Calle, another WCS Vice President who also serves as the Chief Veterinarian and Director of the Zoological Health Program, stated that he believes Happy is healthy and well-adapted to her environment. Dr. Calle reiterated Mr. Thomas's concerns that Happy became distressed during short moves from one part of the Zoo to another and opined that release to a sanctuary would cause "substantial stress" to Happy and pose a "serious risk to her long-term health." In response to these arguments, the Nonhuman Rights Project (on behalf of Happy) submitted other affidavits and information rebutting WCS's points and underscoring the appropriate nature of a sanctuary for Happy.

Reconciling the mass of conflicting evidence is the kind of fact-finding for which a trial court is well equipped. (Indeed, the majority's suggestion that legislatures might be better suited to this sort of fact intensive evaluation of conflicting evidence is counter to the roles of courts and legislatures.)

Once a court is engaged in a merits analysis of a habeas petition, it must undertake a normative analysis that weighs the value of keeping the petitioner confined with the value of releasing the petitioner from confinement. The value of the confinement would include not just the value of the confinement to Happy (*e.g.*, superior medical care), but also the value of the confinement to the captor and society. In Happy's case, the value of the confinement to the Zoo and to society appears low or nonexistent: the Zoo decided in 2006 that it would end its elephant program, meaning it would accept no new elephants into the Zoo. That decision strongly suggests that, whereas the value to the Zoo and society in displaying an elephant might have been substantial long ago, today that value is negligible, while at the same time (and relatedly), our appreciation for the fundamental qualities, abilities and needs of elephants has led us to understand the damage done to them by confinement in close, companionless quarters.

VI.

Each of the following propositions is firmly established in the legal history of the Great Writ. Even were Happy chattel—which she is not—the writ may be used to address confinement of living beings deemed chattel. The fact that Happy is an animal does not prevent the law from granting rights to her. That positive law already provides Happy some rights does not restrain the writ. That positive law says the Zoo has control over Happy does not restrain the writ. That Happy cannot be released, but seeks transfer to a more suitable custodial situation, does not render the writ unavailable. That Happy would be the first animal able to test confinement by a writ of habeas corpus in our country does not render the writ unavailable. Allowing Happy to proceed by habeas corpus would not destabilize modern society; it would not even guarantee Happy's transfer, would not entitle any other elephant's release or transfer, and would not entitle any other type of animal to proceed by habeas corpus.

Those propositions establish that our Court could reverse and allow Happy to proceed by writ of habeas corpus—that the

various rationales offered by the majority for affirming are wrong. Why we should reverse is a different question. The simplest answer is because the legal basis for denying the writ—that animals cannot have rights because they cannot bear responsibilities—is wrong. When a decision below has been made under an incorrect legal standard, that alone is sufficient to require reversal and remittal.

The fuller answer is that the evidence tendered by Happy demonstrates that Happy has very substantial cognitive, emotional and social needs and abilities, and that those qualities coupled with the circumstances of her particular confinement establish a *prima facie* case that her present confinement is unjust. That showing is consistent with the kind of showings made by abused women and children and enslaved persons. That does not mean Happy would prevail; the Zoo has raised substantial arguments, coupled with competing evidence, that the proposed transfer would be harmful to Happy. We are not a fact-finding court, and I would not presume that we should decide Happy's fate, but we should hold that she has a right to have a fact-finding court determine it.

The fullest answer, though, is that we should recognize Happy's right to petition for her liberty not just because she is a wild animal who is not meant to be caged and displayed, but because the rights we confer on others define who we are as a society. Our erudite colleague, Judge Eugene Fahey, asked: "Does an intelligent nonhuman animal who thinks and plans and appreciates life as human beings do have the right to the protection of the law against arbitrary cruelties and enforced detentions visited on him or her?" (*Lavery*, 31 NY3d at 1058). When the majority answers, "No, animals cannot have rights," I worry for that animal, but I worry even more greatly about how that answer denies and denigrates the human capacity for understanding, empathy and compassion.

RIVERA, J. (dissenting).

"The issue whether a nonhuman animal has a fundamental right to liberty protected by the writ of habeas corpus is profound and far-reaching. It speaks to our relationship with all the life around us" (*Matter of Nonhuman Rights Project, Inc. v Lavery*, 31 NY3d 1054, 1059 [2018, Fahey, J., concurring]).

"An animal undoubtedly is a sentient being. It has

emotions and can feel pain or joy. By nature each species has its own natural habitat. They require distinct facilities and environments for their behavioural, social and physiological needs. This is how they have been created To separate an elephant from the herd and keep it in isolation is not what has been contemplated by nature. Like humans, animals also have natural rights which ought to be recognized. It is a right of each animal, a living being, to live in an environment that meets the latter's behavioral, social and physiological needs" (*Islamabad Wildlife Mgmt. Bd. v Metropolitan Corp. Islamabad*, Islamabad High Ct, Pakistan, May 21, 2020, Athar-Minallah, C.J., W.P. No.1155/2019, slip op at 59).

Happy, an Asian elephant, has been held in captivity at the Bronx Zoo for decades. She is on display for the Zoo's visitors, who observe her from above while riding the Zoo's monorail. When they spot her, Happy likely stands nearly still, staring, swaying slightly, lifting and lowering one foot (see Jill Lepore, *The Elephant Who Could be a Person*, Atlantic, Nov. 16, 2021, <https://www.theatlantic.com/ideas/archive/2021/11/happy-elephant-bronx-zoo-nhrp-lawsuit/620672/>). The Zoo has called this ride the "Wild Asia Monorail" and promises that it will take patrons "into the heart of the Asian wilderness" (Bronx Zoo, *Wild Asia Monorail*, <https://bronxzoo.com/things-to-do/exhibits/wild-asia-monorail-seasonal> [last visited June 3, 2022]). This is, quite simply, a fantasy. Visitors will not observe Happy in anything remotely resembling her natural environment. She does not, as she would in the wild, roam free with the other members of her herd—consisting of her mother, sisters, cousins, and potentially grandmothers—in Thailand, where she was born. She cannot—as is the common practice for the herd from which she was taken when she was a baby calf—spend the vast majority of her waking hours traversing significant distances with her family to exercise, forage, and socialize (see World Wildlife Fund, *Asian Elephant*, <https://www.worldwildlife.org/species/asian-elephant> [last visited June 3, 2022] [describing Asian elephants as "extremely sociable, forming groups of six to seven related females that are led by the oldest female, the matriarch," who "spend up to 19 hours a day feeding . . . while wandering around an area that can cover up to 125 square miles"]).

The Zoo instead confines her in a one-acre indoor “elephant barn”—the same area that a human, walking at a moderate pace, would cross in about 30 seconds. Happy has limited access to an even smaller, walled outdoor area. Happy has outlived the other elephants that were similarly brought to this miserable existence, with one exception. The two are kept separated, though the Zoo permits them to occasionally touch trunks through the bars of their enclosures. Any myth that Happy is content in this environment is laid bare by the cruel reality of her existence. Day in and day out, Happy is anything but happy. There lies the rub—Happy is an autonomous, if not physically free, being. The law has a mechanism to challenge this inherently harmful confinement, and Happy should not be denied the opportunity to pursue and obtain appropriate relief by writ of habeas corpus. I dissent.

I.

Not long ago, Judge Fahey presciently declared that we would eventually have to answer the question now squarely presented in this appeal: Can a nonhuman animal be entitled to release from confinement through the writ of habeas corpus? (*Lavery*, 31 NY3d at 1056 [Fahey, J., concurring]). The instant petition seeks Happy’s release from the Zoo and her transfer to an elephant sanctuary. But the appeal is not solely about Happy and her interests—although it is her body and her freedom at stake. We are here presented with an opportunity to affirm our own humanity by committing ourselves to the promise of freedom for a living being with the characteristics displayed by Happy. We are asked to recognize that the writ may be invoked because Happy is a sentient being, who feels and understands, who has the capacity, if not the opportunity, for self-determination. That recognition means that a court may consider whether to issue the writ because it is unjust to continue Happy’s decades-long confinement in an unnatural habitat where she is held for the sole purpose of human entertainment. We cannot elide the question of Happy’s legal rights and the use of the writ by a nonhuman animal with empty references to her “dignity” and “intelligen[ce]” (*see* majority op at 565-566, 576). A gilded cage is still a cage. Happy may be a dignified creature, but there is nothing dignified about her captivity.

In response to the question posed in this appeal and by Judge Fahey, I conclude that history, logic, justice, and our humanity

must lead us to recognize that if humans without full rights and responsibilities under the law may invoke the writ to challenge an unjust denial of freedom, so too may any other autonomous being, regardless of species. Such an autonomous animal has a right to live free of an involuntary captivity imposed by humans, that serves no purpose other than to degrade life.

II.

The writ of habeas corpus has its roots in the common law and predates the jurisprudential history of the original colonies. The writ is “the bulwark of the Constitution, the *magna charta* of personal rights” (*People ex rel. Tweed v Liscomb*, 60 NY 559, 568 [1875]). Its etymology is Latin, deriving, as relevant here, from the longer phrase “*habeas corpus ad subjiciendum*”; its literal translation is “that you have the body to submit to,” in the sense of producing the person held in captivity for judicial examination (Black’s Law Dictionary [11th ed 2019], habeas corpus). The words are a command to the jailer. Thus, habeas corpus is a means of challenging, in court, some form of detention, and its essential purpose is to protect the right to liberty. The historical predecessor of federal and state habeas corpus is reverently called the Great Writ—a title we ascribe to modern conceptions of various writs of habeas corpus in recognition of the nobility of the fundamental promise of freedom protected by legal process. The title is well deserved, as the Great Writ ensures the fundamental right to be free from unjust imprisonment by requiring judicial review of the proffered justification for confinement. A court persuaded that the confinement is unjust must order immediate release of the body held.

I agree with Judge Wilson’s comprehensive analysis of the availability of the writ of habeas corpus to present Happy’s cause in our courts. As Judge Wilson explains, the majority incorrectly asserts that there is no legal precedent to recognize a nonhuman animal’s right to habeas relief—although as my colleague states, even if true, that would be irrelevant, since novel questions merely present opportunities to develop the law (see Wilson, J., dissenting op at 613-617; see also majority op at 570-571). My colleague’s historical recitation of the judicial use of habeas corpus is both thorough and compelling, and I write to emphasize my view that prior decisions do not foreclose Happy’s petition and instead compel our acknowledgment of the availability of the writ to a nonhuman animal to challenge an alleged unjust confinement.

The human/nonhuman binary relied upon by the majority depends on a “rights and duties” framework that has no support in the historical application of the writ (*see generally People ex rel. Nonhuman Rights Project, Inc. v Lavery*, 124 AD3d 148, 150-152 [3d Dept 2014], *lv denied* 26 NY3d 902 [2015]). Indeed, the writ has not been limited to humans solely on the grounds that humans have rights and, in some cases, bear duties. Notwithstanding our country’s tortured history of oppression and subjugation based on race, gender, culture, national origin, and citizenship, the writ has long been available to those whose humanity was never fully recognized by law. An African enslaved by whites was mere “chattel” property without rights of self-determination, but our Court, and others of this state, recognized that the writ still applied within this framework of legal white supremacy (*see Lemmon v People*, 20 NY 562 [1860]; *In re Belt*, 20 Edm Sel Cas 93 [Sup Ct, NY County 1848]; *In re Kirk*, 1 Edm Sel Cas 315 [NY Sup Ct 1846]; *see also Somerset v Stewart* [1772] 98 Eng Rep 499 [KB]). When women were legally subservient to their husbands, subject to violence without legal recourse, women could seek relief under the writ in common-law courts, even though, under the dominant patriarchal legal system, they were denied the full rights granted to men and were absolved of certain legal duties (*see generally* Elizabeth Foyster, *At the Limits of Liberty: Married Women and Confinement in Eighteenth-Century England*, 17 *Continuity & Change* 39 [2002] [detailing how, despite the legal doctrine of coverture which subsumed a woman’s legal personhood into that of her husband, women nonetheless resorted to writs of habeas corpus to seek release from confinement in their abusive husbands’ homes or private insane asylums]). When certain Indigenous people sought to contest the legality of their arrest, following an attempted return to their traditional homelands, the writ of habeas corpus permitted them to secure their liberty—notwithstanding the federal government’s argument that Native Americans were not “persons” under the law (*see United States ex rel. Standing Bear v Crook*, 25 F Cas 695, 697 [CCD Neb 1879, No. 14,891]). We afford legal protections to those unable to exercise rights or bear responsibilities, such as minors and people with certain cognitive disabilities (*see People ex rel. Wehle v Weissenbach*, 60 NY 385 [1875]; *Matter of Brevorka ex rel. Wittle v Schuse*, 227 AD2d 969 [4th Dept 1996]).

Although not true for all nonhuman animals, there are some with advanced cognitive skills, who display self-determinative

behavior, with an awareness of death and a capacity to grieve. These animals are autonomous beings. If an enslaved human being with no legal personhood (*see Somerset*, 98 ER 499), a Native American tribal leader whom the federal government argued could not be considered a person under law (*see United States ex rel. Standing Bear*, 25 F Cas 695), a married woman who could be abused by her husband with impunity (*see Foyster*), a resident of Puerto Rico who is a United States citizen deprived of full rights because of Puerto Rico's colonial status (*Boumediene v Bush*, 553 US 723, 756-757 [2008] ["In a series of opinions later known as the Insular Cases, the Court addressed whether the Constitution, by its own force, applies in any territory that is not a State . . . (and) held that the Constitution has independent force in these Territories, a force not contingent upon acts of legislative grace"]; *Cruz-Berrios v Borrero*, 2020 WL 12814753, 2020 US Dist LEXIS 62848 [D PR, Mar. 30, 2020, No. 14-1232, Delgado-Colón, J.]), and an enemy combatant as defined by the federal government (*see Boumediene*, 553 US 723) can all seek habeas corpus relief, so can an autonomous nonhuman animal.¹ Indeed, if a corporation—a legal fiction created to benefit some humans—can have constitutional rights protected in our courts, then the law can recognize an autonomous animal's right to judicial consideration of their claim to be released from an unjust captivity.²

1. That such individuals were able to make use of the writ of habeas corpus is particularly remarkable, given that their humanity was so roundly, routinely, and grotesquely diminished by the courts of this country, both within and without the context of habeas corpus (*see e.g. Dred Scott v Sandford*, 60 US 393, 407 [1857] [describing those of African origin "as beings of an inferior order, and altogether unfit to associate with the white race, either in social or political relations; and so far inferior, that they had no rights which the white man was bound to respect"]; *Johnson's Lessee v McIntosh*, 8 Wheat [21 US] 543, 590 [1823] [denying Native Americans title to their traditional homelands, in part, on a theory that "the tribes of Indians inhabiting this country were fierce savages, whose occupation was war, and whose subsistence was drawn chiefly from the forest. To leave them in possession of their country, was to leave the country a wilderness"]; *People v Hall*, 4 Cal 399, 404-405 [1854] [denying individuals of Chinese origin the right to testify against whites because the former were "a race of people whom nature has marked as inferior, and who are incapable of progress or intellectual development beyond a certain point, as their history has shown; differing in language, opinions, color, and physical conformation; between whom and ourselves nature has placed an impassable difference"]).

2. The majority's attempt to distinguish corporations is unpersuasive (*see* majority op at 572-573). Corporations are not natural persons, and so the law acknowledges the obvious: you cannot lock up a corporation for violations of

(n. cont'd)

To be clear, I do not place nonhuman animals like Happy on equal footing with humans. Science and history establish that human beings' cognitive abilities far surpass those of nonhuman animals. The question is whether the writ can be invoked on behalf of a confined, nonhuman animal who is autonomous, notwithstanding human beings' generally superior intellect. As Judge Fahey so eloquently explained, "in elevating our species, we should not lower the status of other highly intelligent species" (*Lavery*, 31 NY3d at 1057).

For purposes of my legal analysis, I refer to humans who were denied full rights under the law to demonstrate the flexibility of the historical uses of the writ, and, in so doing, I do not undermine in any way the dignity of those individuals or diminish their struggles for equality and the right to live free. As Judge Wilson discusses, comparisons between animals and humans are fraught with the potential to ignore the ways that those comparisons have denied the dignity and personhood of people of color (*see* Wilson, J., dissenting op at 610-612) and individuals with disabilities. The legal and moral point of that analysis is that the Great Writ serves to protect against unjust captivity and to safeguard the right to bodily liberty, and that those protections are not the singular possessions of human beings. Indeed, humans bear a great responsibility to all living creatures precisely because of our intellectual and moral complexity, our ability to decide when it is necessary to hold others—humans and nonhuman animals alike—captive for the safety and benefit of humans. It is that capacity that further obligates us to act ethically and morally towards all beings so held.

Nevertheless, the majority mischaracterizes my and Judge Wilson's analyses as "an odious comparison with concerning implications" (majority op at 571). The majority has profoundly misconstrued the point. As both Judge Wilson and I have made abundantly clear, no one is equating enslaved human beings or women or people with cognitive disabilities with elephants. Rather, we merely highlight a historical truth: Even when those classes of human beings have, by operation of law, been denied legal recognition of their humanity, the writ of habeas

law. But that does not mean that corporate legal status is irrelevant or not a valid point of comparison here. Just as the law can recognize a form of legal personhood for a noncorporeal entity, so too can the law—the common law, in this case—be interpreted to recognize the legal right to challenge by writ of habeas corpus the alleged unjust captivity of a corporeal nonhuman animal.

corpus was still available to them. The majority ignores this history, preferring instead the comforting incoherence of its circular logic: Humans have “the right to liberty . . . because they are humans with certain fundamental liberty rights” (*id.* at 571). This is question begging in its purest form. The majority’s argument boils down to a claim that animals do not have the right to seek habeas corpus because they are not human beings and that human beings have such a right because they are not animals. But, of course, humans are animals. And glaringly absent is any explanation of why some kinds of animals—i.e., humans—may seek habeas relief, while others—e.g., elephants—may not. The majority’s suggestion that the “fundamental liberty rights” of human beings are “recognized by law” (*id.*) is nothing more than a tautological evasion.³ Whether autonomous, nonhuman animals have rights that ought to be “recognized by law” is *precisely* the question we are called upon to answer in this appeal.

The immensity of that question does not place it exclusively within the domain of the legislature (*see id.* at 577). As even the majority concedes, “the courts—not the legislature—ultimately define the scope of the common law writ of habeas corpus” (*id.* at 576-577). While CPLR article 70 sets forth the *procedure* to seek habeas relief, it does not create the right to bodily liberty nor determine who may seek such relief. Rather, the writ “is not the creature of any statute” (*People ex rel. DeLia v Munsey*, 26 NY3d 124, 130 [2015]). Thus, it is for this Court to decide the contours of the writ based on the qualities of the entity held in captivity and the relief sought. The difficulty of the task—i.e., determining the reach of a substantive common-law right whose existence pre-dates *any* legislative enactment on the subject and whose core guarantees are unalterable by the legislature—is no basis to shrink from our judicial obligation by recasting it as the exclusive purview of the legislative branch. The common law is our bailiwick.

3. It is not a particularly convincing evasion, in any event. Under the majority’s view, captives must apparently already have “certain fundamental liberty rights recognized by law” before seeking a writ of habeas corpus (majority op at 571). The most cursory examination of this Court’s decision in *Lemmon* demonstrates how utterly false that claim is, for if legal recognition of a human captive’s “fundamental liberty” were a precondition of habeas relief, the Court would never have granted such relief to enslaved people who were, for all legal purposes, treated as nothing more than chattel. Indeed, in *Lemmon*, the Court did not merely grant the habeas petition in the *absence* of any recognition of the enslaved individuals’ fundamental rights but did so in *direct contravention* of the Supreme Court’s holding in *Dred Scott*.

To be clear, the legislature may expand a nonhuman animal's rights against cruel treatment and inhumane conditions, but the legislature may not limit rights that spring from an animal's status as an autonomous being. Put another way, statutory rights may expand existing rights and protections for nonhuman animals—and humans—but the fundamental right to be free is grounded in the sanctity of the body and the life of autonomous beings and does not require legislative enactment. That is not to say that the legislature cannot set forth prescriptive laws of conduct, which if violated may result in confinement. But the question here is about an unjust confinement. Happy has committed no crime. She has not forfeited her right to liberty by inflicting harm on humans or even another animal. To the contrary, Happy has done nothing but be born an elephant, and thereby attracted human curiosity. As I discuss below, that desire to observe Happy at the pleasure of and on the terms set by human beings has come at a great cost to her and to our society.

III.

Whether the writ should issue turns on both the individual captive and the relief sought. Based on the record developed below, the Nonhuman Rights Project has made the case for Happy's release and transfer to an elephant sanctuary, and the writ should therefore be granted.

Happy is not a human being—that is, she is not a member of the species *Homo sapiens*. However, she is a mammal and thus shares common aspects of mammalian life and community that are familiar to humans. Elephants bear children and live in herds, where they pass down and communicate to one another rules for survival. Happy was born in a wild environment and, if humans had not captured her when she was an infant, she would have lived out her days among other wild animals, separate from humans.

In support of the petition for the common-law writ of habeas corpus seeking Happy's release and in opposition to the motion to dismiss, the Nonhuman Rights Project submitted affidavits from several internationally renowned elephant experts to establish Happy's autonomy and the inherent harm of her captivity in the Zoo. Among them is Joyce Poole, Ph.D., a recognized expert in elephant behavior who has studied elephants in the field for over 40 years. Dr. Poole trained at Smith College, the University of Cambridge, and Princeton

University. Dr. Poole is the Co-Director of ElephantVoices, a nonprofit that seeks to promote public awareness of elephant's intellectual and behavioral complexity and to secure a better future for elephants through research, conservation, advocacy, and the sharing of knowledge. Dr. Poole's extensive fieldwork, on both African and Asian elephants, has led to her publication of dozens of peer-reviewed journal articles, book chapters, and monographs on elephants. Her work has earned her significant public recognition, including awards and various research fellowships from, among others, the National Institute of Mental Health, the New York Zoological Society, and the California State Legislature. Her expertise has been featured widely in media outlets around the world, and she has served as an expert witness in several countries in cases involving the well-being of elephants.

Dr. Poole's expert opinion, encapsulated in her affidavit and unrebutted by respondents, builds on her decades of rigorous study of elephants in the wild as well as her deep knowledge of the scientific literature on elephants. Her conclusions are excerpted at length, as they are critical to the merits of the habeas petition:

"Elephants are autonomous beings. Autonomy in humans and nonhuman animals is defined as self-determined behaviour that is based on freedom of choice. As a psychological concept it implies that the individual is directing their behaviour based on some non-observable, internal cognitive process, rather than simply responding reflexively. . . .

"[T]he physical similarities between human and elephant brains occur in areas that link directly to the capacities necessary for autonomy and self-awareness. . . .

"Elephants clearly and frequently display empathy in the form of protection, comfort and consolation, as well as by actively helping those who are in difficulty, such as assisting injured individuals to stand and walk, or helping calves out of rivers or ditches with steep banks. Elephants have been observed to react when anticipating the pain of others (e.g. seen to wince when a nearby elephant stretched her trunk toward a live wire) and have even been observed feeding those who are not able

to use their own trunks to eat and to attempt to feed those who have just died” (citations omitted).

“[E]lephants share many behavioural and intellectual capacities with humans, including: self-awareness, empathy, awareness of death, intentional communication, learning, memory, and categorisation abilities. Many of these capacities have previously been considered—erroneously—to be uniquely human, and each is fundamental to and characteristic of autonomy and self-determination. . . .

“[E]lephants appear to realise that once dead, the carcass cannot be helped anymore, and instead engage in more ‘mournful’ behaviour, such as standing guard over the bodies, and protecting it from the approaches of predators. Others have observed them covering the bodies of dead elephants with dirt and vegetation. In the particular case of mothers who lose a calf, although they may remain with the calf’s body for an extended period, they do not behave towards the body as they would a live calf. Indeed, the general demeanour of elephants who are attending to a dead elephant is one of grief and compassion, with slow movements and few, if any, vocalisations. These behaviours are akin to human responses to the death of a close relative or friend, and illustrate that elephants possess some understanding of life and the permanence of death” (citations omitted).⁴

The record is replete with affidavits from other leading voices in the field, similarly describing and opining on elephants’

4. In support of these factual assertions and opinions, Dr. Poole included citations to Lucy A. Bates et al., *Do Elephants Show Empathy?* (15 J Consciousness Stud [No. 10-11] 204 [2008]); Iain Douglas-Hamilton, *On the Ecology and Behaviour of the African Elephant* (D. Phil. Thesis, University of Oxford 1972); Phyllis C. Lee, *Allomothering among African Elephants* (35 Animal Behav 278 [1987]); Karen McComb et al., *African elephants show high levels of interest in the skulls and ivory of their own species* (2 Biology Letters 26 [2005]); Cynthia J. Moss, *Portraits in the Wild* (2d ed 1982); Cynthia J. Moss, *Elephant Memories: Thirteen Years in the Life of an Elephant Family* (1988); Cynthia J. Moss, *Echo of the Elephants: The Story of An Elephant Family* (1992); Katy Payne, *Sources of Social Complexity in the Three Elephant Species*, in *Animal Social Complexity: Intelligence, Culture, and Individualized Societies* (Frans B.M. de Waal & Peter L. Tyack eds 2003); Joyce Poole, *Coming of Age with Elephants* (1996). She further relied

(n. cont’d)

complex cognitive abilities and self-determinative behavior. For example, Lucy Bates, Ph.D., a postdoctoral research fellow at the University of Sussex, has studied elephant cognition and social behavior for over a decade; Richard Byrne, Ph.D., is a Fellow of the Royal Society of Edinburgh, who has studied animal cognition and the evolutionary aspects of intelligence for nearly 50 years and has spent years observing and studying elephants; Karen McComb, Ph.D., a professor at the University of Sussex, has spent decades studying emotional awareness and communication in various mammal species, including elephants; and Cynthia J. Moss, D.Sc., has spent the last 50 years observing and researching elephants in southern Kenya, including as Director of the Amboseli Elephant Research Project, where she has supervised research and monitoring of elephants in the Amboseli National Park, trained elephant researchers, carried out surveys and training courses at other elephant study sites in Africa, and promoted public awareness on behalf of elephants. Collectively, these experts have published hundreds of peer-reviewed articles, book chapters, and books on a range of topics concerning, *inter alia*, animal—and specifically elephant—cognition, intelligence, and social behavior. Many have served as expert witnesses in legal proceedings in which they were called upon to give their professional opinions on certain facets of elephant well-being. All were, undoubtedly, eminently qualified to serve as experts, and Supreme Court was wholly justified in relying on their opinions in making its findings.

Respondent Wildlife Conservation Society (WCS) submitted affidavits in support of its motion to dismiss describing its non-profit status and mission and confirming Happy's decades-long confinement at the Zoo. WCS asserted that the Bronx Zoo is accredited by the Association of Zoos and Aquariums and is in compliance with that organization's elephant-specific standards. Respondent's expert affidavits asserted that Happy receives excellent veterinary care and would suffer harm if she were moved to a sanctuary. Critically, respondent failed to address the Nonhuman Rights Project's core argument that the writ should issue because Happy's confinement at the Zoo was a violation of her right to bodily liberty as an autonomous being, regardless of the care she was receiving.

on various personal observations and communications with other elephant researchers.

After a three-day hearing, Supreme Court issued a decision concluding that the Nonhuman Rights Project's expert affidavits "demonstrated" that

"Happy possesses complex cognitive abilities sufficient for common law personhood and the common law right to bodily liberty. These include: autonomy; empathy; self-awareness; self-determination; theory of mind (awareness that others have minds); insight; working memory; an extensive long-term memory that allows them to accumulate social knowledge; the ability to act intentionally and in a goal-oriented manner, and to detect animacy and goal directedness in others; to understand the physical competence and emotional state of others; imitate, including vocal imitation; point and understand pointing; engage in true teaching (taking the pupil's lack of knowledge into account and actively showing them what to do); cooperate and build coalitions; cooperative problem-solving, innovative problem-solving, and behavioral flexibility; understand causation; intentional communication, including vocalizations to share knowledge and information with others in a manner similar to humans; ostensive behavior that emphasizes the importance of particular communication; wide variety of gestures, signals and postures; use of specific calls and gestures to plan and discuss a course of action, adjust their plan according to their assessment of risk, and execute the plan in a coordinated manner; complex learning and categorization abilities; and, an awareness of and response to death, including grieving behaviors" (2020 NY Slip Op 35291[U], *5 [Sup Ct, Bronx County, Feb. 18, 2020, Tuitt, J.]).

The court further explained that the unrebutted expert affidavits established "that Happy is an extraordinary animal with complex cognitive abilities, an intelligent being with advanced analytic abilities akin to human beings" and "that Happy is more than just a legal thing, or property.^[5] She is an intelligent, autonomous being who should be treated with re-

5. The majority has seemingly overlooked Supreme Court's lengthy conclusions and explicit examples of what precisely constitute the "complex cognitive abilities sufficient for common law personhood and the common law

(n. cont'd)

spect and dignity, and who may be entitled to liberty” (*id.* at *16).

The court stated it was “extremely sympathetic to Happy’s plight,” but on constraint of Appellate Division case law, the court “[r]egrettably . . . [was] bound by the legal precedent” to grant the motion to dismiss because Happy could not be treated as a person for purposes of habeas corpus (*id.* at *15-16). The First Department affirmed, holding that “the writ of habeas corpus is limited to human beings” and that only the legislature could recognize nonhuman animals’ rights to habeas relief (189 AD3d 583, 583 [1st Dept 2020]).

We may not ignore Supreme Court’s determination that Happy is an autonomous animal, which was based on the record before it and which was left undisturbed by the Appellate Division’s affirmance based strictly on what Supreme Court perceived as the dispositive legal barrier to issuing the writ (*see People v Sawyer*, 96 NY2d 815, 816 [2001] [(“W)here the determinations by courts with fact-finding authority are supported by the record they are beyond the further review of this Court”]). Thus, the finding that Happy is autonomous stands. The next question is whether Happy may be released solely for purposes of transfer to an elephant sanctuary.

Here, too, I agree with Judge Wilson that the writ of habeas corpus may be invoked for transfer from one facility to another (*see Wilson*, J., dissenting op at 598-599, 600). The majority’s contrary view is based on an erroneous reading of prior case law. In *People ex rel. Dawson v Smith*, this Court explained that habeas could be used to seek transfer from one facility to another (69 NY2d 689, 691 [1986], citing *People ex rel. Brown v Johnston*, 9 NY2d 482 [1961]; *see also Lavery*, 31 NY3d at 1058-1059 [Fahey, J., concurring] [(“H)abeas corpus can be used to seek a transfer to ‘an institution separate and different in nature from the . . . facility to which petitioner had been committed,’ as opposed to a transfer ‘within the facility’ ” (emphasis omitted)], quoting *People ex rel. Dawson*, 69 NY2d at 691).

Apart from this precedent, there is another basis to conclude that transferring Happy to an elephant sanctuary is an appropriate form of habeas relief in this case. As discussed by

right to bodily liberty” (2020 NY Slip Op 35291[U], *5), and insists that Judge Wilson and I have provided “no clear standard for determining which species are entitled to access the writ” (majority op at 574). Instead, it seems that what the majority derides as standardless is, in fact, merely a standard with which it disagrees.

Judge Wilson, and suggested by Judge Fahey's concurrence, the writ is flexible and has been applied innovatively by courts to achieve a just and workable outcome (*see* Wilson, J., dissenting op at 600-601, 613; *see also* *Lavery*, 31 NY3d at 1057-1058). Thus, while the writ provides for release of the "body" that is held captive, it also allows for consideration of the proper conditions of a release when, as here, the captive is a nonhuman animal and cannot live as a free being within human society. The Zoo gates cannot simply be swung open to allow Happy to roam Southern Boulevard or Pelham Parkway, or to walk the grounds of the adjacent botanical gardens or the neighboring campus of Fordham University.⁶ As all parties recognize, immediate release would be dangerous for both elephant and humans, with potentially fatal consequences for Happy.

It is obvious that Happy is unlike the domesticated animals that now live, at times comfortably, among humans, such as dogs, cats, horses, chickens, and hamsters. Unlike those species, hers was not shaped through thousands of years of intentional selective breeding by humans, which has accommodated these animals to human communities, close human interaction, and human caretakers. Unlike those species, elephants' evolutionary path has not been guided by human need over the millennia. In short, elephants exist wholly apart from human society, save for when human beings upset that natural order through their intervention. Put simply, Happy, as with all elephants, has not evolved to dwell alongside humans as some domesticated animals have. She may instill in human beings a sense of awe, but to justify her captivity on the basis of human entertainment alone is "to regard [her] as entirely lacking independent worth, as a mere resource for human use, a thing the value of which consists exclusively in its usefulness to others" (*Lavery*, 31 NY3d at 1058 [Fahey, J.,

6. This would not be Happy's first encounter with Fordham. She was previously forced to play tug-of-war with the University's football team on multiple occasions. Her participation was induced on threat of being "whack[ed] . . . mightily on [her] thick-skinned side with a bull hook" by the elephant trainer employed by the Zoo (*see* Lepore). "The bullhook—a rod with a blunt or pointed hook at one end—has been used for centuries to get elephants to do humans' bidding" (Karin Brulliard, *Some of America's top zoos still use bullhooks on elephants. That's about to change*, Wash Post, Aug. 21, 2019, <https://www.washingtonpost.com/science/2019/08/21/some-americas-top-zoos-still-use-bullhooks-elephants-thats-about-change/>). The Association of Zoos and Aquariums "previously defended bullhooks as essential management tools" but, in an apparent act of beneficence, has recently voted to phase out their use by 2023 (*id.*).

concurring]).⁷ She—and other wild animals—exist naturally beyond the control of human beings and in an environment suited to these animals but inhospitable to most humans.⁸

The fact that Happy cannot be set totally free on the streets of New York City is a consequence of human beings' attempts to exert such unnatural control over her. Humans removed her as a calf from her natural habitat. Humans separated her from her herd. After a lifetime of captivity, in which humans have controlled every aspect of her life, she cannot return, 50 years later, and simply live as would any elephant who grew up in a wild environment. However, a court can order the most practical and humane alternative: transfer to an elephant sanctuary. This is the safest place for Happy because it most closely approximates her natural environment. The sanctuary that has offered to accept Happy at no cost, the Performing Animal Welfare Society (PAWS) in California, sits on a property encompassing 2,300 acres of natural terrain with varied habitats, including grasslands, forested areas, and bodies of water in which elephants can bathe. The weather permits the elephants to be outdoors year-round, where they may engage in natural behavior, such as foraging, dustbathing, and wallowing in mud. Most elephants at the sanctuary are able to move freely between in- and outdoors at night. Significantly, the elephant habitats are spacious enough to allow for social group activity. The sanctuary provides the best opportunity for humans to mitigate the harm caused by Happy's captivity by allowing her to live out the remaining years of her life in a place suited to her specific needs, and more reminiscent of her birthplace than her current one-acre enclosure at the Zoo.

7. The majority's speculation that Happy's captivity is not for the benefit of human entertainment (majority op at 577 n 2) is belied by the fact that the Zoo previously allowed patrons to ride her (*see* Lepore). Although the Zoo no longer "coaxes" Happy to walk around in a small circle with a human on her back, it displays her from a monorail, a Disney-esque experience meant to amuse the rider.

8. This reality also disproves the majority's claim that recognizing Happy's right to bodily liberty "would have an enormous destabilizing impact on modern society" (majority op at 573). Happy's captivity, half a world away from her native habitat in an utterly unnatural setting, serves no purpose upon which society depends. To the extent that the majority and respondent WCS suggest that Happy's confinement promotes conservation (*see* majority op at 577 n 2), there are certainly ways to introduce humans to wildlife and raise public awareness of the threats facing the animal kingdom that do not depend on the confinement of autonomous, nonhuman animals. That is all the more true as regards Happy, who was taken from her native habitat, thereby decreasing the wild population of Asian elephants.

IV.

Captivity is anathema to Happy because of her cognitive abilities and behavioral modalities—because she is an autonomous being. Confinement at the Zoo is harmful, not because it violates any particular regulation or statute relating to the care of elephants, but because an autonomous creature such as Happy suffers harm by the mere fact that her bodily liberty has been severely—and unjustifiably—curtailed. Happy's confinement by human beings has never been intended to benefit her but serves only to entertain and satisfy human curiosity, regardless of the loss of freedom to Happy. She is held in an environment that is unnatural to her and that does not allow her to live her life as she was meant to: as a self-determinative, autonomous elephant in the wild. Her captivity is inherently unjust and inhumane. It is an affront to a civilized society, and every day she remains a captive—a spectacle for humans—we, too, are diminished.

Judges GARCIA, SINGAS, CANNATARO and TROUTMAN concur; Judge WILSON dissents in an opinion, in which Judge RIVERA concurs in part in a separate dissenting opinion.

Order affirmed, without costs.

[197 NE3d 978, 176 NYS3d 590]

ACE SECURITIES CORP., HOME EQUITY LOAN TRUST, SERIES 2006-SL2, by HSBC BANK USA, NATIONAL ASSOCIATION, as Trustee Pursuant to a Pooling and Servicing Agreement, Dated as of March 1, 2006, Appellant, v DB STRUCTURED PRODUCTS, INC., Respondent.

Argued May 19, 2022; decided June 16, 2022

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered November 19, 2019. The Appellate Division affirmed an order of the Supreme Court, New York County (Marcy S. Friedman, J.; op 52 Misc 3d 343 [2016]), which had granted defendant DB Structured Products, Inc.'s motion to dismiss the complaint pursuant to CPLR 3211 (a) (5) with prejudice.

US Bank N.A. v UBS Real Estate Sec., Inc., 177 AD3d 493, affirmed.

HEADNOTE

Limitation of Actions — Commencement of Action after Termination of Prior Action — Benefit Limited to Original Plaintiff in Prior Action

Plaintiff trustee of a residential mortgage-backed securities trust could not invoke CPLR 205 (a) to avoid dismissal of its time-barred action against the sponsor, which was commenced after the dismissal of a prior action against the sponsor brought by two certificateholders, as plaintiff, purporting to substitute for the certificateholders, was not the original plaintiff in the prior dismissed action. Under CPLR 205 (a), if a timely brought action has been terminated for any reason other than one specified in the statute, the plaintiff may commence another action based on the same transactions or occurrences within six months of the dismissal of the first action and obtain the benefit of the prior timely filing for statute of limitations purposes. The benefit provided by CPLR 205 (a) is explicitly, and exclusively, bestowed on “the plaintiff” who prosecuted the initial action except in the limited scenario where “the plaintiff” dies, the cause of action survives, and an administrator or executor of the estate seeks to commence a new action based on the same occurrence. Construing the term “the plaintiff” in CPLR 205 (a) to authorize commencement of a new action by any entity seeking to pursue the “same rights” as the prior plaintiff would render the statutory language permitting commencement of new actions by administrators and executors superfluous. While the broad and liberal purpose of the savings statute is to ameliorate the potentially harsh effect of the statute of limitations, the important consideration is that, by invoking judicial aid in the first action, a litigant gives timely notice to the adversary of a present purpose to maintain its rights before the courts. Where the litigant commencing the second action is

not the original plaintiff, application of CPLR 205 (a) would protect the rights of a dilatory, not a diligent, suitor.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Limitation of Actions §§ 253, 254, 258.

CARMODY-WAIT 2d Limitation of Actions §§ 13:445, 13:452.

McKINNEY'S, CPLR 205 (a).

NY JUR 2d Limitations and Laches §§ 310, 316, 317.

SIEGEL, NY PRAC § 52.

ANNOTATION REFERENCE

See ALR Index under Limitation of Actions; Relation Back.

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POINTS OF COUNSEL

McKool Smith PC, New York City (*Zachary W. Mazin*, *Christopher P. Johnson*, *Daniel J. Fleming* and *Lara Sofia Romero Jain* of counsel), for appellant. I. CPLR 205 (a) gives the revival action the benefit of the original action's filing date. (*George v Mt. Sinai Hosp.*, 47 NY2d 170; *Carrick v Central Gen. Hosp.*, 51 NY2d 242; *Van der Stegen v Neuss, Hesslein & Co.*, 270 NY 55; *Deutsche Bank Natl. Trust Co. v Barclays Bank PLC*, 34 NY3d 327; *Orr v Urban Am. Mgt. Corp.*, 172 AD3d 512; *Mendez v Kyung Yoo*, 23 AD3d 354; *Brown v Lutheran Med. Ctr.*, 35 Misc 3d 553; *Rivera v Markowitz*, 71 AD3d 449; *Tellez v Saranda Realty*, 197 AD2d 439; *Matter of Morris Invs. v Commissioner of Fin. of City of N.Y.*, 69 NY2d 933.) II. DB Structured Products, Inc.'s anticipated grounds for affirmance are incorrect, unfounded, and unavailing. (*Southern Wine & Spirits of Am., Inc. v Impact Envtl. Eng'g, PLLC*, 104 AD3d 613; *Bumpus v New York City Tr. Auth.*, 66 AD3d 26; *Snodgrass v Professional Radiology*, 50 AD3d 883; *Becerril v City of N.Y. Dept. of Health & Mental Hygiene*, 110 AD3d 517; *Ambac Assur. Corp. v Countrywide Home Loans, Inc.*, 27 NY3d 616; *Matter of Part 60 RMBS Put-Back Litig.*, 161 AD3d 436.)

Simpson Thacher & Bartlett LLP, New York City (*William T.*

Russell, Jr., Isaac M. Rethy and Anthony C. Piccirillo of counsel), for respondent. I. The First Department properly interpreted and applied CPLR 205 (a). (*Streeter v Graham & Norton Co.*, 263 NY 39; *George v Mt. Sinai Hosp.*, 47 NY2d 170; *Reliance Ins. Co. v Polyvision Corp.*, 390 F Supp 2d 269; *Matter of Lemma v Nassau County Police Officer Indem. Bd.*, 31 NY3d 523; *Kimmel v State of New York*, 29 NY3d 386; *Henning v Rando Mach. Corp.*, 207 AD2d 106; *Matter of Larchmont Pancake House v Board of Assessors and/or the Assessor of the Town of Mamaroneck*, 33 NY3d 228; *Orentreich v Prudential Ins. Co. of Am.*, 275 AD2d 685; *Levy v Carver Fed. Sav. & Loan Assn.*, 18 AD2d 1062; *Dye v Lewis*, 67 Misc 2d 426.) II. The Appellate Division authorities relied on by plaintiff-appellant do not support its position. (*Goodman v Skanska USA Civ., Inc.*, 169 AD3d 1010; *Goldberg v Littauer Hosp. Assn.*, 160 Misc 2d 571; *Genova v Madani*, 283 AD2d 860; *Pinto v Ancona*, 262 AD2d 472; *Tulis v Nyack Hosp.*, 271 AD2d 684; *Rivera v Markowitz*, 71 AD3d 449; *Orr v Urban Am. Mgt. Corp.*, 172 AD3d 512; *Van der Stegen v Neuss, Hesslein & Co.*, 270 NY 55; *Lambert v Sklar*, 30 AD3d 564; *Tellez v Saranda Realty*, 197 AD2d 439.) III. Plaintiff-appellant's preemptive rebuttals of anticipated arguments lack merit. (*U.S. Bank N.A. v DLJ Mtge. Capital, Inc.*, 33 NY3d 72.) IV. The First Department's decision is consistent with New York public policy. (*Gaines v City of New York*, 215 NY 533; *Norfolk Southern R. Co. v Sorrell*, 549 US 158; *Smalley v Hutcheon*, 296 NY 68; *Norex Petroleum Ltd. v Blavatnik*, 23 NY3d 665; *Doyle v American Home Prods. Corp.*, 583 F3d 167; *Bernardez v City of New York*, 100 AD2d 798; *Paramount Pictures Corp. v Allianz Risk Transfer AG*, 31 NY3d 64; *Buran v Coupal*, 87 NY2d 173; *15 E. 11th Apt. Corp. v Elghanayan*, 232 AD2d 289; *Steinhardt Group v Citicorp*, 303 AD2d 326.)

Patterson Belknap Webb & Tyler LLP, New York City (*Peter W. Tomlinson, David S. Kleban and Jeffrey F. Kinkle* of counsel), and *Korein Tillery LLP*, Chicago, Illinois (*John A. Libra* of counsel), for National Credit Union Administration Board and another, amici curiae. I. The question presented in this appeal is not answered by *Reliance Ins. Co. v PolyVision Corp.* (9 NY3d 52 [2007]). (*Rapid Tr. Subway Constr. Co. v City of New York*, 259 NY 472; *United States v Bestfoods*, 524 US 51; *U.S. Bank N.A. v DLJ Mtge. Capital, Inc.*, 33 NY3d 72.) II. No policy is served by the holding below. (*Malay v City of Syracuse*, 25 NY3d 323; *Gaines v City of New York*, 215 NY 533.)

Patrick M. Connors, Albany, pro se, and *Skadden, Arps, Slate,*

Meagher & Flom LLP, New York City (Scott D. Musoff and Alexander C. Drylewski of counsel), for Patrick M. Connors, amicus curiae. I. CPLR 205 (a) requires that the same plaintiff commence both the prior and the new actions. (*George v Mt. Sinai Hosp.*, 47 NY2d 170; *Gaines v City of New York*, 215 NY 533; *Doyle v American Home Prods. Corp.*, 583 F3d 167; *Chavez v Occidental Chem. Corp.*, 35 NY3d 492; *Crown, Cork & Seal Co. v Parker*, 462 US 345.) II. In interpreting CPLR 205 (a)'s statutory text, this Court promulgated a clear same-plaintiff rule in *Reliance Ins. Co. v PolyVision Corp.* (9 NY3d 52 [2007]). (*Streeter v Graham & Norton Co.*, 263 NY 39; *Matter of King v Chmielewski*, 76 NY2d 182; *Carrick v Central Gen. Hosp.*, 51 NY2d 242; *Goldberg v Littauer Hosp. Assn.*, 160 Misc 2d 571.) III. Departing from *Reliance Ins. Co. v PolyVision Corp.*'s (9 NY3d 52 [2007]) same-plaintiff rule would produce unpredictable outcomes. (*Freedom Mtge. Corp. v Engel*, 37 NY3d 1; *Flanagan v Mount Eden Gen. Hosp.*, 24 NY2d 427; *John J. Kassner & Co. v City of New York*, 46 NY2d 544; *Federal Natl. Mtge. Assn. v Jeanty*, 188 AD3d 827; *Benedetto v Hodes*, 112 AD2d 393; *Schwartz v Luks*, 46 AD2d 634; *Wright v Farlin*, 42 AD2d 141.)

Michael Hutter, Albany, amicus curiae pro se, and for Robert Hockett and another, amicus curiae. I. CPLR 205 (a) allows plaintiffs to cure excusable mistakes. (*Chavez v Occidental Chem. Corp.*, 35 NY3d 492; *Duffy v Horton Mem. Hosp.*, 66 NY2d 473; *Matter of Goldstein v New York State Urban Dev. Corp.*, 13 NY3d 511; *George v Mt. Sinai Hosp.*, 47 NY2d 170; *Gaines v City of New York*, 215 NY 533; *Buran v Coupal*, 87 NY2d 173; *Brock v Bua*, 83 AD2d 61; *Malay v City of Syracuse*, 25 NY3d 323; *Matter of Morris Invs. v Commissioner of Fin. of City of N.Y.*, 69 NY2d 933; *Chase Manhattan Bank v Wolowitz*, 272 AD2d 428.) II. Allowing this suit to proceed serves CPLR 205 (a)'s purpose. (*Walnut Place LLC v Countrywide Home Loans, Inc.*, 96 AD3d 684; *Howe v Bank of N.Y. Mellon*, 783 F Supp 2d 466; *Reliance Ins. Co. v PolyVision Corp.*, 9 NY3d 52; *Streeter v Graham & Norton Co.*, 263 NY 39.) III. DB Structured Products, Inc.'s interpretation undermines the securitization market.

Adam Plotch, amicus curiae pro se. I. A plaintiff who has not commenced an action within the original limitations period cannot be deemed a "diligent suitor" who has provided timely notice of its claim, and is thus ineligible for tolling benefits under CPLR 205 (a). (*Matter of Morris Invs. v Commissioner of*

Fin. of City of N.Y., 69 NY2d 933; *Norex Petroleum Ltd. v Blavatnik*, 23 NY3d 665; *Carrick v Central Gen. Hosp.*, 51 NY2d 242; *George v Mt. Sinai Hosp.*, 47 NY2d 170; *CitiMortgage, Inc. v Nunez*, 198 AD3d 865; *Deutsche Bank Natl. Trust Co. v Pagan*, 183 AD3d 801.) II. Linguistic differences between CPLR 205 (b) and 205 (a) indicate a legislative intent to afford tolling benefits only to the original plaintiff. (*Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382; *Trustco Bank v Preserve Dev. Group Co., LLC*, 190 AD3d 1176; *Kuzmich v 50 Murray St. Acquisition LLC*, 34 NY3d 84.) III. The “same claim” logic underlying *Chase Manhattan Bank v Wolowitz* (272 AD2d 428 [2d Dept 2000]) and its progeny has already been rejected by this Court. (*Chase Manhattan Bank v Wolowitz*, 272 AD2d 428; *Reliance Ins. Co. v PolyVision Corp.*, 9 NY3d 52; *U.S. Bank Trust, N.A. v Moomey-Stevens*, 168 AD3d 1169; *Wells Fargo Bank, N.A. v Eitani*, 148 AD3d 193; *Streeter v Graham & Norton Co.*, 263 NY 39; *Matter of General Motors Corp.—Delco Prods. Div. v Rosa*, 82 NY2d 183; *U.S. Bank N.A. v DLJ Mtge. Capital, Inc.*, 141 AD3d 431, 33 NY3d 84; *Craft EM CLO 2006-1, Ltd. v Deutsche Bank AG*, 178 AD3d 552; *Nomura Asset Acceptance Corp. Alternative Loan Trust v Nomura Credit & Capital, Inc.*, 139 AD3d 519; *Varga v McGraw Hill Fin., Inc.*, 147 AD3d 480.)

OPINION OF THE COURT

Chief Judge DiFiore.

When a timely-commenced action has been dismissed on certain non-merits grounds, CPLR 205 (a) allows “the plaintiff” in that action “or, if the plaintiff dies,” the “executor or administrator” of the plaintiff’s estate, six months to commence a new action based on the same transaction or occurrence. The new action will be deemed timely based on the commencement of the prior action. Here, after the dismissal of a prior action brought by two certificateholders (*see ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581 [2015])—and after the statute of limitations expired—plaintiff HSBC Bank USA, National Association, in its capacity as trustee of a residential mortgage-backed securities (RMBS) trust, commenced this action against the sponsor, invoking CPLR 205 (a). Because HSBC was not “the original plaintiff” in the prior dismissed action (*Reliance Ins. Co. v PolyVision Corp.*, 9 NY3d 52, 57 [2007]), we agree with the courts below that HSBC could not invoke CPLR 205 (a) to avoid dismissal of this time-barred claim, and we therefore affirm.

As these events were the subject of a prior appeal involving this trust, the facts are familiar (*see ACE Sec. Corp.*, 25 NY3d 581). Defendant DB Structured Products, Inc., as sponsor of the underlying RMBS transaction, purchased over 8,800 mortgage loans and sold them to an affiliate, ACE Securities Corp., pursuant to a mortgage loan purchase agreement (MLPA). In the MLPA, the sponsor made various representations and warranties regarding the quality and characteristics of the pooled loans as of the closing date—March 28, 2006. ACE Securities then deposited the loans into a trust, and the loans served as collateral for approximately \$500 million in certificates issued by the trust—which in turn pay principal and interest to certificateholders based on the funds generated by the underlying mortgages. Pursuant to a pooling and servicing agreement (PSA), ACE Securities transferred to HSBC as trustee all of its rights in the trust and arising under the MLPA.

The PSA contained a repurchase protocol provision that governed in the event of a breach of the relevant representations and warranties by the sponsor. Pursuant to the repurchase protocol, if HSBC—as trustee—discovered a material defect or breaching loan, it was required to “promptly notify the Sponsor and the Servicer” and request that the sponsor cure within 60 days, and, if not cured, the sponsor must repurchase the nonconforming loan within 90 days of HSBC’s notification. In other words, through this provision, the parties agreed that the sponsor must either cure a claimed defect or repurchase a nonconforming loan, and the parties further agreed that the cure or repurchase remedy would be the “sole remedy” available to the trustee.

In January 2012, two certificateholders, RMBS Recovery Holdings 4, LLC and VP Structured Products, LLC—independent investment funds holding 25% of the trust’s voting certificates—notified HSBC of breaches allegedly uncovered through a forensic review of the pooled loans. The certificateholders demanded that HSBC pursue repurchase of the entire pool by the sponsor and urged HSBC to seek a tolling agreement in light of the impending expiration of the statute of limitations. HSBC did neither. Consequently, the two certificateholders—assertedly on behalf of the trust—attempted to commence an action against the sponsor through the filing of a summons and notice in March 2012, exactly six years from the closing date, alleging breach of the representations and warranties and nam-

ing HSBC as a nominal defendant. Six months later, following the sponsor's demand for a complaint, HSBC filed a complaint on behalf of the trust, purporting to substitute as plaintiff for the certificateholders.

The sponsor moved to dismiss, contending that HSBC's complaint was untimely and that the certificateholders' summons with notice did not validly commence the action because they failed to comply with the sole remedy repurchase protocol before commencing suit. Supreme Court denied the sponsor's motion, reasoning that—although it was “undisputed that these certificateholders lacked standing . . . under the PSA's no-action clause”—the relevant “breach” was the sponsor's failure to comply with the repurchase demand and, thus, HSBC's cause of action accrued as of that date and its complaint was timely (40 Misc 3d 562, 564, 568 [Sup Ct, NY County 2013]). The Appellate Division reversed and granted the sponsor's motion to dismiss, determining that any claim for breach accrued on the closing date of the RMBS transaction and HSBC's complaint—filed more than six years later (*see* CPLR 213 [2])—was time-barred (112 AD3d 522 [1st Dept 2013]). With respect to the certificateholders' summons and notice, the Appellate Division concluded that the action was not validly commenced because the certificateholders failed to comply with the contractual condition precedent to suit as they did not provide the sponsor with the requisite pre-suit notice and opportunity for cure and repurchase and, in any event, the certificateholders lacked standing to sue on behalf of the trust under the PSA's “no-action” clause (112 AD3d at 523).¹

This Court affirmed (*see* 25 NY3d 581). We explained that any claim for breach of the representations and warranties accrued on the transaction closing date because the sponsor warranted characteristics of the mortgage loans at the time of closing (*see id.* at 595). Rejecting the argument that the sponsor's cure or repurchase obligation was a separate promise

1. In relevant part, the no-action clause provides that certificateholders have no right to institute any suit or action unless the trustee is given a “written notice of default,” holders of at least 25% of the voting rights request the trustee institute an action and offer reasonable indemnity against the costs and expenses, and the trustee fails to pursue an action. The Appellate Division concluded that the “defaults” referenced in the PSA to which certificateholders may give notice and subsequently commence suit are those that “concern failures of performance by the servicer or master servicer only,” not breaches of the representations and warranties by the sponsor (112 AD3d at 523).

of the loans' future performance, we determined that the repurchase protocol was merely a contractually agreed-upon remedy for the inclusion of nonconforming loans in the trust (*see id.* at 595-597). Thus, although compliance with the repurchase protocol was a "contractual condition precedent to suit," it did not affect the accrual of the cause of action and, as such, any claim for breach of the representations and warranties accrued on the closing date (*id.* at 589; *see id.* at 597-599). HSBC's complaint, filed more than six years after that date (*see* CPLR 213 [2]), was therefore untimely. Further, although the certificateholders filed their summons with notice on the final day of the limitations period, we agreed with the Appellate Division that the "certificateholders did not validly commence th[e] action because they failed to comply with the contractual condition precedent to suit" since they did not give the sponsor the requisite notice and opportunity to cure or repurchase (25 NY3d at 589).²

While an appeal of the Appellate Division's dismissal of the certificateholders' action was pending before this Court, HSBC commenced the instant action against the sponsor seeking to "revive" the certificateholders' action pursuant to CPLR 205 (a). HSBC asserted that the certificateholders' action was timely commenced and based on the same transaction, and that it had been dismissed less than six months before on grounds that did not preclude CPLR 205 (a) relief. Thus, HSBC contended that CPLR 205 (a) authorized commencement of the present action, which would otherwise be barred by the statute of limitations.

The sponsor moved to dismiss HSBC's complaint, arguing in relevant part that the action was untimely and CPLR 205 (a) did not apply because HSBC was not the same "plaintiff" as the certificateholders who commenced the prior action. Supreme Court agreed and granted the sponsor's motion (52 Misc 3d 343, 346 [Sup Ct, NY County 2016]). The Appellate Division affirmed (177 AD3d 493, 493-494 [1st Dept 2019]), and we granted HSBC leave to appeal (35 NY3d 911 [2020]).

Commonly known as the "savings statute," CPLR 205 (a) provides that

"[i]f an action is timely commenced and is termi-

2. We have repeatedly reaffirmed that compliance with similar repurchase protocols is a procedural condition precedent to suit (*see U.S. Bank N.A. v DLJ Mtge. Capital, Inc.*, 38 NY3d 169 [2022]; *U.S. Bank N.A. v DLJ Mtge. Capital, Inc.*, 33 NY3d 72, 80 [2019]).

nated in any other manner than by a voluntary discontinuance, a failure to obtain personal jurisdiction over the defendant, a dismissal of the complaint for neglect to prosecute the action, or a final judgment upon the merits, *the plaintiff, or, if the plaintiff dies, and the cause of action survives, his or her executor or administrator*, may commence a new action upon the same transaction or occurrence . . . within six months after the termination provided that the new action would have been timely commenced at the time of commencement of the prior action” (emphasis added).

“The effect of the statute is quite simple: if a timely brought action has been terminated for any reason other than one . . . specified in the statute, the plaintiff may commence another action based on the same transactions or occurrences within six months of the dismissal of the first action” and obtain the benefit of the prior timely filing for statute of limitations purposes (*George v Mt. Sinai Hosp.*, 47 NY2d 170, 175 [1979]).

Here, HSBC acknowledges that it is not the same entity as the plaintiffs that commenced the previously dismissed action—the certificateholder investment funds. HSBC argues that this new action may nevertheless be deemed timely under CPLR 205 (a) because HSBC, as trustee, is only “nominally” different from the plaintiffs in the original action insofar as it seeks to enforce the “same rights” as the certificateholders—namely, those of the RMBS trust itself.

When presented with a question of statutory interpretation, as here, our “‘primary consideration is to ascertain and give effect to the intention of the [l]egislature,’” the clearest indicator of which is the statutory text (see *Matter of Marian T. [Lauren R.]*, 36 NY3d 44, 49 [2020], quoting *Matter of Lemma v Nassau County Police Officer Indem. Bd.*, 31 NY3d 523, 528 [2018]; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]). Any construction that would render a portion of the statute superfluous must be avoided (see *Matter of Lemma*, 31 NY3d at 528; *Majewski*, 91 NY2d at 587). Moreover, “[w]here a law expressly describes a particular act, thing or person to which it shall apply, an irrefutable inference must be drawn that what is omitted or not included was intended to be omitted or excluded” (*Town of Aurora v Village of E. Aurora*, 32 NY3d 366, 372-373 [2018], quoting *Matter of Town of Riverhead v New York State Bd. of Real Prop. Servs.*, 5 NY3d 36,

42-43 [2005]; see *Kimmel v State of New York*, 29 NY3d 386, 394 [2017]).

HSBC's argument in favor of applying CPLR 205 (a) cannot be reconciled with the text of the savings statute, the public policy underlying the provision, or our precedent. We have long recognized that "the benefit provided by [CPLR 205 (a)] is *explicitly*, and *exclusively*, bestowed on 'the plaintiff' who prosecuted the initial action" except in the limited scenario where "the plaintiff" dies, the cause of action survives, and an administrator or executor of the deceased plaintiff's estate seeks to commence a new action based on the same occurrence (*Reliance*, 9 NY3d at 57 [emphasis added]). That is, the savings statute "applies *only* where the second action is brought by the same plaintiff" or an estate representative (*Streeter v Graham & Norton Co.*, 263 NY 39, 43 [1933] [emphasis added]).

Construing the term "the plaintiff" in CPLR 205 (a) to authorize commencement of a new action by any entity seeking to pursue the "same rights" as the prior plaintiff—as HSBC urges us to do—would render the statutory language permitting commencement of new actions by administrators and executors superfluous. An estate representative raising a claim on behalf of a deceased plaintiff is generally, as a matter of course, seeking to vindicate the rights of the original and now-deceased plaintiff. Had the legislature intended the statutory reference to "the plaintiff" to impliedly and broadly allow any entity seeking to vindicate the "same rights" as the original plaintiff or any entity claiming to represent the same "real party in interest" to benefit from CPLR 205 (a), there would be no need for the statute to specifically bestow such benefit on executors and administrators. Yet, for over a century (see Code Civ Pro § 405 [1895]), an entity different than the original plaintiff has been permitted to rely on the savings statute to commence a subsequent action only in the circumscribed context of a deceased plaintiff's estate.

Where, as here, the legislature has created one statutory exception—executors and administrators—to the general rule that the second action must be commenced by the original plaintiff, we must infer that the legislature did not intend CPLR 205 (a) to broadly apply to any party that seeks to vindicate the same rights. When the legislature intends to extend benefits to other entities that may have interests similar or identical to those of a plaintiff or defendant it has typically said so (see *e.g.* CPLR 203 [b], [c] ["united in interest"]);

205 [b] [“successor in interest”]; 1021 [“successors or representatives”], 3020 [d] [“parties united in interest”]; 3117 [c] [“representatives or successors in interest”]). The absence of any language in CPLR 205 (a) extending its reach beyond the original plaintiff or an estate representative, coupled with the precise recognition of a single exception, must be considered “meaningful and intentional as . . . the failure of the legislature to include a term in a statute is a significant indication that its exclusion was intended” (*Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55, 60 [2013]).

HSBC nevertheless argues that we have expanded the scope of CPLR 205 (a) beyond its plain terms, asserting that, in *Reliance Ins. Co. v PolyVision Corp.* (9 NY3d 52), we endorsed the application of CPLR 205 (a) whenever successive actions seek to vindicate the “same rights,” disregarding the named plaintiff’s identity as irrelevant. That is not the case. To the contrary, in *Reliance*, the Court reaffirmed that “the fact that one party commenced an action which is subsequently dismissed, will not serve to justify application of [CPLR 205 (a)] so as to support a later action by a different claimant” (*Reliance*, 9 NY3d at 57 [internal quotation marks and citation omitted]). There, 10 years into litigation against a materials manufacturer on a construction project, it was discovered that the action had been mistakenly brought by a wholly owned subsidiary rather than the parent corporation that actually issued the bonds and held the contracts underlying the suit. After the action was dismissed due to the subsidiary’s lack of standing to recover, the parent corporation attempted to recommence, invoking CPLR 205 (a). On a certified question from the Second Circuit, we clarified that CPLR 205 (a) does not permit a corporation to refile an action mistakenly commenced in the name of a different, albeit related, corporation.

In *Reliance*, we acknowledged that, in *George v Mt. Sinai Hosp.* (47 NY2d 170 [1979]), the Court permitted a suit to proceed under CPLR 205 (a) even though the prior action had been improperly commenced in the decedent’s name *after* her death—rather than before—and was then recommenced by the estate administrator. Nonetheless, we explained that *George* did not support application of CPLR 205 (a) in *Reliance* because, “[o]utside of th[e] representative context” of deceased plaintiffs and their estates, “we have not read ‘the plaintiff’ to include an individual or entity other than the original plaintiff”

(9 NY3d at 57; see *Carrick v Central Gen. Hosp.*, 51 NY2d 242, 249 [1980] [a proposed administratrix whose wrongful death action was dismissed because the letters of administration had not yet been issued could recommence under CPLR 205 (a)]; *George*, 47 NY2d at 179). “To grant the right conferred by [the statute] to a different party plaintiff, representing in part different interests, would require the placing of a construction upon the section plainly beyond its intent and purpose” (*Reliance*, 9 NY3d at 57, quoting *Streeter*, 263 NY at 44 [rejecting application of savings statute even though the rights sought to be enforced in each action were largely identical, were founded upon the same alleged wrong, and the damages would have passed to the same party]).

Applying these principles to the scenario presented in *Reliance*, the Court observed that the parent corporation “is not [the subsidiary] in a different capacity” and cautioned that allowing the parent corporation to proceed “would open a new tributary in the law . . . breath[ing] life into otherwise stale claims” (9 NY3d at 58). Indeed, rather than expanding the scope of the statute beyond its text, we explained that we must “read CPLR 205 (a) as it was written by the [l]egislature and has consistently been applied by this Court,” maintaining that the statute applies only in the contexts expressly contemplated by the legislature—namely, where the original plaintiff recommences or where the successive actions involve deceased plaintiffs and their estate representatives (*id.*). This was so despite the fact that, in each of the actions at issue in *Reliance*, “the plaintiff” was seeking to pursue the same “rights” against the manufacturer arising from the parent company’s contracts and the error was simply mistakenly filing the action in the name of a subsidiary.

Here, as in *Reliance*, HSBC is admittedly a different entity than the certificateholder plaintiffs. HSBC is neither an administrator or executor for the original plaintiffs, nor can we fairly say that HSBC is the certificateholders just in a “different capacity” (*id.*). To be sure, both actions were purportedly brought “on behalf of the [t]rust” and any recovery from either would ultimately inure to the benefit of all trust certificateholders. However, the PSA authorizes HSBC, as trustee, to enforce the MLPA and the repurchase protocol. In the instant action, HSBC “is seeking to enforce its own, separate rights” as trustee, “rather than the rights of the [certificateholder] plaintiff[s] in the original action” (*id.* at 57)—entities that have

a limited right to enforce the governing agreements, to the extent the PSA permits them to do so at all; indeed, HSBC now concedes that the certificateholders lacked standing under the relevant contracts to bring the prior action on behalf of the trust.³ Nor are HSBC and the certificateholders' interests entirely aligned (*see Streeter*, 263 NY at 44), as evidenced by the requirement that the certificateholders offer HSBC indemnity for legal action taken at their behest. Finally, to the extent that HSBC argues that it is entitled to the benefit of CPLR 205 (a) under decisions of lower courts addressing the applicability of the statute to bankruptcy trustees, it suffices to note that the propriety of such decisions—which, unlike here, involve trustees appointed pursuant to federal law (*see* 11 USC §§ 701, 1104, 1302)—is not before us.

HSBC is not “the plaintiff” in the prior action and the benefit of CPLR 205 (a) is unavailable to save its untimely complaint. Contrary to HSBC’s contention, this conclusion is consistent with the public policy underpinning the savings statute. CPLR 205 (a) is a remedial statute that, like its predecessors, is “‘designed to insure to *the diligent suitor*’” an opportunity to have a claim heard on the merits (*Malay v City of Syracuse*, 25 NY3d 323, 327 [2015] [emphasis added], quoting *Gaines v City of New York*, 215 NY 533, 539 [1915]) when the suitor has “initiated a suit in time” (*Carrick*, 51 NY2d at 252 [quotation marks and citation omitted]) but the claim was dismissed on some technical, non-merits-based ground. While the savings statute undoubtedly has a “broad and liberal purpose” (*Gaines*, 215 NY at 539) to “ameliorate the potentially harsh effect of the [s]tatute of [l]imitations” (*George*, 47 NY2d at 177; *see Matter of Goldstein v New York State Urban Dev. Corp.*, 13 NY3d 511, 521 [2009]), “[t]he important consideration is that by invoking judicial aid [in the first action], a litigant gives timely notice to [the] adversary of a present purpose to maintain [its] rights before the courts” (*Gaines*, 215 NY at 539). Where, as here, the litigant commencing the second action is not the original plaintiff, application of CPLR 205 (a) would protect the rights of a *dilatory*—not a diligent—suitor. By failing to bring the action within the statute of limitations,

3. As noted, in the prior action Supreme Court and the Appellate Division concluded that the certificateholders lacked standing to commence the action on behalf of the trust under the PSA (*see* 112 AD3d at 523; 40 Misc 3d at 564). We did not reach the issue on the prior appeal (*see* 25 NY3d at 599) and it is not before us now.

HSBC signaled that it had no intention to pursue its claims in court. CPLR 205 (a) does not apply and HSBC's failure to commence an action within the statute of limitations is fatal.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

WILSON, J. (dissenting). As with numerous pre-2008 residential mortgage-backed securities (RMBS) securitizations in which the depositor represented and warranted that the loans met certain underwriting standards, many of the loans in this pool did not. As a result, the trust—ultimately meaning the investors—lost hundreds of millions of dollars. There is no question that a timely filed suit gave the depositor notice of that claim, and that the subsequent filing of the same suit with a different nominal plaintiff did not prejudice the depositor. Instead of applying the ameliorative provisions of CPLR 205 (a), the majority allows the depositor to walk away from those representations and warranties. I do not agree.

The majority's decision rests on a statutory misreading and the failure to differentiate between a corporation and a trust. It also disregards our Court's long and consistent interpretation of the legislature's intent and policy determination underlying CPLR 205 (a): that the six-month extension of an applicable limitations period will be granted so long as the prior-filed action provided notice to the defendant(s).

I.

The facts and procedural history here are superficially complicated but, as relevant to this appeal, fairly simple. HSBC Bank USA is the trustee (HSBC, or Trustee) of a typical RMBS trust (Trust) created by DB Structured Products (DBSP); the Trust held about \$500 million of mortgages. DBSP gave representations and warranties as to the quality of the underlying mortgages and obligated itself to cure or repurchase any breaches as to individual loans among the 8,815 deposited into the Trust. Because of defaults and delinquencies in the underlying mortgages, the Trust lost nearly two thirds of its value (see *ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581, 590-591 [2015] [*ACE I*]).

At the time the loans were securitized, it was not clear whether the statute of limitations ran from the date the representations and warranties were made, the date on which the

Trustee knew or should have known that a representation or warranty as to a particular loan was untrue, or the date on which DBSP breached its obligation to cure or repurchase (see e.g. *ACE Sec. Corp. v DB Structured Prods., Inc.*, 40 Misc 3d 562, 568 [Sup Ct, NY County 2013] [“The statute of limitations began to run when DBSP improperly rejected the trustee’s repurchase demand”], *revd* 112 AD3d 522 [1st Dept 2013], *affd* *ACE I*, 25 NY3d 581). It was not until our 2015 decision in *ACE I*, on the appeal of the original iteration of this dispute, that we settled the law by choosing the first of those—meaning that the statute of limitations as to this Trust ran six years from the date the representations and warranties were made, or until March 28, 2012 (*ACE I*, 25 NY3d at 599).

Faced with that uncertainty, two independent investment funds that were certificateholders (*i.e.*, beneficiaries of the Trust)—RMBS Recovery Holdings 4, LLC and VP Structured Products, LLC, which together held 25% of the Trust’s voting certificates—gave written notice to the Trustee of breaches of the representations and warranties by DBSP (*id.* at 591). They asked the Trustee to demand that DBSP cure or repurchase the defective loans and urged the Trustee to seek a tolling agreement because the statute of limitations deadline was approaching (*id.*). The Trustee did not do so (*id.*).

As is typical in RMBS pooling and servicing agreements (PSAs), the PSA here contained a provision (§ 12.03) designed to protect the Trust’s assets in the event that the Trustee failed to act. It provides that a certificateholder may sue in the event of a “default,” provided that the following conditions are met: (i) a certificateholder has given prior written notice to the Trustee of the default; (ii) certificateholders representing at least 25% of the voting rights have requested the Trustee to sue to recover for breaches of the representations and warranties; (iii) those certificateholders have offered to indemnify the Trustee; (iv) the Trustee is given at least 15 days from the offer of indemnity to decide whether to institute it; and (v) the Trustee fails to do so. Importantly, even if all those conditions are met, the certificateholders instituting the suit must do so “for the equal, ratable and common benefit of all Certificateholders.” It is undisputed that each of those conditions was met here.

Because of the Trustee’s failure to act, on March 28, 2012, the two certificateholders sued DBSP, timely filing a summons with notice (*id.* at 591-592). In view of the PSA’s requirement

that a suit by a certificateholder could not “disturb or prejudice the rights of the Holders of any other of such Certificates, or . . . obtain or seek to obtain priority over or preference to any other such Holder” and must be “for the equal, ratable and common benefit of all Certificateholders,” the lawsuit was expressly commenced as a “*derivative action on behalf of the Trust*” (emphasis added).

On September 13, 2012, the Trustee sought to substitute itself for the certificateholders and filed a complaint on the Trust’s behalf. The Appellate Division dismissed the lawsuit without prejudice, giving three reasons: (1) DBSP was contractually entitled to 60-day and 90-day periods for cure and repurchase, which had not elapsed by the date the suit was commenced, which the Court deemed to be conditions precedent, rendering the lawsuit a “nullity”; (2) the PSA’s section 12.03’s “no-action” provision deprived the certificateholders of “standing” to sue on behalf of the Trust;* and (3) the Trustee’s attempt to substitute as the plaintiff did not relate back to the original lawsuit filed by the certificateholders, and therefore was untimely (*ACE*, 112 AD3d at 523). Within six months of the Appellate Division’s dismissal, the Trustee filed the instant action, which the parties agreed to stay pending the determination of the appeal of the original action to our Court.

We affirmed the dismissal of the original action on a different ground: the breach occurred when the allegedly false warranties and representations were initially made—*i.e.*, when the MLPA was executed (*ACE I*, 25 NY3d at 589). In the course of so holding, we determined that the cure or repurchase obligation was *not* a condition precedent to suit (*id.* at 597-598). We expressly declined to address the issues of “standing” or relation back (*id.* at 599).

Thereafter, Supreme Court dismissed the instant action, holding that the plaintiff in the original action (the certificateholders) and the plaintiff in the instant action (the Trustee) were not the same party, and therefore CPLR 205 (a)’s tolling provision did not apply (52 Misc 3d 343, 351 [Sup Ct, NY County 2016]). Alternatively, Supreme Court held that if the parties were legally the same, so that CPLR 205 (a) would ap-

* “Standing” is a misnomer. If the “no-action” provision bars the certificateholders from suing, they have no contractual right to sue, which is a distinct issue from that of standing (see *US Bank N.A. v Nelson*, 36 NY3d 998, 1000-1013 [2020, Wilson, J., concurring]). The certificateholders clearly have suffered injury in fact.

ply, the undisturbed rulings of the Appellate Division in the first action operated as *res judicata* to bar the Trustee's claims in the present action (*id.* at 369-371). The Appellate Division affirmed solely on the ground that because the Trustee and certificateholders were not the same plaintiff, CPLR 205 (a) did not apply (*see US Bank N.A. v UBS Real Estate Sec., Inc.*, 177 AD3d 493, 493 [1st Dept 2019]).

II.

The prior decisions of the Appellate Division do not compel any result here: no decision of the Appellate Division can operate as *stare decisis* for our Court, and there is no suggestion that the Appellate Division's prior decisions operate as claim or issue preclusion. Thus, as the majority concludes, the dispositive legal question presented is whether the Trustee, which filed the second lawsuit, is the same "plaintiff" as the certificateholders, which filed the original lawsuit, under CPLR 205 (a). That provision reads:

"New action by plaintiff. If an action is timely commenced and is terminated in any other manner than by a voluntary discontinuance, a failure to obtain personal jurisdiction over the defendant, a dismissal of the complaint for neglect to prosecute the action, or a final judgment upon the merits, the plaintiff, or, if the plaintiff dies, and the cause of action survives, his or her executor or administrator, may commence a new action upon the same transaction or occurrence or series of transactions or occurrences within six months after the termination provided that the new action would have been timely commenced at the time of commencement of the prior action and that service upon defendant is effected within such six-month period. Where a dismissal is one for neglect to prosecute the action made pursuant to rule thirty-two hundred sixteen of this chapter or otherwise, the judge shall set forth on the record the specific conduct constituting the neglect, which conduct shall demonstrate a general pattern of delay in proceeding with the litigation" (CPLR 205 [a]).

The majority's statutory analysis is as follows: because CPLR 205 (a) lists executors and administrators, but not trustees, the legislature meant to exclude trustees (majority op at 652-653).

That is not how CPLR 205 (a) reads or what it means. The reference to executors and administrators applies only “if the plaintiff dies, and the cause of action survives.” A dead person cannot file a new action; the clause referring to the filing of a new action by an executor or administrator (not for an incompetent person or a minor, but a dead person), addresses that limited situation.

The proper question is: what did the legislature mean by allowing “the plaintiff” to commence a new action within six months? Did it mean that, if a plaintiff commenced an action and subsequently became incapacitated, a guardian ad litem could not recommence the action within the six-month period? Did it mean that, if a guardian ad litem commenced an action for a minor, and the minor subsequently reached the age of majority, the (former) minor could not recommence the action within the six-month period? Of course not. The “plaintiff” is the real party in interest, not the nominal entity filing suit for whatever procedural reason may exist.

Turning to the situation here, a corporation is a legal entity that holds both legal and equitable title to its assets. A trust is a legal entity that holds equitable title only; legal title is held by the trustee. Our decision in *Reliance Ins. Co. v PolyVision Corp.* (9 NY3d 52 [2007]), relied on by both parties and the majority, understandably held that, for the purposes of CPLR 205 (a), a parent corporation is not the same entity as its subsidiary. That is a fundamental proposition of corporate law (see e.g. *Berkey v Third Ave. Ry. Co.*, 244 NY 84, 94 [1926]). A parent and subsidiary each has a separate legal existence, each has the capacity to sue to enforce its rights, and each holds both legal and equitable title to its own assets—which assets are distinct from each other’s. Even if a subsidiary is wholly owned by its parent, the two remain separate and independent legal entities, with rights that differ from each other.

At issue here is a trust, not a corporation. Because a trustee has legal title only, it suffers no injury from wrongful depredations of the trust corpus—only the trust beneficiaries do. A trustee is a nominal party. Any suit by a trustee is necessarily for the sole benefit of a trust’s beneficiaries; indeed, a trustee has a fiduciary duty to protect their interests in the trust. As we recently recognized in the RMBS context, the trustee “is suing in merely a representative capacity” (*Deutsche Bank Natl. Trust Co. v Barclays Bank PLC*, 34 NY3d 327, 335 [2019]).

Under Estates, Powers and Trusts Law § 7-2.1 (a), the trust “beneficiary does not take any legal estate in the property but

may enforce the trust.” Even before the EPTL was amended to allow beneficiaries to sue to enforce the rights of a trust, we held in *Ettlinger v Persian Rug & Carpet Co.* that the beneficiary of a trust “may sue where the trustee refuses . . . because there is no other remedy, and the right of the bondholder, otherwise, will go unredressed” (142 NY 189, 192-193 [1894]). We explained that in an action brought by a trust beneficiary when the trustee has failed to act, a court

“takes hold of the trust, dictates and controls its performance, distributes the assets as it deems just, and it is not vitally important which of the two possible plaintiffs sets the court in motion. The bondholders are the real parties in interest; it is their right which is to be redressed, and their loss which is to be prevented” (*id.* at 193; *see also O’Beirne v Allegheny & Kinzua R.R. Co.*, 151 NY 372, 384 [1897] [“Whatever rights were vested in the trustee through the mortgage instrument, as against the mortgagors, inured to the benefit of the bondholder as the beneficiary, and are enforceable by him, in the case of refusal or neglect on the part of his trustee to act for him upon his making the proper request”]).

Here, however one looks at it, the only real party in interest has always been the Trust, regardless of who the nominal plaintiff was. The Trustee cannot sue to vindicate its own rights—the way a corporate parent can—but can sue to enforce only the rights of the Trust. Likewise, the certificateholders who sued when the Trustee declined to do so expressly sued as a “derivative action on behalf of the Trust.” Indeed, they could not have done otherwise, because the PSA—pursuant to section 12.03, through which they claimed the right to sue—required that any suit by a certificateholder could not “disturb or prejudice the rights of the Holders of any other of such Certificates, or . . . obtain or seek to obtain priority over or preference to any other such Holder” and must be “for the equal, ratable and common benefit of all Certificateholders.” Simply put, when the certificateholders initiated the suit, they stood in the shoes of the Trustee, seeking to enforce the rights of the Trust when the Trustee failed to act.

In the case of a trust, as opposed to corporate subsidiaries, the identity of the nominal plaintiff seeking to enforce the trust’s equitable right is “not vitally important” because in nei-

ther the original nor subsequent lawsuit was the nominal plaintiff seeking to enforce its own right; both were seeking to enforce the rights of the trust only. Contrary to the majority's view, this proposition is not limitless; it merely asks whether the real party in interest is the same in the original and subsequent transaction (and whether the claims are identical). As we held in *Ettlinger*, the situation in which a trust beneficiary sues after a trustee has failed to do so is not different than when a successor trustee sues.

III.

CPLR 205 (a), and its predecessors, have long been interpreted as liberally construed so long as the defendant has not been prejudiced by the delay. Tracing its origins back to the English Limitation Act of 1623, we noted that New York had carried forward the ameliorative purpose of that Act in 1788 and had subsequently amended and recodified it leading up to its incarnation in the Code of Civil Procedure, where its

“scope was broadened. It was made applicable, not only where the judgment in the first action was reversed on appeal, but also to every case where the first action was terminated in any other manner than by a voluntary discontinuance, a dismissal of the complaint for neglect to prosecute, or a final judgment upon the merits” (*Gaines v City of New York*, 215 NY 533, 539 [1915]).

We emphasized that the “broad and liberal purpose is not to be frittered away by any narrow construction. The important consideration is that by invoking judicial aid, a litigant gives timely notice to his adversary of a present purpose to maintain his rights before the courts” (*id.*). We have subsequently reaffirmed that CPLR 205 (a) “shares with its venerable predecessor provisions the ‘broad and liberal purpose’ of remedying what might otherwise be the harsh consequence of applying a limitations period where the defending party has had timely notice of the action” (*Matter of Goldstein v New York State Urban Dev. Corp.*, 13 NY3d 511, 521 [2009], quoting *Matter of Morris Invs. v Commissioner of Fin. of City of N.Y.*, 69 NY2d 933, 935 [1987]; see also *George v Mt. Sinai Hosp.*, 47 NY2d 170, 177 [1979] [“the function of the CPLR subdivision (205 [a]) is to ameliorate the potentially harsh effect of the Statute of Limitations in certain cases in which at least one of the fundamental purposes of the Statute of Limitations has in fact

been served, and the defendant has been given timely notice of the claim being asserted by or on behalf of the injured party. The statute is a remedial one, and, as Judge Cardozo has explained (in *Gaines*), ‘(i)ts broad and liberal purpose is not to be frittered away by any narrow construction’ (215 NY at 539)”].

Here, had the Trustee filed initially instead of the certificateholders, there is no question the action would be timely under CPLR 205 (a). Likewise, had the Trustee never sought to take over the suit initially filed by the certificateholders, and the certificateholders instead filed a new action within the six-month period allowed for under CPLR 205 (a), that action would unquestionably have been timely. It is, ironically, only because the Trustee belatedly saw the wisdom of the certificateholders’ initial suit that the trust beneficiaries are barred by this Court’s decision from attempting to vindicate their rights. When, as here,

“the defect in the prior action did not lie in the means of commencing the action, but rather in the identity of the named plaintiff . . . it was not the type of defect which precludes application of CPLR 205 (subd [a]). The very function of that subdivision is to provide a second opportunity to the claimant who has failed the first time around because of some error pertaining neither to the claimant’s willingness to prosecute in a timely fashion nor to the merits of the underlying claim” (*George v Mt. Sinai Hosp.*, 47 NY2d at 178-179).

IV.

Nothing about the majority’s decision is “broad” or “liberal”; it is narrow and chary. Unlike many trustees and investors in RMBS securities, the plaintiff certificateholders here perspicaciously anticipated (or at least terribly feared the prospect of) our decision in *ACE I*, which held that the statute of limitations accrued the moment the representations and warranties were made, not the date on which a breach occurred by failing to honor the cure or repurchase provision. Their suit provided full notice to HSBC; HSBC does not allege otherwise. Had the Trustee simply sat by the sidelines, the certificateholders would have been able to refile their action after providing the 60- and 90-day cure periods; indeed, after our decision in *ACE I*, holding that the failure to provide those periods was *not* a condi-

tion precedent to filing suit, they could have proceeded on their original suit. Only because the Trustee saw the merit in their position and attempted to substitute itself as the nominal plaintiff can HSBC avoid having to respond to the claims on the merits. Nothing about CPLR 205 (a) or our own interpretations of it and its predecessors compels that result; indeed, they compel the opposite.

Judges RIVERA, GARCIA, SINGAS, CANNATARO and TROUTMAN concur; Judge WILSON dissents in an opinion.

Order affirmed, with costs.

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